

**PUNJAB STATE ELECTRICITY REGULATORY COMMISSION  
SITE NO. 3, BLOCK B, SECTOR 18-A MADHYA MARG,  
CHANDIGARH**



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**Phone: 0172-2861800**

**Fax: 0172-2540491**

**Email: [secretarypsercchd@gmail.com](mailto:secretarypsercchd@gmail.com)**

**Website: [www.pserc.gov.in](http://www.pserc.gov.in)**

**PUNJAB STATE ELECTRICITY REGULATORY COMMISSION  
SITE NO. 3, BLOCK B, SECTOR 18-A MADHYA MARG, CHANDIGARH**

**PETITION NO. 68 OF 2021 FILED BY PUNJAB STATE POWER CORPORATION  
LIMITED FOR TRUE UP OF FY 2020-21, ANNUAL PERFORMANCE REVIEW FOR FY  
2021-22 and APPROVAL OF REVISED ARR AND DETERMINATION OF TARIFF FOR  
FY 2022-23.**

PRESENT: Sh. Viswajeet Khanna, Chairperson  
Ms. Anjuli Chandra, Member  
Sh. Paramjeet Singh, Member

Date of Order: 31<sup>st</sup> March, 2022

**ORDER**

The Punjab State Electricity Regulatory Commission (Commission), in exercise of the powers vested in it under the Electricity Act, 2003 (Act), passes this order for the True up of ARR for FY 2020-21, Annual Performance Review (APR) for FY 2021-22, approval of revised ARR and determination of Tariff for FY 2022-23 for generation and supply of electricity by the Punjab State Power Corporation Limited (PSPCL) to the consumers of the State of Punjab. The petition filed by PSPCL, facts presented by PSPCL in its various submissions, objections received by the Commission from consumer organizations and individuals, issues raised by the public in the hearings held at Ludhiana, Amritsar, Bathinda, and Chandigarh and the responses of PSPCL to the objections in this respect have been considered. The State Advisory Committee constituted by the Commission under Section 87 of the Act has also been consulted and all other relevant facts and material on record have been considered before passing this Order.

**1.1 Background**

The Commission has in its previous Tariff Orders determined tariff in pursuance to the ARR and Tariff Applications submitted by erstwhile Punjab State Electricity Board (the Board) for the years 2002-03 to 2006-07, 2008-09 to 2010-11 and by PSPCL for FY 2011-12 to FY 2021-22. The Tariff Order for FY 2007-08 had been passed by the Commission in suo-motu proceedings.

PSPCL has submitted that it is one of the 'Successor Company' of the erstwhile Punjab State Electricity Board (PSEB), duly constituted under the Companies Act, 1956 on 16.04.2010 after restructuring of the Board by Government of Punjab vide

notification no.1/9/08-EB(PR)/196 dated 16.04.2010, under the “Punjab Power Sector Reforms Transfer Scheme” and PSPCL is assigned with the Generation, Distribution and allied activities of the erstwhile PSEB.

The Commission notified the Punjab State Electricity Regulatory Commission (Terms and Conditions for Determination of Generation, Transmission, Wheeling and Retail supply Tariff) Regulations, 2019 vide notification no. PSERC/Secy/Regu.140 dated 29.05.2019 which are in force w.e.f. from 1<sup>st</sup>April, 2020. These regulations have been followed while passing the present Tariff Order for the relevant years.

## **1.2 True up for FY 2020-21, Annual Performance Review for FY 2021-22 and ARR for FY 2022-23.**

PSPCL has filed the present petition for True up of ARR for FY 2020-21, Annual Performance Review for FY 2021-22 and ARR for FY 2022-23 in terms of the Punjab State Electricity Regulatory Commission (Terms and Conditions for Determination of Generation, Transmission, Wheeling and Retail Supply Tariff) Regulations, 2019. The petitioner has prayed the Commission to:

- a) Take the accompanying filing of PSPCL on record and accept the Aggregate Revenue Requirement of True up for FY 2020-21, Annual Performance Review for FY 2021-22 and ARR for FY 2022-23;
- b) Allow revision of the current petition, filing of any additional/supplementary submissions during the course of these proceedings;
- c) Allow the entire fixed charges of power purchase as the power is procured from the sources whose PPAs have been duly executed by the PSPCL and also the energy charges of power procurement from these sources as proposed in the filing;
- d) Allow the Annual Revenue Requirement of PSPCL for FY 2022-23 along with actual interest cost on entire loan which is borne by the utility;
- e) Allow True-Up of FY 2020-21 along with the holding cost, revised estimate of expenses projected for FY 2021-22 and Annual Revenue Requirement of FY 2022-23;
- f) Condone any inadvertent omissions/errors/shortcomings and permit PSPCL to add/change/modify/alter this filing and make further submissions as may be required during the course of these proceedings;
- g) Pass such Order, as the Hon'ble Commission may deem fit and appropriate

keeping in view the facts and circumstances of the case submitted by the Petitioner.

The petition was admitted vide Order dated 03.12.2021. The deficiencies observed in the petition by the Commission were conveyed to PSPCL vide Order dated 14.12.2021, 30.12.2021, letter No. 43 PSERC/Tariff/ dated 10.01.2022, PSERC/Tariff/T-256/185 dated 25.01.2022, PSERC/Tariff/T-298 dated 04.02.2022 and Letter No.400-PSERC/M&F/402 dated 24.02.2022. The reply to the deficiencies was furnished by PSPCL vide memo No.922 dated 24.12.2021, letter No.47 dated 11.01.2022, e-mail dated 17.02.2022, memo No.267 dated 25.02.2022 and memo No.318 dated 08.03.2022. Various meetings were taken with PSPCL on the data submitted in the ARR. The relevant correspondence between the Commission and PSPCL has been placed on the website of the Commission.

### **1.3 Objections and Public Hearings**

A public notice was published by PSPCL in The Tribune (English), Jagbani (Punjabi), Ajit (Punjabi), Dainik Bhaskar (Hindi) & Punjab Kesari (Hindi) on 11.12.2021 inviting objections from the general public and stake holders on the said petition filed by PSPCL. Copies of the Petition including deficiencies pointed out by the Commission and reply of PSPCL to the deficiencies were made available in the offices of the Chief Engineer/ARR & TR, PSPCL, F-4 Shakti Vihar, Patiala, in the offices of all the Chief Engineer(s) (Operation) and all the Superintending Engineer(s) incharge of the Operation Circles of PSPCL. Soft copies of the same were made available on the website [www.pspcl.in](http://www.pspcl.in) of PSPCL & [www.pserc.gov.in](http://www.pserc.gov.in) of PSERC. In the public notice dated 11.12.2021, the objectors were advised to file their objections with the Secretary of the Commission within 30 days of the publication of the notice, with an advance copy to PSPCL. However, due to surge in COVID-19 cases the date for filing objections was further extended upto 31.01.2022 and public notice in this regard was published in various newspapers. The public notice also indicated that the Commission, after perusing the objections, may invite such objector(s) as it considers appropriate for hearing on the dates to be notified in due course.

The Commission decided to hold public hearings at Ludhiana, Amritsar, Bathinda and Chandigarh as per details here under:

| <b>Venue</b>                                                                                            | <b>Proposed Date &amp; time of public hearing</b>       | <b>Category of consumers to be heard</b>                                                    |
|---------------------------------------------------------------------------------------------------------|---------------------------------------------------------|---------------------------------------------------------------------------------------------|
| <b>LUDHIANA</b><br>Multi Purpose Hall, Power Colony, PSPCL, Opp. PAU Ferozepur Road, Ludhiana.          | <b>February 08, 2022 (Tuesday)</b><br>11:30 AM onwards  | All consumers/organizations of the area                                                     |
| <b>AMRITSAR</b><br>VIP Guest House, PSPCL, Batala Road, Verka at Amritsar.                              | <b>February 10, 2022 (Thursday)</b><br>11:30 AM onwards | All consumers/organizations of the area including consumers/organizations of Jalandhar area |
| <b>BATHINDA</b><br>Conference Room, Guest House, Thermal Colony, PSPCL, Bathinda.                       | <b>February 15, 2022 (Tuesday)</b><br>12:00 PM onwards  | All consumers/organizations of the area                                                     |
| <b>CHANDIGARH</b><br>Commission's office i.e. Site No.3, Sector 18-A, Madhya Marg, Chandigarh – 160018. | <b>February 17, 2022 (Thursday)</b><br>11.30 AM onwards | All consumers/ organizations                                                                |
|                                                                                                         | 3.00 PM onwards                                         | Officers'/Staff Associations of PSPCL and PSTCL                                             |

A public notice to this effect was published in various newspapers on 08.01.2022 and was also uploaded on the website of the Commission. All the objectors who had filed their objections and other persons/organizations interested in presenting their views/suggestions were invited to participate in the public hearings.

- 1.4** The Commission held public hearings as per schedule from 08.02.2022 to 17.02.2022 at Ludhiana, Amritsar, Bathinda & Chandigarh. The views of PSPCL on the objections/comments received from public and other stakeholders were heard by the Commission on 28.02.2022.
- 1.5** The impact of the pay revisions in implementation of the 6<sup>th</sup> pay Commission was not included in the tariff petition and PSPCL vide memo No. 316 dated 08.03.2022 requested to allow the additional employee cost on account of pay revisions while determining the tariff. A public notice inviting objections in this regard was published in various newspapers on 13.03.2022 and public hearing was held on 22.03.2022.
- 1.6** The Government of Punjab was approached by the Commission vide DO letter No. 316-317 dated 09.02.2022 and D.O No. 384 dated 21.02.2022 seeking its views on Petition no. 68 of 2021 filed by Punjab State Power Corporation Limited. No comments have been received from the Government of Punjab.
- 1.7** The Commission, in all, received 20 written objections. The Commission considered all these objections. The number of objections/comments received from consumer

groups, organizations and others are detailed below:

| Sr. No. | Category                | No. of Objections |
|---------|-------------------------|-------------------|
| I       | II                      | III               |
| 1.      | Apex Chamber PHD        | 1                 |
| 2.      | Industrial Associations | 5                 |
| 3.      | Industry                | 7                 |
| 4.      | PSEB, Engg. Association | 1                 |
| 5.      | Others                  | 6                 |
| 6.      | <b>Total</b>            | <b>20</b>         |

The complete list of objectors is given in **Annexure-V** to this Tariff Order. PSPCL submitted its comments on the objections to the Commission. PSPCL was directed to send their response to the respective objectors. A summary of issues raised in the objections, the response of PSPCL and the views of the Commission are contained in **Annexure-VI** to this Tariff Order.

#### **1.8 State Advisory Committee**

A meeting of the State Advisory Committee constituted under Section 87 of the Act was convened on 22.02.2022 for taking its views. The minutes of the meeting of the State Advisory Committee are enclosed as **Annexure-III** to this Order.

**1.9** In addition, all subsequent and relevant correspondence between the Commission and PSPCL was also put on the website of the Commission. The Commission has, thus, taken the necessary steps to ensure that due process, as contemplated under the Act and the Regulations framed by the Commission, is followed and adequate opportunity is given to all stakeholders in presenting their views.

#### **1.10 Compliance of Directives**

In its previous Tariff Orders, the Commission issued certain directives to PSPCL in the public interest. A summary of directives issued during previous years, status of compliance along with the directives of the Commission in these petitions is given in **Chapter-6** of this Tariff Order.

# Chapter 2

## True up for Capital Expenditure for 1<sup>st</sup> MYT Control Period (FY 2017-18 to FY 2019-20)

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### 2.1 Background

The Commission had approved PSPCL's Capital Investment Plan (CIP) for MYT control period (FY 2017-18 to FY 2019-20) vide Order dated 11.01.2018 in Petition No. 46 of 2016 as under:

**Table 1: Capital Investment Plan Approved by the Commission for 1<sup>st</sup> MYT Control Period in Petition No. 46 of 2016**

| Description                      | (Rs. Crore)                                         |            |            |         |
|----------------------------------|-----------------------------------------------------|------------|------------|---------|
|                                  | Approved Capital Investment Plan / Provision in MYT |            |            |         |
|                                  | FY 2017-18                                          | FY 2018-19 | FY 2019-20 | Total   |
| Capital Investment Plan of PSPCL | 1310.67                                             | 1303.25    | 966.72     | 3580.64 |

In subsequent meetings held with PSPCL, it was pointed out by PSPCL that the approved CIP was exclusive of IDC, employee cost, A&G, depreciation etc. Also, Shahpur Kandi Power Project (SKPP) was not considered while approving the CIP.

The capital investment/expenditure of 1st MYT Control Period (FY 2017-18 to FY 2019-20) approved by the Commission in various Tariff Orders is as under:

**FY 2017-18:** The Commission provisionally approved the Capital Expenditure of Rs. 1487.18 Crore for FY 2017-18 in the Tariff Order for FY 2019-20. This included approximately Rs. 262.00 Crore as IDC, employee cost, A&G, depreciation etc. subject to the true up at end of the control period but excluded Capital Expenditure of Rs. 75.51 Crore claimed for Shahpur Kandi hydro power project (SKPP).

**FY 2018-19:** The Commission provisionally approved the Capital Expenditure of Rs. 1698.24 Crore for FY 2018-19 in the Tariff Order of FY 2020-21 which excludes Capital Expenditure of Rs. 106.62 Crore claimed for Shahpur Kandi hydro power project (SKPP) and Rs. 161.66 Crore for its captive mine at Pachwara, but included IDC, employee cost, A&G, depreciation etc. subject to the true up at end of the control period.

**FY 2019-20:** CIP of Rs. 100 Crore was provisionally allowed to PSPCL for installation of FGD at GGSSTP and GHTP in the Tariff Order for FY 2019-20. The Commission also observed in the Tariff Order of FY 2020-21 that according to PSPCL, an amount of Rs. 126.70 Crore and Rs. 160.03 Crore has been booked as IDC during FY 2017-

18 and FY 2018-19 respectively. The Commission considered the estimated IDC of Rs. 168.53 Crore for FY 2019-20 as per PSPCL's submission. Considering a total IDC of Rs. 455.26 Crore, the total approved Capital Expenditure for 1st MYT control period (FY 2017-18 to FY 2019-20) works out to Rs. 4135.90 Crore (Rs. 3580.64 Crore + Rs. 100 Crore of FGD + Rs. 455.26 Crore of IDC).

Against the total approved Capital Expenditure of Rs. 4135.90 (Rs. 3580.64 Crore + Rs. 455.26 Crore + Rs. 100 Crore) Crore for the 1st MYT Control Period, the Commission has provisionally approved Capital Expenditure of Rs. 3185.42 Crore (Rs. 1487.18 Crore + Rs. 1698.24 Crore) for the first two years i.e. FY 2017-18 & FY 2018-19. With the reduction of Rs. 151.79 Crore approved as spillover/deferred amount in respect of Generation business allowed in Capital Investment for 2<sup>nd</sup> MYT (FY 2020-21 to FY 2022-23, Table 34 of the CIP Order dated 03.12.2019 in Petition No. 18 of 2019) from the approved Capital Investment of 1st MYT Control Period (FY 2017-18 to FY 2019-20), the remaining amount of Rs. 798.69 Crore (Rs. 4135.90 Crore – Rs. 3185.42 Crore – Rs. 151.79 Crore) was provisionally approved by the Commission as CIP (excluding deposit works) for APR of FY 2019-20.

Further, as Capital Expenditure for BBMB (Rs. 51.87 Crore) was not included in the Capital Expenditure approved for 1st MYT Period in CIP order dated 11.01.2018, the same is considered as per actual Capital Expenditure during FY 2019-20, which works out to Capital Expenditure of Rs. 850.56 Crore (Rs. 798.69 Crore+ Rs. 51.87 Crore) for FY 2019-20. The summary of the same is as under:

**Table 2: Capital Investment Plan/ Capital Expenditure Provisionally Approved by the Commission**

| Particulars                                                              | (Rs. Crore)                                         |            |            |         |
|--------------------------------------------------------------------------|-----------------------------------------------------|------------|------------|---------|
|                                                                          | Approved Capital Investment Plan / Provision in MYT |            |            |         |
|                                                                          | FY 2017-18                                          | FY 2018-19 | FY 2019-20 | Total   |
| Capital Investment Plan of PSPCL approved in Petition No. 46 of 2016     | 1310.67                                             | 1303.25    | 966.72     | 3580.64 |
| IEDC and IDC                                                             | 126.70                                              | 160.03     | 168.53     | 455.26  |
| Total Capital Investment Plan with IEDC and IDC                          | 1437.37                                             | 1463.28    | 1135.25    | 4035.90 |
| Provisional CIP for installation of FGD                                  | 0.00                                                | 0.00       | 100.00     | 100.00  |
| Total approval of CIP                                                    | 1437.37                                             | 1463.28    | 1235.25    | 4135.90 |
| works spilling over to 2nd MYT control period (FY 2020-21 to FY 2022-23) |                                                     |            |            | 151.79  |
| Capital Expenditure provisionally approved for 1st MYT Control period    | 1487.18                                             | 1698.24    | 798.69     | 3984.11 |



(Rs. Crore)

| Particulars                                                                        | Approved Capital Investment Plan / Provision in MYT |                |               |                |
|------------------------------------------------------------------------------------|-----------------------------------------------------|----------------|---------------|----------------|
|                                                                                    | FY 2017-18                                          | FY 2018-19     | FY 2019-20    | Total          |
| Add: Actual Capital Expenditure for BBMB in FY 2019-20                             |                                                     |                | 51.87         | 51.87          |
| <b>Total Capital Expenditure provisionally approved for 1st MYT Control period</b> | <b>1487.18</b>                                      | <b>1698.24</b> | <b>850.56</b> | <b>4035.98</b> |

In the Tariff Order for FY 2020-21, the Commission issued a directive (No. 3) to PSPCL for submission of division wise capital expenditure incurred scheme wise for the last three years by 31st July 2020 for true up of capital expenditure.

PSPCL vide office memo No. 700 dated 18.08.2020 provided the capital expenditure incurred for 1st MYT Control period (FY 2017-18 to FY 2019-20).

For prudence check of capital expenditure, data was collected from various circle offices of PSPCL in respect of the schemes undertaken (Normal Development works including system Improvement schemes, Release of Tubewell connections for General Connections, shifting of meters outside consumer premises & Providing 11 KV manual operative switched capacitors) by the distribution offices. A wide variation in the expenditure as initially submitted by PSPCL planning office as given by the Distribution Circle offices, and as per the ARR was observed. The variation in the Capital Expenditure data for the schemes was as under:

**Table 3: Variation in the Capital Expenditure data in the schemes undertaken by distribution wing**

(Rs. Crore)

| Sr. No. | Particulars                                  | FY 2017-18 | FY 2018-19 | FY 2019-20 |
|---------|----------------------------------------------|------------|------------|------------|
| 1.      | As per Distribution Circle Offices           | 816.65     | 887.09     | 1018.02    |
| 2.      | As per data submitted by PSPCL on 18.08.2020 | 763.09     | 864.19     | 752.88     |
| 3.      | As per A&R office of PSPCL                   | 830.08     | 912.93     | 886.57     |

PSPCL was asked to explain the variation in the record of the Capital Expenditure in its offices. PSPCL could not justify the variation and requested the Commission to consider the audited accounts figure (A&R office). Also, PSPCL did not supply scheme wise capital expenditure on works of R-APDRP-Part B, DDUGJY, IPDS etc.

In Tariff Order for FY 2021-22, the Commission observed as under:

*“In the absence of the proper reconciliation and justification of the expenditure, the Commission does not consider it prudent to true up the Capital expenditure of 1st MYT (FY 2017-18 to FY 2018-19) and retains the provisional approval of the Capital*

expenditure of Rs. 850.56 Crore for FY 2019-20.”

PSPCL was directed to check / reconcile the figures of capital expenditure of all the schemes/projects approved by the Commission and submit the same with justification for the expenditure incurred in excess of approved CIP by 31st July 2021.

## 2.2 True-up of Capital Expenditure and its Impact

### PSPCL's submission:

PSPCL vide office memo no. 96/ARR/DY.CAO/263/Vol.-I dated 28.01.2022 has submitted the details of Capital Expenditure during the 1st MYT Control Period as under:

**Table 4: Details of Capital Expenditure for 1st MYT Control Period as submitted by PSPCL**

(Rs. Crore)

| Sr. No. | Brief Description of the Scheme                                                 | FY 2017-18     | FY 2018-19     | FY 2019-20     | 1st MYT Total  |
|---------|---------------------------------------------------------------------------------|----------------|----------------|----------------|----------------|
| 1       | Distribution schemes (System improvement, Release of Tubewell connections etc.) | 830.14         | 913.90         | 886.57         | 2630.61        |
| 2       | Transmission works                                                              | 288.86         | 271.86         | 241.48         | 802.20         |
| 3       | DDUGJY                                                                          | 4.87           | 101.67         | 113.11         | 219.65         |
| 4       | IPDS                                                                            | 36.07          | 129.30         | 119.15         | 284.52         |
| 5       | R-APDRP Part b                                                                  | 245.04         | 131.50         | 104.68         | 481.22         |
| 6       | R-APDRP Part a                                                                  | (33.91)        | 24.90          | 9.67           | 0.66           |
| 7       | IT Plan                                                                         | 0.07           | -              | 4.88           | 4.95           |
| 8       | Saubhagaya                                                                      | -              | 0.86           | -              | 0.86           |
| 9       | Golden Temple                                                                   | -              | 2.29           | -              | 2.29           |
| 10      | PIDB                                                                            | 3.67           | 3.04           | 2.31           | 9.02           |
| 11      | SYL                                                                             | -              | 0.01           | 1.15           | 1.16           |
| 12      | BBMB                                                                            | 8.28           | 28.06          | 51.87          | 88.21          |
| 13      | UBDC                                                                            | 5.18           | 2.63           | 4.83           | 12.64          |
| 14      | Shahpurkandi                                                                    | 75.51          | 106.62         | 333.38         | 515.51         |
| 15      | Shanan                                                                          | 18.55          | 7.17           | 3.23           | 28.95          |
| 16      | RSD                                                                             | 2.89           | 12.70          | 0.01           | 15.60          |
| 17      | MHP*                                                                            | 50.11          | 70.87          | 42.33          | 163.31         |
| 18      | ASHP                                                                            | 0.11           | 4.05           | 2.09           | 6.25           |
| 19      | GHTP (without Pachhwara)                                                        | 0.40           | 1.19           | 8.91           | 10.50          |
| 20      | Pachhwara Coal Mine                                                             | -              | 161.66         | 34.60          | 196.26         |
| 21      | GNDTP                                                                           | 19.34          | 6.14           | (6.58)         | 18.90          |
| 22      | GGSSSTP                                                                         | 7.49           | 11.81          | 28.08          | 47.38          |
| 23      | <b>Total Expenditure</b>                                                        | <b>1562.67</b> | <b>1992.22</b> | <b>1985.76</b> | <b>5540.66</b> |

\* Under MHP during FY 2017-18 an expenditure of Rs. 21.65 Crore balance relates prior to 1986, therefore, the same has been included from head office balance.

### Commission's Analysis:

Based on the details of Capital Expenditure for 1st MYT Control Period as submitted by PSPCL, the Commission observed as under:

1. Capital expenditure of Rs. 1.16 Crore and Rs. (0.44) Crore has been incurred on SYL and GNDTP respectively during 1st MYT Control Period. As both the projects have been shut down, the expenditure pertaining to SYL and GNDTP (for FY 2018-19 and FY 2019-20) shall be considered while deciding the issue of impairment loss of these plants.
2. PSPCL has adjusted an amount of Rs. 21.65 Crore on Mukerian Hydro Power in FY 2017-18 which pertains to previous year's expenditure.
3. PSPCL has incurred capital expenditure on Shahpur Kandi Power Project (SKPP) and Pachhwara Coal Mines amounting to Rs. 515.51 Crore and Rs.196.30 Crore respectively during 1st MYT Control Period which was not included in CIP approved by the Commission in Petition No.46 of 2016. The capital expenditure on SKPP shall be considered upon commissioning of the project. The expenditure on coal mine shall be considered as part of coal cost when the mine starts operations.

In view of the above, actual capital expenditure incurred over and above the approved is as under:

**Table 5: Excess Capital Expenditure Incurred in 1st MYT Control Period**

**(Rs. Crore)**

| Sr. No. | Particulars                                                | FY 2017-18       | FY 2018-19     | FY 2019-20     | TOTAL          |
|---------|------------------------------------------------------------|------------------|----------------|----------------|----------------|
| 1       | Total Actual Capital Expenditure as submitted by PSPCL     | 1562.67          | 1992.23        | 1985.76        | 5540.66        |
| 2       | Less: SKPP                                                 | 75.51            | 106.61         | 333.38         | 515.51         |
| 3       | Less: SYL                                                  | -                | 0.01           | 1.15           | 1.16           |
| 4       | Less: Pachwara Coal Mine                                   | -                | 161.66         | 34.64          | 196.30         |
| 5       | Less: Mukerian Hydro Power                                 | 21.65            | -              | -              | 21.65          |
| 6       | Less: GNTDP                                                | -                | 6.14           | (6.58)         | (0.44)         |
| 7       | <b>Total Capital Expenditure incurred</b>                  | <b>1465.52</b>   | <b>1717.81</b> | <b>1623.18</b> | <b>4806.51</b> |
| 8       | <b>Capital Expenditure allowed by PSERC(Provisionally)</b> | <b>1487.18</b>   | <b>1698.24</b> | <b>850.56</b>  | <b>4035.98</b> |
| 9       | <b>Excess Capital Expenditure incurred</b>                 | <b>(-) 21.66</b> | <b>19.57</b>   | <b>772.62</b>  | <b>770.53</b>  |

The Commission has further observed as under:

1. PSPCL has incurred Capital Expenditure of Rs. 88.21 Crore for BBMB during the 1st MYT Control Period. The Commission had approved Capital Expenditure of Rs. 51.87 Crore for FY 2019-20 for BBMB. Thus, the excess Capital Expenditure incurred as shown in Table 5 of Rs. 772.62 Crore includes Rs. 36.34 Crore (Rs. 88.21 Crore – Rs. 51.87 Crore).
2. PSPCL vide memo no. 26 dated 14.02.2022 has submitted that expenditure of Rs. 1.55 Crore on FGD is incurred during the 1st MYT Control Period against allocation of Rs.100.00 Crore and is included in the Capital expenditure claimed by PSPCL. Accordingly, the Commission has considered the same. PSPCL was asked to reconcile the figures during meeting held with the Commission on 14.02.2022.
3. PSPCL vide its letter dated 28.01.2022 submitted that Rs. 341.17 Crore received on account of Central Govt. sponsored schemes (which has not been converted into grant) has already been considered by the Commission in Tariff order in FY 2017-18 and FY 2018-19 amounting to Rs. 135.88 Crore and Rs. 53.96 Crore respectively i.e. total of Rs. 189.84 Crore. Balance of Rs. 151.33 Crore is to be considered by the Commission for FY 2019-20 on the same pattern.
4. PSPCL has shown higher capital expenditure during 1st MYT Control Period than the Capital Expenditure given in the Balance Sheet for the respective years. Further, PSPCL's submission on actual expenditure on Distribution Schemes for the 1<sup>st</sup> MYT Control Period keeps on varying and there is a difference of Rs. 187.48 Crore. Accordingly, the Commission has reduced Rs. 187.48 Crore in the actual Capital Expenditure shown in the annual audited accounts of the 1<sup>st</sup> MYT Control Period from FY 2017-18 to FY 2019-20 after discussion with PSPCL Officers.
5. PSPCL has formulated the Capital investment plan for 1<sup>st</sup> MYT Control Period. However, it was observed that PSPCL was unable to project its CIP properly. Therefore, the Commission, as a one time measure, allows Capital expenditure in excess of the approval already given. PSPCL is directed to make its Capital investment Plans in future.

Accordingly, the details of Capital Expenditure approved by the Commission for the 1st MYT Control Period is as under:

**Table 6: Details of Capital Expenditure for 1st MYT Control Period as approved by the Commission**

(Rs. Crore)

| Sr. No.   | Brief Description of the Scheme                                                 | FY 2017-18     | FY 2018-19     | FY 2019-20     | 1st MYT Total  |
|-----------|---------------------------------------------------------------------------------|----------------|----------------|----------------|----------------|
| 1         | Distribution schemes (System improvement, Release of Tubewell connections etc.) | 830.14         | 913.90         | 699.09         | 2443.13        |
| 2         | Transmission works                                                              | 288.86         | 271.86         | 241.48         | 802.20         |
| 3         | DDUGJY                                                                          | 4.87           | 101.67         | 113.11         | 219.65         |
| 4         | IPDS                                                                            | 36.07          | 129.30         | 119.15         | 284.52         |
| 5         | R-APDRP Part b                                                                  | 245.04         | 131.50         | 104.68         | 481.22         |
| 6         | R-APDRP Part a                                                                  | (33.91)        | 24.90          | 9.67           | 0.66           |
| 7         | IT Plan                                                                         | 0.07           | -              | 4.88           | 4.95           |
| 8         | Saubhagaya                                                                      | -              | 0.86           | -              | 0.86           |
| 9         | GTB                                                                             | -              | 2.29           | -              | 2.29           |
| 10        | PIDB                                                                            | 3.67           | 3.04           | 2.31           | 9.02           |
| <b>11</b> | <b>Distribution Total</b>                                                       | <b>1374.81</b> | <b>1579.32</b> | <b>1294.37</b> | <b>4248.50</b> |
| 12        | SYL                                                                             | -              | -              | -              | -              |
| 13        | BBMB                                                                            | 8.28           | 28.06          | 51.87          | 88.21          |
| 14        | UBDC                                                                            | 5.18           | 2.63           | 4.83           | 12.64          |
| 15        | Shahpurkandi                                                                    | -              | -              | -              | -              |
| 16        | Shanan                                                                          | 18.55          | 7.17           | 3.23           | 28.95          |
| 17        | RSD                                                                             | 2.89           | 12.70          | 0.01           | 15.60          |
| 18        | MHP*                                                                            | 28.46          | 70.87          | 42.33          | 141.66         |
| 19        | ASHP                                                                            | 0.11           | 4.05           | 2.09           | 6.25           |
| 20        | GHTP (without Pachhwara)                                                        | 0.40           | 1.19           | 8.91           | 10.50          |
| 21        | Pachhwara Coal Mine                                                             | -              | -              | -              | -              |
| 22        | GNDTP                                                                           | 19.34          | -              | -              | 19.34          |
| 23        | GGSTP                                                                           | 7.49           | 11.81          | 28.08          | 47.38          |
| <b>24</b> | <b>Generation Total</b>                                                         | <b>90.70</b>   | <b>138.48</b>  | <b>141.35</b>  | <b>370.53</b>  |
| <b>25</b> | <b>Total Expenditure</b>                                                        | <b>1465.51</b> | <b>1717.80</b> | <b>1435.72</b> | <b>4619.03</b> |

Accordingly, the Commission has allowed the excess capital expenditure for the 1<sup>st</sup> MYT Control Period as under:

**Table 7: Excess capital expenditure approved for the 1<sup>st</sup> MYT Control Period**

(Rs. Crore)

| Sr. No. | Particulars                                         | FY 2017-18    | FY 2018-19   | FY 2019-20    | TOTAL         |
|---------|-----------------------------------------------------|---------------|--------------|---------------|---------------|
| 1       | Total Capital Expenditure incurred                  | 1465.51       | 1717.80      | 1435.72       | 4619.03       |
| 2       | Capital Expenditure allowed by PSERC(Provisionally) | 1487.18       | 1698.24      | 850.56        | 4035.98       |
| 3       | <b>Excess Capital Expenditure incurred</b>          | <b>-21.67</b> | <b>19.56</b> | <b>585.16</b> | <b>583.05</b> |

The details of GFA approved by the Commission for 1st MYT Control Period are as under:

**Table 8: GFA for 1st MYT Control Period for Generation and Distribution Business as approved by the Commission**

| (Rs. Crore) |                                           |         |       |       |        |      |      |        |      |       |       |            |              |         |
|-------------|-------------------------------------------|---------|-------|-------|--------|------|------|--------|------|-------|-------|------------|--------------|---------|
| Sr. No.     | Particulars                               | GGSSSTP | GHTP  | GNDTP | Shanan | UBDC | RSD  | MHP    | ASHP | Micro | BBMB  | Generation | Distribution | Total   |
| I           | II                                        | III     | IV    | V     | VI     | VII  | VIII | IX     | X    | XI    | XII   | XIII       | XIV          | XV      |
| 1           | GFA as per audited accounts of FY 2017-18 | 42.73   | -2.81 | 16.46 | 10.29  | 6.50 | 3.69 | 272.16 | 8.52 | 0.00  | -2.67 | 354.87     | 1528.87      | 1883.74 |
| 2           | GFA as per audited accounts of FY 2018-19 | 33.81   | 37.63 | 0.00  | 10.27  | 4.75 | 1.19 | 65.79  | 3.36 | 0.00  | 47.95 | 204.75     | 1684.22      | 1888.97 |
| 3           | GFA as per audited accounts of FY 2019-20 | 26.13   | 3.62  | 0.00  | 3.14   | 5.59 | 3.14 | 17.00  | 2.00 | 0.00  | 0.00  | 60.62      | 1088.57*     | 1149.19 |

\*GFA of around Rs. 500 Crore which was disallowed by the Commission during APR of FY 2020-21 in Tariff Order of FY 2021-22 now allowed.

Accordingly, the details of CWIP worked out are as under:

**Table 9: CWIP of 1st MYT Control Period as considered by the Commission**

| (Rs. Crore) |                                                                     |            |            |            |
|-------------|---------------------------------------------------------------------|------------|------------|------------|
| Sr. No.     | Particulars                                                         | FY 2017-18 | FY 2018-19 | FY 2019-20 |
| I           | II                                                                  | III        | IV         | V          |
| 1           | Opening balance of Capital work in progress                         | 2375.28    | 1957.05    | 1785.88    |
| 2           | Add: Capital expenditure during the year                            | 1465.51    | 1717.80    | 1435.72    |
| 3           | Less: Transfer to Gross Fixed Assets as per Annual Audited Accounts | 1883.74    | 1888.97    | 1149.19    |
| 4           | Closing Balance                                                     | 1957.05    | 1785.88    | 2072.41    |

## 2.3 Funding of Capital Expenditure

### Commission's Analysis:

The Commission allowed 100% financing through long term loans after deducting funds raised through grants and Consumer Contribution in Tariff Order for FY 2019-20, FY 2020-21 and FY 2021-22. The Commission has now considered the funds raised through grants and Consumer Contribution as per the audited accounts of 1<sup>st</sup> MYT Control Period and considered 100% financing through long term loans.

Further, the Commission has written back the Assistance from Central Govt. amounting to Rs. 135.88 Crore in FY 2017-18 and Rs. 53.96 Crore in FY 2018-19 i.e. a total of Rs. 189.84 Crore which were earlier considered as grants since they have not been converted into grant till so Rs. 341.17 Crore will be considered as grant as and when they are converted.

Thus, the details of funding of Capital Expenditure for Generation and Distribution Business for the 1st MYT Control Period are as under:

**Table 10: Funding of Capital Expenditure for 1st MYT Control Period for Generation and Distribution Business as approved by the Commission**

(Rs. Crore)

| FY 2017-18 |                                                                                                                                    |                  |                |                |                       |                |                |              |               |               |
|------------|------------------------------------------------------------------------------------------------------------------------------------|------------------|----------------|----------------|-----------------------|----------------|----------------|--------------|---------------|---------------|
| Sr. No.    | Particulars                                                                                                                        | Approved earlier |                |                | Actuals (allowed now) |                |                | Deviation    |               |               |
|            |                                                                                                                                    | Generation       | Distribution   | Total          | Generation            | Distribution   | Total          | Generation   | Distribution  | Total         |
| 1          | <b>Total Capital Expenditure</b>                                                                                                   | <b>69.22</b>     | <b>1417.96</b> | <b>1487.18</b> | <b>90.70</b>          | <b>1374.81</b> | <b>1465.51</b> | <b>21.48</b> | <b>-43.15</b> | <b>-21.67</b> |
| 2          | Less: Funding through Consumer contributions                                                                                       | 0.00             | 576.85         | 576.85         | 0.00                  | 576.85         | 576.85         | 0.00         | 0.00          | 0.00          |
| 3          | Less: Assistance from Central Govt. sponsored schemes (loan to be converted into grant)                                            | 0.00             | 135.88         | 135.88         | 0.00                  | 0.00           | 0.00           | 0.00         | -135.88       | -135.88       |
| 4          | <b>Net Capital Expenditure funded through loan</b>                                                                                 | <b>69.22</b>     | <b>705.23</b>  | <b>774.45</b>  | <b>90.70</b>          | <b>797.96</b>  | <b>888.66</b>  | <b>21.48</b> | <b>92.73</b>  | <b>114.21</b> |
| FY 2018-19 |                                                                                                                                    |                  |                |                |                       |                |                |              |               |               |
| Sr. No.    | Particulars                                                                                                                        | Approved earlier |                |                | Actuals (allowed now) |                |                | Deviation    |               |               |
|            |                                                                                                                                    | Generation       | Distribution   | Total          | Generation            | Distribution   | Total          | Generation   | Distribution  | Total         |
| 1          | <b>Total Capital Expenditure</b>                                                                                                   | <b>138.47</b>    | <b>1559.78</b> | <b>1698.25</b> | <b>138.48</b>         | <b>1579.32</b> | <b>1717.80</b> | <b>0.01</b>  | <b>19.54</b>  | <b>19.55</b>  |
| 2          | Less: Funding through Consumer contributions and Assistance from Central Govt. sponsored schemes (loan to be converted into grant) |                  | 469.61         | 469.61         | 0.00                  | 415.65         | 415.65         | 0.00         | -53.96        | -53.96        |
| 3          | <b>Net Capital Expenditure funded through loan</b>                                                                                 | <b>138.47</b>    | <b>1090.17</b> | <b>1228.64</b> | <b>138.48</b>         | <b>1163.67</b> | <b>1302.15</b> | <b>0.01</b>  | <b>73.50</b>  | <b>73.51</b>  |
| FY 2019-20 |                                                                                                                                    |                  |                |                |                       |                |                |              |               |               |
| Sr. No.    | Particulars                                                                                                                        | Approved earlier |                |                | Actuals (allowed now) |                |                | Deviation    |               |               |
|            |                                                                                                                                    | Generation       | Distribution   | Total          | Generation            | Distribution   | Total          | Generation   | Distribution  | Total         |
| 1          | <b>Total Capital Expenditure</b>                                                                                                   | <b>100.91</b>    | <b>749.66</b>  | <b>850.57</b>  | <b>141.35</b>         | <b>1294.37</b> | <b>1435.72</b> | <b>40.44</b> | <b>544.71</b> | <b>585.15</b> |
| 2          | Less: Funding through Consumer contributions and Assistance from Central Govt. sponsored schemes (loan to be converted into grant) |                  | 602.72         | 602.72         | 0.00                  | 602.72         | 602.72         | 0.00         | 0.00          | 0.00          |
| 3          | <b>Net Capital Expenditure funded through loan</b>                                                                                 | <b>100.91</b>    | <b>146.94</b>  | <b>247.85</b>  | <b>141.35</b>         | <b>691.65</b>  | <b>833.00</b>  | <b>40.44</b> | <b>544.71</b> | <b>585.15</b> |

## 2.4 Impact of True-up of Capital Expenditure

Based on the True-Up of Capital Expenditure and Capitalization as approved in Table 6 and Table 7 and its funding as approved in Table 10, the Commission has calculated the Impact from FY 2017-18, FY 2018-19 and FY 2019-20 on the ARR components. The details of the Impact are as under:

**Table 11: Impact of True-Up of Capital Expenditure from FY 2017-18 as approved by the Commission**

(Rs. Crore)

| Sr. No.                                       | Particulars                                            | Approved earlier |                 |                 | Actuals (allowed now) |                 |                 | Deviation   |              |             |
|-----------------------------------------------|--------------------------------------------------------|------------------|-----------------|-----------------|-----------------------|-----------------|-----------------|-------------|--------------|-------------|
|                                               |                                                        | Generation       | Distribution    | Total           | Generation            | Distribution    | Total           | Generation  | Distribution | Total       |
| I                                             | II                                                     | III              | IV              | V               | VI                    | VII             | VIII            | IX          | X            | XI          |
| 1.                                            | Fuel Cost                                              | 1650.51          |                 | 1650.51         | 1650.51               |                 | 1650.51         | 0.00        | 0.00         | 0.00        |
| 2.                                            | Power Purchase Cost                                    | 0.00             | 16933.38        | 16933.38        | 0.00                  | 16933.38        | 16933.38        | 0.00        | 0.00         | 0.00        |
| 3.                                            | Total Employee Cost                                    | 1032.11          | 3744.51         | 4776.62         | 1032.11               | 3744.51         | 4776.62         | 0.00        | 0.00         | 0.00        |
| 4.                                            | R&M and A&G Expenses                                   | 140.54           | 290.37          | 430.91          | 140.54                | 290.37          | 430.91          | 0.00        | 0.00         | 0.00        |
| 5.                                            | Depreciation                                           | 382.50           | 797.94          | 1180.44         | 382.50                | 797.94          | 1180.44         | 0.00        | 0.00         | 0.00        |
| 6.                                            | Interest & Finance Charges & Consumer security deposit | 49.44            | 923.56          | 973.00          | 50.63                 | 929.80          | 980.43          | 1.19        | 6.24         | 7.43        |
| 7.                                            | Return on Equity                                       | 449.12           | 493.50          | 942.62          | 449.12                | 493.50          | 942.62          | 0.00        | 0.00         | 0.00        |
| 8.                                            | Interest on Working Capital                            | 104.52           | 177.25          | 281.77          | 104.54                | 174.15          | 278.69          | 0.02        | -3.10        | -3.08       |
| 9.                                            | Maint. Charges payable to GoP for RSD                  | 12.00            |                 | 12.00           | 12.00                 |                 | 12.00           | 0.00        | 0.00         | 0.00        |
| 10.                                           | Intra-State Transmission Charges                       | 0.00             | 1174.99         | 1174.99         | 0.00                  | 1174.99         | 1174.99         | 0.00        | 0.00         | 0.00        |
| 11.                                           | Prior Period Expense (Income)                          | 0.00             | -230.78         | -230.78         | 0.00                  | -230.78         | -230.78         | 0.00        | 0.00         | 0.00        |
| 12.                                           | Royalty Paid by RSD to GoP                             | 0.00             |                 | 0.00            | 0.00                  |                 | 0.00            | 0.00        | 0.00         | 0.00        |
| 13.                                           | Other Debits                                           | 0.00             | 29.39           | 29.39           | 0.00                  | 29.39           | 29.39           | 0.00        | 0.00         | 0.00        |
| 14.                                           | Total Revenue Requirement                              | 3820.74          | 24334.11        | 28154.85        | 3821.95               | 24337.25        | 28159.20        | 1.21        | 3.14         | 4.35        |
| 15.                                           | Less: Non-Tariff Income                                |                  | 922.45          | 922.45          |                       | 922.45          | 922.45          | 0.00        | 0.00         | 0.00        |
| 16.                                           | Net Revenue Requirement                                | <b>3820.74</b>   | <b>23411.66</b> | <b>27232.40</b> | <b>3821.95</b>        | <b>23414.80</b> | <b>27236.75</b> | <b>1.21</b> | <b>3.14</b>  | <b>4.35</b> |
| Carrying Cost for 6 months of 2017-18 @9.36%  |                                                        |                  |                 |                 |                       |                 |                 | 0.06        | 0.15         | 0.20        |
| Carrying Cost for 1 year of 2018-19 @9.10%    |                                                        |                  |                 |                 |                       |                 |                 | 0.11        | 0.29         | 0.40        |
| Carrying Cost for 1 year of 2019-20 @9.43%    |                                                        |                  |                 |                 |                       |                 |                 | 0.11        | 0.30         | 0.41        |
| Carrying Cost for 1 year of 2020-21 @10.13%   |                                                        |                  |                 |                 |                       |                 |                 | 0.12        | 0.32         | 0.44        |
| Carrying Cost for 1 year of 2021-22 @10.13%   |                                                        |                  |                 |                 |                       |                 |                 | 0.12        | 0.32         | 0.44        |
| Carrying Cost for 6 months of 2022-23 @10.13% |                                                        |                  |                 |                 |                       |                 |                 | 0.06        | 0.16         | 0.22        |
| <b>Total cost</b>                             |                                                        |                  |                 |                 |                       |                 |                 | <b>0.58</b> | <b>1.52</b>  | <b>2.11</b> |
| <b>Total Impact including Carrying Cost</b>   |                                                        |                  |                 |                 |                       |                 |                 | <b>1.79</b> | <b>4.67</b>  | <b>6.46</b> |



**Table 12: Impact of True-Up of Capital Expenditure from FY 2018-19 as approved by the Commission**

| Sr. No.                                       | Particulars                                            | (Rs. Crore)      |                 |                 |                       |                 |                 |             |              |              |
|-----------------------------------------------|--------------------------------------------------------|------------------|-----------------|-----------------|-----------------------|-----------------|-----------------|-------------|--------------|--------------|
|                                               |                                                        | Approved earlier |                 |                 | Actuals (allowed now) |                 |                 | Deviation   |              |              |
|                                               |                                                        | Generation       | Distribution    | Total           | Generation            | Distribution    | Total           | Generation  | Distribution | Total        |
| I                                             | II                                                     | III              | IV              | V               | VI                    | VII             | VIII            | IX          | X            | XI           |
| 1.                                            | Fuel Cost                                              | 1272.66          |                 | 1272.66         | 1272.66               |                 | 1272.66         | 0.00        | 0.00         | 0.00         |
| 2.                                            | Power Purchase Cost                                    | 0.00             | 19906.10        | 19906.10        | 0.00                  | 19906.10        | 19906.10        | 0.00        | 0.00         | 0.00         |
| 3.                                            | Total Employee Cost                                    | 869.89           | 3796.61         | 4666.50         | 869.89                | 3796.61         | 4666.50         | 0.00        | 0.00         | 0.00         |
| 4.                                            | R&M and A&G Expenses                                   | 185.78           | 358.91          | 544.69          | 185.78                | 358.91          | 544.69          | 0.00        | 0.00         | 0.00         |
| 5.                                            | Depreciation                                           | 366.62           | 889.84          | 1256.46         | 366.62                | 889.84          | 1256.46         | 0.00        | 0.00         | 0.00         |
| 6.                                            | Interest & Finance Charges & Consumer security deposit | 41.39            | 901.68          | 943.07          | 41.60                 | 918.23          | 959.83          | 0.21        | 16.55        | 16.76        |
| 7.                                            | Return on Equity                                       | 372.26           | 570.36          | 942.62          | 372.26                | 570.36          | 942.62          | 0.00        | 0.00         | 0.00         |
| 8.                                            | Interest on Working Capital                            | 83.35            | 217.17          | 300.52          | 83.36                 | 217.43          | 300.78          | 0.00        | 0.25         | 0.26         |
| 9.                                            | Maint. Charges payable to GoP for RSD                  | 12.60            |                 | 12.60           | 12.60                 |                 | 12.60           | 0.00        | 0.00         | 0.00         |
| 10.                                           | Intra-State Transmission Charges                       | 0.00             | 1286.67         | 1286.67         | 0.00                  | 1286.67         | 1286.67         | 0.00        | 0.00         | 0.00         |
| 11.                                           | Prior Period Expense (Income)                          | 0.00             | 350.08          | 350.08          | 0.00                  | 350.08          | 350.08          | 0.00        | 0.00         | 0.00         |
| 12.                                           | Other Debits                                           | 0.00             | 118.31          | 118.31          | 0.00                  | 118.31          | 118.31          | 0.00        | 0.00         | 0.00         |
| 13.                                           | Total Revenue Requirement                              | 3204.55          | 28395.73        | 31600.28        | 3204.76               | 28412.54        | 31617.30        | 0.21        | 16.81        | 17.02        |
| 14.                                           | Less: Non-Tariff Income                                |                  | 980.25          | 980.25          |                       | 980.25          | 980.25          | 0.00        | 0.00         | 0.00         |
| 15.                                           | <b>Net Revenue Requirement</b>                         | <b>3204.55</b>   | <b>27415.48</b> | <b>30620.02</b> | <b>3204.76</b>        | <b>27432.29</b> | <b>30637.05</b> | <b>0.21</b> | <b>16.81</b> | <b>17.02</b> |
| Carrying Cost for 6 months of 2018-19 @9.10%  |                                                        |                  |                 |                 |                       |                 |                 | 0.01        | 0.76         | 0.77         |
| Carrying Cost for 1 year of 2019-20 @9.43%    |                                                        |                  |                 |                 |                       |                 |                 | 0.02        | 1.58         | 1.60         |
| Carrying Cost for 1 year of 2020-21 @10.13%   |                                                        |                  |                 |                 |                       |                 |                 | 0.02        | 1.70         | 1.72         |
| Carrying Cost for 1 year of 2021-22 @10.13%   |                                                        |                  |                 |                 |                       |                 |                 | 0.02        | 1.70         | 1.72         |
| Carrying Cost for 6 months of 2022-23 @10.13% |                                                        |                  |                 |                 |                       |                 |                 | 0.01        | 0.85         | 0.86         |
| <b>Total cost</b>                             |                                                        |                  |                 |                 |                       |                 |                 | <b>0.08</b> | <b>6.61</b>  | <b>6.69</b>  |
| <b>Total Impact including Carrying Cost</b>   |                                                        |                  |                 |                 |                       |                 |                 | <b>0.29</b> | <b>23.42</b> | <b>23.71</b> |

**Table 13: Impact of True-Up of Capital Expenditure from FY 2019-20 as approved by the Commission**

(Rs. Crore)

| Sr. No.                                       | Particulars                                            | Approved earlier |                 |                 | Actuals (allowed now) |                 |                 | Deviation    |              |               |
|-----------------------------------------------|--------------------------------------------------------|------------------|-----------------|-----------------|-----------------------|-----------------|-----------------|--------------|--------------|---------------|
|                                               |                                                        | Generation       | Distribution    | Total           | Generation            | Distribution    | Total           | Generation   | Distribution | Total         |
| I                                             | II                                                     | III              | IV              | V               | VI                    | VII             | VIII            | IX           | X            | XI            |
| 1.                                            | Fuel Cost                                              | 586.02           |                 | 586.02          | 586.02                |                 | 586.02          | 0.00         | 0.00         | 0.00          |
| 2.                                            | Power Purchase Cost                                    | 0.00             | 20149.39        | 20149.39        | 0.00                  | 20149.39        | 20149.39        | 0.00         | 0.00         | 0.00          |
| 3.                                            | Total Employee Cost                                    | 869.60           | 3869.42         | 4739.02         | 869.60                | 3869.42         | 4739.02         | 0.00         | 0.00         | 0.00          |
| 4.                                            | R&M and A&G Expenses                                   | 137.63           | 381.69          | 519.32          | 155.33                | 366.56          | 521.88          | 17.70        | -15.13       | 2.56          |
| 5.                                            | Depreciation                                           | 389.65           | 915.54          | 1305.19         | 387.12                | 920.92          | 1308.04         | -2.53        | 5.38         | 2.85          |
| 6.                                            | Interest & Finance Charges & Consumer security deposit | 48.55            | 825.14          | 873.69          | 50.73                 | 897.60          | 948.33          | 2.18         | 72.46        | 74.64         |
| 7.                                            | Return on Equity                                       | 372.26           | 570.36          | 942.62          | 372.26                | 570.36          | 942.62          | 0.00         | 0.00         | 0.00          |
| 8.                                            | Interest on Working Capital                            | 63.74            | 212.67          | 276.41          | 64.41                 | 213.33          | 277.74          | 0.67         | 0.66         | 1.34          |
| 9.                                            | Maint. Charges payable to GoP for RSD                  | 13.23            |                 | 13.23           | 13.23                 |                 | 13.23           | 0.00         | 0.00         | 0.00          |
| 10.                                           | Intra-State Transmission Charges                       | 0.00             | 1336.67         | 1336.67         | 0.00                  | 1336.67         | 1336.67         | 0.00         | 0.00         | 0.00          |
| 11.                                           | Prior Period Expense (Income)                          | 0.00             | 359.86          | 359.86          | 0.00                  | 359.86          | 359.86          | 0.00         | 0.00         | 0.00          |
| 12.                                           | Other Debits                                           | 0.00             | 144.00          | 144.00          | 0.00                  | 144.00          | 144.00          | 0.00         | 0.00         | 0.00          |
| 13.                                           | Total Revenue Requirement                              | 2480.68          | 28764.74        | 31245.42        | 2498.70               | 28828.11        | 31326.81        | 18.02        | 63.37        | 81.39         |
| 14.                                           | Less: Non-Tariff Income                                |                  | 820.98          | 820.98          |                       | 820.98          | 820.98          | 0.00         | 0.00         | 0.00          |
| 15.                                           | Net Revenue Requirement                                | <b>2480.68</b>   | <b>27943.76</b> | <b>30424.44</b> | <b>2498.70</b>        | <b>28007.13</b> | <b>30505.83</b> | <b>18.02</b> | <b>63.37</b> | <b>81.39</b>  |
| Carrying Cost for 6 months of 2019-20 @9.43%  |                                                        |                  |                 |                 |                       |                 |                 | 0.85         | 2.99         | 3.84          |
| Carrying Cost for 1 year of 2020-21 @10.13%   |                                                        |                  |                 |                 |                       |                 |                 | 1.83         | 6.42         | 8.24          |
| Carrying Cost for 1 year of 2021-22 @10.13%   |                                                        |                  |                 |                 |                       |                 |                 | 1.83         | 6.42         | 8.24          |
| Carrying Cost for 6 months of 2022-23 @10.13% |                                                        |                  |                 |                 |                       |                 |                 | 0.91         | 3.21         | 4.12          |
| <b>Total cost</b>                             |                                                        |                  |                 |                 |                       |                 |                 | <b>5.41</b>  | <b>19.03</b> | <b>24.45</b>  |
| <b>Total Impact including Carrying Cost</b>   |                                                        |                  |                 |                 |                       |                 |                 | <b>23.43</b> | <b>82.40</b> | <b>105.83</b> |

# Chapter 3

## True up for FY 2020-21

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### 3.1 Background

The Commission had approved the ARR of PSPCL for FY 2020-21 in the Tariff Order dated 01.06.2020 on the basis of expenses and income projected by the licensee for its Generation and Distribution businesses. Subsequently, in the Tariff Order for FY 2021-22, the Commission reviewed and re-determined the same on the basis of revised estimates submitted by PSPCL during APR of FY 2020-21. In the present petition, PSPCL has submitted the True up for FY 2020-21 stating that the same is based on the audited accounts for the year.

This Chapter contains the True up for FY 2020-21, based on a prudence check of the figures submitted by PSPCL in the Petition.

### 3.2 Energy Sales

#### 3.2.1 Metered Energy Sales

##### A. Metered Energy Sales within the State

###### **PSPCL's submission:**

PSPCL has submitted that breach of COVID-19 pandemic in India has had an impact on the overall demand for electricity and the pattern of electricity consumption within the category of consumers. A comparison of the Actual versus Anticipated Energy Requirement shows a strong reduction of the actual energy demand in the State of Punjab by 22% (as per energy requirement data of POSOCO) in the months of April 2020 and May 2020, compared to the previous year, while in the same period the peak demand decreased by 15%.

PSPCL has submitted that the sales mix of PSPCL during FY 2020-21 has changed due to complete lockdown in State of Punjab until 31<sup>st</sup> May, 2020. As per the consumption pattern by consumer category, industrial usage accounted for 38% of total electricity consumption in FY 2019-20, followed by household usage for 28% and agricultural usage for 14%. As the lockdown severely reduced industrial and commercial activity in the country, these segments saw a significant drop in electricity demand, while on the other hand, the domestic category saw a surge in demand as people stayed indoors. With the gradual easing of the lockdown by the Government, Punjab's electricity demand remained subdued in the first half of FY 2020-21.

The category wise energy sales was approved as 46,713 MWh for FY 2020-21 in Tariff Order dated 28.05.2021, whereas PSPCL achieved an energy sale of 49,272 MWh in FY 2020-21 as per the Audited Accounts.

The category-wise sales initially submitted by PSPCL for the True up is as follows:

**Table 13: Category-wise sales for FY 2020-21 (MWh)**

| Sr. No.                                                                                                                                         | Consumer Category                                          | Approved by the Commission in T.O. for FY 2020-21 | Revised in Review by the Commission in TO for FY 2021-22 | Submitted by PSPCL for True-up of FY 2020-21 |
|-------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|---------------------------------------------------|----------------------------------------------------------|----------------------------------------------|
| I                                                                                                                                               | II                                                         | III                                               | IV                                                       | V                                            |
| 1                                                                                                                                               | Domestic                                                   | 15423                                             | 14579                                                    | 15064.97                                     |
| 2                                                                                                                                               | Non-Residential                                            | 3026                                              | 3066                                                     | 3234.28                                      |
| 3                                                                                                                                               | Small Power Ind.                                           | 844                                               | 1035                                                     | 807.18                                       |
| 4                                                                                                                                               | Medium Supply Ind.                                         | 1903                                              | 2324                                                     | 2079.22                                      |
| 5                                                                                                                                               | Large Supply Ind.                                          | 13192                                             | 12430                                                    | 13286.43*                                    |
| 6                                                                                                                                               | Public Lighting                                            | 134                                               | 140                                                      | 209.81                                       |
| 7                                                                                                                                               | Bulk Supply                                                | 636                                               | 627                                                      | 620.07                                       |
| 8                                                                                                                                               | Railway Traction                                           | 55                                                | -                                                        | -                                            |
| 9                                                                                                                                               | AP High Tech/ High Density Farming                         | 1                                                 | 1                                                        | 0.11                                         |
| 10                                                                                                                                              | Compost/ Solid waste Management Plants/ Rural Water Supply |                                                   | 148                                                      | 254.87                                       |
| 11                                                                                                                                              | Start-up Power for generators/CPPs                         | 153                                               | 136                                                      | 135.80                                       |
| 12                                                                                                                                              | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib        | -                                                 | 7                                                        | 6.42                                         |
| 13                                                                                                                                              | Temporary Supply                                           | 199                                               | 138                                                      | 182.79                                       |
| 14                                                                                                                                              | <b>Total metered Sales (within the State)</b>              | <b>35566</b>                                      | <b>34631</b>                                             | <b>35881.95</b>                              |
| <i>*Includes 80 Nos. of Consumers of "Exclusive Night Category sale" with a total Contract demand of 226 MVA and consumption of 732.58 MWh.</i> |                                                            |                                                   |                                                          |                                              |

#### **Commission's Analysis:**

In reply to the preliminary deficiencies raised by the Commission, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 submitted the category wise/sub-category wise number of consumers, sanctioned load / demand, sales for FY 2020-21. However, PSPCL has submitted AP consumption of 0.36 MWh of 74 consumers whereas AP consumption of 13051 MWh has been submitted separately in the petition. In reply to the deficiencies raised by the Commission, PSPCL vide Memo No. 47/ARR/DY.CAO./263/Deficiencies/Vol-I dated 11.01.2022 submitted that the consumers specified in the earlier submission under AP Pump-set category are inadvertently considered as metered AP consumers. However, the same pertains to the category of Small Power consumers. Accordingly, PSPCL has submitted the slab wise category wise/sub-category

wise number of consumers, sanctioned load / demand, sales for FY 2020-21. PSPCL further clarified that the above consumption was not included in AP consumption of 13,051 MWh submitted in Petition for FY 2020-21, thus, PSPCL requested the Commission to consider the AP consumption as same at 13,051 MWh.

Further, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 and Memo No. 47/ARR/DY.CAO./263/Deficiencies/Vol-I dated 11.01.2022 submitted the details of category/sub-category wise units adjusted for theft/under assessment and the unbilled Revenue units as under:

**Table 14: Category-wise theft detected and unbilled/adjusted units submitted by PSPCL**

| (In MWh) |                 |                               |                  |                             |               |                         |               |
|----------|-----------------|-------------------------------|------------------|-----------------------------|---------------|-------------------------|---------------|
| Sr. No.  | Category        | Theft detected by Enforcement | Short Assessment | Theft detected by Operation | Total Units   | Unbilled/adjusted units | Gross Total   |
| I        | II              | III                           | IV               | V                           | VI            | VII                     | VIII          |
| 1.       | Domestic        | 48.31                         | 93.21            | 88.57                       | 230.09        | -83.48                  | 146.61        |
| 2.       | NRS             | 14.72                         | 41.51            | 11.39                       | 67.62         | 16.62                   | 84.24         |
| 3.       | Small Power     | 1.65                          | 8.36             | 1.97                        | 11.98         | 22.24                   | 34.22         |
| 4.       | Medium Supply   | 7.83                          | 17.1             | 1.48                        | 26.41         | 19.22                   | 45.63         |
| 5.       | Large Supply    | 5.31                          | 5.28             | 0.91                        | 11.5          | 152.55                  | 164.05        |
| 6.       | Public Lighting | 0.37                          | 6.53             | 0.00                        | 6.9           | -2.76                   | 4.14          |
| 7.       | Bulk Supply     | 3.87                          | 1.52             | 0.00                        | 5.39          | 0.62                    | 6.01          |
| 8.       | Railway         | 0.03                          | 0.02             | 0.75                        | 0.80          | 0                       | 0.8           |
| 9.       | Agriculture     | 0.98                          | 2.29             | 6.55                        | 9.82          | 0                       | 9.82          |
| 10.      | <b>Total</b>    | <b>83.07</b>                  | <b>175.82</b>    | <b>111.62</b>               | <b>370.51</b> | <b>125.01</b>           | <b>495.52</b> |

PSPCL has further submitted the methodology adopted for the calculation of category/Sub-category, units adjusted for theft, UUE, as follows:

On detection of any theft/wrong metering and any other case: To penalize the consumer as per instructions of the Corporation, the amount is charged by the sub divisional offices on the checking reports of the Enforcement wing and DS staff or short assessment detected by audit parties. Then the charged amount is divided by average unit rate of that particular connection's category to calculate approximate equivalent units of energy leakage by concerned Enforcement wing, sub divisional offices or by audit wing as the case may be.

**Accordingly, the Adjusted Units considered by the Commission are 495.51 MWh (370.51+125).**

Further, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 submitted that the railway traction category has actual consumption of 0.03 MWh during FY 2020-21 and requested the Commission to consider the same.

In reply to the Commission's query regarding NIL consumption of charitable hospital, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 submitted that the number of consumers for Charitable Hospitals set-up under PWD Act are actually NIL. Accordingly, the Commission has considered the same.

In response to the Commission's observations regarding variation in metered sales energy of 35881 MWh submitted in the petition vis-a-vis metered sales of 36183 MWh as per audited accounts, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 submitted that it has revised its Metered energy sales for FY 2020-21 from 36183 MWh to 35881 MWh.

In view of the above, the category-wise revised sales submitted by PSPCL and figures now worked out by the Commission for True-up of FY 2020-21 are tabulated below:

**Table 15: Category-wise sales approved by the Commission for True up**

| Sr. No. | Consumer Category                                           | Revised Sales submitted by PSPCL | Approved by the Commission for True up of FY 2020-21 |                              |              |                                     |                    |
|---------|-------------------------------------------------------------|----------------------------------|------------------------------------------------------|------------------------------|--------------|-------------------------------------|--------------------|
|         |                                                             |                                  | Units Billed in kWh (MkWh)                           | kVAh Billing                 |              |                                     | Total Sales (MkWh) |
|         |                                                             |                                  |                                                      | Units Billed in kVAh (MkVAh) | Power Factor | kWh for Units Billed in kVAh (MkWh) |                    |
| I       | II                                                          | III                              | IV                                                   | V                            | VI           | VII                                 | VIII               |
| 1       | Domestic                                                    | 15064.97                         | 14873.91                                             | 199.99                       | 0.96         | 191.06                              | 15064.97           |
| 2       | Non-Residential                                             | 3234.28                          | 2016.77                                              | 1260.70                      | 0.97         | 1217.51                             | 3234.28            |
| 3       | Small Power Ind.                                            | 807.54                           | 0.36                                                 | 991.22                       | 0.81         | 807.18                              | 807.54             |
| 4       | Medium Supply Ind.                                          | 2079.22                          | 0.79                                                 | 2149.96                      | 0.97         | 2078.43                             | 2079.22            |
| 5       | Large Supply Ind.                                           | 13286.43*                        | -                                                    | 13549.43                     | 0.98         | 13286.43                            | 13286.43           |
| 6       | Public Lighting                                             | 209.81                           | 209.81                                               | -                            | -            | -                                   | 209.81             |
| 7       | Bulk Supply                                                 | 620.07                           | -                                                    | 639.57                       | 0.97         | 620.07                              | 620.07             |
| 8       | Railway Traction                                            | 0.00                             | -                                                    | 0.03                         | 0.95         | 0.03                                | 0.03               |
| 9       | AP High Tech/ High Density Farming                          | 0.11                             | 0.11                                                 | 0.12                         | -            | -                                   | 0.11               |
| 10      | Compost/ Solid waste Management Plants / Rural Water Supply | 254.87                           | 0.00                                                 | 276.59                       | 0.92         | 254.86                              | 254.87             |
| 11      | Start-up Power for generators/CPPs                          | 135.80                           | -                                                    | 139.69                       | 0.97         | 135.80                              | 135.80             |
| 12      | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib         | 6.42                             | 6.42                                                 | -                            | -            | -                                   | 6.42               |
| 13      | Temporary Supply                                            | 182.79                           | 135.86                                               | 53.27                        | 0.88         | 46.93                               | 182.79             |
| 14      | Adjusted Units                                              | 495.51                           | -                                                    | -                            | -            | -                                   | 495.51             |
| 15      | <b>Total metered Sales (within the State)</b>               | <b>36377.83</b>                  | <b>17244.05</b>                                      | <b>19260.57</b>              | <b>0.97</b>  | <b>18638.30</b>                     | <b>36377.86</b>    |

The Commission approves 36377.86 MWh as metered energy sales within the state for Truing-up of FY 2020-21.

**B. Common Pool/Outside State Sales**

PSPCL has submitted the figures of Common Pool and Outside State Sales as 300.63 MWh and 69.86 MWh respectively for True-up of FY 2020-21. In response to the query raised by the Commission, PSPCL, vide reply dated 24.12.2021 also submitted the breakup of source-wise outside State sales as under:

**Table 16: Source-wise outside State sales submitted by PSPCL for FY 2020-21**

| Sr. No. | Source/Trader          | FY 2020-21 |
|---------|------------------------|------------|
|         |                        | MWh        |
| I       | II                     | III        |
| 1       | IEX Day Ahead Market   | 58.9051    |
| 2       | IEX Real Time Market   | 10.818     |
| 3       | PXIL Day Ahead Market  | 0.00       |
| 4       | PXIL Term Ahead Market | 0.00       |
| 5       | IEX Term Ahead Market  | 0.1409     |
| 6       | Total                  | 69.86      |

Accordingly, the Commission accepts 300.63 MWh and 69.86 MWh as Common Pool and Outside State sales respectively for Truing-up of FY 2020-21.

**3.2.2 AP Consumption**

In the Tariff Order for FY 2020-21, the Commission had approved the projected AP consumption of 12334 MWh for FY 2020-21. Further, in the Tariff Order for FY 2021-22, the Commission revised the estimate of AP consumption for FY 2020-21 to 11743 MWh.

**PSPCL's Submissions:**

PSPCL has submitted that it has computed the AP consumption as 13051 MWh based on the pumped energy methodology adopted by the Commission. The AP consumption submitted by PSPCL for true up of FY 2020-21 is given in the following table:

**Table 17: AP Consumption submitted by PSPCL for True up of FY 2020-21**

| Sr. No.  | Category                                            | MkWh         |
|----------|-----------------------------------------------------|--------------|
| I        | II                                                  | III          |
| 1        | Energy pumped in case of 3 Phase 3 Wire AP feeders  | 13587        |
| 2        | Energy pumped in case of 3 Phase 4 Wire AP feeders  | 3.63         |
| 3        | Energy pumped in case of Kandi area mixed feeders   | 662*         |
| 4        | Energy pumped in case of Kandi area pure AP feeders | 16           |
| <b>5</b> | <b>Total Energy pumped</b>                          | <b>14269</b> |
| 6        | Less: losses @9.55%                                 | 1365         |
| <b>7</b> | <b>Net AP consumption for FY 2020-21</b>            | <b>12904</b> |
| 8        | Metered AP consumption                              | 148          |
| <b>9</b> | <b>Total AP Consumption</b>                         | <b>13051</b> |

\*PSPCL has submitted the revised energy pumped in case of Kandi area mixed feeders from 2209 MkWh to 662 MkWh vide reply dated 24.12.2021

**Commission's Analysis:**

- i) The Commission also estimates the AP consumption based on the methodology of pumped energy. However, in order to minimize the error on account of human intervention, the Commission had issued a directive to PSPCL in the Tariff Orders to ensure supply of monthly AMR data of AP feeders regularly to the Commission failing which a cut will be imposed on AP consumption. In compliance thereof PSPCL has started submitting the monthly AMR data. But, since the data for FY 2020-21 is available for only about 2000 to 2400 AP feeders against a total of about 6400 AP feeders and does not contain true feeder wise sanctioned load of AP consumers, it cannot be used to accurately estimate the AP consumption of the State as a whole.

**Thus, the Commission decides to continue with the estimation of the AP consumption on the basis of pumped energy data supplied by PSPCL, with a prudence check. The Commission reiterates its directive to ensure supply of monthly AMR data of all AP feeders regularly to the Commission along with feeder wise sanctioned load of AP consumers.**

- ii) **Kandi Area Mixed Feeders:** For assessment of AP consumption fed from Kandi Area mixed feeders, the pumped energy for agriculture load is being considered as 30% of the total pumped energy as submitted by PSPCL.

- iii) **Kandi Area Pure AP Feeders:**

**PSPCL vide email dated 04.03.2022 submitted the Month wise and Feeder wise AP Consumption data for FY 2020-21. PSPCL submitted that energy of 15.89 MkWh has been pumped from 3 Kandi Area pure AP feeders viz. Dhada, Rajpur and Kalupur and 3 Kandi Area Pure AP feeder segregated in March 2021 viz Bichhohi, Manan and Mehlanwali. The Commission got the**



pumped energy of these feeders checked/validated. During validation, the Commission observed that some load of other categories was also being fed from Dhada, Rajpur and Kalupur feeders. The AP consumption of these feeders has been worked out as under:

**Table 18: AP Consumption for Kandi Area pure AP feeders for FY 2020-21**

| Sr. No.  | Feeder       | AP consumption submitted by PSPCL (MkWh) | Load on Feeder (kW) |         |             | AP energy calculated on pro-rata basis (MkWh) |
|----------|--------------|------------------------------------------|---------------------|---------|-------------|-----------------------------------------------|
|          |              |                                          | Total               | AP Load | Other Loads |                                               |
| I        | II           | III                                      | IV                  | V       | VI          | VII                                           |
| 1        | Dhada        | 5.26                                     | 1520                | 1500    | 20          | 5.19                                          |
| 2        | Rajpur       | 2.73                                     | 1286                | 1278    | 8           | 2.71                                          |
| 3        | Kalupur      | 2.76                                     | 1659                | 1659    | 0           | 2.76                                          |
| <b>4</b> | <b>Total</b> | <b>10.75</b>                             |                     |         |             | <b>10.66</b>                                  |
| 5        | Bichhohi     | 2.90                                     |                     |         |             | 2.90                                          |
| 6        | Manan        | 1.24                                     |                     |         |             | 1.24                                          |
| 7        | Mehlanwali   | 1.00                                     |                     |         |             | 1.00                                          |
| <b>8</b> | <b>Total</b> | <b>15.89</b>                             |                     |         |             | <b>15.81</b>                                  |

Accordingly, after prudence check the Commission considers the AP consumption from Kandi area pure AP feeders as 15.81 MkWh for truing up of FY 2020-21.

**iv) AP load fed from urban feeders:**

PSPCL in its Petition has submitted metered AP consumption of **148 MkWh** in respect of metered AP consumers. PSPCL was directed to provide consumer wise readings to justify its submission. In response to the Commission's query, PSPCL vide e-mail dated 25.01.2022 submitted the data of around 8429 consumers with 101103 monthly readings having cumulative consumption of 147.75 MkWh. The readings submitted by PSPCL were sorted as per meter status. On perusal of the same, it was observed as under:

- i. 36 no. of monthly readings with consumption of 0.04 MkWh were of Permanent disconnected (PDCO) AP consumers which are required to be excluded.
- ii. 70567 no. of meter readings with 82.53 MkWh consumption are from the meters for which meter status is ok.
- iii. For the balance 30500 no. of monthly readings, the meters are defective, lost, burnt, etc.

PSPCL was directed to submit the details of the urban feeders with meters that are defective/ lost/ burnt. PSPCL has failed to submit the same.

Accordingly, the Commission considers 70567 monthly readings having energy consumption of 82.53 M kWh. The monthly consumption works out to 1169.48 units per consumer per month. Applying this on the 101067 readings (101103-36) submitted by PSPCL, the AP consumption comes out to be **118.20 M kWh** against PSPCL's submission of 148 M kWh. Therefore, the Commission approves the AP consumption of **118.20 M kWh for AP load fed from urban feeders.**

Further, the AP validation committee had pointed out that 11kV Amlala feeder at Mubarkpur substation was shown as Kandi Mix Feeder, but no AP load was charged on it. The matter was taken up with PSPCL vide letter dated 09.02.2022. In reply, PSPCL has submitted vide email dated 17.02.2022 that the 11kV feeder was Kandi Mix feeder during FY 2020-21 and it was segregated to non-AP feeder on 21.09.2021 with shifting of AP load to 11kV Mehamadpur and 11kV Bohra feeders. Accordingly, the booking of AP consumption of 11kV Amlala feeder for FY 2020-21 is in order.

**The directive for 100% metering of all AP connections fed from urban feeders is pending full compliance since FY 2013-14. The Commission while reiterating its directions in Directive 5.5(c) of the Tariff Order for FY 2018-19 has stated that after due validation, consumption of only metered AP consumers fed from urban feeders shall be considered while computing AP consumption. The said directive was also reiterated in the Tariff Order for FY 2020-21 and FY 2021-22. The Commission reiterates its directive to meter all AP consumers being fed from urban feeders without any further delay.**

- v) **Assessment of T&D losses on AP feeders:** To arrive at a more accurate conclusion regarding distribution losses in the AP sector, the Commission, in the Tariff Orders for FY 2015-16 and FY 2016-17 issued directions to PSPCL to cover at least 5% of the AP feeders under 100% metering spread across the State and to calculate T&D losses of these feeders on regular basis. However, in the Tariff Order for FY 2017-18, the Commission on PSPCL's request reduced the size of sample feeders to 1% and issued directions as under:

*"The Commission directs PSPCL to ensure completion of the work of providing 100% meters on at least 1% AP feeders and computation of T&D losses by engaging an independent agency within time period allotted by the*

*Commission. In case of delay in completing the job in the allotted time, the Commission shall assess the losses of AP sector for calculating AP consumption as the basis of data/information available with the Commission.”*

The above directive was also reiterated in Tariff Orders for FY 2019-20, FY 2020-21 and FY 2021-22. During processing of ARR for FY 2020-21, PSPCL submitted that installation of 100% meters on 1% AP Feeders has been completed and engagement of 3rd party to compute T&D losses on 1% feeders is under progress and will be finalized shortly. The Commission in the Tariff Order for FY 2021-22 has directed PSPCL that till the engagement of an independent agency for the subject cited assignment, monthly readings of AP consumers on 1% sample feeders covered under 100% metering be recorded departmentally and the computation of losses based on the same be provided to the Commission along with the data of monthly pumped energy. However, PSPCL has not submitted the computed losses of the sample feeders.

**As PSPCL has failed to implement the directions of the Commission and demonstrate T&D losses on the AP feeders, the Commission shall continue with the assumption of losses of AP feeders (11 kV and below) in accordance with Regulation 30(2) of the PSERC (Terms & Conditions of Intra-state Open Access) Regulations, 2011, which specifies that the customers availing supply at 33/66 KV shall bear 15% of the distribution losses in addition to transmission losses. Accordingly, losses for AP Feeders (11kV and below) has been considered as 85% of the target distribution losses.**

Accordingly, the Commission determines the AP consumption for Truing-up of FY 2020-21 as under:

**Table 19: AP consumption determined by the Commission for FY 2020-21**

| Sr. No.   | Description                                   | MkWh                 |
|-----------|-----------------------------------------------|----------------------|
| I         | II                                            | III                  |
| 1.        | <b>Energy pumped during the year:</b>         |                      |
|           | i) 3-phase 3-wire AP feeders                  | 13,586.59            |
|           | ii) 3-phase 4-wire AP feeders                 | 3.63                 |
|           | iii) Kandi Area mixed feeders feeding AP load | <sup>a</sup> 662.62  |
|           | iv) Kandi Area pure AP feeders                | 15.81                |
|           | <b>Total</b>                                  | <b>14268.65</b>      |
| 2.        | Less losses @11.00% (85% of 12.94)            | <sup>b</sup> 1569.55 |
| 3.        | Net AP consumption (1-2)                      | 12699.09             |
| 4.        | Urban Feeders Metered AP consumption          | 118.20               |
| <b>5.</b> | <b>Total AP consumption for FY 2020-21</b>    | <b>12817.29</b>      |

<sup>a</sup> Calculated by assuming the AP load on Kandi area mixed feeders feeding mixed load, as 30%.

<sup>b</sup> The loss @11.00% (11 kV and below) for FY 2020-21 has been worked out as per the target of distribution loss of 12.94% fixed in the Tariff Order for FY 2020-21

**Thus, the Commission approves the AP Consumption of 12817.29 MWh for True-up of FY 2020-21.**

### 3.2.3 Total Energy Sales

The total energy sales submitted by PSPCL and approved by the Commission for True up for FY 2020-21 is as under:

**Table 20: Total Energy Sales for FY 2020-21**

| MWh       |                                 |                    |                                        |
|-----------|---------------------------------|--------------------|----------------------------------------|
| Sr. No.   | Particulars                     | Submitted by PSPCL | Approved by the Commission for True-up |
| I         | II                              | III                | IV                                     |
| 1.        | Metered sales within State      | 36377.46           | 36377.86                               |
| 2.        | AP consumption                  | 13051.00           | 12817.29                               |
| <b>3.</b> | <b>Total sales within State</b> | <b>49428.46</b>    | <b>49195.15</b>                        |
| 4.        | Common pool sale                | 300.63             | 300.63                                 |
| 5.        | Outside State sale              | 69.86              | 69.86                                  |
| <b>6.</b> | <b>Total</b>                    | <b>49798.96</b>    | <b>49565.64</b>                        |

### 3.3 Transmission and Distribution (T&D) Loss Target

The Commission in the Tariff Order of FY 2020-21 had approved distribution loss target of 11.24% after considering the loss reduction trajectory of 0.30% on the distribution loss target of 11.54% approved in APR of FY 2019-20. Also, considering the loss reduction trajectory of 0.02%, the transmission loss target was approved as 2.48%. The Commission in its Order dated 28.05.2021 for ARR of FY 2021-22 had considered the actual distribution loss of 12.94% observed in FY 2018-19 as the baseline figure for setting the distribution loss trajectory for FY 2020-21 and FY 2021-22. Accordingly, the Commission approved distribution loss target of 12.94% for FY 2020-21. However, the Commission decided to retain the transmission loss target as 2.48% for FY 2020-21.

PSPCL has submitted that earnest efforts are being made towards reduction of line losses and commercial losses to plug in the revenue loss. PSPCL has achieved Distribution loss level of 12.99% in FY 2020-21.

Various concerted activities have been undertaken in past years for improvement in billing and collection efficiency along with assuring the quality of supply. Intensive drives for replacement of electromechanical/defective meters have been conducted to improve the metering accuracy. Aggressive vigilance drives have also been conducted to curb the power thefts and pilferages of energy.

PSPCL is further working extensively on strengthening of sub transmission and distribution network under Deendayal Upadhyaya Gram Jyoti Yojna (DDUGJY) and Integrated Power Development Scheme (IPDS). Under these Schemes, the

overloaded feeders are being bifurcated and trifurcated along with creation of new 33 kV Substations. Works under these schemes are at their closure and the full impact of these works will reflect in the performance of PSPCL in ensuing years.

PSPCL has further submitted that significant measures have also been taken for improvement of collection efficiency in the past years. PSPCL has provided online payment facilities to the consumers for payment of electricity bills. PSPCL has, from time to time, introduced various schemes for recovery of accumulated defaulting amount. PSPCL has conducted Special campaign to disconnect the regular defaulters, Consumer indexing at DT level and sizing & sequencing of the consumer binders have been carried out to minimise the bill distribution time.

PSPCL is also working on Demand Side Management; various measures like distribution of LED Lights, energy efficient fans and installation of energy efficient agriculture pump-set have been undertaken. These measures will reduce the energy requirement at LT network and eventually reduce the loss level of PSPCL.

PSPCL have been endeavouring its best to reduce the technical and commercial loss levels in concurrence with the Commission. PSPCL has constituted Theft Detection Teams to reduce commercial leakages through theft/ pilferage. The outstanding arrears from connected/ disconnected consumers are also being recovered by launching arrear recovery drives/ schemes and by assigning arrear recovery targets to the sub-divisions. PSPCL endeavours to achieve the loss targets fixed by the Commission and working aggressively towards it. Initiatives undertaken by PSPCL are of long term in nature and its impact will be visible after completion of the works which are under progress.

Accordingly, for working out the energy requirement of PSPCL, the Commission decides to consider the actual transmission losses approved in the Tariff Order for FY 2022-23 of PSTCL (Petition No. 67 of 2021) while retaining the target distribution loss of 12.94% for Truing up of FY 2020-21. In response to the Commission's query regarding the quantum of NRSE generation available at 66/11 kV of its distribution system, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 submitted the revised energy balance wherein it reduced the NRSE generation of 1913 M kWh available at 66/11 kV of its distribution system for computing the transmission losses. PSPCL further submitted the reconciliation of energy inflow and outflow with that of PSTCL for FY 2020-21. PSPCL submitted that 741.06 M kWh of Energy was exported to PSTCL's system including 417.51 M kWh of energy generated from NRSE at 132 kV and above. Accordingly, the Commission

decides to consider 1589.17 MWh (2330.23 MWh – 741.06 MWh) as NRSE Generation available at 66 kV and below.

### 3.4 Energy Requirement of PSPCL

The energy requirement for FY 2020-21 approved in the Tariff Order for FY 2021-22, submitted by PSPCL vide revised submission dated 24.12.2021 and that determined by the Commission after prudence check is as under:

**Table 21: Energy Requirement of PSPCL determined by the Commission for FY 2020-21**

| MkWh    |                                                                                                                                     |      |                                                           |                                                |                                                     |                                          |
|---------|-------------------------------------------------------------------------------------------------------------------------------------|------|-----------------------------------------------------------|------------------------------------------------|-----------------------------------------------------|------------------------------------------|
| Sr. No. | Particulars                                                                                                                         |      | Approved in Review by the Commission in TO for FY 2021-22 | Submitted by PSPCL vide Reply dated 24.12.2021 | Determined by the Commission with target T&D losses | Actual losses computed by the Commission |
| I       | II                                                                                                                                  |      | III                                                       | IV                                             | V                                                   | VI                                       |
| 1       | Energy Sales within the State                                                                                                       |      | 46374                                                     | 49428                                          | 49195.15                                            | 49195.15                                 |
| 2       | Target Distribution Loss                                                                                                            | %    | 12.94%                                                    | 12.99%                                         | 12.94%                                              | 13.43%                                   |
|         |                                                                                                                                     | MkWh | 6893                                                      | 7381                                           | 7312.03                                             | 7629.74                                  |
| 3       | Input Energy Required                                                                                                               |      | 53267                                                     | 56808                                          | 56507.18                                            | 56824.89                                 |
| 4       | Gen. available at 66/11 KV                                                                                                          |      | 2077                                                      |                                                | 1589.17                                             | 1589.17*                                 |
| 5       | Input Energy Required (excluding Gen. available at 66 KV and below)                                                                 |      | 51190                                                     |                                                | 54918.01                                            | 55235.71                                 |
| 6       | Target Transmission Loss                                                                                                            | %    | 2.48%                                                     | -                                              | -                                                   | -                                        |
|         |                                                                                                                                     | MkWh | 1302.00                                                   | 1329.22                                        | 1329.22                                             | 1329.22                                  |
| 7       | Total Energy Input Required (excluding NRSE Gen available at 66 KV and below)                                                       |      | 52492.00                                                  |                                                | 56247.23                                            | 56564.94                                 |
| 8       | Total Energy Input Required                                                                                                         |      | 54569.00                                                  | 58137.29                                       | 57836.40                                            | 58154.11                                 |
| 9       | Sales to Common pool consumers                                                                                                      |      | 301.00                                                    | 300.63                                         | 300.63                                              | 300.63                                   |
| 10      | Outside State Sales                                                                                                                 |      | 38.00                                                     | 69.86                                          | 69.86                                               | 69.86                                    |
| 11      | Energy available from M/s Winsome and M/s Nahar industries (0.33 MkWh) and Net-metering (12.42 MkWh), the actual energy requirement |      |                                                           | 12.75                                          |                                                     |                                          |
| 12      | Total Requirement                                                                                                                   |      | 54908.00                                                  | 58520.53                                       | 58206.90                                            | 58524.61**                               |

\*After excluding 741 MWh from total NRSE generation of 2330.23 MWh

\*\*Trued-up Availability

Accordingly, the Commission approves the total energy requirement of PSPCL at State periphery as 58206.90 MWh for True-up of FY 2020-21. However, the actual energy requirement as asked by PSPCL is 58520.53 MWh, which is slightly different from the trued-up energy requirement of 58524.61 MWh on account of minor variation in true-up of hydel generation. Considering the trued-up figure of 49195.15 MWh as Sales within the State, the actual distribution losses of PSPCL works out to be 13.43% against the target losses of 12.94%. And, considering the absolute transmission loss of 1329.22 MWh, the T&D losses work out to 15.41%. The impact of the same is discussed in Para 3.7.

### 3.5 PSPCL's Net Thermal Generation

#### PSPCL's Submissions:

PSPCL has submitted the figures of actual net thermal generation during FY 2020-21 as 1738.50 MkWh for True-up as follows:

**Table 22: Net Generation submitted by PSPCL for FY 2020-21**

| Sr. No. | Station      | Installed Capacity (MW) | Generation Net (MkWh) | PLF    |
|---------|--------------|-------------------------|-----------------------|--------|
| I       | II           | III                     | IV                    | V      |
| 1.      | GGSTP        | 210X4=840               | 775.37                | 12.01% |
| 2.      | GHTP         | 250X2 + 210X2= 920      | 801.73                | 11.24% |
| 3.      | <b>Total</b> | <b>1760</b>             | <b>1577.10</b>        |        |

PSPCL has submitted that in order to cater to the additional demand supply during paddy season which goes upto approximately 13000 MW, these thermal generating units are to be kept as back up units in view of the universal supply obligation under Electricity Act 2003 for uninterrupted power supply to the consumers of Punjab. PSPCL has further submitted that as the power requirement from GHTP is only during the paddy season, periodic renovations are being carried out at regular intervals with nominal expenditure for better efficiency and to utilize the full span of the units.

#### Commission's Analysis:

The Commission notes that the net energy submitted by PSPCL has been validated by SLDC vide its Memo No. 1312/CEC-101 dated 22.03.2022. Accordingly, the same has been considered by the Commission for True-up of FY 2020-21.

### 3.6 PSPCL's Hydel Generation

The station-wise installed capacity, generation approved in Review by the Commission in the Tariff Order for FY 2020-21, submitted by PSPCL for true-up and approved by the Commission for True-up of FY 2020-21 is as under:

**Table 23: PSPCL's Hydel Generation for FY 2020-21**

**MkWh**

| Sr. No.   | Hydel Station                                         | Installed capacity in MW | Approved in Review by the Commission in TO for FY 2021-22 | Submitted by PSPCL for True-up | Approved by the Commission for True-up |
|-----------|-------------------------------------------------------|--------------------------|-----------------------------------------------------------|--------------------------------|----------------------------------------|
| I         | II                                                    | III                      | IV                                                        | V                              | VI                                     |
| <b>1.</b> | <b>Own Generation</b>                                 |                          |                                                           |                                |                                        |
|           | i) Shanan                                             | 110.00                   | 526                                                       | 503.07                         | 503.07                                 |
|           | ii) UBDC                                              | 45.00                    | 157                                                       | 141.83                         | 141.83                                 |
|           |                                                       | 46.35                    | 262                                                       | 252.25                         | 252.25                                 |
|           | iii) RSD                                              | 600.00                   | 1629                                                      | 1518.94                        | 1518.94                                |
|           | iv) MHP                                               | 207.00                   | 1252                                                      | 1282.31                        | 1282.31                                |
|           |                                                       | 18.00                    | 112                                                       | 125.21                         | 125.21                                 |
|           | v) ASHP                                               | 134.00                   | 685                                                       | 565.99                         | 565.99                                 |
|           | vi) Micro hydel                                       | 5.60                     | -                                                         | 5.00                           | 5.00                                   |
|           | vii) Others                                           | -                        | -                                                         | -                              | -                                      |
|           | <b>Total</b>                                          | <b>1165.95</b>           | <b>4623</b>                                               | <b>4394.60</b>                 | <b>4394.60</b>                         |
| <b>2.</b> | Less: Auxiliary consumption and Transformation losses |                          | 38                                                        | 39.91                          | 35.74                                  |
| <b>3.</b> | Less: HP share in RSD                                 |                          | 72                                                        | 69.87                          | 69.87                                  |
| <b>4.</b> | Less: Royalty to HP from Shanan                       |                          | 53                                                        | 52.88                          | 52.88                                  |
| <b>5.</b> | <b>Net own generation</b>                             |                          | <b>4460</b>                                               | <b>4231.94</b>                 | <b>4236.11</b>                         |
|           | <b>Share from BBMB (Net)</b>                          |                          |                                                           |                                |                                        |
|           | i) PSPCL's share                                      | 1161.00                  | 3900                                                      | 4002.59                        | 4002.59                                |
|           | ii) Common pool share                                 |                          | 301                                                       | 300.63                         | 300.63                                 |
|           | <b>Total Share from BBMB</b>                          |                          | <b>4201</b>                                               | <b>4303.21</b>                 | <b>4303.21</b>                         |
| <b>7.</b> | <b>Total hydro generation (Net) (Own + BBMB)</b>      |                          | <b>8661</b>                                               | <b>8535.15</b>                 | <b>8539.32</b>                         |

*\*Transformation losses @0.5%, auxiliary consumption @0.5% for RSD & UBDC stage-1 (having static exciters) and @0.2% for others.*

**Accordingly, the Commission approves PSPCL's net Hydel Generation as 8539.32 MkWh for True-up of FY 2020-21, as shown in the Table above.**

### **3.7 Energy Balance/ Power Purchase**

The Commission observes that PSPCL has shown Rs. 0.01 Crore as 'PSTCL Transmission charges' for M/s Winsome and M/s Nahar industries each. With regards to quantum of energy, PSPCL vide replies dated 11.01.2022 submitted that 2% Energy over injection by NRSE OA Generators in lieu of Transmission & wheeling Charges for FY 2020-21 is 0.33 MkWh (0.17 MkWh of Nahar Ind. Enterprise Ltd and 0.16 MkWh of Winsome Yarn Ltd.) which may be considered in availability of PSPCL. Accordingly, the Commission has considered 0.33 MkWh in the energy availability of PSPCL for True-up of FY 2020-21.



With regards to the Commission's query on quantum of energy received by PSPCL on account of net metering, PSPCL vide email dated 02.03.2021 submitted that for the RE units left unused by the consumers under net metering are 12.42 M kWh on 30.09.2021. PSPCL requested the Commission to consider the net-metering units to be incorporated while working out the net energy availability of PSPCL during FY 2020-21. Accordingly, the Commission has considered 12.42 M kWh of net-metering units in the energy availability of PSPCL for FY 2020-21.

In view of the above energy requirement, availability and purchase determined by the Commission in the Tariff Order of FY 2021-22, submitted by PSPCL for True-up and approved by the Commission for True-up of FY 2020-21, is as under:

**Table 24: Approved Energy Balance/Power Purchase for FY 2020-21**

|         |                                             |                                                                  |                                | Net M kWh                              |
|---------|---------------------------------------------|------------------------------------------------------------------|--------------------------------|----------------------------------------|
| Sr. No. | Particulars                                 | Approved by the Commission in APR of FY 2020-21 in TO FY 2021-22 | Submitted by PSPCL for True-up | Approved by the Commission for True-up |
| I       | II                                          | III                                                              | IV                             | V                                      |
| A.      | PSPCL's Energy requirement                  | 54908                                                            | 58520.53                       | 58206.90                               |
| B.      | Energy Available                            |                                                                  |                                |                                        |
|         | i) PSPCL's own Thermal                      | 3491                                                             | 1577.10                        | 1577.10                                |
|         | ii) PSPCL's own Hydro (Including from BBMB) | 8236                                                             | 8535.25                        | 8539.32                                |
|         | iii) UI OA                                  | -                                                                | (0.33)                         | (0.33)                                 |
|         | <b>Total</b>                                | <b>11727</b>                                                     | <b>10112.02</b>                | <b>10116.09</b>                        |
| C.      | Power Purchase (A-B)                        | 48187.00                                                         | 48408.51*                      | 48090.80                               |
| D.      | Excess power purchase made by PSPCL         | (48408.51 - 48090.80) = <b>317.71</b>                            |                                |                                        |
| E.      | Actual Energy Input                         | <b>58524.61</b>                                                  |                                |                                        |

*\*Including 12.75 M kWh on account of energy available from M/s Winsome and M/s Nahar industries (0.33 M kWh) and Net-metering (12.42 M kWh)*

The balance energy i.e. the (net) requirement for purchase of power from outside sources works out to 48090.80 M kWh for FY 2020-21 against the actual outside purchase of 48408.51 M kWh made by PSPCL. The difference of 317.71 M kWh is attributable to the under achievement of Distribution loss target (refer para 3.3 & 3.4). The issue of disallowance for the same is discussed in para 3.10.1.

### **3.8 Norms for Operation of Generating Station**

#### **3.8.1 Auxiliary Consumption, Station Heat Rate (SHR) and Secondary fuel consumption**

##### **PSPCL's submission:**

Regulation 35 of the PSERC MYT Regulations, 2019 specifies that the performance parameters for PSPCL's Generating stations shall be as per norms specified by CERC in its Tariff Regulations or as determined by the Commission.

As regards Plant Availability Factor, PSPCL has submitted that the actual Plant Availability for FY 2020-21 for all own thermal generating stations are more than the normative availability of 85%.

Actual plant load factor for GGSSTP and GHTP is low during FY 2020-21 because of partial load operation and backing down. PSPCL has submitted that frequent stop/start after reserve shutdown and running of units under backing down affects the performance of units. During backing down, power generation is reduced, but most of the auxiliaries remain running at nearly full load, which results in an increase in actual auxiliary consumption.

Furthermore, Regulation 6.3B of CERC (Indian Electricity Grid Code) (Fourth Amendment) Regulations, 2016 provides for the compensation for auxiliary consumption and Station Heat Rate on account of part load operations. In view of CERC Order dated May 5, 2017, Central Generating Stations have been granted relief on account of part load operation & multi start/stop of units and accordingly are claiming the compensation charges. In fact, PSPCL is also paying the compensation charges to Central Generating Stations on this account. However, the same relief has not been granted to its own thermal generating stations.

Section 61 of the Act stipulates that the Commission's terms and conditions of tariff shall be guided by the principles and methodologies specified by the Central Commission for determination of tariff applicable to generating companies. CERC has already specified methodologies for providing compensation for partial load operation.

PSERC MYT Regulations, 2014 do not specify performance parameters for Thermal Generating Stations. These parameters are linked to CERC Tariff Regulations. CERC in its Tariff Regulations, 2019 has incorporated the provisions related to compensation in performance parameters. Note to Regulation 49 (B) (c) of CERC Tariff Regulations, 2019 specifies that:

*“The normative gross station heat rate above is exclusive of the compensation specified in Regulation 6.3 B of the Grid Code. The generating company shall, based on unit loading factor, consider the compensation in addition to the normative gross heat rate above.”*

In view of this, PSPCL requested the Commission to invoke powers under Regulation 66 and 67 of PSERC MYT Regulations, 2019 for relaxation in Station Heat Rate, Auxiliary Consumption and Secondary Fuel Oil Consumption in view of partial load operation.

Accordingly, the plant-wise performance parameters i.e., Auxiliary Consumption, Station Heat Rate, Transit loss and Secondary Fuel Oil Consumption are considered as under:

**Table 25: Performance Parameters submitted by PSPCL for true up of FY 2020-21**

| Sr. No. | Station |             | Aux. Consumption. | SHR (kCal/ kWh) | Sp. Oil Consp. (ml/kWh) |
|---------|---------|-------------|-------------------|-----------------|-------------------------|
| I       | II      |             | III               | IV              | V                       |
| 1       | GGSSTP  |             | 12.24%            | 2733            | 2.77                    |
| 2       | GHTP    | Unit 1 to 3 | 11.48%            | 2599            | 2.43                    |
|         |         | Unit 4      |                   |                 |                         |

**Commission’s Analysis:**

- i) The Commission observes that, Proviso (vi) to the Regulation 6.3 B of IEGC provides that “the compensation so computed shall be borne by the entity that has caused the plant to be operated at schedule lower than corresponding to Normative Plant Availability Factor up to technical minimum based on the compensation mechanism finalized by the RPCs”. Since, PSPCL has tied up 100% of the generation of its plants for its own use and PSPCL also manages both the businesses of generation and distribution in the State, as such, PSPCL itself is responsible for the coordinated operation of its plants as well as scheduling of power from the same.
- ii) Also, PSPCL has entered into PPAs with other generators including IPPs being well aware of its own generation capacity and consumer demand. PSPCL also purchases power from outside sources (including short-term power) even at the cost of backing / shutting down its own units after evaluating all commercial aspects including deterioration of operating parameters of its own units.
- iii) Moreover, it is observed that PSPCL’s own thermal plants being low on MOD are used as peaking units only i.e. they are required to run continuously at almost full

load during the Paddy season only and remain shut down during the remaining part of the year.

- iv) The Commission also observes that Regulation 6.3B of CERC (Indian Electricity Grid Code) (Fourth Amendment) Regulations, 2016 is an amendment in the Indian Electricity Grid Code Regulations not in the Tariff Regulations and the same has not been adopted by the Commission in its State Grid Code. The Hon'ble APTEL in its Judgment dated 22.08.2016 in Appeal No. 34 of 2016 in the matter of Jaiprakash Power Ventures Limited versus Madhya Pradesh Electricity Regulatory Commission and others has held that there is no legal mandate as per IEGC for a Intra-State Generating Station to maintain the Technical Minimum as per the provisions of IEGC and in the absence of any such mandatory provisions the obligation to schedule power is traceable only to PPA entered between the parties. The relevant extract is as under:

***“...In the absence of any mandatory provision either under the IEGC notified by the Central Commission or the State Grid Code notified by the State Commission or under any other statutory Regulation, the obligation of Respondent No. 3 to schedule power is traceable only to the PPA executed between Respondent No. 3 and the Appellant. Clause 6.3B (4) of the IEGC also affirms the above in respect of the generating stations other than the Central Sector Generating Stations and Inter State Generating Stations***

*The provisions of the PPA do not contain any mandate on Respondent No. 3 to schedule a specific quantum of electricity, though it provides for payment of fixed charges for any unscheduled available capacity within the contracted capacity. On the other hand, Clause 7.1.1 of the PPA specifically provides that the Appellant shall be responsible to operate and maintain the generating station in accordance with the legal requirements and in particular, the Grid Code.*

*As per IEGC 2016, in order to claim compensation because of lower schedule, provision under Clause 6.3 B (4) provides that*

*“In case of a generating station whose tariff is neither determined nor adopted by the Commission, the concerned generating company shall have to factor the above provisions in the PPAs entered into by it for sale of power in order to claim compensations for operating at the technical minimum schedule”*

***In view of above in the absence of any statutory requirement or PPA conditions mandating the Respondent No. 3 to schedule minimum quantum of power from the generating unit of the Appellant, the Respondent No. 3 cannot be compelled to schedule at near constant load or the quantum of power to reach the Technical Minimum of 140 MW for the generating unit of the Appellant to operate. The Appellant must have made necessary arrangements for sale of balance power (other than the contracted capacity of 70 % with the Respondent No 3) so as to avoid any such situations where the unit has to operate below technical minimum causing difficulties in the operation of the Unit and causing financial distress to the Appellant.***

*We do not find any error on the related issues raised by the Appellant in the Impugned Order issued by the State Commission.*

***Hence all the issues as above are decided against the Appellant...”***

- v) With regards to PSPCL's request to invoke powers under Regulation 66 and 67 of the PSERC MYT Regulations, 2019 for relaxation of norms, the Commission notes that the Hon'ble APTEL vide its Judgment dated 18.09.2015 in Appeal No. 196 of 2014 and 326 of 2013 in the matter of Haryana Power Generation Corporation Ltd. versus Haryana Electricity Regulatory Commission and others has observed as under:

*“..... Further if the relaxation of the norms is not in public interest the same is bound to be rejected. Further, if the said contention of the appellant is accepted it will result in further increase in tariff which will cause additional burden on the respondents and ultimately the end consumers of the electricity. ...In the case in hand the State Commission has rightly and legally refused to exercise the power to relax in favour of the appellant on this aspect while passing the impugned order....*

***No doubt discretionary power is vested with the State Commission but the discretion should be exercised judicially and judiciously that needs recording of special reasons in writing for the exercise of such power to relax.”***

- vi) The Commission refers to PSERC Tariff Regulations, 2019 specifies as under:

***“35. NORMS FOR PERFORMANCE PARAMETERS***

*The norms for performance parameters for a Generating Company i.e. availability, load factor, station heat rate, specific oil consumption, auxiliary*

*consumption etc. Shall be as per the CERC norms or as determined by the Commission...”*

Thus, the Commission is considering the normative parameters for Auxiliary Consumption, Station Heat Rate (SHR) and Secondary fuel consumption as per norms specified by CERC in its Tariff Regulations, 2019 as follows:

**Table 26: Performance and Cost Parameters considered by the Commission for FY 2020-21**

| Sr. No. | Station |            | Aux. Consumption | SHR (k Cal/ kWh) | Specific Oil Consumption (ml/kWh) |
|---------|---------|------------|------------------|------------------|-----------------------------------|
| I       | II      |            | III              | IV               | V                                 |
| 1       | GGSSTP  |            | 8.5%             | 2430             | 0.5                               |
| 2       | GHTP    | Unit 1 to3 | 8.5%             | 2430             |                                   |
|         |         | Unit 4     |                  | 2387             |                                   |

### **3.8.2 Transit Loss of Coal**

#### **PSPCL’s Submission:**

PSPCL submitted that actual transit loss is negative for all Thermal generating stations for FY 2020-21. PSPCL submits that the same is not within its control being attributable to various reasons such as calibration of measuring instruments, seasonal variation, pilferages during transportation of coal, change in weather conditions during transportation, carpet coal in wagon during unloading at site location, etc. In view of the above, PSPCL requested the Commission to approve the actual transit loss for the purpose of True-up for FY 2020-21.

#### **Commission’s Analysis:**

The PSERC MYT Regulation 2019 provides for transit loss to be considered on normative basis as specified in the CERC Tariff Regulation. Accordingly, the Commission decides to consider the normative transit loss of 0.8% for FY 2020-21.

### **3.9 Fuel Cost**

#### **PSPCL’s submission:**

The Fuel Cost for FY 2020-21 approved by the Commission in the Tariff Order of FY 2021-22 and submitted by PSPCL for True-up is as under:

**Table 27: Fuel Cost submitted by PSPCL for FY 2020-21**

| Sr. No. | Particulars |         | Approved by the Commission in T.O. FY 2021-22 |         |         | Submitted by PSPCL for True-up |        |         |
|---------|-------------|---------|-----------------------------------------------|---------|---------|--------------------------------|--------|---------|
|         |             |         | GGSSSTP                                       | GHTP    | Total   | GGSSSTP                        | GHTP   | Total   |
| I       | II          |         | III                                           | IV      | V       | VI                             | VII    | VIII    |
| 1       | Fuel Cost   | Rs. Cr. | 783.58                                        | 713.07  | 1496.65 | 327.52                         | 340.03 | 667.55  |
| 2       | Gross Gen.  | MkWh    | 2483.78                                       | 2178.36 | 4662.14 | 883.51                         | 905.75 | 1789.26 |
| 3       | Net Gen.    | MkWh    | 2272.66                                       | 1993.19 | 4265.85 | 775.37                         | 801.73 | 1577.10 |
| 4       | ECR Gross   | Rs./kWh | 3.160                                         | 3.270   | 3.210   | 3.707                          | 3.754  | 3.731   |
| 5       | ECR Net     | Rs./kWh | 3.450                                         | 3.580   | 3.508   | 4.224                          | 4.241  | 4.233   |

**Commission's Analysis:**

Fuel cost being a major item of expense, the Commission thought it prudent to get the same validated. During validation, it was observed that, PSPCL has included the following O&M cost in the Fuel costs of GHTP:

**A. GHTP**

- Coal handling contract cost of Rs. 7.70 Crore

The Commission observes that the above cost do not form part of fuel cost and need to be booked under fixed costs. The validated weighted average calorific value and price of oil & coal, and transit loss of coal is as under:

**Table 28: Normative/ validated Operational and Cost Parameters for FY 2020-21**

| Sr. No. | Parameters            |           | GGSTP    | GHTP     |
|---------|-----------------------|-----------|----------|----------|
| I       | II                    |           | III      | IV       |
| 1       | GCV of coal*          | kCal/kg   | 4109.00  | 3864.15  |
| 2       | CV of Oil             | kCal/lt   | 9570.00  | 9845.46  |
| 3       | Price of Oil          | Rs./ KL   | 41578.98 | 36807.35 |
| 4       | Price of coal         | Rs./MT    | 5218.41  | 5261.00  |
| 5       | Auxiliary Consumption | %         | 8.50%    | 8.50%    |
| 6       | Transit Loss          | %         | 0.80%    | 0.80%    |
| 7       | Oil Consumption       | ml/kWh    | 0.50     | 0.50     |
| 8       | Station Heat Rate     | kCal/ kWh | 2430     | **2430   |
|         |                       |           |          | ***2387  |

*\*Weighted Average Gross calorific value of coal as received less 85 Kcal/Kg on account of variation during storage at generating station as per Regulation 40 and 43 (2)(a) of the CERC Tariff Regulations, 2019*

*\*\*GHTP - Unit I II & III*

*\*\*\*GHTP - Unit IV*

On the above basis, fuel cost for FY 2020-21 worked out by the Commission is given in the following tables:

**Table 29: Approved Fuel Cost for FY 2020-21**

| Sr. No. | Item                                                            | Derivation                | Unit           | GGSSTP        | GHTP                              |                |               |
|---------|-----------------------------------------------------------------|---------------------------|----------------|---------------|-----------------------------------|----------------|---------------|
|         |                                                                 |                           |                |               | GHTP (Unit I, Unit II & Unit III) | GHTP (Unit IV) | Total         |
| I       | II                                                              | III                       | IV             | V             | VI                                | VII            | VIII          |
| 1.      | Net Generation                                                  | C                         | MkWh           | 775.37        | 548.03                            | 253.70         | 801.73        |
| 2.      | Auxiliary Consumption                                           | B                         |                | 8.50%         |                                   |                |               |
| 3.      | Gross Generation                                                | A                         | MkWh           | 847.40        | 598.94                            | 277.27         | 876.21        |
| 4.      | Heat Rate                                                       | D                         | kcal/kWh       | 2430.00       | 2430.00                           | 2387.00        |               |
| 5.      | Specific oil consumption                                        | E                         | ml/kwh         | 0.50          | 0.50                              | 0.50           | 0.50          |
| 6.      | Calorific value of oil                                          | F                         | kcal/litre     | 9570.00*      | 9845.46*                          | 9845.46        | 9845.46       |
| 7.      | Calorific value of coal                                         | G                         | kcal/kg        | 4109.00*      | 3864.15*                          | 3864.15        | 3864.15       |
| 8.      | Overall heat                                                    | H= (A x D)                | Gcal           | 2059182.00    | 1455424.20                        | 661843.49      |               |
| 9.      | Heat from oil                                                   | I = (A x E x F) / 1000    | Gcal           | 4054.81       | 2948.42                           | 1364.93        |               |
| 10.     | Heat from coal                                                  | J = (H-I)                 | Gcal           | 2055127.19    | 1452475.78                        | 660478.56      |               |
| 11.     | Oil consumption                                                 | K= (I x 1000)/F           | KL             | 423.70        | 299.47                            | 138.64         |               |
| 12.     | Transit loss of coal                                            | L                         | (%)            | 0.80%         | 0.80%                             | 0.80%          |               |
| 13.     | Total coal consumption excluding transit loss                   | M= (J*1000) /G            | MT             | 500152.64     | 375884.71                         | 170924.57      |               |
| 14.     | Quantity of Imported/ captive coal priced on FOR basis          | N                         | MT             | 0.00          | 0.00                              | 0.00           |               |
| 15.     | Quantity of coal not priced on FOR basis                        | O=M-N                     | MT             | 500152.64     | 375884.71                         | 170924.57      |               |
| 16.     | Quantity of coal not priced on FOR basis including transit loss | P=O/(1-L/100)             | MT             | 504186.13     | 378916.04                         | 172302.99      |               |
| 17.     | Total quantity of coal required                                 | Q=N+P                     | MT             | 504186.13     | 378916.04                         | 172302.99      |               |
| 18.     | Price of oil                                                    | R                         | Rs./KL         | 41578.98*     | 36807.35*                         | 36807.35       | 36807.35      |
| 19.     | Price of coal                                                   | S                         | Rs./MT         | 5218.41*      | 5261.00*                          | 5261.00        | 5261.00       |
| 20.     | Total Cost of oil                                               | T=R x K / 10 <sup>7</sup> | Rs. Cr.        | 1.76          | 1.10                              | 0.51           | 1.61          |
| 21.     | Total Cost of coal                                              | U=Q x S/10 <sup>7</sup>   | Rs. Cr.        | 263.11        | 199.35                            | 90.65          | 290.00        |
| 22.     | <b>Total Fuel cost</b>                                          | <b>V=T+U</b>              | <b>Rs.Cr.</b>  | <b>264.87</b> | <b>200.45</b>                     | <b>91.16</b>   | <b>291.61</b> |
| 23.     | Per unit Cost (gross)                                           | W=V*10/A                  | Rs./kWh        | 3.13          | 3.35                              | 3.29           | 3.33          |
| 24.     | <b>Per unit Cost (Net)</b>                                      | <b>X=V*10/C</b>           | <b>Rs./kWh</b> | <b>3.42</b>   | <b>3.66</b>                       | <b>3.59</b>    | <b>3.64</b>   |

\*As per Fuel Cost Validation report submitted by the Committee.

**The Commission, thus, approves Rs. 556.48 Crore as the fuel cost for 1577.10 MkWh net generation from PSPCL's thermal units for true-up of FY 2020-21.**



### 3.10 Power Purchase Cost

The Power Purchase Cost for the FY 2020-21 approved in the Tariff Order of FY 2020-21, revised in Review by the Commission in the Tariff Order for FY 2021-22 and submitted by PSPCL for True-up is as under:

**Table 30: Power Purchase Cost submitted by PSPCL for FY 2020-21**

| Sr. No. | Particulars          |           | Approved in the T.O of FY 2020-21 | Revised in Review by the Commission in T.O. FY 2021-22 | Submitted by PSPCL for True- up |
|---------|----------------------|-----------|-----------------------------------|--------------------------------------------------------|---------------------------------|
| I       | II                   |           | III                               | IV                                                     | V                               |
| 1.      | Power Purchase Cost  | (Rs. Cr.) | 20708.95                          | 19766.00                                               | 23546.44*                       |
| 2.      | Gross Power Purchase | (MkWh)    | 43505.00                          | 42764.00                                               | 48395.76                        |
| 3.      | Net Power Purchase   | (MkWh)    | 42826.00                          | 41981.00                                               | 49288.45                        |
| 4.      | Per Unit Cost Gross  | (Rs./kWh) | 4.76                              | 4.62                                                   | 4.87                            |
| 5.      | Per Unit Cost Net    | (Rs./kWh) | 4.84                              | 4.71                                                   | 4.78                            |

\* including previous year payments

#### **PSPCL's Submissions:**

PSPCL has submitted as under:

- The demand of power has been met by procurement of power from long term, short term and other alternative sources apart from the state's Own Generation. All efforts have been made to optimise the power purchase cost in FY 2020-21. Merit Order Dispatch is being strictly complied with to meet the power purchase requirement. Power procurement is made from the generating stations under long term agreements approved by the Commission.
- Surplus power which remained unutilised due to reduction of energy demand during the off-peak months (i.e. October to March) is banked further with neighbouring states or other power deficit states and availed during the peak season to avoid a power deficit scenario in paddy season. Surplus power after banking is traded off in the power exchange at average variable cost before surrendering the energy from generating stations.
- An amount of Rs. 974.13 Crore and Rs. 525.36 Crore has been paid during FY 2020-21, as a one-time payment to IPPs i.e. NPL and TSPL respectively on account of change in fuel cost in compliance to Orders of the Hon'ble Supreme Court.
- An amount of Rs. 103.68 Crore on account of change in law has been paid by PSPCL during FY 2020-21.
- Average power purchase cost excluding intra-state transmission charges and prior period expenses and one-time payment on account of change in fuel cost

works out to Rs. 4.24 per unit as per the audited accounts against the average power purchase cost of Rs. 4.71 per unit approved by the Hon'ble Commission for FY 2020-21.

vi) PSPCL has further submitted that it has availed rebate of Rs. 162.65 Crore for timely payment of bills of power purchase and Generation based incentive of Rs. 8.19 Crore for Solar Power. These rebates and incentives have been considered separately under Non-tariff Income as per provisions of PSERC MYT Regulations, 2019, as amended from time to time.

vii) It has also purchased power from RE sources to meet the RPO obligation during the year. For computing net shortfall of RE power, PSPCL has adjusted excess purchase of solar power against non-solar purchase shortage.

The abstract of Power Purchase cost for FY 2020-21 is as follows:

**Table 31: Abstract of Power Purchase cost for FY 2020-21 submitted by PSPCL**

| Sr. No. | Source                                         | PSPCL's Contracted Capacity | Energy Sent out (Scheduled) | External Losses (%) | Energy Received by the Licensee | Variable Cost (VC) | Fixed Cost (FC) | Other Charges | Total Cost | Per Unit Cost (Net) |
|---------|------------------------------------------------|-----------------------------|-----------------------------|---------------------|---------------------------------|--------------------|-----------------|---------------|------------|---------------------|
|         |                                                | MW                          | MkWh                        | Inter-state         | MkWh                            | Rs. Crore          | Rs. Crore       | Rs. Crore     | Rs. Crore  | Rs./kWh             |
| I       | II                                             | III                         | IV                          | V                   | VI                              | VII                | VIII            | IX            | X          | XI = X/VI           |
| 1       | NTPC (Thermal)                                 | 1040                        | 5266.48                     | 3.00%               | 5108.45                         | 953.47             | 593.21          | 27.05         | 1573.73    | 3.08                |
| 2       | NTPC (Hydro)                                   | 62                          | 244.67                      | 3.00%               | 237.32                          | 58.69              | 69.12           | 0.03          | 127.83     | 5.39                |
| 3       | NHPC                                           | 584                         | 2441.67                     | 3.00%               | 2368.41                         | 260.92             | 292.57          | 173.69        | 727.18     | 3.07                |
| 4       | NPCIL                                          | 197                         | 1398.12                     | 3.00%               | 1356.16                         | 468.18             | -               | 0.28          | 468.47     | 3.45                |
| 5       | SJVNL                                          | 175                         | 816.93                      | 3.00%               | 792.42                          | 103.28             | 111.36          | 2.35          | 217.00     | 2.74                |
| 6       | THDC                                           | 102                         | 309.23                      | 3.00%               | 299.95                          | 63.27              | 61.30           | (0.04)        | 124.53     | 4.15                |
| 7       | DVC                                            | 700                         | 3854.13                     | 3.00%               | 3738.48                         | 1025.28            | 851.69          | 0.50          | 1877.47    | 5.02                |
| 8       | Other Sources                                  | 137                         | 272.59                      | 3.00%               | 264.41                          | 71.11              | 130.99          | 0.07          | 202.17     | 7.65                |
| 9       | UMPPs                                          | 1033                        | 7671.53                     | 3.00%               | 7441.34                         | 1053.30            | 366.56          | 128.92        | 1548.79    | 2.08                |
| 10      | TRADERS (Long Term Power)                      | 316                         | 1274.26                     | 3.00%               | 1236.02                         | 226.31             | 228.85          | 57.02         | 512.19     | 4.14                |
| 11      | IPPs within Punjab                             | 3652                        | 15199.77                    | -                   | 15199.77                        | 5024.82            | 2631.78         | 3.93          | 7660.53    | 5.04                |
| 12      | PGCIL                                          | -                           | -                           | -                   | -                               | -                  | 1421.76         | 0.15          | 1421.92    | -                   |
| 13      | UPPTCL Transmission Charges                    | -                           | -                           | -                   | -                               | -                  | 2.18            | -             | 2.18       | -                   |
| 14      | NVVN Bundled Coal power                        | -                           | 217.93                      | 3.00%               | 211.39                          | 68.40              | -               | 0.01          | 68.41      | 3.24                |
| 15      | NVVN Bundled Solar Power                       | -                           | 51.28                       | -                   | 51.28                           | 55.03              | -               | -             | 55.03      | 10.73               |
| 16      | NVVN Bundled Power Transmission & SLDC Charges | -                           | -                           | -                   | -                               | -                  | -               | 7.17          | 7.17       | -                   |
| 17      | SECI-Solar and Wind Power                      | -                           | 775.20                      | -                   | 775.20                          | 209.72             | -               | 3.04          | 212.75     | 2.74                |
| 18      | NRSE Purchase within Punjab                    | -                           | 2330.23                     | -                   | 2330.23                         | 1571.06            | -               | -             | 1571.06    | 6.74                |
| 19      | Short Term (PTC)                               | -                           | 2141.02                     | -                   | 2141.02                         | 548.17             | -               | -             | 548.17     | 2.56                |

| Sr. No. | Source                      | PSPCL's Contracted Capacity | Energy Sent out (Scheduled) | External Losses (%) | Energy Received by the Licensee | Variable Cost (VC) | Fixed Cost (FC) | Other Charges  | Total Cost      | Per Unit Cost (Net) |
|---------|-----------------------------|-----------------------------|-----------------------------|---------------------|---------------------------------|--------------------|-----------------|----------------|-----------------|---------------------|
|         |                             | MW                          | MkWh                        | Inter-state         | MkWh                            | Rs. Crore          | Rs. Crore       | Rs. Crore      | Rs. Crore       | Rs./kWh             |
| I       | II                          | III                         | IV                          | V                   | VI                              | VII                | VIII            | IX             | X               | XI = X/VI           |
| 20      | Short Term (Exchange)       |                             | 4912.59                     | 2.32%               | 4798.81                         | 1379.32            | -               | -              | 1379.32         | 2.87                |
| 21      | Short Term (NVVNL)          |                             | 188.64                      | 2.64%               | 183.66                          | 82.10              | -               | -              | 82.10           | 4.47                |
| 22      | Banking                     |                             | 219.55                      |                     | 158.77                          | 150.47             | -               | -              | 150.47          | 9.48                |
| 23      | Open Access Charges         |                             | -                           | -                   | -                               | -                  | -               | 43.56          | 43.56           | -                   |
| 24      | UI/Other Charges            |                             | (297.37)                    | -                   | (297.37)                        | 12.68              | -               | 1335.21        | 1347.90         | (45.33)             |
| 25      | Purchase of RECs            |                             | -                           | -                   | -                               | -                  | -               | -              | -               | -                   |
| 26      | NRPC                        |                             | -                           | -                   | -                               | -                  | -               | 0.06           | 0.06            | -                   |
| 27      | LPS                         |                             | -                           | -                   | -                               | -                  | -               | 12.78          | 12.78           | -                   |
| 28      | Previous year Payments      |                             | -                           | -                   | -                               | -                  | -               | -              | 1604.03         | -                   |
| 29      | <b>Total Power purchase</b> |                             | <b>49288.45</b>             | <b>1.81%</b>        | <b>48395.76</b>                 | <b>13385.59</b>    | <b>6761.37</b>  | <b>1795.80</b> | <b>23546.79</b> | <b>4.87</b>         |

*\*The Commission has considered the availability of power submitted by PSPCL for the purpose of Energy balance and power purchase for FY 2020-21 only. The same should not be construed as the Commission's approval for procurement of power on long-term basis.*

### Commission's Analysis:

The Commission has analysed the various parameters of Power purchase cost as below:

#### i) UI/ Additional UI charges:

In response to the Commission's query PSPCL vide its Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 has submitted that it has paid Rs. 16.53 Crore as additional UI charges during FY 2020-21. In this regard, the Commission would like to emphasize that during day to day operations, a utility may take some time to react to a system exigency and there may be marginal over/under draws by it. Accordingly, the Commission allows the UI charges paid by the utility. However, in reference to the additional UI charges:

- The Commission is of the firm view that PSPCL needs to control its drawl, when frequency is lower. If no control is exercised by PSPCL, the purpose of the regulations to enforce discipline in the grid will be lost. The additional expenses incurred by the Utility for non-performance regarding the timely action required to stabilize the grid cannot be passed on the consumers
- The Hon'ble APTEL in its Judgment dated 10.02.2015 in Appeal/ No. 171 of 2012 in the matter of Tata Power Delhi Distribution Ltd. Versus Delhi Electricity Regulatory Commission has also observed as under:

***"We do not want to give any relaxation in decision of the State Commission not allowing the penal UI charges, as we do not want to***

***interfere in the matter relating to security of the grid in real time operation. The Appellant has to take necessary steps required to avert over-drawl under low frequency benchmark. Accordingly, this issue is decided against the Appellant.”***

Further, the Hon'ble APTEL in its Judgment dated 20.07.2016 in Appeal No. 271 of 2013 in the matter of Tata Power Delhi Distribution Ltd. Versus Delhi Electricity Regulatory Commission) has clearly observed that over-drawal or under-drawal does not depend on the scheduled generation. The relevant extract is reiterated below:

***“...We are totally unable to accept the contention of the appellant that the appellant has taken all the necessary steps to ensure compliance with the requirements of UI Regulations, over-drawal from grid below 49.5 Hz frequency is inevitable despite efficient management of the appellant. These are the problems which are to be sorted out by a Discom by making efficient management, proper scheduling of power and procurement etc. What is provided under the Regulation is that the State Commission is bound to follow those Regulations, without giving any dilution or relaxation in the provisions of Act or Rules. We are unable to accept the appellant’s contention that over-drawal or under-drawal depends on the scheduled generation available, since, the generation available changes constantly and further due to loss of generation the schedules are affected resulting in overdrawal by Discoms. In view of the above discussions, we do not find any merit in the contentions of the appellant and hence, this Issue No.8 is decided against the appellant...”***

- c) Further, the observations of the Hon'ble APTEL in its Judgment dated 30.09.2019 in Appeal No. 246 of 2014 and IA No. 56 of 2015 in the matter of Tata Power Delhi Distribution Ltd. versus Delhi Electricity Regulatory Commission is amply clear that such penal charges ought not be allowed to be passed on the consumers. The relevant extract of the Judgment is reproduced below:

***“Having regard to the contentions of both the parties, we note that penal/additional UI charges are applicable only due to severe indiscipline in drawal of power affecting grid frequency/stability which is entirely undesirable. Therefore, we opine that the State Commission has correctly held to not allow such penal charges which are ultimately passed through to the consumers who are at no fault. Hence, the issue is, as such, decided against the Appellant.”***

**Thus, the Commission decides to disallow Rs. 16.53 Crore paid as additional UI charges under Central Electricity Regulatory Commission (Deviation Settlement mechanism and related matters) Regulations, 2014 and its amendments.**

- ii) Late Payment Surcharge:** PSPCL has shown Rs. 12.78 Crore paid as Late Payment Surcharge (LPS).

The Commission observes that it has been allowing working capital to PSPCL in the Tariff Orders. The revenue gap along with carrying cost, if any, is also being allowed in the Tariff Order in a timely manner without creating any regulatory asset. The basic financial principle also says that it is the responsibility of the utility to arrange funds and to make timely payments to the generators based on contracts/regulations, especially when all prudent expenses are being allowed by the Commission on regular basis. Thus, passing of delayed payment surcharge on to the consumers shall be unfair to the consumers. Moreover, by its very nature late payment surcharge is a charge for default in making timely payments and the expenditure incurred on such penal charges cannot be passed on to consumers. **Hence the Commission disallows payment of LPS of Rs. 12.78 Crore made on account of delayed payment of power purchase bills by the utility.**

- iii) A&G expenses:** Expense of Rs. 0.06 Crore shown as Northern Region Power Committee (NRPC) fee for holding meeting, is chargeable under A&G expenses and is dealt under para 3.14.

- iv) Prior Period Expenses:** PSPCL in its Petition had submitted prior period expenses of Rs. 1603.14 Crore and Other Charges of Rs. 1795.80 Crore. On the Commission's query regarding detailed break-up of the same, PSPCL vide Memo No. 922/ARR/DY.CAO./263/Deficiencies/Vol-I dated 24.12.2021 submitted the revised prior period expenses of Rs. 1604.03 Crore. In response to the Commission's query regarding the variation in the total prior period expenses, PSPCL submitted that PGCIL transmission charges of Rs. 1422.71 Crore for FY 2020-21 includes an amount of Rs. 0.95 Crore on account of prior period expenses. Thus, PSPCL has requested the Commission to consider the prior period expenses of Rs. 1604.03 Crore for true-up for FY 2020-21.

In response to Commission's query regarding an amount of Rs. 103.68 Crore on account of change in law, PSPCL vide reply dated 24.12.2021 submitted that an amount of Rs. 103.68 Cr. (approx.) in respect of central sector generating

stations have been considered under prior period expenses (excluding prior period expenses of TSPL and NPL) and the same has been paid towards the bills raised by various firms for previous period on account of revised energy charges, capacity charges, water usages charges, RLDC charges etc. on the basis of various CERC orders revising AFCs. With respect to the prior period expenses of Rs.103.68 Crore the Commission observed that the amount is actually Rs.103.60 Crore instead of Rs.103.68 Crore (due to minor variation in prior period expenses of RAPP-3&4 and RAPP-5&6 amounting to Rs.0.08 Crore). Further, this amount is inclusive of prior period expenses of (-) Rs. 1.49 Crore, (-) Rs.8.04 Crore relating to GVK and Malana respectively but does not include Rs. 0.95 Crore of PGCIL prior period expenses.

The prior period expenses for central generating stations, GVK, Malana and PGCIL works out to Rs.104.54 Crores (Rs.103.60 Crore + Rs.0.95 Crore)

Further, with regards to the details of prior period charges of Rs. 1499.46 Crore, it was observed that PSPCL has paid Rs. 525.36 Crore to NPL and Rs. 974.13 Crore to TSPL. In response to the Commission's query regarding the variation in amount of Rs. 1499.46 Crore considered in prior period expenses vis-a-vis actual payment of Rs. 1580 Crore made to NPL and TSPL, PSPL vide email dated 15.02.2022 submitted the detailed break-up of the amount paid to NPL and TSPL in compliance of the Supreme Court Order dated 09.03.2021 as under:

**Table 32: Break-up of Amount paid to NPL and TSPL**

| (Rs. Crore)                                                                           |                                  |                |               |                 |
|---------------------------------------------------------------------------------------|----------------------------------|----------------|---------------|-----------------|
| <b>Amount paid to NPL and TSPL in compliance to Hon'ble SC order dated 09.03.2021</b> |                                  |                |               |                 |
| <b>Sr. No.</b>                                                                        | <b>Year</b>                      | <b>NPL</b>     | <b>TSPL</b>   | <b>Total</b>    |
| 1                                                                                     | 2014-15                          | 62.21          | 32.41         | 94.62           |
| 2                                                                                     | 2015-16                          | 113.96         | 15.72         | 129.69          |
| 3                                                                                     | 2016-17                          | 173.42         | 3.40          | 176.82          |
| 4                                                                                     | 2017-18                          | 74.95          | -0.64         | 74.30           |
| 5                                                                                     | 2018-19                          | 100.67         | 73.58         | 174.25          |
| 6                                                                                     | 2019-20                          | 109.80         | 79.01         | 188.81          |
| 7                                                                                     | Principle amount (1+2+3+4+5+6)   | 635.01         | 203.48        | 838.49          |
| 8                                                                                     | LPS (upto 25.03.2021)            | 166.24         | 113.46        | 279.69          |
| 9                                                                                     | Simple interest (up to 31.05.21) | 174.74         | 148.90        | 323.64          |
| <b>10</b>                                                                             | <b>Subtotal Total (8+9+10)</b>   | <b>975.99</b>  | <b>465.84</b> | <b>1,441.82</b> |
| 11                                                                                    | 2020-21 (Up to Jan 2021)         | 55.14          | 83.95         | 139.09          |
| <b>12</b>                                                                             | <b>Total (10+11)</b>             | <b>1031.13</b> | <b>549.79</b> | <b>1580.91</b>  |

PSPCL further clarified that the actual payment made to NPL and TSPL was Rs. 1580.91 Crore. However, the amount of Rs. 139.09 Crore was booked under the power purchase expense of FY 2020-21.

PSPCL further submitted that Rs. 2.75 Crore relating to simple interest from 01.04.2021 to 31.05.2021 has been considered in the other charges of FY 2021-22 and the balance amount of Rs. 1439.07 Crore has been booked under prior period expenses. PSPCL further clarified that in addition to the above amount of Rs. 1439.07 Crore an additional amount of Rs. 41.89 Crore and Rs.18.53 Crore paid to TSPL in lieu of Debit Credit Notes and Infirm Power & shunting charges respectively have also been booked under prior period expenses. Accordingly, the break-up of prior period charges as claimed by PSPCL for FY 2020-21 is as under:

**Table 33: Prior period charges claimed by PSPCL for NPL and TSPL**

| Sr. No. | Particulars                                                           | NPL           | TSPL          |
|---------|-----------------------------------------------------------------------|---------------|---------------|
| I       | II                                                                    | III           | IV            |
| 1       | Prior period payment relating to Supreme Court Order dated 09.03.2021 | 974.13        | 464.94        |
| 2       | Amount paid for Debit Credit Notes                                    | -             | 41.89         |
| 3       | Infirm and Shunting                                                   | -             | 18.53         |
| 4       | <b>Total</b>                                                          | <b>974.13</b> | <b>525.36</b> |

The breakup of prior period expenses paid by PSPCL in FY 2020-21 is as follows:

**Table 34: Breakup of Prior Period Expenses approved by the Commission**  
Rs. Crore

| Sr. No. | Description                                                               | Approved by the Commission |
|---------|---------------------------------------------------------------------------|----------------------------|
| I       | II                                                                        | III                        |
| 1       | Payment to NPL and TSPL                                                   | 1499.49                    |
| 2       | Prior period expenses of central generating stations, GVK, Malana & PGCIL | 104.54                     |
| 3       | <b>Total Prior Period expenses</b>                                        | <b>1604.03</b>             |

**As per the practice followed in the past, the prior period expenses of Rs. 1604.03 Crore are not considered under the head Power Purchase and are dealt under Prior Period income/expenses in para 3.25 and para 4.23.**

**v) Excess valuation of Net banking:**

The Commission has observed that PSPCL has claimed Rs. 150.47 Crore for net banking of 219.55 MWh. In reply to Commission's query regarding high rate of net banking, PSPCL vide email dated 15.02.2022 submitted that 219.55 MWh of net banking as submitted by PSPCL includes the figures of Banking premium given during the year to the tune of 273.54 MWh and Banking premium received during the year to the tune of 68.39 MWh. PSPCL further submitted that without taking the effect of banking premium units the rate comes to Rs. 3.54 per unit.

The break-up of net-banking in FY 2020-21 as under:

**Table 35: Details of Net banking for FY 2020-21\***

| Sr. No. | Particulars              | Units in MkwH | Amount (Rs. Crore) |
|---------|--------------------------|---------------|--------------------|
| I       | II                       | III           | IV                 |
| 1.      | Gross Units Purchased    | 4482.29       | 1976.39            |
| 2.      | Gross Units Sold         | (-) 4262.74   | (-) 1918.23        |
| 3.      | <b>Net Banking Units</b> | <b>219.55</b> | <b>58.15</b>       |

*\*As per power purchase validation report submitted by the committee.*

The Commission observes that the units allowed as premium are settled off at the Periphery. Thus, the net-banking units for FY 2020-21 are 219.55 MkwH and its corresponding cost comes to Rs. 58.15 Crore. Accordingly, the Commission has disallowed Rs. 92.32 Crore (Rs. 150.47 Crore – Rs. 58.15 Crore) from the Power Purchase Cost on account of excess valuation of Net banking

**vi) Disputed Amount of Durgapur STPS, Raghunathpur TPS & Pragati-III Power Stations:**

PSPCL, in Format D3 of the Petition and Annexure 10 of reply dated 24.12.2021, has submitted that PSPCL has disputed Rs. 27.20 Crore, Rs. 49.11 Crore & Rs. 22.93 Crore for Durgapur STPS, Raghunathpur TPS & Pragati-III Power Stations respectively for the month of April 2020 and May 2020 in view of Force Majeure Notice being issued to DVC & Pragati Power Limited due to nation-wide lockdown implemented by Gol due to Covid-19 Pandemic. However, the said amount has not been paid till date but the same has been considered in the ARR data of FY 2020-21.

In response to the Commission's query, PSPCL has further submitted that Load/demand in the State of Punjab reduced very drastically as Government of India had declared the entire country under lock down in view of the Covid-19 pandemic in the month of March, 2020. Hence, due to unprecedented fall in load, it was decided to intimate various Power Generating Stations to not to declare availability and offer power to PSPCL. Accordingly, PSPCL vide various memo dated 30.03.2020 issued Force Majeure Notices to various Power Generating Stations of NTPC Limited, NHPC Limited, PPCL, THDC India Limited & DVC etc. in terms of relevant clauses of their PPAs. PSPCL vide memo dated 25.05.2020 had also issued Notice for Cessation of Force Majeure to above. Ministry of Power, Government of India issued advisory dated 15.05.2020 (along with



corrigendum issued on 16.05.2020) to all Central public Sector Generation Companies under MoP and Central public Sector Transmission Company on subject matter “Rebate to Distribution Companies (DISCOMS) by Central Generating and Transmission Companies of Ministry of Power for the Lock down period on account of Covid-19 pandemic”.

In view of said advisory, various Central Public Sector Generation Companies such as NTPC Limited, NHPC Limited, SJVN Limited etc. offered the rebate of about 20-25% on fixed cost for the lockdown period. Accordingly, the Force Majeure Notices were withdrawn and PSPCL had released the withheld amount towards Force Majeure Notices after adjusting the relief as per the said advisory after the approval accorded by WTDs of PSPCL. However, DVC and Pragati Power Limited did not offer any rebate as per the said advisory; accordingly, PSPCL had disputed Rs. 76.31 Crore (Rs. 27.20 Crore + Rs. 49.11 Crore) for the month of April and May, 2020 in view of Notice being served to M/s DVC and Rs. 22.93 Crore towards Pragati Power Limited after the approval accorded by WTDs of PSPCL.

Since the above stated disputed amount pertains to FY 2020-21 only, PSPCL has included the same in the power purchase cost of FY 2020-21. PSPCL has further submitted that as per the latest developments with M/s DVC, PSPCL has released the amount of Rs. 20.5945 Crore out of Rs. 27.20 Crore toward Durgapur STPS and Rs. 31.1476 Crore out of Rs. 49.11 Crore toward Raghunathpur TPS after availing 25% rebate on fixed charges for the lockdown period.

Further, vide Memo No. 47/ARR/DY.CAO./263/Deficiencies/Vol-I dated 11.01.2022, PSPCL clarified that the impact of 25% rebate amount has not been considered in the power purchase cost of FY 2020-21 as the payment towards DSTPS and RTPS after availing rebate of 25% towards fixed charges for the lockdown period was approved/verified only in month of December 2021.

**The Commission notes that out of the total amount of Rs. 76.31 Crore related to DVC Durgapur and Raghunathpur for FY 2020-21, PSPCL has made payment of Rs. 51.74 Crore in FY 2021-22. Since, the amount pertains to FY 2020-21, the same will be considered as prior period expenses in FY 2021-22.**

Also, PSPCL has not paid an amount of Rs. 24.57 Crore (Rs.76.32 Crore – Rs. 51.74 Crore) to these Power stations. This amount will be considered when it is actually paid by PSPCL.

Further, the disputed amount of Rs. 22.93 Crore relating to Pragati Power Station is also being excluded from the power purchase cost of FY 2020-21 and shall be allowed in the year in which it is paid by PSPCL.

**vii) Power Purchase cost for RE generators:**

In response to the Commission's query certifying that the power purchase cost shown in the petition includes actual payment made to the generators including NRSE, PSPCL vide memo No. 267/ARR/Dy.CAO/263/Deficiencies-Vol.I dated 25.02.2022 has submitted that the Power purchase cost comprises of all the verified invoices raised by generators/ Traders during FY 2020-21 and also includes Force majeure amount withheld & 5% Covid rebate amount of NRSE generators. The details are as under:

**Table 36: Power Purchase cost for RE generators**

| Sr. No. | Particulars               | Amount (Rs. Crore) | Remarks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Gross amount paid/ adjusted in FY 2020-21 (Rs. Crore) | Balance gross amount to be paid/ adjusted in FY 2021-22 (Rs. Crore) |
|---------|---------------------------|--------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|---------------------------------------------------------------------|
| I       | II                        | III                | IV                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | V                                                     | VI                                                                  |
| 1       | Amount of Force Majeure   | 30.08              | This amount was booked in power purchase cost in FY 2020-21 as payable to generators.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 0.00                                                  | 30.08                                                               |
| 2       | Amount of 5% Covid rebate | 16.48              | {18.82(-)1.98} Booked in FY 2020-21. Out of total amount of 18.82 crore booked in power purchase cost in FY 2020-21 as payable to generators, as per consent received from generators, out of gross deduction of Rs.6.42 crore, Rs.1.98 crore was retained by this office & reduced from power purchase cost and Rs.4.44 crore was refunded to generators. As detailed above during FY 2020-21 Rs.12.40 crore (Rs.18.82 crore (-) Rs.6.42 crore) was pending for payment to generators. Balance amount of Rs.12.40 crore (i.e. Rs.18.82 crore (-) Rs.6.42 crore) was refunded to generators as per Hon'ble PSERC orders dated 24.09.2021 in FY 2021-22. | 6.42                                                  | 12.40                                                               |
|         | <b>Total</b>              | <b>46.92</b>       | Booked in FY 2020-21 in power purchase cost                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | <b>6.42</b>                                           | <b>42.48</b>                                                        |

**Hence, the Commission disallows Rs. 40.50 Crore (Rs.46.92 Crore- Rs.6.42 Crore) from the Power Purchase cost of FY 2020-21. The balance amount shall be considered in the year in which the payments are made.**

**viii) Water Charges for GVK:**

In response to the Commission's observations regarding booking of water charges of GVK amounting to Rs. 0.99 Crore in the other charges of FY 2020-21, PSPCL vide email dated 15.02.2022 submitted that out of the total water charges of Rs. 0.99 Crore, Rs. 0.60 Crore relates to FY 2018-19 while Rs. 0.39 Crore pertains to FY 2019-20. PSPCL further clarified that the water charges till March 2020 were paid separately to GVK in addition to fixed charges & energy charges based on the Commission's Order dated 06.03.2019 in Petition no. 68 of 2017. In addition to this, the Commission has also not considered water charges as part of AFC in various Tariff order till March 2020. Since April 2020 onwards the Commission has considered water charges as a part of AFC in tariff order dated 26.10.21 in Petition No. 14 of 2020. Therefore, no separate water charges would be paid to GVK from April-20 onwards.

**Accordingly, the Commission disallows Rs. 0.99 Crore from the Power Purchase Cost on account of water charges for GVK and the same shall be considered under the head of Prior period expenses.**

**ix) Generation based incentive:**

**The Commission has considered the generation based incentive of Rs. 8.19 Crore as Non-Tariff Income as claimed by PSPCL.**

**3.10.1 Incentive/disincentive for under achievement of target/ normative parameters**

**Commission's Analysis**

As discussed in para 3.3, PSPCL has under-achieved the Distribution loss level vis-à-vis the target approved by the Commission. Further, as brought out in para 3.7, the under achievement of target distribution losses/normative parameters has resulted in additional power purchase of 317.72 MWh.

**The Commission observes that, Regulation 30 of PSERC Tariff Regulations specifies that, the entire loss on account of underachievement of the target set by the Commission is to be borne by the licensee. Accordingly, the Commission decides to disallow 317.71 MWh of excess power purchased on account of under achievement of target/ normative parameters at the average rate of short-term power i.e. Rs. 2.82/kWh. Accordingly, a sum of Rs. 89.63 Crore of power purchase is disallowed.**

### 3.10.2 RPO Compliance for FY 2020-21

Pursuant to the Govt. of Punjab directions issued under Section 108 of the Electricity Act, 2003 vide letter No. 01/04/2020-EB(PR)/185-186 dated 07.04.2020 to reduce the RPO for year 2019-20 and 2020-21 by 1.50% and 2.00% respectively, due to the unprecedented situation caused with the spread of COVID-19 pandemic, the Commission vide its Order dated 17.07.2020 in Petition No. 12 of 2020 (Suo-Motu) held as under:

*“.....PSPCL would also be financially constrained in FY 2020-21 due to the prevailing Covid-19 pandemic adversely affecting the sale of power to various categories of consumers. Also there would be reduction in receipt of power from new RE projects due to their late commissioning....*

*Considering that the RPO target for FY 2019-20 has not been reduced by 1.5%, and the RPO shortfall has been allowed to be carried forward to FY 2020-21, the Commission finds it prudent to allow 3.5% (both for solar and non solar combined) reduction in RPO target for FY 2020-21 provided that PSPCL shall honour all the PPAs with RE generators and shall not refuse power from such projects during FY 2020-21.”*

PSPCL in its true-up of FY 2020-21, has submitted its RPO compliance with the revised RPO target of 4.7% (6.5%-1.8%) for Non-Solar and 3.3% (5.0%-1.7%) for Solar. Accordingly, the status of RPO Compliance by PSPCL as per the provisions of PSERC (Renewable Purchase Obligation and its compliance) Regulations 2011, as amended from time to time, is worked out as under:

**Table 37: Status of RPO Compliance for FY 2020-21**

| Sr. No. | Description                                                                                                    | FY 2020-21                        |            |
|---------|----------------------------------------------------------------------------------------------------------------|-----------------------------------|------------|
| I       | II                                                                                                             | III                               |            |
| 1.      | Consumption (Energy Input in PSPCL's system) excluding consumption met from Hydro (own/outside) sources (MkWh) | 42677.39<br>(56507.18 – 13829.79) |            |
| 2.      | RPO targets for the year                                                                                       | %                                 | MkWh       |
|         | i. Non-Solar                                                                                                   | 4.70                              | 2005.84    |
|         | ii. Solar                                                                                                      | 3.30                              | 1408.35    |
| 3.      | RPO compliance during the year                                                                                 |                                   |            |
|         | i. Non-Solar                                                                                                   | 5.65                              | *2411.44   |
|         | ii. Solar (including 279.83 MkWh from Solar Rooftop)                                                           | 4.08                              | 1740.23    |
| 4.      | RPO shortfall/surplus(-) during the year (2-3)                                                                 |                                   |            |
|         | i. Non-Solar                                                                                                   |                                   | (-) 405.60 |
|         | ii. Solar                                                                                                      |                                   | (-) 331.88 |
| 5.      | RPO shortfall upto FY 2019-20 (True up)                                                                        |                                   |            |
|         | i. Non-Solar                                                                                                   |                                   | 298.92     |
|         | ii. Solar                                                                                                      |                                   | Nil        |
| 6.      | Net RPO shortfall/surplus (-)(4-5)                                                                             |                                   |            |
|         | i. Non-Solar                                                                                                   |                                   | (-) 106.68 |
|         | ii. Solar                                                                                                      |                                   | (-) 331.88 |

\* The figure of 183.66 MkWh (received at its periphery) through Short term NRSE has been considered in place of 188.64 MkWh (available at the generator end) considered by PSPCL.

### 3.10.3 Total Power Purchase Cost

In view of the above, the cost of power purchase for FY 2020-21 worked out by the Commission for True-up of FY 2020-21 is as under:

**Table 38: Power Purchase Cost approved by the Commission**

| Sr. No. | Description                                                                                                    | Unit      | Submitted by PSPCL | Approved by the Commission |
|---------|----------------------------------------------------------------------------------------------------------------|-----------|--------------------|----------------------------|
| I       | II                                                                                                             | III       | IV                 | V                          |
| 1       | Power Purchase Net                                                                                             | MkWh      | 48395.76           | 48090.79                   |
| 2       | Inter-State Losses                                                                                             |           | 892.69             | 887.06                     |
| 3       | Power Purchase Gross                                                                                           |           | 49288.45           | 48977.85                   |
| 4       | <b>Power Purchase Cost</b>                                                                                     | Rs. Crore | <b>23546.79</b>    | <b>22212.67*</b>           |
| 5       | Less: Payments to NPL & TSPL allowed vide Supreme Court order dated 9.3.2021                                   |           | -                  | 1439.07                    |
| 6       | Less: Previous Years' Payments                                                                                 |           | -                  | 164.96                     |
| 7       | Less: Additional UI Charges                                                                                    |           | -                  | 16.53                      |
| 8       | Less: Late Payment Surcharge paid by PSPCL                                                                     |           | -                  | 12.78                      |
| 9       | Less: NRPC Fee                                                                                                 |           | -                  | 0.06                       |
| 10      | Less: Excess valuation of Net Banking                                                                          |           |                    | 92.32                      |
| 11      | Disputed Amount of Durgapur STPS, Raghunathpur TPS & Pragati-III Power Stations                                |           |                    | 99.24                      |
| 12      | Less: Payments not made to RE generators                                                                       |           |                    | 40.50                      |
| 13      | Less: Water Charges for GVK                                                                                    |           |                    | 0.99                       |
| 14      | Less: Disallowance of Short-Term Power Purchase on account of under-achievement of target/normative parameters |           | -                  | 89.63                      |
| 15      | <b>Net Power Purchase cost</b>                                                                                 |           | <b>23546.44</b>    | <b>20256.59</b>            |
| 16      | <b>Per unit power purchase cost (Gross)</b>                                                                    | Rs./kWh   | <b>4.78</b>        | <b>4.14</b>                |
| 17      | <b>Per unit power purchase cost (Net)</b>                                                                      |           | <b>4.87</b>        | <b>4.21</b>                |

\*Excluding PSTCL Transmission charges of Rs. 1317.22 Crore of PSTCL and SLDC Charges of Rs. 16.90 Crore

**Accordingly, the Commission approves the power purchase cost (excluding intra-State Transmission and SLDC charges) of Rs. 20256.59 Crore for True-up of FY 2020-21.**

### **3.11 Capital Expenditure for FY 2020-21**

For FY 2020-21, the Commission approved Capital Investment Plan (CIP) of Rs. 2504.96 Crore for PSPCL in 2<sup>nd</sup> MYT control period Order dated 03.12.2019 in Petition No. 18 of 2019. While approving the CIP, Shahpur Kandi Power Project (SKPP) was not considered by the Commission with the observation that PSPCL may approach the Commission on commencement of operations for the same. Further, in the Tariff Order for FY 2020-21, the Commission observed as under:

“The Commission provisionally approves the Capital Expenditure and Capitalisation for the 2nd MYT Control Period as per Table 31 and 32 above. However, in view of the extraordinary situation prevailing across the country due to COVID 19 outbreak and consequent likely difficult economic situation, PSPCL is directed to curtail Capital Expenditure by 20% during the 2nd MYT Control Period.”

In the Tariff Order for FY 2021-22 dated 28.05.2021, the Commission had provisionally approved the Capital Expenditure of Rs. 1712.89 Crore (Rs. 95.20 Crore for Generation Business and Rs. 1617.69 Crore for Distribution Business) as the revised projections submitted by PSPCL were lesser than the reduced budget specified by the Commission in the MYT Order.

#### **PSPCL's Submissions:**

PSPCL has claimed Capital Expenditure of Rs. 1417.60 Crore for True up of FY 2020-21. PSPCL has submitted that that the capital expenditure during FY 2020-21 was on account of system reliability and quality of supply to the consumers in line to universal supply obligation as a distribution licensee as per Electricity Act 2003.

PSPCL has further submitted that in line to instructions received from Govt. of Punjab, PSPCL has incurred an expenditure to the tune of Rs 273.09 Crore during FY 2020-21 against the payment made to Water Resources Departments, civil works, R&M works and consultancy fee. Therefore, PSPCL has prayed to the Commission to approve the expenditure on account of Shahpur Kandi Hydel Project.

PSPCL has further submitted that PSPCL has been making earnest efforts to improve system reliability and quality of supply to the consumers. PSPCL has been aggressively working on strengthening of distribution network. The work of bifurcation/trifurcation of over loaded feeders and creation of new substations has been undertaken under various schemes like DDUGJY and IPDS Scheme. Further the strengthening of LT system is being undertaken in feeder sanitisation and Loss Reduction Plan in rural and urban areas respectively. PSPCL has also undertaken

the preventive maintenance of distribution transformers which has significantly reduced the distribution transformer failure rate in urban areas.

PSPCL vide office memo No. 318/ARR/Dy. CAO/263 dated 08.03.2022 submitted the revised capital expenditure of Rs. 1629.03 Crore (Generation wing Rs. 329.83 Crore & Distribution wing Rs. 1299.20 Crore) for FY 2020-21. PSPCL has also submitted that it has not included the expenses of Rs. 3.22 Crore on account of BBMB. PSPCL has submitted the scheme-wise details for Capital Expenditure for FY 2020-21.

### Commission's Analysis

From the perusal of scheme wise details, the Commission observes that PSPCL has submitted a Capital expenditure of Rs. 1629.03 Crore including Rs. 273.08 Crore for Shahpur Kandi Power Project (SKPP) and Rs. 6.24 Crore on account of other works which comprises of SYL & PANEM mine.

The Capital expenditure on SKPP will be considered upon commencement of the project. As SYL project is closed, the expenditure pertaining to SYL shall be considered while deciding the issue of its impairment loss. The expenditure on coal mine shall be considered as part of coal cost when the mine starts operations. The Commission also decides to allow capital expenditure of Rs. 3.22 Crore on account of BBMB. **Accordingly, Capital Expenditure of PSPCL for FY 2020-21 comes out to be Rs. 1352.93 Crore (Rs. 1629.03 Crore – Rs. 273.08 Crore – Rs. 6.24 Crore + Rs. 3.22 Crore), which the Commission provisionally approves as under:**

**Table 39: Capital Investment Plan/ Capital Expenditure Provisionally Approved by the Commission**

| (Rs. Crore) |                                    |                |
|-------------|------------------------------------|----------------|
| Sr. No.     | Particulars                        | FY 2020-21     |
| I           | II                                 | III            |
| 1           | Generation Business including BBMB | 53.73          |
| 2           | Distribution Business              | 1299.20        |
| 3           | <b>Total Capital Expenditure</b>   | <b>1352.93</b> |

### 3.12 Capital Works in Progress and its funding

The Commission works out the provisional closing capital works in progress (as on 31.3.2020) based on the provisionally approved capital expenditure of Rs. 1352.93 Crore as under:

**Table 40: Capital Work in Progress for FY 2020-21 as provisionally approved by the Commission**

| (Rs. Crore) |                                          |                |
|-------------|------------------------------------------|----------------|
| Sr. No.     | Particulars                              | Amount         |
| I           | II                                       | III            |
| 1           | Opening Capital WIP                      | 2072.41        |
| 2           | Add: Capital Expenditure during the year | 1352.93        |
| 3           | Less: Transferred to Gross Fixed Assets  | 1539.08        |
| 4           | <b>Closing Capital Work in Progress</b>  | <b>1886.26</b> |

PSPCL has submitted that Capital Expenditure during FY 2020-21 shall be completely financed through loans. Therefore, the Commission has considered the same for funding of approved Capital Expenditure. During the 2nd Capital Investment Plan, the Financing Plan was given as per the Capital expenditure approved by the Commission. As per the approach followed in the MYT Order, since the funding of assets is to be approved for PSPCL only after the assets are put to use, the Commission has considered to fund the new schemes as per Capitalization and in order to avoid funding of the Spillover schemes twice, the Commission has considered funding of the Spillover Schemes as per capital expenditure for FY 2020-21 to FY 2022-23. The Commission shall retain separate methodologies for spillover and new schemes until the time all Spillover schemes as on 01.04.2020 are capitalized. After the capitalization of all such Spillover schemes, the closing value of loans, equity and depreciation for Spillover schemes shall be added to the opening value of loans, equity and depreciation respectively for new schemes in the subsequent year. Based on approved amount of capital expenditure and capitalization as mentioned in the table above, the Commission provisionally determines funding requirement of PSPCL for FY 2020-21 as under:

**Table 41: Requirement of Long-term Loan as provisionally determined by the Commission for Generation and Distribution Business for FY 2020-21**

| (Rs. Crore) |                                                                                                        |              |                |                |
|-------------|--------------------------------------------------------------------------------------------------------|--------------|----------------|----------------|
| Sr. No.     | Particulars                                                                                            | Generation   | Distribution   | TOTAL          |
| 1           | Capital expenditure approved by the Commission                                                         | 52.37        | 1361.33        | <b>1413.70</b> |
| 2           | Less: Funding through Consumer contributions/ Assistance from Central Govt. sponsored schemes (Grants) | -            | 326.51         | <b>326.51</b>  |
| 3           | <b>Net Requirement of Long-term Loans</b>                                                              | <b>52.37</b> | <b>1034.82</b> | <b>1087.19</b> |



**Table 42: Provisional Funding of Spillover schemes for FY 2020-21****(Rs. Crore)**

| <b>Sr. No.</b>               | <b>Particulars</b>                             | <b>FY 2020-21</b> |
|------------------------------|------------------------------------------------|-------------------|
| <b>Generation Business</b>   |                                                |                   |
| <b>1</b>                     | <b>Loan requirement of Generation Business</b> | <b>44.38</b>      |
| <b>Distribution Business</b> |                                                |                   |
| 1                            | Loan requirement of Distribution Business      | 200.57            |
| 2                            | Less: Consumer Contribution and Grants         | 68.74             |
| <b>3</b>                     | <b>Total loan requirement</b>                  | <b>131.83</b>     |

**Table 43: Provisional Funding of New schemes for FY 2020-21****(Rs. Crore)**

| <b>Sr. No.</b>               | <b>Particulars</b>                             | <b>FY 2020-21</b> |
|------------------------------|------------------------------------------------|-------------------|
| <b>Generation Business</b>   |                                                |                   |
| <b>1</b>                     | <b>Loan requirement of Generation Business</b> | <b>7.99</b>       |
| <b>Distribution Business</b> |                                                |                   |
| 1                            | Loan requirement of Distribution Business      | 1160.76           |
| 2                            | Less: Consumer Contribution and Grants         | 257.77            |
| <b>3</b>                     | <b>Total loan requirement</b>                  | <b>902.99</b>     |

**3.13 Employee Expenses****PSPCL's Submissions:**

PSPCL has submitted that the Employees expenses includes the expenses incurred towards the employees that are presently working as well as retired. The cost of working employees includes salary, dearness allowance and other allowances such as HRA, LTC, medical reimbursement, etc. However, for the employees who will be retiring during the year as well as have been retired, the financial liabilities towards pension, gratuity, leave encashment benefit, etc. of such employees have to be discharged by the Utility.

PSPCL has further submitted that the total employees cost includes Basic Salary expenses of Rs. 893 Crore, Dearness allowances expense of Rs. 1043 Crore, pension expense of retired employees of Rs. 2204 Crore, share of BBMB of Rs. 276 Crore, other allowances of Rs. 116 Crore and Rs. 100 Crore as other associated costs during the FY 2020-21.

The breakup of employee expenses submitted by PSPCL is as follows:

**Table 44: Employee Costs for FY 2020-21 submitted by PSPCL  
(As Per Audited Accounts)**

| <b>(Rs. Crore)</b> |                                                                             |                              |
|--------------------|-----------------------------------------------------------------------------|------------------------------|
| <b>Sr. No.</b>     | <b>Particulars</b>                                                          | <b>Actual for FY 2020-21</b> |
| 1                  | Basic Pay                                                                   | 893.16                       |
| 2                  | Overtime                                                                    | 14.80                        |
| 3                  | Dearness Allowance                                                          | 1043.21                      |
| 4                  | Fixed medical Allowance                                                     | 16.62                        |
| 5                  | Conveyance Allowance                                                        | 24.66                        |
| 6                  | Other Allowances                                                            | 116.00                       |
| 7                  | Bonus/ Generation Incentive                                                 | 1.28                         |
| 8                  | Medical Expenses Reimbursement                                              | 15.67                        |
| 9                  | Staff Welfare Expenses                                                      | 18.24                        |
| 10                 | Leave Travel Concession/Encashment of Leave on availing LTC                 | 8.91                         |
| <b>11</b>          | <b>Total (A)</b>                                                            | <b>2152.55</b>               |
|                    | <b>Terminal Benefits</b>                                                    |                              |
| 12                 | Earned Leave Encashment                                                     | 157.28                       |
| 13                 | Gratuity (including arrear)                                                 | 0.62                         |
| 14                 | Commutation of Pension/ progressive funding for terminal benefit as per FRP | 44.88                        |
| 15                 | Workman's compensation                                                      | 0.01                         |
| <b>16</b>          | <b>Total (B)</b>                                                            | <b>202.79</b>                |
| <b>17</b>          | <b>Pension Payments (C)</b>                                                 | <b>2204.01</b>               |
| <b>18</b>          | <b>Any other expense(D)</b>                                                 | <b>99.80</b>                 |
| <b>19</b>          | <b>Total Expenses(A+B+C+D)</b>                                              | <b>4659.16</b>               |
| 20                 | Less: Amount capitalized                                                    | 127.30                       |
| 21                 | Add: BBMB share                                                             | 275.97                       |
| <b>22</b>          | <b>Net Employee Cost</b>                                                    | <b>4807.83</b>               |

**Commission's Analysis:**

**Terminal benefits**

The Terminal benefits expenses are to be determined as per Regulation 26.1 of PSERC MYT Regulations, 2019. Relevant notes of Regulation 26 of MYT Regulations, 2019 are reproduced below for reference:

*“Note-4: Terminal Liabilities such as death-cum-retirement gratuity, Ex-Gratia, pension including family pension, commuted pension, leave encashment, LTC, medical reimbursement including fixed medical allowance in respect of the State PSU / Government pensioners will be approved as per the actuals paid by the Applicant.*

...

*Note 9: With regard to unfunded past liabilities of pension and gratuity, the Commission will follow the principle of ‘pay as you go’. The Commission shall not allow any other amount towards creating fund for meeting unfunded past liability of pension and gratuity.”*

The Commission observes that the Terminal Benefits include Pension Benefits such as Gratuity, Earned Leave Encashment, Fixed Medical benefits, Reimbursement of medical bills, etc.

**Accordingly, the Commission allows terminal benefits of Rs. 2506.61 Crore for Generation and Distribution Business of PSPCL for FY 2020-21.**

#### **Other Employee Cost**

The Employee Costs are determined as per Regulation 26.1 of PSERC MYT Regulations, 2019. Relevant sections of Regulation 26.1 of MYT Regulations, 2019 are reproduced below for reference:

*“26.1. The O&M expenses for the nth year of the Control Period shall be approved based on the formula shown below:*

$$\mathbf{O\&M_n = (R\&M_n + EMP_n + A\&G_n) \times (1-X_n)}$$

*Where,*

- *R&M<sub>n</sub> –Repair and Maintenance Costs of the Applicant for the nth year;*
- *EMP<sub>n</sub> –Employee Cost of the Applicant for the nth year;*
- *A&G<sub>n</sub> –Administrative and General Costs of the Applicant for the nth year;*

*It should be ensured that all such expenses capitalized should not form a part of the O&M expenses being specified here. The above components shall be computed in the manner specified below:*

*....*

$$\mathbf{(ii) EMP_n = EMP_{n-1} + A\&G_n = (EMP_{n-1} + A\&G_{n-1}) \times (INDEX_n / INDEX_{n-1})}$$

*INDEX<sub>n</sub> - Inflation Factor to be used for indexing the Employee Cost and Administrative and General Costs for nth year. This will be a combination of the Consumer Price Index (CPI) and the Wholesale Price Index (WPI) of nth year and shall be calculated as under:-*

$$\mathbf{INDEX_n = 0.50 \times CPI_n + 0.50 \times WPI_n}$$

*‘WPI<sub>n</sub>’ means the average rate (on monthly basis) of Wholesale Price Index (all commodities) over the year for the nth year.*

*‘CPI<sub>n</sub>’ means the average rate (on monthly basis) of Consumer Price Index (Industrial workers) over the year for the nth year.”*

The Commission observes that the Employee expenses for BBMB as per audited accounts are Rs. 277.48 Crore instead of Rs. 275.97 Crore as given by PSPCL in Table-44 and the same is not considered here and is being allowed separately in this Tariff Order.

The Commission also considers Rs. 7.70 Crore for expenses related to coal handling contract disallowed in fuel cost of GHTP as part of employee cost of GHTP.

Further, the Commission has calculated the **INDEX** as under:

**Table 45: Calculation of INDEX**

| Sr. No. | Particulars | FY 2019-20 | FY 2020-21 | Increase (%) |
|---------|-------------|------------|------------|--------------|
| I       | II          | III        | IV         | V            |
| 1       | CPI         | 322.50     | 338.69     | 5.02         |
| 2       | WPI         | 121.80     | 123.38     | 1.29         |

$$INDEX\ n/INDEX\ n-1 = (0.5*5.02) + (0.5*1.29) = 3.16\%$$

For determining the normative value of other employee cost, the Commission has escalated the actual cost for FY 2019-20 i.e. Rs. 2079.63 Crore. The normative employee cost works out to Rs. 2145.29 (2079.63 x 1.0316) Crore.

The **Commission, therefore, approves the Employee cost of Rs. 4659.60 (2506.61+2145.29+7.70) Crore for FY 2020-21 for Generation and Distribution Business.** The breakup of employee expenses and project-wise allocation is given in the following tables:

**Table 46: Employee cost approved by the Commission (excluding employee cost of BBMB) for FY 2020-21**

| (Rs. Crore)                                                                     |                |
|---------------------------------------------------------------------------------|----------------|
| Particulars                                                                     | Amount         |
| I                                                                               | II             |
| Terminal Benefits                                                               | 2506.61        |
| Other Employee Cost                                                             | 2145.29        |
| Expenses related to coal handling contract (transferred from fuel cost of GHTP) | 7.70           |
| <b>Total Employee Cost</b>                                                      | <b>4659.60</b> |
| <b>Allocated to Generation</b>                                                  | <b>687.08</b>  |
| <b>Allocated to Distribution</b>                                                | <b>3972.52</b> |

**Table 47: Project wise Employee Cost- Hydro & Thermal (Generation Business) approved by the Commission for FY 2020-21**

| (Rs. Crore)                  |                |
|------------------------------|----------------|
| Projects                     | Amount         |
| I                            | II             |
| Shanan                       | 27.87          |
| UBDC                         | 38.05          |
| RSD                          | 27.84          |
| MHP                          | 40.86          |
| ASHP                         | 28.48          |
| Micro                        | -              |
| <b>Total (Hydro)(A)</b>      | <b>163.11</b>  |
| GGSTP                        | 321.14         |
| GHTP                         | 202.83         |
| <b>Total (Thermal)(B)</b>    | <b>523.97</b>  |
| <b>Total Generation(A+B)</b> | <b>687.08</b>  |
| <b>Total Distribution</b>    | <b>3972.52</b> |

### 3.14 Repair & Maintenance (R&M) and Administrative & General (A&G) Expenses

#### PSPCL's Submissions:

PSPCL has submitted that Repair and Maintenance cost is meant for upkeep of the distribution network. Further, as every asset requires repair and maintenance at some point, to keep the system healthy and reliable, the Petitioner has to infuse certain amount of funds on R&M activities. PSPCL is trying its best to ensure the uninterrupted supply of power and accordingly making necessary expenditure on R&M activities to keep the system healthy and reliable as per the power quality indices.

**Table 48: Actual R&M and A&G expenses as claimed by PSPCL for FY 2020-21**

| (Rs. Crore)                               |               |               |               |
|-------------------------------------------|---------------|---------------|---------------|
| Particulars                               | Generation    | Distribution  | Total         |
| I                                         | II            | III           | IV            |
| A&G Expenses                              | 26.04         | 131.89        | 157.93        |
| R&M Expenses                              | 155.19        | 200.54        | 355.73        |
| <b>Total A&amp;G and R&amp;M Expenses</b> | <b>181.23</b> | <b>332.43</b> | <b>513.66</b> |

#### Commission's Analysis:

The R&M and A&G expenses are to be determined as per Regulation 26.1 of PSERC MYT Regulations, 2019.

For determining the normative value of R&M expenses, the average GFA of BBMB is excluded by the Commission as R&M expenses of BBMB are allowed based on

actuals. The average GFA of BBMB (Rs. 642.69 Crore) is considered as per the Fixed Asset Register submitted by PSPCL.

The Commission has further observed that the asset of GNDTP amount to Rs. 3350.59 Crore out of which Rs. 3265.65 Crore of land is not in use and Rs. 84.94 Crore of other assets pertains to Generation Business. Accordingly, the Commission has excluded the GFA of Rs. 3265.65 Crore due to land from Distribution Business and considered the GFA of Rs. 84.94 Crore due to other assets in Generation Business.

Further, the Commission has revised the K factor for FY 2020-21 for Generation business and Distribution business based on true-up of capital expenditure of FY 2019-20 as under:

**K factor revised by the Commission for FY 2020-21**

| (Rs. Crore)                                                                           |               |               |
|---------------------------------------------------------------------------------------|---------------|---------------|
| Particulars                                                                           | Generation    | Distribution  |
| I                                                                                     | II            | III           |
| Opening GFA                                                                           | 20536.89      | 31984.85      |
| Net Addition during the Year                                                          | 60.62         | 1088.57       |
| Closing GFA                                                                           | 20597.51      | 33073.42      |
| Average GFA                                                                           | 20567.20      | 32529.14      |
| Average GFA (excluding BBMB and including GNDTP other assets for Generation Business) | 19926.06      | 32529.14      |
| Actual R&M Expenses                                                                   | 94.92         | 253.86        |
| <b>K factor</b>                                                                       | <b>0.476%</b> | <b>0.780%</b> |

The same K-factor shall be considered for the 2<sup>nd</sup> MYT Control Period.

The actual WPI increase of 1.29% in FY 2020-21 over FY 2019-20 (computation provided in para 3.13) is considered to compute the normative value of R&M expenses for FY 2020-21. The computation of the same is detailed below:

**Table 49: Normative R&M expenses allowed by the Commission for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars                                                                                                   | Generation | Distribution | Total    |
|---------|---------------------------------------------------------------------------------------------------------------|------------|--------------|----------|
| I       | II                                                                                                            | III        | IV           | V        |
| 1       | Opening GFA (including BBMB)                                                                                  | 20597.51   | 29722.83*    | 50320.34 |
| 2       | Net Addition during the Year                                                                                  | 68.76      | 1470.32      | 1539.08  |
| 3       | Closing GFA                                                                                                   | 20666.27   | 31193.15     | 51859.43 |
| 4       | Average GFA                                                                                                   | 20631.89   | 30457.99     | 51089.89 |
| 5       | Average GFA of BBMB                                                                                           | 642.69     | -            | 642.69   |
| 6       | Average GFA of GNDTP                                                                                          | 84.94      | -            | 84.94    |
| 7       | Average GFA (excluding BBMB and including GNDTP other assets for Generation Business) only for the purpose of | 20074.14   | 30457.99     | 50532.14 |

| (Rs. Crore) |                                                     |              |               |               |
|-------------|-----------------------------------------------------|--------------|---------------|---------------|
| Sr. No.     | Particulars                                         | Generation   | Distribution  | Total         |
| I           | II                                                  | III          | IV            | V             |
|             | R&M (4-5+6)                                         |              |               |               |
| 8           | K factor                                            | 0.476%       | 0.780%        |               |
| 9           | Escalation factor                                   | 1.29%        | 1.29%         |               |
| <b>10</b>   | <b>R&amp;M Expenses</b>                             | <b>96.86</b> | <b>240.77</b> | <b>337.63</b> |
|             | <i>*excluding GFA of GNDTP of Rs. 3350.59 Crore</i> |              |               |               |

The Commission has therefore considered the normative R&M Expenses of Rs. 337.63 Crore for FY 2020-21. The project-wise allocation of R&M expenses is made by the Commission based on the allocation statement submitted by PSPCL for FY 2020-21. Accordingly, the project-wise R&M expenses approved for FY 2020-21 are given in the following table:

**Table 50: Project wise R&M Expenses – Hydro & Thermal (Generation and Distribution) allowed by the Commission for FY 2020-21**

| (Rs. Crore)                   |               |
|-------------------------------|---------------|
| Projects                      | Amount        |
| I                             | II            |
| Shanan                        | 3.07          |
| UBDC                          | 0.67          |
| RSD                           | 33.03         |
| MHP                           | 2.63          |
| ASHP                          | 0.88          |
| Micro                         | -             |
| <b>Total (Hydro) (A)</b>      | <b>40.27</b>  |
| GGSTP                         | 26.00         |
| GHTP                          | 30.59         |
| <b>Total (Thermal) (B)</b>    | <b>56.59</b>  |
| <b>Total Generation (A+B)</b> | <b>96.86</b>  |
| <b>Total Distribution</b>     | <b>240.77</b> |
| <b>Total R&amp;M Expenses</b> | <b>337.63</b> |

**For A&G expenses** of FY 2020-21, the Commission has considered the baseline value as Rs. 168.44 Crore. The INDEX for FY 2020-21 is calculated as 3.16% in Table 45.

Further, Note 7 of Regulation 26.1 of PSERC MYT Regulations 2019 states as under:

“...Note 7: Any expenditure on account of license fee, initial or renewal, fee for determination of tariff and audit fee shall be allowed on actual basis, over and above the A&G expenses approved by the Commission.”

The Commission has considered the Audit and license fees as submitted by PSPCL. Further, the Commission has also considered the NRPC fees as per actuals.

Accordingly, the A&G expenses for FY 2020-21 are calculated as follows:

**Table 51: A&G Expenses approved by the Commission for FY 2020-21**

| (Rs. Crore) |                                            |               |
|-------------|--------------------------------------------|---------------|
| Sr. No.     | Particulars                                | FY 2020-21    |
| I           | II                                         | III           |
| 1.          | Baseline A&G Expenses excluding BBMB (n-1) | 168.44        |
| 2.          | INDEXn                                     | 3.16%         |
| <b>3.</b>   | <b>A&amp;G Expenses</b>                    | <b>173.76</b> |
| 4.          | Audit fees                                 | 0.30          |
| 5.          | License fees                               | 12.41         |
| 6.          | NRPC fees                                  | 0.06          |
| <b>7.</b>   | <b>Total A&amp;G Expenses</b>              | <b>186.53</b> |
| <b>8.</b>   | <b>Generation Business</b>                 | <b>23.76</b>  |
| <b>9.</b>   | <b>Distribution Business</b>               | <b>162.77</b> |

The project-wise allocation of A&G expenses is made by the Commission based on the allocation statement submitted by PSPCL for FY 2020-21. Accordingly, the project-wise A&G expenses approved for FY 2020-21 are given in the following table:

**Table 52: Project-wise A&G expenses approved by the Commission for FY 2020-21**

| (Rs. Crore)                   |               |
|-------------------------------|---------------|
| Projects                      | Amount        |
| I                             | II            |
| Shanan                        | 0.93          |
| UBDC                          | 0.95          |
| RSD                           | 2.38          |
| MHP                           | 1.24          |
| ASHP                          | 0.73          |
| Micro                         | -             |
| <b>Total (Hydro) (A)</b>      | <b>6.23</b>   |
| GGSTP                         | 7.86          |
| GHTP                          | 9.67          |
| <b>Total (Thermal) (B)</b>    | <b>17.53</b>  |
| <b>Total Generation (A+B)</b> | <b>23.76</b>  |
| <b>Total Distribution</b>     | <b>162.77</b> |
| <b>Total A&amp;G Expenses</b> | <b>186.53</b> |

### 3.15 PSPCL's share in BBMB

PSPCL, in the true-up for FY 2020-21, has claimed O&M expenses (Employee cost of Rs. 277.48 Crore + R&M expenses of Rs. 33.22 Crore + A&G expenses of Rs. 5.15 Crore) on account of its share in BBMB amounting to Rs. 315.85 Crore for



Generation Business as pass through subject to determination /true-up of BBMB expenses for FY 2020-21 by Central Electricity Regulatory Commission.

**The Commission approves O&M expenses of PSPCL's share in BBMB as Rs. 315.85 Crore for Generation Business for FY 2020-21 subject to approval by CERC.**

### **3.16 Depreciation Charges**

The Commission, in the Tariff Order for FY 2020-21, had approved Rs. 377.75 Crore and Rs. 997.43 Crore as depreciation charges for Generation and Distribution Business respectively. The same was revised to Rs. 391.54 Crore and Rs. 967.23 Crore for Generation and Distribution Business respectively in the Tariff Order for FY 2021-22 during the review of FY 2020-21.

#### **PSPCL's Submissions:**

PSPCL has claimed depreciation of Rs. 1282.89 Crore for FY 2020-21 based on Audited Annual Accounts. The computation of depreciation charges as submitted by PSPCL is given in the following table:

**Table 53: Depreciation for FY 2020-21 as claimed by PSPCL**

| (Rs. Crore)        |                     |                       |                |
|--------------------|---------------------|-----------------------|----------------|
| Particulars        | Generation Business | Distribution Business | Total          |
| I                  | II                  | III                   | IV             |
| Opening GFA        | 24864.87            | 29719.73              | 54584.60       |
| Addition of GFA    | 65.39               | 1198.77               | 1264.16        |
| Closing GFA        | 24930.26            | 30918.50              | 55848.76       |
| Total Depreciation | <b>334.89</b>       | <b>947.90</b>         | <b>1282.79</b> |

#### **Commission's Analysis:**

Regulation 21 of the PSERC MYT Regulations, 2019 specifies as under:

*"21.1. The value base for the purpose of depreciation shall be the capital cost of the assets admitted by the Commission:*

*Provided that the depreciation shall be allowed after reducing the approved original cost of the retired or replaced or decapitalized assets:*

*Provided that the land, other than the land held under lease and land for reservoir in case of hydro generating station, shall not be a depreciable asset and its cost shall be excluded from the capital cost while computing depreciable value of the assets:*

*Provided further that Government grants and consumer contribution shall also be recognized as defined under Indian Accounting Standard 20 (IND AS 20) notified by the Ministry of Corporate Affairs.*

*21.2. The residual/salvage value of the asset shall be considered as 10% and depreciation shall be allowed up to maximum of 90% of historical capital cost of the asset:*

*Provided that I.T. Equipment and Software shall be depreciated 100% with zero salvage value.*

*21.3. The Cost of the asset shall include additional capitalization.*

*21.4. The Generating Company, Transmission and Distribution Licensee shall provide the list of assets added during each Year of the Control Period and the list of assets completing 90% of depreciation in the Year along with Petition for Annual Performance Review, true-up and tariff determination for ensuing Year.*

*21.5. Depreciation for Distribution, generation and transmission assets shall be calculated annually as per straight line method over the useful life of the asset at the rate of depreciation specified by the Central Electricity Regulatory Commission from time to time:*

*Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from date of commercial operation/ put in use of the asset shall be spread over the balance useful life of the assets:*

*Provided further that in case of hydro generating stations, the salvage value shall be as provided in the agreement signed by the developers with the State Government for creation of the asset.*

*21.6. Depreciation shall be chargeable from the first year of commercial operation/asset is put in use. In case of commercial operation of the asset/put in use of asset for part of the year, depreciation shall be charged on pro rata basis.”*

The Commission determines the depreciation for the FY 2020-21 as per the Regulation 21 stated above. The Opening GFA for the Spillover schemes is considered as per the Closing GFA approved by the Commission in the impact of Capital Expenditure of True-up of FY 2019-20 while the opening GFA for new schemes is considered as zero.

Further, the Commission has not considered the depreciation on account of assets of Rs. 3350.59 Crore transferred from GNDTP. Accordingly, the same has been deducted from the Opening GFA for the Spillover schemes of Distribution Business.

The Commission has considered the addition of GFA as discussed in para 3.12. Based on the actual project-wise rate of depreciation as submitted by PSPCL, the depreciation for Spillover and New Schemes is as follows:

**Table 54: Depreciation approved by the Commission for Spillover Schemes for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars               | Depreciation for Spillover Schemes (FY 2020-21) |         |        |        |         |         |        |       |        |                    |                                      |          |
|---------|---------------------------|-------------------------------------------------|---------|--------|--------|---------|---------|--------|-------|--------|--------------------|--------------------------------------|----------|
|         |                           | GGSSTP                                          | GHTP    | Shanan | UBDC   | RSD     | MHP     | ASHP   | Micro | BBMB   | Total (Generation) | Total (Distribution excluding GNDTP) | Total    |
| I       | II                        | III                                             | IV      | V      | VI     | VII     | VIII    | IX     | X     | XI     | XII                | XIII                                 | XIV      |
| 1.      | Opening GFA               | 3917.48                                         | 4871.69 | 149.27 | 900.16 | 8077.89 | 1350.53 | 659.78 | 29.57 | 641.15 | 20597.51           | 29722.83                             | 50320.34 |
| 2.      | Addition during the Year  | 27.70                                           | 0.71    | 0.92   | 3.68   | 0.01    | 24.45   | 0.21   | 0.00  | 3.09   | 60.77              | 309.57                               | 370.34   |
| 3.      | Closing GFA               | 3945.19                                         | 4872.40 | 150.19 | 903.84 | 8077.90 | 1374.98 | 659.99 | 29.57 | 644.24 | 20658.29           | 30032.40                             | 50690.68 |
| 4.      | Average GFA               | 3931.34                                         | 4872.05 | 149.73 | 902.00 | 8077.89 | 1362.76 | 659.88 | 29.57 | 642.69 | 20627.90           | 29877.61                             | 50505.51 |
| 5.      | Average GFA of Land       | 2419.01                                         | 743.12  | 51.75  | 673.90 | 329.27  | 522.50  | 511.71 | 7.47  | 0.00   | 5258.73            | 6736.10                              | 11994.83 |
| 6.      | Average GFA (Net of Land) | 1512.33                                         | 4128.92 | 97.98  | 228.10 | 7748.63 | 840.25  | 148.17 | 22.10 | 642.69 | 15369.17           | 23141.51                             | 38510.68 |
| 7.      | Depreciation Rate (%)     | 1.26%                                           | 2.95%   | 3.00%  | 1.11%  | 1.87%   | 3.08%   | 1.71%  | 1.13% | 1.90%  |                    | 4.00%                                | 3.10%    |
| 8.      | Depreciation              | 19.05                                           | 121.75  | 2.94   | 2.52   | 144.89  | 25.90   | 2.53   | 0.25  | 12.18  | 332.02             | 924.81                               | 1256.83  |

**Table 55: Depreciation approved by the Commission for New Schemes for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars               | Depreciation for New Schemes (FY 2020-21) |       |        |       |       |       |       |       |       |                    |                                      |         |
|---------|---------------------------|-------------------------------------------|-------|--------|-------|-------|-------|-------|-------|-------|--------------------|--------------------------------------|---------|
|         |                           | GGSSTP                                    | GHTP  | Shanan | UBDC  | RSD   | MHP   | ASHP  | Micro | BBMB  | Total (Generation) | Total (Distribution excluding GNDTP) | Total   |
| I       | II                        | III                                       | IV    | V      | VI    | VII   | VIII  | IX    | X     | XI    | XII                | XIII                                 | XIV     |
| 1.      | Opening GFA               | 0.00                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00               | 0.00                                 | 0.00    |
| 2.      | Addition during the Year  | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 4.66  | 0.00  | 0.00  | 0.00  | 7.99               | 1160.76                              | 1168.74 |
| 3.      | Closing GFA               | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 4.66  | 0.00  | 0.00  | 0.00  | 7.99               | 1160.76                              | 1168.74 |
| 4.      | Average GFA               | 0.07                                      | 1.58  | 0.00   | 0.00  | 0.00  | 2.33  | 0.00  | 0.00  | 0.00  | 3.99               | 580.38                               | 584.37  |
| 5.      | Average GFA of Land       | 0.00                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00               | 0.00                                 | 0.00    |
| 6.      | Average GFA (Net of Land) | 0.07                                      | 1.58  | 0.00   | 0.00  | 0.00  | 2.33  | 0.00  | 0.00  | 0.00  | 3.99               | 580.38                               | 584.37  |
| 7.      | Depreciation Rate (%)     | 1.26%                                     | 2.95% | 3.00%  | 1.11% | 1.87% | 3.08% | 1.71% | 1.13% | 1.90% | 2.16%              | 4.00%                                | 3.98%   |
| 8.      | Depreciation              | 0.00                                      | 0.05  | 0.00   | 0.00  | 0.00  | 0.07  | 0.00  | 0.00  | 0.00  | 0.12               | 23.19                                | 23.31   |

**Table 56: Depreciation approved by the Commission for FY 2020-21****(Rs. Crore)**

| Sr. No. | Particulars               | Total Depreciation (FY 2020-21) |               |             |             |               |              |             |             |              |                    |                                   |                |
|---------|---------------------------|---------------------------------|---------------|-------------|-------------|---------------|--------------|-------------|-------------|--------------|--------------------|-----------------------------------|----------------|
|         |                           | GGSSSTP                         | GHTP          | Shanan      | UBDC        | RSD           | MHP          | ASHP        | Micro       | BBMB         | Total (Generation) | Total (Distribution except GNDTP) | Total          |
| I       | II                        | III                             | IV            | V           | VI          | VII           | VIII         | IX          | X           | XI           | XII                | XIII                              | XIV            |
| 1.      | Opening GFA               | 3917.48                         | 4871.69       | 149.27      | 900.16      | 8077.89       | 1350.53      | 659.78      | 29.57       | 641.15       | 20597.51           | 29722.83                          | 50320.34       |
| 2.      | Addition during the Year  | 27.85                           | 3.88          | 0.92        | 3.68        | 0.02          | 29.11        | 0.21        | 0.00        | 3.09         | 68.76              | 1470.32                           | 1539.08        |
| 3.      | Closing GFA               | 3945.33                         | 4875.57       | 150.19      | 903.84      | 8077.91       | 1379.64      | 659.99      | 29.57       | 644.24       | 20666.27           | 31193.15                          | 51859.43       |
| 4.      | Average GFA               | 3931.41                         | 4873.63       | 149.73      | 902.00      | 8077.90       | 1365.09      | 659.88      | 29.57       | 642.69       | 20631.89           | 30457.99                          | 51089.89       |
| 5.      | Average GFA of Land       | 2419.01                         | 743.12        | 51.75       | 673.90      | 329.27        | 522.50       | 511.71      | 7.47        | 0.00         | 5258.73            | 6736.10                           | 11994.83       |
| 6.      | Average GFA (Net of Land) | 1512.40                         | 4130.51       | 97.98       | 228.10      | 7748.63       | 842.59       | 148.17      | 22.10       | 642.69       | 15373.17           | 23721.89                          | 39095.06       |
| 7.      | <b>Depreciation</b>       | <b>19.05</b>                    | <b>121.80</b> | <b>2.94</b> | <b>2.52</b> | <b>144.89</b> | <b>25.97</b> | <b>2.53</b> | <b>0.25</b> | <b>12.18</b> | <b>332.14</b>      | <b>948.01</b>                     | <b>1280.15</b> |

**3.17 Interest and Finance Charges**

The Commission, in the Tariff Order for FY 2020-21, had approved Rs. 53.33 Crore and Rs. 486.92 Crore as interest and finance charges for Generation and Distribution Business respectively. The same was revised to Rs. 42.96 Crore and Rs. 648.65 Crore for Generation and Distribution Business respectively in the Tariff Order for FY 2021-22 during the review of FY 2020-21.

**PSPCL's Submission**

PSPCL has submitted that the the gross interest liability towards long term borrowing for FY 2020-21 as per the audited accounts is Rs. 798.35 Crore. After adjusting interest capitalisation of Rs. 218.52 Crore, the net interest cost of PSPCL on long-term loans works out to Rs. 579.83 Crore for FY 2020-21.

**Commission's Analysis:**

The Commission determines the Interest on loan capital for FY 2020-21 as per Regulation 24 of the PSERC MYT Regulations, 2019. It is reproduced as under:

*“24.1. For existing loan capital, interest and finance charges on loan capital shall be computed on the outstanding loans, duly taking into account the actual rate of interest and the schedule of repayment as per the terms and conditions of relevant agreements. The rate of interest shall be the actual rate of interest paid/payable (other than working capital loans) on loans by the Licensee.*

*24.2. Interest and finance charges on the future loan capital for new investments shall be computed on the loans, based on one (1) year State Bank of India (SBI) MCLR/any replacement thereof as notified by RBI as may be applicable as on 1<sup>st</sup> April of the relevant year, plus a margin determined on the basis of current actual rate of interest of the capital expenditure loan taken by the Generating Company, Licensee or SLDC and prevailing SBIMCLR.*

*24.3. There payment for each year of the tariff period shall be deemed to be equal to the depreciation allowed for the corresponding year. In case of de-capitalisation of assets, the repayment shall be adjusted by taking into account cumulative depreciation made to the extent of de-capitalisation.*

*24.4. The Commission shall allow obligatory taxes on interest, finance charges (including guarantee fee payable to the Government) and any exchange rate difference arising from foreign currency borrowings, as finance cost.*

*24.5. The interest on excess equity treated as loan shall be serviced at the weighted average interest rate of actual loan taken from the lenders.*

*Provided also that if there is no actual loan for a particular Year but normative loan is still outstanding, the last available weighted average rate of interest for the actual loan shall be considered.”*

The Opening of loan for the Spillover schemes is considered as per the Closing approved by the Commission in the Impact of True-up of Capital Expenditure of FY 2019-20 in this Order and further the Commission has reduced the Capital expenditure loans of Rs. 2246.77 Crore from the opening balance of FY 2020-21 since these loans have been taken over by Govt. of Punjab under UDAY schemes.

The Commission has considered the approved addition of loan as given in Table 42 & Table 43. As per regulation 24.3 of PSERC MYT Regulation 2019, the repayment of loan is considered equal to depreciation allowed for the corresponding year.

The weighted average interest on loan is considered as 9.43% for Generation and Distribution Businesses of PSPCL, as PSPCL has not submitted business-wise segregation for the same. Further, interest on GPF Liability is discussed separately. The Commission determines the opening and closing balances of Loans (other than working capital Loans) along with actual weighted average interest for Generation Business and Distribution business for FY 2020-21 as shown in the following tables:

**Table 57: Interest and finance charges approved by the Commission for Spillover Schemes for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars                            | Interest and finance charges for Spillover Schemes (FY 2020-21) |             |             |             |             |              |             |             |              |                    |                      |               |
|---------|----------------------------------------|-----------------------------------------------------------------|-------------|-------------|-------------|-------------|--------------|-------------|-------------|--------------|--------------------|----------------------|---------------|
|         |                                        | GGSSSTP                                                         | GHTP        | Shanan      | UBDC        | RSD         | MHP          | ASHP        | Micro       | BBMB         | Total (Generation) | Total (Distribution) | Total         |
| I       | II                                     | III                                                             | IV          | V           | VI          | VII         | VIII         | IX          | X           | XI           | XII                | XIII                 | XIV           |
| 1       | Opening Loan                           | 94.57                                                           | 10.19       | 21.66       | 11.74       | 117.87      | 136.43       | 5.34        | 0.00        | 165.88       | 563.68             | 5956.16              | 6519.84       |
| 2       | Addition during the year               | 5.17                                                            | 0.11        | 0.10        | 8.78        | 11.93       | 15.25        | -0.18       | 0.00        | 3.22         | 44.38              | 200.57               | 244.95        |
| 3       | Less: Consumer Contribution and Grants | 0.00                                                            | 0.00        | 0.00        | 0.00        | 0.00        | 0.00         | 0.00        | 0.00        | 0.00         | 0.00               | 68.74                | 68.74         |
| 4       | Less: Repayment during the year        | 19.05                                                           | 10.30       | 2.94        | 2.52        | 129.80      | 25.90        | 2.53        | 0.00        | 12.18        | 205.23             | 924.81               | 1130.05       |
| 5       | Closing Loan                           | 80.68                                                           | 0.00        | 18.82       | 18.00       | 0.00        | 125.78       | 2.63        | 0.00        | 156.92       | 402.83             | 5163.17              | 5566.00       |
| 6       | Average Loan                           | 87.63                                                           | 5.10        | 20.24       | 14.87       | 58.94       | 131.10       | 3.98        | 0.00        | 161.40       | 483.26             | 5559.67              | 6042.92       |
| 7       | Rate of Interest on Loan               | 9.43%                                                           | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%        | 9.43%       | 9.43%       | 9.43%        | 9.43%              | 9.43%                | 9.43%         |
| 8       | <b>Interest &amp; Finance Charges</b>  | <b>8.26</b>                                                     | <b>0.48</b> | <b>1.91</b> | <b>1.40</b> | <b>5.56</b> | <b>12.36</b> | <b>0.38</b> | <b>0.00</b> | <b>15.22</b> | <b>45.56</b>       | <b>524.18</b>        | <b>569.74</b> |

**Table 58: Interest and finance charges approved by the Commission for New Schemes for FY 2020-21**

(Rs.Crore)

|   | Particulars                            | Interest and finance charges for New Schemes (FY 2020-21) |             |             |             |             |             |             |             |             |                    |                      |              |
|---|----------------------------------------|-----------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|--------------------|----------------------|--------------|
|   |                                        | GGSSSTP                                                   | GHTP        | Shanan      | UBDC        | RSD         | MHP         | ASHP        | Micro       | BBMB        | Total (Generation) | Total (Distribution) | Total        |
| I | II                                     | III                                                       | IV          | V           | VI          | VII         | VIII        | IX          | X           | XI          | XII                | XIII                 | XIV          |
| 1 | Opening Loan                           | 0.00                                                      | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00               | 0.00                 | 0.00         |
| 2 | Addition during the year               | 0.15                                                      | 3.17        | 0.00        | 0.00        | 0.01        | 4.66        | 0.00        | 0.00        | 0.00        | 7.99               | 1160.76              | 1168.74      |
| 3 | Less: Consumer Contribution and Grants | 0.00                                                      | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00               | 257.77               | 257.77       |
| 4 | Less: Repayment during the year        | 0.00                                                      | 0.05        | 0.00        | 0.00        | 0.00        | 0.07        | 0.00        | 0.00        | 0.00        | 0.12               | 23.19                | 23.31        |
| 5 | Closing Loan                           | 0.15                                                      | 3.12        | 0.00        | 0.00        | 0.01        | 4.59        | 0.00        | 0.00        | 0.00        | 7.87               | 879.80               | 887.66       |
| 6 | Average Loan                           | 0.07                                                      | 1.56        | 0.00        | 0.00        | 0.00        | 2.30        | 0.00        | 0.00        | 0.00        | 3.93               | 439.90               | 443.83       |
| 7 | Rate of Interest on Loan               | 9.43%                                                     | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%              | 9.43%                | 9.43%        |
| 8 | <b>Interest &amp; Finance Charges</b>  | <b>0.01</b>                                               | <b>0.15</b> | <b>0.00</b> | <b>0.00</b> | <b>0.00</b> | <b>0.22</b> | <b>0.00</b> | <b>0.00</b> | <b>0.00</b> | <b>0.37</b>        | <b>41.47</b>         | <b>41.85</b> |

**Table 59: Interest and finance charges approved by the Commission for FY 2020-21****(Rs. Crore)**

| Sr. No. | Particulars                            | Total Interest and finance charges (FY 2020-21) |       |        |       |        |        |       |       |        |                    |                      |         |
|---------|----------------------------------------|-------------------------------------------------|-------|--------|-------|--------|--------|-------|-------|--------|--------------------|----------------------|---------|
|         |                                        | GGSSTP                                          | GHTP  | Shanan | UBDC  | RSD    | MHP    | ASHP  | Micro | BBMB   | Total (Generation) | Total (Distribution) | Total   |
| I       | II                                     | III                                             | IV    | V      | VI    | VII    | VIII   | IX    | X     | XI     | XII                | XIII                 | XIV     |
| 1       | Opening Loan                           | 94.57                                           | 10.19 | 21.66  | 11.74 | 117.87 | 136.43 | 5.34  | 0.00  | 165.88 | 563.68             | 5956.16              | 6519.84 |
| 2       | Addition during the year               | 5.32                                            | 3.28  | 0.10   | 8.78  | 11.94  | 19.91  | -0.18 | 0.00  | 3.22   | 52.37              | 1361.33              | 1413.70 |
| 3       | Less: Consumer Contribution and Grants | 0.00                                            | 0.00  | 0.00   | 0.00  | 0.00   | 0.00   | 0.00  | 0.00  | 0.00   | 0.00               | 326.51               | 326.51  |
| 4       | Less: Repayment during the year        | 19.05                                           | 10.35 | 2.94   | 2.52  | 129.80 | 25.97  | 2.53  | 0.00  | 12.18  | 205.35             | 948.01               | 1153.36 |
| 5       | Closing Loan                           | 80.83                                           | 3.12  | 18.82  | 18.00 | 0.01   | 130.37 | 2.63  | 0.00  | 156.92 | 410.70             | 6042.97              | 6453.67 |
| 6       | Average Loan                           | 87.70                                           | 6.66  | 20.24  | 14.87 | 58.94  | 133.40 | 3.98  | 0.00  | 161.40 | 487.19             | 5999.56              | 6486.75 |
| 7       | Interest & Finance Charges             | 8.27                                            | 0.63  | 1.91   | 1.40  | 5.56   | 12.58  | 0.38  | 0.00  | 15.22  | 45.93              | 565.66               | 611.59  |

**3.18 Interest on GPF**

PSPCL has claimed interest on GPF liability in its distribution Business, amounting to Rs. 67.78 Crore as per Audited Annual Accounts for FY 2020-21. The details of the same are given in the following table:

**Table 60: Interest on GPF liability as submitted by PSPCL for FY 2020-21****(Rs. Crore)**

| Sr. No. | Particulars                      | Amount       |
|---------|----------------------------------|--------------|
| I       | II                               | III          |
| 1       | Opening GPF Liability            | 905.50       |
| 2       | Addition during the year         | -            |
| 3       | Repayment during the year        | 3.39         |
| 4       | Closing GPF Liability            | 902.11       |
| 5       | <b>Interest on GPF Liability</b> | <b>67.78</b> |

**Interest of Rs. 67.78 Crore on GPF Fund being statutory payment is allowed as claimed by PSPCL for FY 2020-21.**

**3.18.1 Capitalization of Interest Charges**

In the True up Petition of FY 2020-21, PSPCL has claimed Rs. 218.52 Crore towards capitalization of interest charges based on Audited Annual Accounts for FY 2020-21.

**The Commission approves capitalization of interest of Rs. 218.52 Crore for FY 2020-21.**

### 3.18.2 Finance Charges and Guarantee fee

PSPCL has claimed finance charge and Guarantee fee of Rs. 73.80 Crore which includes guarantee fees, based on Audited Annual Accounts for FY 2020-21.

**Accordingly, the Commission approves finance charges and Guarantee fee as Rs. 73.80 Crore for FY 2020-21.**

The total interest and finance charges for Distribution Business are approved as detailed as under:

**Table 61: Interest and Finance charges for Distribution Business**

(Rs. Crore)

| Sr. No. | Particulars                                          | Amount        |
|---------|------------------------------------------------------|---------------|
| I       | II                                                   | III           |
| 1       | Interest on Loan (Distribution) as per Table 59      | 565.66        |
| 2       | Add: Interest on GPF                                 | 67.78         |
| 3       | Add: Finance Charges                                 | 73.80         |
| 4       | Less: Capitalization of Interest charges             | 218.52        |
| 5       | <b>Interest &amp; Finance charges (Distribution)</b> | <b>488.72</b> |

**Accordingly, the Commission approves Interest & Finance charges of Rs. 488.72 Crore for Distribution and Rs. 45.93 Crore for Generation Business for FY 2020-21.**

### 3.19 Interest on Consumer Security Deposit

In the True up of FY 2020-21, PSPCL has claimed Rs. 123.63 Crore towards interest on consumer security deposit on the basis of Audited Annual Accounts for FY 2020-21. The details of the same are given in the following table:

**Table 62: Interest on Consumer Security Deposit as submitted by PSPCL for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars                         | Amount        |
|---------|-------------------------------------|---------------|
| I       | II                                  | III           |
| 1       | Opening Security Deposit            | 3531.73       |
| 2       | Closing Security Deposit            | 3674.94       |
| 3       | Average Security Deposit            | 3603.34       |
| 4       | <b>Interest on Security Deposit</b> | <b>123.63</b> |

**The Commission allows the interest of Rs. 123.63 Crore on consumer security deposit as claimed by PSPCL. As PSPCL utilises the consumer security deposit for its working capital requirements, the same has been deducted from**



its normative working capital requirements for Distribution Business discussed in para 3.20.

### 3.20 Interest on Working Capital

The Commission, in the Tariff Order for FY 2020-21, had approved Rs. 105.88 Crore and Rs. 33.33 Crore as interest on working capital for Generation and Distribution Business respectively. The same was revised to Rs. 94.16 Crore and Rs. 34.37 Crore for Generation and Distribution Business respectively in the Tariff Order for FY 2021-22 during the review of FY 2020-21. The Petitioner has now claimed interest on working capital of Rs. 686.74 Crore for True-up of FY 2020-21 based on actual working capital for PSPCL distribution business of Rs. 6902.68 Crores on which actual interest rate @10.13% has been worked out.

#### Commission's Analysis:

The Commission has computed the interest on working capital as per Regulation 33 and Regulation 43 of the PSERC MYT Regulations, 2019. The Commission works out weighted average rate of interest of short-term loans as 10.13% p.a., the Commission determines and approves the Interest on working capital as follows:

**Table 63: Interest on working Capital approved by the Commission for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars                                                        | FY 2020-21 |        |        |        |        |        |        |        |        |            |              |         |
|---------|--------------------------------------------------------------------|------------|--------|--------|--------|--------|--------|--------|--------|--------|------------|--------------|---------|
|         |                                                                    | GGs STP    | GHTP   | Shanan | UBDC   | RSD    | MHP    | ASHP   | Micro  | BBMB   | Generation | Distribution | Total   |
| I       | II                                                                 | III        | IV     | V      | VI     | VII    | VIII   | IX     | X      | XI     | XII        | XIII         | XIV     |
| 1       | Cost of Fuel for 2 months                                          | 44.14      | 48.60  |        |        |        |        |        |        |        | 92.75      |              | 92.75   |
| 2       | O&M Expenses for 1 month                                           | 29.58      | 20.26  | 2.66   | 3.31   | 5.27   | 3.73   | 2.51   | 0.00   |        | 67.31      | 364.67       | 431.98  |
| 3       | Maintenance spares @ 15% of the O&M expenses                       | 53.25      | 36.46  | 4.78   | 5.95   | 9.49   | 6.71   | 4.51   | 0.00   |        | 121.15     | 656.41       | 777.56  |
| 4       | Receivables equivalent to 2 months                                 | 123.79     | 28.28  | 6.78   | 10.55  | 65.42  | 17.68  | 7.91   | 0.13   | 60.21  | 420.74     | 4825.61      | 4219.25 |
| 5       | Less: Consumer Security Deposit                                    |            |        |        |        |        |        |        |        |        |            | 3603.34      | 3603.34 |
| 6       | Less: Power procurement cost including associated cost for 1 month |            |        |        |        |        |        |        |        |        |            | 1688.05      | 1688.05 |
| 7       | Total Normative Working Capital                                    | 250.77     | 33.60  | 14.21  | 19.80  | 80.18  | 28.12  | 14.93  | 0.13   | 60.21  | 701.95     | 555.31       | 1257.26 |
| 8       | Interest on Working Capital (%)                                    | 10.13%     | 10.13% | 10.13% | 10.13% | 10.13% | 10.13% | 10.13% | 10.13% | 10.13% | 10.13%     | 10.13%       | 10.13%  |
| 9       | Interest on Working Capital                                        | 25.40      | 23.66  | 1.44   | 2.01   | 8.12   | 2.85   | 1.51   | 0.01   | 6.10   | 71.10      | 56.25        | 127.34  |

**Accordingly, the Commission approves Interest on Working Capital of Rs. 71.10 Crore for FY 2020-21 for Generation Business and Rs. 56.25 Crore for FY 2020-21 for Distribution Business.**

### **3.21 Return on Equity**

#### **PSPCL's Submission:**

PSPCL has submitted that PSPCL has considered the opening equity including the share application money pending for allotment as per the audited accounts to calculate the admissible opening equity eligible to PSPCL for FY 2020-21.

PSPCL has submitted that as per the audited accounts, an amount of Rs. 15628.26 Crore on account of GoP Loans under UDAY are converted into equity on 31.03.2020. However, out of the total UDAY loans, Rs. 2246.77 Crore were capital expenditure loans and Rs. 13381.49 Crore were working capital loans. Further, Rs. 2346.19 Crore of working capital loans were diverted for capital expenditure funding which is already being approved by the Commission. Thus, PSPCL has considered the amount of Rs. 4592 Crore (Rs. 2346.19 Crore + Rs. 2246.77 Crore) in addition to amount of Rs. 6081 Crore to admissible equity for return.

PSPCL has considered a return rate of 15.5% on average admissible equity of amount Rs. 10674 Crore to work out Return on Equity for FY 2020-21 as Rs. 1683.60 Crore.

#### **Commission's Analysis:**

The Commission determines the Return on Equity for the Control Period in accordance with Regulation 20 of PSERC MYT Regulations, 2019 which is reproduced as under:

##### *"20. Return on equity*

*Return on equity shall be computed at the base rate of 15.5% for thermal generating stations, Transmission Licensee, SLDC and run of the river hydro generating stations and at the base rate of 16.5% for the storage type hydro generating stations and run of river generating stations with pondage and 16% for Distribution Licensee on the paid up equity capital determined in accordance with Regulation 19:*

*Provided that Equity invested in foreign currency shall be converted to rupee currency based on the exchange rate prevailing on the date(s) it is subscribed:*

*Provided further that assets funded by consumer contributions, capital subsidies/Government. grants shall not form part of the capital base for the purpose of calculation of Return on Equity."*

Further, Regulation 19 of PSERC MYT Regulations, 2019 is reproduced as under:

*“19.1. Existing Projects - In case of the capital expenditure projects having Commercial Operation Date prior to the effective date, the debt-equity ratio shall be as allowed by the Commission for determination of tariff for the period prior to the effective date:*

*Provided that the Commission shall not consider the increase in equity as a result of revaluation of assets (including land) for the purpose of computing return on equity.*

*19.2. New Projects – For capital expenditure projects declared under commercial operation on or after the effective date:*

*(a) A Normative debt-equity ratio of 70:30 shall be considered for the purpose of determination of Tariff;*

*(b) In case the actual equity employed is in excess of 30%, the amount of equity for the purpose of tariff determination shall be limited to 30%, and the balance amount shall be considered as normative loan;*

*(c) In case, the actual equity employed is less than 30%, the actual debt-equity ratio shall be considered;*

*(d) The premium, if any raised by the Applicant while issuing share capital and investment of internal accruals created out of free reserve, shall also be reckoned as paid up capital for the purpose of computing return on equity subject to the normative debt-equity ratio of 70:30, **provided such premium amount and internal accruals are actually utilized for meeting capital expenditure of the Applicant's business....”***

**(Emphasis added)**

The Commission has not considered the amount of Rs. 4592 Crore (Rs. 2346.19 Crore + Rs. 2246.77 Crore) in addition to amount of Rs. 6081 Crore to admissible equity for return. Accordingly, no addition of equity has been considered by the Commission to the opening equity of FY 2020-21 on account of conversion of UDAY loans of Rs.2246.77 Crore as it is not utilized for meeting the capital expenditure for new Projects. Similarly, Rs. 2346.19 Crore as claimed by PSPCL which was diverted for capital expenditure funding is also not considered for infusion towards equity as these were working capital loans of prior period.

The UDAY loans approved by the Commission till FY 2019-20 have been reduced from opening loans of FY 2020-21. The Commission has considered the opening equity for FY 2020-21 as the approved closing of equity from the True-up of FY 2019-20. The Commission determines Return on Equity for FY 2020-21 as follows:

**Table 64: Return on equity approved by the Commission for FY 2020-21**

(Rs. Crore)

| Sr. No. | Particulars              | FY 2020-21   |              |             |              |               |              |              |             |              |               |                |                        |               |
|---------|--------------------------|--------------|--------------|-------------|--------------|---------------|--------------|--------------|-------------|--------------|---------------|----------------|------------------------|---------------|
|         |                          | GGSSTP       | GHTP         | Shanan      | UBDC         | RSD           | MHP          | ASHP         | Micro       | BBMB         | Generation    | Wires Business | Retail Supply Business | Total         |
| I       | II                       | III          | IV           | V           | VI           | VII           | VIII         | IX           | X           | XI           | XII           | XIII           | XIV                    | XV            |
| 1       | Opening Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.68       | 3311.77        | 367.97                 | 6081.42       |
| 2       | Addition during the Year | 0.00         | 0.00         | 0.00        | 0.00         | 0.00          | 0.00         | 0.00         | 0.00        | 0.00         | 0.00          | 0.00           | 0.00                   | 0.00          |
| 3       | Closing Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.68       | 3311.77        | 367.97                 | 6081.42       |
| 4       | Average Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.68       | 3311.77        | 367.97                 | 6081.42       |
| 5       | Return on Equity (%)     | 15.50%       | 15.50%       | 16.50%      | 16.50%       | 16.50%        | 16.50%       | 16.50%       | 15.50%      | 16.50%       |               | 16.00%         | 16.00%                 |               |
| 6       | <b>Return on Equity</b>  | <b>70.16</b> | <b>88.89</b> | <b>2.51</b> | <b>17.67</b> | <b>161.43</b> | <b>19.97</b> | <b>12.92</b> | <b>0.50</b> | <b>11.92</b> | <b>385.98</b> | <b>529.88</b>  | <b>58.88</b>           | <b>974.74</b> |

### 3.22 Other Debits and Extraordinary Items

#### PSPCL's Submission

PSPCL has submitted that as per the audited accounts, Rs. 477.68 Crore has been incurred by PSPCL as Other Debits during the FY 2020-21. PSPCL has submitted that the major portion of Rs. 477.68 Crore consists of expenditure on account of retrospective changes in material cost variances, compensation, Bad & Doubtful debt written off, revenue amount refunded and miscellaneous losses, details of which are shown in the following table:

**Table 65: Other Debits claimed by PSPCL as per Audited Annual Accounts of FY 2020-21**  
(Rs. Crore)

| Particulars                               | Amount        |
|-------------------------------------------|---------------|
| I                                         | II            |
| Bad & doubtful debts written off          | 371.37        |
| Provision for Bad & doubtful debts        | 73.52         |
| Miscellaneous losses and write offs       | 18.08         |
| Loss on sale of Assets- Plant & Machinery | 14.72         |
| <b>Total</b>                              | <b>477.68</b> |

#### Commission's Analysis:

Regulation 47 of PSERC MYT Regulations 2019 for Distribution Business is reproduced as under:

#### **“47. BAD AND DOUBTFUL DEBTS AND OTHER DEBITS**

*47.1. Bad and doubtful debts shall be allowed to the extent the Distribution Licensee has identified/actually written off bad debts, subject to a maximum of 1% of annual sales revenue excluding subsidy, and according to a transparent policy approved by the Commission. In case, there is any recovery of bad debts already written off, the recovered bad debts will be treated as Other Income.*

*47.2. Other debits including miscellaneous losses and write offs, sundry debts, material cost variance, losses on account of flood, cyclone, fire etc. shall be considered by the Commission.”*

The Commission has observed that the amount of Rs. 371.37 Crore was considered as non-tariff income from Department of water supply and sanitation under One-time settlement scheme in previous years on account of LPS and interest thereon. The Commission has now considered the same as being reversed. Accordingly, the Commission disallows the same from Bad and Doubtful debts and removed the amount of Rs. 371.37 Crore from Non-Tariff Income.

**Accordingly, the Commission allows the remaining Rs. 106.32 Crore (477.68 – 371.37) as other debits and extraordinary items for FY 2020-21.**

#### **3.23 Charges payable to GoP on RSD**

PSPCL has claimed Rs. 9.26 Crore for FY 2020-21 as royalty charges payable to Government of Punjab on power from RSD (under Generation Business).

**The Commission approves royalty charges of Rs. 9.26 Crore for FY 2020-21 as claimed by PSPCL.**

#### **3.24 Non- tariff Income**

The Commission, in the Tariff Order for FY 2020-21, had approved Rs. 1080.72Crore as Non- tariff Income. The same was revised to Rs. 820.98 Crore in the Tariff Order for FY 2021-22 during the review of FY 2020-21.

#### **PSPCL’s Submission:**

In the True-Up Petition for FY 2020-21, PSPCL has submitted Non-Tariff Income of Rs. 811.86 Crore details of which are given in the following table:

**Table 66: Non-Tariff Income for FY 2020-21 as claimed by PSPCL**  
(Rs. Crore)

| Particulars                                                 | Actual         |
|-------------------------------------------------------------|----------------|
| I                                                           | II             |
| Other Income                                                |                |
| Meter/service rent                                          | 2514.42        |
| Miscellaneous charges (except PLEC)                         | 116.72         |
| Interest on advances to suppliers/contractors               | 18.36          |
| <b>Total Income</b>                                         | <b>2649.50</b> |
| Less: Carrying Cost on Delayed Payment of Subsidies         | 958.55         |
| Less: 50% of Rebate on timely payment for Power Purchase    | 81.32          |
| Less: Generation based incentive for Solar Power            | 8.19           |
| Less: Financing Cost of Late payment charges from consumers | 210.48         |
| Less: Revenue grant from GoP under UDAY Scheme              | 579.10         |
| <b>Net Non-Tariff Income</b>                                | <b>811.86</b>  |

**Commission's Analysis:**

- i) PSPCL has considered the generation based incentive of Rs. 8.19 Crore for Solar Power as part of power purchase cost. The Commission has considered the same as part of Non-Tariff Income.
- ii) PSPCL has considered financing cost of late payment charges from consumers as Rs.210.48 Crore. The Commission has computed the same as Rs. 234.27 Crore and has deducted it from total Other Income (as per Audited Accounts).
- iii) Carrying cost on delayed payment of subsidies is deducted from total Other Income as the same has been received on account of the interest paid by PSPCL due to non-availability of funds/ timely subsidies. The interest subsidy for REC is also deducted from total Other Income.
- iv) Revenue grant from GoP under UDAY Scheme is deducted from total Other Income as the payment was made by GoP to compensate for the loss incurred by PSPCL.
- v) The Non-tariff Income is reduced by Rs. 371.37 Crore as explained in para 3.22.

Accordingly, the Commission has taken Other Income of Rs. 2514.42 Crore (as per Audited Annual Accounts of FY 2020-21) for the purpose of computation of Non-Tariff Income and approves Rs. 526.95 Crore as Non-tariff Income. The computation of the same is tabulated below:

**Table 67: Non-Tariff Income approved by the Commission for FY 2020-21**

| (Rs. Crore) |                                                                                                                     |                   |
|-------------|---------------------------------------------------------------------------------------------------------------------|-------------------|
| Sr. No.     | Particulars                                                                                                         | Non-Tariff Income |
| I           | II                                                                                                                  | III               |
| 1           | Interest on Staff Loans & advances                                                                                  | 0.34              |
| 2           | Carrying Cost on Delayed Payment of Subsidies                                                                       | 958.55            |
| 3           | Interest on advances to suppliers/ contractors                                                                      | 0.48              |
| 4           | Interest from banks (other than fixed deposit)                                                                      | 0.19              |
| 5           | Interest on fixed deposits & other investments                                                                      | 7.77              |
| 6           | Delayed payment charges from consumers                                                                              | 555.10            |
| 7           | Lease money received from leased power plants                                                                       | 0.21              |
| 8           | Rental for hiring PSPCL poles by Cable TV network - Broadband Operators - Third Parties                             | 9.71              |
| 9           | Rental - Others                                                                                                     | 5.41              |
| 10          | Income from Sale of scrap etc.                                                                                      | 2.92              |
| 11          | Gain on sale of assets                                                                                              | 5.60              |
| 12          | Income from staff welfare activities                                                                                | 0.00              |
| 13          | Sale of tender forms                                                                                                | 0.28              |
| 14          | Sundry credit balance written back                                                                                  | 14.22             |
| 15          | Penalty for delay in delivery/ completion of work etc.                                                              | 21.90             |
| 16          | Income from outside parties for imparting training by PSPCL                                                         | 0.57              |
| 17          | Revenue grant from GoP under UDAY Scheme                                                                            | 579.10            |
| 18          | Other income                                                                                                        | 65.07             |
| 19          | Interest received on refund of Income Tax                                                                           | 0.00              |
| 20          | Receipt on account of damaged meters                                                                                | 7.52              |
| 21          | Commission for collection of octroi                                                                                 | 22.46             |
| 22          | Processing Fees                                                                                                     | 6.42              |
| 23          | Other income transferred from consumer contribution (Transferred from Note 19A)                                     | 181.82            |
| 24          | Reversal of Impairment Loss                                                                                         | 65.46             |
| 25          | Interest subsidy for REC                                                                                            | 3.32              |
| <b>26</b>   | <b>Total Other Income (as per Audited Accounts)</b>                                                                 | <b>2514.42</b>    |
| 27          | Add: Meter rent/Service Line Rental                                                                                 | 116.72            |
| 28          | Add: Misc. charges from consumers                                                                                   | 18.36             |
| 29          | Add: Rebate for timely payment of power purchase                                                                    | 81.32             |
| 30          | Add: Generation based incentive                                                                                     | 8.19              |
| 31          | Less: Interest subsidy for REC                                                                                      | 3.32              |
| 32          | Less: Financing Cost of Late payment charges from consumers                                                         | 234.27            |
| 33          | Less: Carrying Cost on Delayed Payment of Subsidies                                                                 | 958.55            |
| 34          | Less: Revenue grant from GoP under UDAY Scheme                                                                      | 579.10            |
| 35          | Less: Reversal of impairment loss                                                                                   | 65.46             |
| <b>36</b>   | <b>Total Non-Tariff Income</b>                                                                                      | <b>898.32</b>     |
| 37          | Less: Reversal of Amount receivable from Department of water supply and sanitation under One-time settlement scheme | 371.37            |
| <b>38</b>   | <b>Total Non-Tariff Income</b>                                                                                      | <b>526.95</b>     |

**The Commission accordingly approves Non-Tariff Income of Rs. 526.95 Crore for FY 2020-21 in Distribution Business.**

### 3.25 Prior Period Income/Expenditure

The Commission considers prior period expenses of Rs. 0.99 Crore (Water Charges of GVK) and Rs. 164.96 Crore (prior period expenses as approved in para 3.10) which have not been considered under power purchase cost for FY 2020-21. The remaining amount of Rs. 1000.99 Crore pertaining to the amount paid to NPL and TSPL in compliance to Hon'ble SC order dated 09.03.2021 for FY 2020-21.

Accordingly, the Commission approves prior period expenses as follows:

**Table 68: Prior Period Expenditure approved by the Commission for FY 2020-21**

| (Rs. Crore) |                                                               |                |
|-------------|---------------------------------------------------------------|----------------|
| Sr. No.     | Particulars                                                   | Amount         |
| I           | II                                                            | III            |
| 1           | Power purchase cost of prior period as discussed in para 3.10 | 1166.94        |
| 2           | <b>Total prior period expenditure</b>                         | <b>1166.94</b> |

### 3.26 Transmission & SLDC Charges payable to PSTCL

The Commission, in its True-up Order of PSTCL of FY 2020-21, determined Annual Revenue Requirement of FY 2020-21 as Rs. 1367.52 Crore as Transmission & SLDC charges payable by PSPCL for FY 2020-21.

Accordingly, Rs. 1367.52 Crore is being included in the true-up of PSPCL for FY 2020-21 as Transmission & SLDC charges.

### 3.27 Provision for DSM Fund

PSPCL, in its True-up Petition of FY 2020-21, claimed the Provision for DSM Fund of Rs. 1.84 Crore and the same is considered by the Commission as per DSM Regulations.

### 3.28 Aggregate Revenue Requirement of Generation Projects (Hydro and Thermal) for FY 2020-21

A summary of project wise Aggregate Revenue Requirement (ARR) of Generation Business of PSPCL (consisting of Hydro and Thermal Plants/Projects) for FY 2020-21 has been given the following tables:



**Table 69: ARR for Thermal Plants (Generation Business) for FY 2020-21****(Rs. Crore)**

| Sr. No. | Particulars                 | GGSSSTP       | GHTP          | Total          |
|---------|-----------------------------|---------------|---------------|----------------|
| I       | II                          | III           | IV            | V              |
| 1       | Fuel Cost                   | 264.87        | 291.61        | 556.48         |
| 2       | Employee Cost               | 321.14        | 202.83        | 523.97         |
| 3       | R&M Expenses                | 26.00         | 30.59         | 56.59          |
| 4       | A&G Expenses                | 7.86          | 9.67          | 17.53          |
| 5       | Depreciation                | 19.05         | 121.80        | 140.85         |
| 6       | Interest Charges            | 8.27          | 0.63          | 8.90           |
| 7       | Return on Equity            | 70.16         | 88.89         | 159.05         |
| 8       | Interest on Working Capital | 25.40         | 23.66         | 49.06          |
| 9       | <b>Revenue Requirement</b>  | <b>742.74</b> | <b>769.68</b> | <b>1512.42</b> |

**Table 70: ARR for Hydro Plants (Generation Business) for FY 2020-21****(Rs. Crore)**

| Sr. No. | Particulars                 | Shanan       | UBDC         | RSD           | MHP           | ASHP         | Micro       | BBMB          | Total          |
|---------|-----------------------------|--------------|--------------|---------------|---------------|--------------|-------------|---------------|----------------|
| I       | II                          | III          | IV           | V             | VI            | VII          | VIII        | IX            | X              |
| 1       | Employee Cost               | 27.87        | 38.05        | 27.84         | 40.86         | 28.48        | -           | 277.48        | 440.59         |
| 2       | R&M Expenses                | 3.07         | 0.67         | 33.03         | 2.63          | 0.88         | -           | 33.22         | 73.50          |
| 3       | A&G Expenses                | 0.93         | 0.95         | 2.38          | 1.24          | 0.73         | -           | 5.15          | 11.38          |
| 4       | Depreciation                | 2.94         | 2.52         | 144.89        | 25.97         | 2.53         | 0.25        | 12.18         | 191.29         |
| 5       | Interest Charges            | 1.91         | 1.40         | 5.56          | 12.58         | 0.38         | -           | 15.22         | 37.04          |
| 6       | Return on Equity            | 2.51         | 17.67        | 161.43        | 19.97         | 12.92        | 0.50        | 11.92         | 226.93         |
| 7       | Interest on Working Capital | 1.44         | 2.01         | 8.12          | 2.85          | 1.51         | 0.01        | 6.10          | 22.04          |
| 8       | Royalty Paid by RSD to GoP  | -            | -            | 9.26          | -             | -            | -           | -             | 9.26           |
| 9       | <b>Revenue requirement</b>  | <b>40.67</b> | <b>63.28</b> | <b>392.51</b> | <b>106.09</b> | <b>47.44</b> | <b>0.76</b> | <b>361.27</b> | <b>1012.02</b> |

**Table 71: Total ARR for Generation Business for FY 2020-21**

| (Rs. Crore)                       |                |
|-----------------------------------|----------------|
| Projects                          | Amount         |
| I                                 | II             |
| GGSSSTP                           | 742.74         |
| GHTP                              | 769.68         |
| Total Thermal (A)                 | 1512.42        |
| Total Hydro (B)                   | 1012.02        |
| <b>Total Generation (A) + (B)</b> | <b>2524.44</b> |

**3.29 Aggregate Revenue Requirement of Distribution Business for FY 2020-21**

The Net Revenue Requirement of Distribution Business of PSPCL for FY 2020-21 is given in the following table:

**Table 72: ARR of Distribution Business for FY 2020-21**

| (Rs. Crore) |                                       |                |                        |
|-------------|---------------------------------------|----------------|------------------------|
| Sr. No.     | Particulars                           | Wires Business | Retail Supply Business |
| I           | II                                    | III            | IV                     |
| 1           | Cost of power purchase                | -              | 20256.59               |
| 2           | Employee Cost                         | 1589.01        | 2383.51                |
| 3           | R&M Expenses                          | 216.69         | 24.08                  |
| 4           | A&G Expenses                          | 81.39          | 81.39                  |
| 5           | Depreciation                          | 853.20         | 94.80                  |
| 6           | Interest & Finance Charges            | 439.84         | 48.87                  |
| 7           | Interest on Consumer Security Deposit | 12.36          | 111.27                 |
| 8           | Return on Equity                      | 529.88         | 58.88                  |
| 9           | Interest on Working Capital           | 5.62           | 50.62                  |
| 10          | Intra-State Transmission Charges      | -              | 1367.52                |
| 11          | Provision for DSM Fund                | -              | 1.84                   |
| 12          | Prior Period Expense (Income)         | -              | 1166.94                |
| 13          | Other Debits                          | -              | 106.32                 |
| <b>14</b>   | <b>Total Revenue Requirement</b>      | <b>3728.01</b> | <b>25752.62</b>        |
| 15          | Less: Non-Tariff Income               | 52.70          | 474.26                 |
| <b>16</b>   | <b>Net Revenue Requirement</b>        | <b>3675.31</b> | <b>25278.37</b>        |

### 3.30 Aggregate Revenue Requirement of PSPCL for FY 2020-21

The summary of Net Revenue Requirement for PSPCL as a whole for FY 2020-21 is given in the following table

**Table 73 : Net revenue Requirement of PSPCL for FY 2020-21**

| (Rs. Crore) |                                       |                                      |                             |                                    |
|-------------|---------------------------------------|--------------------------------------|-----------------------------|------------------------------------|
| Sr. No.     | Items of Expenses                     | Approved by the Commission in Review | Claimed by PSPCL in True-Up | Finally approved by the Commission |
| I           | II                                    | III                                  | IV                          | V                                  |
| 1           | Fuel Cost                             | 1496.65                              | 668                         | 556.48                             |
| 2           | Power Purchase Cost                   | 19765.74                             | 22041                       | 20256.59                           |
| 3           | Employee Cost                         | 4860.22                              | 4808                        | 4937.07                            |
| 4           | R&M Expenses                          | 397.58                               | 356                         | 370.85                             |
| 5           | A&G Expenses                          | 189.63                               | 157                         | 191.68                             |
| 6           | Depreciation                          | 1358.77                              | 1283                        | 1280.15                            |
| 7           | Interest & Finance Charges            | 691.61                               | 884                         | 534.65                             |
| 8           | Interest on Consumer Security Deposit | 164.23                               | 124                         | 123.63                             |
| 9           | Return on Equity                      | 974.74                               | 1684                        | 974.74                             |
| 10          | Interest on Working Capital           | 128.53                               | 687                         | 127.34                             |
| 11          | Intra-State Transmission Charges      | 1333.05                              | 1334                        | 1367.52                            |
| 12          | Provision for DSM Fund                | -                                    | 1.84                        | 1.84                               |
| 13          | Prior Period Expense (Income)         | -                                    | -                           | 1166.94                            |
| 14          | Royalty Paid by RSD to GoP            | 13.89                                | 9.26                        | 9.26                               |
| 15          | Other Debits                          | -                                    | 477.68                      | 106.32                             |
| <b>16</b>   | <b>Total Revenue Requirement</b>      | <b>31374.64</b>                      | <b>34515.41</b>             | <b>32005.07</b>                    |
| 17          | Less: Non-Tariff Income               | 820.98                               | 811.86                      | 526.95                             |
| <b>18</b>   | <b>Net Revenue Requirement</b>        | <b>30553.66</b>                      | <b>33703.55</b>             | <b>31478.12</b>                    |

### 3.31 Revenue from sale of power

In the True-Up Petition for FY 2020-21, PSPCL has submitted revenue from sale of power at Rs. 31608 Crore as per Audited Accounts.

The Commission directed PSPCL to provide the actual billing data. PSPCL submitted the same vide Memo No. 47/ARR/DY.CAO./263/Deficiencies/Vol-I dated 11.01.2022.

The Commission observed as under:

1. The revenue from sale of power in the audited accounts was less than shown in the actual billing data. Accordingly, the Commission decided to consider the metered category-wise revenue as **per the actual billed data**.
2. PSPCL vide email dated 24.03.2022 has submitted that a one-time settlement scheme was launched by CE/Commercial office vide Memo No. 818/25/DD/SR-56

dated 08.03.2019 & office of CAO/Revenue vide Memo No. 52-59/CAO/RM/101 dated 08.02.2021 for Rural Water Supply connections of department of water supply & sanitation (DWSS) for settling the Surcharge/interest on defaulting amounts of energy bills. PSPCL has further submitted that an amount of Rs. 128.68 Crore was settled under this scheme and PSPCL has inadvertently deducted the same in the revenue of the category of 'Compost/ Solid waste Management Plants for Municipalities/ Urban Local Bodies/ Rural Water Supply'. Accordingly, the Commission has not considered the Sundry Allowances of Rs. 128.68 Crore as part of Revenue for FY 2020-21 as PSPCL has separately claimed Rs. 371.37 Crore as bad and doubtful debts. The same is being dealt in Para 3.22 and 3.24.

3. Further, the details regarding revenue from theft and unbilled revenue were submitted by PSPCL vide reply dated 24.12.2021. The Commission has observed that PSPCL has submitted 370.11 M kWh as units detected under theft (194.29 M kWh) and short assessment (175.82 M kWh) as given in Table 14. However, the revenue submitted by PSPCL was only Rs. 68.48 Crore. In response to Commission's query regarding the same, PSPCL vide memo no. 25/CAO/RM/151 dated 11.01.2022 has submitted that the revenue from theft may be considered as Rs. 270.38 Crore wherein Rs. 68.48 Crore has been booked separately under theft and rest of the revenue has been booked under revenue of various categories.
4. Further, PSPCL has submitted that the revenue of Rs. 7.36 Crore has been assessed from the net unbilled units of 125.01 M kWh as given in Table 14. The details are as under:

**Table 74: Details of Unbilled Units and revenue as considered by the Commission for FY 2020-21**

| Sr. No. | Particulars                | Units (MU)    | Revenue (Rs. Crore) |
|---------|----------------------------|---------------|---------------------|
| 1       | Opening for Unbilled Units | (1,699.00)    | (1,246.87)          |
| 2       | Closing for Unbilled Units | 1,824.01      | 1,254.23            |
| 3       | <b>Net</b>                 | <b>125.01</b> | <b>7.36</b>         |

Accordingly, the Commission has considered the revenue of Rs. 7.36 Crore from unbilled units.

5. The revenue from AP has been assessed on the basis of energy sales approved for AP in para 3.2.2. The Commission has considered the tariff approved in Tariff Order for FY 2019-20 for 2 months and the tariff approved in Tariff Order for FY 2020-21 for the remaining 10 months to calculate the revenue from Energy Charges for AP as Rs. 7113.44 Crore for FY 2020-21.

6. The revenue from Common Pool and outside state sales have been considered as per the Audited Annual Accounts and the same is verified from the billing data submitted by PSPCL.
7. The Commission vide order dated 17.07.2020 in Petition No. 12 of 2020, regarding recovery of fixed charges, had directed PSPCL to recover the same in six equated monthly instalments. PSPCL vide letter dated 02.02.2022 has submitted that they have not collected Rs. 247.38 Crore from LS and MS Consumers and challenged the order in APTEL vide Appeal No. 04 of 2021. Accordingly, the Commission has considered fixed charges of Rs. 247.38 Crore as revenue from sale of power as the same should have been collected by PSPCL as per the Commission's order.

Accordingly, the Commission approves the revenue from sale of power for FY 2020-21 as follows:

**Table 75: Revenue from sale of power approved by the Commission for FY 2020-21**

| Sr. No. | Category                                                                                         | Sales (MkWh)    | Revenue from Fixed Charges (Rs. Crore) | Revenue from Energy Charges (Rs. Crore) | Revenue from FCA (Rs. Crore) | Revenue from Other Charges (Rs. Crore) | Revenue from Theft (Rs. Crore) | Unbilled Revenue (Rs. Crore) | Total Revenue (Rs. Crore) |  |
|---------|--------------------------------------------------------------------------------------------------|-----------------|----------------------------------------|-----------------------------------------|------------------------------|----------------------------------------|--------------------------------|------------------------------|---------------------------|--|
| I       | II                                                                                               | III             | IV                                     | V                                       | VI                           | VII                                    | VIII                           | IX                           | X                         |  |
| 1       | Domestic                                                                                         | 15064.97        | 734.46                                 | 8734.57                                 | 0.32                         | 16.59                                  | 48.73                          | (99.32)                      | 9435.35                   |  |
| 2       | Non-Residential Supply                                                                           | 3234.28         | 325.48                                 | 2256.57                                 | 0.12                         | 48.87                                  | 8.83                           | 2.54                         | 2642.39                   |  |
| 3       | Small Power                                                                                      | 807.54          | 98.19                                  | 524.54                                  | 0.01                         | 23.75                                  | 2.78                           | 12.61                        | 661.87                    |  |
| 4       | Medium supply                                                                                    | 2079.22         | 203.75                                 | 1241.93                                 | 0.02                         | (1.75)                                 | 2.83                           | 5.83                         | 1452.62                   |  |
| 5       | Large Supply                                                                                     | 13286.43        | 945.60                                 | 8343.02                                 | 0.00                         | (423.74)                               | 3.74                           | 88.27                        | 8956.89                   |  |
| 6       | Public Lighting                                                                                  | 209.81          | 6.04                                   | 159.36                                  | 0.07                         | 19.03                                  | -                              | (2.50)                       | 182.00                    |  |
| 7       | Bulk Supply                                                                                      | 620.07          | 78.67                                  | 388.63                                  | -                            | 0.19                                   | -                              | (0.07)                       | 467.42                    |  |
| 8       | Railway Traction                                                                                 | 0.03            | 0.46                                   | 0.02                                    | -                            | 0.47                                   | -                              |                              | 0.95                      |  |
| 9       | AP High technology/ High Density farming                                                         | 0.11            | -                                      | 0.06                                    | 0.00                         | (0.00)                                 | -                              |                              | 0.06                      |  |
| 10      | Compost/ Solid waste Management Plants for Municipalities/ Urban Local Bodies/Rural Water Supply | 254.87          | 4.95                                   | 137.70                                  | 0.00                         | 28.91                                  | -                              |                              | 171.56                    |  |
| 11      | Start-up Power for generators/CPPs                                                               | 135.80          | 13.72                                  | 88.63                                   | -                            | (6.74)                                 | -                              |                              | 95.62                     |  |
| 12      | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib                                              | 6.42            | 0.00                                   | 3.92                                    | -                            | (0.62)                                 | -                              |                              | 3.30                      |  |
| 13      | Temporary Supply                                                                                 | 182.79          | 8.17                                   | 143.83                                  | 0.14                         | (6.61)                                 | -                              |                              | 145.53                    |  |
| 14      | <b>Total (metered)</b>                                                                           | <b>35882.35</b> | <b>2419.48</b>                         | <b>22022.78</b>                         | <b>0.68</b>                  | <b>(301.66)</b>                        | <b>66.90</b>                   | <b>7.36</b>                  | <b>24215.54</b>           |  |
| 15      | Agriculture                                                                                      | 12817.29        | -                                      | 7113.44                                 | -                            | -                                      | 1.58                           |                              | 7115.02                   |  |
| 16      | Common Pool                                                                                      | 300.63          | -                                      | 125.00                                  | -                            | -                                      | -                              |                              | 125.00                    |  |
| 17      | Outside State Sales                                                                              | 69.86           | -                                      | 41.41                                   | -                            | -                                      | -                              |                              | 41.41                     |  |
| 18      | Fixed Charges as per Order in Petition No. 12 of 2020                                            |                 | 247.38                                 |                                         |                              |                                        |                                |                              | 247.38                    |  |
| 19      | Adjusted Units for theft and unbilled units                                                      | 495.51          |                                        |                                         |                              |                                        |                                |                              |                           |  |
| 20      | <b>Grand Total</b>                                                                               | <b>49565.64</b> | <b>2666.86</b>                         | <b>29302.63</b>                         | <b>0.68</b>                  | <b>-301.66</b>                         | <b>68.48</b>                   | <b>7.36</b>                  | <b>31744.36</b>           |  |

### 3.32 Revenue Gap and Carrying Cost

The gap /surplus for the year FY 2020-21 is determined as under:

**Table 76: Revenue Gap for FY 2020-21**

| (Rs. Crore) |                                          |                             |                                    |
|-------------|------------------------------------------|-----------------------------|------------------------------------|
| Sr. No.     | Items of Expenses                        | Claimed by PSPCL in True-Up | Finally approved by the Commission |
| I           | II                                       | III                         | IV                                 |
| 1           | <b>Net Revenue Requirement</b>           | <b>33703.55</b>             | 31478.12                           |
| 2           | Revenue from existing tariff             | 31608.00                    | 31744.36                           |
| 3           | Gap: (Surplus)/Deficit during FY 2020-21 | 2095.55                     | (266.24)                           |

The Commission has determined a Surplus of Rs. 266.24 Crore in True up of FY 2020-21. The Commission calculates carrying cost as recoverable on the revenue surplus for six months of FY 2020-21, full year of FY 2021-22 and for six months of FY 2022-23 @10.13% as additional surplus of Rs. 53.93 Crore. Therefore, the cumulative gap/ (surplus) upto FY 2020-21 is computed as follows:

**Table 77: Revenue Gap and Carrying Cost on Revenue Gap for FY 2020-21**

| (Rs. Crore) |                                                     |                                    |
|-------------|-----------------------------------------------------|------------------------------------|
| Sr. No.     | Particulars                                         | Finally approved by the Commission |
| I           | II                                                  | III                                |
| 1           | Gap: (Surplus)/Deficit during FY 2020-21            | (266.24)                           |
| 2           | Carrying cost on surplus during the year FY 2020-21 | (53.93)                            |
| 3           | Gap: (Surplus)/Deficit upto FY 2019-20              | (1349.67)                          |
| 4           | Cumulative Gap: (Surplus)/Deficit upto FY 2020-21   | <b>(1669.84)</b>                   |

# Chapter 4

## Annual Performance Review of FY 2021-22 and Revised Estimates for FY 2022-23

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### 4.1 Background

PSPCL, in its Petition for Annual Performance Review (APR) of FY 2021-22 and Revised Estimates (RE) for FY 2022-23, has submitted the energy demand/requirement viz-a-viz availability, expenses/income of its generation & distribution businesses and the resultant gap; based on actual figures of H1 of FY 2021-22, estimated performance for the H2 of FY 2021-22 and revised estimates for FY 2022-23. The Commission has analyzed the same in this Chapter.

### 4.2 Energy Demand (Sales)

#### 4.2.1 Metered Energy Sales

##### A. Energy Sales within the State

##### **PSPCL's submissions:**

PSPCL has submitted that, actual figures of energy sales have been considered for H1 of FY 2021-22 and energy sales for H2 of FY 2021-22 have been estimated by applying 3-year to 5-year half yearly (H2) CAGR on actual sales of H2 of FY 2019-20. Further, energy sales for FY 2022-23 have been projected with the energy sales of FY 2021-22 as base year.

PSPCL further submitted that breach of COVID-19 pandemic in India has had an impact on the overall demand for electricity and the pattern of electricity consumption within the category of consumers. Sales mix of PSPCL during second half of FY 2020-21 has been changed due breach of COVID-19 pandemic in State of Punjab and does not depict the actual energy consumption pattern. Therefore, the anticipated category wise energy sales for second half of FY 2021-22(H2) has been projected by considering Compound Annual Growth Rate (CAGR) for 3 to 5 years on base of second half of FY 2019-20 (H2).

Further, as the Railways has shifted into Open Access, consumption of the same is considered as NIL.

After normalization in sales of FY 2021-22 considering second half sales projections on the base of second half of FY 2019-20 (H2), sales projections for FY 2022-23 has been projected on base of FY 2021-22.

The CAGRs considered by PSPCL are as under:

**Table 78: CAGRs considered by PSPCL for projecting energy sales**

| Sr. No. | Category                                          | FY 2021-22(H2) | FY 2022-23 |
|---------|---------------------------------------------------|----------------|------------|
| I       | II                                                | III            | IV         |
| 1.      | Domestic                                          | 1%             | 2%         |
| 2.      | Non-Residential (NRS)                             | 5%             | 1%         |
| 3.      | Small Power Ind.                                  | 5%             | 4%         |
| 4.      | Medium Supply Ind.                                | 5%             | 7%         |
| 5.      | Large Supply Ind.                                 | 5%             | 7%         |
| 6.      | Street Lightning                                  | 5%             | 5%         |
| 7.      | Bulk Supply                                       | 1%             | 2%         |
| 8.      | Railway Traction                                  | 3%             | 2%         |
| 9.      | AP                                                | 5%             | 5%         |
| 10.     | Compost/Solid Waste Management/ Rural Water Works | 0%             | 0%         |
| 11.     | Charitable Hospitals                              | 0%             | 0%         |
| 12.     | Golden Temple                                     | 0%             | 0%         |
| 13.     | Start-Up Power                                    | 0%             | 0%         |
| 14.     | Temporary Supply                                  | 0%             | 0%         |

Accordingly, the projection of metered energy sales submitted by PSPCL for FY 2021-22 and FY 2022-23 are as follows:

**Table 79: Category-wise energy sales projected by PSPCL for FY 2021-22 and FY 2022-23**

| Sr. No. | Consumer Category                                         | Projected Energy Sales |              |
|---------|-----------------------------------------------------------|------------------------|--------------|
|         |                                                           | FY 2021-22             | FY 2022-23   |
| I       | II                                                        | III                    | IV           |
| 1       | Domestic                                                  | 14305                  | 14631        |
| 2       | Non-Residential                                           | 3948                   | 3991         |
| 3       | Small Power Ind.                                          | 1261                   | 1312         |
| 4       | Medium Supply Ind.                                        | 3540                   | 3792         |
| 5       | Large Supply Ind.                                         | 17003                  | 18188        |
| 6       | Public Lighting                                           | 131                    | 138          |
| 7       | Bulk Supply                                               | 660                    | 670          |
| 8       | Railway Traction                                          | -                      | -            |
| 9       | AP High Tech/ High Density Farming                        | 0.1                    | 0.1          |
| 10      | Compost/ Solid waste Management Plants/ Rural Water Works | 139                    | 146          |
| 11      | Charitable Hospitals set-up under PWD Act                 | 0.002                  | 0.002        |
| 12      | Start-up Power for generators/CPPs                        | 167                    | 167          |
| 13      | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib       | 11                     | 11           |
| 14      | Temporary Supply                                          | 220                    | 220          |
| 15      | <b>Total metered Sales (within the State)</b>             | <b>41385</b>           | <b>43266</b> |

#### Commission's Analysis:

The Commission has considered the CAGRs submitted by PSPCL for projecting the sales for FY 2021-22 and FY 2022-23. Thus, the Commission approves the energy sales within the State same as that submitted by PSPCL i.e. 41385 MWh for review of FY 2021-22 and 43266 MWh for FY 2022-23.



**B. Common Pool/Outside State Sales**

PSPCL has projected sales to common pool consumers as 301 MWh and 70 MWh for FY 2021-22 and FY 2022-23 respectively. The Commission decides to accept the figures submitted by PSPCL for Common Pool sales and outside State sale for FY 2021-22 and FY 2022-23.

**4.2.2 AP Consumption**

**PSPCL's submission:**

PSPCL submitted that the Agriculture sales are attributable to ground water table, strength of monsoon and rapid urbanization. For estimation of AP consumption for FY 2021-22, PSPCL has considered the actual AP consumption for H1 of FY 2021-22 based on pumped energy methodology.

PSPCL submitted that segregation of Agriculture feeders for Kandi area has already been started and is likely to be completed in near future. Till that time, AP consumption for Kandi area mixed feeders has to be calculated as per the existing approach. PSPCL has calculated the AP consumption of Kandi area mixed feeders as 30% of the total consumption in line to the Commission's methodology for computing AP consumption on Kandi area mixed feeders.

Actual AP consumption for first half of FY 2021-22 as submitted by PSPCL is as under:

**Table 80: AP consumption for FY 2021-22 submitted by PSPCL (MWh)**

| Sr. No. | Category                                            | FY 2021-22 (H1) |
|---------|-----------------------------------------------------|-----------------|
| I       | II                                                  | III             |
| 1.      | Energy pumped in case of 3 Phase 3 Wire AP feeders  | 10438           |
| 2.      | Energy pumped in case of 3 Phase 4 Wire AP feeders  | 4               |
| 3.      | Energy pumped in case of Kandi area mixed feeders   | 1356            |
| 4.      | Energy pumped in case of Kandi area pure AP feeders | 24              |
| 5.      | Total Energy Pumped                                 | 11822           |
| 6.      | Less: Losses @10.49%                                | 949             |
| 7.      | Net AP consumption for H1 of FY 2021-22             | 10873           |
| 8.      | Metered AP Consumption                              | 96              |
| 9.      | Total AP Consumption (H1)                           | 9828            |
| 10.     | Total AP Consumption projections for H2             | 2128            |
| 11.     | Total AP Consumption                                | 11956           |

For FY 2022-23 PSPCL has projected AP consumption as 12255 MWh.

**Commission's Analysis:**

**The Commission accepts the projections of AP consumption as 11956 MWh and 12255 MWh for FY 2022-23. The Commission shall re-assess the same at the time of true-up of FY 2021-22 and FY 2022-23 respectively based on the**

actual figures available and after considering the efforts/physical progress made by PSPCL regarding the compliance of various directives given by the Commission.

### 4.2.3 Total Energy Sales

The total energy sales as per PSPCL's submission and approved by the Commission for FY 2021-22 and FY 2022-23 are as follows:

**Table 81: Total energy sales approved by the Commission for FY 2021-22 and FY 2022-23**

MkWh

| Sr. No. | Particulars                     | FY 2021-22         |                            | FY 2022-23         |                            |
|---------|---------------------------------|--------------------|----------------------------|--------------------|----------------------------|
|         |                                 | Submitted by PSPCL | Approved by the Commission | Submitted by PSPCL | Approved by the Commission |
| I       | II                              | III                | IV                         | V                  | VI                         |
| 1.      | Metered sales within State      | 41385              | 41385                      | 43266              | 43266                      |
| 2.      | AP consumption                  | 11956              | 11956                      | 12255              | 12255                      |
| 3.      | <b>Total sales within State</b> | <b>53341</b>       | <b>53341</b>               | <b>55521</b>       | <b>55521</b>               |
| 4.      | Common pool sale                | 301                | 301                        | 301                | 301                        |
| 5.      | Outside State sale              | 70                 | 70                         | 70                 | 70                         |
| 6.      | <b>Total</b>                    | <b>53712</b>       | <b>53712</b>               | <b>55892</b>       | <b>55892</b>               |

## 4.3 Transmission & Distribution Losses and Energy Requirement

### 4.3.1 Transmission & Distribution Losses

#### PSPCL's Submissions:

PSPCL has considered the distribution & transmission losses as approved by the Commission in the Tariff Order for FY 2021-22. The distribution & transmission losses considered by PSPCL are as follows:

**Table 82: Distribution & transmission losses considered by PSPCL**

| Sr. No. | Particulars       | FY 2021-22 | FY 2022-23 |
|---------|-------------------|------------|------------|
| I       | II                | III        | IV         |
| 1.      | Distribution loss | 12.34%     | 12.04%     |
| 2.      | Transmission loss | 2.46%      | 2.44%      |

#### Commission's Analysis:

The Commission in the Tariff Order of PSPCL for FY 2021-22 had approved the distribution loss targets of 12.34% and 12.04% for FY 2021-22 and FY 2022-23 respectively. Further, the transmission loss trajectory was approved as 2.46% and 2.44% for FY 2021-22 and FY 2022-23 respectively. The Commission decides to retain the same targets for FY 2021-22 and FY 2022-23 in this Order. Accordingly, the distribution and transmission loss targets approved by the Commission for FY 2021-22 and FY 2022-23 are as follows:

**Table 83: Distribution and transmission loss target trajectory approved by the Commission for 2<sup>nd</sup> MYT period**

| Sr. No. | Particulars       | FY 2021-22 | FY 2022-23 |
|---------|-------------------|------------|------------|
| I       | II                | III        | IV         |
| 1.      | Distribution loss | 12.34%     | 12.04%     |
| 2.      | Transmission loss | 2.46%      | 2.44%      |

#### 4.3.2 Energy Requirement

PSPCL in its petition has projected the total energy requirement of 62864 MWh and 65192 MWh in its petition. However, vide Memo No. 922/ARR/Dy.CAO/263/Vol.I dated 24.12.2022 PSPCL submitted the revised energy requirement for FY 2021-22 and FY 2022-23 as 62816 MWh and 65137 MWh after excluding the generation/RE power of 1884 MWh and 2186 MWh respectively available at 66kV of PSPCL's distribution system for calculation of transmission losses. Further, from the energy requirement submitted by PSPCL it was observed that PSPCL has included Royalty to HP from Shanan and Share from RSD to HP in the total energy requirement, however the same has not been included in hydro generation. Since the Commission has already reduced the same from the hydel generation the same has not been considered as part of energy requirement

The energy requirement for FY 2021-22 and FY 2022-23 approved by the Commission in the Tariff Order for FY 2021-22, submitted by PSPCL and approved by the Commission are as follows:

**Table 84: Energy Requirement for FY 2021-22**

| Sr. No. | Particulars                                                                          |      | Approved by the Commission in TO of FY 2021-22 | Submitted by PSPCL | Now Approved by the Commission |
|---------|--------------------------------------------------------------------------------------|------|------------------------------------------------|--------------------|--------------------------------|
| I       | II                                                                                   |      | III                                            | IV                 | V                              |
| 1       | Energy Sales within the State                                                        |      | 50679                                          | 53341              | 53341                          |
| 2       | Target Distribution Loss                                                             | %    | 12.34%                                         | 12.34%             | 12.34%                         |
|         |                                                                                      | MkWh | 7134                                           | 7509               | 7509                           |
| 3       | <b>Input Energy Required</b>                                                         |      | <b>57813</b>                                   | <b>60849.87</b>    | <b>60850</b>                   |
| 4       | Gen. /RE power available at 66 KV and below                                          |      | 2495                                           | 1884               | 1884                           |
| 5       | Input Energy Required (excluding NRSE Gen. Power available at 66 KV and below)       |      | 55318                                          | 58966              | 58966                          |
| 6       | Target Transmission Loss                                                             | %    | 2.46%                                          | 2.46%              | 2.46%                          |
|         |                                                                                      | MkWh | 1395                                           | 1487               | 1487                           |
| 7       | Total Energy Input Required (excluding NRSE Gen. Power available at 66 KV and below) |      | 56713                                          | 60453              | 60453                          |
| 8       | <b>Total Energy Input Required</b>                                                   |      | <b>59208</b>                                   | <b>62337</b>       | <b>62337</b>                   |
| 9       | Sales to Common pool consumers                                                       |      | 301                                            | 301.00             | 301                            |
| 10      | Outside State Sales                                                                  |      | 405                                            | 70.00              | 70                             |
| 11      | <b>Total Requirement</b>                                                             |      | <b>59914</b>                                   | <b>62708</b>       | <b>62708</b>                   |

**Table 85: Energy Requirement for FY 2022-23**

| Sr. No. | Particulars                                                                          |      | Approved by the Commission in the MYT Order | Submitted by PSPCL | Now Approved by the Commission |
|---------|--------------------------------------------------------------------------------------|------|---------------------------------------------|--------------------|--------------------------------|
| I       | II                                                                                   |      | III                                         | IV                 | V                              |
| 1       | Energy Sales within the State                                                        |      | 56128                                       | 55521              | 55521                          |
| 2       | Target Distribution Loss                                                             | %    | 10.64%                                      | 12.04%             | 12.04%                         |
|         |                                                                                      | MkWh | 6683.00                                     | 7599.74            | 7600                           |
| 3       | <b>Input Energy Required</b>                                                         |      | <b>62811</b>                                | <b>63120.74</b>    | <b>63121</b>                   |
| 4       | Gen. /RE power available at 66 KV and below                                          |      | 2599                                        | 2186               | 2186                           |
| 5       | Input Energy Required (excluding NRSE Gen. Power available at 66 KV and below)       |      | 60212                                       | 60934              | 60935                          |
| 6       | Target Transmission Loss                                                             | %    | 2.44%                                       | 2.44%              | 2.44%                          |
|         |                                                                                      | MkWh | 1506                                        | 1524               | 1524                           |
| 7       | Total Energy Input Required (excluding NRSE Gen. Power available at 66 KV and below) |      | 61718                                       | 62458              | 62459                          |
| 8       | <b>Total Energy Input Required</b>                                                   |      | <b>64317</b>                                | <b>64644</b>       | <b>64645</b>                   |
| 9       | Sales to Common pool consumers                                                       |      | 307                                         | 301.00             | 301                            |
| 10      | Outside State Sales                                                                  |      | -                                           | 70.00              | 70                             |
| 11      | <b>Total Requirement</b>                                                             |      | <b>64624</b>                                | <b>65015</b>       | <b>65016</b>                   |

Accordingly, the Commission approves the energy requirement of 62708 MkWh for FY 2021-22 and 65016 MkWh for FY 2022-23.

#### 4.4 PSPCL's Net Thermal Generation

##### PSPCL's Submissions:

PSPCL has considered the actual Generation for H1 of FY 2021-22. For H2, power availability from State's own thermal Generating Stations has been projected on the basis of various performance parameters such as plant load factor, gross generation and auxiliary consumption. For FY 2022-23, PSPCL has submitted that it has projected energy to be scheduled from Own Thermal Generating Stations based on Merit Order principle. PSPCL has further submitted that, it has undertaken consistent and regular maintenance apart from timely renovation and overhaul of its units to sustain the generation from each of these power plants at the target output level set by the CEA. The Net Thermal Generation for FY 2021-22 and FY 2022-23 approved by the Commission in the Tariff Order for FY 2021-22 and the MYT Order for FY 2021-22 and FY 2022-23 respectively and submitted by PSPCL are as follows:

**Table 86: Thermal Generation (Net) submitted by PSPCL****MkWh**

| Sr. No. | Station      | Installed Capacity (MW) | Approved by the Commission |                | Submitted by PSPCL |                |
|---------|--------------|-------------------------|----------------------------|----------------|--------------------|----------------|
|         |              |                         | FY 2021-22                 | FY 2022-23     | FY 2021-22         | FY 2022-23     |
| I       | II           | III                     | IV                         | V              | VI                 | VII            |
| 1.      | GGSSSTP      | 4x 210 = 840            | 1647.10                    | 2098.00        | 1651.08            | 2212.00        |
| 2.      | GHTP         | 2(250+210) = 920        | 1843.54                    | 2634.00        | 1676.48            | 2218.16        |
| 3.      | <b>Total</b> | <b>1760</b>             | <b>3490.64</b>             | <b>4732.00</b> | <b>3327.56</b>     | <b>4430.16</b> |

**Commission's Analysis:**

The Commission accepts the net thermal generation projections (rounded off) from PSPCL's own plants as 1651 MkWh and 1676 MkWh for GGSSTP and GHTP respectively for FY 2021-22, and 2212 MkWh and 2218 MkWh for GGSSTP and GHTP respectively for FY 2022-23.

**4.5 PSPCL's Hydel Generation****PSPCL's Submissions:**

The availability from own Hydel plants for FY 2021-22 and FY 2022-23 have been estimated based on the actual generation during H1 of FY 2021-22. PSPCL has also considered Royalty to HP from Shanan and Share to HP from RSD for FY 2021-22 and FY 2022-23.

**Commission's Analysis:**

The Commission accepts the station-wise gross hydel generation submitted by PSPCL (after rounding off). Accordingly, hydel generation approved by the Commission is as follows:

**Table 87: PSPCL's Hydel generation approved by the Commission for FY 2021-22 and FY 2022-23**

MkWh

| Sr. No. | Station                                             |          | FY 2021-22         |                            | FY 2022-23         |                            |
|---------|-----------------------------------------------------|----------|--------------------|----------------------------|--------------------|----------------------------|
|         |                                                     |          | Submitted by PSPCL | Approved by the Commission | Submitted by PSPCL | Approved by the Commission |
| I       | II                                                  |          | III                | IV                         | V                  | VI                         |
| 1       | Shanan                                              |          | 485.81             | 486                        | 465                | 465                        |
| 2       | UBDC                                                | Stage I  | 163.09             | 163                        | 150                | 150                        |
|         |                                                     | Stage II | 174.26             | 174                        | 230                | 230                        |
| 3       | RSD                                                 |          | 1208.56            | 1209                       | 1516               | 1516                       |
| 4       | MHP Stage I                                         | Stage I  | 1026.48            | 1026                       | 1080               | 1080                       |
|         |                                                     | Stage II | 89.78              | 90                         | 90                 | 90                         |
| 5       | ASHP                                                |          | 551.94             | 552                        | 581                | 581                        |
| 6       | Micro Hydel                                         |          | 3.15               | 3                          | 0                  | 0                          |
| 7       | <b>Total own generation (Gross)</b>                 |          | <b>3703.07</b>     | <b>3703</b>                | <b>4112</b>        | <b>4112</b>                |
| 8       | Less: Auxiliary consumption and Transformation Loss |          | 31.30              | *30                        | 31.26              | *34                        |
| 9       | Less: HP share in RSD                               |          | 55.59              | 56                         | 69.41              | 69                         |
| 10      | Less: J&K share in RSD                              |          | 0.00               | 0                          | 0.00               | 0                          |
| 11      | Less HP Royalty in Shanan                           |          | 53.00              | 53                         | 53.00              | 53                         |
| 12      | <b>Total own generation (Net)</b>                   |          | <b>3563.17</b>     | <b>3564</b>                | <b>3958.33</b>     | <b>3956</b>                |
| 13      | <b>PSPCL share from BBMB</b>                        |          |                    |                            |                    |                            |
| (a)     | PSPCL share excluding common pool share (Net)       |          | 3277.89            | 3278                       | 3998.38            | 3998                       |
| (b)     | Add Common pool share                               |          | 300.63             | 301                        | 300.63             | 301                        |
| 14      | <b>Net share from BBMB</b>                          |          | <b>3578.52</b>     | <b>3579</b>                | <b>4299.01</b>     | <b>4299</b>                |
| 15      | <b>Total hydro availability (Net) (Own + BBMB)</b>  |          | <b>7141.69</b>     | <b>7143</b>                | <b>8257.33</b>     | <b>8255</b>                |

\*Transformation loss @0.5%, Auxiliary consumption @0.5% for RSD and UBDC stage-I (having static exciters) and @0.2% for others.

The Commission, thus, approves the PSPCL's own net hydel generation as 7143 MkWh and 8255 MkWh for FY 2021-22 and FY 2022-23 respectively.

#### 4.6 Energy Balance/Purchase (Net) required

##### PSPCL's Submission:

PSPCL in its petition has submitted total energy availability of 62864 MkWh and 65192 MkWh for FY 2021-22 and FY 2022-23 respectively including net power purchase of 52389 MkWh and 52504 MkWh for FY 2021-22 and FY 2022-23 respectively

##### Commission's Analysis:

PSPCL vide reply dated 27.12.02022 submitted the revised energy requirement of 62816 MkWh and 65137 MkWh for FY 2021-22 and FY 2022-23 respectively. However, on perusal of the same it was observed that there is variation in the revised energy requirement and the energy availability submitted by PSPCL. PSPCL has inadvertently included 109 MkWh and 122 MkWh pertaining to HP Royalty to Shanan and HP share in RSD for FY 2021-22 and FY 2022-23 respectively in energy requirement while reducing the same from hydel generation also.

In view of the above the energy requirement, PSPCL's own Generation availability and purchase (Net) required from outside sources submitted by PSPCL in the APR and approved by the Commission is as follows:

**Table 88: Energy balance approved by the Commission for FY 2021-22 and FY 2022-23**

**MkWh**

| Sr. No. | Particulars            | FY 2021-22         |                              | FY 2022-23         |                              |
|---------|------------------------|--------------------|------------------------------|--------------------|------------------------------|
|         |                        | Submitted by PSPCL | Approved by the Commission** | Submitted by PSPCL | Approved by the Commission** |
| I       | II                     | III                | IV                           | V                  | VI                           |
| 1       | Energy requirement     | 62708              | 62708                        | 65015              | 65016                        |
| 2       | i) PSPCL's Thermal Gen | 3328.00            | 3328                         | 4430.00            | 4430                         |
|         | ii) PSPCL's Hydel Gen  | 7141.69            | 7143                         | 8257.33            | 8255                         |
|         | <b>Total</b>           | <b>10469.69</b>    | <b>10471</b>                 | <b>12687.33</b>    | <b>12685</b>                 |
| 3       | Purchase (net)         | 52389.38           | 52237                        | 52504.29           | 52331                        |

**\*\*Rounded off**

**Thus, the Commission approves the purchase (net) requirement of PSPCL as 52237 MkWh for FY 2021-22 and 52331 MkWh for FY 2022-23.**

#### **4.7 Norms of Operation for Own Thermal Generating Stations**

##### **PSPCL's submission:**

PSPCL has reiterated the issue of part load operation in its submission in previous chapter for True-up regarding the Auxiliary Consumption, Station Heat Rate and Secondary Fuel Oil Consumption. PSPCL's own thermal Generating stations are to be operated as per the Merit Order Dispatch and thus remained under reserve outage/backing down for maximum time as per directions of Power Controller, Patiala. During frequent stop/start after reserve outage and running of units under backing down affects the performance of units.

Moreover, technical specification, aging, loading, etc. for PSPCL's Own Thermal Generating Stations are different from Generating Stations covered under CERC Tariff Regulations, 2019. Hence, it is important to consider the actual performance of GGSSTP and GHTP while deciding the norms for FY 2021-22 and FY 2022-23 respectively

Power availability from State's Own Thermal Generating Stations, GGSSTP and GHTP for FY 2021-22 and FY 2022-23 has been projected on the basis of aforesaid various parameters in line to relevant clause of PSERC MYT regulations, 2019. PSPCL submitted that Plant availability factor for H1 of FY 2021-22 as 93% for GGSSTP and 98% for GHTP. PSPCL has undertaken consistent & regular maintenance apart from timely renovation & overhaul of its units to sustain the generation from each of these power plants at the target output level set by the CEA. PSPCL has submitted the details of annual maintenance plan

for H2 of FY 2021-22 and FY 2022-23 in formats of this Petition.

PSPCL submitted that it has projected Plant availability of 99% for H2 of FY 2021-22 and 96% for FY 2022-23 for GGSSTP and Plant Availability of 90% of H2 of FY 2021-22 and 94% for FY 2022-23 for GHTP.

PSPCL added that it has considered the Auxiliary Consumption, Station Heat Rate and Secondary Fuel Oil Consumption based on the performance of H1 of FY 2021-22 and requested the Commission to approve Auxiliary Consumption, Station Heat Rate and Secondary Fuel Oil Consumption for GGSSTP and GHTP for FY 2021-22 and FY 2022-23 as submitted in the Petition.

As regards Transit Loss, PSPCL has considered transit loss of 0.8% as per PSERC MYT Regulations, 2019.

In view of this, PSPCL has considered the performance parameters as under:

**Table 89: Performance Parameters submitted by PSPCL for FY 2021-22 and FY 2022-23**

| Sr. No. | Particulars                             | FY 2021-22 |       |        |       | FY 2022-23 |       |
|---------|-----------------------------------------|------------|-------|--------|-------|------------|-------|
|         |                                         | GGSSTP     |       | GHTP   |       | GGSSTP     | GHTP  |
|         |                                         | H1         | H2    | H1     | H2    |            |       |
| I       | II                                      | III        | IV    | V      | VI    | VII        | VIII  |
| 1       | Plant Availability                      | 93%        | 99%   | 98%    | 90%   | 96%        | 94%   |
| 2       | Auxiliary Consumption                   | 11%        | 10%   | 10%    | 10%   | 9%         | 10%   |
| 3       | Station Heat Rate (kCal/kWh)            | 2733       | 2740  | 2612   | 2614  | 2739       | 2634  |
| 4       | Secondary Fuel Oil Consumption (ml/kWh) | 2.60       | 2.30  | 1.68   | 1.50  | 2.30       | 1.50  |
| 5       | Transit Loss                            | -1.23%     | 0.80% | -1.31% | 0.80% | 0.80%      | 0.80% |

#### **Commission's Analysis:**

The Commission observes that submissions made by PSPCL seeking relaxed norms for performance parameters i.e. auxiliary consumption, SHR, secondary fuel oil consumption and transit loss are same as submitted in the Chapter of True up, the same has been already discussed in detail under para 3.8 of this Tariff Order. Further, CERC finalizes the norms after considering the data of various plants of different capacities & vintages. After analyzing the same it specifies different norms for units of different capacities & vintages.

Regulation 35 of the PSERC MYT Regulations, 2019 specifies that norms for performance parameters shall be in accordance with CERC norms. **Thus, for the 2<sup>nd</sup> Control Period, the Commission decides to consider the normative performance parameters i.e., auxiliary consumption, SHR, secondary fuel oil consumption and transit loss as specified in CERC Tariff Regulations, 2019 as follows:**



**Table 90: Performance Parameters considered by the Commission for FY 2021-22 and FY 2022-23**

| Sr. No. | Parameters            |           | GGSTP | GHTP        |      |
|---------|-----------------------|-----------|-------|-------------|------|
| I       | II                    |           | III   | IV          |      |
| 1.      | Auxiliary Consumption | %         | 8.50  | 8.50        |      |
| 2.      | Station Heat Rate     | kCal/ kWh | 2430  | Unit: I-III | 2430 |
|         |                       |           |       | Unit: IV    | 2387 |
| 3.      | Oil Consumption       | ml/kWh    | 0.50  | 0.50        |      |
| 4.      | Transit Loss          | %         | 0.80  | 0.80        |      |

#### 4.8 Fuel Cost

##### PSPCL's Submissions:

PSPCL submitted that as per Regulation 38 of PSERC MYT Regulations, 2019, the energy charges of thermal power plant shall be payable for the total energy scheduled at generation bus bar which includes primary fuel cost, secondary fuel cost and other associated costs to it.

PSPCL submitted that for computation of energy charge rate, PSPCL has considered actual data for H1 of FY 2021-22. The weighted average GCV as received of coal for FY 2021-22 at each thermal generating station has been considered. Considering the upward rise of price of coal, PSPCL has considered 5% escalation in price of coal.

PSPCL further submitted that any change in fuel cost from the level approved by the Commission shall be determined in accordance with the fuel cost adjustment (FCA) formula specified by the Commission in the Conduct of Business Regulations, and recovered from the consumers after following the procedure detailed in Conduct of Business regulations.

Also, PSPCL has considered the actual Fuel Cost for H1 of FY 2021-22 and projected the Fuel Cost for H2 of FY 2021-22 and FY 2022-23 based on actual weighted average Gross Calorific Value of Fuels and Price of Fuels for H1 of FY 2021-22.

As regards price of Oil, PSPCL submitted that it has taken into account increase in price of Oil. For GGSSTP, PSPCL has considered 5% escalation over actual price of Oil for H1 of FY 2021-22. For GHTP, PSPCL has considered the price of oil as Rs. 47,480/kL based on latest Oil stock. For GGSTP, PSPCL has considered the Oil price as Rs. 47,811/kL for FY 2022-23. Fuel costs submitted by PSPCL are given as under:

**Table 91: Fuel Cost submitted by PSPCL for FY 2021-22 and FY 2022-23**

| Particulars                  | FY 2021-22 |      | FY 2022-23 |
|------------------------------|------------|------|------------|
|                              | H1         | H2   | Total      |
| <b>GGSTP</b>                 |            |      |            |
| Fuel Cost (Rs. Crore)        | 354        | 310  | 913        |
| Cost of Generation (Rs./kWh) | 3.60       | 3.62 | 3.75       |
| <b>GHTP</b>                  |            |      |            |
| Fuel Cost (Rs. Crore)        | 429        | 239  | 973        |
| Cost of Generation (Rs./kWh) | 3.62       | 3.75 | 3.97       |

For computation of energy charge rate, PSPCL has considered actual data for H1 of FY 2021-22. The weighted average GCV as received of coal for FY 2021-22 at each thermal generating station has been considered. Considering the upward rise of price of coal, PSPCL has considered 5% escalation in price of coal. PSPCL has considered the actual Fuel Cost for H1 of FY 2021-22. PSPCL has projected the fuel cost for H2 of FY 2021-22 and FY 2022-23 based on actual weighted average Gross Calorific Value of Fuels and Price of Fuels for H1 of FY 2021-22. As regards price of Oil, PSPCL has considered increase in price of Oil. For GGSSTP, PSPCL has considered 5% escalation over actual price of Oil for H1 of FY 2021-22. The estimates of fuel cost by PSPCL are based on the following parameters:

**Table 92: Cost Parameters submitted by PSPCL for FY 2021-22 and FY 2022-23**

| Particulars            | FY 2021-22 |       | FY 2022-23 |
|------------------------|------------|-------|------------|
|                        | H1         | H2    | Total      |
| <b>GGSTP</b>           |            |       |            |
| GCV of Coal (kCal/kg)  | 3995       | 3995  | 3995       |
| Price of Coal (Rs./MT) | 5134       | 5134  | 5391       |
| GCV of Oil (kCal/kL)   | 9900       | 9900  | 9900       |
| Price of Oil (Rs./kL)  | 45534      | 45534 | 47811      |
| <b>GHTP</b>            |            |       |            |
| GCV of Coal (kCal/kg)  | 4101       | 4100  | 4100       |
| Price of Coal (Rs./MT) | 5439       | 5711  | 5997       |
| GCV of Oil (kCal/kL)   | 9500       | 9500  | 9500       |
| Price of Oil (Rs./kL)  | 43065      | 45219 | 47480      |

### Commission's Analysis:

Fuel cost being a major item of expense, the Commission thought it prudent to get the same validated for H1 of FY 2021-22. During validation, it was observed that PSPCL has also included the expenditure on coal handling contract cost in the fuel cost of GHTP. The Commission observes that the above cost does not form part of the fuel cost and the same has accordingly been considered as part of O&M expenses. Also, the GCV of coal has been considered on received coal as per CERC Tariff Regulations, 2019. The price/calorific value of oil & coal as per validation obtained by the Commission are indicated in para 3.9, The Commission decides to consider the same to determine the fuel cost for PSPCL's thermal Generating stations for H1 and H2 of FY 2021-22. In respect of cost of coal and oil for H2 of FY 2021-22, the Commission has considered the same cost as observed in H1 of FY 2021-22. In respect of cost of coal and oil for FY 2022-23, keeping in view the increasing trend of fuel and freight charges, the Commission has considered an increase of 2.00% over the respective costs for H1 of FY 2021-22 for GGSSTP and GHTP.

The Cost Parameters considered by the Commission for working out the fuel cost are as follows:

**Table 93: Cost Parameters considered by the Commission for FY 2021-22 and FY 2022-23**

| Sr. No. | Parameters    |            | GGSTP    | GHTP     |
|---------|---------------|------------|----------|----------|
| I       | II            |            | III      | IV       |
| 1       | GCV of coal*  | kCal/kg    | 3911.00  | 3982.14  |
| 2       | CV of Oil     | kCal/lt    | 9705.00  | 9767.20  |
| 3       | Price of Oil  | FY 2021-22 | 45534.83 | 43062.58 |
|         |               | FY 2022-23 | 46857.62 | 44313.55 |
| 4       | Price of coal | FY 2021-22 | 5135.26  | 5376.00  |
|         |               | FY 2022-23 | 5284.44  | 5532.17  |

*\*Weighted Average Gross calorific value of coal as received less 85 Kcal/Kg on account of variation during storage at generating station as per Regulation 40 and 43(2)(a) of the CERC Tariff Regulations, 2019*

Based on the above parameters, the fuel cost for FY 2021-22 has been worked out as follows:

**Table 94: Fuel Cost for GGSSTP approved by the Commission for FY 2021-22**

| Sr. No. | Item                                                            | Derivation                | Unit           | GGSSTP (FY 2021-22) |               |               |
|---------|-----------------------------------------------------------------|---------------------------|----------------|---------------------|---------------|---------------|
|         |                                                                 |                           |                | H1                  | H2            | Total         |
| I       | II                                                              | III                       | IV             | V                   | VI            | V             |
| 1.      | Net Generation                                                  | A                         | MkWh           | 880.68              | 770.40        | 1651.08       |
| 2.      | Auxiliary Consumption                                           | B                         |                | 8.50%               | 8.50%         | 8.50%         |
| 3.      | Gross Generation                                                | C                         | MkWh           | 962.49              | 841.97        | 1804.46       |
| 4.      | Heat Rate                                                       | D                         | kcal/kWh       | 2430.00             | 2430.00       | 2430.00       |
| 5.      | Specific oil consumption                                        | E                         | ml/kwh         | 0.50                | 0.50          | 0.50          |
| 6.      | Calorific value of oil                                          | F                         | kcal/litre     | 9705.00             | 9705.00       | 9705.00       |
| 7.      | Calorific value of coal                                         | G                         | kcal/kg        | 3911.00             | 3911.00       | 3911.00       |
| 8.      | Overall heat                                                    | H= (C x D)                | Gcal           | 2338850.70          | 2045987.10    |               |
| 9.      | Heat from oil                                                   | I = (C x E x F) / 1000    | Gcal           | 4670.48             | 4085.66       |               |
| 10.     | Heat from coal                                                  | J = (H-I)                 | Gcal           | 2334180.22          | 2041901.44    |               |
| 11.     | Oil consumption                                                 | K= (Ix1000)/F             | KL             | 481.24              | 420.99        |               |
| 12.     | Transit loss of coal                                            | L                         | (%)            | 0.80%               | 0.80%         |               |
| 13.     | Total coal consumption excluding transit loss                   | M= (J*1000) /G            | MT             | 596824.40           | 522091.90     |               |
| 14.     | Quantity of Imported/ captive coal priced on FOR basis          | N                         | MT             | 0.00                | 0.00          |               |
| 15.     | Quantity of coal not priced on FOR basis                        | O=M-N                     | MT             | 596824.40           | 522091.90     |               |
| 16.     | Quantity of coal not priced on FOR basis including transit loss | P=O/(1-L/100)             | MT             | 601637.50           | 526302.32     |               |
| 17.     | Total quantity of coal required                                 | Q=N+P                     | MT             | 601637.50           | 526302.32     |               |
| 18.     | Price of oil                                                    | R                         | Rs./KL         | 45534.83            | 45534.83      | 45534.83      |
| 19.     | Price of coal                                                   | S                         | Rs./MT         | 5135.26             | 5135.26       | 5135.26       |
| 20.     | Total Cost of oil                                               | T=R x K / 10 <sup>7</sup> | Rs. Cr.        | 2.19                | 1.92          | 4.11          |
| 21.     | Total Cost of coal                                              | U=Q x S/10 <sup>7</sup>   | Rs. Cr.        | 308.96              | 270.27        | 579.23        |
| 22.     | <b>Total Fuel cost</b>                                          | <b>V=T+U</b>              | <b>Rs.Cr.</b>  | <b>311.15</b>       | <b>272.19</b> | <b>583.33</b> |
| 23.     | <b>Per unit Cost (gross)</b>                                    | <b>W=V*10/C</b>           | <b>Rs./kWh</b> | <b>3.23</b>         | <b>3.23</b>   | <b>3.23</b>   |
| 24.     | <b>Per unit Cost (Net)</b>                                      | <b>X=V*10/A</b>           | <b>Rs./kWh</b> | <b>3.53</b>         | <b>3.53</b>   | <b>3.53</b>   |

**Table 95: Fuel Cost for GHTP approved by the Commission for FY 2021-22**

| Sr. No. | Item                                                            | Derivation                         | Unit          | GHTP (Unit I, Unit II & Unit III) |               | GHTP (Unit IV) |              | GHTP Total    |
|---------|-----------------------------------------------------------------|------------------------------------|---------------|-----------------------------------|---------------|----------------|--------------|---------------|
|         |                                                                 |                                    |               | H1                                | H2            | H1             | H2           |               |
| I       | II                                                              | III                                | IV            | V                                 | VI            | VII            | VIII         | IX            |
| 1.      | Net Generation                                                  | A                                  | MkWh          | 722.55                            | 414.31        | 347.83         | 191.79       | 1676.48       |
| 2.      | Auxiliary Consumption                                           | B                                  |               | 8.50%                             | 8.50%         | 8.50%          | 8.50%        | 8.50%         |
| 3.      | Gross Generation                                                | C                                  | MkWh          | 789.67                            | 452.79        | 380.14         | 209.61       | 1832.21       |
| 4.      | Heat Rate                                                       | D                                  | kcal/kWh      | 2430.00                           | 2430.00       | 2387.00        | 2387.00      | 2387.00       |
| 5.      | Specific oil consumption                                        | E                                  | ml/kwh        | 0.50                              | 0.50          | 0.50           | 0.50         | 0.50          |
| 6.      | Calorific value of oil                                          | F                                  | kcal/litre    | 9767.20                           | 9767.20       | 9767.20        | 9767.20      | 9767.20       |
| 7.      | Calorific value of coal                                         | G                                  | kcal/kg       | 3982.14                           | 3982.14       | 3982.14        | 3982.14      | 3982.14       |
| 8.      | Overall heat                                                    | $H = (C \times D)$                 | Gcal          | 1918898.10                        | 1100279.70    | 907394.18      | 500339.07    |               |
| 9.      | Heat from oil                                                   | $I = (C \times E \times F) / 1000$ | Gcal          | 3856.43                           | 2211.25       | 1856.45        | 1023.65      |               |
| 10.     | Heat from coal                                                  | $J = (H - I)$                      | Gcal          | 1915041.67                        | 1098068.45    | 905537.73      | 499315.42    |               |
| 11.     | Oil consumption                                                 | $K = (I \times 1000) / F$          | KL            | 394.83                            | 226.40        | 190.07         | 104.80       |               |
| 12.     | Transit loss of coal                                            | L                                  | (%)           | 0.80%                             | 0.80%         | 0.80%          | 0.80%        |               |
| 13.     | Total coal consumption excluding transit loss                   | $M = (J \times 1000) / G$          | MT            | 480907.44                         | 275748.20     | 227399.66      | 125388.65    |               |
| 14.     | Quantity of Imported/ captive coal priced on FOR basis          | N                                  | MT            | 0.00                              | 0.00          | 0.00           | 0.00         |               |
| 15.     | Quantity of coal not priced on FOR basis                        | $O = M - N$                        | MT            | 480907.44                         | 275748.20     | 227399.66      | 125388.65    |               |
| 16.     | Quantity of coal not priced on FOR basis including transit loss | $P = O / (1 - L/100)$              | MT            | 484785.73                         | 277971.98     | 229233.53      | 126399.85    |               |
| 17.     | Total quantity of coal required                                 | $Q = N + P$                        | MT            | 484785.73                         | 277971.98     | 229233.53      | 126399.85    |               |
| 18.     | Price of oil                                                    | R                                  | Rs./KL        | 43062.58                          | 43062.58      | 43062.58       | 43062.58     | 43062.58      |
| 19.     | Price of coal                                                   | S                                  | Rs./MT        | 5376.00                           | 5376.00       | 5376.00        | 5376.00      | 5376.00       |
| 20.     | Total Cost of oil                                               | $T = R \times K / 10^7$            | Rs. Cr.       | 1.70                              | 0.97          | 0.82           | 0.45         | 3.94          |
| 21.     | Total Cost of coal                                              | $U = Q \times S / 10^7$            | Rs. Cr.       | 260.62                            | 149.44        | 123.24         | 67.95        | 601.25        |
| 22.     | <b>Total Fuel cost</b>                                          | <b><math>V = T + U</math></b>      | <b>Rs.Cr.</b> | <b>262.32</b>                     | <b>150.41</b> | <b>124.06</b>  | <b>68.40</b> | <b>605.19</b> |
| 23.     | Per unit Cost (gross)                                           | $W = V \times 10 / C$              | Rs./kWh       | 3.32                              | 3.32          | 3.26           | 3.26         | 3.30          |
| 24.     | Per unit Cost (Net)                                             | $X = V \times 10 / A$              | Rs./kWh       | 3.63                              | 3.63          | 3.57           | 3.57         | 3.61          |

**Table 96: Fuel Cost for GGSSTP and GHTP approved by the Commission for FY 2022-23**

| Sr. No. | Item                                                            | Derivation                              | Unit           | GGSSTP        | GHTP          |               |               |
|---------|-----------------------------------------------------------------|-----------------------------------------|----------------|---------------|---------------|---------------|---------------|
|         |                                                                 |                                         |                |               | Units I-III   | Unit IV       | Total         |
| I       | II                                                              | III                                     | IV             | V             | VI            | VII           | VIII          |
| 1.      | Net Generation                                                  | A                                       | MkWh           | 2212.00       | 1516.24       | 701.92        | 2218.16       |
| 2.      | Auxiliary Consumption                                           | B                                       |                | 8.50%         | 8.50%         | 8.50%         | 8.50%         |
| 3.      | Gross Generation                                                | C                                       | MkWh           | 2417.49       | 1657.09       | 767.12        | 2424.21       |
| 4.      | Heat Rate                                                       | D                                       | kcal/kWh       | 2430.00       | 2430.00       | 2387.00       |               |
| 5.      | Specific oil consumption                                        | E                                       | ml/kwh         | 0.50          | 0.50          | 0.50          | 0.50          |
| 6.      | Calorific value of oil                                          | F                                       | kcal/litre     | 9705.00       | 9767.20       | 9767.20       | 9767.20       |
| 7.      | Calorific value of coal                                         | G                                       | kcal/kg        | 3911.00       | 3982.14       | 3982.14       | 3982.14       |
| 8.      | Overall heat                                                    | $H = (C \times D)$                      | Gcal           | 5874500.70    | 4026728.70    | 1831115.44    |               |
| 9.      | Heat from oil                                                   | $I = (C \times E \times F) / 1000$      | Gcal           | 11730.87      | 8092.57       | 3746.31       |               |
| 10.     | Heat from coal                                                  | $J = (H - I)$                           | Gcal           | 5862769.83    | 4018636.13    | 1827369.13    |               |
| 11.     | Oil consumption                                                 | $K = (I \times 1000) / F$               | KL             | 1,208.74      | 828.55        | 383.56        |               |
| 12.     | Transit loss of coal                                            | L                                       | (%)            | 0.80%         | 0.80%         | 0.80%         |               |
| 13.     | Total coal consumption excluding transit loss                   | $M = (J \times 1000) / G$               | MT             | 1499046.24    | 1009164.47    | 458891.01     |               |
| 14.     | Quantity of Imported/ captive coal priced on FOR basis          | N                                       | MT             | 0.00          | 0.00          | 0.00          |               |
| 15.     | Quantity of coal not priced on FOR basis                        | $O = M - N$                             | MT             | 1499046.24    | 1009164.47    | 458891.01     |               |
| 16.     | Quantity of coal not priced on FOR basis including transit loss | $P = O / (1 - L/100)$                   | MT             | 1511135.32    | 1017302.89    | 462591.74     |               |
| 17.     | Total quantity of coal required                                 | $Q = N + P$                             | MT             | 1511135.32    | 1017302.89    | 462591.74     |               |
| 18.     | Price of oil                                                    | R                                       | Rs./KL         | 46445.53      | 43923.83      | 43923.83      | 43923.83      |
| 19.     | Price of coal                                                   | S                                       | Rs./MT         | 5237.96       | 5483.52       | 5483.52       | 5483.52       |
| 20.     | Total Cost of oil                                               | $T = R \times K / 10^7$                 | Rs. Cr.        | 5.61          | 3.64          | 1.68          | 5.32          |
| 21.     | Total Cost of coal                                              | $U = Q \times S / 10^7$                 | Rs. Cr.        | 791.53        | 557.84        | 253.66        | 811.50        |
| 22.     | <b>Total Fuel cost</b>                                          | <b><math>V = T + U</math></b>           | <b>Rs.Cr.</b>  | <b>797.14</b> | <b>561.48</b> | <b>255.34</b> | <b>816.82</b> |
| 23.     | Per unit Cost (gross)                                           | $W = V \times 10 / C$                   | Rs./kWh        | 3.30          | 3.39          | 3.33          | 3.37          |
| 24.     | <b>Per unit Cost (Net)</b>                                      | <b><math>X = V \times 10 / A</math></b> | <b>Rs./kWh</b> | <b>3.60</b>   | <b>3.70</b>   | <b>3.64</b>   | <b>3.68</b>   |

The Commission, therefore, approves the fuel cost of Rs. 1188.52 Crore for PSPCL's own net thermal generation of 3327.56 MkWh for FY 2021-22, and fuel cost of Rs. 1613.96 Crore for PSPCL's own net thermal generation of 4430.16 MkWh for FY 2022-23.

## **4.9 Power Purchase Cost**

### **PSPCL's Submissions:**

PSPCL has submitted as follows:

#### **A. Assessment of availability:**

- i) The demand of power is met by procurement of power from central generating stations and other external sources apart from state's own Generation. The major sources from which PSPCL procures Power are:
  - Central Generating Stations
  - IPP's
  - Co-Generation Plants
  - Banking Arrangements
  - Traders
- ii) The State of Punjab receives its fixed share from the Central Generating Stations (CGSs) based on its allocation from each of the respective stations. Moreover, it also receives a quantum of power from the unallocated share in various CGSs at different intervals during a year.
- iii) Projected energy availability from all existing Central Hydro Generating Stations has been taken as per target provided by Central Hydro Generating Stations for FY 2021-22 and FY 2022-23. Furthermore, State of Punjab is also purchasing the power from Independent Power Producers (IPPs) including Talwandi Sabo Power Ltd. (TSPL), Rajpura TPS (NPL), Goindwal Sahib Power Plant (GVK), etc.
- iv) Projected Energy from the New Hydro and Thermal projects has been calculated in accordance with the CEA regulations/ Designed Energy as mentioned in the PPA.
- v) Merit Order Dispatch is followed for projecting energy availability from long term tied-up plants for ensuing years FY 2021-22 and FY 2022-23 respectively. Power surrendered from thermal/gas generating stations is assumed to be limited at backing down capacity. Any surplus created on this account is banked with other states and consumed during the next financial year.

#### **B. Annual Fixed Charges and Variable Charges:**

- i) For FY 2021-22 (H2), fixed charges for CGSs, Karcham, Sasan UMPP and Mundra UMPP, NPL and TSPL have been assumed to be same as that of FY 2021-22 (H1)

- ii) The fixed charges for Bairasul HEP have been calculated on the basis of fixed charges paid for the month of Sept'21, as the Unit#3 of the plant completed its R&M and synchronized with the grid on 30.08.2021.
- iii) The fixed charges for Malana-II have been computed based on Plant Availability Factor of FY 2020-21 (H2) and Annual Fixed Charges of FY 2021-22, according to Orders dated 9th March 2021 against the Petition no. 16 of 2020. Mundra UMPP has ceased operations w.e.f. 18th September 2021, however, the fixed charges for CGPL-Mundra UMPP have been assumed to be those of FY 2020-21 (H1), as it is uncertain whether the CGPL will resume operations or not.
- iv) Fixed charges for GVK during FY 2021-22 (H2) have been computed based on AFC of FY 2021-22 in line with the Commission's Order dated 26.10.2021 against the Petition 14 of 2020. While computing fixed charges, the actual cumulative plant availability factor upto Oct-2021 according to the state energy account was considered. However, due to issuance of termination notice to GVK dated 29.10.2021, fixed charges have been considered as NIL for the rest of the period.
- v) The fixed charges for CGSs for FY 2022-23 have been calculated taking into account the cumulative plant availability factor, cumulative percentage share same as that of FY 2021-22 (H1) and same AFC as that of FY 2021-22.
- vi) For central hydro generating stations, fixed charges have been calculated by assuming Plant Availability Factor of FY 2021-22 (H1) for FY 2022-23 and Annual Fixed Charges of FY 2021-22. In the case of Bairasul HEP, the normative plant availability Factor for FY 2022-23 has been considered as the Unit#3 of the plant completed its R&M and synchronized with the grid on 30.08.2021. Normative Plant Availability Factor for FY 2022-23 has also been assumed for calculation of fixed charges in case of Sewa-II HEP.
- vii) Due to issuance of Termination Notice dated 12.08.2021 to Anta, Auriya, & Dadri stations of NTPC in view of PSERC order dated 05.08.2021 in Petition no. 28 of 2021, power purchase cost from these stations has been considered as NIL for FY 2022-23.
- viii) Fixed charges for TSPL & NPL have been assumed as same as that for FY 2021-22. Further, assuming the effect of Supreme Court order towards Mega Power Status in case of NPL & TSPL, an increase of 10 paise/unit and 13 paise/unit towards fixed cost respectively has been assumed for FY 2022-23.
- ix) Assuming the effect of Supreme Court order towards Installation of FGD and SNCR systems at NPL & TSPL, an increase of 37 paise/unit and 26 paise/unit towards fixed cost respectively has been assumed for FY 2022-23.



- x) PCPCL has not considered any upward rise in cost for the projection of energy charges for H2 of FY 2021-22 compared to H1.
- xi) The variable rates for CGSs, UMPPs and IPPs for the period FY 2021-22 (H2) have been set equal to those of September 2021.
- xii) Per unit energy and capacity charges proposed for FY 2021-22 is escalated by 5% over the year to project power purchase cost for FY 2022-23.

Accordingly, PSPCL has submitted total power purchase cost of Rs. 22499.11 Crore for APR of FY 2021-22 and Rs. 23511.77 Crore for FY 2022-23.

### **Commission's Analysis:**

#### **A. Inter State Losses:**

PSPCL has considered actual inter-State loss of 3.27% for FY 2021-22 (H1). Further, it has projected the inter-State loss of 3.54% and 3.00% for FY 2021-22 (H2) and FY 2022-23 respectively, which the Commission accepts, subject to true up and validation of the same.

#### **B. Fixed Charges**

The Commission has provisionally accepted the fixed charges submitted by PSPCL for FY 2021-22 for FY 2022-23. However, the impact of 10 paise/unit and 13 paise/unit in case of Mega Power status in case of NPL/TSPL in FY 2022-23 has not been considered by the Commission, and the same shall be considered during the time of truing up, subject to the judgement of the Hon'ble Supreme Court.

#### **C. Variable Charges**

The per unit variable cost for FY 2021-22 (H1) has been considered based on actuals. The Commission observes that the actual power purchase cost has shown an increasing trend during the past few years, which has to be passed on to the consumers either in the form of FCA or as a revenue gap along with carrying cost on account of increased power purchase cost at the time of true-up of the respective year. Thus, the Commission decides to consider an escalation of 4% in the per unit variable cost considered by PSPCL for FY 2021-22 (H2). In respect of per unit variable cost for FY 2022-23, the Commission has not considered any increase in the per unit variable cost.

Also, the Commission has excluded Rs. 664.38 Crore of PSTCL Transmission charges and SLDC charges included in the variable charges as the same is allowed separately in the Order.

#### D. Prior Period and Other Expenses:

In the Power Purchase Cost for FY 2021-22, PSPCL has included previous year payment of Rs. 160.78 Crore. Further, vide reply dated 27.12.2022 PSPCL submitted expenses of Rs. 37.68 Crore as additional UI charges for FY 2021-22 (H1). The Commission shall be dealing with the same at the time of True-up of FY 2021-22. Further, PSPCL has included PSTCL Transmission Charges and SLDC Charges in 'other charges' for both FY 2021-22 and FY 2022-23. The same has been excluded from the power purchase cost as it is being allowed separately in the Order.

Accordingly, the total cost of power purchase cost for FY 2021-22 and FY 2022-23 is worked out as follows:

**Table 97: Power Purchase cost for FY 2021-22 & FY 2022-23**

Rs. Crore

| Sr. No. | Description                                                                                      | FY 2021-22         |                            | FY 2022-23         |                            |
|---------|--------------------------------------------------------------------------------------------------|--------------------|----------------------------|--------------------|----------------------------|
|         |                                                                                                  | Submitted by PSPCL | Approved by the Commission | Submitted by PSPCL | Approved by the Commission |
| I       | II                                                                                               | III                | IV                         | V                  | VI                         |
| 1       | Power Purchase (Net)                                                                             | 52389.38           | 52237                      | 52504.29           | 52331                      |
| 2       | External Losses                                                                                  | 1061.48            | 1058                       | 889.76             | 887                        |
| 3       | Power Purchase (Gross)                                                                           | 53450.86           | 53295                      | 53394.06           | 53218                      |
| 4       | <b>Cost of Power Purchase</b>                                                                    |                    |                            |                    |                            |
|         | a) Variable Cost                                                                                 | 15517.25           | 15688                      | 15674.73           | 15646                      |
|         | b) Fixed Cost excluding RECs                                                                     | 6664.69            | 6665                       | 7323.26            | 7323                       |
|         | c) Other Charges                                                                                 | 317.16             | 317                        | 313.78             | 314                        |
|         | <b>Total</b>                                                                                     | <b>22499.11</b>    | <b>22670</b>               | <b>23311.77</b>    | <b>23283</b>               |
| 5       | *Add Cost of Purchase of RECs                                                                    | -                  | -                          | 200.00             | 200                        |
| 6       | Less: Impact of 10 paise/unit and 13 paise/unit in case of Mega Power status in case of NPL/TSPL | -                  | -                          | -                  | 225                        |
| 7       | <b>Total Cost of Power Purchase (including RECs)</b>                                             | <b>22499.11</b>    | <b>22670</b>               | <b>23511.77</b>    | <b>23258</b>               |
| 8       | Per Unit Average Power Purchase Cost (Gross)                                                     | 4.21               | 4.25                       | 4.40               | 4.37                       |
| 9       | Per Unit Average Power Purchase Cost (Net)                                                       | 4.29               | 4.34                       | 4.48               | 4.44                       |

\* Discussed under para 4.10.

Accordingly, the Commission approves the revised estimates power purchase cost (excluding Intra-State Transmission and SLDC charges) of Rs. 22670 Crore and Rs. 23258 Crore for FY 2021-22 and FY 2022-23 respectively. The Commission reiterates that the quantum and rate of power approved by the Commission is only for the purpose of power purchase and energy balance for FY 2021-22 and FY 2022-23. The

same should not be construed as Commission's approval for procurement of power on long-term basis.

#### 4.10 RPO Compliance

The Commission vide its Order dated 13.10.2021 in petition no. 36 of 2021 filed by PSPCL, keeping in view of the difficulties faced by the obligated entities as well as consumers of the Punjab on account of the lockdowns imposed to prevent the spread of COVID Pandemic, allowed the carry forward of the surplus/gap after compliance of RPO of FY 2020-21 to FY 2021-22 and reduction in RPO targets fixed for FY 2021-22 by 0.3% for Non Solar and 1.5% for Solar. Accordingly, with the revised RPO target of 7.7% (8.0%-0.3%) for Non-Solar and 5.0% (6.5%-1.5%) for Solar, status of RPO Compliance by PSPCL, as per the provisions of PSERC (Renewable Purchase Obligation and its compliance) Regulations 2011, as amended from time to time, is worked out as under:

**Table 98: Status of RPO Compliance for FY 2021-22 & 2022-23**

| Sr. No. | Description                                     | Unit | FY 2021-22 |       | FY 2022-23 |       |
|---------|-------------------------------------------------|------|------------|-------|------------|-------|
| 1       | Energy Consumption/Input in PSPCL System        | MkWh | 60,850     |       | 63,121     |       |
|         | 12,416                                          |      | 13,098     |       |            |       |
|         | 48,434                                          |      | 50,023     |       |            |       |
|         |                                                 |      | Non Solar  | Solar | Non Solar  | Solar |
| 2       | RPO Target for the Year                         | %    | 7.70       | 5.00  | 9.50       | 8.00  |
|         |                                                 | MkWh | 3,729      | 2,422 | 4,752      | 4,002 |
| 3       | RPO compliance during the year                  | MkWh | 3,204      | 1,969 | 3,566      | 3,307 |
| 4       | RPO shortfall/surplus (-) during the year (2-3) |      | 525        | 453   | 1,186      | 695   |
| 5       | RPO shortfall/surplus upto previous year        |      | -107       | - 332 | -          | -     |
| 6       | Net RPO shortfall/surplus (-) (4-5)             |      | 418        | 121   | 1,186      | 695   |

The Commission observes that the projected RPO shortfall of Non-Solar and Solar for FY 2021-22 of works out to be 418 MkWh and 121 MkWh respectively and for FY 2022-23 works out to be 1186 MkWh and 695 MkWh respectively. And, PSPCL has kept the provision of Rs. 200 Crore for procurement of the RECs in its ARR for FY 2022-23. The Commission allows the same, with directions that PSPCL shall fulfill its RPO shortfall for FY 2021-22 within one month of issue of this Order. Further, for FY 2022-23, PSPCL shall endeavor to meet its RPO targets through increased share of NRSE sources in its power portfolio/REC.

#### 4.11 Capital Expenditure for FY 2021-22 and FY 2022-23

PSPCL in its Petition had initially projected Capital Expenditure of Rs. 1759.47 Crore for FY 2021-22 and Rs. 1476.60 Crore for FY 2022-23.

##### Commission's Analysis:

The Commission approved the Capital Expenditure and capitalisation for FY 2021-22 and FY 2022-23 in its Order dated 03.12.2019 for Capital Investment Plan. The summary of the same is as follows:

**Table 99: Summary of Capital Investment approved by the Commission for 2<sup>nd</sup> Control Period**  
(Rs. Crore)

| Particulars                     | Capital Expenditure approved by the Commission in CIP |                |
|---------------------------------|-------------------------------------------------------|----------------|
|                                 | FY 2021-22                                            | FY 2022-23     |
| I                               | II                                                    | III            |
| Generation Business             | 557.95                                                | 438.09         |
| Distribution Business           | 1520.67                                               | 1407.65        |
| <b>Total Capital Investment</b> | <b>2078.62</b>                                        | <b>1845.74</b> |

The Commission in the MYT Order had directed PSPCL to curtail Capital Expenditure by 20% during the 2<sup>nd</sup> Control Period in view of the extraordinary situation prevailing across the country due to Covid-19 outbreak and consequent likely difficult economic situation.

The Commission vide Tariff Order for FY 2021-22, has curtailed the Capital Expenditure of FY 2021-22 approved in the CIP by 20% as per the directions given in the MYT Order.

Further, the Capital Expenditure projected by PSPCL for Shahpur Kandi Hydro Project and SYL was not considered by the Commission as the Capital Expenditure for the same were not approved in the CIP.

**Table 100: Capital Expenditure provisionally approved by the Commission for FY 2021-22 in Tariff Order for FY 2021-22**

| Particulars                      | Approved by the Commission |
|----------------------------------|----------------------------|
|                                  | FY 2021-22                 |
| I                                | II                         |
| Generation Business              | 446.36                     |
| Distribution Business            | 1216.54                    |
| <b>Total Capital Expenditure</b> | <b>1662.90</b>             |

The Commission has observed that PSPCL vide email dated 08.03.2022 has submitted the revised capital expenditure and capitalization for FY 2021-22 and FY 2022-23.

Accordingly, the Capital Expenditure provisionally approved by the Commission for FY 2021-22 and FY 2022-23 is as follows:

**Table 101: Capital Expenditure provisionally approved by the Commission for FY 2021-22 and FY 2022-23**

(Rs. Crore)

| Particulars                      | Approved by the Commission |                |
|----------------------------------|----------------------------|----------------|
|                                  | FY 2021-22                 | FY 2022-23     |
| I                                | II                         | III            |
| Generation Business              | 337.22                     | 275.19         |
| Distribution Business            | 1246.46                    | 1126.12        |
| <b>Total Capital Expenditure</b> | <b>1583.68</b>             | <b>1401.31</b> |

#### 4.12 Capital Works in-Progress and Funding

The Opening Capital Work in Progress is considered from the Closing Capital Work in Progress (CWIP) approved in the True-up of FY 2020-21 in this Order. The CWIP for FY 2021-22 is as follows:

**Table 102: Capital Work in Progress approved by the Commission for FY 2021-22 and FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                              | FY 2021-22 | FY 2022-23 |
|---------|------------------------------------------|------------|------------|
| 1       | Opening Capital Work in Progress         | 1886.26    | 1710.70    |
| 2       | Add: Capital Expenditure during the Year | 1583.68    | 1401.31    |
| 3       | Less: Capitalisation                     | 1759.24    | 1547.56    |
| 4       | Closing Capital Work in Progress         | 1710.70    | 1564.45    |

PSPCL has submitted that Capital Expenditure during FY 2021-22 and FY 2022-23 shall be completely financed through loans. Therefore, the Commission has considered the same for funding of approved Capital Expenditure. The infusion of equity (if any) shall be considered during the True Up of respective years as per the Annual Audited Accounts.

During the 2<sup>nd</sup> Capital Investment Plan, the Financing Plan was given as per the Capital expenditure approved by the Commission. As per the approach followed in the MYT Order, since the funding of assets is to be approved for PSPCL only after the assets are put to use, the Commission has considered to fund the new schemes as per Capitalization and in order to avoid funding of the Spillover schemes twice, the Commission has considered funding of the Spillover Schemes as per capital expenditure for FY 2021-22 to FY 2022-23. The Commission shall retain separate methodologies for spillover and new schemes until the time all spillover schemes as on 01.04.2020 are capitalized. After the capitalization of all such spillover schemes, the closing value of loans, equity and depreciation for spillover schemes shall be added to the opening value of loans, equity and depreciation respectively for new schemes in the subsequent year.

The Commission allows 100% financing through long term loans after deducting funds raised through grants and Consumer Contribution. The Grant and Consumer Contribution for FY 2021-22 is considered as Rs. 403.13 Crore as approved in Tariff Order for FY 2021-22 and the same has been considered for FY 2022-23.

Based on approved amount of capital expenditure and capitalization as mentioned in the table above, the Commission determines funding for FY 2021-22 and FY 2022-23 as follows:

**Table 103: Funding of Spillover schemes for FY 2021-22 and FY 2022-23**

| (Rs. Crore)                  |                                           |              |            |
|------------------------------|-------------------------------------------|--------------|------------|
| Sr. No.                      | Particulars                               | FY 2021-22   | FY 2022-23 |
| <b>Generation Business</b>   |                                           |              |            |
| 1                            | Loan requirement of Generation Business   | 178.88       | 273.68     |
| <b>Distribution Business</b> |                                           |              |            |
| 1                            | Loan requirement of Distribution Business | 44.33        | -          |
| 2                            | Less: Consumer Contribution and Grants    | -            | -          |
| 3                            | <b>Total loan requirement</b>             | <b>44.33</b> | <b>-</b>   |

**Table 104: Funding of New schemes for FY 2021-22 and FY 2022-23**

| (Rs. Crore)                  |                                           |               |                |
|------------------------------|-------------------------------------------|---------------|----------------|
| Sr. No.                      | Particulars                               | FY 2021-22    | FY 2022-23     |
| <b>Generation Business</b>   |                                           |               |                |
| 1                            | Loan requirement of Generation Business   | 18.92         | 1.36           |
| <b>Distribution Business</b> |                                           |               |                |
| 1                            | Loan requirement of Distribution Business | 1346.91       | 1448.40        |
| 2                            | Less: Consumer Contribution and Grants    | 403.13        | 403.13         |
| 3                            | <b>Total loan requirement</b>             | <b>943.78</b> | <b>1045.27</b> |

#### 4.13 Operation and Maintenance Expenses

The O&M expenses for the 2<sup>nd</sup> Control Period have been projected as per the Regulation 26 of the PSERC MYT Regulations, 2019. The Regulation has been reproduced as under:

*“26.1. The O&M expenses for the nth year of the Control Period shall be approved based on the formula shown below:*

$$O\&M_n = (R\&M_n + EMP_n + A\&G_n) \times (1-X_n)$$

Where,

*R&M<sub>n</sub> –Repair and Maintenance Costs of the Applicant for the nth year;*

*EMP<sub>n</sub> –Employee Cost of the Applicant for the nth year;*

*A&Gn –Administrative and General Costs of the Applicant for the nth year;  
It should be ensured that all such expenses capitalized should not form a part of the  
O&M expenses being specified here.”*

#### **4.13.1 Employee Expenses**

##### **PSPCL’s Submissions:**

PSPCL has submitted that it is a State Government owned entity and is liable to follow the statutory provisions of the rules and regulations as laid down by the State Government. Accordingly, it submits that any increase in employee cost due to revision in DA, arrears of pay, etc. have to be borne by PSPCL and are beyond its control. PSPCL further submits that the Hon’ble APTEL in its Judgment dated 18.10.2016 in Appeal Nos. 7, 46 and 122 of 2011 also held as under:

*“...In the case of the employees of the PSPCL, they are regular staff of the Corporation and it being a Govt. company, they are to be governed by the rules and regulations of the Govt...*

*...Reduction of Rs. 100 Crore does not appear to be based on specific premises. Again, reduction as usual on regular basis in terms of the practice of the past by 28.48% does not appear to be justified. Our finding on this issue is the same plus the observation that in course of true up in respect of Tariff Order for FY 2011-12 the Commission will review the matter. The issue is answered in favour of the appellant.”*

It further submits that the Hon'ble APTEL vide its Judgment dated 11.09.2014 in Appeal No. 174 of 2012 and vide its subsequent judgment dated 30.03.2015 in Review Petition No. 6 of 2015 pertaining to the employee cost had held (paragraph 11) as under:

*"This Appellate Tribunal while dealing with the issue of Wholesale Price Index framed the said issue and discussed the same at length and then decided the said issue. This Appellate Tribunal in its previous judgment also considered the Regulations and the Wholesale Price Index and held that actual costs need to be considered. We after considering the previous judgment and discussion on the said issue at length in our judgment dated 11.09.2014 in the said Appeal No. 174 of 2012, after referring to the decision of the State Commission on the Wholesale Price Index, directed that the actual amount spent, subject to prudence check, is to be considered. We do not find any error apparent on the face of our judgment dated 11.09.2014 warranting us to review our aforesaid judgment. For a moment, if we accept the contention of the Review Petitioner/State Commission that the finding in para no. 40.1. of our judgment dated 11.09.2014 is to be deleted, then it*

*would result in the Issue No. (ii) framed being rendered without any finding and would also result in the previous decisions also being overruled/reversed. While disposing of the Issue Nos. (i) & (ii) in our judgment in Appeal No. 174 of 2012, we expressed our view in para nos. 17 & 18 of our judgment which we have already quoted above"*

Accordingly, PSPCL has proposed the employee expenses for the FY 2021-22 and FY 2022-23 on the basis of actual expenses of past years, increase in Dearness allowance, addition of new employees. PSPCL has considered the addition of 2327 Nos. of employees in FY 2020-21 and 2632 Nos. of employees in FY 2021-22. Further, PSPCL has considered the impact of addition of new employees and retirement of employees while estimating the employee cost for FY 2020-21 and FY 2021-22.

PSPCL has further submitted that the Government of Punjab has notified the rules regarding implementation of 6th Pay Commission vide notification dated 05.07.2021. PSPCL has not considered the impact of the aforesaid pay revision in its current petition and the same shall be filed at the time of Truing-up of the subsequent financial years based on the actual audited accounts.

Accordingly, PSPCL has claimed the employee expenses for FY 2021-22 and FY 2022-23 as under:

**Table 105: Employee Expenses submitted by PSPCL for FY 2021-22 and FY 2022-23**

| Sr. No. | Particulars                | (Rs. Crore) |             |
|---------|----------------------------|-------------|-------------|
|         |                            | FY 2021-22  | FY 2022-23  |
| 1       | Salaries and Allowances    | 2550        | 2739        |
| 2       | Terminal Benefits          | 213         | 224         |
| 3       | Pension Payments           | 2355        | 2431        |
| 4       | <b>Total Employee Cost</b> | <b>5119</b> | <b>5393</b> |
| 5       | Less: Expenses Capitalized | 140         | 147         |
| 6       | Add: BBMB Share            | 290         | 305         |
| 7       | <b>Net Employee Cost</b>   | <b>5269</b> | <b>5552</b> |

#### **Commission's Analysis:**

##### **Terminal liabilities**

The Terminal benefits expenses are to be determined as per Regulation 26 of PSERC MYT Regulations, 2019 (as amended from time to time). Relevant note of Regulation 26 of MYT Regulations, 2019 is reproduced below for reference:

*"Note 4: Terminal Liabilities such as death-cum-retirement gratuity, Ex-Gratia, pension including family pension, commuted pension, leave encashment, LTC, medical reimbursement including fixed medical allowance in respect of the State*



*PSU / Government pensioners will be approved as per the actuals paid by the Applicant.”*

The Commission considers the terminal liabilities as claimed by PSPCL. The same shall be considered as per actuals during the True-up of the respective years. **The Commission therefore approves terminal liabilities as Rs. 2568.25 Crore and Rs. 2655.28 Crore for FY 2021-22 and FY 2022-23 respectively.**

#### **Other Employee Expenses**

The Commission approved the baseline value of other employee expenses as Rs. 2145.29 Crore in para 3.13. The Commission has calculated the INDEX as under:

**Table 106: Calculation of INDEX for APR of FY 2021-22**

| Sr. No. | Particulars | FY 2020-21<br>(Apr '20-Jan '21) | FY 2021-22<br>(Apr '21-Jan '22) | Increase (%) |
|---------|-------------|---------------------------------|---------------------------------|--------------|
| I       | II          | III                             | IV                              | V            |
| 1.      | CPI         | 337.72                          | 354.99                          | 5.11%        |
| 2.      | WPI         | 122.25                          | 137.78                          | 12.70%       |

$$\text{INDEX } n/\text{INDEX } n-1 = (0.5 \times 5.11) + (0.5 \times 12.70) = 8.91\%$$

PSPCL vide 316/ARR/Dr.CAO/263/Deficiencies-Vol.1 dated 08.03.2022 has submitted the estimated impact of 6<sup>th</sup> Pay Commission and requested that the same may be considered as under:

**Table 107: Estimated impact of 6<sup>th</sup> Pay Commission as submitted by PSPCL**

(Rs. Crore)

| Sr. No. | Particulars                                                                                                                       | FY 2021-22 | FY 2022-23  |
|---------|-----------------------------------------------------------------------------------------------------------------------------------|------------|-------------|
| 1       | Impact of Pay revision of employees                                                                                               | 346        | 557         |
| 2       | Impact of Pay revision of Pensions                                                                                                | 422        | 682         |
| 3       | Impact of Arrears on account of Pay revision (from 01.01.2016 to 30.06.2021) (Rs. 3500 Crore divided in 5 years)                  | -          | 700         |
| 4       | Impact of Arrears of Retirement benefits (Revised gratuity & leave encashment of employees retired from 01.01.2016 to 30.06.2021) | -          | 900         |
| 5       | <b>Estimated Impact of 6th Pay Commission</b>                                                                                     | <b>768</b> | <b>2839</b> |

The Commission has observed that the impact of Arrears on account of Pay revision to be paid in FY 2022-23 is considered as Rs. 700 Crore whereas the Commission has considered the same as Rs. 380 Crore.

Accordingly, the Commission has considered an amount of Rs. 768 Crore for FY 2021-22 as

projected by PSPCL. The Commission observes that PSPCL has claimed an amount of Rs. 2839 Crore for FY 2022-23. The Commission has considered an amount of Rs. 2519 Crore in FY 2022-23 considering that these figures are yet to be ascertained.

The normative other employee expenses and total employee expenses for FY 2021-22 and FY 2022-23 are calculated as follows:

**Table 108: Employee Expenses approved by the Commission for FY 2021-22 and FY 2022-23**

| (Rs. Crore) |                                                                      |                |                |
|-------------|----------------------------------------------------------------------|----------------|----------------|
| Sr. No.     | Particulars                                                          | FY 2021-22     | FY 2022-23     |
| 1           | Other Employee expenses of previous year                             | 2145.29        | 2335.62        |
| 2           | INDEXn                                                               | 8.91%          | 8.91%          |
| <b>3</b>    | <b>Other Employee expenses</b>                                       | <b>2336.41</b> | <b>2544.56</b> |
| 4           | Terminal Benefits                                                    | 2568.25        | 2655.28        |
| 5           | Impact of 6th Pay Commission                                         | 768.00         | 2519.00        |
| 6           | Transfer from Fuel Cost (Expenditure on coal handling contract cost) | 3.38           | -              |
| <b>7</b>    | <b>Total Employee expenses (excluding BBMB)</b>                      | <b>5676.04</b> | <b>7718.85</b> |

The project-wise allocation of employee expenses is made by the Commission based on allocation statement submitted by PSPCL for FY 2020-21. Accordingly, the project-wise employee expenses approved for FY 2021-22 and FY 2022-23 is given in the following table:

**Table 109: Project-wise employee expenses approved by the Commission for FY 2021-22 and FY 2022-23**

| (Rs. Crore) |                     |                |                |
|-------------|---------------------|----------------|----------------|
| Sr. No.     | Particulars         | FY 2021-22     | FY 2022-23     |
| 1           | GGSSSTP             | 391.60         | 532.86         |
| 2           | GHTP                | 241.33         | 323.78         |
| 3           | Shanan              | 33.99          | 46.25          |
| 4           | UBDC                | 46.40          | 63.14          |
| 5           | RSD                 | 33.95          | 46.20          |
| 6           | MHP                 | 49.83          | 67.80          |
| 7           | ASHP                | 34.73          | 47.26          |
| 8           | Micro               | -              | -              |
| <b>9</b>    | <b>Generation</b>   | <b>831.83</b>  | <b>1127.28</b> |
| <b>10</b>   | <b>Distribution</b> | <b>4844.21</b> | <b>6591.57</b> |
| <b>11</b>   | <b>Total</b>        | <b>5676.04</b> | <b>7718.85</b> |

#### 4.13.2 Administrative and General (A&G) Expenses

##### PSPCL's Submissions:

A&G Expenses computed by PSPCL for FY 2021-22 and FY 2022-23 for Generation and Distribution businesses are shown in the following table:

**Table 110: A&G Expenses submitted by PSPCL for 2<sup>nd</sup> Control Period****(Rs. Crore)**

| Particulars                               | FY 2021-22   |               | FY 2022-23   |               |
|-------------------------------------------|--------------|---------------|--------------|---------------|
|                                           | Generation   | Distribution  | Generation   | Distribution  |
| I                                         | II           | III           | IV           | IV            |
| A&G Expenses <sub>(n-1)</sub>             | 27.12        | 138.61        | 29.39        | 150.19        |
| Escalation Factor                         | 8.35%        | 8.35%         | 8.35%        | 8.35%         |
| Expenses                                  | 29.39        | 150.19        | 31.84        | 162.73        |
| Add: Licence and Tariff Determination Fee | -            | 16            | -            | 16            |
| Add: Audit Fee                            | -            | 0.30          | -            | 0.30          |
| <b>A&amp;M Expenses</b>                   | <b>29.39</b> | <b>166.48</b> | <b>31.84</b> | <b>179.02</b> |

**Commission's Analysis:**

The Commission has considered the base value of A&G expenses as Rs. 173.76 Crore as approved in para 3.13. The INDEX for FY 2021-22 and FY 2022-23 is calculated as 8.91% in para 4.13.1. Audit and license fee are considered as claimed by PSPCL in this Petition and the same shall be considered as per actual expenses during the True-up of the respective years. The A&G expenses for FY 2021-22 and FY 2022-23 are calculated as follows:

**Table 111: A&G Expenses approved by the Commission for FY 2021-22 and FY 2022-23****(Rs. Crore)**

| Sr. No.   | Particulars                   | FY 2021-22    | FY 2022-23    |
|-----------|-------------------------------|---------------|---------------|
| I         | II                            | III           | IV            |
| 1.        | Baseline A&G Expenses (n-1)   | 173.76        | 189.24        |
| 2.        | INDEX                         | 8.91%         | 8.91%         |
| <b>3.</b> | <b>A&amp;G Expenses</b>       | <b>189.24</b> | <b>206.10</b> |
| <b>4.</b> | <b>Audit fees</b>             | <b>0.35</b>   | <b>0.37</b>   |
| <b>5.</b> | <b>License fees</b>           | <b>14.63</b>  | <b>15.74</b>  |
| <b>6.</b> | <b>Total A&amp;G Expenses</b> | <b>204.22</b> | <b>222.21</b> |
| <b>7.</b> | <b>Generation Business</b>    | <b>25.87</b>  | <b>28.18</b>  |
| <b>8.</b> | <b>Distribution Business</b>  | <b>178.35</b> | <b>194.03</b> |

The project-wise allocation of A&G expenses is made by the Commission based on the allocation statement submitted by PSPCL for FY 2020-21. Accordingly, the project-wise A&G expenses approved for FY 2021-22 and FY 2022-23 are given in the following table:

**Table 112: Project-wise A&G expenses approved by the Commission for FY 2021-22 and FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars         | FY 2021-22    | FY 2022-23    |
|---------|---------------------|---------------|---------------|
| I       | II                  | III           | IV            |
| 1       | GGSTP               | 8.55          | 9.32          |
| 2       | GHTP                | 10.53         | 11.47         |
| 3       | Shanan              | 1.01          | 1.10          |
| 4       | UBDC                | 1.04          | 1.13          |
| 5       | RSD                 | 2.59          | 2.82          |
| 6       | MHP                 | 1.35          | 1.47          |
| 7       | ASHP                | 0.80          | 0.87          |
| 8       | Micro               | -             | -             |
| 9       | <b>Generation</b>   | <b>25.87</b>  | <b>28.18</b>  |
| 10      | <b>Distribution</b> | <b>178.35</b> | <b>194.03</b> |
| 11      | <b>Total</b>        | <b>204.22</b> | <b>222.21</b> |

#### 4.13.3 Repair & Maintenance (R&M) Expenses

##### PSPCL's Submissions:

PSPCL has considered 'K' as approved by the Commission in the MYT Order. Accordingly, R&M Expenses computed by PSPCL for FY 2021-22 and FY 2022-23 for Generation and Distribution businesses are shown in the following table:

**Table 113: R&M Expenses submitted by PSPCL for 2<sup>nd</sup> Control Period**

(Rs. Crore)

| Particulars             | FY 2021-22    |               | FY 2022-23    |               |
|-------------------------|---------------|---------------|---------------|---------------|
|                         | Generation    | Distribution  | Generation    | Distribution  |
| I                       | II            | III           | IV            | V             |
| Opening GFA             | 20671         | 35178         | 21015         | 36437         |
| Closing GFA             | 21015         | 36437         | 21293         | 37563         |
| Average GFA             | 20843         | 35808         | 21154         | 37000         |
| K Factor                | 0.78%         | 0.58%         | 0.78%         | 0.58%         |
| Escalation Factor       | 11.58%        | 11.58%        | 11.58%        | 11.58%        |
| <b>R&amp;M Expenses</b> | <b>180.27</b> | <b>231.93</b> | <b>182.96</b> | <b>239.66</b> |

##### Commission's Analysis:

The Commission approved k factor for determination of R&M expenses as 0.476% and 0.780% respectively for Generation business and Distribution business in para 3.14. The WPI is considered as 12.70% for FY 2021-22 and FY 2022-23 as computed in para 4.13.1.

However, this shall be revisited during the True-Up of respective years. Accordingly, the R&M Expenses for FY 2021-22 and FY 2022-23 are determined as follows:

**Table 114: Normative R&M Expenses approved by the Commission for FY 2021-22 and FY 2022-23**

| (Rs. Crore) |                                                                                       |               |               |
|-------------|---------------------------------------------------------------------------------------|---------------|---------------|
| Sr. No.     | Particulars                                                                           | FY 2021-22    | FY 2022-23    |
|             | <b>Generation Business</b>                                                            |               |               |
| 1           | Opening GFA                                                                           | 20666.27      | 20691.21      |
| 2           | Addition of GFA                                                                       | 24.93         | 91.81         |
| 3           | Closing GFA                                                                           | 20691.21      | 20783.02      |
| 4           | Average GFA                                                                           | 20678.74      | 20737.12      |
| 5           | Average GFA (excluding BBMB and including GNDTP other assets for Generation Business) | 20119.45      | 20177.82      |
| 6           | K factor                                                                              | 0.476%        | 0.476%        |
| 7           | Inflation factor for FY 2020-21                                                       | 1.0129        | 1.0129        |
| 8           | Inflation factor for FY 2021-22                                                       | 1.1270        | 1.1270        |
| 9           | Inflation factor for FY 2022-23*                                                      | -             | 1.1270        |
| <b>10</b>   | <b>R&amp;M Expenses</b>                                                               | <b>109.41</b> | <b>123.67</b> |
|             | <b>Distribution Business</b>                                                          |               |               |
| 1           | Opening GFA                                                                           | 31193.15      | 32927.46      |
| 2           | Addition of GFA                                                                       | 1734.31       | 1455.75       |
| 3           | Closing GFA                                                                           | 32927.46      | 34383.21      |
| 4           | Average GFA                                                                           | 32060.31      | 33655.33      |
| 5           | K factor                                                                              | 0.780%        | 0.780%        |
| 6           | Inflation factor for FY 2020-21                                                       | 1.0129        | 1.0129        |
| 7           | Inflation factor for FY 2021-22                                                       | 1.1270        | 1.1270        |
| 8           | Inflation factor for FY 2022-23*                                                      | -             | 1.1270        |
| <b>9</b>    | <b>R&amp;M Expenses</b>                                                               | <b>285.63</b> | <b>337.93</b> |

\* Annual WPI increase for FY 2022-23 i.e. 12.70% is assumed to be the annual WPI increase for FY 2021-22, subject to True-up.

Accordingly, the total R&M expenses for FY 2021-22 and FY 2022-23 is determined as follows:

**Table 115: Total R&M Expenses approved by the Commission for FY 2021-22 and FY 2022-23**

| (Rs. Crore)                   |               |               |               |               |
|-------------------------------|---------------|---------------|---------------|---------------|
| Particulars                   | FY 2021-22    |               | FY 2022-23    |               |
|                               | Generation    | Distribution  | Generation    | Distribution  |
| I                             | II            | III           | IV            | V             |
| Normative R&M Expenses        | 109.41        | 285.63        | 123.67        | 337.93        |
| <b>Total R&amp;M Expenses</b> | <b>109.41</b> | <b>285.63</b> | <b>123.67</b> | <b>337.93</b> |

The project-wise allocation of R&M expenses is made by the Commission based on the allocation statement submitted by PSPCL for FY 2019-20. Accordingly, the project-wise R&M expenses approved for FY 2021-22 and FY 2022-23 are given in the following table:

**Table 116: Project-wise R&M expenses approved by the Commission for FY 2021-22 and FY 2022-23**

| (Rs. Crore) |                     |               |               |
|-------------|---------------------|---------------|---------------|
| Sr. No.     | Particulars         | FY 2021-22    | FY 2022-23    |
| I           | II                  | III           | IV            |
| 1           | GGSTP               | 29.37         | 33.19         |
| 2           | GHTP                | 34.55         | 39.06         |
| 3           | Shanan              | 3.46          | 3.92          |
| 4           | UBDC                | 0.76          | 0.85          |
| 5           | RSD                 | 37.31         | 42.17         |
| 6           | MHP                 | 2.97          | 3.35          |
| 7           | ASHP                | 1.00          | 1.13          |
| 8           | Micro               | -             | -             |
| 9           | <b>Generation</b>   | <b>109.41</b> | <b>123.67</b> |
| 10          | <b>Distribution</b> | <b>285.63</b> | <b>337.93</b> |
| 11          | <b>Total</b>        | <b>395.04</b> | <b>461.60</b> |

**Table 117: O&M expenses approved by the Commission for FY 2021-22 and FY 2022-23**

| (Rs. Crore) |                               |                |                |
|-------------|-------------------------------|----------------|----------------|
| Sr. No.     | Particulars                   | FY 2021-22     | FY 2022-23     |
| I           | II                            | III            | IV             |
| 1           | Employee Cost                 | 5676.04        | 7718.85        |
| 2           | A&G Expenses                  | 204.22         | 222.21         |
| 3           | R&M Expenses                  | 395.04         | 461.60         |
| 4           | <b>Total O&amp;M Expenses</b> | <b>6275.31</b> | <b>8402.67</b> |

#### 4.14 PSPCL's share in BBMB

The Commission has determined the Employee expenses of PSPCL's share in BBMB as submitted by PSPCL and the R&M expenses and A&G expenses as approved in True-up of FY 2020-21 for FY 2021-22 and FY 2022-23. The same is subject to determination/ true-up of BBMB expenses for the respective years by the Central Electricity Regulatory Commission. Accordingly, O&M expenses of PSPCL's share in BBMB for FY 2021-22 and FY 2022-23 are approved as follows:

**Table 118: O&M expenses of BBMB approved by the Commission for FY 2021-22 and FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                           | O&M Expenses of BBMB |               |
|---------|---------------------------------------|----------------------|---------------|
|         |                                       | FY 2021-22           | FY 2022-23    |
| I       | II                                    | III                  | IV            |
| 1       | Employee expenses                     | 290.10               | 304.95        |
| 2       | A&G expenses                          | 5.15                 | 6.00          |
| 3       | R&M expenses                          | 33.22                | 33.22         |
| 4       | <b>Total O&amp;M Expenses of BBMB</b> | <b>328.48</b>        | <b>344.17</b> |

#### 4.15 Depreciation

##### PSPCL's Submissions:

PSPCL has submitted that Depreciation has been worked out by considering Closing Gross Fixed Assets (GFA) and asset class wise weighted average depreciation rates for FY 2020-21. Further, the depreciation on consumer contribution has been adjusted to determine the revised estimates of depreciation expenses of PSPCL for FY 2021-22 and FY 2022-23 respectively. PSPCL has submitted depreciation for FY 2021-22 and FY 2022-23 as follows:

**Table 119: Depreciation for Generation and Distribution submitted by PSPCL for 2<sup>nd</sup> Control Period**

(Rs. Crore)

| Particulars                                           | FY 2021-22  | FY 2022-23  |
|-------------------------------------------------------|-------------|-------------|
| I                                                     | II          | III         |
| <b>Generation</b>                                     |             |             |
| Opening GFA                                           | 20671       | 21015       |
| Addition of GFA                                       | 344         | 278         |
| Closing GFA                                           | 21015       | 21293       |
| Depreciation                                          | <b>336</b>  | <b>342</b>  |
| <b>Distribution</b>                                   |             |             |
| Opening GFA                                           | 35178       | 36437       |
| Addition of GFA                                       | 1259        | 1126        |
| Closing GFA                                           | 36437       | 37563       |
| Depreciation                                          | 1119        | 1157        |
| <b>Total Depreciation (Generation + Distribution)</b> | <b>1456</b> | <b>1499</b> |

## **Commission's Analysis**

Regulation 21 of the PSERC MYT Regulations, 2019 specifies as under:

*“21.1. The value base for the purpose of depreciation shall be the capital cost of the assets admitted by the Commission:*

*Provided that the depreciation shall be allowed after reducing the approved original cost of the retired or replaced or decapitalized assets:*

*Provided that the land, other than the land held under lease and land for reservoir in case of hydro generating station, shall not be a depreciable asset and its cost shall be excluded from the capital cost while computing depreciable value of the assets:*

*Provided further that Government grants and consumer contribution shall also be recognized as defined under Indian Accounting Standard 20 (IND AS 20) notified by the Ministry of Corporate Affairs.*

*21.2. The residual/salvage value of the asset shall be considered as 10% and depreciation shall be allowed up to maximum of 90% of historical capital cost of the asset:*

*Provided that I.T. Equipment and Software shall be depreciated 100% with zero salvage value.*

*21.3. The Cost of the asset shall include additional capitalization.*

*21.4. The Generating Company, Transmission and Distribution Licensee shall provide the list of assets added during each Year of the Control Period and the list of assets completing 90% of depreciation in the Year along with Petition for Annual Performance Review, true-up and tariff determination for ensuing Year.*

*21.5. Depreciation for Distribution, generation and transmission assets shall be calculated annually as per straight line method over the useful life of the asset at the rate of depreciation specified by the Central Electricity Regulatory Commission from time to time:*

*Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from date of commercial operation/ put in use of the asset shall be spread over the balance useful life of the assets:*

*Provided further that in case of hydro generating stations, the salvage value shall be as provided in the agreement signed by the developers with the State Government for creation of the asset.*



21.6. Depreciation shall be chargeable from the first year of commercial operation/asset is put in use. In case of commercial operation of the asset/put in use of asset for part of the year, depreciation shall be charged on pro rata basis.”

The Commission determines the depreciation for FY 2021-22 and FY 2022-23 as per the Regulation 21 stated above. The Opening GFA for the Spillover and new schemes is considered as per the Closing GFA approved by the Commission in the True-up of FY 2020-21. Further, the Commission has not considered the depreciation on account of assets of Rs. 3350.59 Crore transferred from GNDTP. Accordingly, the same has been deducted from the Opening GFA for the Spillover schemes of Distribution Business.

The Commission has considered the addition of GFA as discussed in para4.12. Based on the actual project-wise rate of depreciation as determined during the True-Up of FY 2020-21 in this Order, the depreciation for Spillover and New Schemes is as follows:

**Table 120: Depreciation approved by the Commission for Spillover Schemes for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars               | Depreciation for Spillover Schemes (FY 2021-22) |         |        |        |         |         |        |       |        |                    |          | Total (Distribution except GNDTP) | Total |
|---------|---------------------------|-------------------------------------------------|---------|--------|--------|---------|---------|--------|-------|--------|--------------------|----------|-----------------------------------|-------|
|         |                           | GGSSSTP                                         | GHTP    | Shanan | UBDC   | RSD     | MHP     | ASHP   | Micro | BBMB   | Total (Generation) |          |                                   |       |
| I       | II                        | III                                             | IV      | V      | VI     | VII     | VIII    | IX     | X     | XI     | XII                | XIII     | XIV                               |       |
|         | Opening GFA               | 3945.19                                         | 4872.40 | 150.19 | 903.84 | 8077.90 | 1374.98 | 659.99 | 29.57 | 644.24 | 20658.29           | 30032.40 | 50690.68                          |       |
|         | Addition during the Year  | 0.00                                            | 0.00    | 0.00   | 0.00   | 0.00    | 6.01    | 0.00   | 0.00  | 0.00   | 6.01               | 387.40   | 393.41                            |       |
|         | Closing GFA               | 3945.19                                         | 4872.40 | 150.19 | 903.84 | 8077.90 | 1380.99 | 659.99 | 29.57 | 644.24 | 20664.30           | 30419.80 | 51084.10                          |       |
|         | Average GFA               | 3945.19                                         | 4872.40 | 150.19 | 903.84 | 8077.90 | 1377.98 | 659.99 | 29.57 | 644.24 | 20661.29           | 30226.10 | 50887.39                          |       |
|         | Average GFA of Land       | 2416.50                                         | 742.98  | 51.75  | 673.90 | 329.27  | 522.50  | 511.67 | 7.47  | 0.00   | 5256.04            | 6736.10  | 11992.15                          |       |
|         | Average GFA (Net of Land) | 1528.68                                         | 4129.42 | 98.44  | 229.94 | 7748.63 | 855.48  | 148.31 | 22.10 | 644.24 | 15405.25           | 23489.99 | 38895.24                          |       |
|         | Depreciation Rate (%)     | 1.26%                                           | 2.95%   | 3.00%  | 1.11%  | 1.87%   | 3.08%   | 1.71%  | 1.13% | 1.90%  |                    | 4.00%    | 2.50%                             |       |
|         | Depreciation              | 19.26                                           | 121.77  | 2.95   | 2.54   | 144.89  | 26.37   | 2.53   | 0.25  | 12.21  | 332.78             | 938.74   | 1271.52                           |       |

**Table 121: Depreciation approved by the Commission for New Schemes for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars               | Depreciation for New Schemes (FY 2021-22) |       |        |       |       |       |       |       |       |                    |         | Total (Distribution except GNDTP) | Total |
|---------|---------------------------|-------------------------------------------|-------|--------|-------|-------|-------|-------|-------|-------|--------------------|---------|-----------------------------------|-------|
|         |                           | GGSSTP                                    | GHTP  | Shanan | UBDC  | RSD   | MHP   | ASHP  | Micro | BBMB  | Total (Generation) |         |                                   |       |
| I       | II                        | III                                       | IV    | V      | VI    | VII   | VIII  | IX    | X     | XI    | XII                | XIII    | XIV                               |       |
|         | Opening GFA               | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 4.66  | 0.00  | 0.00  | 0.00  | 7.99               | 1160.76 | 1168.74                           |       |
|         | Addition during the Year  | 0.00                                      | 0.00  | 0.00   | 0.00  | 0.00  | 18.92 | 0.00  | 0.00  | 0.00  | 18.92              | 1346.91 | 1365.83                           |       |
|         | Closing GFA               | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 23.59 | 0.00  | 0.00  | 0.00  | 26.91              | 2507.66 | 2534.57                           |       |
|         | Average GFA               | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 14.13 | 0.00  | 0.00  | 0.00  | 17.45              | 1834.21 | 1851.66                           |       |
|         | Average GFA of Land       | 0.00                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00               | 0.00    | 0.00                              |       |
|         | Average GFA (Net of Land) | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 14.13 | 0.00  | 0.00  | 0.00  | 17.45              | 1834.21 | 1851.66                           |       |
|         | Depreciation Rate (%)     | 1.26%                                     | 2.95% | 3.00%  | 1.11% | 1.87% | 3.08% | 1.71% | 1.13% | 1.90% |                    | 4.00%   | 3.99%                             |       |
|         | Depreciation              | 0.00                                      | 0.09  | 0.00   | 0.00  | 0.00  | 0.44  | 0.00  | 0.00  | 0.00  | 0.53               | 73.30   | 73.83                             |       |

**Table 122: Depreciation approved by the Commission for FY 2021-22****(Rs. Crore)**

| Sr. No. | Particulars               | Total Depreciation (FY 2021-22) |               |             |             |               |              |             |             |              |                    |                      |                |
|---------|---------------------------|---------------------------------|---------------|-------------|-------------|---------------|--------------|-------------|-------------|--------------|--------------------|----------------------|----------------|
|         |                           | GGSSSTP                         | GHTP          | Shanan      | UBDC        | RSD           | MHP          | ASHP        | Micro       | BBMB         | Total (Generation) | Total (Distribution) | Total          |
| I       | II                        | III                             | IV            | V           | VI          | VII           | VIII         | IX          | X           | XI           | XII                | XIII                 | XIV            |
|         | Opening GFA               | 3945.33                         | 4875.57       | 150.19      | 903.84      | 8077.91       | 1379.64      | 659.99      | 29.57       | 644.24       | 20666.27           | 31193.15             | 51859.43       |
|         | Addition during the Year  | 0.00                            | 0.00          | 0.00        | 0.00        | 0.00          | 24.93        | 0.00        | 0.00        | 0.00         | 24.93              | 1734.31              | 1759.24        |
|         | Closing GFA               | 3945.33                         | 4875.57       | 150.19      | 903.84      | 8077.91       | 1404.58      | 659.99      | 29.57       | 644.24       | 20691.21           | 32927.46             | 53618.67       |
|         | Average GFA               | 3945.33                         | 4875.57       | 150.19      | 903.84      | 8077.91       | 1392.11      | 659.99      | 29.57       | 644.24       | 20678.74           | 32060.31             | 52739.05       |
|         | Average GFA of Land       | 2416.50                         | 742.98        | 51.75       | 673.90      | 329.27        | 522.50       | 511.67      | 7.47        | 0.00         | 5256.04            | 6736.10              | 11992.15       |
|         | Average GFA (Net of Land) | 1528.83                         | 4132.59       | 98.44       | 229.94      | 7748.64       | 869.61       | 148.31      | 22.10       | 644.24       | 15422.70           | 25324.20             | 40746.90       |
|         | <b>Depreciation</b>       | <b>19.26</b>                    | <b>121.86</b> | <b>2.95</b> | <b>2.54</b> | <b>144.89</b> | <b>26.81</b> | <b>2.53</b> | <b>0.25</b> | <b>12.21</b> | <b>333.31</b>      | <b>1012.04</b>       | <b>1345.35</b> |

**Table 123: Depreciation approved by the Commission for Spillover Schemes for FY 2022-23****(Rs. Crore)**

| Sr. No. | Particulars               | Depreciation for Spillover Schemes (FY 2022-23) |               |             |             |               |              |             |             |              |                    |                      |                |
|---------|---------------------------|-------------------------------------------------|---------------|-------------|-------------|---------------|--------------|-------------|-------------|--------------|--------------------|----------------------|----------------|
|         |                           | GGSSSTP                                         | GHTP          | Shanan      | UBDC        | RSD           | MHP          | ASHP        | Micro       | BBMB         | Total (Generation) | Total (Distribution) | Total          |
| I       | II                        | III                                             | IV            | V           | VI          | VII           | VIII         | IX          | X           | XI           | XII                | XIII                 | XIV            |
|         | Opening GFA               | 3945.19                                         | 4872.40       | 150.19      | 903.84      | 8077.90       | 1380.99      | 659.99      | 29.57       | 644.24       | 20664.30           | 30419.80             | 51084.10       |
|         | Addition during the Year  | 0.00                                            | 0.00          | 0.00        | 30.13       | 0.00          | 9.36         | 50.96       | 0.00        | 0.00         | 90.45              | 7.35                 | 97.80          |
|         | Closing GFA               | 3945.19                                         | 4872.40       | 150.19      | 933.96      | 8077.90       | 1390.35      | 710.95      | 29.57       | 644.24       | 20754.75           | 30427.14             | 51181.90       |
|         | Average GFA               | 3945.19                                         | 4872.40       | 150.19      | 918.90      | 8077.90       | 1385.67      | 685.47      | 29.57       | 644.24       | 20709.53           | 30423.47             | 51133.00       |
|         | Average GFA of Land       | 2416.50                                         | 742.98        | 51.75       | 673.90      | 329.27        | 522.50       | 511.67      | 7.47        | 0.00         | 5256.04            | 6736.10              | 11992.15       |
|         | Average GFA (Net of Land) | 1528.68                                         | 4129.42       | 98.44       | 245.00      | 7748.63       | 863.17       | 173.79      | 22.10       | 644.24       | 15453.48           | 23687.37             | 39140.85       |
|         | Depreciation Rate (%)     | 1.26%                                           | 2.95%         | 3.00%       | 1.11%       | 1.87%         | 3.08%        | 1.71%       | 1.13%       | 1.90%        |                    | 4.00%                | 2.50%          |
|         | <b>Depreciation</b>       | <b>19.26</b>                                    | <b>121.77</b> | <b>2.95</b> | <b>2.71</b> | <b>144.89</b> | <b>26.61</b> | <b>2.97</b> | <b>0.25</b> | <b>12.21</b> | <b>333.62</b>      | <b>946.63</b>        | <b>1280.24</b> |

**Table 124: Depreciation approved by the Commission for New Schemes for FY 2022-23****(Rs. Crore)**

| Sr. No. | Particulars               | Depreciation for New Schemes (FY 2022-23) |       |        |       |       |       |       |       |       |                     |                      |         |
|---------|---------------------------|-------------------------------------------|-------|--------|-------|-------|-------|-------|-------|-------|---------------------|----------------------|---------|
|         |                           | GGSSTP                                    | GHTP  | Shanan | UBDC  | RSD   | MHP   | ASHP  | Micro | BBMB  | Total (Generati on) | Total (Distribution) | Total   |
| I       | II                        | III                                       | IV    | V      | VI    | VII   | VIII  | IX    | X     | XI    | XII                 | XIII                 | XIV     |
|         | Opening GFA               | 0.15                                      | 3.17  | 0.00   | 0.00  | 0.01  | 23.59 | 0.00  | 0.00  | 0.00  | 26.91               | 2507.66              | 2534.57 |
|         | Addition during the Year  | 0.81                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.55  | 0.00  | 0.00  | 0.00  | 1.36                | 1448.40              | 1449.76 |
|         | Closing GFA               | 0.96                                      | 3.17  | 0.00   | 0.00  | 0.01  | 24.14 | 0.00  | 0.00  | 0.00  | 28.27               | 3956.06              | 3984.34 |
|         | Average GFA               | 0.55                                      | 3.17  | 0.00   | 0.00  | 0.01  | 23.86 | 0.00  | 0.00  | 0.00  | 27.59               | 3231.86              | 3259.45 |
|         | Average GFA of Land       | 0.00                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00                | 0.00                 | 0.00    |
|         | Average GFA (Net of Land) | 0.55                                      | 3.17  | 0.00   | 0.00  | 0.01  | 23.86 | 0.00  | 0.00  | 0.00  | 27.59               | 3231.86              | 3259.45 |
|         | Depreciation Rate (%)     | 1.26%                                     | 2.95% | 3.00%  | 1.11% | 1.87% | 3.08% | 1.71% | 1.13% | 1.90% |                     | 4.00%                | 3.99%   |
|         | Depreciation              | 0.01                                      | 0.09  | 0.00   | 0.00  | 0.00  | 0.74  | 0.00  | 0.00  | 0.00  | 0.84                | 129.16               | 129.99  |

**Table 125: Depreciation approved by the Commission for FY 2022-23****(Rs. Crore)**

| Sr. No. | Particulars                            | Total Depreciation (FY 2022-23) |         |        |        |         |         |        |       |        |                    |                      |          |
|---------|----------------------------------------|---------------------------------|---------|--------|--------|---------|---------|--------|-------|--------|--------------------|----------------------|----------|
|         |                                        | GGSSSTP                         | GHTP    | Shanan | UBDC   | RSD     | MHP     | ASHP   | Micro | BBMB   | Total (Generation) | Total (Distribution) | Total    |
| I       | II                                     | III                             | IV      | V      | VI     | VII     | VIII    | IX     | X     | XI     | XII                | XIII                 | XIV      |
| 1       | Opening GFA                            | 3945.33                         | 4875.57 | 150.19 | 903.84 | 8077.91 | 1404.58 | 659.99 | 29.57 | 644.24 | 20691.21           | 32927.46             | 53618.67 |
| 2       | Addition during the Year               | 0.81                            | 0.00    | 0.00   | 30.13  | 0.00    | 9.91    | 50.96  | 0.00  | 0.00   | 91.81              | 1455.75              | 1547.56  |
| 3       | Less: Consumer Contribution and Grants | 3946.15                         | 4875.57 | 150.19 | 933.96 | 8077.91 | 1414.49 | 710.95 | 29.57 | 644.24 | 20783.02           | 34383.21             | 55166.23 |
| 4       | Closing GFA                            | 3945.74                         | 4875.57 | 150.19 | 918.90 | 8077.91 | 1409.53 | 685.47 | 29.57 | 644.24 | 20737.12           | 33655.33             | 54392.45 |
| 5       | Average GFA                            | 2416.50                         | 742.98  | 51.75  | 673.90 | 329.27  | 522.50  | 511.67 | 7.47  | 0.00   | 5256.04            | 6736.10              | 11992.15 |
| 6       | Average GFA of Land                    | 1529.24                         | 4132.59 | 98.44  | 245.00 | 7748.64 | 887.03  | 173.79 | 22.10 | 644.24 | 15481.07           | 26919.23             | 42400.30 |
| 7       | Average GFA (Net of Land)              | 3945.33                         | 4875.57 | 150.19 | 903.84 | 8077.91 | 1404.58 | 659.99 | 29.57 | 644.24 | 20691.21           | 32927.46             | 53618.67 |
| 8       | Depreciation                           | 19.27                           | 121.86  | 2.95   | 2.71   | 144.89  | 27.34   | 2.97   | 0.25  | 12.21  | 334.45             | 1075.78              | 1410.23  |

#### 4.16 Interest and Finance Charges

##### PSPCL's Submissions:

PSPCL has submitted that interest on long term loans is calculated in line with Regulation 24 of the PSERC MYT Regulations 2019. Interest cost for second half of FY 2021-22 has been projected on the basis of estimated receipt of long-term loans to fund the Capital Expenditure at the current interest rates. After adjusting the capitalised interest, the net interest cost on long term loan is claimed as be Rs. 741 Crore and Rs. 736 Crore for FY 2021-22 and FY 2022-23 respectively.

**Commission's Analysis:**

The Commission determines the Interest on loan capital for the 2<sup>nd</sup> Control Period as per Regulation 24 of the PSERC MYT Regulations, 2019. It is reproduced as under:

*“24.1. For existing loan capital, interest and finance charges on loan capital shall be computed on the outstanding loans, duly taking into account the actual rate of interest and the schedule of repayment as per the terms and conditions of relevant agreements. The rate of interest shall be the actual rate of interest paid/payable (other than working capital loans) on loans by the Licensee.*

*24.2. Interest and finance charges on the future loan capital for new investments shall be computed on the loans, based on one (1) year State Bank of India (SBI) MCLR/any replacement thereof as notified by RBI as may be applicable as on 1<sup>st</sup> April of the relevant year, plus a margin determined on the basis of current actual rate of interest of the capital expenditure loan taken by the Generating Company, Licensee or SLDC and prevailing SBIMCLR.*

*24.3. There payment for each year of the tariff period shall be deemed to be equal to the depreciation allowed for the corresponding year. In case of de-capitalisation of assets, the repayment shall be adjusted by taking into account cumulative depreciation made to the extent of de-capitalisation.*

*24.4. The Commission shall allow obligatory taxes on interest, finance charges (including guarantee fee payable to the Government) and any exchange rate difference arising from foreign currency borrowings, as finance cost.*

*24.5. The interest on excess equity treated as loan shall be serviced at the weighted average interest rate of actual loan taken from the lenders.*

*Provided also that if there is no actual loan for a particular Year but normative loan is still outstanding, the last available weighted average rate of interest for the actual loan shall be considered.”*

The Opening of loan for the Spillover and New schemes is considered as per the Closing approved by the Commission in the True-up of FY 2020-21 in this Order.

The Commission has considered the approved addition of loan as given in Table 102 and Table 103. As per regulation 24.3 of PSERC MYT Regulation 2019, the repayment of loan is considered equal to depreciation allowed for the corresponding year.

The rate of interest on loan capital for new investments of Generation and Distribution Businesses is as per Regulation 24.2 and is calculated as under:

**Table 126: Calculation for rate of interest on loan for new investments**

| <b>Sr. No.</b> | <b>Particulars</b>                                     | <b>Rate of interest for new investments</b> |
|----------------|--------------------------------------------------------|---------------------------------------------|
| <b>I</b>       | <b>II</b>                                              | <b>III</b>                                  |
| 1              | Actual Interest rate (True Up of FY 2020-21)           | 9.43%                                       |
| 2              | SBI 1 yr MCLR (as on 1 <sup>st</sup> Apr 2020)         | 7.75%                                       |
| 3              | Margin (4=2-3)                                         | 1.68%                                       |
| 4              | SBI 1 yr MCLR (as on 1 <sup>st</sup> Apr 2021)         | 7.00%                                       |
| 5              | SBI 1 yr MCLR (as on as on 15.01.2022)                 | 7.00%                                       |
| <b>6</b>       | <b>Interest on loan Capital for FY 2021-22 (6=4+3)</b> | <b>8.68%</b>                                |
| <b>7</b>       | <b>Interest on loan Capital for FY 2022-23 (6=5+3)</b> | <b>8.68%</b>                                |

For the Spillover schemes i.e. for existing loans, the rate of interest on loan capital is as per Regulation 24.1 and is considered as 9.43% for Generation and Distribution Businesses as approved during the True-up of FY 2020-21 in this Order.

The Commission allows interest on GPF as claimed by PSPCL i.e. Rs. 59.26 Crore and Rs. 39.88 Crore for FY 2021-22 and FY 2022-23 respectively. As interest on GPF is a statutory payment, the same shall be considered on the basis of actual figures during the True-up of respective years.

The Commission determines Interest on long term loans for Generation and Distribution Businesses as follows:

**Table 127: Interest and finance charges approved by the Commission for Spillover Schemes for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars                                 | Interest and finance charges for Spillover Schemes (FY 2021-22) |             |             |             |             |              |             |             |              |                    |                      |               |
|---------|---------------------------------------------|-----------------------------------------------------------------|-------------|-------------|-------------|-------------|--------------|-------------|-------------|--------------|--------------------|----------------------|---------------|
|         |                                             | GGSSSTP                                                         | GHTP        | Shanan      | UBDC        | RSD         | MHP          | ASHP        | Micro       | BBMB         | Total (Generation) | Total (Distribution) | Total         |
| I       | II                                          | III                                                             | IV          | V           | VI          | VII         | VIII         | IX          | X           | XI           | XII                | XIII                 | XIV           |
| 1       | Opening Loan                                | 80.68                                                           | 0.00        | 18.82       | 18.00       | 0.00        | 125.78       | 2.63        | 0.00        | 156.92       | 402.83             | 5163.17              | 5566.00       |
| 2       | Addition during the year                    | 0.03                                                            | 102.09      | 5.59        | 14.59       | 3.65        | 11.50        | 41.42       | 0.00        | 0.00         | 178.88             | 44.33                | 223.20        |
| 3       | Less: Consumer Contribution and Grants      | 0.00                                                            | 0.00        | 0.00        | 0.00        | 0.00        | 0.00         | 0.00        | 0.00        | 0.00         | 0.00               | 0.00                 | 0.00          |
| 4       | Less: Repayment during the year             | 19.26                                                           | 102.09      | 2.95        | 2.54        | 3.65        | 26.37        | 2.53        | 0.00        | 12.21        | 171.61             | 938.74               | 1110.35       |
| 5       | Closing Loan                                | 61.45                                                           | 0.00        | 21.46       | 30.05       | 0.00        | 110.91       | 41.52       | 0.00        | 144.71       | 410.09             | 4268.76              | 4678.85       |
| 6       | Average Loan                                | 71.07                                                           | 0.00        | 20.14       | 24.02       | 0.00        | 118.34       | 22.07       | 0.00        | 150.81       | 406.46             | 4715.97              | 5122.43       |
| 7       | Rate of Interest on Loan                    | 9.43%                                                           | 9.43%       | 9.43%       | 9.43%       | 9.43%       | 9.43%        | 9.43%       | 9.43%       | 9.43%        | 9.43%              | 9.43%                | 9.43%         |
| 8       | <b>Interest &amp; Finance Charges</b>       | <b>6.70</b>                                                     | <b>0.00</b> | <b>1.90</b> | <b>2.26</b> | <b>0.00</b> | <b>11.16</b> | <b>2.08</b> | <b>0.00</b> | <b>14.22</b> | <b>38.32</b>       | <b>444.64</b>        | <b>482.96</b> |
| 9       | Add: Finance Charges and Guarantee Fee      |                                                                 |             |             |             |             |              |             |             |              |                    | 10.73                | 10.73         |
| 10      | Less: Capitalization of Interest Charges    |                                                                 |             |             |             |             |              |             |             |              |                    | 197.00               | 197.00        |
| 11      | <b>Total Interest &amp; Finance Charges</b> | <b>6.70</b>                                                     | <b>0.00</b> | <b>1.90</b> | <b>2.26</b> | <b>0.00</b> | <b>11.16</b> | <b>2.08</b> | <b>0.00</b> | <b>14.22</b> | <b>38.32</b>       | <b>258.36</b>        | <b>296.69</b> |

**Table 128: Interest and finance charges approved by the Commission for New Schemes for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars                                 | Interest and finance charges for New Schemes (FY 2021-22) |             |             |             |             |             |             |             |             |                    |                      |               |
|---------|---------------------------------------------|-----------------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|--------------------|----------------------|---------------|
|         |                                             | GGSSSTP                                                   | GHTP        | Shanan      | UBDC        | RSD         | MHP         | ASHP        | Micro       | BBMB        | Total (Generation) | Total (Distribution) | Total         |
| I       | II                                          | III                                                       | IV          | V           | VI          | VII         | VIII        | IX          | X           | XI          | XII                | XIII                 | XIV           |
| 1       | Opening Loan                                | 0.15                                                      | 3.12        | 0.00        | 0.00        | 0.01        | 4.59        | 0.00        | 0.00        | 0.00        | 7.87               | 879.80               | 887.66        |
| 2       | Addition during the year                    | 0.00                                                      | 0.00        | 0.00        | 0.00        | 0.00        | 18.92       | 0.00        | 0.00        | 0.00        | 18.92              | 1346.91              | 1365.83       |
| 3       | Less: Consumer Contribution and Grants      | 0.00                                                      | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00        | 0.00               | 403.13               | 403.13        |
| 4       | Less: Repayment during the year             | 0.00                                                      | 0.09        | 0.00        | 0.00        | 0.00        | 0.44        | 0.00        | 0.00        | 0.00        | 0.53               | 73.30                | 73.83         |
| 5       | Closing Loan                                | 0.14                                                      | 3.03        | 0.00        | 0.00        | 0.01        | 23.08       | 0.00        | 0.00        | 0.00        | 26.26              | 1750.27              | 1776.53       |
| 6       | Average Loan                                | 0.15                                                      | 3.08        | 0.00        | 0.00        | 0.01        | 13.84       | 0.00        | 0.00        | 0.00        | 17.06              | 1315.03              | 1332.10       |
| 7       | Rate of Interest on Loan                    | 8.68%                                                     | 8.68%       | 8.68%       | 8.68%       | 8.68%       | 8.68%       | 8.68%       | 8.68%       | 8.68%       | 8.68%              | 8.68%                | 8.68%         |
| 8       | <b>Interest &amp; Finance Charges</b>       | <b>0.01</b>                                               | <b>0.27</b> | <b>0.00</b> | <b>0.00</b> | <b>0.00</b> | <b>1.20</b> | <b>0.00</b> | <b>0.00</b> | <b>0.00</b> | <b>1.48</b>        | <b>114.12</b>        | <b>115.60</b> |
| 9       | Add: Interest for GPF Liability             |                                                           |             |             |             |             |             |             |             |             |                    | 59.26                | 59.26         |
| 10      | Add: Finance Charges and Guarantee Fee      |                                                           |             |             |             |             |             |             |             |             |                    | 46.27                | 46.27         |
| 11      | <b>Total Interest &amp; Finance Charges</b> | <b>0.01</b>                                               | <b>0.27</b> | <b>0.00</b> | <b>0.00</b> | <b>0.00</b> | <b>1.20</b> | <b>0.00</b> | <b>0.00</b> | <b>0.00</b> | <b>1.48</b>        | <b>219.65</b>        | <b>221.14</b> |

**Table 129: Interest and finance charges approved by the Commission for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars                              | Total Interest and finance charges (FY 2021-22) |        |        |       |      |        |       |       |        |                    |                      |         |
|---------|------------------------------------------|-------------------------------------------------|--------|--------|-------|------|--------|-------|-------|--------|--------------------|----------------------|---------|
|         |                                          | GGSSSTP                                         | GHTP   | Shanan | UBDC  | RSD  | MHP    | ASHP  | Micro | BBMB   | Total (Generation) | Total (Distribution) | Total   |
| I       | II                                       | III                                             | IV     | V      | VI    | VII  | VIII   | IX    | X     | XI     | XII                | XIII                 | XIV     |
| 1       | Opening Loan                             | 80.83                                           | 3.12   | 18.82  | 18.00 | 0.01 | 130.37 | 2.63  | 0.00  | 156.92 | 410.70             | 6042.97              | 6453.67 |
| 2       | Addition during the year                 | 0.03                                            | 102.09 | 5.59   | 14.59 | 3.65 | 30.42  | 41.42 | 0.00  | 0.00   | 197.80             | 1391.23              | 1589.03 |
| 3       | Less: Consumer Contribution and Grants   | 0.00                                            | 0.00   | 0.00   | 0.00  | 0.00 | 0.00   | 0.00  | 0.00  | 0.00   | 0.00               | 403.13               | 403.13  |
| 4       | Less: Repayment during the year          | 19.26                                           | 102.18 | 2.95   | 2.54  | 3.65 | 26.81  | 2.53  | 0.00  | 12.21  | 172.14             | 1012.04              | 1184.18 |
| 5       | Closing Loan                             | 61.60                                           | 3.03   | 21.46  | 30.05 | 0.01 | 133.99 | 41.52 | 0.00  | 144.71 | 436.35             | 6019.04              | 6455.39 |
| 6       | Average Loan                             | 71.21                                           | 3.08   | 20.14  | 24.02 | 0.01 | 132.18 | 22.07 | 0.00  | 150.81 | 423.52             | 6031.00              | 6454.53 |
| 7       | Interest & Finance Charges               | 6.71                                            | 0.27   | 1.90   | 2.26  | 0.00 | 12.36  | 2.08  | 0.00  | 14.22  | 39.80              | 558.76               | 598.56  |
| 8       | Add: Interest for GPF Liability          |                                                 |        |        |       |      |        |       |       |        |                    | 59.26                | 59.26   |
| 9       | Add: Finance Charges and Guarantee Fee   |                                                 |        |        |       |      |        |       |       |        |                    | 57.00                | 57.00   |
| 10      | Less: Capitalization of Interest Charges |                                                 |        |        |       |      |        |       |       |        |                    | 197.00               | 197.00  |
| 11      | Total Interest & Finance Charges         | 6.71                                            | 0.27   | 1.90   | 2.26  | 0.00 | 12.36  | 2.08  | 0.00  | 14.22  | 39.80              | 478.02               | 517.82  |

**Table 130: Interest and finance charges approved by the Commission for Spillover Schemes for FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                              | Interest and finance charges for Spillover Schemes (FY 2022-23) |        |        |       |       |        |       |       |        |                    |                      |         |
|---------|------------------------------------------|-----------------------------------------------------------------|--------|--------|-------|-------|--------|-------|-------|--------|--------------------|----------------------|---------|
|         |                                          | GGSSSTP                                                         | GHTP   | Shanan | UBDC  | RSD   | MHP    | ASHP  | Micro | BBMB   | Total (Generation) | Total (Distribution) | Total   |
| I       | II                                       | III                                                             | IV     | V      | VI    | VII   | VIII   | IX    | X     | XI     | XII                | XIII                 | XIV     |
| 1       | Opening Loan                             | 61.45                                                           | 0.00   | 21.46  | 30.05 | 0.00  | 110.91 | 41.52 | 0.00  | 144.71 | 410.09             | 4268.76              | 4678.85 |
| 2       | Addition during the year                 | 0.00                                                            | 171.98 | 11.48  | 24.66 | 0.00  | 24.79  | 40.77 | 0.00  | 0.00   | 273.68             | 0.00                 | 273.68  |
| 3       | Less: Consumer Contribution and Grants   | 0.00                                                            | 0.00   | 0.00   | 0.00  | 0.00  | 0.00   | 0.00  | 0.00  | 0.00   | 0.00               | 0.00                 | 0.00    |
| 4       | Less: Repayment during the year          | 19.26                                                           | 121.77 | 2.95   | 2.71  | 0.00  | 26.61  | 2.97  | 0.00  | 12.21  | 188.48             | 946.63               | 1135.10 |
| 5       | Closing Loan                             | 42.19                                                           | 50.21  | 29.98  | 51.99 | 0.00  | 109.09 | 79.32 | 0.00  | 132.49 | 495.29             | 3322.14              | 3817.43 |
| 6       | Average Loan                             | 51.82                                                           | 25.11  | 25.72  | 41.02 | 0.00  | 110.00 | 60.42 | 0.00  | 138.60 | 452.69             | 3795.45              | 4248.14 |
| 7       | Rate of Interest on Loan                 | 9.43%                                                           | 9.43%  | 9.43%  | 9.43% | 9.43% | 9.43%  | 9.43% | 9.43% | 9.43%  | 9.43%              | 9.43%                | 9.43%   |
| 8       | Interest & Finance Charges               | 4.89                                                            | 2.37   | 2.43   | 3.87  | 0.00  | 10.37  | 5.70  | 0.00  | 13.07  | 42.68              | 357.85               | 400.53  |
| 9       | Add: Finance Charges and Guarantee Fee   |                                                                 |        |        |       |       |        |       |       |        |                    | 6.74                 | 6.74    |
| 10      | Less: Capitalization of Interest Charges |                                                                 |        |        |       |       |        |       |       |        |                    | 204.00               | 204.00  |
| 11      | Total Interest & Finance Charges         | 4.89                                                            | 2.37   | 2.43   | 3.87  | 0.00  | 10.37  | 5.70  | 0.00  | 13.07  | 42.68              | 160.58               | 203.26  |

**Table 131: Interest and finance charges approved by the Commission for New Schemes for FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                            | Interest and finance charges for New Schemes (FY 2022-23) |       |        |       |       |       |       |       |       |                    |                      |         |
|---------|----------------------------------------|-----------------------------------------------------------|-------|--------|-------|-------|-------|-------|-------|-------|--------------------|----------------------|---------|
|         |                                        | GGSSSTP                                                   | GHTP  | Shanan | UBDC  | RSD   | MHP   | ASHP  | Micro | BBMB  | Total (Generation) | Total (Distribution) | Total   |
| I       | II                                     | III                                                       | IV    | V      | VI    | VII   | VIII  | IX    | X     | XI    | XII                | XIII                 | XIV     |
| 1       | Opening Loan                           | 0.14                                                      | 3.03  | 0.00   | 0.00  | 0.01  | 23.08 | 0.00  | 0.00  | 0.00  | 26.26              | 1750.27              | 1776.53 |
| 2       | Addition during the year               | 0.81                                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.55  | 0.00  | 0.00  | 0.00  | 1.36               | 1448.40              | 1449.76 |
| 3       | Less: Consumer Contribution and Grants | 0.00                                                      | 0.00  | 0.00   | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00  | 0.00               | 403.13               | 403.13  |
| 4       | Less: Repayment during the year        | 0.01                                                      | 0.09  | 0.00   | 0.00  | 0.00  | 0.74  | 0.00  | 0.00  | 0.00  | 0.84               | 129.16               | 129.99  |
| 5       | Closing Loan                           | 0.95                                                      | 2.94  | 0.00   | 0.00  | 0.01  | 22.89 | 0.00  | 0.00  | 0.00  | 26.78              | 2666.39              | 2693.18 |
| 6       | Average Loan                           | 0.55                                                      | 2.98  | 0.00   | 0.00  | 0.01  | 22.99 | 0.00  | 0.00  | 0.00  | 26.52              | 2208.33              | 2234.85 |
| 7       | Rate of Interest on Loan               | 8.68%                                                     | 8.68% | 8.68%  | 8.68% | 8.68% | 8.68% | 8.68% | 8.68% | 8.68% | 8.68%              | 8.68%                | 8.68%   |
| 8       | Interest & Finance Charges             | 0.05                                                      | 0.26  | 0.00   | 0.00  | 0.00  | 1.99  | 0.00  | 0.00  | 0.00  | 2.30               | 191.65               | 193.95  |
| 9       | Add: Interest for GPF Liability        |                                                           |       |        |       |       |       |       |       |       |                    | 39.88                | 39.88   |
| 10      | Add: Finance Charges and Guarantee Fee |                                                           |       |        |       |       |       |       |       |       |                    | 25.76                | 25.76   |
| 11      | Total Interest & Finance Charges       | 0.05                                                      | 0.26  | 0.00   | 0.00  | 0.00  | 1.99  | 0.00  | 0.00  | 0.00  | 2.30               | 257.29               | 259.59  |

**Table 132: Interest and finance charges approved by the Commission for FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                              | Total Interest and finance charges (FY 2022-23) |        |        |       |      |        |       |       |        |                    |                      |         |
|---------|------------------------------------------|-------------------------------------------------|--------|--------|-------|------|--------|-------|-------|--------|--------------------|----------------------|---------|
|         |                                          | GGSSTP                                          | GHTP   | Shanan | UBDC  | RSD  | MHP    | ASHP  | Micro | BBMB   | Total (Generation) | Total (Distribution) | Total   |
| I       | II                                       | III                                             | IV     | V      | VI    | VII  | VIII   | IX    | X     | XI     | XII                | XIII                 | XIV     |
| 1       | Opening Loan                             | 61.60                                           | 3.03   | 21.46  | 30.05 | 0.01 | 133.99 | 41.52 | 0.00  | 144.71 | 436.35             | 6019.04              | 6455.39 |
| 2       | Addition during the year                 | 0.81                                            | 171.98 | 11.48  | 24.66 | 0.00 | 25.34  | 40.77 | 0.00  | 0.00   | 275.04             | 1448.40              | 1723.44 |
| 3       | Less: Consumer Contribution and Grants   | 0.00                                            | 0.00   | 0.00   | 0.00  | 0.00 | 0.00   | 0.00  | 0.00  | 0.00   | 0.00               | 403.13               | 403.13  |
| 4       | Less: Repayment during the year          | 19.27                                           | 121.86 | 2.95   | 2.71  | 0.00 | 27.34  | 2.97  | 0.00  | 12.21  | 189.31             | 1075.78              | 1265.10 |
| 5       | Closing Loan                             | 43.14                                           | 53.15  | 29.98  | 51.99 | 0.01 | 131.98 | 79.32 | 0.00  | 132.49 | 522.08             | 5988.53              | 6510.60 |
| 6       | Average Loan                             | 52.37                                           | 28.09  | 25.72  | 41.02 | 0.01 | 132.98 | 60.42 | 0.00  | 138.60 | 479.21             | 6003.78              | 6483.00 |
| 7       | Interest & Finance Charges               | 4.93                                            | 2.63   | 2.43   | 3.87  | 0.00 | 12.37  | 5.70  | 0.00  | 13.07  | 44.98              | 549.49               | 594.47  |
| 8       | Add: Interest for GPF Liability          |                                                 |        |        |       |      |        |       |       |        |                    | 39.88                | 39.88   |
| 9       | Add: Finance Charges and Guarantee Fee   |                                                 |        |        |       |      |        |       |       |        |                    | 32.50                | 32.50   |
| 10      | Less: Capitalization of Interest Charges |                                                 |        |        |       |      |        |       |       |        |                    | 204.00               | 204.00  |
| 11      | Total Interest & Finance Charges         | 4.93                                            | 2.63   | 2.43   | 3.87  | 0.00 | 12.37  | 5.70  | 0.00  | 13.07  | 44.98              | 417.87               | 462.85  |



#### **4.17 Interest on Consumer Security Deposit**

PSPCL has claimed Rs. 150 Crore each for FY 2021-22 and FY 2022-23 respectively as interest on consumer security deposit,

The Commission has considered the consumer security deposit of Rs. 123.63 for FY 2021-22 and FY 2022-23 as approved in True-up of FY 2020-21 in para 3.19.

**Accordingly, the Commission approves Rs. 123.63 Crore and Rs. 123.63 Crore for FY 2021-22 and FY 2022-23 respectively. The same shall be considered on the basis of actual figures during the True-up of respective years.**

#### **4.18 Interest on Working Capital**

##### **PSPCL's Submissions:**

PSPCL has submitted that PSPCL has been under severe financial strain and the actual interest on working capital loans is higher than normative. The working capital loans have been taken by the company to fund its deficit in the financials which have been disallowed earlier, for funding the delay payments from the consumers. In view of the above, PSPCL has prayed to the Commission that the interest on working capital loans needs to be allowed as per actuals.

PSPCL has further submitted that the Interest on working capital loan of PSPCL for FY 2021-22 has been calculated on the basis of actuals in the first half and projected receipt and repayment in the second half. The total interest cost on short-term borrowing of PSPCL for distribution business works out to be Rs. 631 Crore and Rs. 578 Crore for FY 2021-22 and FY 2022-23 respectively.

PSPCL has further submitted that PSPCL is consistently reducing the losses over the last three years. PSPCL has made substantial improvement in overall efficiency and quality of supply. To ensure sustainability of the distribution licensee, the interest cost on loans may be allowed by the Hon'ble Commission. Therefore, PSPCL has requested the Commission to allow the revised interest cost to PSPCL for FY 2021-22 and FY 2022-23 as per element wise cost shown in the following table:

PSPCL has submitted the interest on working capital for as Rs. 631 Crore and Rs. 578 Crore for FY 2021-22 and FY 2022-23 respectively.

##### **Commission's Analysis:**

The Commission has computed the interest on working capital as per Regulation 33 and Regulation 43 of the PSERC MYT Regulations, 2019. Considering the rate of interest as

approved in the True-Up of FY 2020-21 i.e. 10.13%, the Commission determines and approves the Interest on working capital as follows:

**Table 133: Interest on working Capital approved by the Commission for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars                                                        | FY 2021-22    |               |              |              |              |              |              |             |              |               |               |                |
|---------|--------------------------------------------------------------------|---------------|---------------|--------------|--------------|--------------|--------------|--------------|-------------|--------------|---------------|---------------|----------------|
|         |                                                                    | GGSSSTP       | GHTP          | Shanan       | UBDC         | RSD          | MHP          | ASHP         | Micro       | BBMB         | Generation    | Distribution  | Total          |
| 1       | Cost of Fuel for 2 months                                          | 97.22         | 100.87        |              |              |              |              |              |             |              | 198.09        |               | 198.09         |
| 2       | O&M Expenses for 1 month                                           | 35.79         | 23.87         | 3.21         | 4.02         | 6.15         | 4.51         | 3.04         | 0.00        |              | 80.59         | 442.35        | 522.94         |
| 3       | Maintenance spares @ 15% of the O&M expenses                       | 64.43         | 42.96         | 5.77         | 7.23         | 11.08        | 8.12         | 5.48         | 0.00        |              | 145.07        | 796.23        | 941.30         |
| 4       | Receivables equivalent to 2 months                                 | 191.40        | 189.81        | 7.92         | 12.18        | 67.22        | 19.42        | 9.31         | 0.13        | 62.19        | 559.57        | 5208.12       | 5767.68        |
| 5       | Less: Consumer Security Deposit                                    |               |               |              |              |              |              |              |             |              |               | 3965.33       | 3965.33        |
| 6       | Less: Power procurement cost including associated cost for 1 month |               |               |              |              |              |              |              |             |              |               | 1889.17       | 1889.17        |
| 7       | Total Normative Working Capital                                    | <b>388.84</b> | <b>357.50</b> | <b>16.90</b> | <b>23.42</b> | <b>84.45</b> | <b>32.05</b> | <b>17.83</b> | <b>0.13</b> | <b>62.19</b> | <b>983.32</b> | <b>592.19</b> | <b>1575.51</b> |
| 8       | Interest on Working Capital (%)                                    | 10.13%        | 10.13%        | 10.13%       | 10.13%       | 10.13%       | 10.13%       | 10.13%       | 10.13%      | 10.13%       | 10.13%        | 10.13%        |                |
| 9       | <b>Interest on Working Capital</b>                                 | <b>39.38</b>  | <b>36.21</b>  | <b>1.71</b>  | <b>2.37</b>  | <b>8.55</b>  | <b>3.25</b>  | <b>1.81</b>  | <b>0.01</b> | <b>6.30</b>  | <b>99.60</b>  | <b>59.98</b>  | <b>159.58</b>  |

**Table 134: Interest on working Capital approved by the Commission for FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                                                        | FY 2022-23    |               |              |              |              |              |              |             |              |                |               |                |
|---------|--------------------------------------------------------------------|---------------|---------------|--------------|--------------|--------------|--------------|--------------|-------------|--------------|----------------|---------------|----------------|
|         |                                                                    | GGSSSTP       | GHTP          | Shanan       | UBDC         | RSD          | MHP          | ASHP         | Micro       | BBMB         | Generation     | Distribution  | Total          |
| 1       | Cost of Fuel for 2 months                                          | 132.86        | 136.14        |              |              |              |              |              |             |              | 268.99         |               | 268.99         |
| 2       | O&M Expenses for 1 month                                           | 47.95         | 31.19         | 4.27         | 5.43         | 7.60         | 6.05         | 4.10         | 0.00        |              | 106.59         | 593.63        | 700.22         |
| 3       | Maintenance spares @ 15% of the O&M expenses                       | 86.31         | 56.15         | 7.69         | 9.77         | 13.68        | 10.89        | 7.39         | 0.00        |              | 191.87         | 1068.53       | 1260.40        |
| 4       | Receivables equivalent to 2 months                                 | 253.26        | 241.94        | 10.23        | 15.41        | 70.35        | 22.72        | 12.21        | 0.13        | 64.65        | 690.91         | 5605.18       | 6296.09        |
| 5       | Less: Consumer Security Deposit                                    |               |               |              |              |              |              |              |             |              |                | 4352.44       | 4352.44        |
| 6       | Less: Power procurement cost including associated cost for 1 month |               |               |              |              |              |              |              |             |              |                | 1938.18       | 1938.18        |
| 7       | Total Normative Working Capital                                    | <b>520.37</b> | <b>465.41</b> | <b>22.20</b> | <b>30.61</b> | <b>91.63</b> | <b>39.66</b> | <b>23.70</b> | <b>0.13</b> | <b>64.65</b> | <b>1258.37</b> | <b>976.72</b> | <b>2235.09</b> |
| 8       | Interest on Working Capital (%)                                    | 10.13%        | 10.13%        | 10.13%       | 10.13%       | 10.13%       | 10.13%       | 10.13%       | 10.13%      | 10.13%       | 10.13%         | 10.13%        |                |
| 9       | <b>Interest on Working Capital</b>                                 | <b>52.71</b>  | <b>47.14</b>  | <b>2.25</b>  | <b>3.10</b>  | <b>9.28</b>  | <b>4.02</b>  | <b>2.40</b>  | <b>0.01</b> | <b>6.55</b>  | <b>127.46</b>  | <b>98.93</b>  | <b>226.39</b>  |

## 4.19 Return on Equity

### PSPCL's Submissions:

PSPCL has submitted that as per the audited accounts, an amount of Rs. 15628.26 Crore on account of GoP Loans under UDAY are converted into equity on 31.03.2020. However, PSPCL has further submitted that out of the total UDAY loans, Rs. 2246.77 Crore were capital expenditure loans and Rs. 13381.49 Crore were working capital loans, out of which Rs. 2346.19 Crore of working capital loans were diverted for capital expenditure funding which is already being approved by the Commission. Thus, PSPCL has considered the amount of Rs. 4592.96 Crore (Rs. 2346.19 Crore+ Rs. 2246.77 Crore) in addition to amount of Rs. 6081 Crore to admissible equity for return.

The return on Equity for claimed by PSPCL for FY 2021-22 and FY 2022-23 are as follows:

**Table 135: Return on Equity claimed by PSPCL for FY 2021-22 and FY 2022-23**

| Particulars                  | (Rs. Crore) |             |
|------------------------------|-------------|-------------|
|                              | FY 2021-22  | FY 2022-23  |
| Opening Equity               | 10674       | 21710       |
| Addition of Equity           | -           | -           |
| Closing Equity               | 10674       | 10674       |
| Average Equity               | 10674       | 10674       |
| Rate of Return on Equity (%) | 15.50%      | 15.50%      |
| <b>Return on Equity</b>      | <b>1684</b> | <b>1684</b> |

### Commission's Analysis:

The Commission determines the Return on Equity for the Control Period in accordance with Regulation 20 of PSERC MYT Regulations, 2019 which is reproduced as under:

#### *"20. Return on equity*

*Return on equity shall be computed at the base rate of 15.5% for thermal generating stations, Transmission Licensee, SLDC and run of the river hydro generating stations and at the base rate of 16.5% for the storage type hydro generating stations and run of river generating stations with pondage and 16% for Distribution Licensee on the paid up equity capital determined in accordance with Regulation 19:*

*Provided that Equity invested in foreign currency shall be converted to rupee currency based on the exchange rate prevailing on the date(s) it is subscribed:*

*Provided further that assets funded by consumer contributions, capital subsidies/Government grants shall not form part of the capital base for the purpose of calculation of Return on Equity."*

Further, Regulation 19 of PSERC MYT Regulations, 2019 is reproduced as under:

*"19.1. Existing Projects - In case of the capital expenditure projects having Commercial Operation Date prior to the effective date, the debt-equity ratio shall be as allowed by the Commission for determination of tariff for the period prior to the effective date:*

*Provided that the Commission shall not consider the increase in equity as a result of revaluation of assets (including land) for the purpose of computing return on equity.*

*19.2. New Projects – For capital expenditure projects declared under commercial operation on or after the effective date:*

*(a) A Normative debt-equity ratio of 70:30 shall be considered for the purpose of determination of Tariff;*

*(b) In case the actual equity employed is in excess of 30%, the amount of equity for the purpose of tariff determination shall be limited to 30%, and the balance amount shall be considered as normative loan;*

*(c) In case, the actual equity employed is less than 30%, the actual debt-equity ratio shall be considered;*

*(d) The premium, if any raised by the Applicant while issuing share capital and investment of internal accruals created out of free reserve, shall also be reckoned as paid up capital for the purpose of computing return on equity subject to the normative debt-equity ratio of 70:30, **provided such premium amount and internal accruals are actually utilized for meeting capital expenditure of the Applicant's business.***

*...*

**(Emphasis added)**

The Commission has not considered the amount of Rs. 4592.96 Crore (Rs. 2346.19 Crore+ Rs. 2246.77 Crore) in addition to amount of Rs. 6081 Crore to admissible equity for return. Accordingly, no addition of equity has been considered by the Commission to the opening equity of FY 2020-21 on account of conversion of UDAY loans of Rs.2246.77 Crore as it is not utilized for meeting the capital expenditure for new Projects. Similarly, Rs. 2346.19 Crore as claimed by PSPCL which was diverted for capital expenditure funding is also not considered for infusion towards equity as these were working capital loans relating to prior period.

The UDAY loans approved by the Commission till FY 2019-20 have not been considered as loans in FY 2021-22 and FY 2022-23. The Commission has considered the opening equity for FY 2021-22 as the approved closing of equity from the True-up of FY 2020-21. As explained in Table 102 and Table 103, no addition of equity has been considered in any of the years. The Commission determines Return on Equity for FY 2021-22 and FY 2022-23 as follows:

**Table 136: Return on equity approved by the Commission for FY 2021-22****(Rs. Crore)**

| Sr. No. | Particulars              | FY 2021-22   |              |             |              |               |              |              |             |              |               |                |                        |               |
|---------|--------------------------|--------------|--------------|-------------|--------------|---------------|--------------|--------------|-------------|--------------|---------------|----------------|------------------------|---------------|
|         |                          | GGSSST P     | GHTP         | Shanan      | UBDC         | RSD           | MHP          | ASHP         | Micro       | BBMB         | Generation    | Wires Business | Retail Supply Business | Total         |
| I       | II                       | III          | IV           | V           | VI           | VII           | VIII         | IX           | X           | XI           | XII           | XIII           | XIV                    | XV            |
| 1       | Opening Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.69       | 3311.77        | 367.97                 | 6081.43       |
| 2       | Addition during the Year | 0.00         | 0.00         | 0.00        | 0.00         | 0.00          | 0.00         | 0.00         | 0.00        | 0.00         | 0.00          | 0.00           | 0.00                   | 0.00          |
| 4       | Closing Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.69       | 3311.77        | 367.97                 | 6081.43       |
| 5       | Average Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.69       | 3311.77        | 367.97                 | 6081.43       |
| 6       | Return on Equity (%)     | 15.50%       | 15.50%       | 16.50%      | 16.50%       | 16.50%        | 16.50%       | 16.50%       | 15.50%      | 16.50%       |               | 16.00%         | 16.00%                 |               |
| 7       | <b>Return on Equity</b>  | <b>70.16</b> | <b>88.89</b> | <b>2.51</b> | <b>17.67</b> | <b>161.43</b> | <b>19.97</b> | <b>12.92</b> | <b>0.50</b> | <b>11.92</b> | <b>385.98</b> | <b>529.88</b>  | <b>58.88</b>           | <b>974.74</b> |

**Table 137: Return on equity approved by the Commission for FY 2022-23****(Rs. Crore)**

| Sr. No. | Particulars              | FY 2022-23   |              |             |              |               |              |              |             |              |               |                |                        |               |
|---------|--------------------------|--------------|--------------|-------------|--------------|---------------|--------------|--------------|-------------|--------------|---------------|----------------|------------------------|---------------|
|         |                          | GGSSST P     | GHTP         | Shanan      | UBDC         | RSD           | MHP          | ASHP         | Micro       | BBMB         | Generation    | Wires Business | Retail Supply Business | Total         |
| I       | II                       | III          | IV           | V           | VI           | VII           | VIII         | IX           | X           | XI           | XII           | XIII           | XIV                    | XV            |
| 1       | Opening Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.68       | 3311.77        | 367.97                 | 6081.43       |
| 2       | Addition during the Year | 0.00         | 0.00         | 0.00        | 0.00         | 0.00          | 0.00         | 0.00         | 0.00        | 0.00         | 0.00          | 0.00           | 0.00                   | 0.00          |
| 4       | Closing Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.68       | 3311.77        | 367.97                 | 6081.43       |
| 5       | Average Equity           | 452.65       | 573.48       | 15.23       | 107.10       | 978.39        | 121.03       | 78.32        | 3.23        | 72.26        | 2401.68       | 3311.77        | 367.97                 | 6081.43       |
| 6       | Return on Equity (%)     | 15.50%       | 15.50%       | 16.50%      | 16.50%       | 16.50%        | 16.50%       | 16.50%       | 15.50%      | 16.50%       |               | 16.00%         | 16.00%                 |               |
| 7       | <b>Return on Equity</b>  | <b>70.16</b> | <b>88.89</b> | <b>2.51</b> | <b>17.67</b> | <b>161.43</b> | <b>19.97</b> | <b>12.92</b> | <b>0.50</b> | <b>11.92</b> | <b>385.98</b> | <b>529.88</b>  | <b>58.88</b>           | <b>974.74</b> |

#### **4.20 Charges Payable to GoP on RSD**

PSPCL has claimed Rs. 14.59 Crore and Rs. 15.32 Crore for FY 2021-22 and FY 2022-23 respectively as royalty charges payable to Government of Punjab on power from RSD (under Generation Business).

**The Commission approves royalty charges of Rs. 14.59 Crore and Rs. 15.32 Crore for FY 2021-22 and FY 2022-23 respectively as claimed by PSPCL.**

#### **4.21 Non-Tariff Income**

##### **PSPCL's Submissions:**

PSPCL has considered the non-tariff Income as Rs. 811.86 Crore based on submission made for True-up for FY 2020-21.

##### **Commission's Analysis:**

The Commission observes that the amount of Rs. 371.37 Crore was removed from Non-Tariff Income of FY 2020-21 as it was from One-time settlement scheme. Accordingly, the Commission has not considered the same for determining the Non-Tariff Income for FY 2021-22 and FY 2022-23. The Commission considers an annual escalation of 7.5% on the Non-Tariff Income of Rs. 898.32 Crore.

Accordingly, the Commission approves the Non-Tariff Income of Rs. 965.69 Crore for FY 2021-22 and Rs. 1038.12 Crore for FY 2022-23.

#### **4.22 Transmission Charges Payable to PSTCL**

PSPCL has claimed Rs. 1331.71 Crore and Rs. 1398.30 Crore as Transmission and SLDC Charges payable to PSTCL for FY 2021-22 and FY 2022-23 respectively under its distribution Business.

The Commission has determined the Transmission and SLDC Charges payable by PSPCL to PSTCL as Rs. 1433.60 Crore and Rs. 1492.56 Crore for FY 2021-22 and FY 2022-23 respectively in the PSTCL Tariff Order.

#### **4.23 Prior Period expenses**

As discussed in para 3.10, the following prior period expenses paid in FY 2021-22 are considered by the Commission:

**Prior period expenses allowed by the Commission for FY 2021-22**

| (Rs. Crore)                                                                    |               |
|--------------------------------------------------------------------------------|---------------|
| Particulars                                                                    | FY 2021-22    |
| Amount paid to NPL and TSPL in compliance to Hon'ble SC order dated 09.03.2021 | 440.87*       |
| 5% covid rebate and force majeure payable to generators                        | 42.48         |
| Disputed Amount of Durgapur STPS and Raghunathpur TPS Power Stations           | 51.74         |
| <b>Total</b>                                                                   | <b>535.09</b> |

*\*includes Rs. 2.75 Crore of amount pertaining to FY 2021-22*

Further, the Commission observes that PSPCL during the Presentation on 28.02.2022 has indicated an amount of around Rs. 485.00 Crore for prior period expenses of power purchase in dispute for FY 2022-23.

**Accordingly, the Commission decides to allow additional amount of Rs 535.09 Crore and Rs. 485.00 Crore in the ARR of FY 2021-22 and FY 2022-23 as prior period expenses.**

**4.24 Provision for DSM Fund**

PSPCL, in its Tariff Petition, claimed the Provision for DSM Fund of Rs. 5 Crore and Rs. 16 Crore for FY 2021-22 and FY 2022-23 respectively.

The Commission allows Rs. 5 Crore each for FY 2021-22 and FY 2022-23 as per DSM Regulations.

**4.25 Aggregate Revenue Requirement (ARR) of PSPCL for FY 2021-22 and FY 2022-23**

A summary of ARR of PSPCL approved by the Commission for FY 2021-22 and FY 2022-23 is as follows:

**Table 138: Aggregate Revenue Requirement (ARR) approved by the Commission for FY 2021-22**

(Rs. Crore)

| Sr. No. | Particulars                           | FY 2021-22     |                |              |              |               |               |              |             |               |                |                |                        |                 |
|---------|---------------------------------------|----------------|----------------|--------------|--------------|---------------|---------------|--------------|-------------|---------------|----------------|----------------|------------------------|-----------------|
|         |                                       | GGSSSTP        | GHTP           | Shanan       | UBDC         | RSD           | MHP           | ASHP         | Micro       | BBMB          | Generati on    | Wires Business | Retail Supply Business | Total           |
| 1       | Fuel Cost                             | 583.33         | 605.19         |              |              |               |               |              |             |               | 1188.52        |                |                        | 1188.52         |
| 2       | Power Purchase Cost                   |                |                |              |              |               |               |              |             |               |                |                | 22670.08               | 22670.08        |
| 3       | Employee Expenses                     | 391.60         | 241.33         | 33.99        | 46.40        | 33.95         | 49.83         | 34.73        | 0.00        | 290.10        | 1121.93        | 1937.68        | 2906.53                | 5966.14         |
| 4       | A&G Expenses                          | 8.55           | 10.53          | 1.01         | 1.04         | 2.59          | 1.35          | 0.80         | 0.00        | 5.15          | 31.03          | 89.17          | 89.17                  | 209.38          |
| 5       | R&M Expenses                          | 29.37          | 34.55          | 3.46         | 0.76         | 37.31         | 2.97          | 1.00         | 0.00        | 33.22         | 142.64         | 257.07         | 28.56                  | 428.27          |
| 6       | Depreciation                          | 19.26          | 121.86         | 2.95         | 2.54         | 144.89        | 26.81         | 2.53         | 0.25        | 12.21         | 333.31         | 910.84         | 101.20                 | 1345.35         |
| 7       | Interest & Finance Charges            | 6.71           | 0.27           | 1.90         | 2.26         | 0.00          | 12.36         | 2.08         | 0.00        | 14.22         | 39.80          | 430.22         | 47.80                  | 517.82          |
| 8       | Interest on Consumer Security Deposit |                |                |              |              |               |               |              |             |               |                | 12.36          | 111.27                 | 123.63          |
| 9       | Return on Equity                      | 70.16          | 88.89          | 2.51         | 17.67        | 161.43        | 19.97         | 12.92        | 0.50        | 11.92         | 385.98         | 529.88         | 58.88                  | 974.74          |
| 10      | Interest on Working Capital           | 39.38          | 36.21          | 1.71         | 2.37         | 8.55          | 3.25          | 1.81         | 0.01        | 6.30          | 99.60          | 6.00           | 53.98                  | 159.58          |
| 11      | Intra-State Transmission Charges      |                |                |              |              |               |               |              |             |               |                |                | 1433.60                | 1433.60         |
| 12      | Provision for DSM fund                |                |                |              |              |               |               |              |             |               |                |                | 5.00                   | 5.00            |
| 13      | Royalty Paid by RSD to GoP            |                |                |              |              | 14.59         |               |              |             |               | 14.59          |                |                        | 14.59           |
| 14      | Prior period expense                  |                |                |              |              |               |               |              |             |               |                |                | 535.09                 | 535.09          |
| 15      | <b>Total Revenue Requirement</b>      | <b>1148.38</b> | <b>1138.83</b> | <b>47.54</b> | <b>73.05</b> | <b>403.31</b> | <b>116.52</b> | <b>55.87</b> | <b>0.76</b> | <b>373.13</b> | <b>3357.40</b> | <b>4173.22</b> | <b>28041.17</b>        | <b>35571.79</b> |
| 16      | Less: Non-Tariff Income               |                |                |              |              |               |               |              |             |               |                | 96.57          | 869.12                 | 965.69          |
| 17      | <b>Net Revenue Requirement</b>        | <b>1148.38</b> | <b>1138.83</b> | <b>47.54</b> | <b>73.05</b> | <b>403.31</b> | <b>116.52</b> | <b>55.87</b> | <b>0.76</b> | <b>373.13</b> | <b>3357.40</b> | <b>4076.65</b> | <b>27172.05</b>        | <b>34606.10</b> |



**Table 139: Aggregate Revenue Requirement (ARR) approved by the Commission for FY 2022-23**

(Rs. Crore)

| Sr. No. | Particulars                           | FY 2022-23     |                |              |              |               |               |              |             |               |                |                |                        | Total           |
|---------|---------------------------------------|----------------|----------------|--------------|--------------|---------------|---------------|--------------|-------------|---------------|----------------|----------------|------------------------|-----------------|
|         |                                       | GGSSSTP        | GHTP           | Shanan       | UBDC         | RSD           | MHP           | ASHP         | Micro       | BBMB          | Generati on    | Wires Business | Retail Supply Business |                 |
| 1       | Fuel Cost                             | 797.14         | 816.82         |              |              |               |               |              |             |               | 1613.96        |                |                        | 1613.96         |
| 2       | Power Purchase Cost                   |                |                |              |              |               |               |              |             |               | 0.00           |                | 23258.16               | 23258.16        |
| 3       | Employee Expenses                     | 532.86         | 323.78         | 46.25        | 63.14        | 46.20         | 67.80         | 47.26        | 0.00        | 304.95        | 1432.23        | 2636.63        | 3954.94                | 8023.80         |
| 4       | A&G Expenses                          | 9.32           | 11.47          | 1.10         | 1.13         | 2.82          | 1.47          | 0.87         | 0.00        | 6.00          | 34.18          | 97.02          | 97.02                  | 228.21          |
| 5       | R&M Expenses                          | 33.19          | 39.06          | 3.92         | 0.85         | 42.17         | 3.35          | 1.13         | 0.00        | 33.22         | 156.89         | 304.14         | 33.79                  | 494.83          |
| 6       | Depreciation                          | 19.27          | 121.86         | 2.95         | 2.71         | 144.89        | 27.34         | 2.97         | 0.25        | 12.21         | 334.45         | 968.20         | 107.58                 | 1410.23         |
| 7       | Interest & Finance Charges            | 4.93           | 2.63           | 2.43         | 3.87         | 0.00          | 12.37         | 5.70         | 0.00        | 13.07         | 44.98          | 376.08         | 41.79                  | 462.85          |
| 8       | Interest on Consumer Security Deposit |                |                |              |              |               |               |              |             |               |                | 12.36          | 111.27                 | 123.63          |
| 9       | Return on Equity                      | 70.16          | 88.89          | 2.51         | 17.67        | 161.43        | 19.97         | 12.92        | 0.50        | 11.92         | 385.98         | 529.88         | 58.88                  | 974.74          |
| 10      | Interest on Working Capital           | 52.71          | 47.14          | 2.25         | 3.10         | 9.28          | 4.02          | 2.40         | 0.01        | 6.55          | 127.46         | 9.89           | 89.04                  | 226.39          |
| 11      | Intra-State Transmission Charges      |                |                |              |              |               |               |              |             |               |                |                | 1492.56                | 1492.56         |
| 12      | Provision for DSM fund                |                |                |              |              |               |               |              |             |               |                |                | 5.00                   | 5.00            |
| 13      | Royalty Paid by RSD to GoP            |                |                |              |              | 15.32         |               |              |             |               | 15.32          |                |                        | 15.32           |
| 14      | Prior period expense                  |                |                |              |              |               |               |              |             |               |                |                | 485.00                 | 485.00          |
| 15      | <b>Total Revenue Requirement</b>      | <b>1519.58</b> | <b>1451.64</b> | <b>61.40</b> | <b>92.48</b> | <b>422.11</b> | <b>136.32</b> | <b>73.24</b> | <b>0.76</b> | <b>387.93</b> | <b>4145.46</b> | <b>4934.21</b> | <b>29735.01</b>        | <b>38814.68</b> |
| 16      | Less: Non-Tariff Income               |                |                |              |              |               |               |              |             |               |                | 103.81         | 934.31                 | 1038.12         |
| 17      | <b>Net Revenue Requirement</b>        | <b>1519.58</b> | <b>1451.64</b> | <b>61.40</b> | <b>92.48</b> | <b>422.11</b> | <b>136.32</b> | <b>73.24</b> | <b>0.76</b> | <b>387.93</b> | <b>4145.46</b> | <b>4830.40</b> | <b>28800.70</b>        | <b>37776.56</b> |

#### 4.26 Revenue from Sale of Power at Existing Tariff

In the current petition, PSPCL has projected revenue from sale of power at Rs. 35042 Crore for FY 2021-22 Crore and Rs. 36723 Crore for FY 2022-23.

**The Commission approves revenue from sale of power at Rs. 34604.03 Crore for FY 2021-22 and Rs. 36149.60 Crore for FY 2022-23 in Distribution Business of PSPCL, the details of which are discussed in the following tables:**

**Table 140: Revenue from Sale of Power at Existing Tariff for FY 2021-22**

| Sr. No. | Category of Consumers                                                                              | Approved Sales (MkWh) | Revenue from Sale of Power (Rs. Crore) |                 |                      |                 |
|---------|----------------------------------------------------------------------------------------------------|-----------------------|----------------------------------------|-----------------|----------------------|-----------------|
|         |                                                                                                    |                       | Fixed Charges                          | Energy Charges  | Surcharge/ Incentive | Total           |
| I       | II                                                                                                 | III                   | IV                                     | V               | VI                   | VII             |
| 1       | Domestic                                                                                           | 14305                 | 780.29                                 | 7355.92         | (0.33)               | 8135.88         |
| 2       | Non-Residential Supply                                                                             | 3948                  | 387.22                                 | 2760.08         | 5.51                 | 3152.81         |
| 3       | Small Power                                                                                        | 1261                  | 79.05                                  | 823.85          | 26.01                | 928.91          |
| 4       | Medium supply                                                                                      | 3540                  | 245.63                                 | 2084.02         | (4.85)               | 2324.79         |
| 5       | Large Supply                                                                                       | 17003                 | 1534.41                                | 10763.19        | (212.84)             | 12084.75        |
| 6       | Bulk Supply & Grid Supply                                                                          | 660                   | 92.14                                  | 446.25          | (11.16)              | 527.23          |
| 7       | Railway Traction                                                                                   | 0.0                   | 11.36                                  | 0.00            | (0.00)               | 11.36           |
| 8       | Public Lighting                                                                                    | 131                   | 3.45                                   | 101.67          | 0.00                 | 105.11          |
| 9       | AP High Technology                                                                                 | 0                     | 0.00                                   | 0.08            | 0.00                 | 0.08            |
| 10      | Compost/ Solid waste Management Plants for Municipalities of Urban Local Bodies/ Rural Water Works | 139                   | 5.54                                   | 79.10           | 28.91                | 113.55          |
| 11      | Charitable Hospitals set-up under PwD Act                                                          | 0                     | 0.00                                   | 0.00            | 0.00                 | 0.00            |
| 12      | Start-up Power for generators/CPPs                                                                 | 167                   | 0.00                                   | 125.37          | (5.51)               | 119.86          |
| 13      | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib                                                | 11                    | 0.00                                   | 6.71            | (0.16)               | 6.56            |
| 14      | Temporary Supply                                                                                   | 220                   | 0.00                                   | 177.11          | 0.21                 | 177.32          |
| 15      | <b>Total Metered Sales within State</b>                                                            | <b>41385</b>          | <b>3139.08</b>                         | <b>24723.35</b> | <b>(174.21)</b>      | <b>27688.22</b> |
| 16      | Agriculture                                                                                        | 11956                 | 0.00                                   | 6749.16         | 0.00                 | 6749.16         |
| 17      | Common Pool                                                                                        | 301                   | 0.00                                   | 125.15          | 0.00                 | 125.15          |
| 18      | Outside State Sale                                                                                 | 70                    | 0.00                                   | 41.49           | 0.00                 | 41.49           |
| 19      | <b>Total</b>                                                                                       | <b>53712</b>          | <b>3139.08</b>                         | <b>31639.16</b> | <b>(174.21)</b>      | <b>34604.03</b> |

**Table 141: Revenue from Sale of Power at Existing Tariff for FY 2022-23**

| Sr. No. | Category of Consumers                                                                              | Sales | Revenue from Sale of Power |                  |                     |             |
|---------|----------------------------------------------------------------------------------------------------|-------|----------------------------|------------------|---------------------|-------------|
|         |                                                                                                    |       | Fixed Charges              | Variable Charges | Surcharge / Rebates | Total       |
|         |                                                                                                    | MkWh  | (Rs. Crore)                | (Rs. Crore)      | (Rs. Crore)         | (Rs. Crore) |
| I       | II                                                                                                 | III   | IV                         | V                | VII                 | VIII        |
| 1       | Domestic Supply                                                                                    | 14631 | 813.81                     | 7523.68          | (0.33)              | 8337.16     |
| 2       | Non-Residential Supply                                                                             | 3991  | 398.84                     | 2775.04          | 5.51                | 3179.39     |
| 3       | Small Power                                                                                        | 1312  | 81.42                      | 865.20           | 26.01               | 972.63      |
| 4       | Medium Supply                                                                                      | 3792  | 252.99                     | 2270.54          | (4.85)              | 2518.68     |
| 5       | Large Supply                                                                                       | 18188 | 1603.91                    | 11591.35         | (212.84)            | 12982.43    |
| 6       | Public Lighting                                                                                    | 138   | 3.55                       | 102.53           | 0.00                | 106.08      |
| 7       | Bulk Supply                                                                                        | 670   | 96.54                      | 441.75           | (11.16)             | 527.13      |
| 8       | Railway Traction                                                                                   | 0     | 0.00                       | 0.00             | (0.00)              | 0.00        |
| 9       | AP High technology/ High Density farming                                                           | 0     | 0.00                       | 0.08             | 0.00                | 0.08        |
| 10      | Compost/ Solid waste Management Plants for Municipalities of Urban Local Bodies/ Rural Water Works | 146   | 6.04                       | 82.71            | 28.91               | 117.66      |

| Sr. No. | Category of Consumers                               | Sales        | Revenue from Sale of Power |                  |                     |                 |
|---------|-----------------------------------------------------|--------------|----------------------------|------------------|---------------------|-----------------|
|         |                                                     |              | Fixed Charges              | Variable Charges | Surcharge / Rebates | Total           |
|         |                                                     | MkWh         | (Rs. Crore)                | (Rs. Crore)      | (Rs. Crore)         | (Rs. Crore)     |
| I       | II                                                  | III          | IV                         | V                | VII                 | VIII            |
| 11      | Charitable Hospitals set-up under PwD Act           | 0            | 0.00                       | 0.00             | 0.00                | 0.00            |
| 12      | Start-up Power for generators/CPPs                  | 167          | 0.00                       | 126.26           | (5.51)              | 120.74          |
| 13      | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib | 11           | 0.00                       | 6.72             | (0.16)              | 6.56            |
| 14      | Temporary Supply                                    | 220          | 0.00                       | 177.86           | 0.21                | 178.07          |
| 15      | <b>Total Metered Sales within State</b>             | <b>43266</b> | <b>3257.11</b>             | <b>25963.73</b>  | <b>(174.21)</b>     | <b>29046.62</b> |
| 16      | Agriculture Pumpsets                                | 12255        | 0.00                       | 6936.33          | 0.00                | 6936.33         |
| 17      | Common Pool                                         | 301          | 0.00                       | 125.15           | 0.00                | 125.15          |
| 18      | Outside State sale                                  | 70           | 0.00                       | 41.49            | 0.00                | 41.49           |
| 19      | <b>Grand Total</b>                                  | <b>55892</b> | <b>3257.11</b>             | <b>33066.71</b>  | <b>(174.21)</b>     | <b>36149.60</b> |

#### 4.27 Fuel Cost Adjustment (FCA) Surcharge for 3rd Quarter of FY 2021-22

In Petition No. 08 of 2022 filed before the Commission for approval of Fuel Cost Adjustment (FCA) Surcharge for 3<sup>rd</sup> quarter of FY 2021-22, PSPCL has submitted a claim for the following amounts:

- (i) Change in Fuel Cost of PSPCL's own Thermal Generating Stations on account of change in fuel prices w.r.t. Fuel Cost approved by the Commission in the Tariff Order for FY 2021-22 as Rs. (-) 2.05 Crore.
- (ii) Increase in variable cost of Power Purchase from all Thermal Stations under long term contract with PSPCL as (-) Rs. 117.55 Crore.

The Commission determines the impact of change in fuel cost and power purchase cost during 3<sup>rd</sup> quarter of FY 2021-22 w.r.t. the fuel prices & calorific values and variable rates as approved in review of FY 2021-22 in this Tariff Order as under:

**Table 142: FCA Surcharge for 3<sup>rd</sup> Quarter of FY 2021-22**

| Sr. No. | Particulars                             | (Rs. Crore) |
|---------|-----------------------------------------|-------------|
|         |                                         | Amount      |
| 1.      | Impact of change in Fuel Cost           | 10.49       |
| 2.      | Impact of change in Power Purchase Cost | (-) 17.63   |
| 3.      | Total impact                            | (-) 7.14    |

Thus, the Commission decides to allow Rs. (-) 7.14 Crore on account of FCA for 3<sup>rd</sup> quarter of FY 2021-22 in this Tariff Order, subject to reconciliation/validation during the True up of FY 2021-22.

#### 4.28 Revenue Gap for FY 2021-22 and FY 2022-23 at Existing Tariff

The cumulative revenue gap upto FY 2022-23 at existing tariff is worked out as under:

**Table 143: Cumulative revenue gap upto FY 2022-23**

(Rs. Crore)

| Sr. No.  | Particulars                                         | FY 2021-22       | FY 2022-23      |
|----------|-----------------------------------------------------|------------------|-----------------|
| <b>1</b> | <b>Net Revenue Requirement</b>                      | <b>34606.10</b>  | <b>37776.56</b> |
| 2        | Revenue from existing tariff                        | 34604.03         | 36149.60        |
| 3        | Gap: (Surplus)/Deficit                              | 2.07             | 1626.96         |
| 4        | Impact of FCA Petition No. 08 of 2022               |                  | (7.14)          |
| 5        | Cumulative Gap: (Surplus)/ Deficit upto previous FY | (1669.84)        | (1667.77)       |
| <b>6</b> | <b>Cumulative Gap: (Surplus)/ Deficit</b>           | <b>(1667.77)</b> | <b>(47.95)</b>  |

#### 4.29 Cumulative Gap upto FY 2022-23 at Existing Tariff

The cumulative revenue gap upto FY 2022-23 at existing tariff is worked out as under:

**Table 144: Cumulative revenue gap upto FY 2022-23**

| Sr. No.  | Particulars                                               | FY 2022-23      |
|----------|-----------------------------------------------------------|-----------------|
| <b>1</b> | <b>Net Revenue Requirement</b>                            | <b>37776.56</b> |
| 2        | Revenue from existing tariff                              | <b>36149.60</b> |
| 3        | Gap: (Surplus)/Deficit during FY 2022-23                  | 1626.96         |
| 4        | Cumulative Gap: (Surplus)/ Deficit upto FY 2021-22        | (1667.77)       |
| 5        | Impact of FCA Petition No. 08 of 2022                     | (7.14)          |
| 6        | Impact of Capex True-Up of FY 2017-18                     | 6.46            |
| 7        | Impact of Capex True-Up of FY 2018-19                     | 23.71           |
| 8        | Impact of Capex True-Up of FY 2019-20                     | 105.83          |
| <b>9</b> | <b>Cumulative Gap: (Surplus)/ Deficit upto FY 2022-23</b> | <b>88.05</b>    |

# Chapter 5

## Tariff Related Issues

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### 5.1 Utilization of Surplus Power

- 5.1.1** In order to utilize surplus power so as to reduce the burden of fixed cost of the surrendered power on the consumers of the State, the Commission in the Tariff Order of FY 2016-17 introduced a reduced tariff rate for Large Supply industrial category consumers for any consumption above the threshold limit. The benefit of reduced tariff was further extended to all categories of industrial consumers, in the Tariff Order for FY 2017-18.
- 5.1.2** In the Tariff Order for FY 2018-19 while deciding to continue with its policy of incentivizing the industry for the productive use of surplus power, the Commission also simplified the method of determination of threshold consumption, by delinking the same from any change in the contract demand during the period of consideration. The same methodology was continued in the Tariff Order for FY 2019-20 and FY 2020-21.
- 5.1.3** In the Tariff Order of FY 2021-22 some consumers have requested that the threshold consumption rebate may be allowed to NRS consumers who are having huge consumption. However, in the Tariff Order the Commission has observed that the threshold consumption rebate was introduced to incentivize higher consumption for industrial consumers and accordingly the Commission has retained its policy for FY 2021-22 also.
- 5.1.4** PSPCL in their petition for FY 2022-23 has submitted that PSPCL has decided to continue with its policy of encouraging the industry in promoting the productive use of surplus power by offering lower rate of energy charge for consumption of power exceeding the threshold limit. PSPLC has further requested the Commission to continue the threshold rebate while issuing Tariff Order for FY 2022-23.
- 5.1.5** From the submissions made by PSPCL in the petition it is observed that for FY 2022-23 PSPCL has projected surplus of 6900 MWh which is proposed to be surrendered. Thus, the Commission decides to continue with its policy of encouraging the industry in promoting the productive use of surplus power by offering lower rate of energy charge for consumption of power exceeding the threshold limit. The applicable reduced energy charge for FY 2022-23 shall be Rs. 4.86 per kVAh, with other terms and conditions remaining the same. The

terms and conditions are reproduced below for ready reference:

- i) The maximum annual consumption in any of the last two financial years shall be taken as threshold. In case, the period is less than two financial years i.e. if connection has been released after 31.03.2020, reduced Energy Charge shall not be permissible.
- ii) Only PSPCL consumption shall be considered for calculating the maximum annual consumption in any of the last two financial years which is to be taken as threshold limit and also for calculating consumption eligible for reduced Energy Charge.
- iii) Any change in the contract demand either during the last two financial years or during the current financial year, shall not be considered while calculating the threshold limit or calculating consumption eligible for reduced Energy Charge. Any consumption above the threshold consumption will be eligible for the reduced Energy Charge.
- iv) The billing at the reduced Energy Charge shall be done once the consumer crosses the threshold consumption e.g. if a consumer has maximum annual consumption in any of two preceding financial years as 10000 kVAh, the reduced Energy Charge shall be allowed to the consumer as and when his consumption during the current year exceeds 10000 kVAh.
- v) The cumulative effect of ToD rebate on the Energy Charges (including reduced Energy Charges for consumption exceeding threshold limit and/or use of electricity exclusively during night hours) at any time shall be limited to the Energy Charge of Rs. 4.86 per kVAh. In addition, all other surcharges/ rebates as approved by the Commission and Govt. levies as notified by the State Government shall be charged/allowed extra.

## **5.2 Time of Day (ToD) Tariff**

- 5.2.1** A distribution licensee generally plans for long term power procurement to meet its base load/demand and goes for short term power procurement to cater to its peak demand. Thus, to achieve optimum power procurement, the load curve throughout the day needs to be as flat as possible. To achieve this objective, Time of Day (ToD) tariff is an accepted tool for DSM, wherein an additional charge is levied for consumption of electricity during peak-hours and rebate is allowed for consumption

during off-peak hours, in order to incentivize consumers to shift their consumption from peak to off-peak hours, for flattening of the load curve and minimizing the cost of power procurement to the distribution licensee.

- 5.2.2** Accordingly, the Commission in the Tariff Order for FY 2016-17 decided to shift from the Peak Load Exemption Charges (PLEC) to the ToD tariff; comprising of normal tariff plus Rs. 2.00 per kVAh for the consumption during peak hours of 06:00 PM to 10:00 PM for the period of 1<sup>st</sup> June to 30<sup>th</sup> September and normal tariff minus Rs. 1.00 per kVAh for the consumption during off-peak hours of 10:00 PM to 06:00 AM (next day) for the period of 1<sup>st</sup> October to 31<sup>st</sup> May of next year. The ToD tariff was made applicable initially for LS/MS industrial category consumers.
- 5.2.3** In the Tariff Order for FY 2017-18, NRS/BS category consumers with sanctioned demand exceeding 100 kVA were also covered under ToD tariff. Also, off-peak rebate was increased to Rs.1.25 per kVAh, with the provision to limit the cumulative effect of ToD rebate and reduced energy charges for consumption beyond threshold limit to the lowest Energy charges of Rs. 4.23 per kVAh. The cumulative effect of ToD rebate and reduced Energy Charges for consumption beyond threshold limit was limited to the lowest Energy charge of Rs. 4.28 per kVAh, in the tariff Order for FY 2018-19.
- 5.2.4** In the Tariff Order for FY for 2019-20, the Commission decided to continue with the ToD Tariff as approved in the Tariff Order for FY 2018-19. However, it was made applicable for NRS/BS consumers with sanctioned Contract Demand exceeding 100 kVA, all LS/MS consumers (including Rural Water Supply Schemes & Compost/Solid Waste Management Plants) and EV charging stations, with the provision that, cumulative effect of ToD rebate and Voltage rebate on the Energy Charges (including reduced energy charges for consumption exceeding threshold limit / use of electricity exclusively during night hours) at any time shall be limited to the lowest Energy Charge of Rs. 4.45 per kVAh.
- 5.2.5** In the Tariff Order for FY 2020-21 & 2021-22, the Commission decided to continue with the existing ToD Tariff for FY 2020-21 & 2021-22 with the provision to limit the cumulative effect of ToD rebate on the Energy Charges (including reduced Energy Charges for consumption exceeding threshold limit and/or use of electricity exclusively during night hours) at any time to the Energy Charge of Rs. 4.83 per kVAh for FY 2020-21 and Rs. 4.86 per kVAh during FY 2021-22 respectively.
- 5.2.6** Further in Tariff Order FY 2021-22, regarding expanding the scope of ToD tariff to other categories the Commission directed PSPCL to submit a comprehensive

proposal based on monthly category-wise load curve and the monthly power availability curve along with the petition for determination of tariff for FY 2022-23 which PSPCL has not furnished in the present petition and PSPCL is again directed to submit a comprehensive proposal based on monthly category-wise load curve and the monthly power availability for determination of Tariff for FY 2023-24.

- 5.2.7** PSPCL has now submitted that as observed from last few years, the paddy season invariably spills over till October 15<sup>th</sup> due to certain varieties of paddy whose irrigation demand remains till October 15<sup>th</sup> and prayed ToD tariff should start from October 16<sup>th</sup> instead of October, 1<sup>st</sup>. **The Commission observes that as such there is no such instruction from Punjab Government for increasing paddy duration upto 15<sup>th</sup> October and accordingly, decides to continue with the existing ToD Tariff for NRS/BS consumers with sanctioned demand of more than 100 kVA, all LS/MS consumers (including Rural/Urban Water Supply Schemes & Compost/Solid Waste Management Plants) and EV charging stations. The applicable ToD Tariff shall be as per condition 15 of General Conditions of Tariff.**

### **5.3 Special tariff for use of electricity exclusively during night hours**

- 5.3.1** In the Tariff Order for FY 2018-19, the Commission in order to give an impetus to the consumption of power particularly during night hours and to further flatten the load curve of the utility during a day, decided to introduce a special reduced tariff for LS/MS Industrial consumers who opt to use electricity exclusively during night hours i.e. from 10.00 PM to 06.00 AM next day. This initiative was continued in the Tariff Order for FY 2019-20 and FY 2020-21. Also, on the request of various industrial consumer organizations and after receiving PSPCL's confirmation of its feasibility, the Commission decided to allow the use of electricity with normal rates of tariff for the period between 06:00 AM to 10:00 AM, during the non- paddy season.
- 5.3.2** The Commission decided to extend the benefit of exclusive night-time tariff to SP industrial category consumers in the Tariff Order for FY 2020-21. However, such consumers were required to bear the cost of compatible meters. The distribution Licensee was directed to provide compatible meters to consumers who exercise their option to switchover to exclusive night-time tariff. Such consumers were also given the liberty to arrange their own compatible meters and get these installed from PSPCL as per the laid down procedure. Further, the Commission also decided to allow the use of electricity from 06:00 AM to 10:00 AM at normal tariff rate, also during the paddy season of FY 2020-21 to the consumers under night category. Presently, a maximum of 10% of total units consumed during the night hours (10:00



PM to 06:00 AM the next day) can be availed during the period from 10:00 AM to 10:00 PM.

- 5.3.3** In the Tariff Order for FY 2021-22 some consumers have requested that 15% of the electricity used during the morning period from 06:00 AM to 10:00 AM may also be included for working out the 10% of total consumption during the night hours. As the load is lower during the night hours, the reduced night-time tariff helps to flatten the load curve by encouraging higher consumption during these hours. Further, PSPCL had submitted that Foggy weather coupled with late availability of solar power and higher energy prices during these hours have made the task of meeting the demand in this period more challenging. Similar situation was prevailing in January-2021 and is likely to extend in February-2021. In the same Petition PSPCL had proposed a surcharge of Rs. 2.00/kVAh on the pattern of ToD Tariff for the energy used during 08:00 AM to 10:00 AM for December, January and February only, on the exclusive Night Tariff consumers. Vide letter dated 10.03.2021, PSPCL was asked to provide quantum of energy used by exclusive night tariff consumers and power purchased during 08:00AM to 10:00AM in months of December to February but the same was not submitted.
- 5.3.4** Thus, in the Tariff Order for FY 2021-22, the Commission had observed that the initiative of introducing special tariff for use of electricity exclusively during night hours has helped in flattening the load curve. However, allowing an additional 15% of the electricity used during the morning period to be added to the 10% of total consumption during the night hours (10.00 PM to 06.00 AM) for allowing consumption between 10.00 AM to 10.00 PM as required by some consumers would again shift the load towards day time including peak hours of the day. Accordingly, the Commission decided to continue with special reduced tariff for industrial consumers who opt to use electricity during night hours i.e. from 10.00 PM to 06.00 AM (next day) with the provision of consumption of electricity from 06:00 AM to 10:00 AM at normal tariff rate for FY 2021-22.
- 5.3.5** Now, in the Petition PSPCL has submitted that during December to February winter season during the morning peak hours of 7:30 am – 10:30 am, it is difficult to meet demand due to fog and delayed availability of solar power, especially when there is high surge in demand during this period i.e. from 4500 MW at 4:30 A.M to around 7000 MW at 8:00 A.M and so on. Without the procurement of electricity and the hot spinning reserve available for smooth system operation, it is not possible to manage such a sharp rise.

PSPCL has further requested special night tariff from 10:00 pm to 6:00 am and from 6:00 am to 7:00 am at normal tariff and from 7:00 am to 10:00 am in place of normal tariff be charged in excess of normal rate or normal rate times only have to be limited from 6:00 am to 7:00 am.

PSPCL in their petition has mentioned that there are only 80 number special night category LS consumers with overall load of 229 MW and consumption of 732 million unit. The matter was deliberated with PSPCL authorities during presentation, why only levy of excess rate is proposed on night category consumer whereas load of other LS and other categories are left out. Moreover, as the quantum of load of night categories is only 229 MW, it was felt that this will have negative effect on industrial category growth. Moreover, industrial consumer due to COVID has already suffered both in terms of loss of productions and payment of fixed charges as such this proposal is not acceptable and present initiative of FY 2021-22 shall continue.

**5.3.6 Accordingly, the Commission decides to continue with special reduced tariff for industrial consumers who opt to use electricity during night hours i.e. from 10.00 PM to 06.00 AM (next day) with the provision of consumption of electricity from 06:00 AM to 10:00 AM at normal tariff rate for FY 2022-23. The Commission also retains the provision of allowing 10% of total units consumed during the night hours (10:00 PM to 06:00 AM the next day) to be availed during the period from 10:00 AM to 10:00 PM. The Commission will review the arrangement while reviewing the consumer category wise monthly load curve and power availability curve. The terms and conditions for use of electricity exclusively during night hours shall be as per condition 22 of General Conditions of Tariff.**

#### **5.4 Power Intensive Unit (PIU) Tariff**

**5.4.1** In response to the suggestion made by some of the members of the State Advisory Committee and various consumers/stakeholders in their suggestions submitted on the ARR petition, to shift from a regime of separate tariff for Power Intensive Units and General Industry to the same Tariff with additional levy for harmonics producing units. PSPCL vide Memo dated 02.03.2020 has submitted that:

*“PSPCL would like to submit that PIU industries affect the Distribution System on account of various parameters like Voltage Dip, Voltage flickers and Voltage & current waveform distortion, harmonics, capacity loss of the utility Distribution System, Demand Factor, Energy loss in Distribution System, etc. The main points are also listed as under:*

- (i) *The load of these PIU industries are non-linear.*
- (ii) *The non-linear nature of these loads distorts the voltage waveform and pollutes the power quality.*
- (iii) *The presence of harmonics in the system reduces the Distribution capacity of the Utilities. The capacity loss increases with the increase in non-linear load.*
- (iv) *As the harmonic current increases, the true maximum demand will increase. But the static energy meters will record only RMS value of maximum demand. The excess demand increases with the increase in non-linear load.*
- (v) *The non-linear load will not exhibit true power factor. The true power factor of non-linear load is low where harmonic currents are present.*
- (vi) *The presence of harmonics in the system increases the Iron/Energy Losses of Utility Power Transformers. The energy loss in Utility Power Transformer increases with the increase in non-linear load.*
- (vii) *The Utility has to invest more to provide higher level of short circuit MVA to absorb the power quality pollutants created by the industry having a large capacity of non-linear loads.*

*As such the tariff of PIU and Arc furnace consumer is on high side than general industry consumers. Utilization factor of such industries is high and per unit cost is low therefore such industries stand to gain due to inherent nature of two-part tariff.*

*As per 7th Amendment of Supply Code 2014, Hon'ble Commission directed that the distribution licensee shall install power quality meters within three years starting from 1st October, 2021 in a phased manner covering at least 20% of the total identified locations on 11/33/66 kV feeders as may be approved by the Commission, in the first year and 40% each in subsequent two years. The procurement of Power Quality Meters is under process by PSPCL and till the process of procurement and installation of Power Quality Meters is completed, present tariff structure may be continued."*

The Commission agreed with the objectors' view that PIUs which are putting in efforts/investment to maintain their harmonics within the permissible levels need to be treated differently from the consumers who continue to inject harmonics in the system. The Commission observed in the tariff order for FY 2021-22 that for this to

happen, designated consumers have to install power quality meters. The requisite infrastructure and manpower training for collection and analysis of data captured from Power Quality meters /analyzers is also required to be put in place by PSPCL.

The Commission vide Notification dated 8.09.2020 has notified the 7<sup>th</sup> Amendment to the Supply Code, 2014 and has made the following provisions;

- “24.4 The designated consumers shall install power quality meters by 1<sup>st</sup> October, 2021 and share the recorded data thereof with the distribution licensee each month or as may be decided by the Commission.*
- 24.5 The distribution licensee shall install power quality meters within three years starting from 1<sup>st</sup> October, 2021 in a phased manner covering at least 20% of the total identified locations on 11/33/66 kV feeders as may be approved by the Commission, in the first year and 40% each in subsequent two years.*
- 24.7 In case the designated consumer fails to install power quality meter within the stipulated time, as specified in regulation 24.4 of these regulations or the injection of current harmonics, after the stipulated time as may be decided by the Commission, exceeds the limits as specified in regulation 24.6.2 above, such consumer shall be liable to pay a penalty to the distribution licensee at the rate and in the manner as may be approved by the Commission from time to time. The penalty shall be without prejudice to the right of the distribution licensee to take other punitive action as may be approved by the Commission.”*

To implement the above stated provisions of the Supply Code, 2014, the designated consumers were required to install PQ meters by 1<sup>st</sup> October 2021. PSPCL was required to submit the list of designated consumers who have not complied with the provisions of Regulation 24.5 of the Supply Code, 2014 by 15.10.2021 along with proposal for levy of penalty. Further, PSPCL was to start capturing the power quality meter data of designated consumers w.e.f. 01.11.2021. On the basis of the harmonics injection data, PSPCL was required to submit a comprehensive proposal for levy of suitable penalty for injecting harmonics above the permissible limits as specified in the Supply Code, 2014. The proposal was to be put up for public comments/suggestions before taking further action.

The Commission received a representation from Mandi Gobindgarh Induction Furnace association vide letter dated 13.09.2021, wherein it has been mentioned that the designated consumers have to install power quality meters of make and specification as approved by PSPCL and since till date PSPCL has not shortlisted

the vendors for supply of power quality meters, so it is not possible for the consumers to procure and install power quality meters. It has further been mentioned that PSPCL requires sufficient time to put in place a system to capture and process the data of PQ meters. Accordingly, the Association suggested the following timelines:

- |    |                                                                                           |   |                                |
|----|-------------------------------------------------------------------------------------------|---|--------------------------------|
| a. | Shortlisting of the manufacturer of Power Quality Meters                                  | - | Zero Date                      |
| b. | Consumers to install the meters                                                           | - | within 3 months from zero date |
| c. | Consumers to study the data generated by the meters                                       | - | within 6 months from zero date |
| d. | Consumers to install Harmonic Filters                                                     | - | Within 9 months from zero date |
| e. | PSPCL to collect the data for generation of reports to be submitted to Hon'ble Commission | - | 12 months from zero date       |

PSPCL vide letter dated 06.01.2022 informed the Commission that a tender inquiry for supply, installation, testing, commissioning etc. of power quality meters was floated on 12.05.2021 but only one firm was found to be techno-commercially suitable during the data assessment stage. Accordingly, PSPCL decided to drop this tender inquiry and to float a fresh tender inquiry for the same. Now, PSPCL vide letter dated 08.03.2022 has intimated that the fresh tender inquiry was floated and the same was opened on 15.02.2022 in which four firms submitted their bids. Sample testing of these meters under process which is likely to be completed shortly and LOA/LOI is likely to be issued within a month or so. The eligible firms will be empanelled for sale of power quality meters.

**Keeping in view the constraints expressed both by the industry and PSPCL in adherence to the provisions of the Supply Code Regulations, the Commission decides to maintain status quo and to retain separate tariff for Power Intensive Units and General Industry for FY 2022-23.**

## **5.5 Demand-based tariff**

**5.5.1** In the Tariff Order for FY 2014-15, the Commission decided to introduce the demand (kVA) based tariff for Large Supply, Bulk Supply, Railway Traction, Medium Supply and DS/NRS (with load more than 100 kW) consumers. The same was extended to DS/NRS (load of more than 50 kW) consumers in Tariff Order for FY 2015-16 and to NRS (with load of more than 20 kW) and SP Industrial supply consumers in Tariff Order for FY 2018-19.

**5.5.2** The Commission observes that demand based system is a win-win situation for the consumers as well as the utility. For the utility, the prime benefit is that, it doesn't

have to deploy its manpower for physical checking of consumer premises for assessment of the load. Whereas, the same is advantageous to the consumers in the sense, that it gives them flexibility in installation of additional electricity equipments/loads provided they keep their demand within the sanctioned limits. Accordingly, in the Tariff Order for FY 2020-21, the Commission had directed PSPCL to install the compatible meters on 100% of the consumers proposed to be covered under the contract demand/load based tariff system.

The Commission intends to cover all DS consumers with load exceeding 20 kW under contract demand system. Accordingly, PSPCL was asked to ensure that compatible meters are installed on all consumers falling in this category by 31.07.2021. Further, to ensure that consumers covered under sanctioned load system declare their correct connected load and get it sanctioned, the Commission intends to introduce the system of contracted load for NRS/DS consumers with load not exceeding 20 KW. Accordingly, PSPCL shall ensure that maximum demand in kW is recorded in case of all NRS/DS consumers with load not exceeding 20kW by 31.07.2021.

PSPCL in its reply against Directive No. 5.18 has stated that in case of DS Consumers with load exceeding 20kW, replacement with compatible meter is under process and the work shall be completed by March, 2022. Regarding DS/NRS consumers with load not exceeding 20kW, PSPCL has stated that suitable provision for recording maximum demand in kW has been made in tender enquiry dated 20.10.2020 and allocation of work will be done in 5 months. PSPCL is directed to comply and report the status within one month of issue of Tariff Order. **The Commission would review the matter and take an appropriate decision for revising the tariff structure for these categories of consumers.**

## **5.6 Tariff for urban water works supply Connections**

- 5.6.1** In the tariff petition for FY 2021-22, PSPCL had proposed to include the urban water works supply connections in NRS category for FY 2021-22. Also, Punjab Water Supply & Sewage Board (PWSSB) submitted that the Commission has revised the rates of electricity tariff of Rural Water Supply Schemes to the tariff being levied in compost/solid waste management plant category, and has requested to make the same tariff applicable in the urban areas of Punjab. However, the Commission had sought additional details in respect of consumer-wise load/ contract demand and consumption for urban water works supply from PSPCL. As PSPCL was not able to submit the requisite details, the Commission continued with the existing provision of

charging of urban water works under Industrial categories. PSPCL was further directed to submit the details in respect of consumer-wise load/ contract demand and consumption for urban water works supply within one month of the issuance of the Tariff Order so that the matter could be considered again during the determination of tariff for FY 2022-23.

- 5.6.2** In the petition for FY 2022-23, PSPCL has again submitted the proposal for including urban water supply connections under NRS Tariff. However, as directed by the Commission in the Tariff Order of FY 2021-22, PSPCL had not submitted the details of load/demand/consumption along with the petition. However, vide email dated 21.03.2022, PSPCL submitted the requisite data in respect of consumer wise load/contract demand and consumption for urban water works supply as under:

| <b>Sr. No.</b> | <b>Number of connections (all zones)</b> | <b>Sanctioned Load</b> | <b>Contract Demand</b> | <b>Consumption during FY 2020-21</b> |
|----------------|------------------------------------------|------------------------|------------------------|--------------------------------------|
| 1.             | 4076                                     | 125.72 MW              | 123 MVA                | 294.86 M.U                           |

On perusal of above data, PSPCL request and PWSSB request submitted in Petition No.45 for True up of FY 2019-20, APR of 2020-21 and ARR for FY 2021-22, the Commission observes that water, being a basic necessity, is equally essential for both rural and urban populations and as such it would be unfair to have differential tariff for rural and urban water supply. Considering the indispensability of water in society and for sustaining life, the Commission opines that both urban water supply and rural water supply schemes need to be treated equally.

**In view of the above, the Commission decides to make tariff for urban water works supply schemes same as that for rural water supply schemes. However, this provision is not applicable for Co-operative Group Housing Societies and Employers availing single point supply of Electricity under PSERC (Single Point Supply to Co-operative Group Housing Societies/Employers) Regulations, 2008 as amended from time to time. The schedule SXII has been amended accordingly.**

## **5.7 Public Lighting:**

PSPCL has submitted that the schedule of tariff for public lighting read as under:

*“Available for street lighting system including signalling system and road and park lighting undertaken by the local bodies like Municipal Corporations, Municipal committees, Nagar Councils, Panchayats, Institutions etc.”*

PSPCL has requested the Commission to cover following connections under NRS

categories while issuing Tariff Order for FY 2022-23.

- i. Connections of private companies/individuals being used for maintenance of Fountain and Lights of Chowks/roundabouts.
- ii. Connections for Common Services such as Street Lighting, Water Supply, Lift etc. by Housing Society/Employer's Colony, Private Colonizers etc.
- iii. Connections for Lighting by private companies on both sides of road at Toll Plaza, Divider Light, and Over-bridge etc.
- iv. Connection for Street Lighting by Govt. Undertakings (like NHAI etc.) other than Local Bodies like Municipal Corporations, Municipal Committees, Nagar Councils, Panchayats, institutions etc.

The Commission accedes to the PSPCL request that Street lighting connections by private colonizers/private companies/individuals shall be covered under NRS category. Further, Public Lighting of street, roads, parks, chowks, toll plazas, highways etc. maintained by local bodies like Municipal Corporations, Municipal Committees, Nagar Councils/Panchayats/ Development Authorities/institutions and by any Central Government agency is basically for the convenience and security of the general public. **Accordingly, the Commission decides to include these under Schedule of Public Lighting. The Schedule SV for NRS and Schedule SVIII for Public Lighting have been amended accordingly.**



# Chapter 6

## Directives for FY 2022-23

| Directive No.                      | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Comments by PSERC and directives for FY 2022-23 |        |                             |        |        |               |       |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
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| 5.1 (i)<br>Reduction in T&D losses | <p>Number of feeders with losses more than 15% have decreased from 2697 (FY 2019-20) to 1526 (FY 2020-21 upto Dec. 2020), but high loss feeders with losses more than 50% have increased from 180 to 230. The feeders with losses more than 90% have increased from 4 to 9 in the corresponding period. It is a matter of great concern that rampant theft is being allowed in these areas which is not possible without the connivance of the PSPCL's officials/officers. Disciplinary action should be taken against delinquent officers/officials for failure to control power theft under intimation to the Commission.</p> <p>Against the distribution loss</p> | <p>PSPCL is striving hard to achieve the trajectory of distribution losses approved by the Commission. The distribution losses are on higher side due to wide spread theft of electricity in some areas which are being checked in planned manners.</p> <p>The detail of no. of high loss feeders identified during FY 2021-22 up to 09-2021 is as below:</p> <table><tr><th rowspan="2">Sr. no.</th><th rowspan="2">Zone</th><th colspan="7">%age loss of no. of feeders</th><th rowspan="2">Total</th></tr><tr><th>15-25%</th><th>25-50%</th><th>50-60%</th><th>60-70%</th><th>70-80%</th><th>80-90%</th><th>more than 90%</th></tr><tr><td>1</td><td>BORDER</td><td>296</td><td>174</td><td>33</td><td>70</td><td>24</td><td>27</td><td>14</td><td>638</td></tr><tr><td>2</td><td>CENTRAL</td><td>10</td><td>24</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>34</td></tr><tr><td>3</td><td>NORTH</td><td>593</td><td>45</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>638</td></tr><tr><td>4</td><td>SOUTH</td><td>214</td><td>403</td><td>39</td><td>12</td><td>6</td><td>0</td><td>0</td><td>674</td></tr><tr><td>5</td><td>WEST</td><td>473</td><td>670</td><td>79</td><td>60</td><td>18</td><td>24</td><td>0</td><td>1324</td></tr><tr><td colspan="2">TOTAL</td><td>1586</td><td>1316</td><td>151</td><td>142</td><td>48</td><td>51</td><td>14</td><td>3308</td></tr></table> <p>Reasons of high loss and efforts made by PSPCL to reduce these are as under:-</p> <p>a) The main reason for high loss is wide spread theft of electricity throughout Punjab.To curb the theft of electricity during FY 2021-22 (up to September 2021) 504621 nos. connections have been checked by Distribution Organization and Enforcement Wing of PSPCL. Out of which 34189 nos. cases of theft and UUE etc. have been detected and penalties to the tune of Rs. 6390.25 Lacs have been imposed on consumers who were involved in power theft.</p> <p>b) There is resistance of public in shifting of meters outside consumer premises. There is a stiff resistance of BKU in some areas also. The total balance meters which are pending for shifting outside consumer premises ending 09-2021 is 4.34 Lacs. Tender for shifting of meters outside the consumer premises were floated by APDRP organization but even after the extension of date</p> | Sr. no.                                         | Zone   | %age loss of no. of feeders |        |        |               |       |  |  | Total | 15-25% | 25-50% | 50-60% | 60-70% | 70-80% | 80-90% | more than 90% | 1 | BORDER | 296 | 174 | 33 | 70 | 24 | 27 | 14 | 638 | 2 | CENTRAL | 10 | 24 | 0 | 0 | 0 | 0 | 0 | 34 | 3 | NORTH | 593 | 45 | 0 | 0 | 0 | 0 | 0 | 638 | 4 | SOUTH | 214 | 403 | 39 | 12 | 6 | 0 | 0 | 674 | 5 | WEST | 473 | 670 | 79 | 60 | 18 | 24 | 0 | 1324 | TOTAL |  | 1586 | 1316 | 151 | 142 | 48 | 51 | 14 | 3308 | <p>Against 230 feeders having losses more than 50% by the end of December 2020, number of such feeders have swelled to 406 feeders having losses more than 50% by end of September 2021. 14 feeders have losses even more than 90%. The Commission observes that despite its repeated directions to bring down losses on high losses feeders, the number of high loss feeders have significantly increased. There are over all 3308 no. feeders having losses more than 15%. These losses should not be passed on to the consumers. Taking serious note of this unacceptable</p> |
| Sr. no.                            | Zone                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | %age loss of no. of feeders                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                 |        |                             |        |        |               | Total |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 15-25%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 25-50%                                          | 50-60% | 60-70%                      | 70-80% | 80-90% | more than 90% |       |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 1                                  | BORDER                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 296                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 174                                             | 33     | 70                          | 24     | 27     | 14            | 638   |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 2                                  | CENTRAL                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 10                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 24                                              | 0      | 0                           | 0      | 0      | 0             | 34    |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 3                                  | NORTH                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 593                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 45                                              | 0      | 0                           | 0      | 0      | 0             | 638   |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 4                                  | SOUTH                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 214                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 403                                             | 39     | 12                          | 6      | 0      | 0             | 674   |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| 5                                  | WEST                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 473                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 670                                             | 79     | 60                          | 18     | 24     | 0             | 1324  |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| TOTAL                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 1586                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 1316                                            | 151    | 142                         | 48     | 51     | 14            | 3308  |  |  |       |        |        |        |        |        |        |               |   |        |     |     |    |    |    |    |    |     |   |         |    |    |   |   |   |   |   |    |   |       |     |    |   |   |   |   |   |     |   |       |     |     |    |    |   |   |   |     |   |      |     |     |    |    |    |    |   |      |       |  |      |      |     |     |    |    |    |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

| Directive No.                       | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                               | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                     | <p>target of 11.54% for FY 2019-20, PSPCL has achieved loss level of 14.35%. PSPCL has failed to bring down losses to the desired level despite huge capital investments allowed by the Commission.</p> <p>PSPCL is again directed to take corrective measures to achieve distribution loss trajectory.</p> | <p>twice, no firm came forward for meter shifting work. Now, the work of shifting of balance meters has been again transferred to DS organization and this work is expected to be completed by September-2022.</p> <p>c) Key exception figures increased due to COVID as compared to previous year because of lockdown. However, every effort is being made to reduce the Key Exception and meters are being issued to field offices from time to time to clear all these exceptions. All key exceptions where meters are required for clearance of key exceptions shall be cleared by March-2022.</p> | <p>situation, the Commission directs PSPCL to take concerted action to substantially bring down losses on these feeders, as well as on other feeders. The Commission would be revisiting this issue in view of the loss reduction potential of PSPCL. Further, the Commission directs PSPCL to intimate, within one month of issue of this tariff order, the pumped energy data, metered sale and loss on each of these feeders and the action plan to achieve substantial reduction of losses.</p> |
| 5.1 (ii)<br>Reduction in T&D losses | As per PSPCL office order dated 30.9.2020, the teams were directed to complete the work of energy audit within 15 days. But the status of the work of energy                                                                                                                                                | PSPCL had constituted 5 no. teams to carry out energy audit of 66 KV Substations vide Office Order no. 04/2020 Dated 30.09.2020. Reports of 2 nos. substations have been sent. The report of remaining 3 nos. Substations is expected by March 2022.                                                                                                                                                                                                                                                                                                                                                   | In the reply to Directive no. 5.1(ii) in tariff order for FY 2020-21, PSPCL had stated that 5 nos. teams have been constituted to carry out                                                                                                                                                                                                                                                                                                                                                         |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                         | Status of Compliance submitted by PSPCL (ending September 2021) | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|               | audit has not been shared by PSPCL. The Commission directs PSPCL to submit the energy audit report of the sub-stations immediately and also share the action plan to complete the energy audit of all the circles within one month of the issue of this tariff order. |                                                                 | energy audit of 66kV sub-stations which had been directed to complete the work of energy audit within 15 days. However, now PSPCL has intimated that energy audit of only 2 nos. sub-stations have been done. Even the action plan to complete the energy audit of all the circles has not been given. Taking a serious view of this complacency, the Commission directs that the energy audit of remaining sub-stations be completed immediately. Further, immediate action be taken to undertake third party energy audit of all the circles for which a suitable agency be engaged. The action plan to ensure the same and to implement the recommendations of the energy audit conducted |

| Directive No.                       | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Comments by PSERC and directives for FY 2022-23                            |                         |                                       |                                       |              |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | till date be intimated within one month of the issue of this tariff order. |                         |                                       |                                       |              |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| 5.1(iii)<br>Reduction in T&D losses | No reduction in losses in these 12 divisions have been noticed in the last two years despite claim of mass checking, shifting of meters etc by PSPCL. The data shows no co-relation between the measures being adopted by PSPCL and the loss levels in these divisions. In Bhikhiwind division having highest losses of 76.66%, there is no electro-mechanical meter pending replacement. In Zira division with losses of 51.15%, all the meters (except 150) have been shifted outside consumer premises. In both these divisions the losses have increased which shows that rampant theft of energy is taking place in these divisions, which is not possible without the | <p><b>Divisions with Losses more than 25%:</b></p> <p>As per energy audit of FY 2018-19, 12 nos. divisions under PSPCL had registered distribution losses more than 25% which are summarized as under:-</p> <table><tr><th rowspan="2">Sr. No.</th><th rowspan="2">ZONE</th><th rowspan="2">CIRCLE</th><th rowspan="2">DIVISION</th><th colspan="4">Excluding AP</th></tr><tr><th>%age Losses for 2018-19</th><th>%age Losses for 2019-20</th><th>%age Losses for 2020-21 up to 12-2020</th><th>%age Losses for 2021-22 up to 09-2021</th></tr><tr><td>1</td><td>Border</td><td>S/U Asr</td><td>West Amritsar</td><td>49.77</td><td>51.52</td><td>50.49</td><td>62.06</td></tr><tr><td>2</td><td>Border</td><td>S/U Asr</td><td>S/U Amritsar</td><td>42.79</td><td>41.58</td><td>38.18</td><td>45.33</td></tr><tr><td>3</td><td>Border</td><td>S/U Asr</td><td>Ajnala</td><td>45.78</td><td>47.98</td><td>49.42</td><td>62.9</td></tr><tr><td>4</td><td>Border</td><td>Tarntaran</td><td>City Tarntaran</td><td>34.85</td><td>35.24</td><td>41.26</td><td>51.9</td></tr><tr><td>5</td><td>Border</td><td>Tarntaran</td><td>Patti</td><td>63.90</td><td>63.43</td><td>65.27</td><td>73.55</td></tr><tr><td>6</td><td>Border</td><td>Tarntaran</td><td>Bhikhiwind</td><td>71.35</td><td>72.86</td><td>76.66</td><td>81.83</td></tr><tr><td>7</td><td>South</td><td>Sangrur</td><td>Patran</td><td>46.96</td><td>42.23</td><td>45.65</td><td>51.81</td></tr><tr><td>8</td><td>South</td><td>Sangrur</td><td>Lehragaga</td><td>46.39</td><td>44.80</td><td>44.64</td><td>56.47</td></tr><tr><td>9</td><td>West</td><td>Bathinda</td><td>Bhagta BhaiKa</td><td>48.97</td><td>48.95</td><td>48.36</td><td>57.82</td></tr><tr><td>10</td><td>West</td><td>Ferozepur</td><td>Zira</td><td>45.65</td><td>48.80</td><td>51.15</td><td>61.57</td></tr><tr><td>11</td><td>West</td><td>Faridkot</td><td>Baghapurana</td><td>44.85</td><td>45.56</td><td>45.86</td><td>52.95</td></tr><tr><td>12</td><td>West</td><td>Muktsar</td><td>Malout</td><td>38.94</td><td>39.78</td><td>35.03</td><td>47.88</td></tr></table> <p><b>To reduce the Distribution loss PSPCL is taking following measures:</b></p> <ul style="list-style-type: none"><li>● <b>Checking of Theft:</b> The main reason of losses under these divisions is huge power theft. Most of these divisions fall under the border belt which is the epicenter of power theft. PSPCL is striving hard to curb theft in these divisions by conducting surprise raids. Sometimes PSPCL employees have been Gheraoed and Manhandled by local public and various kisan unions during checking of connections under these divisions. However, PSPCL is striving hard to check power theft in these areas. Moreover, People pertaining to these areas are making aware about the consequences of power theft by holding meetings with local leaders and public. PSPCL has given the details of connections checked and cases detected.</li><li>● <b>Shifting of Meters outside the consumer premises:</b> The status of shifting the meters outside consumer premises of these high loss divisions is as below.</li></ul> | Sr. No.                                                                    | ZONE                    | CIRCLE                                | DIVISION                              | Excluding AP |              |  |  | %age Losses for 2018-19 | %age Losses for 2019-20 | %age Losses for 2020-21 up to 12-2020 | %age Losses for 2021-22 up to 09-2021 | 1 | Border | S/U Asr | West Amritsar | 49.77 | 51.52 | 50.49 | 62.06 | 2 | Border | S/U Asr | S/U Amritsar | 42.79 | 41.58 | 38.18 | 45.33 | 3 | Border | S/U Asr | Ajnala | 45.78 | 47.98 | 49.42 | 62.9 | 4 | Border | Tarntaran | City Tarntaran | 34.85 | 35.24 | 41.26 | 51.9 | 5 | Border | Tarntaran | Patti | 63.90 | 63.43 | 65.27 | 73.55 | 6 | Border | Tarntaran | Bhikhiwind | 71.35 | 72.86 | 76.66 | 81.83 | 7 | South | Sangrur | Patran | 46.96 | 42.23 | 45.65 | 51.81 | 8 | South | Sangrur | Lehragaga | 46.39 | 44.80 | 44.64 | 56.47 | 9 | West | Bathinda | Bhagta BhaiKa | 48.97 | 48.95 | 48.36 | 57.82 | 10 | West | Ferozepur | Zira | 45.65 | 48.80 | 51.15 | 61.57 | 11 | West | Faridkot | Baghapurana | 44.85 | 45.56 | 45.86 | 52.95 | 12 | West | Muktsar | Malout | 38.94 | 39.78 | 35.03 | 47.88 | The Commission observes that against 4 divisions having losses more than 50% by the end of December 2020, there are 10 PSPCL divisions having losses more than 50% by end of September 2021. Further, the losses of each of these very high losses 12 Divisions are increasing year after year. PSPCL is being allowed Capex to strengthen its distribution system and undertake loss reduction measures, but PSPCL has not demonstrated any concerted effort to achieve lower losses in these divisions despite specific directions to that effect. The inefficiencies of the licensee cannot be perpetually |
| Sr. No.                             | ZONE                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | CIRCLE                                                                                                                                                                                                                                                                                                             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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 1                                   | Border                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | S/U Asr                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | West Amritsar                                                              | 49.77                   | 51.52                                 | 50.49                                 | 62.06        |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 2                                   | Border                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | S/U Asr                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | S/U Amritsar                                                               | 42.79                   | 41.58                                 | 38.18                                 | 45.33        |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 3                                   | Border                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | S/U Asr                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Ajnala                                                                     | 45.78                   | 47.98                                 | 49.42                                 | 62.9         |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 4                                   | Border                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Tarntaran                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | City Tarntaran                                                             | 34.85                   | 35.24                                 | 41.26                                 | 51.9         |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 5                                   | Border                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Tarntaran                                                                                                                                                                                                                                                                                                          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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 6                                   | Border                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Tarntaran                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Bhikhiwind                                                                 | 71.35                   | 72.86                                 | 76.66                                 | 81.83        |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 7                                   | South                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Sangrur                                                                                                                                                                                                                                                                                                            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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 8                                   | South                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Sangrur                                                                                                                                                                                                                                                                                                            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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 9                                   | West                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Bathinda                                                                                                                                                                                                                                                                                                           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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 10                                  | West                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Ferozepur                                                                                                                                                                                                                                                                                                          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   |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 11                                  | West                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Faridkot                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Baghapurana                                                                | 44.85                   | 45.56                                 | 45.86                                 | 52.95        |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| 12                                  | West                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Muktsar                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Malout                                                                     | 38.94                   | 39.78                                 | 35.03                                 | 47.88        |              |  |  |                         |                         |                                       |                                       |   |        |         |               |       |       |       |       |   |        |         |              |       |       |       |       |   |        |         |        |       |       |       |      |   |        |           |                |       |       |       |      |   |        |           |       |       |       |       |       |   |        |           |            |       |       |       |       |   |       |         |        |       |       |       |       |   |       |         |           |       |       |       |       |   |      |          |               |       |       |       |       |    |      |           |      |       |       |       |       |    |      |          |             |       |       |       |       |    |      |         |        |       |       |       |       |                                                                                                               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| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Comments by PSERC and directives for FY 2022-23                                  |                                                   |                              |  |  |                                            |                                                                                  |                                                   |   |               |      |   |      |   |              |      |      |   |   |        |     |     |   |   |                |      |      |      |   |       |       |      |      |   |            |      |      |      |   |        |      |      |   |   |           |       |       |   |   |               |      |      |   |    |      |   |   |   |    |             |       |       |   |    |        |      |   |      |         |                  |                                                            |                                                            |   |               |     |    |   |              |      |     |   |        |   |   |   |                |   |   |   |       |    |    |   |            |   |   |   |        |     |     |   |           |      |      |   |              |      |      |    |      |     |     |    |             |      |      |    |        |      |    |                                                                                                                                              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|               | <p>active connivance of PSPCL's officers/officials. Disciplinary action should be taken against delinquent officers/officials for failure to control power theft under intimation to the Commission.</p> <p>It has been estimated that if losses in these 12 divisions are brought down to 15%, there will be overall reduction of approximately 2% losses at utility level.</p> <p>PSPCL is directed to achieve atleast 15% loss reduction in the divisions with losses above 60%, 10% reduction in divisions with losses between 40% to 60% and 5% reduction in divisions with losses below 40% during FY 2021-22 over the loss level of FY 2020-21. Non-achievement of loss reduction target shall invite punitive action under section 142 of the Act.</p> | <table><tr><th rowspan="2">Sr. No.</th><th rowspan="2">Name of Division</th><th colspan="3">Balance Meters to be Shifted</th></tr><tr><th>Balance Meters to be shifted as on 09.2021</th><th>Nos. of Meters where severe resistance from Kissan Unions and Public being faced</th><th>Meters that can be shifted without any Resistance</th></tr><tr><td>1</td><td>West Amritsar</td><td>1244</td><td>0</td><td>1244</td></tr><tr><td>2</td><td>S/U Amritsar</td><td>7984</td><td>7984</td><td>0</td></tr><tr><td>3</td><td>Ajnala</td><td>249</td><td>249</td><td>0</td></tr><tr><td>4</td><td>City Tarntaran</td><td>9229</td><td>7500</td><td>1729</td></tr><tr><td>5</td><td>Patti</td><td>10971</td><td>9500</td><td>1471</td></tr><tr><td>6</td><td>Bhikhiwind</td><td>5173</td><td>4000</td><td>1173</td></tr><tr><td>7</td><td>Patran</td><td>3142</td><td>3142</td><td>0</td></tr><tr><td>8</td><td>Lehragaga</td><td>26113</td><td>26113</td><td>0</td></tr><tr><td>9</td><td>Bhagta BhaiKa</td><td>9933</td><td>9933</td><td>0</td></tr><tr><td>10</td><td>Zira</td><td>0</td><td>0</td><td>0</td></tr><tr><td>11</td><td>Baghapurana</td><td>24289</td><td>24289</td><td>0</td></tr><tr><td>12</td><td>Malout</td><td>2587</td><td>0</td><td>2587</td></tr></table> <p>Stiff resistance faced from Kissan Union in these divisions to shift the meters outside consumer premises. However, it is expected to shift the balance meters outside the consumer premises (where no resistance) by March-2022.</p> <ul style="list-style-type: none"><li><b>Replacement of Electromechanical meters with Electronic meters:</b> The status of replacement of electromechanical meters under these high loss divisions is as below.</li></ul> <table><tr><th>Sr. No.</th><th>Name of Division</th><th>Total Electromechanical meters to be replaced upto 12-2020</th><th>Total Electromechanical meters to be replaced upto 09-2021</th></tr><tr><td>1</td><td>West Amritsar</td><td>105</td><td>54</td></tr><tr><td>2</td><td>S/U Amritsar</td><td>1792</td><td>462</td></tr><tr><td>3</td><td>Ajnala</td><td>0</td><td>0</td></tr><tr><td>4</td><td>City Tarntaran</td><td>0</td><td>0</td></tr><tr><td>5</td><td>Patti</td><td>27</td><td>27</td></tr><tr><td>6</td><td>Bhikhiwind</td><td>0</td><td>0</td></tr><tr><td>7</td><td>Patran</td><td>792</td><td>585</td></tr><tr><td>8</td><td>Lehragaga</td><td>5139</td><td>5139</td></tr><tr><td>9</td><td>BhagtaBhaiKa</td><td>1204</td><td>1202</td></tr><tr><td>10</td><td>Zira</td><td>325</td><td>113</td></tr><tr><td>11</td><td>Baghapurana</td><td>2756</td><td>2499</td></tr><tr><td>12</td><td>Malout</td><td>1154</td><td>80</td></tr></table> <p>PSPCL is doing its best effort to replace the electromechanical meters. However, Stiff resistance faced from Kissan Union in these divisions to replace Electromechanical Meters. Now it is expected to replace balance meters by March-2022.</p> | Sr. No.                                                                          | Name of Division                                  | Balance Meters to be Shifted |  |  | Balance Meters to be shifted as on 09.2021 | Nos. of Meters where severe resistance from Kissan Unions and Public being faced | Meters that can be shifted without any Resistance | 1 | West Amritsar | 1244 | 0 | 1244 | 2 | S/U Amritsar | 7984 | 7984 | 0 | 3 | Ajnala | 249 | 249 | 0 | 4 | City Tarntaran | 9229 | 7500 | 1729 | 5 | Patti | 10971 | 9500 | 1471 | 6 | Bhikhiwind | 5173 | 4000 | 1173 | 7 | Patran | 3142 | 3142 | 0 | 8 | Lehragaga | 26113 | 26113 | 0 | 9 | Bhagta BhaiKa | 9933 | 9933 | 0 | 10 | Zira | 0 | 0 | 0 | 11 | Baghapurana | 24289 | 24289 | 0 | 12 | Malout | 2587 | 0 | 2587 | Sr. No. | Name of Division | Total Electromechanical meters to be replaced upto 12-2020 | Total Electromechanical meters to be replaced upto 09-2021 | 1 | West Amritsar | 105 | 54 | 2 | S/U Amritsar | 1792 | 462 | 3 | Ajnala | 0 | 0 | 4 | City Tarntaran | 0 | 0 | 5 | Patti | 27 | 27 | 6 | Bhikhiwind | 0 | 0 | 7 | Patran | 792 | 585 | 8 | Lehragaga | 5139 | 5139 | 9 | BhagtaBhaiKa | 1204 | 1202 | 10 | Zira | 325 | 113 | 11 | Baghapurana | 2756 | 2499 | 12 | Malout | 1154 | 80 | <p>passed on to the consumers. Taking serious note of this grave situation, the Commission directs PSPCL to take concerted action, to substantially bring down losses in these divisions, as well as in other divisions. Further, the Commission directs PSPCL to intimate, within one month of issue of this tariff order, the names of divisions with more than 15% loss along with input energy, metered sale &amp; loss in each such division and the action plan to achieve substantial reduction of losses in these divisions.</p> |
| Sr. No.       | Name of Division                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Balance Meters to be Shifted                                                                                                                                                                                                                          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|               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Balance Meters to be shifted as on 09.2021                                                                                                                                                                                                            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|              |      |      |   |   |        |     |     |   |   |                |      |      |      |   |       |       |      |      |   |            |      |      |      |   |        |      |      |   |   |           |       |       |   |   |               |      |      |   |    |      |   |   |   |    |             |       |       |   |    |        |      |   |      |         |                  |                                                            |                                                            |   |               |     |    |   |              |      |     |   |        |   |   |   |                |   |   |   |       |    |    |   |            |   |   |   |        |     |     |   |           |      |      |   |              |      |      |    |      |     |     |    |             |      |      |    |        |      |    |                                                                                                                                              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| 1             | West Amritsar                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 1244                                                                                                                                                                                                                                                  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| 2             | S/U Amritsar                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 7984                                                                                                                                                                                                                                                  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| 3             | Ajnala                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 249                                                                                                                                                                                                                                                   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| 4             | City Tarntaran                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 9229                                                                                                                                                                                                                                                  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| 5             | Patti                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 10971                                                                                                                                                                                                                                                 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| 6             | Bhikhiwind                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 5173                                                                                                                                                                                                                                                  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| 7             | Patran                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 3142                                                                                                                                                                                                                                                  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| 8             | Lehragaga                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 26113                                                                                                                                                                                                                                                 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| 9             | Bhagta BhaiKa                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 9933                                                                                                                                                                                                                                                  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| 10            | Zira                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 0                                                                                                                                                                                                                                                     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| 11            | Baghapurana                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 24289                                                                                                                                                                                                                                                 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| 12            | Malout                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 2587                                                                                                                                                                                                                                                  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                                                                                                                                                                                                                                                                                                                                                                                            |
| Sr. No.       | Name of Division                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Total Electromechanical meters to be replaced upto 12-2020                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Total Electromechanical meters to be replaced upto 09-2021                       |                                                   |                              |  |  |                                            |                                                                                  |                                                   |   |               |      |   |      |   |              |      |      |   |   |        |     |     |   |   |                |      |      |      |   |       |       |      |      |   |            |      |      |      |   |        |      |      |   |   |           |       |       |   |   |               |      |      |   |    |      |   |   |   |    |             |       |       |   |    |        |      |   |      |         |                  |                                                            |                                                            |   |               |     |    |   |              |      |     |   |        |   |   |   |                |   |   |   |       |    |    |   |            |   |   |   |        |     |     |   |           |      |      |   |              |      |      |    |      |     |     |    |             |      |      |    |        |      |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 1             | West Amritsar                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 105                                                                                                                                                                                                                                                   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                                                                                                                                                                                                                                                                                                                                                                                            |
| 2             | S/U Amritsar                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 1792                                                                                                                                                                                                                                                  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| 3             | Ajnala                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 0                                                                                                                                                                                                                                                     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| 4             | City Tarntaran                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 0                                                                                                                                                                                                                                                     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| 5             | Patti                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 27                                                                                                                                                                                                                                                    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|              |      |      |   |   |        |     |     |   |   |                |      |      |      |   |       |       |      |      |   |            |      |      |      |   |        |      |      |   |   |           |       |       |   |   |               |      |      |   |    |      |   |   |   |    |             |       |       |   |    |        |      |   |      |         |                  |                                                            |                                                            |   |               |     |    |   |              |      |     |   |        |   |   |   |                |   |   |   |       |    |    |   |            |   |   |   |        |     |     |   |           |      |      |   |              |      |      |    |      |     |     |    |             |      |      |    |        |      |    |                                                                                                                                              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| 6             | Bhikhiwind                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 0                                                                                                                                                                                                                                                     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| 7             | Patran                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 792                                                                                                                                                                                                                                                   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| 8             | Lehragaga                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 5139                                                                                                                                                                                                                                                  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|              |      |      |   |   |        |     |     |   |   |                |      |      |      |   |       |       |      |      |   |            |      |      |      |   |        |      |      |   |   |           |       |       |   |   |               |      |      |   |    |      |   |   |   |    |             |       |       |   |    |        |      |   |      |         |                  |                                                            |                                                            |   |               |     |    |   |              |      |     |   |        |   |   |   |                |   |   |   |       |    |    |   |            |   |   |   |        |     |     |   |           |      |      |   |              |      |      |    |      |     |     |    |             |      |      |    |        |      |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| 9             | BhagtaBhaiKa                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 1204                                                                                                                                                                                                                                                  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|              |      |      |   |   |        |     |     |   |   |                |      |      |      |   |       |       |      |      |   |            |      |      |      |   |        |      |      |   |   |           |       |       |   |   |               |      |      |   |    |      |   |   |   |    |             |       |       |   |    |        |      |   |      |         |                  |                                                            |                                                            |   |               |     |    |   |              |      |     |   |        |   |   |   |                |   |   |   |       |    |    |   |            |   |   |   |        |     |     |   |           |      |      |   |              |      |      |    |      |     |     |    |             |      |      |    |        |      |    |                                                                                                                                              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| 10            | Zira                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 325                                                                                                                                                                                                                                                   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                                                                                                                                                                                                                                                                                                                                                                                            |
| 11            | Baghapurana                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2756                                                                                                                                                                                                                                                  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| 12            | Malout                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 1154                                                                                                                                                                                                                                                  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| Directive No.                       | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                       | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                   |
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| 5.1 (iv)<br>Reduction in T&D losses | Ending December, 2019 there were 5.47 lac meters pending shifting and the number ending December, 2020 is 4.51 lac thus only 96000 meters have been shifted during last one year. PSPCL is directed to complete shifting of meters outside consumer premises as per the time lines approved in the schemes.                                                                         | The total balance meters which are pending for shifting outside consumer premises ending 09-2021 is 4.34Lacs. Tender for shifting of meters outside the consumer premises were floated by APDRP organization but even after the extension of date twice, no firm came forward for meter shifting work. Now, the work of shifting of balance meters have been again transferred to DS organization and this work is expected to be completed by September-2022.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | PSPCL is directed to monitor the progress of work at its own level and to ensure its expeditious completion.                                                                                                                                                                                                                                      |
| 5.1 (v)<br>Reduction in T&D losses  | There were 4,36,700 Electromechanical Meters pending replacement ending Dec. 2019 and the number ending December, 2020 is 3,17,103 i.e. only 1,19,597 meters have been replaced in the last one year. This is violation of CEA Metering Regulations and the directives of the Commission issued repeatedly since FY 2011-12. PSPCL has now committed that work will be completed by | <p><b>Replacement of Electromechanical (E/M) Meters:</b></p> <p><b>Under R-APDRP (Part-B) scheme,</b> all the 1-<math>\phi</math> &amp; -3-<math>\phi</math> electromechanical meters were got replaced with electronic meters by 31.03.2018.</p> <p><b>Under IPDS scheme,</b> there is a provision for replacement of 17236 no. (1379 no. three phase &amp; 15857 no. single phase) electro-mechanical meters with electronic meters which has been done up to 31.03.2021</p> <p><b>Progress related to Non-APDRP areas:</b></p> <p>Under DDUGJY scheme, out of total scope of 169719 nos. the work of replacement of 167995 nos. meters has been executed and the work stands completed. The balance work of 1724 nos. of meters could not be replaced due to de-scoping of work as per actual site conditions.</p> <p>Under District Tarntaran the work of installation of 1200 nos. single phase meters could not be completed due to failure of material during inspection. Apart from that 121 nos. energy meters were Damaged during JVR &amp; Lab Testing and 101 Nos. meters were Damaged/Stolen from contractor's store. So total of 1422 Nos. energy meters could not be procured due to limited availability of time for completion of project up</p> | Ending December 2020, there were 3,17,103 Electromechanical Meters pending replacement and the number ending September, 2021 is 2,50,046 i.e. only 67,103 meters have been replaced in the last nine months. This is violation of CEA Metering Regulations and the directives of the Commission issued repeatedly since FY 2011-12. PSPCL has now |

| Directive No.              | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                          | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                   |
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|                            | <p>Sept. 2021. Failure to complete the job by the target date shall attract maximum penalty as admissible under section 142 of the Act.</p>                                                                                                                                                            | <p>to 31.03.2021. Further the balance work of replacement of 302 nos. of meters could not be completed due to ROW issues or non-availability of scope at site.</p> <p>As conveyed by REC, the Monitoring Committee of MoP/Gol in its meeting held on dated 02.08.2021 has accorded approval for further time extension to PSPCL, Punjab up to 31.12.2021, to the extent of works that are already awarded. For those works that are awarded within next 15 days the approval can be taken on file. Accordingly, 1422 no. meters shall be got replaced from contractors under Package No. 1 covering districts Amritsar, Tarntaran, Gurdaspur and Kapurthala. And for other districts, necessary instructions are being issued to DS organization for in-house replacement of electromechanical meters wherever available.</p> <p>Now, total 2.50 Lac Electromechanical meters are balance to be replaced with Electronic meters as on 30-09-2021. The work of Electromechanical meters with Electronic meters shall be completed by March 2022.</p>                                    | <p>committed that work will be completed by March, 2022. PSPCL is directed to monitor the progress of work at its own level and to ensure its expeditious completion.</p>                                                                                         |
| <p><b>5.2 Metering</b></p> | <p><b>(i) 100% Metering</b></p> <p>The Commission observes that not much progress has been made by PSPCL to implement the mandate of the Act to achieve 100% metering.</p> <p>PSPCL is again directed to submit the plan to achieve 100% metering as per the mandate of the Act without any delay.</p> | <p>Feeder segregation and AP consumer metering in kandi area under DDUGJY scheme is being implemented at a cost 191.19 Crore for better accounting of AP energy in Kandi feeders.</p> <p>Under this project total of 276 no. mixed load feeders have been covered out of which work of load segregation of 78 feeders is being executed as per revised scope finalized after detailed joint survey depending upon the limitation of funds available under this project and on balance mixed load feeders AP consumer metering shall be done.</p> <p>Huge public hindrance have been faced during the execution of this project. The work could only be started after intervention of State Government. As such PSPCL is executing the work of load segregation on first priority and afterwards the work of AP consumer metering shall be initiated keeping in view the anticipation of further public hindrance and complete stoppage of work of feeder segregation as well.</p> <p>The updated status of progress achieved under this project is given in detail under Para 5.4.</p> | <p>Despite repeated directions, PSPCL has not made much progress to implement the mandate of the Act and the Rules to achieve 100% metering. PSPCL is again directed to expeditiously submit the plan to achieve 100% metering as per the mandate of the Act.</p> |

| Directive No. | Comments by PSERC & directives for FY 2021-22 | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Comments by PSERC and directives for FY 2022-23 |
|---------------|-----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|
|               |                                               | <p><u>100% Metering</u></p> <p>Although, the Electricity Act provides for 100% metering of all consumers but installation of meters on a category of consumers which are being provided free power by GoP will not serve any purpose except recording energy, as meters have already been provided on all feeders. In case 100% metering on AP feeders is carried out, there is no doubt this would certainly make AP energy accounting more accurate but this scheme would also require considerable investment in manpower and equipments keeping in view the large expense on network and may not justify the return on investment.</p> <p>Regarding the direction of the commission to provide 100% metering to all consumers within five years starting from April 2018, it is submitted as follows:-</p> <ol style="list-style-type: none"> <li>1. A project for feeder segregation and AP consumer metering in kandi area under DDUGJY scheme has been initiated at a cost 191 Cr. for better accounting of AP energy on Kandi feeders.</li> <li>2. PSPCL is using an online system to record AP feeder energy readings, where data is submitted by concerned Sr XEN P&amp;M and cannot be subsequently modified. Same data is shared on a monthly basis with PSERC. The data of about 1800 AP feeders is being received under AMR/ REC Rural Feeder Monitoring projects and is being shared with PSERC.</li> <li>3. Assuming approximately 14 Lac total AP consumers an investment of approx. 864.4 Cr. and recurring cost 57.76 Cr. per annum shall be required for AMR/ Smart meters, Data Centre Servers and Software Licenses. Periodic replacement of defective meters or modems will also involve cost.</li> <li>4. PSPCL under instructions of Punjab Govt. and in collaboration with M/S J-PAL and World Bank has launched a DBTE scheme PaniBachaoPaiseKamao on 256 no AP feeders. In this scheme farmers are being asked to install meters on their agriculture pump sets, if they want to receive benefits under this scheme.</li> <li>5. Feeders supplying power to Agriculture Pump Sets have been segregated and are metered. Each month meter readings of all these feeders are submitted to hon'ble regulator.</li> </ol> <p>PSPCL has taken multiple measures to enhance the energy accounting on agriculture networks, such as enhancing the sample size of consumer meters,</p> |                                                 |



| Directive No.       | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
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|                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | <p>100% AP feeder metering, segregation of AP feeders. Policy has already been changed, mandating all new AP connections to be released on HVDS, installing meters on new AP connections.</p> <p>However, in spite of the above, various Kissan Unions are not allowing PSPCL to install meters at their AP connections.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <b>5.2 Metering</b> | <p><b>(ii) Introduction of prepaid and smart meters</b></p> <p>Rule 5(1) of the Electricity (Rights of Consumers) Rules, 2020 provides that “No connection shall be given without a meter and such meter shall be the smart prepayment meter or pre-payment meter. Any exception to the smart meter or prepayment meter shall have to be duly approved by the Commission. The Commission, while doing so, shall record proper justification for allowing the deviation from installation of the smart pre-payment meter or prepayment meter. Accordingly, PSPCL shall</p> | <p>As per the Directives/Guidelines of GoI/PSERC, no connection shall be given without a meter and such meter shall be the smart prepayment meter or pre payment meter. In compliance to this, following 3 Nos. tender enquiries for the procurement of smart meters are under process:</p> <ol style="list-style-type: none"> <li>T.E. No. MQP-187 has been floated for Design, Supply, Testing, Commissioning, Integration, Reading, Analysis and 5 year O&amp;M for 3,00,000 single phase smart meters.</li> <li>T.E. no. MQP-196 for Design, Supply, Testing, Commissioning, Integration, Reading, Analysis and 5 year O&amp;M for 1,00,000 three phase smart meters.</li> <li>T.E. no. MQP-195 for Design, Supply, Testing, Commissioning, Integration, Reading, Analysis and 5 year O&amp;M for 30,000 LT CT smart meters.</li> </ol> <p>These projects shall have smart meters which can communicate using 4G technology. Out of these tender enquiries, the single phase and three phase smart meters will be in default pre-paid mode. LT CT smart meters will be in post-paid mode and the data will be communicated automatically from meter to MDM. Thus, the human intervention in reading in all the three type of meters will be eliminated.</p> <p>Further, existing conventional meters are to be phased out in time bound manner as directed by Govt. of India. For meeting this regulation of Govt. of India and to avail funds under RDSS scheme, tender enquiry for contiguous areas having ring fenced metering system wherein all the boundary meters, feeder meters, DT meters and consumer meters of that particular area will be replaced by smart meters. These tender enquiries for smart metering projects (55 lakh smart meters by March, 2023 and 85 lakh smart meters by March, 2025) are under preparation and will be based on Standard Bidding Document issued by Govt. of India for RDSS projects.</p> <p>Moreover, PO No. M148 for procurement of 96000</p> | <p>The Commission observes that as emphasised in the directions given in the tariff order for FY-2021-22, Rule 5(1) of the Electricity (Rights of Consumers) Rules, 2020 provides that “No connection shall be given without a meter and such meter shall be the smart prepaymentmeter or pre-payment meter. Further, the timelines to ensure smart metering with pre-payment mode have been specified vide Ministry of Power, Govt.of India Notification no. F.No. 23/35/2019-R&amp;R dated 17.08.2021. The Commission directs that the</p> |

| Directive No.                  | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                      | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                              |                         |       |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |
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|                                | submit the plan with justification to the Commission to fulfil the provisions of the Rules within one month of the issue of this tariff order failing which suo-moto action will be taken.                                                                                         | three phase smart meters is in implementation and till date 78000 meters have been supplied and approximate 45000 meters have been installed for which online data is available for 24 hours daily.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | action plan to ensure compliance with aforementioned Rule and Notification be furnished within three months of issue of this tariff order.<br><br>Moreover, Vide Order dated 22.11.2021 in Petition No. 22 of 2021, the Commission had given directions to PSPCL in the context of installation and operationalisati on of smart meters. Further, compliance with above directions be ensured expeditiously. |                         |       |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |
| 5.2 Metering                   | <p><b>(iii) AMR of HT/MS consumers</b></p> <p>The Commission observes that PSPCL has not complied with the directive of the Commission. PSPCL have covered only 804 consumers in last one year. PSPCL is directed to submit the detail of HT consumers (both in SAP &amp; Non-</p> | <p>Status of AMR on HT/MS consumers is as follows:</p> <table><tr><th rowspan="2"></th><th colspan="3">HT (LS, MS, BS, DS, RT)</th><th rowspan="2">MS-LT</th><th rowspan="2">Total</th></tr><tr><th>RAPDRP</th><th>IPDS</th><th>Non-SAP</th></tr><tr><td>Total Connections</td><td>8553</td><td>3291</td><td>3888</td><td>27580</td><td>43312</td></tr><tr><td>AMR Installed</td><td>7525</td><td>780</td><td>2079</td><td>760</td><td>11144</td></tr><tr><td>Pending for modem installation</td><td>1028</td><td>2511</td><td>1809</td><td>26820</td><td></td></tr></table> <p>Note: 1. Work of installation of modems on HT consumers under IPDS scheme (2511 no.) is under progress.</p> <p>2. For installation of modems on remaining HT consumer sites, Non-communicating AMR consumers sites and updating AMR consumers sites from modem –meter to smart meter procurement of smart meters by O/O CE/Metering is under progress.</p> |                                                                                                                                                                                                                                                                                                                                                                                                              | HT (LS, MS, BS, DS, RT) |       |  | MS-LT | Total | RAPDRP | IPDS | Non-SAP | Total Connections | 8553 | 3291 | 3888 | 27580 | 43312 | AMR Installed | 7525 | 780 | 2079 | 760 | 11144 | Pending for modem installation | 1028 | 2511 | 1809 | 26820 |  | The Commission observes that PSPCL has still not complied with the directive of the Commission and has not even intimated the timelines to complete the work. PSPCL is directed to submit the action plan and the timelines to complete the work within one |
|                                | HT (LS, MS, BS, DS, RT)                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                              | MS-LT                   | Total |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |
|                                | RAPDRP                                                                                                                                                                                                                                                                             | IPDS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Non-SAP                                                                                                                                                                                                                                                                                                                                                                                                      |                         |       |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |
| Total Connections              | 8553                                                                                                                                                                                                                                                                               | 3291                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 3888                                                                                                                                                                                                                                                                                                                                                                                                         | 27580                   | 43312 |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |
| AMR Installed                  | 7525                                                                                                                                                                                                                                                                               | 780                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 2079                                                                                                                                                                                                                                                                                                                                                                                                         | 760                     | 11144 |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |
| Pending for modem installation | 1028                                                                                                                                                                                                                                                                               | 2511                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 1809                                                                                                                                                                                                                                                                                                                                                                                                         | 26820                   |       |  |       |       |        |      |         |                   |      |      |      |       |       |               |      |     |      |     |       |                                |      |      |      |       |  |                                                                                                                                                                                                                                                             |

| Directive No.       | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                          | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Comments by PSERC and directives for FY 2022-23                                                                                                                          |
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|                     | SAP areas) which are to be covered under AMR and the timeline to complete the job within one month of the issue of this tariff order.                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | month of the issue of this tariff order.                                                                                                                                 |
| <b>5.2 Metering</b> | <p><b>(iv) Accreditation of ME labs</b></p> <p>The Commission notes the reply. PSPCL is directed to ensure accreditation of its existing testing labs from NABL as per provisions of Supply Code during FY 2021-22.</p>                                                                                | <p>In this regard, it is submitted that directives of the Commission will be followed and accreditation of existing ME labs from NABL is under process. It is submitted as under:</p> <ul style="list-style-type: none"> <li>i. ME lab at Jalandhar is already NABL accredited.</li> <li>ii. Technical and Quality manual is being prepared for ME lab at Patiala. NABL Accreditation of lab will be completed by March, 2022.</li> <li>iii. For Ludhiana ME lab, proficiency test has been done and further action is being taken. NABL Accreditation of lab will be completed by June, 2022.</li> <li>iv. The required civil infrastructure is being created for lab at Bathinda. NABL Accreditation of lab will be completed by September, 2022.</li> </ul> <p>The required civil infrastructure is being created for lab at Amritsar. NABL Accreditation of lab will be completed by September, 2022.</p> | <p>The Commission notes the position intimated by PSPCL, with the directions that the updated status be furnished within three months of issue of this tariff order.</p> |
| <b>5.2 Metering</b> | <p><b>(v)</b> The direction of the Commission to outsource testing of EHT metering equipment at site till in-house facility is created, has been pending for the last 3 years. The status report in this regard be submitted to the Commission within one month of the issue of this tariff order.</p> | <p>In this regard, work order no.3 dated 14.07.2021 for on-site testing third party testing of 19 no. EHT connections (10% of total 191 EHT connections) of PSPCL covering Energy Meters and CT/PT units through primary injection method was issued and work has been completed.</p> <p>2 nos. Portable Secondary Injection Type CT &amp; PT Test Equipments for Testing of LT/HT/EHT Current Transformers &amp; Potential Transformers have been procured. In-house testing of LT/HT/EHT Current Transformers &amp; Potential Transformers is being carried out by own enforcement squads of PSPCL. The Jalandhar Enforcement Circle squad has already tested 9 connections whereas Ludhiana Enforcement Circle squad has tested 2 connections.</p>                                                                                                                                                         | <p>The Commission notes the position.</p>                                                                                                                                |

| Directive No.                                      | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Status of Compliance submitted by PSPCL (ending September 2021)                                                                             | Comments by PSERC and directives for FY 2022-23 |
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| <b>5.3A(i)</b><br><b>Status of Central Schemes</b> | <p><b>SCADA/DMS – Status of audit by TPIEA</b></p> <p>The Commission notes the action taken by PSPCL.</p> <p>PSPCL is directed to ensure completion within the time period allowed for the project. PSPCL had earlier reported that SCADA/DMS audit by TPIEA in all the three control centres at Jalandhar, Amritsar and Ludhiana and one DR Centre at Patiala had been completed. Recently an exception report has been shared by the TPIEA. PSPCL has provided relevant remarks/documents/evidences against these exceptions and a team from M/s NTPC is verifying these submissions in all SCADA towns. However, the latest status in this regard has not been intimated by</p> | <p>Final reports for each town as shared by TPIEA have been accepted by M/s PFC. A copy of the report for each town has been furnished.</p> | <p>The Commission notes the status.</p>         |

| Directive No.                                                   | Comments by PSERC & directives for FY 2021-22                                                                                                                                                     | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Comments by PSERC and directives for FY 2022-23                                                                                                                                                  |
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|                                                                 | PSPCL which may be intimated without any delay.                                                                                                                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                  |
| <b>5.3(A)</b><br><b>(i)</b><br><b>Status of Central Schemes</b> | (b) The Commission directs PSPCL to ensure conversion of loan into grants as admissible under RAPDRP scheme.                                                                                      | <p>Letter is being written to PFC as per given format under signatures of worthy CMDPSPCL for conversion of loan into grant. Interest calculation on already given grant has been done.</p> <p>The work of 46 no. towns has been completed. The financial closure documents of 46 nos. of completed towns have been submitted to Nodal agency PFC to claim final tranche of loan/grant and the final tranche of 10 % loan for all 46 no. towns has been received. Further, it is stated that the matter regarding conversion of loan into grant is under consideration of PFC/MOP as PFC has appointed Third Party agency, M/s WAPCOS for audit of losses of 46 no. towns covered under R-APDRP (Part-B) scheme. In this regard, M/s WAPCOS has collected requisite data from PSPCL and loan will be converted into grant by PFC/MOP based on the report of M/s WAPCOS accordingly.</p> <p>The matter regarding conversion of loan into grant is being constantly followed up with PFC by this office. As per the executed cost of the project, loan amount of Rs. 727.15 Crore against R-APDRP (Part-B) scheme is eligible for conversion into grant in five equal tranches on achieving the targets as per the scheme. The exact amount of loan which shall be converted into grant will be decided by PFC based on the report of M/s WAPCOS.</p> | <p>The Commission reiterates its directive to ensure conversion of loan into grants as admissible under RAPDRP scheme. Quarterly status report in this regard be shared with the Commission.</p> |
| <b>5.3A(i)</b>                                                  | <b>c) IPDS</b><br>PSPCL is directed to ensure completion of work of the scheme within the time period allowed by PFC and avail full grant including additional grant as admissible in the scheme. | <b>IPDS</b><br>Work orders for executing the IPDS scheme on full turnkey basis in 20 No. circles of Punjab State were issued to the turnkey contractors in the month of Sept,2017 with a completion period of 24 months i.e. upto Sept,2019. The work of all the 20 no. circles (102 no. towns) covered under IPDS scheme has been completed within the scheduled timeline of 31.03.2021. The financial closure of completed circles is under process and till date DRC has approved the financial closure of 15 no. circles out of 20 no. circles. The financial closure of 03 no. circles (Hoshiarpur, Roopnagar, City Amritsar) has already been submitted for the approval of DRC and the financial closure of balance two no. circles (Mohali & Khanna) shall be submitted to DRC in the month of November 2021. The                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | <b>IPDS:</b><br>The Commission notes the position and directs that the stipulated timelines are adhered to and PSPCL must meticulously monitor the progress of work.                             |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                 | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Comments by PSERC and directives for FY 2022-23                                                                                                                                                |
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|               | <p><b>DDUGJY</b></p> <p>PSPCL is directed to ensure completion of work within the time period allowed by REC and avail grant as admissible in the scheme.</p> | <p>matter for additional grant of 15% shall be considered by PFC after the submission of closure documents of all 20 no. circles and on achieving milestones envisaged for additional grant as per guidelines of the scheme.</p> <p><b>DDUGJY</b></p> <p>Rs. 251.98 Cr has been sanctioned by MoP/Gol for 20 no. districts under DDUGJY. Work orders to contractors were issued on 30.10.2017 in 5 nos. packages, with completion period of 24 months i.e. up to 29.10.2019. Further amendments for Bill of Quantity after joint survey for all the five Packages were issued on 02.11.2018.</p> <p>The progress of works got adversely affected due to non-availability of permit for sufficient hours due to Paddy/Summer season and also to ensure uninterrupted supply to hospitals/consumers for online education of students during Covid-19 Pandemic. Further movement of men and material was severely affected due to restriction imposed by State Government to control Covid 19 pandemic. PSPCL made its best efforts to complete the works by extended time period up to 31.10.2020, however due to said conditions beyond the control of PSPCL, completion of project got further delayed. Accordingly, in consideration of PSPCL request, time extension up to 31.03.2021 for completion of work in all the 20 no. districts (DDUGJY-State) has been accorded by MoP/Gol vide REC letter ref. no.769 dated 08.04.2021. Under this project total works amounting to Rs. 245.20 Cr. Approx. have been reported to be executed. Final reconciliation of completed works is under process for finalization of BOQ and submission of closure proposal to REC.</p> <p>The awarded work in all the 20 no. districts in 5 no. packages have been reported to be completed before 31.03.2021 except work of installation of Modems on DTs meters and few other minor works.</p> <p>In view of request of PSPCL, further time extension up to 31.12.2021 for completion of work in all the 20 no. districts (DDUGJY-State) has been accorded by MoP/Gol vide REC letter ref. no.830 dated 19.08.2021.</p> | <p><b>DDUGJY:</b></p> <p>The Commission notes the position and directs that the stipulated timelines are adhered to and PSPCL must meticulously monitor the progress of work at its level.</p> |

| Directive No.             | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                         | Status of Compliance submitted by PSPCL (ending September 2021) |                                                                                          |                     |                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
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| 5.4 (i)<br>AP Consumption | (i) AMR of AP feeders<br><br>The Commission notes that the said directive is pending compliance since FY 2013-14. As per PSPCL's submission, data of most of the feeders will be available by Feb. 2021. In case PSPCL failed to provide AMR data of all AP feeders along with correct updated sanctioned load and maximum demand w.e.f April, 2021, the Commission will be constrained to impose suitable cut on AP consumption as per the information/data available in its domain. | Details furnished by PSPCL are as under:                        |                                                                                          |                     |                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | AMR data has been received in the Commission up to July 2021 only. Normally data of around 2400 meters is being supplied by PSPCL but during July 2021, data of only 1410 No. feeders was supplied citing that SIM has not been recharged by the firm M/s Lampex due to non payment by REC. PSPCL is again directed to ensure regular and timely availability of monthly AMR data as well as monthly AP ledger data of all AP feeders along with the sanctioned load of AP consumers connected to respective feeders. Futher, PSPCL is directed to ensure the following:<br>a) The online portal of AMR metering for access to the Commission is not working. |
|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Sr. No.                                                         | Status                                                                                   | Count (In Nos.)     | Data received (In Nos.) | Remarks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 1                                                               | AP feeders covered under 11kV Rural Feeder Monitoring Scheme (RFMS) by RECTPCL New Delhi | 3832 (First Phase)  | 2301                    | As implementation/ maintenance of the RFMS is being looked into by M/s RECTPCL, New Delhi, matter is being taken up with RECTPCL on regular basis. Regarding non-availability of AMR data due to reasons pertaining to PSPCL, the detail is as under:<br>(i)The reason for decreased communication status is that pre-paid SIMs in the modems (Lampex make) were not recharged by M/s Lampex due to non-payment by REC.<br><br>(ii)Installation of modems under second phase has been hold by M/s Lampex due to non-payment by REC. To resolve these issues regarding payment, various emails and letters have been written to REC multiple times. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                 |                                                                                          | 1428 (Second Phase) | 523                     | (iii)As Gol has instructed on stressing on energy accounting using smart meters on feeder meters, hence replacement of incompatible feeder meters with DLMS meters have been put on hold to avoid double expenditure<br>(iv)Regarding meter not read due to size byte (larger data                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

| Directive No. | Comments by PSERC & directives for FY 2021-22 | Status of Compliance submitted by PSPCL (ending September 2021) |                                            |     |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|---------------|-----------------------------------------------|-----------------------------------------------------------------|--------------------------------------------|-----|----|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|               |                                               |                                                                 |                                            |     |    | size) issue in 545 No. Secure make meters, the matter has been taken up with M/s Lampex in co-ordination with RECPDCL to resolve the issue (application software change).                                                                                                                                                                                                                                                                                       | <p>The same be set in order immediately and compliance be reported within one month of issue of this tariff order.</p> <p>b) PSPCL must immediately review and update the sanctioned load as for some of the feeders, it does not commensurate with the AP energy. The compliance be reported within one month of issue of this tariff order.</p> <p>The AMR on the AP feeders on which AMR system has already been provided but is not functional, be made functional within 3 months of issue of this tariff order. For remaining AP feeders, the AMR facility be made operational within one year from issue of this tariff order. Otherwise, the Commission</p> |
|               |                                               | 2                                                               | AP feeders covered under (R-APDRP) project | 281 | 35 | WO for maintenance of DCUs installed at substations which were being used for AMR of feeder meters has expired and is not renewed. This office has put up a draft proposal in which it is proposed to install modems on RAPDRP urban feeders with latest technology on feeder meters in place of DCUs. For non-communicating AP feeders, it has been proposed that AP feeders of RAPDRP substations be included in the scope of REC under upcoming NFMS scheme. |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|               |                                               | 3                                                               | AP feeders covered under AMR Project       | 500 | -- | D.O. letter from CE/IT addressed to Addl. CEO/RECPDCL to include in-house AMR and newly erected Rural feeders has been sent to RECPDCL for consent. As per telephonic conversation with Deputy Manager, RECPDL it was informed that the request has been forwarded to MoP for approval and their response is awaited in this regard.                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|               |                                               | 4                                                               | Newly erected AP feeders                   | 397 | -  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |



| Directive No.              | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                    | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                            |                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | would be constrained to revisit the methodology for computing AP consumption. The quarterly status report be intimated to the Commission.                                                                                                                                                                                                                                                                                                                                                                     |
| 5.4 (ii)<br>AP Consumption | (ii) Kandi Area Feeders<br>The slow progress of execution of the work is a matter of concern. PSPCL should ensure that the work of feeder segregation/AP consumer metering is completed as per the time lines allowed under the approved scheme. | <b>ii) Kandi Area Feeders</b><br>Rs.191.19 Cr. has been sanctioned by MoP/Gol for feeder segregation / AP consumer metering in five districts of Kandi Area in the State of Punjab under DDUGJY. The work of feeder segregation / AP consumer metering in Kandi Areas of 5 no. districts (Gurdaspur, Hoshiarpur, SBS Nagar, Rupnagar, SAS Nagar) in the State of Punjab under DDUGJY were awarded to various companies on 01.12.2017 (for 4 Packages) and 15.11.2018 (for 1 Package) with completion period of 24 months i.e. up to 30.11.2019 and 14.11.2020 respectively. Initially the progress of feeder segregation remained very slow mainly due to stiff resistance from AP consumers and Kissan Unions. However, with the intervention of Punjab Govt. and PSPCL management, the pace of work was picked up. Further due to complete lockdown in Punjab to tackle Covid 19 Pandemic, progress was again hampered. PSPCL taken up the matter with REC for further time extension due to delay on account of non-availability of ROW in fields and no shut down period due to high demand of electricity in the summer/ paddy season 2020. In consideration of PSPCL request, the Ministry has considered the proposals for time extension of projects sanctioned under DDUGJY- New projects and has granted time extension up to 31.03.2021 for 5 no. districts of Kandi Area vide REC letter ref. no.195 dated 29.07.2020. Under this project total works amounting to Rs. 137.78 Cr. Approx. have been completed with overall progress of 69.68 % of awarded works up to 30.09.2021. Out of the total 67 no. feeders taken in hand for execution of work, the work of 50 no. feeders stands completed and the work of 3 no. feeders got affected due to forest issues and 9 no. feeders got affected due to ROW issues. Efforts are underway with the | PSPCL has submitted that it has completed work on 50 nos. feeders out of work of 67 nos. Kandi mix feeders taken in hand by it. Further, PSPCL has also obtained extension of DDUGJY-Kandi Area scheme up to 31.03.2022. PSPCL is directed to ensure that the work of feeder segregation/AP consumer metering is completed as per the time lines allowed under the approved scheme. Till completion of the project and submission of data of segregated feeders, the Commission will continue to determine AP |

| Directive No.               | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                 | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Comments by PSERC and directives for FY 2022-23                        |                                |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
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|                             |                                                                                                                                                                                                                                                                                                                                                               | <p>intervention of Hon'ble CMD, PSPCL to resolve the issues with concerned authorities. Further the work of feeder segregation in district Gurdaspur, Hoshiarpur, Roopnagar and SAS Nagar got affected due to hindrances created by Kissan Unions.</p> <p>Progress of works has been adversely impacted due to non-availability of permit for sufficient hours due to Paddy season/Summer season and to ensure uninterrupted supply to hospitals/consumers for online education of students. Further the movement of men and material got severely affected due to COVID-19 pandemic restrictions imposed by State Government. The work was beginning to pick up some momentum but was again severely affected due to restrictions imposed by state government on account of second wave of COVID-19 pandemic.</p> <p>On account of above issues and circumstances beyond control of PSPCL extension up to 31.03.2022 for 5 no. districts under DDUGJY-Kandi Area has been accorded by MoP/Gol vide REC letter ref. no.830 dated 19.08.2021.</p> <p>The job will be completed soon.</p> <p>Details of pumped energy of feeders energized after load segregation is has also been furnished.</p> | consumption of the kandi area feeders as per the existing methodology. |                                |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| 5.4 (iii)<br>AP Consumption | <p><b>100% metering on A.P. consumers fed from urban feeders</b></p> <p>The Commission notes that despite repeated directions, 890 unmetered AP connections are still running from urban feeders. In prudence check of AP consumption for FY 2018-19 (true up) &amp; 2019-20 (True up), the Commission pointed out number of errors in the meter readings</p> | <p><b>100% metering on A.P. consumers fed from urban feeders</b></p> <p>The delay has been on account of resistance from Kissan Unions and there was no intention of PSPCL to non-comply with the directives. At present only 890 AP connections are pending where Kissan Unions are not allowing PSPCL employees to install meters. The details of balance meters to be installed on AP consumers fed from Urban Feeders are as under:</p> <table><tr><th>Sr. No.</th><th>Name of Zone</th><th>Total No. of AP Consumers fed from Urban Feeders</th><th>Meters installed</th><th>Balance Meters to be Installed</th></tr><tr><td>1</td><td>BORDER</td><td>3312</td><td>2808</td><td>504</td></tr><tr><td>2</td><td>CENTRAL</td><td>1339</td><td>1339</td><td>0</td></tr><tr><td>3</td><td>NORTH</td><td>1929</td><td>1929</td><td>0</td></tr><tr><td>4</td><td>SOUTH</td><td>1285</td><td>1285</td><td>0</td></tr><tr><td>5</td><td>WEST</td><td>1112</td><td>726</td><td>386</td></tr><tr><td colspan="2">PSPCL</td><td>8977</td><td>8087</td><td>890</td></tr></table>                                                                                                                       | Sr. No.                                                                | Name of Zone                   | Total No. of AP Consumers fed from Urban Feeders | Meters installed | Balance Meters to be Installed | 1 | BORDER | 3312 | 2808 | 504 | 2 | CENTRAL | 1339 | 1339 | 0 | 3 | NORTH | 1929 | 1929 | 0 | 4 | SOUTH | 1285 | 1285 | 0 | 5 | WEST | 1112 | 726 | 386 | PSPCL |  | 8977 | 8087 | 890 | <p>The Commission notes that there are still 890 nos. unmetered AP connections running from urban feeders.i.e. during last nine months, there has been no reduction in the number of unmetered AP connections running from urban feeders. The directive is pending compliance since FY 2013-14. PSPCL is directed to share with the</p> |
| Sr. No.                     | Name of Zone                                                                                                                                                                                                                                                                                                                                                  | Total No. of AP Consumers fed from Urban Feeders                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | Meters installed                                                       | Balance Meters to be Installed |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| 1                           | BORDER                                                                                                                                                                                                                                                                                                                                                        | 3312                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 2808                                                                   | 504                            |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| 2                           | CENTRAL                                                                                                                                                                                                                                                                                                                                                       | 1339                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 1339                                                                   | 0                              |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| 3                           | NORTH                                                                                                                                                                                                                                                                                                                                                         | 1929                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 1929                                                                   | 0                              |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| 4                           | SOUTH                                                                                                                                                                                                                                                                                                                                                         | 1285                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 1285                                                                   | 0                              |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| 5                           | WEST                                                                                                                                                                                                                                                                                                                                                          | 1112                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 726                                                                    | 386                            |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |
| PSPCL                       |                                                                                                                                                                                                                                                                                                                                                               | 8977                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 8087                                                                   | 890                            |                                                  |                  |                                |   |        |      |      |     |   |         |      |      |   |   |       |      |      |   |   |       |      |      |   |   |      |      |     |     |       |  |      |      |     |                                                                                                                                                                                                                                                                                                                                         |

| Directive No.                             | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                             | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                           | <p>provided to it. The Commission directs PSPCL to take the meter readings diligently. The Commission shall only consider the correct and consistent readings for determining the AP consumption of consumers fed from urban feeders.</p> |                                                                                                                                                                                                                                                                                                                                | <p>Commission within three months of issue of this tariff order, a focused time bound plan, to complete the work of installation of meters on AP connections on urban feeders.</p> <p>Further, upon AP validation during true-up exercise for FY-2019-20, the Commission had pointed out a no. of errors in meter readings of metered AP consumers provided to it. PSPCL must ensure that the meter readings are taken diligently and meticulously otherwise, the Commission would be constrained to revisit the methodology for computing AP consumption of AP consumers fed from urban feeders.</p> |
| <p><b>5.4 (iv)</b><br/>AP Consumption</p> | <p><b>(iv) Assessment of T&amp;D losses on AP feeders:</b></p> <p>The work of 100% metering of 1% AP</p>                                                                                                                                  | <p>Tender enquiry no.566 was floated after incorporating AP Sample Meter Reading. The price bid of eligible firm has been opened on 12.10.2021 and work proposal would be submitted to competent authority.</p> <p>Also, as per the directive of the Commission, all the field offices under CE/DS have been instructed to</p> | <p>The work of 100% metering of 1% sample AP feeders was reported to be completed in FY 2017-18.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Status of Compliance submitted by PSPCL (ending September 2021)                                              | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
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|               | <p>feeders was completed in FY 2017-18 but PSPCL has not computed the T&amp;D losses of any feeder. The Commission reiterates its directive that PSPCL should finalise the engagement of a 3rd party to compute T&amp;D losses at the earliest. However, till the engagement of an independent agency, monthly readings of AP consumers on 1% sample feeders covered under 100% metering be recorded departmentally and the computation of losses based on the same be provided to the Commission along with the data of monthly pumped energy. In the absence of receipt of information, the Commission shall take the actual distribution losses for calculation of AP consumption.</p> | <p>start uploading the monthly readings of these AP consumers on "Distribution Returns Portal" of PSPCL.</p> | <p>PSPCL has still not able to compute T&amp;D losses on these AP feeders. The Commission has repeatedly directed PSPCL that till the engagement of a 3rd party to compute T&amp;D losses, monthly readings of AP consumers on 1% sample feeders covered under 100% metering be recorded departmentally and the computation of losses based on the same be provided to the Commission along with the data of monthly pumped energy. However, the same has not been complied with. The reasons for this non-compliance and the status of engagement of 3<sup>rd</sup> Party to compute T&amp;D losses be intimated to the Commission within one month of issue of this tariff order. The Commission</p> |

| Directive No. | Comments by PSERC & directives for FY 2021-22 | Status of Compliance submitted by PSPCL (ending September 2021) | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|---------------|-----------------------------------------------|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|               |                                               |                                                                 | <p>reiterates its directive that till the engagement of an independent agency, monthly readings of AP consumers on 1% sample feeders covered under 100% metering be recorded departmentally and the computation of losses based on the same be provided to the Commission along with the data of monthly pumped energy.</p> <p>It appears that PSPCL is deliberately delaying submission of T&amp;D loss figures of these AP feeders. The Commission will be constrained to revisit the loss level of AP feeders to determine AP consumption in case PSPCL failed to submit the T&amp;D loss data of these 1% AP feeders.</p> |

| Directive No.                                                                   | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Comments by PSERC and directives for FY 2022-23       |                                              |                                                                                 |    |                                                       |    |                                                      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
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| 5.5<br>Improving power factor of AP feeders                                     | The Commission observes that the power factor of more than half the AP feeders is below 0.9 and some of the AP feeders have power factor as low as 0.6. The Commission notes that PSPCL has not given any information regarding improvement in power factor of AP feeders achieved during FY 2020-21. The Commission directs PSPCL to take all necessary steps to improve the power factor of AP feeders and submit the report regarding improvement in power factor achieved during FY 2020-21 on these feeders. PSPCL should ensure that the capacitors of adequate capacity are installed by the farmers at their motors | <p>The List of Power factors of AP Feeders has been given.</p> <p>PSPCL has already issued instructions/directions to the field offices to take necessary steps to ensure installation/operation of adequate capacity of shunt capacitors on 11 KV feeders vide Office Memo No. 797/801 Dated: 16.04.2019 and PSPCL has distributed Pamphlets in Kissan Union meetings and field offices, advertised on website and PSPCL APP to create awareness among farmers to ensure installation/operation of adequate capacity of capacitors at AP motors.</p> <table><tr><td></td><td>During 2<sup>nd</sup> Quarter of FY 2021-22</td></tr><tr><td>Total no. of AP Feeders where Shunt Capacitor installed to improve Power Factor</td><td>24</td></tr><tr><td>Total no. of Shunt Capacitors installed on AP Feeders</td><td>24</td></tr><tr><td>Total capacity of Shunt Capacitors installed in KVAR</td><td>12.6</td></tr></table> |                                                       | During 2 <sup>nd</sup> Quarter of FY 2021-22 | Total no. of AP Feeders where Shunt Capacitor installed to improve Power Factor | 24 | Total no. of Shunt Capacitors installed on AP Feeders | 24 | Total capacity of Shunt Capacitors installed in KVAR | 12.6 | The Commission observes that the power factor of more than half the AP feeders is still below 0.9. Further, 0.2% AP feeders have power factor from 0.5 to 0.6 and 3.3% AP feeders have power factors from 0.7 to 0.8. The Commission directs PSPCL to take requisite steps to improve the power factor of AP feeders and submit the report, within three months of issue of this tariff order, regarding improvement in power factor achieved during FY 2021-22 on these feeders and to ensure that the capacitors of adequate capacity are installed by the farmers at their motors |
|                                                                                 | During 2 <sup>nd</sup> Quarter of FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                       |                                              |                                                                                 |    |                                                       |    |                                                      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Total no. of AP Feeders where Shunt Capacitor installed to improve Power Factor | 24                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                       |                                              |                                                                                 |    |                                                       |    |                                                      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Total no. of Shunt Capacitors installed on AP Feeders                           | 24                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                       |                                              |                                                                                 |    |                                                       |    |                                                      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Total capacity of Shunt Capacitors installed in KVAR                            | 12.6                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                       |                                              |                                                                                 |    |                                                       |    |                                                      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| 5.6<br>Receivables                                                              | The defaulting amount ending March 2018 was Rs. 3081.59 Cr. which increased                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Status of Defaulting Amount ending 06-2021 and 09-2021 is as under:- ( In Lacs)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | The Commission notes with concern that the defaulting |                                              |                                                                                 |    |                                                       |    |                                                      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

| Directive No.        | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                             | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                   |                                 |                                 |                                   |                                 |                                 | Comments by PSERC and directives for FY 2022-23 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
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|                      | to Rs. 3524.46 Cr. ending Dec. 2019. The defaulting amount ending Dec. 2020 has further increased to Rs. 4385.65 Cr. i.e. an increase of 24% which is matter of grave concern. It is in the interest of distribution licensee to ensure recovery of outstanding amount from the defaulters. PSPCL is again directed to take action against the defaulters as per the provisions of the Supply Code, 2014. | <table><tr><th>Category</th><th>Total Defaulting Ending 09/2020</th><th>Govt. Defaulting Ending 09/2020</th><th>General Defaulting Ending 09/2020</th><th>Total Defaulting Ending 12/2020</th><th>Govt. Defaulting Ending 12/2020</th><th>General Defaulting Ending 12/2020</th></tr><tr><td>a</td><td>b</td><td>c</td><td>d=(b-c)</td><td>e</td><td>f</td><td>g=(e-f)</td></tr><tr><td>Industry</td><td>226768</td><td>184462</td><td>42306</td><td>229753</td><td>187116</td><td>42637</td></tr><tr><td>AP</td><td>476</td><td>16</td><td>460</td><td>520</td><td>1</td><td>519</td></tr><tr><td>GSC</td><td>222620</td><td>22677</td><td>199943</td><td>222307</td><td>24254</td><td>198053</td></tr><tr><td>Others</td><td>13304</td><td>11006</td><td>2298</td><td>13794</td><td>11758</td><td>2036</td></tr><tr><td>Total</td><td>463168</td><td>218161</td><td>245007</td><td>466374</td><td>223129</td><td>243245</td></tr></table> | Category                          | Total Defaulting Ending 09/2020 | Govt. Defaulting Ending 09/2020 | General Defaulting Ending 09/2020 | Total Defaulting Ending 12/2020 | Govt. Defaulting Ending 12/2020 | General Defaulting Ending 12/2020               | a | b | c | d=(b-c) | e | f | g=(e-f) | Industry | 226768 | 184462 | 42306 | 229753 | 187116 | 42637 | AP | 476 | 16 | 460 | 520 | 1 | 519 | GSC | 222620 | 22677 | 199943 | 222307 | 24254 | 198053 | Others | 13304 | 11006 | 2298 | 13794 | 11758 | 2036 | Total | 463168 | 218161 | 245007 | 466374 | 223129 | 243245 | <p>PSPCL is striving hard to recover the outstanding dues from defaulting consumers. Connections of defaulters are being disconnected to put pressure on defaulters to deposit defaulting amount.</p> <p>Out of total outstanding amount of Rs. 4663.74 Cr., amount to the tune of Rs. 2231.29 Cr. is pending towards Govt. connections. All out efforts are being made by PSPCL for the recovery of this amount by making liaison with Govt. Departments.</p> | amount is increasing year after year. Such outstanding amounts unjustifiably burden the other honestly paying consumers. PSPCL is directed to take action against the defaulters as per the provisions of the Supply Code, 2014 and to ensure clearance of all outstanding amounts. The reduction in outstandings so achieved shall be intimated by PSPCL every quarter. |
| Category             | Total Defaulting Ending 09/2020                                                                                                                                                                                                                                                                                                                                                                           | Govt. Defaulting Ending 09/2020                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | General Defaulting Ending 09/2020 | Total Defaulting Ending 12/2020 | Govt. Defaulting Ending 12/2020 | General Defaulting Ending 12/2020 |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| a                    | b                                                                                                                                                                                                                                                                                                                                                                                                         | c                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | d=(b-c)                           | e                               | f                               | g=(e-f)                           |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| Industry             | 226768                                                                                                                                                                                                                                                                                                                                                                                                    | 184462                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 42306                             | 229753                          | 187116                          | 42637                             |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| AP                   | 476                                                                                                                                                                                                                                                                                                                                                                                                       | 16                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 460                               | 520                             | 1                               | 519                               |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| GSC                  | 222620                                                                                                                                                                                                                                                                                                                                                                                                    | 22677                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 199943                            | 222307                          | 24254                           | 198053                            |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| Others               | 13304                                                                                                                                                                                                                                                                                                                                                                                                     | 11006                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 2298                              | 13794                           | 11758                           | 2036                              |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| Total                | 463168                                                                                                                                                                                                                                                                                                                                                                                                    | 218161                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 245007                            | 466374                          | 223129                          | 243245                            |                                 |                                 |                                                 |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |
| 5.7 Consumer Service | Despite issuance of certificates by all DS Zones of PSPCL, numerous complaints regarding non payment of interest on security are being received from various sections of the consumers by the Commission. As per section 47(4) of the Act read with Regulation 17 of the Supply                                                                                                                           | <p>The certificates regarding updation of security to the account of the consumer is already submitted in the reply of Directives ending 09-2020 and no security is pending for updation.</p> <p>Field offices have again been directed to ensure updation of security to the account of the consumers vide office of Director/Distribution Memo No. 3374/3378 Dated 16.08.2021, if any such case is pending.</p> <p>PSPCL has also given public notice in this regard in the past also and has updated the security to the account of the consumers. Further PSPCL will again publish public notices for awareness of consumers that they may get it updated, if any mismatch as per their record and PSPCL record exist, so that this issue is closed.</p>                                                                                                                                                                                |                                   |                                 |                                 |                                   |                                 |                                 | The Commission notes the position.              |   |   |   |         |   |   |         |          |        |        |       |        |        |       |    |     |    |     |     |   |     |     |        |       |        |        |       |        |        |       |       |      |       |       |      |       |        |        |        |        |        |        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                          |

| Directive No.            | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                         | Comments by PSERC and directives for FY 2022-23                                                                                                    |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
|                          | <p>Code, 2014, the distribution licensee shall pay interest on security as specified by the Commission. Denial of interest on security is gross violation of the provisions of the Act/Regulations which attract action under section 142 of the Act. Since PSPCL has certified that security amount has been updated in the record so PSPCL shall ensure that no consumer is deprived of the right to get interest on Security Deposit as per the provisions of Supply Code, 2014. Non compliance shall attract action under section 142 of the Act.</p> |                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                    |
| <b>5.8 Employee Cost</b> | <p>PSPCL is still referring to an outdated PwC study report to justify steps being taken by the licensee on cadre management. PSPCL should initiate</p>                                                                                                                                                                                                                                                                                                                                                                                                   | <p>The Committee of BODs in its 82<sup>th</sup> meeting held on 10.07.2020 at Chandigarh has decided that a standing committee as per details therein constituted to examine and review staff requirements at all levels for restructuring the manpower of the company, keeping in view efficiency and economy.</p> <p>Further the PSPCL has done organisation wise restructuring process as under:</p> | <p>PSPCL has intimated regarding constitution of standing committee to examine and review staff requirement at all levels for restructuring of</p> |



| Directive No. | Comments by PSERC & directives for FY 2021-22                                          | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Comments by PSERC and directives for FY 2022-23 |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|---------------|----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|--------------|----------------------------|---------------------------|---|------------------|------|------|---|--------------------|------|-----|---|--------------------|-----|-----|---|------------------------|-----|-----|---|------------------|-----|-----|---|--------------|-----|-----|---|--------------|-----|-----|---|---------------------------------|----|----|---|------------------------|-----|-----|----|------------------------|------|-----|----|-----------------|-----|-----|----|---------------------|----|----|----|-------------------|----|----|--|-------------|------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|               | comprehensive cadre review and restructuring plan for optimum utilisation of manpower. | <table border="1"> <thead> <tr> <th>Sr. No.</th><th>Organisation</th><th>Posts before Restructuring</th><th>Posts after Restructuring</th></tr> </thead> <tbody> <tr> <td>1</td><td>CE/GGSSTP, Ropar</td><td>2900</td><td>1563</td></tr> <tr> <td>2</td><td>CE/GNDTP, Bathinda</td><td>2341</td><td>153</td></tr> <tr> <td>3</td><td>CE/EA&amp; Enforcement</td><td>407</td><td>320</td></tr> <tr> <td>4</td><td>CE/RE &amp; APDRP, Patiala</td><td>227</td><td>164</td></tr> <tr> <td>5</td><td>CE/TA&amp;I, Patiala</td><td>150</td><td>100</td></tr> <tr> <td>6</td><td>SE/Personnel</td><td>275</td><td>213</td></tr> <tr> <td>7</td><td>CE/ Metering</td><td>515</td><td>223</td></tr> <tr> <td>8</td><td>CE/Material Management, Patiala</td><td>88</td><td>69</td></tr> <tr> <td>9</td><td>CE/Transmission System</td><td>939</td><td>860</td></tr> <tr> <td>10</td><td>CE/GHTP Lehra Mohabbat</td><td>1155</td><td>870</td></tr> <tr> <td>11</td><td>CE/CD&amp;C Patiala</td><td>511</td><td>471</td></tr> <tr> <td>12</td><td>CE/Planning Patiala</td><td>79</td><td>61</td></tr> <tr> <td>13</td><td>CE ARR&amp;TR PATIALA</td><td>34</td><td>25</td></tr> <tr> <td></td><td>Grand Total</td><td>9621</td><td>5092</td></tr> </tbody> </table> <p>In addition to above, therestructuring of the remaining organisations of PSPCL is also under consideration which is being undertaken to ensure the optimum utilisation of manpower.</p> <p>Note-<br/>The 241 posts of Skilled Workers were created vide office order no.734 dtd.22-7-21<br/>Under GGSSTP-Ropar, in compliance of the decision taken by BODs in its 88th Meeting i on dtd.26-6-21<br/>The case regarding restructuring of CE/ITorganisation has been approved, the office order of which shall be issuedshortly.<br/>The case regarding restructuring of Chief Auditor organisation has also been put-up for consideration of higher authorities.<br/>There structuring process of the CE/P&amp;M is under consideration and the case regarding the same shall be submitted subsequently.<br/>Further, structuring of remaining organisations of</p> | Sr. No.                                         | Organisation | Posts before Restructuring | Posts after Restructuring | 1 | CE/GGSSTP, Ropar | 2900 | 1563 | 2 | CE/GNDTP, Bathinda | 2341 | 153 | 3 | CE/EA& Enforcement | 407 | 320 | 4 | CE/RE & APDRP, Patiala | 227 | 164 | 5 | CE/TA&I, Patiala | 150 | 100 | 6 | SE/Personnel | 275 | 213 | 7 | CE/ Metering | 515 | 223 | 8 | CE/Material Management, Patiala | 88 | 69 | 9 | CE/Transmission System | 939 | 860 | 10 | CE/GHTP Lehra Mohabbat | 1155 | 870 | 11 | CE/CD&C Patiala | 511 | 471 | 12 | CE/Planning Patiala | 79 | 61 | 13 | CE ARR&TR PATIALA | 34 | 25 |  | Grand Total | 9621 | 5092 | the manpower of PSPCL organisation-wise restructuring process. It has further stated that the reustructuring of CE/IT, Chief Auditor and CE/P&M is under process which will be done in phased manner. However, it has not submitted the time period of completion of restructuring of the Organisation and compliance of the directive. PSPCL is directed to intimate the time line for the compliance and ensure its compliance without any further delay. |
| Sr. No.       | Organisation                                                                           | Posts before Restructuring                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Posts after Restructuring                       |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 1             | CE/GGSSTP, Ropar                                                                       | 2900                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 1563                                            |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 2             | CE/GNDTP, Bathinda                                                                     | 2341                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 153                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 3             | CE/EA& Enforcement                                                                     | 407                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 320                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 4             | CE/RE & APDRP, Patiala                                                                 | 227                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 164                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 5             | CE/TA&I, Patiala                                                                       | 150                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 100                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 6             | SE/Personnel                                                                           | 275                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 213                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 7             | CE/ Metering                                                                           | 515                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 223                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 8             | CE/Material Management, Patiala                                                        | 88                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 69                                              |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 9             | CE/Transmission System                                                                 | 939                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 860                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 10            | CE/GHTP Lehra Mohabbat                                                                 | 1155                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 870                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 11            | CE/CD&C Patiala                                                                        | 511                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 471                                             |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 12            | CE/Planning Patiala                                                                    | 79                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 61                                              |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| 13            | CE ARR&TR PATIALA                                                                      | 34                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 25                                              |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|               | Grand Total                                                                            | 9621                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 5092                                            |              |                            |                           |   |                  |      |      |   |                    |      |     |   |                    |     |     |   |                        |     |     |   |                  |     |     |   |              |     |     |   |              |     |     |   |                                 |    |    |   |                        |     |     |    |                        |      |     |    |                 |     |     |    |                     |    |    |    |                   |    |    |  |             |      |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                             |

| Directive No.                      | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Comments by PSERC and directives for FY 2022-23 |         |        |         |               |         |         |               |       |           |        |        |        |        |        |        |       |         |                                    |      |      |      |      |      |      |     |       |                                                                                                                                                                                                                                                                                                                                                                                                             |
|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------|---------|--------|---------|---------------|---------|---------|---------------|-------|-----------|--------|--------|--------|--------|--------|--------|-------|---------|------------------------------------|------|------|------|------|------|------|-----|-------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | PSPCL is being done in a phased manner.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                                 |         |        |         |               |         |         |               |       |           |        |        |        |        |        |        |       |         |                                    |      |      |      |      |      |      |     |       |                                                                                                                                                                                                                                                                                                                                                                                                             |
| 5.9<br>Performance parameters      | <p><b>(A) Damage to DTs</b></p> <p>Damage rate of DTs i.e. 3.76% (excluding warranty and theft) during 2020-21 (up to Dec, 2020) was lower than that of 4.08% during 2019-20, but is still much higher than the target of 2.5% as per Commission's directive for 2020-21. The Commission also notes that similar to the pattern observed last year, the percentage of overloaded 6.3KVA, 10KVA and 16KVA DTs is high as compared to higher rating DTs. The percentage of overloaded 16kVA transformers is 3.3/% against overall rate of 1.1%. Generally one or two consumers are connected to small capacity transformers and the overloading of these transformers means that</p> | <p><b>Rating wise DTs installed, DTs damaged and DTs Overloaded for FY-2021-22 up to 09.2021</b></p> <table><tr><th></th><th>6.3 KVA</th><th>10 KVA</th><th>16 KVA</th><th>25 KVA</th><th>63 KVA</th><th>100 KVA</th><th>Above 100 KVA</th><th>TOTAL</th></tr><tr><td>INSTALLED</td><td>101907</td><td>354156</td><td>195453</td><td>247476</td><td>127385</td><td>112540</td><td>24559</td><td>1163476</td></tr><tr><td>DAMAGED (Without Warranty &amp; Theft)</td><td>2154</td><td>8698</td><td>5334</td><td>8411</td><td>4831</td><td>4184</td><td>309</td><td>33921</td></tr></table> <p>Damage rate of DTs excluding warranty and theft etc. upto 09.2021 is 2.92%.</p> <p>All field offices have also been directed vide office of Director/Distribution Memo No. 3385/3389 Dated 16.08.2021 to check load of consumers fed from such overloaded transformers and take action as per law, as directed by the Commission in this directive.</p> |                                                 | 6.3 KVA | 10 KVA | 16 KVA  | 25 KVA        | 63 KVA  | 100 KVA | Above 100 KVA | TOTAL | INSTALLED | 101907 | 354156 | 195453 | 247476 | 127385 | 112540 | 24559 | 1163476 | DAMAGED (Without Warranty & Theft) | 2154 | 8698 | 5334 | 8411 | 4831 | 4184 | 309 | 33921 | <p>Damage rate of DTs i.e. 2.92% (excluding warranty and theft) during 2021-22 (up to Sept, 2020) was lower than that of 3.76% during 2020-21 (up to Dec, 2020), but is still higher than the target of 2.5% as per Commission's directive for 2020-21. The Commission directs PSPCL to bring down the damage rate of DTs below 2.5% during FY 2022-23 and to submit a quarterly report in this regard.</p> |
|                                    | 6.3 KVA                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 10 KVA                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 16 KVA                                          | 25 KVA  | 63 KVA | 100 KVA | Above 100 KVA | TOTAL   |         |               |       |           |        |        |        |        |        |        |       |         |                                    |      |      |      |      |      |      |     |       |                                                                                                                                                                                                                                                                                                                                                                                                             |
| INSTALLED                          | 101907                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 354156                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 195453                                          | 247476  | 127385 | 112540  | 24559         | 1163476 |         |               |       |           |        |        |        |        |        |        |       |         |                                    |      |      |      |      |      |      |     |       |                                                                                                                                                                                                                                                                                                                                                                                                             |
| DAMAGED (Without Warranty & Theft) | 2154                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 8698                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 5334                                            | 8411    | 4831   | 4184    | 309           | 33921   |         |               |       |           |        |        |        |        |        |        |       |         |                                    |      |      |      |      |      |      |     |       |                                                                                                                                                                                                                                                                                                                                                                                                             |

| Directive No.                                                                   | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                  | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                     |
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|                                                                                 | <p>consumers are using higher size motors, which can be easily verified by the field staff of the licensee. PSPCL is directed to issue instructions to the field officers to check load of the consumers fed from such overloaded transformers and take action as per law. PSPCL shall submit a quarterly report in this regard to the Commission. The Commission further directs PSPCL to bring down the damage rate of DTs below 2.5% during FY 2021-22.</p> |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                     |
| <p><b>5.10</b><br/><b>Accounting of Defective Transformers after repair</b></p> | <p>The reply of PSPCL is not convincing. Fixed Assets Cards/ Register is maintained in every Accounting units and updated from time to time. When T/F is damaged and removed for repair, its accounting is done by the accounting unit and intimated to Evaluation Cell,</p>                                                                                                                                                                                   | <p>PSPCL has adopted procedures of valuation on weighted average basis as per valuation method defined in Generally Accepted Accounting Principles (GAAP) and Para 25 of Ind AS-2 for valuation of repaired transformers. It is also mentioned here that the gross block of asset of company remains intact by this practice where as the company also accounts for profit and loss of sale of irreparable transformers as and when it occurs. PSPCL has submitted that there are many practical difficulties faced during valuation of damaged transformers such as, out of warranty damaged transformer received in TRY store and sent to firm for repair. After repair, it is received back with a new identity tag and all its body parts are also replaced from that damaged transformer. So, one to one matching/ mapping of value and depreciation may not be possible to achieve. Further, the possibilities or probable solution for said</p> | <p>The reply of PSPCL is not convincing. The Fixed Assets Cards/Register is being maintained in every accounting unit and updated from time to time. The Commission reiterates its directive to PSPCL for issuing proper instructions regarding</p> |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Status of Compliance submitted by PSPCL (ending September 2021)                | Comments by PSERC and directives for FY 2022-23                                                                                              |
|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
|               | <p>PSPCL, Patiala with complete record. Expenditure on its repair is booked to R&amp;M of TRW Division. The repaired transformer when transferred to the other accounting unit can be accounted for with the values as already intimated by the Accounting units from where it has been removed. This will ultimately show the fair value of T/F and its depreciation provided/ booked. Valuation on weighted average does not provide fair accounting value. So, the Commission reiterates its directive to PSPCL for issuing proper instructions regarding accounting policy for issuing of transformers to the accounting units after its repair and ensure such provisioning in the ERP system.</p> | <p>problem will be explored during the implementation of 'new ERP' system.</p> | <p>accounting policy for issuing of transformers to the accounting units after its repair within 3 months of issue of this tariff order.</p> |

| Directive No.                                  | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                               | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                     |
|------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>5.11</b><br><b>(i) Fixed Asset Register</b> | (i)PSPCL has not made available Fixed Assets Register online despite repeated directions. The Commission directs PSPCL to make the Fixed Asset Register available online by 30th June, 2021 positively.                                                                                                                                     | The fixed asset register is presently being prepared in PSPCL in excel format. The same shall be provisioned in the ERP System being developed by M/s Tech Mahindra. The final go-live of ERP System was earlier scheduled in the month of Dec, 2020. Now, the final go-live date of ERP System has been rescheduled to 30-11-2021 as per revised timelines submitted by M/s Tech Mahindra. At present, project is under "solution design" phase as requirements from various process owners have already been collected. M/s Tech Mahindra is going to present end to end solutions to process owners in the month of November, 2021 for user acceptance and testing. | (i) PSPCL has not made available Fixed Assets Register online despite of repeated directions. The Commission strongly reiterates its directive to make the Fixed Asset Register available online within six months of issue of this tariff order. Non-compliance of the directive will attract penalty.                                             |
| <b>(ii) Segregation of Accounts</b>            | (ii) PSPCL has not complied with the directives for segregation of the accounts of distribution and generation (project wise) business till date. Moreover, PSPCL has not intimated the reasons/ difficulties being faced in implementation of the same. Hence, Commission directs PSPCL to submit compliance report within 3 months of the | Statement showing the allocation of Expenses has been given. It is submitted that reasons for negative balance shown in plant Shannan due to interest capitalisation is more than CAPEX and in plant ASHP capex shows negative balance. To implement this directive, a P&M wing has already been created vide o/o no .634 dated 17.12.2019 for separate booking of income and expenditure. Accordingly, location codes have also been allotted to their offices vide Accounts Circular no.13/2020 dated 07.10.2020. Now, accounts are also being prepared by the divisions/ accounting units under P&M wing.                                                           | (ii) Reply submitted by PSPCL is not satisfactory. Segregation of the accounts for distribution and generation (project wise) business for determination of tariff has not been done till date. The Commission directs PSPCL to do the needful within 3 months of issue of this tariff order. Non-compliance of the directive will attract penalty. |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                              | Status of Compliance submitted by PSPCL (ending September 2021) | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|---------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|               | <p>issue of this Tariff Order.</p> <p>iii) Segregation of the accounts of its distribution business in wheeling and retail supply business has not been done till date. The Commission reiterates its direction to PSPCL for completing the task of segregation of accounts as per Regulation- 6 of MYT Regulations- within a period of 3 months and submit its report in this regard.</p> |                                                                 | <p>(iii) The segregation of the accounts of its distribution business in wheeling business and retail supply business has also not been done till date. PSPCL in its earlier reply had stated that segregation of accounts is expected to be available from the year 2020-2021 and onwards. However, the compliance is still awaited. Hence, the Commission reiterates its directive to PSPCL for completing the task of segregation of accounts as per Regulation-5 and 6 of PSERC MYT Regulations- 2014 and MYT Regulations- 2019 respectively within a period of 3 months of issue of this tariff order and to submit its report in this regard.</p> |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                      | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Comments by PSERC and directives for FY 2022-23                                                                                                                                |
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| 5.12<br>DSM   | <p>PSPCL is directed to take up the matter vigorously with BEE and pump manufacturers to facilitate manufacture of 5 star pumps suitable of Punjab.</p> <p>The Commission notes that the status of distribution of LEDs has not been shared. PSPCL shall submit status report along with utilisation certificate regarding funds allocated for this purpose within three months of issue of this tariff order.</p> | <ul style="list-style-type: none"> <li>As per directive of the Commission, 11 kV Wazir Bhullar feeder having 158 pump sets capacity 3-12.5 BHP was selected for replacement of inefficient/old motors with 5 Star BEE rated pump sets.</li> <li>Matter regarding availability of 5 star rated pump-sets as per with new guidelines of BEE was taken up with leading manufacturers. Pump manufacturing firms intimated that Agricultural pumps as per latest guideline of BEE are not available in the market. Accordingly, matter was taken up with Hon'ble PSERC.</li> <li>The Commission in its tariff order for FY: 2021-22 directed PSPCL to take up the matter with BEE and pump manufactures to facilitate manufacture of 5 star pumps suitable for Punjab.</li> <li>In compliance with the above directive, office of DSM had requested BEE to provide the details of the manufacturers who have adopted new BEE guidelines regarding 4&amp;5 star rating of pumps in the market.</li> </ul> <p>Moreover, PSPCL is taking up the matter with various leading manufacturers to get the availability of 5-Star rating pump sets as per new guidelines of BEE. In response, manufacturers intimated that at present they are not manufacturing the 4-Star and 5-Star pump sets as per latest guidelines of BEE.</p> <ul style="list-style-type: none"> <li>Amendment in commercial circular as per latest revision dated 01.02.2020 in BEE guidelines has also been taken up with O/O CE/Commercial.</li> <li>The Commission had approved PSPCL proposal to extend the scheme to other General Category of DS/NRS consumers for giving them 2 no. 9 W LED bulbs @30/- each in addition to the ongoing scheme of giving 2 no. 9 W LED bulbs to subsidized DS categories (i.e. SC/BC/BPL) @15/- per bulb. Accordingly, a notification/instruction has been issued vide this office memo no. 413/17 dated 27.05.2021. However latest status of distribution of LED bulbs as on 30.9.2021 is as under:</li> </ul> <p>Total LED bulbs distributed including SAP &amp; Non-SAP =1505855.</p> <p>Matter is being perused vigorously with Distribution Offices to achieve the target by 15.10.2021.</p> | <p>The Commission notes the position intimated by PSPCL, with the directions that the matter be further pursued with BEE and similar practices in other states be studied.</p> |

| Directive No.                               | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|---------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>5.14</b><br><b>Load flow studies</b>     | The Commission directs that every proposal for 66KV sub transmission network must be supported by Load Flow Studies failing which no capital investment shall be allowed.                                                                                                                                                                                                                                                                                                                                               | PSPCL has intimated that proposal of 66KV transmission network and feasibilities cases are supported by Load Flow Studies.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | The Commission notes the position.                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>5.15</b><br><b>Harmonics Measurement</b> | As per Regulation 24.4 of the Supply Code, designated consumers shall install PQ meters by 01.10.2021 and PSPCL within 3 years in phased manner. PSPCL shall submit the list of designated consumers who have not complied with the provisions of Regulation 24.4 of the Supply Code, 2014 by 15.10.2021 along with proposal for levy of penalty. Further, PSPCL shall start capturing the power quality meter data of designated consumers w.e.f 01.11.2021. On the basis of the harmonics injection data, PSPCL shall | <p>Instruction has been issued to all the field offices for compliance of this directive. List of designated consumers has been given. As per information received from all CEs/DS zones, no designated consumers has installed any Power Quality meter till date. The main reason being that till date the vendors for PQ meters have not been empanelled by Metering Organization.</p> <p>T.E. no. MQP-176/2021-22/PO(M) dated 12.05.2021 was floated for Supply, Testing, Commissioning, Reading, Analysis and 1 year O&amp;M of 114 Power Quality Meters complying to IEC 61000-4-30 class A . 4 No. firms participated in the tender enquiry and only one firm was found to be techno commercially suitable during the data assessment stage and subsequent correspondence. Since the case involved the opening of price bid of single bid only, the competent authority decided to drop this tender enquiry and instructed for floating fresh tender enquiry for the same.</p> <p>Accordingly, a new tender enquiry no. MQP-194 having the same scope as MQP -176 has been floated and the due date of opening is 03.02.2022. The short listing of manufacturer for private sale of power quality meters will be done at the completion of process of this tender enquiry. The tender enquiry is likely to be completed within 3-4 months time.</p> | The provisions regarding harmonics measurements and clear timelines were specified in the Supply Code, 2014 vide Notification dated 18.08.2020. However, PSPCL took inordinately long time in floating tender enquiry for power quality meters and has delayed the shortlisting for private sale of power quality meters PSPCL is directed to empanel the vendors for supply of power quality meters and intimate the same to the Commission within 15 days of issue of this tariff order. |



| Directive No.                                                  | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                               | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                        | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                             |
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|                                                                | submit a comprehensive proposal for levy of suitable penalty for injecting harmonics above the permissible limits as specified in the Supply Code, 2014. Failure to comply with these directions by PSPCL shall invite punitive action under section 142 of the Act.        |                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>5.18</b><br>Recording of maximum demand of DS/NRS consumers | PSPCL is directed to ensure that compatible meters are installed on all DS consumers with load exceeding 20 kW by 31.07.2021. Further, PSPCL shall ensure that maximum demand in kW is recorded in case of all NRS/DS consumers with load not exceeding 20kW by 31.07.2021. | The provision of recording the max demand of DS/NRS Consumers upto 20KW has been incorporated in the Technical Spec no.566/DB-205/2021 floated for outsourcing of Spot billing activities. Work Order against this TE would be placed shortly.<br><br>As far as replacement with compatible meters is concerned, the activity is under process and will be completed by March 2022. Hon'ble Commission shall be apprised of the progress subsequently. | PSPCL was directed to ensure installation of compatible meters on all DS consumers with load exceeding 20 kW and recording of maximum demand in kW of all NRS/DS consumers with load not exceeding 20kW by 31.07.2021. However, PSPCL is yet to report compliance.<br><br>The Commission directs PSPCL to report compliance of the Directive within one month of the issue of tariff order. |
| <b>5.19</b><br>Audit of                                        | Slab-wise revenue from different                                                                                                                                                                                                                                            | The slab wise data for FY 2021-22 H1 i.e. (April 2021 to September 2021) has been given.                                                                                                                                                                                                                                                                                                                                                               | The Commission notes the                                                                                                                                                                                                                                                                                                                                                                    |

| Directive No.                         | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                       | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Comments by PSERC and directives for FY 2022-23 |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
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| Sales & Revenue figures               | categories of consumers has not been provided.<br><br>PSPCL is directed to supply division-wise category-wise and slab-wise figures of sales and revenue for FY 2020-21 by 30 <sup>th</sup> June, 2021.                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | position.                                       |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| <b>5.20</b><br>Audit of Capital Works | PSPCL is directed to reconcile the figures of capital expenditure of 1st MYT Control Period (FY 2017-18 to 2019-20) in its different offices and justify the excess expenditure. Compliance report must be submitted by 31.07.2021. | The directive has been complied with and subsequent information sought by the Commission vide memo no. 2035 dated 18.08.2021 and memo no. 2068 dated 25.08.2021 has been supplied by vide his office memo no. 224 dated 13.9.2021, memo no. 226 dated 14.09.2021 and memo no. 230 dated 17.09.2021.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | The Commission notes the status.                |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| <b>5.21</b>                           | PSPCL is directed to submit the quarterly details of Capital Expenditure and Capitalisation with clear break up between Spill Over Schemes and New Schemes approved for the 2nd MYT Period. Further, PSPCL is also directed         | <p>The Quarterly Capital Expenditure Scheme Wise for Q1 and Q2 of F.Y. 2021-22:-</p> <table border="1"> <thead> <tr> <th>Sr. No.</th><th>Name of Scheme</th><th>Quarter 1 Exp. (in lacs)</th><th>Quarter 2 Exp. (in lacs)</th></tr> </thead> <tbody> <tr><td>1.</td><td>APDRP</td><td>-57.64</td><td>-152.42</td></tr> <tr><td>2.</td><td>Civil Works</td><td>0.21</td><td>0.00</td></tr> <tr><td>3.</td><td>Contributory Works</td><td>42.44</td><td>304.32</td></tr> <tr><td>4.</td><td>DDUGJY</td><td>1781.38</td><td>1098.99</td></tr> <tr><td>5.</td><td>IPDS</td><td>678.90</td><td>874.02</td></tr> <tr><td>6.</td><td>IT Works</td><td>3.19</td><td>20.41</td></tr> <tr><td>7.</td><td>Loss Reduction</td><td>0.00</td><td>33.11</td></tr> <tr><td>8.</td><td>OIPL</td><td>0.00</td><td>0.00</td></tr> <tr><td>9.</td><td>Others</td><td>916.87</td><td>757.78</td></tr> <tr><td>10.</td><td>Release of New Connection including AP</td><td>41.06</td><td>69.15</td></tr> <tr><td>11.</td><td>Shifting of metres</td><td>0.00</td><td>23.85</td></tr> </tbody> </table> | Sr. No.                                         | Name of Scheme | Quarter 1 Exp. (in lacs) | Quarter 2 Exp. (in lacs) | 1. | APDRP | -57.64 | -152.42 | 2. | Civil Works | 0.21 | 0.00 | 3. | Contributory Works | 42.44 | 304.32 | 4. | DDUGJY | 1781.38 | 1098.99 | 5. | IPDS | 678.90 | 874.02 | 6. | IT Works | 3.19 | 20.41 | 7. | Loss Reduction | 0.00 | 33.11 | 8. | OIPL | 0.00 | 0.00 | 9. | Others | 916.87 | 757.78 | 10. | Release of New Connection including AP | 41.06 | 69.15 | 11. | Shifting of metres | 0.00 | 23.85 | The Commission notes the compliance of directive and directs PSPCL to ensure its continuance in future. |
| Sr. No.                               | Name of Scheme                                                                                                                                                                                                                      | Quarter 1 Exp. (in lacs)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Quarter 2 Exp. (in lacs)                        |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 1.                                    | APDRP                                                                                                                                                                                                                               | -57.64                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | -152.42                                         |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 2.                                    | Civil Works                                                                                                                                                                                                                         | 0.21                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 0.00                                            |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 3.                                    | Contributory Works                                                                                                                                                                                                                  | 42.44                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 304.32                                          |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 4.                                    | DDUGJY                                                                                                                                                                                                                              | 1781.38                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 1098.99                                         |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 5.                                    | IPDS                                                                                                                                                                                                                                | 678.90                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 874.02                                          |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 6.                                    | IT Works                                                                                                                                                                                                                            | 3.19                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 20.41                                           |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 7.                                    | Loss Reduction                                                                                                                                                                                                                      | 0.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 33.11                                           |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 8.                                    | OIPL                                                                                                                                                                                                                                | 0.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 0.00                                            |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 9.                                    | Others                                                                                                                                                                                                                              | 916.87                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 757.78                                          |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 10.                                   | Release of New Connection including AP                                                                                                                                                                                              | 41.06                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 69.15                                           |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |
| 11.                                   | Shifting of metres                                                                                                                                                                                                                  | 0.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 23.85                                           |                |                          |                          |    |       |        |         |    |             |      |      |    |                    |       |        |    |        |         |         |    |      |        |        |    |          |      |       |    |                |      |       |    |      |      |      |    |        |        |        |     |                                        |       |       |     |                    |      |       |                                                                                                         |

| Directive No.                                                              | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                          | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Comments by PSERC and directives for FY 2022-23                 |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
|----------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|---------------------|---------|---------|-----|--------------------|--------|---------|-----|--------------|---------|---------|-----|------|-------|------|-----|--------|------|-------|-----|------|-------|-------|-----|-----|-------|-------|-----|--------------|--------|---------|-----|--------|------|------|-----|------|------|-------|-----|--------|-------|--------|-----|------|-------|------|--|--------------|----------------|-----------------|--|
|                                                                            | to supply quarterly physical progress scheme wise along with expenditure.                                                                                                                                                                                                                                                                                                              | <table border="1"> <tr><td>12.</td><td>System Augmentation</td><td>1316.32</td><td>6888.99</td></tr> <tr><td>13.</td><td>System Improvement</td><td>834.30</td><td>7472.09</td></tr> <tr><td>14.</td><td>Transmission</td><td>3126.34</td><td>2552.96</td></tr> <tr><td>15.</td><td>ASHP</td><td>-1.34</td><td>1.36</td></tr> <tr><td>16.</td><td>GGSTTP</td><td>0.00</td><td>97.59</td></tr> <tr><td>17.</td><td>GHTP</td><td>42.54</td><td>30.60</td></tr> <tr><td>18.</td><td>MHP</td><td>61.53</td><td>76.42</td></tr> <tr><td>19.</td><td>Shahpurkandi</td><td>300.74</td><td>5013.46</td></tr> <tr><td>19.</td><td>Shanan</td><td>0.00</td><td>3.13</td></tr> <tr><td>20.</td><td>UBDC</td><td>0.79</td><td>-0.90</td></tr> <tr><td>21.</td><td>Others</td><td>52.01</td><td>187.88</td></tr> <tr><td>22.</td><td>BBMB</td><td>97.38</td><td>2.12</td></tr> <tr><td></td><td><b>TOTAL</b></td><td><b>9237.02</b></td><td><b>25354.91</b></td></tr> </table> <p>In addition, as for as capitalisation is concerned it is done at the end of Financial Year. Therefore, capitalization for Quarter 1 and Quarter 2 is NIL</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 12.                                                             | System Augmentation | 1316.32 | 6888.99 | 13. | System Improvement | 834.30 | 7472.09 | 14. | Transmission | 3126.34 | 2552.96 | 15. | ASHP | -1.34 | 1.36 | 16. | GGSTTP | 0.00 | 97.59 | 17. | GHTP | 42.54 | 30.60 | 18. | MHP | 61.53 | 76.42 | 19. | Shahpurkandi | 300.74 | 5013.46 | 19. | Shanan | 0.00 | 3.13 | 20. | UBDC | 0.79 | -0.90 | 21. | Others | 52.01 | 187.88 | 22. | BBMB | 97.38 | 2.12 |  | <b>TOTAL</b> | <b>9237.02</b> | <b>25354.91</b> |  |
| 12.                                                                        | System Augmentation                                                                                                                                                                                                                                                                                                                                                                    | 1316.32                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 6888.99                                                         |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 13.                                                                        | System Improvement                                                                                                                                                                                                                                                                                                                                                                     | 834.30                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 7472.09                                                         |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 14.                                                                        | Transmission                                                                                                                                                                                                                                                                                                                                                                           | 3126.34                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 2552.96                                                         |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 15.                                                                        | ASHP                                                                                                                                                                                                                                                                                                                                                                                   | -1.34                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 1.36                                                            |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 16.                                                                        | GGSTTP                                                                                                                                                                                                                                                                                                                                                                                 | 0.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 97.59                                                           |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 17.                                                                        | GHTP                                                                                                                                                                                                                                                                                                                                                                                   | 42.54                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 30.60                                                           |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 18.                                                                        | MHP                                                                                                                                                                                                                                                                                                                                                                                    | 61.53                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 76.42                                                           |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 19.                                                                        | Shahpurkandi                                                                                                                                                                                                                                                                                                                                                                           | 300.74                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 5013.46                                                         |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 19.                                                                        | Shanan                                                                                                                                                                                                                                                                                                                                                                                 | 0.00                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 3.13                                                            |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 20.                                                                        | UBDC                                                                                                                                                                                                                                                                                                                                                                                   | 0.79                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | -0.90                                                           |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 21.                                                                        | Others                                                                                                                                                                                                                                                                                                                                                                                 | 52.01                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 187.88                                                          |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| 22.                                                                        | BBMB                                                                                                                                                                                                                                                                                                                                                                                   | 97.38                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 2.12                                                            |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
|                                                                            | <b>TOTAL</b>                                                                                                                                                                                                                                                                                                                                                                           | <b>9237.02</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <b>25354.91</b>                                                 |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |
| <b>5.22</b><br><b>(New Directive No. 1 in Tariff Order for FY 2021-22)</b> | Complaints have been received that some outsourced Meter Readers, in connivance with the consumers, indulge in various malpractices while recording the meter readings affecting the revenue of licensee PSPCL is directed to make use of modern day technologies to capture the meter data electronically instead of manual recording of meter readings to eliminate human interface. | <p>The existing conventional meters are having provision of optical port which can be used for fetching the meter data without any human interference. Further, it is submitted that as per the Directives/Guidelines of GoI/PSERC, no connection shall be given without a meter and such meter shall be the smart prepayment meter or pre payment meter. In compliance to this, following 3 Nos. tender enquiries for the procurement of smart meters are under process:</p> <ol style="list-style-type: none"> <li>T.E. No. MQP-187 has been floated for Design, Supply, Testing, Commissioning, Integration, Reading, Analysis and 5 year O&amp;M for 3,00,000 single phase smart meters.</li> <li>T.E. no. MQP-196 for Design, Supply, Testing, Commissioning, Integration, Reading, Analysis and 5 year O&amp;M for 1,00,000 three phase smart meters.</li> <li>T.E. no. MQP-195 for Design, Supply, Testing, Commissioning, Integration, Reading, Analysis and 5 year O&amp;M for 30,000 LT CT smart meters.</li> </ol> <p>These projects shall have smart meters which can communicate using 4G technology. Out of these tender enquiries, the single phase and three phase smart meters will be in default pre-paid mode. LT CT smart meters will be in post-paid mode and the data will be communicated automatically from meter to MDM. Thus, the human intervention in reading in all the three type of meters will be eliminated. Further, it is submitted that existing conventional meters are to be phased out in time bound manner as directed by Govt. of India. For meeting this regulation of Govt. of India and to avail funds under RDSS</p> | Please refer the Commission's directive at Sr. No. 5(ii) above. |                     |         |         |     |                    |        |         |     |              |         |         |     |      |       |      |     |        |      |       |     |      |       |       |     |     |       |       |     |              |        |         |     |        |      |      |     |      |      |       |     |        |       |        |     |      |       |      |  |              |                |                 |  |

| Directive No.                                                              | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                           | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                   |
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|                                                                            |                                                                                                                                                                                                                                                                                                         | <p>scheme, tender enquiry for contiguous areas having ring fenced metering system wherein all the boundary meters, feeder meters, DT meters and consumer meters of that particular area will be replaced by smart meters. These tender enquiries for smart metering projects (55 lakh smart meters by March, 2023 and 85 lakh smart meters by March, 2025) are under preparation and will be based on Standard Bidding Document issued by Govt. of India for RDSS projects.</p> <p>It is also worth mentioning that PO No. M148 for procurement of 96000 three phase smart meters is in implementation and till date 78000 meters have been supplied and approximate 45000 meters have been installed for which online data is available for 24 hours daily. CE/IT is proactively taking the issue of malpractices of meter readers in connivance with consumer. In order to eliminate the human interference while recording the reading PSPCL has specially incorporated following reading recording procedure in tender enquiry No. 564/DB-200.</p> <p>1) The reading should be downloaded through optical port only where energy meter is equipped with this facility.</p> <p>2) The reading recording in case of non-downloadable meters is compulsory with clear photograph of reading along with meter serial number.</p> |                                                                                                                                                                                                                                                                                                   |
| <b>5.23</b><br><b>(New Directive No. 2 in Tariff Order for FY 2021-22)</b> | <p>The Commission directed PSPCL and PSTCL to reconcile the energy handed over by PSTCL to PSPCL. During reconciliation, PSTCL vide letter No. 290 dated 26.02.2021 submitted that it has observed that following energy exported to Chandigarh, 66kV Kathua and Railway Open Access is included in</p> | <p>Apart from 66 KV lines exporting power to Chandigarh/J&amp;K, there are some other transmission lines of voltage level 132 KV and above transmitting/exporting power to neighboring states of Haryana/HP/J&amp;K. Moreover, for the entire energy export, transmission system of PSPCL is involved. Therefore, a methodology has to be devised in consultation with the SLDC Punjab (PSTCL). It will be endeavored to frame the requisite methodology within the time frame allowed by the Commission and Action taken in the matter shall be apprised accordingly.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | <p>The Commission observes that PSPCL has not taken requisite action in the matter. PSPCL is directed to ensure that immediate action be taken as per the Directive in the tariff order for Year-2021-22 and be shared with the Commission within three months of issue of this tariff order.</p> |

| Directive No. | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Status of Compliance submitted by PSPCL (ending September 2021) | Comments by PSERC and directives for FY 2022-23 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
|---------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|-------------------------------------------------|---------------|---|------------|---------|---|-------------|-------|---|----------------------------|-------|---------|---------------------|---------------|---|------------|---------|---|-------------|-------|---|----------------------------|-------|--|--|
|               | <p>PSPCL system:</p> <table><tr><td>Sr. No.</td><td>Energy exported to:</td><td>Energy in MWh</td></tr><tr><td>1</td><td>Chandigarh</td><td>744.285</td></tr><tr><td>2</td><td>66kV/Kathua</td><td>42.29</td></tr><tr><td>3</td><td>Open Access Railway Energy</td><td>86.24</td></tr></table> <table><tr><td>Sr. No.</td><td>Energy exported to:</td><td>Energy in MWh</td></tr><tr><td>1</td><td>Chandigarh</td><td>744.285</td></tr><tr><td>2</td><td>66kV/Kathua</td><td>42.29</td></tr><tr><td>3</td><td>Open Access Railway Energy</td><td>86.24</td></tr></table> <p>The Commission has observed that while the ibid energy is being transferred but transmission charges and transmission losses are not being booked to the respective States / Utilities. PSPCL is directed to provide a complete historical account of the energy sent to these States/utilities through PSTCL system and accounting of transmission losses / transmission charges with these States / Utilities (if any) by 31.07.2021. In case these charges have not been considered, PSPCL is directed to take up the matter with the beneficiary</p> | Sr. No.                                                         | Energy exported to:                             | Energy in MWh | 1 | Chandigarh | 744.285 | 2 | 66kV/Kathua | 42.29 | 3 | Open Access Railway Energy | 86.24 | Sr. No. | Energy exported to: | Energy in MWh | 1 | Chandigarh | 744.285 | 2 | 66kV/Kathua | 42.29 | 3 | Open Access Railway Energy | 86.24 |  |  |
| Sr. No.       | Energy exported to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Energy in MWh                                                   |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| 1             | Chandigarh                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 744.285                                                         |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| 2             | 66kV/Kathua                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 42.29                                                           |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| 3             | Open Access Railway Energy                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 86.24                                                           |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| Sr. No.       | Energy exported to:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Energy in MWh                                                   |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| 1             | Chandigarh                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 744.285                                                         |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| 2             | 66kV/Kathua                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 42.29                                                           |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |
| 3             | Open Access Railway Energy                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 86.24                                                           |                                                 |               |   |            |         |   |             |       |   |                            |       |         |                     |               |   |            |         |   |             |       |   |                            |       |  |  |

| Directive No.                                                       | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                                                                | Status of Compliance submitted by PSPCL (ending September 2021) | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                 |
|---------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                     | States / Utilities to work out a methodology for accounting of transmission losses and transmission charges and submit the same to the Commission.                                                                                                                                                                                                                                                                                                                           |                                                                 |                                                                                                                                                                                                                                                 |
| <b>5.24</b><br>(New Directive No. 3 in Tariff Order for FY 2021-22) | The Commission has observed various discrepancies in determining the power factor for many HT categories as discussed in para 2.2.1 of this Tariff Order. Accordingly, PSPCL is directed to submit a sample of 100 random consumer bills every month for each of the HT categories (Domestic, NRS, SP, MS, LS and BS) along with the kVAh, kWh and Power Factor details for these bills recorded in an editable MS Excel file. PSPCL to ensure that the sample considered is | The details have been furnished by PSPCL.                       | The Commission observes that the power factor in some of the cases (MS, NRS and SP categories) is below 0.5 and in some cases (MS, BS, NRS, SP and DS categories), PF is more than 1. PSPCL is directed to monitor the power factor diligently. |

| Directive No.                                                | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                                                                                                                                                                | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Comments by PSERC and directives for FY 2022-23             |                                                              |                                                                            |                                                                             |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
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|                                                              | broadly representative of the actual category mix.                                                                                                                                                                                                                                                                                                                                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                                             |                                                              |                                                                            |                                                                             |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 5.25<br>(New Directive No. 4 in Tariff Order for FY 2021-22) | PSPCL is directed to submit quarterly report on Consumer Complaints received along with classification in various types of complaints, No. of complaints open at the start of quarter, received during the quarter, resolved during the quarter, average resolution time, complaints which were resolved within the time limits specified in Standard of Performance and which could not be resolved along with the reasons. | <p>Report of consumers complaints upto second quarter of FY2021-22 has been furnished. Consolidated details are as under:</p> <table><tr><th>Sr. No.</th><th>Complaint Type</th><th>No. of Complaints pending before 1.07.2021</th><th>No of Complaints received from 01.07.2021 to 30.09.2021</th><th>Average Resolution Time (Mins) from 01.07.2021 to 30.09.2021</th><th>No of Complaints resolved within PSERC Limit from 01.07.2021 to 30.09.2021</th><th>No of Complaints resolved outside PSERC Limit from 01.07.2021 to 30.09.2021</th></tr><tr><td>1</td><td>Supply Complaints</td><td>0</td><td>841701</td><td>332.43</td><td>541142</td><td>300559</td></tr><tr><td>2</td><td>Billing</td><td>82</td><td>20383</td><td>7078.09</td><td>13042</td><td>6661</td></tr><tr><td>3</td><td>Accident</td><td>0</td><td>2259</td><td>733.18</td><td>103</td><td>2156</td></tr><tr><td>4</td><td>Meter Complaints</td><td>0</td><td>19933</td><td>3473.35</td><td>17986</td><td>1945</td></tr><tr><td>5</td><td>Informational</td><td>0</td><td>2119317</td><td>249.19</td><td>2119114</td><td>199</td></tr><tr><td>6</td><td>Other</td><td>0</td><td>48223</td><td>925.83</td><td>46558</td><td>1664</td></tr><tr><td>7</td><td>New Service</td><td>0</td><td>1037</td><td>17108.87</td><td>645</td><td>392</td></tr><tr><td>8</td><td>Service Requests</td><td>16</td><td>6140</td><td>7334.95</td><td>5812</td><td>0</td></tr><tr><td>9</td><td>Grievance</td><td>0</td><td>313</td><td>4450.7</td><td>313</td><td>0</td></tr></table> | Sr. No.                                                     | Complaint Type                                               | No. of Complaints pending before 1.07.2021                                 | No of Complaints received from 01.07.2021 to 30.09.2021                     | Average Resolution Time (Mins) from 01.07.2021 to 30.09.2021 | No of Complaints resolved within PSERC Limit from 01.07.2021 to 30.09.2021 | No of Complaints resolved outside PSERC Limit from 01.07.2021 to 30.09.2021 | 1 | Supply Complaints | 0 | 841701 | 332.43 | 541142 | 300559 | 2 | Billing | 82 | 20383 | 7078.09 | 13042 | 6661 | 3 | Accident | 0 | 2259 | 733.18 | 103 | 2156 | 4 | Meter Complaints | 0 | 19933 | 3473.35 | 17986 | 1945 | 5 | Informational | 0 | 2119317 | 249.19 | 2119114 | 199 | 6 | Other | 0 | 48223 | 925.83 | 46558 | 1664 | 7 | New Service | 0 | 1037 | 17108.87 | 645 | 392 | 8 | Service Requests | 16 | 6140 | 7334.95 | 5812 | 0 | 9 | Grievance | 0 | 313 | 4450.7 | 313 | 0 | The Commission observes that significant number of complaints are being resolved beyond the specified time limits. PSPCL is directed to make all out efforts to ensure resolution of complaints within specified time limits. |
| Sr. No.                                                      | Complaint Type                                                                                                                                                                                                                                                                                                                                                                                                               | No. of Complaints pending before 1.07.2021                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | No of Complaints received from 01.07.2021 to 30.09.2021     | Average Resolution Time (Mins) from 01.07.2021 to 30.09.2021 | No of Complaints resolved within PSERC Limit from 01.07.2021 to 30.09.2021 | No of Complaints resolved outside PSERC Limit from 01.07.2021 to 30.09.2021 |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 1                                                            | Supply Complaints                                                                                                                                                                                                                                                                                                                                                                                                            | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 841701                                                      | 332.43                                                       | 541142                                                                     | 300559                                                                      |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 2                                                            | Billing                                                                                                                                                                                                                                                                                                                                                                                                                      | 82                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 20383                                                       | 7078.09                                                      | 13042                                                                      | 6661                                                                        |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 3                                                            | Accident                                                                                                                                                                                                                                                                                                                                                                                                                     | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 2259                                                        | 733.18                                                       | 103                                                                        | 2156                                                                        |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 4                                                            | Meter Complaints                                                                                                                                                                                                                                                                                                                                                                                                             | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 19933                                                       | 3473.35                                                      | 17986                                                                      | 1945                                                                        |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 5                                                            | Informational                                                                                                                                                                                                                                                                                                                                                                                                                | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 2119317                                                     | 249.19                                                       | 2119114                                                                    | 199                                                                         |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 6                                                            | Other                                                                                                                                                                                                                                                                                                                                                                                                                        | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 48223                                                       | 925.83                                                       | 46558                                                                      | 1664                                                                        |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 7                                                            | New Service                                                                                                                                                                                                                                                                                                                                                                                                                  | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 1037                                                        | 17108.87                                                     | 645                                                                        | 392                                                                         |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 8                                                            | Service Requests                                                                                                                                                                                                                                                                                                                                                                                                             | 16                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 6140                                                        | 7334.95                                                      | 5812                                                                       | 0                                                                           |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 9                                                            | Grievance                                                                                                                                                                                                                                                                                                                                                                                                                    | 0                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 313                                                         | 4450.7                                                       | 313                                                                        | 0                                                                           |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |
| 5.26<br>(New Directive No. 5 in Tariff Order for             | PSPCL is directed to submit quarterly division-wise DT damage/failure report along with                                                                                                                                                                                                                                                                                                                                      | Division wise DTs damage/failure report has been submitted by PSPCL.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | The Commission observes that the overall damage rate of DTs |                                                              |                                                                            |                                                                             |                                                              |                                                                            |                                                                             |   |                   |   |        |        |        |        |   |         |    |       |         |       |      |   |          |   |      |        |     |      |   |                  |   |       |         |       |      |   |               |   |         |        |         |     |   |       |   |       |        |       |      |   |             |   |      |          |     |     |   |                  |    |      |         |      |   |   |           |   |     |        |     |   |                                                                                                                                                                                                                               |

| Directive No. | Comments by PSERC & directives for FY 2021-22               | Status of Compliance submitted by PSPCL (ending September 2021) | Comments by PSERC and directives for FY 2022-23                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|---------------|-------------------------------------------------------------|-----------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| FY 2021-22)   | the age analysis and repairs under warranty/not in warranty |                                                                 | (including warranty/theft ) is 6.89% and in Border Zone, the damage rate is 9.76%. This high incidence of damage rate necessitates that PSPCL must thoroughly review its procurement, repairs and security practices. Similarly, the overall damage rate of DTs (without warranty/theft) is 2.92% and in Border Zone, the damage rate is 4.23%. The Commission has been repeatedly directing PSPCL to bring down this damage rate (without warranty/theft) below 2.5%. Further, PSPCL has not supplied the age analysis w.r.t. DT failure. The Commission directs PSPCL to share the |



| Directive No.                                                | Comments by PSERC & directives for FY 2021-22                                                                                                                                                                                                                                 | Status of Compliance submitted by PSPCL (ending September 2021)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Comments by PSERC and directives for FY 2022-23                                                                |                                      |                            |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
|--------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------|--------------------------------------|----------------------------|---------------------------|--------------------------------------|----------------------------|---------------|------|------|------|------|----|-------------------|-------|-------|------|------|------|-------------|-------|-------|------|------|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                              |                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | same and the action plan, within three months of issue of this tariff order, to reduce the damage rate of DTs. |                                      |                            |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
| 5.27<br>(New Directive No. 6 in Tariff Order for FY 2021-22) | PSPCL is directed to submit a quarterly report on Net/Gross Metering for Roof Top Solar PV which includes details in respect of category-wise no. of existing consumers, connected load, generation, no. of new requests received, approved & pending along with the reasons. | <div>The data available upto 21.12.2021 on PSPCL solar portal relating to new applications for Rooftop solar power plant installation is as under:-<table><tr><th>Case Type</th><th>Total Application received (no.)</th><th>Total Approved (No.)</th><th>Total SPP Installed (No.)</th><th>Bi directional meter installed (No.)</th><th>Pending for Approval (No.)</th></tr><tr><td>Subsidy Cases</td><td>3695</td><td>3660</td><td>2959</td><td>2942</td><td>35</td></tr><tr><td>Non-Subsidy Cases</td><td>29500</td><td>27142</td><td>5592</td><td>4391</td><td>2358</td></tr><tr><td>Total Cases</td><td>33195</td><td>30802</td><td>8551</td><td>7333</td><td>2393</td></tr></table></div> | Case Type                                                                                                      | Total Application received (no.)     | Total Approved (No.)       | Total SPP Installed (No.) | Bi directional meter installed (No.) | Pending for Approval (No.) | Subsidy Cases | 3695 | 3660 | 2959 | 2942 | 35 | Non-Subsidy Cases | 29500 | 27142 | 5592 | 4391 | 2358 | Total Cases | 33195 | 30802 | 8551 | 7333 | 2393 | Complete information as sought vide the directive has not been given by PSPCL. The Commission directs PSPCL to furnish complete details within one month of issue of this tariff order. |
| Case Type                                                    | Total Application received (no.)                                                                                                                                                                                                                                              | Total Approved (No.)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | Total SPP Installed (No.)                                                                                      | Bi directional meter installed (No.) | Pending for Approval (No.) |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
| Subsidy Cases                                                | 3695                                                                                                                                                                                                                                                                          | 3660                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 2959                                                                                                           | 2942                                 | 35                         |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
| Non-Subsidy Cases                                            | 29500                                                                                                                                                                                                                                                                         | 27142                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 5592                                                                                                           | 4391                                 | 2358                       |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
| Total Cases                                                  | 33195                                                                                                                                                                                                                                                                         | 30802                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 8551                                                                                                           | 7333                                 | 2393                       |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
| New Directive No.1                                           | The Commission intends to conduct a comprehensive review of the current ToD charges. Accordingly, PSPCL is directed to submit the monthly category-wise load curve and the monthly power availability curve for the period from April 2022 to January 2023 by February 2023.  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                |                                      |                            |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |
| New Directive No.2                                           | Pending subsidy: PSPCL is directed to take up the matter with Government of Punjab for reimbursement of outstanding subsidies.                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                                                                                                |                                      |                            |                           |                                      |                            |               |      |      |      |      |    |                   |       |       |      |      |      |             |       |       |      |      |      |                                                                                                                                                                                         |

# Chapter 7

## Determination of Tariff for FY 2022-23

### 7.1 Aggregate Revenue Requirement for FY 2022-23

The Commission in Chapter 4 of this Tariff Order has determined the net Revenue Requirement for FY 2022-23 as Rs. 37776.56 Crore. The cumulative revenue gap at existing tariff, ARR and the Average Cost of Supply for FY 2022-23 is worked out as follows:

**Table 7.1: Cumulative revenue gap up to FY 2022-23 at Existing Tariff**

| Sr. No. | Particulars                                                     | FY 2022-23              |
|---------|-----------------------------------------------------------------|-------------------------|
| 1.      | <b>Net Revenue Requirement</b>                                  | <b>37776.56</b>         |
| 2.      | Revenue from existing tariff                                    | <b>36149.60</b>         |
| 3.      | Gap: (Surplus)/Deficit during FY 2022-23                        | 1626.96                 |
| 4.      | Impact of Capex of FY 2017-18 to FY 2019-20                     | 136.00                  |
| 5.      | Impact of FCA Petition No. 08 of 2022                           | (7.14)                  |
| 6.      | Cumulative Gap: (Surplus)/ Deficit upto FY 2021-22              | (1667.77)               |
| 7.      | <b>Cumulative Gap: (Surplus)/ Deficit upto FY 2022-23</b>       | <b>88.05</b>            |
| 8.      | <b>ARR for the year required to be recovered through tariff</b> | <b>36237.65</b>         |
| 9.      | <b>Average Cost of Supply (for Energy Sales of 55892 M kWh)</b> | <b>648.35 paise/kWh</b> |

The Commission has notified the PSERC MYT Regulations, 2019 (made applicable for the 2<sup>nd</sup> MYT Control Period starting from FY 2020-21), wherein ACoS has been defined as under:

*“Average Cost of Supply means ratio of the Aggregate Revenue Requirement of the Distribution Licensee for the year including unrecovered revenue gaps of previous years along with carrying cost to the extent proposed to be recovered through retail tariffs, to the total sales of the Distribution Licensee for the respective year;”*

Accordingly, the ACoS for FY 2022-23 works out to 648.35 paise/kWh as indicated above.

### 7.2 Determination of Tariff

In determining tariff, the Commission is guided by the principles laid down in Section 61 of the Act as well as its own Regulations, which provide the framework for working out the ARR of the distribution licensee and tariff for different categories of consumers. The Commission has also kept in view the relevant aspects of the National Electricity Policy, Tariff Policy, the norms adopted by it in earlier Tariff

Orders and inputs received from various stakeholders in their objections/suggestions and during the course of public hearings.

As worked out in para 7.1 above, the overall cumulative surplus/gap at the current tariff is Rs. 88.05 Crore. The Commission is conscious of the interest of the consumers which is balanced against the revenue requirement of the utility, keeping in mind its operational efficiency, commitments and growth. The Commission is also conscious of the fact that the State and the Country are emerging out of two years of COVID-19 pandemic impact which has resulted in substantial economic distress. Thus, sustainability for all sectors particularly the economically weaker sector, agriculture, commercial undertakings and the industry which are the largest consumer sector employing the maximum work force, has been kept in mind while also addressing the revenue requirement of the utility, the Commission has endeavored to arrive at viable revenue model for the utilities without imposing any extra burden on the consumers. The balance gap is being carried forward to be adjusted at the time of determination of tariff for FY 2023-24. Accordingly, no change in tariff is being made and the Tariff for FY 2022-23 shall be as follows:

**Table 7.2: Existing Tariff and the new Tariff for FY 2022-23**

(Rs.)

| Sr. No. | Category               |                                           |                | Existing Tariff. for FY 2021-22(01.06.2021 to 31.03.2022) |                  | New Tariff w.e.f. 01.04.2022 to 31.03.2023 |                  |
|---------|------------------------|-------------------------------------------|----------------|-----------------------------------------------------------|------------------|--------------------------------------------|------------------|
|         |                        |                                           |                | *Fixed Charges per Month                                  | **Energy Charges | *Fixed Charges per Month                   | **Energy Charges |
| I       | II                     |                                           |                | III                                                       | IV               | V                                          | VI               |
| A       | PERMANENT SUPPLY       |                                           |                |                                                           |                  |                                            |                  |
| 1.      | Domestic Supply        | Upto 2 kW                                 | 0- 100 kWh     | 35/kW                                                     | 3.49/kWh         | 35/kW                                      | 3.49/kWh         |
|         |                        |                                           | 101 - 300 kWh  |                                                           | 5.84/kWh         |                                            | 5.84/kWh         |
|         |                        |                                           | Above 300 kWh  |                                                           | 7.30/kWh         |                                            | 7.30/kWh         |
|         |                        | Above 2 kW & upto 7 kW                    | 0- 100 kWh     | 60/kW                                                     | 3.74/kWh         | 60/kW                                      | 3.74/kWh         |
|         |                        |                                           | 101 - 300 kWh  |                                                           | 5.84/kWh         |                                            | 5.84/kWh         |
|         |                        |                                           | Above 300 kWh  |                                                           | 7.30/kWh         |                                            | 7.30/kWh         |
|         |                        | Above 7 kW & upto 50 kW                   | 0- 100 kWh     | 95/kW                                                     | 4.64/kWh         | 95/kW                                      | 4.64/kWh         |
|         |                        |                                           | 101 - 300 kWh  |                                                           | 6.50/kWh         |                                            | 6.50/kWh         |
|         |                        |                                           | Above 300 kWh  |                                                           | 7.50/kWh         |                                            | 7.50/kWh         |
|         |                        | Above 50 kW/kVA & upto 100 kVA            | All Units      | 115/kVA                                                   | 6.43/kVAh        | 115/kVA                                    | 6.43/kVAh        |
|         |                        | Above 100 kVA                             | All Units      | 125/kVA                                                   | 6.63/kVAh        | 125/kVA                                    | 6.63/kVAh        |
|         |                        | Sri Harmandir Sahib & Sri Durgiana Mandir | First 2000 kWh | NA                                                        | Free             | NA                                         | Free             |
|         |                        |                                           | Above 2000 kWh |                                                           | 6.11/kWh         |                                            | 6.11/kWh         |
| 2.      | Non-Residential Supply | Upto 7 kW                                 | 0- 100 kWh     | 45/kW                                                     | 6.91/kWh         | 45/kW                                      | 6.91/kWh         |
|         |                        |                                           | 101 - 500 kWh  |                                                           | 7.17/kWh         |                                            | 7.17/kWh         |
|         |                        |                                           | Above 500 kWh  |                                                           | 7.29/kWh         |                                            | 7.29/kWh         |
|         |                        | Above 7 kW & upto 20 kW                   | Up to 100 kWh  | 70/kW                                                     | 6.91/kWh         | 70/kW                                      | 6.91/kWh         |
|         |                        |                                           | 101 - 500 kWh  |                                                           | 7.17/kWh         |                                            | 7.17/kWh         |

| Sr. No. | Category                                                                                                                           |                                    |                           | Existing Tariff. for FY 2021-22(01.06.2021 to 31.03.2022) |                                                      | New Tariff w.e.f. 01.04.2022 to 31.03.2023             |                                                      |
|---------|------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|---------------------------|-----------------------------------------------------------|------------------------------------------------------|--------------------------------------------------------|------------------------------------------------------|
|         |                                                                                                                                    |                                    |                           | *Fixed Charges per Month                                  | **Energy Charges                                     | *Fixed Charges per Month                               | **Energy Charges                                     |
| I       | II                                                                                                                                 |                                    |                           | III                                                       | IV                                                   | V                                                      | VI                                                   |
|         |                                                                                                                                    |                                    | Above 500 kWh             |                                                           | 7.29/kWh                                             |                                                        | 7.29/kWh                                             |
|         |                                                                                                                                    | Above 20 kW/ kVA &upto 100 kVA     | All Units                 | 100/kVA                                                   | 6.35/kVAh                                            | 100/kVA                                                | 6.35/kVAh                                            |
|         |                                                                                                                                    | Above 100 kVA                      | All Units                 | 110/kVA                                                   | 6.55/kVAh                                            | 110/kVA                                                | 6.55/kVAh                                            |
|         |                                                                                                                                    | Electric Vehicle Charging Stations | All Units                 | NA                                                        | 6.00/kVAh                                            | NA                                                     | 6.00/kVAh                                            |
| 3.      | Industrial Power Supply                                                                                                            |                                    |                           |                                                           |                                                      |                                                        |                                                      |
| a.      | Small Power                                                                                                                        | Upto 20 kVA                        | All Units                 | 80/kVA                                                    | 5.37/kVAh                                            | 80/kVA                                                 | 5.37/kVAh                                            |
| b.      | Medium Supply                                                                                                                      | Above 20 kVA & upto 100 kVA        | All Units                 | 120/kVA                                                   | 5.80/kVAh                                            | 120/kVA                                                | 5.80/kVAh                                            |
| c.      | Large Supply                                                                                                                       |                                    |                           |                                                           |                                                      |                                                        |                                                      |
|         | General Industry                                                                                                                   | Above 100 kVA & upto 1000 kVA      | All Units                 | 185/kVA                                                   | 6.05/kVAh                                            | 185/kVA                                                | 6.05/kVAh                                            |
|         |                                                                                                                                    | Above 1000 kVA & upto 2500 kVA     | All Units                 | 245/kVA                                                   | 6.15kVAh                                             | 245/kVA                                                | 6.15kVAh                                             |
|         |                                                                                                                                    | Above 2500 kVA                     | All Units                 | 285/kVA                                                   | 6.27/kVAh                                            | 285/kVA                                                | 6.27/kVAh                                            |
|         | PIU Industry                                                                                                                       | Above 100 kVA & upto 1000 kVA      | All Units                 | 190/kVA                                                   | 6.09/kVAh                                            | 190/kVA                                                | 6.09/kVAh                                            |
|         |                                                                                                                                    | Above 1000 kVA & upto 2500 kVA     | All Units                 | 275/kVA                                                   | 6.40/kVAh                                            | 275/kVA                                                | 6.40/kVAh                                            |
|         |                                                                                                                                    | Above 2500 kVA                     | All Units                 | 315/kVA                                                   | 6.49/kVAh                                            | 315/kVA                                                | 6.49/kVAh                                            |
| d       | For use of electricity exclusively during night hours applicable for industrial consumers (Large Supply/Medium Supply/Small Power) |                                    | 10 PM to 06 AM (next day) | 50% of Fixed Charges specified under relevant category    | 4.86/kVAh                                            | 50% of Fixed Charges specified under relevant category | 4.86/kVAh                                            |
|         |                                                                                                                                    |                                    | 06 AM to 10 AM            |                                                           | Normal Energy charges (throughout the year)          |                                                        | Normal Energy charges (throughout the year)          |
| 4.      | Bulk Supply                                                                                                                        | LT                                 | All Units                 | 225/kVA                                                   | 6.66/kVAh                                            | 225/kVA                                                | 6.66/kVAh                                            |
|         |                                                                                                                                    | HT                                 | All Units                 | 300/kVA                                                   | 6.38/kVAh                                            | 300/kVA                                                | 6.38/kVAh                                            |
| 5.      | Railway Traction                                                                                                                   |                                    | All Units                 | 340/kVA                                                   | 6.97/kVAh                                            | 340/kVA                                                | 6.97/kVAh                                            |
| 6.      | Public Lighting                                                                                                                    |                                    | All Units                 | 100/kW                                                    | 7.43/kWh                                             | 100/kW                                                 | 7.43/kWh                                             |
| 7.      | Agricultural Pumpset (AP)                                                                                                          |                                    | All Units                 | 5.66/kWh or                                               |                                                      | 5.66/kWh or                                            |                                                      |
|         |                                                                                                                                    |                                    |                           | 419/BHP/ month                                            |                                                      | 419/BHP/ month                                         |                                                      |
| 8.      | AP High Technology/ High Density Farming                                                                                           |                                    | All Units                 | NA                                                        | 5.66/kWh                                             | NA                                                     | 5.66/kWh                                             |
| 9.      | Compost/ Solid Waste Management Plants & Rural/Urban Water Supply Schemes                                                          |                                    | All Units                 | 60/kVA                                                    | 5.22/kVAh                                            | 60/kVA                                                 | 5.22/kVAh                                            |
| 10.     | Charitable Hospitals set-up under PwD Act                                                                                          |                                    | All Units                 | 70/kVA                                                    | 5.40/kVAh                                            | 70/kVA                                                 | 5.40/kVAh                                            |
| 11.     | Start up Power for Generators and CPPs                                                                                             |                                    | All Units                 | NA                                                        | 7.35/kVAh                                            | NA                                                     | 7.35/kVAh                                            |
| B       | SEASONAL INDUSTRY (as per Condition 18 of General Conditions of Tariff):                                                           |                                    |                           |                                                           |                                                      |                                                        |                                                      |
| a)      | During Season                                                                                                                      |                                    |                           |                                                           |                                                      |                                                        |                                                      |
|         | Small Power                                                                                                                        |                                    | All Units                 | 160/kVA                                                   | Same as applicable to corresponding General Industry | 160/kVA                                                | Same as applicable to corresponding General Industry |
|         | Medium Supply                                                                                                                      |                                    | All Units                 | 240/kVA                                                   |                                                      | 240/kVA                                                |                                                      |
|         | Large Supply                                                                                                                       | 101-1000 kVA                       | All Units                 | 370/kVA                                                   |                                                      | 370/kVA                                                |                                                      |
|         |                                                                                                                                    | 1001-2500 kVA                      |                           | 490/kVA                                                   |                                                      | 490/kVA                                                |                                                      |
|         |                                                                                                                                    | > 2500 kVA                         |                           | 570/kVA                                                   |                                                      | 570/kVA                                                |                                                      |
| b)      | During Off Season (SP/MS/LS)                                                                                                       |                                    | All Units                 | Nil                                                       |                                                      | Nil                                                    |                                                      |
| C       | ICE FACTORIES & CANDIES AND COLD STORAGES                                                                                          |                                    |                           |                                                           |                                                      |                                                        |                                                      |
| a)      | During April to July                                                                                                               |                                    |                           |                                                           |                                                      |                                                        |                                                      |
|         | Small Power                                                                                                                        |                                    | All Units                 | 160 / kVA                                                 | Same as applicable to corresponding General Industry | 160 / kVA                                              | Same as applicable to corresponding General Industry |
|         | Medium Supply                                                                                                                      |                                    | All Units                 | 240/kVA                                                   |                                                      | 240/kVA                                                |                                                      |
|         | Large Supply                                                                                                                       |                                    | All Units                 | 370/kVA                                                   |                                                      | 370/kVA                                                |                                                      |
| b)      | During August to March                                                                                                             |                                    |                           |                                                           |                                                      |                                                        |                                                      |
|         | Small Power                                                                                                                        |                                    | All Units                 | 40/kVA                                                    |                                                      | 40/kVA                                                 |                                                      |
|         | Medium Supply                                                                                                                      |                                    | All Units                 | 60/kVA                                                    |                                                      | 60/kVA                                                 |                                                      |
|         | Large Supply                                                                                                                       |                                    | All Units                 | 93/kVA                                                    |                                                      | 93/kVA                                                 |                                                      |

| Sr. No. | Category                          |           | Existing Tariff. for FY 2021-22(01.06.2021 to 31.03.2022)                                                                                                                    |                                                                                                                                                                              | New Tariff w.e.f. 01.04.2022 to 31.03.2023                                                                                                                                   |                                                                                                                                                                              |
|---------|-----------------------------------|-----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|         |                                   |           | *Fixed Charges per Month                                                                                                                                                     | **Energy Charges                                                                                                                                                             | *Fixed Charges per Month                                                                                                                                                     | **Energy Charges                                                                                                                                                             |
| I       | II                                |           | III                                                                                                                                                                          | IV                                                                                                                                                                           | V                                                                                                                                                                            | VI                                                                                                                                                                           |
| D       | TEMPORARY SUPPLY (All Categories) | All Units | 1.25 times the charges (highest slab in case of slab rates) specified under the relevant schedule for permanent supply corresponding to the sanctioned load /contract demand | 1.25 times the charges (highest slab in case of slab rates) specified under the relevant schedule for permanent supply corresponding to the sanctioned load /contract demand | 1.25 times the charges (highest slab in case of slab rates) specified under the relevant schedule for permanent supply corresponding to the sanctioned load /contract demand | 1.25 times the charges (highest slab in case of slab rates) specified under the relevant schedule for permanent supply corresponding to the sanctioned load /contract demand |

*\*Fixed Charge (unless otherwise specified in Schedule of Tariff) shall be levied on 80% of the sanctioned load or contract demand (actual demand recorded, if higher) as may be applicable.*

*\*\*In addition to energy charges; FCA, Voltage Surcharge/Rebate and ToD Tariff shall be applicable in accordance with conditions 8, 13 and 15 respectively of General Conditions of Tariff (Annexure-I of the Tariff Order)*

**Notes:**

- (i) *The Schedules of Tariff with tariff rates and other details for various categories of consumers as approved by the Commission are as per **Annexure II** of this Tariff Order. These Schedules shall be read with the updated provisions of General Conditions of Tariff approved by the Commission as per **Annexure I** of this Tariff Order;*
- (ii) *Cooperative Group Housing Societies/ Employers availing single point supply under PSERC (Single Point Supply to Co-operative Group Housing Societies/Employers) Regulations will be levied fixed charges as applicable to Domestic Supply consumers with load exceeding 100 kVA. A rebate of 12% (Twelve percent) will be admissible on electricity charges, comprising of fixed and energy charges, in addition to any other rebate as may be applicable.*
- (iii) *A Franchisee appointed by licensee for a particular area in its area of supply as per 7<sup>th</sup> proviso to Section 14 of the Electricity Act read with Regulations 6.6.2 of the Supply Code 2014, shall be eligible for rebate on electricity charges as per the franchisee agreement between the parties read with Orders of the Commission, if any.*

### 7.3 Cross Subsidy

Regulation 49.1 of the PSERC MYT Tariff Regulations, 2019, specifies that, Cross-subsidy for a consumer category means the difference between the average realization per unit from that category and the average cost of supply per unit expressed in percentage terms as a proportion of the average cost of supply.

To work out the average realization per unit for a category, category-wise revenue has been assessed as per the applicable tariff rates. Impact of Surcharges/Rebates (Voltage surcharge/ rebate, ToD Tariff, reduced energy charges for consumption exceeding the thresh-hold limit and other charges) have also been considered. Accordingly, the cross-subsidy levels for different categories of consumers worked out for FY 2022-23 as per tariff rates depicted in Table 7.2, is as follows:

**Table 7.3: Cross Subsidy Levels for FY 2022-23  
(Average Cost of Supply= 648.35 Paise/kWh)**

| Sr. No. | Category of Consumers                                                                                   | Sales            | Revenue          |                     | Surcharge/<br>Rebates | Total<br>Realization | Realisation<br>per kWh | Cross<br>Subsidy<br>levels |
|---------|---------------------------------------------------------------------------------------------------------|------------------|------------------|---------------------|-----------------------|----------------------|------------------------|----------------------------|
|         |                                                                                                         |                  | Fixed<br>Charges | Variable<br>Charges |                       |                      |                        |                            |
|         |                                                                                                         | MkWh             | (Rs. Crore)      | (Rs. Crore)         | (Rs. Crore)           | (Rs. Crore)          | Paise/ kWh             | %age                       |
| I       | II                                                                                                      | III              | IV               | V                   | VII                   | VIII                 | IX                     | X                          |
| 1.      | Domestic Supply                                                                                         | 14630.86         | 813.81           | 7523.68             | (0.33)                | 8337.16              | 570                    | -12-11%                    |
| 2.      | Non-Residential Supply                                                                                  | 3991.00          | 398.84           | 2775.04             | 5.51                  | 3179.39              | 797                    | 22.87%                     |
| 3.      | Small Power                                                                                             | 1312.00          | 81.42            | 865.20              | 26.01                 | 972.63               | 741                    | 14.34%                     |
| 4.      | Medium Supply                                                                                           | 3792.00          | 252.99           | 2270.54             | (4.85)                | 2518.68              | 664                    | 2.45%                      |
| 5.      | Large Supply                                                                                            | 18188.00         | 1603.91          | 11591.35            | (212.84)              | 12982.43             | 714                    | 10.09%                     |
| 6.      | Public Lighting                                                                                         | 138.00           | 3.55             | 102.53              | -                     | 106.08               | 769                    | 18.57%                     |
| 7.      | Bulk Supply                                                                                             | 670.00           | 96.54            | 441.75              | (11.16)               | 527.13               | 787                    | 21.35%                     |
| 8.      | Railway Traction                                                                                        | -                | -                | -                   | -                     | -                    | -                      | -                          |
| 9.      | Agriculture Pumpsets                                                                                    | 12255.00         | -                | 6936.33             | -                     | 6936.33              | 566                    | -12.70%                    |
| 10.     | AP High technology/ High Density farming                                                                | 0.13             | -                | 0.08                | -                     | 0.08                 | 566                    | -12.70%                    |
| 11.     | Compost/ Solid waste Management Plants for Municipalities of Urban Local Bodies/ I Water Supply schemes | 146.00           | 6.04             | 82.71               | 28.91                 | 117.66               | 806                    | 24.30%                     |
| 12.     | Charitable Hospitals set-up under PwD Act                                                               | -                | -                | -                   | -                     | -                    | -                      | -                          |
| 13.     | Start-up Power for generators/ CPPs                                                                     | 167.00           | -                | 126.26              | (5.51)                | 120.74               | 723                    | -                          |
| 14.     | Golden Temple & Durgiana Mandir, Sri Amritsar Sahib                                                     | 11.00            | -                | 6.72                | (0.16)                | 6.56                 | 597                    | -                          |
| 15.     | Temporary Supply                                                                                        | 220.00           | -                | 177.86              | 0.21                  | 178.07               | -                      | -                          |
| 16.     | Common Pool                                                                                             | 301.00           | -                | 125.15              | -                     | 125.15               | 416                    | -                          |
| 17.     | Outside State sale                                                                                      | 70.00            | -                | 41.49               | -                     | 41.49                | 593                    | -                          |
| 18.     | <b>Grand Total</b>                                                                                      | <b>55,892.00</b> | <b>3,257.11</b>  | <b>33,066.71</b>    | <b>(174.21)</b>       | <b>36,149.60</b>     | <b>647</b>             |                            |

The Commission has been consistently maintaining cross subsidy levels of various categories of consumers within  $\pm 20\%$  of Average Cost of Supply as per the provisions of Tariff Policy and PSERC MYT Tariff Regulations. However, the Commission observes that the cross-subsidy levels in respect of NRS, Bulk supply and Compost/ Solid waste Management Plants for Municipalities of Urban Local Bodies/ Water Supply schemes categories have got disturbed and exceeded 20% due to reduction in consumption of these categories because of COVID 19 pandemic. These consumers have been paying fixed charges even at the time of shutdown in these establishments.

Further, the Hon'ble APTEL vide its judgment dated 17.12.2014 in Appeal No. 142 of

2013 and 168 of 2013 has directed the Commission to show the cross-subsidy for each category of consumer with respect to voltage wise Cost of Supply (CoS) in the Tariff Orders. In compliance to the same, the cross-subsidy level for each category of consumer with respect to voltage wise cost of supply is shown in **Annexure-IV** of this Tariff Order.

Since, PSPCL is an integrated utility carrying out the businesses of the Generating company as well as distribution licensee, segregation of its accounts on actual basis is required for the Generation and Distribution businesses, Retail and Supply businesses and finally on voltage wise to enable determination of voltage-wise CoS. So far, PSPCL is not able to submit the segregated accounts on actual basis even for its Generation and Distribution businesses and is submitting the same on the basis of allocation only. Thus, voltage-wise/category-wise CoS worked out on the basis of estimated/allocated data supplied by PSPCL may not be depicting the actual cost of supply.

However, in order to move in the direction of tariff based on CoS, the Commission has been allowing indicative rebates in the Tariff to the various categories of consumers getting supply at higher voltages as mentioned in Condition 13.2 of General Conditions of Tariff.

#### **7.4 Subsidy for FY 2022-23**

The grant of any subsidy to any consumer or class of consumers by the Government in the tariff determined by the Commission in this Tariff Order shall be governed by the provisions of Section 65 of the Indian Electricity Act 2003. The Commission takes note of the subsidy announced by the Government. In line with Section 65, PSPCL may recover the subsidy from the Government based on the tariff of the relevant section.

#### **7.5 Pooled Cost of Purchase of Electricity of PSPCL**

The Central Electricity Regulatory Commission (Terms and Conditions for recognition and issuance of Renewable Energy Certificate for Renewable Energy Generation) Regulations, 2010 provide for determination of 'Pooled Cost of Purchase' of electricity, for the purpose of eligibility for a generating company engaged in generation of electricity from renewable sources of energy to apply for registration for issuance of and dealing in renewable energy certificates. The *ibid* CERC Regulations, under Regulation-5 for 'Eligibility and Registration for Certificates', define the 'Pooled Cost of Purchase' as hereunder:

*'Pooled Cost of Purchase' means the weighted average pooled price at which*

*the distribution licensee has purchased the electricity including cost of self generation, if any, in the previous year from all the energy suppliers long-term and short-term, but excluding those based on renewable energy sources, as the case may be.*

The 'Pooled Cost of Purchase' (APPC) for PSPCL determined by the Commission based on the data for FY 2021-22, is as follows:

**Table 7.4: Pooled Cost of Purchase**

| Sr. No     | Particulars                                                                   | Generation (MkWh) | Cost (Rs. Crore)      |
|------------|-------------------------------------------------------------------------------|-------------------|-----------------------|
| I          | II                                                                            | III               | IV                    |
| <b>1.</b>  | <b>Own Generation</b>                                                         |                   |                       |
| a          | Thermal                                                                       | 3327.56           | 2287.21               |
| b          | Hydel                                                                         | 7143.00           | 1070.19               |
| c          | Less: UBDC, Micro Hydel and MHP-II (being RE Power)                           | 426.48            | 83.14                 |
| d          | Net Generation from Hydel other than RE (b-c)                                 | 6716.52           | 987.05                |
| <b>2.</b>  | <b>Net own generation within State other than RE (a+d)</b>                    | <b>10044.08</b>   | <b>3274.26</b>        |
| 3.         | Net Power Purchase                                                            | 52237.10          | 22670.08              |
| 4.         | RE Power Purchase                                                             | 3765.35           | 2024.49               |
| <b>5.</b>  | <b>Net Power Purchase from sources other than RE (3-4)</b>                    | <b>48471.75</b>   | <b>20645.59</b>       |
| <b>6.</b>  | <b>Total Power Purchase (2+5)</b>                                             | <b>58515.83</b>   | <b>23919.85</b>       |
| 7.         | Transmission & SLDC charges                                                   |                   | 1433.60               |
| <b>8.</b>  | <b>Total Generation + Transmission &amp; SLDC Charges</b>                     |                   | <b>25353.45</b>       |
| 9.         | Energy at the distribution licensee's boundary (with 2.46% transmission loss) | 57076.34          |                       |
| <b>10.</b> | <b>Pooled Power Purchase Cost (8/9)</b>                                       |                   | <b>4.44 (Rs./kWh)</b> |

Accordingly, the Commission determines the 'Pooled Cost of Purchase' applicable, for FY 2021-22 as Rs. 4.44 per kWh.

## **7.6 Separate Tariff for each Function**

A summary of the ARR of Thermal Generating Stations, Hydel Generating Stations and Distribution Business of PSPCL approved by the Commission for FY 2022-23 has been shown in Chapter 4 of this Tariff Order. Accordingly, Aggregate Revenue Requirement (ARR)/ Annual Fixed Charges (AFC) of PSPCL's Generating Stations, Wires Business and Retail Supply Business required to be recovered through tariff has been compiled as under:



**Table 7.5: ARR/AFC of PSPCL's Generating Stations (Project wise), Wires Business and Retail Supply Business for FY 2022-23**

| Sl. No. | Particulars                     | GGSSTP  | GHTP    | Shanan | UBDC  | RSD    | MHP    | ASHP  | Micro | BBMB   | Total Generation | Wires Business | Retail Supply Business | Total Distribution | Total    |
|---------|---------------------------------|---------|---------|--------|-------|--------|--------|-------|-------|--------|------------------|----------------|------------------------|--------------------|----------|
| I       | II                              | III     | IV      | V      | VI    | VII    | VIII   | IX    | X     | XI     | XII              | XIII           | XIV                    | XV                 | XVI      |
| 1       | Net Revenue Requirement         | 1519.58 | 1451.64 | 61.40  | 92.48 | 422.11 | 136.32 | 73.24 | 0.76  | 387.93 | 4145.46          | 4830.40        | 28800.70               | 33631.10           | 37776.56 |
| 2       | Previous Gap/(Surplus)          | -67.09  | -64.09  | -2.71  | -4.08 | -18.64 | -6.02  | -3.23 | -0.03 | -17.13 | -183.02          | -213.25        | -1271.50               | -1484.75           | -1667.77 |
| 3       | Impact of Capex of FY 2017-18   | 0.66    | 0.63    | 0.03   | 0.04  | 0.18   | 0.06   | 0.03  | 0.00  | 0.17   | 1.79             | 0.67           | 4.00                   | 4.67               | 6.46     |
| 4       | Impact of Capex of FY 2018-19   | 0.11    | 0.10    | 0.00   | 0.01  | 0.03   | 0.01   | 0.01  | 0.00  | 0.03   | 0.29             | 3.36           | 20.05                  | 23.42              | 23.71    |
| 5       | Impact of Capex of FY 2019-20   | 8.59    | 8.20    | 0.35   | 0.52  | 2.39   | 0.77   | 0.41  | 0.00  | 2.19   | 23.43            | 11.84          | 70.57                  | 82.40              | 105.83   |
| 6       | Impact of FCA                   | -0.40   | -0.38   |        |       |        |        |       |       |        | -0.78            |                | -6.36                  | -6.36              | -7.14    |
| 6       | Aggregate Revenue Requirement   | 1461.44 | 1396.10 | 59.07  | 88.96 | 406.07 | 131.14 | 70.46 | 0.73  | 373.19 | 3987.17          | 4633.01        | 27617.46               | 32250.47           | 36237.64 |
| 7       | Fuel Cost                       | 797.14  | 816.82  |        |       |        |        |       |       |        | 1613.96          |                |                        |                    | 1613.96  |
| 8       | Variable cost of Power Purchase |         |         |        |       |        |        |       |       |        |                  |                | 23258.16               | 23258.16           | 23258.16 |
| 9       | AFC (5-6-7)                     | 664.30  | 579.28  | 59.07  | 88.96 | 406.07 | 131.14 | 70.46 | 0.73  | 373.19 | 2373.21          | 4633.01        | 4359.30                | 8992.31            | 11365.52 |

## 7.7 Generation Tariff

Regulation 14 of PSERC MYT Tariff Regulations, 2019, specifies that, the tariff for sale of electricity from a generating plant shall comprise of two parts, namely;

### 7.7.1 Annual Fixed Charges (Capacity Charges)

Regulation 37 of PSERC MYT Tariff Regulations, 2019, specifies that, the fixed cost of a generating station shall be computed on annual basis, based on norms specified under these regulations, and recovered on monthly basis under capacity charge (inclusive of incentive and energy charge for Hydro station), which shall be payable by the beneficiaries in proportion to their respective share/allocation in the saleable capacity of the generating station. Accordingly, based on the project wise ARR/AFC determined for FY 2022-23 as shown in Table 7.5, the Annual Fixed Charges (Capacity Charges) for PSPCL's Generating Stations are determined as under:

**Table 7.6: Annual Fixed Charges (AFC) of Generation Projects for FY 2022-23**

| Sr. No. | Plant          | Annual Fixed/<br>Capacity Charges<br>(Rs. Crore) | Generation<br>(MkWh) |        | Indicative FC<br>(paise/kWh) |          |
|---------|----------------|--------------------------------------------------|----------------------|--------|------------------------------|----------|
| I       | II             | III                                              | IV                   |        | V                            |          |
| A       | Thermal Plants | 1243.58                                          |                      |        |                              |          |
| 1.      | GGSTP          | 664.30                                           | *5581.88             | **2212 | *119.01                      | **300.32 |
| 2.      | GHTP           | 579.28                                           | *5998.32             | **2218 | *96.57                       | **261.15 |
| B       | Hydel Plants   | 378.22<br>(50% of AFC)<br>(Rs. Crore)            |                      |        |                              |          |
| 1.      | Shanan         | 29.54                                            | 465.00               |        | 63.52                        |          |
| 2.      | UBDC           | 44.48                                            | 380.00               |        | 117.06                       |          |
| 3.      | RSD            | 203.04                                           | 1516.00              |        | 133.93                       |          |
| 4.      | Mukerian       | 65.57                                            | 1170.00              |        | 56.04                        |          |
| 5.      | Anandpur Sahib | 35.23                                            | 581.00               |        | 60.64                        |          |
| 6.      | Micro Hydel    | 0.37                                             | 0.00                 |        | 0.00                         |          |
| 7.      | BBMB           |                                                  | ***                  |        |                              |          |

\* Worked out by taking Normative Annual Plant Availability Factor (NAPAF) of 85%.

\*\* Worked out as per estimated schedule.

\*\*\* AFC is determined by CERC.

Accordingly, the total AFC (50% for Hydro Plants) recoverable in the case of thermal and hydro plants are:

- i) Thermal - Rs. 1243.58 Crore
- ii) Hydro (excluding BBMB) - Rs. 378.22 Crore

Full AFC for both thermal and hydro plants will be payable on achievement of normative plant availability as specified in PSERC MYT Tariff Regulations, 2019.

### 7.7.2 Energy Charges

Regulation 38.1 of PSERC MYT Tariff Regulations, 2019, specifies that, the Energy (Variable) Charges for a thermal generating plant shall cover the primary fuel cost, secondary fuel cost, cost of limestone or any other reagent, as applicable and, shall be payable by every beneficiary for the total energy scheduled to be supplied to such beneficiary during the calendar month on ex-power plant basis, at the energy charge rate of the month (with fuel price adjustment). Accordingly, based on the project wise Fuel Cost/AFC for FY 2022-23 as shown in Table 7.5, the Energy Charges for PSPCL's Generating Stations are determined as follows:

**Table 7.7: Energy Charges for Thermal Generating Station FY 2022-23**

| Sr. No. | Plant   | Fuel Cost<br>(Rs. Crore) | Generation<br>(MkWh) | Energy Charges<br>(paise/kWh) |
|---------|---------|--------------------------|----------------------|-------------------------------|
| I       | II      | III                      | IV                   | V                             |
| 1.      | GGSSSTP | 797.14                   | 2212                 | 360.37                        |
| 2.      | GHTP    | 816.82                   | 2218                 | 368.24                        |

**Table 7.8: Energy Charges for Hydro Generating Station FY 2022-23**

| Sr. No. | Plant          | Variable Cost<br>(50% of AFC)<br>(Rs. Crore) | Generation<br>(MkWh) | Energy Charges<br>(paise/kWh) |
|---------|----------------|----------------------------------------------|----------------------|-------------------------------|
| I       | II             | III                                          | IV                   | V                             |
| 1.      | Shanan         | 29.54                                        | 465                  | 63.52                         |
| 2.      | UBDC           | 44.48                                        | 380                  | 117.06                        |
| 3.      | RSD            | 203.04                                       | 1516                 | 133.93                        |
| 4.      | Mukerian       | 65.57                                        | 1170                 | 56.04                         |
| 5.      | Anandpur Sahib | 35.23                                        | 581                  | 60.64                         |
| 6.      | Micro Hydel    | 0.37                                         | 0.00                 | 0.00                          |

**7.7.3 Total charges for Generating Stations (Thermal and Hydel)**

The total charges (Capacity and Energy) for generating plants are summarized as under:

**Table 7.9: Total charges for PSPCL's Generating Stations for FY 2022-23****(Paise/kWh)**

| Sr. No.   | Plant                                         | Capacity Charges | Energy Charges | Total Charges |
|-----------|-----------------------------------------------|------------------|----------------|---------------|
| I         | II                                            | III              | IV             | V = (III+IV)  |
| <b>A</b>  | <b>Thermal Generating Stations</b>            |                  |                |               |
| <b>a)</b> | <b>For generation as per NAPA</b>             |                  |                |               |
| 1.        | GGSSSTP                                       | 119.01           | 360.37         | 479.38        |
| 2.        | GHTP                                          | 96.57            | 368.24         | 464.81        |
| <b>b)</b> | <b>For generation as per Scheduled energy</b> |                  |                |               |
| 1.        | GGSSSTP                                       | 300.32           | 360.37         | 660.69        |
| 2.        | GHTP                                          | 261.15           | 368.24         | 629.39        |
| <b>B</b>  | <b>Hydel Plants</b>                           |                  |                |               |
| 1.        | Shanan                                        | 63.52            | 63.52          | 127.04        |
| 2.        | UBDC                                          | 117.06           | 117.06         | 234.12        |
| 3.        | RSD                                           | 133.93           | 133.93         | 267.86        |
| 4.        | Mukerian                                      | 56.04            | 56.04          | 112.08        |
| 5.        | Anandpur Sahib                                | 60.64            | 60.64          | 121.28        |
| 6.        | Micro Hydel                                   | 0.00             | 0.00           | 0.00          |

\* The Charges for BBMB work out to be Rs. 0.87 per unit (Rs. 373.19 Crore for 4299 MkWh)

**7.7.4 Wheeling Charges for using distribution network of PSPCL**

The Commission has worked out the total distribution capacity of PSPCL for FY 2022-23 as 13540 MW (net of transformation losses and auxiliary consumption).

Accordingly, wheeling charges for FY 2022-23 are determined as under:

**Table 7.10: Wheeling Charges for FY 2022-23**

| Sr. No. | Details                                                         | Units                 | Wheeling Charges |
|---------|-----------------------------------------------------------------|-----------------------|------------------|
| I       | II                                                              | III                   | IV               |
| 1.      | Input Energy at the distribution periphery                      | MkWh                  | 63121            |
| 2.      | Distribution capacity of PSPCL (Net)                            | MW                    | 13540.00         |
| 3.      | Revenue requirement for wire business of distribution network   | Rs. Crore             | 4633.01          |
| 4.      | <b>Wheeling charges for using distribution network of PSPCL</b> | <b>Rs./MWh</b>        | <b>733.99</b>    |
|         |                                                                 | <b>Rs. /MW /month</b> | <b>285143</b>    |

**7.8 Open Access (OA) Charges**

OA charges from 01.04.2022 onwards of FY 2022-23, Open Access charges are determined as under:

**7.9 Wheeling Charges**

Regulation 25 of PSERC (Terms and Conditions for Intra-state Open Access) Regulations, 2011 provides that, Wheeling Charges shall be payable by an Open Access customer who utilises the distribution network for wheeling of electricity. Accordingly, wheeling charges for use of distribution network of PSPCL are determined as under:

- a) **For Long Term/Medium Term Open Access Customers** = **Rs.285143/MW/Month**
- b) **For Short Term Open Access Customers** = **Rs. 733.99/MWh**

However, in case of wheeling of power generated from NRSE project for consumption within the State, transmission and wheeling charges shall be levied @ 2% of the energy injected into the State Grid, irrespective of the distance i.e. additional 2% of the total energy shall be injected at injection point(s). 10% of the average revenue realized by distribution licensee from such additional injection shall be passed on to the STU/Transmission licensee for compensating it on account of transmission charges. In case of wheeling of power generated from NRSE project outside the state, full transmission and wheeling charges shall be leviable.

Provided that in case of wheeling of power for consumption within the State, generated from NRSE project in the State, achieving commercial operation (COD) from 09.07.2015 to 31.03.2017, no transmission and wheeling charges shall be leviable, irrespective of the distance, for a period of 10 (ten) years from its date of commercial operation (COD).

## 7.10 Transmission & Distribution losses

As per Regulation 30(2) of PSERC (Terms and Conditions for Intra-state Open Access) Regulations, 2011, the Open Access customers shall bear Transmission & Distribution losses as under:

- (i) OA customers at 132/220/400 kV 2.44%
- (ii) OA customers at 66/33 kV 15% of distribution losses (12.04%), which works out to 1.81%, in addition to Transmission Loss of 2.44%.
- (iii) OA customers at 11 kV 40% of distribution losses (12.04%), which works out to 4.82%, in addition to Transmission Loss of 2.44%.

## 7.11 Cross subsidy surcharge

As per Regulation 26(2) of PSERC (Terms and Conditions for Intra-state Open Access) Regulations, 2011, the cross-subsidy surcharge for various categories of consumers are determined as under:

|                        |   |     |           |
|------------------------|---|-----|-----------|
| Large Supply           |   | 66  | paise/kWh |
| Domestic Supply        | : | 0   | paise/kWh |
| Non-Residential supply | : | 130 | paise/kWh |
| Bulk Supply            | : | 130 | paise/kWh |

## 7.12 Date of Effect

**The Commission decides to make the new tariff/Charges applicable from April 01, 2022 except where specified otherwise in this Order. The tariff determined above shall remain operative till March 31, 2023.**

**This Order is signed and issued by the Punjab State Electricity Regulatory Commission on this day, the 31<sup>st</sup> March 2022.**

Date: 31<sup>st</sup> March, 2022

Place: CHANDIGARH

**Sd/-**  
**(Paramjeet Singh)**  
**MEMBER**

**Sd/-**  
**(Anjali Chandra)**  
**MEMBER**

**Sd/-**  
**(Viswajeet Khanna)**  
**CHAIRPERSON**

Certified

**Sd/-**  
**Secretary**  
Punjab State Electricity Regulatory Commission,  
Chandigarh.

**GENERAL CONDITIONS OF TARIFF****1. General**

Supply of electric energy to various categories of consumers shall be chargeable under the relevant Schedule of Tariff. The particular schedule applicable to a new consumer shall be determined with reference to the nature and/or quantum of load/demand and intimated to the prospective consumer at the time of issue of Demand Notice. This shall be subject to review on the basis of any change in nature and/or the quantum of actual connected load/demand.

**2. Tariffs to be exclusive of levies**

The tariffs i.e. Fixed and Energy Charges shall be exclusive of electricity duty, cesses, taxes and other charges levied by the Government or other competent authority from time to time.

**3. Tariffs to be exclusive of general charges**

The tariffs shall be exclusive of rentals and other charges as per the Schedule of General Charges as approved by the Commission from time to time.

**4. Point of Supply**

Unless otherwise approved by the Commission, the tariffs shall be applicable to supply at a single point and at the voltage specified in the Supply Code 2014 as amended from time to time. Supply at other points and/or other voltages shall be billed separately, if otherwise permissible.

**5. Connected Load** shall be as specified in Supply Code 2014 as amended from time to time.**6. Applicability of Industrial Tariff Category**

The applicable category of tariff, under Schedules for Large Power Supply (LS), Medium Power Supply (MS) & Small Power supply (SP) industrial consumers, shall be based on the total of industrial and general demand (kVA) i.e. bona-fide factory lighting, residential quarters and colony lighting including street lighting. While computing the total demand (kVA) for determining the applicable schedule, fraction of half and above shall be taken as whole kVA and fraction below half shall be ignored.

## **7. Periodicity of Billing**

Periodicity of Billing shall be as per Supply Code 2014 as amended from time to time. However, in case of bimonthly billing, consumption slabs shall be doubled while applying the relevant tariff.

## **8. Fuel Cost Adjustment (FCA)**

- 8.1 To neutralize the changes in fuel cost, FCA as per provisions of PSERC (Terms and Conditions for Determination of Generation, Transmission, Wheeling and Retail Supply Tariff) Regulation, 2019 and PSERC (Conduct of Business) Regulations, 2005, as amended from time to time, shall be applicable in addition to the energy charges specified in the relevant Schedule of Tariff.
- 8.2 FCA clause shall be applicable to all metered and un-metered categories of consumers.

## **9. Two Part Tariff (TPT) Structure/Fixed Charges**

All consumers (except AP, AP High-Technology/High Density Farming, EV Charging Stations, start up power for Generators and CPPs, Sri Harmandir Sahib and Sri Durgiana Mandir) shall be covered under the Two Part Tariff structure, as approved by the Commission in the Tariff Order. Further fixed charges (unless otherwise specified in Schedules of Tariff) shall be charged as under:

- (a) For consumers covered under Contract Demand system as per condition 10 below, the Fixed Charges shall be levied on 80% of the sanctioned Contract Demand or Actual demand recorded during the billing cycle/month (restricted to sanctioned Contract Demand), whichever is higher. In case, the consumer exceeds the sanctioned Contract Demand during a billing cycle/month, he/she shall be liable to pay applicable demand surcharge as provided in the Schedule of Tariff for the relevant category.
- (b) For other consumers (not covered under Contract Demand system as per condition 10 below), the Fixed Charges shall be levied on 80% of the sanctioned load in kW.

## **10. Contract Demand**

- 10.1 Contract demand shall mean the maximum demand in kVA sanctioned to the consumer.
- 10.2 All consumers (except DS consumers with load upto 50 kW, NRS consumers with load upto 20 kW, Public Lighting, AP, AP High-Technology/High Density Farming, Sri Harmandir Sahib and Sri Durgiana Mandir) are required to get their contract demand

sanctioned in kVA.

- 10.3 The maximum demand for any day or month, shall be considered as the highest average load measured in kilovolt Ampere (kVA) during a block of 30/15 minutes period as may be applicable.

**11. Metering**

Metering equipment for HT/EHT consumers for the entire supply including general load shall normally be installed on the HV side of the transformer at the point of commencement of supply.

**12. Non availability of Metering Equipment**

In case of an HT/EHT consumers receiving supply at 11 kV and above, where metering equipment is installed on the LV side of the transformer due to non-availability of metering equipment, both the energy consumption (kWh/kVAh) and the maximum demand shall be enhanced by 3% to account for the transformation losses.

**13. Voltage Surcharge/rebate**

**13.1 Voltage Surcharge:**

The levy of voltage surcharge on the energy charges shall be as under:-

- i) All consumers catered at 400 volts against specified voltage of 11 kV shall be levied surcharge at the rate of 15%.
- ii) All consumers catered at 11 kV against specified voltage of 33/66 kV shall be levied surcharge at the rate of 10%.
- iii) All consumers catered at 33/66 kV against specified voltage of 132/220 kV shall be levied surcharge at the rate of 5%.
- iv) The exemptions from levy of surcharge(s) shall continue as under:
  - (a) LS consumers existing as on 31.03.2010 availing supply at 33/66 kV but required to convert their system so as to receive supply at 132/220 kV will not be levied any surcharge related to supply voltage, till such consumers request for change of their Contract Demand.
  - (b) DS/NRS/BS consumers existing as on 31.03.2010 catered at a voltage lower than specified in Supply Code 2014 will be liable to pay surcharge only in case of any change in Contract Demand.

- 13.1.1 The release of new connection or additional load/demand to the consumers at the specified supply voltage or at lower/higher voltage level shall be governed by the



Supply Code, 2014, as amended from time to time.

Provided that existing consumers paying surcharge as per sub-clause (ii) or (iv) of condition 13.1 of General Conditions of Tariff annexed as Annexure-I to the Tariff Order for FY 2016-17 shall continue to be governed by existing provisions till conversion to the amended Supply Voltage in accordance with regulation 4.2 read with sub-regulation 4.2.2 of PSERC (Electricity Supply Code and Related Matters) (2<sup>nd</sup> Amendment) Regulations, 2016.

### 13.2 Voltage Rebate

As the cost to serve at higher voltage is lower than the cost to serve at lower voltage, therefore the rebate on energy charges to the consumers getting supply at HT/EHT voltages shall be applicable as under:

- a) 30 paise/kVAh to all consumers getting supply at 400/220/132 kV,
- b) 25 paise/kVAh to all consumers getting supply at 66/33 kV,
- c) 20 paise/kVAh to DS (including Charitable Hospitals setup under PWD Act), NRS, MS consumers (including water works supply Schemes for use of general public residing in urban or rural areas & Compost / Solid Waste Management Plants for Municipalities/ Urban Local Bodies) getting supply at 11 kV and
- d) 20 paise/kWh to AP/AP High-Technology/High Density Farming consumers getting supply at 11 kV shall be continued.

### 14. Steel Rolling Mill Surcharge (Deleted in Tariff Order FY 2018-19)

### 15. Time of Day (ToD) Tariff

Time of the Day (ToD) tariff shall be applicable to NRS/BS consumers with sanctioned Contract Demand exceeding 100 kVA, all LS/MS consumers (including water works Supply Schemes for use of general public residing in urban or rural areas & Compost/Solid Waste Management Plants) and EV charging stations as under:

| Period                                             | Time period                     | ToD Tariff                         |
|----------------------------------------------------|---------------------------------|------------------------------------|
| 1 <sup>st</sup> April to 31 <sup>st</sup> May      | 06.00 AM to 06.00 PM            | Normal Tariff*                     |
|                                                    | 06.00 PM to 10.00 PM            |                                    |
|                                                    | 10.00 PM to 06.00 AM (next day) | Normal Tariff* minus Rs.1.25/kVAh  |
| 1 <sup>st</sup> June to 30 <sup>th</sup> September | 06.00 AM to 06.00 PM            | Normal Tariff*                     |
|                                                    | 06.00 PM to 10.00 PM            | Normal Tariff* plus Rs. 2.00/kVAh  |
|                                                    | 10.00 PM to 06.00 AM (next day) | Normal Tariff*                     |
| 1 <sup>st</sup> October to 31 <sup>st</sup> March  | 06.00 AM to 06.00 PM            | Normal Tariff*                     |
|                                                    | 06.00 PM to 10.00 PM            |                                    |
|                                                    | 10.00 PM to 06.00 AM (next day) | Normal Tariff* minus Rs. 1.25/kVAh |

\*As per applicable Schedule of Tariff for the year.

However, the cumulative effect of ToD rebate on the Energy Charges (including reduced Energy Charges for consumption exceeding threshold limit / use of electricity exclusively during night hours) at any time shall be limited to the Energy Charge of Rs. 4.86/ kVAh.

## **16. Non-availability of MDI reading and/or kVAh Consumption**

### **16.1 Defective MDI:**

In case the MDI of a consumer becomes defective, the maximum demand shall be computed as under:

- 16.1.1 Higher of the average of maximum demands recorded during the preceding three months before the MDI became defective or the maximum demand of the corresponding month of the previous year provided there was no change of load/demand thereafter, shall be adopted for billing purposes for the period the MDI remained defective.
- 16.1.2 If there was change of load/demand immediately before the MDI became defective, the maximum demand computed as above shall be adjusted on pro-rata basis.
- 16.1.3 In case of new connections where the previous reading record is not available the maximum demand shall be taken as 80% of sanctioned contract demand for billing purposes during the period MDI became defective.

### **16.2 Non-availability of kVAh consumption**

- 16.2.1 In case kVAh consumption is not available due to defective meter or otherwise, monthly average power factor of the consumer's installation recorded during the last three correct working months preceding the period of overhauling (i.e. period of review of billing account) shall be taken as monthly average power factor for the purpose of power factor surcharge/incentive to the applicable category till such time kVAh consumption is available.
- 16.2.2 Where the billing is done on kVAh consumption basis, the procedure given in the Supply Code 2014 shall be followed for billing purposes as applicable to defective/dead stop meters.

## **17. Tariff for News Paper Printing Presses**

Accredited news paper printing presses shall be treated as industrial premises and therefore the supply to these consumers shall be considered as industrial supply and shall be charged under relevant industrial tariff. However, the lighting load in the premises of accredited news paper presses shall be metered separately and

charged as per rates under Schedule Non-Residential Supply.

## **18. Seasonal Industries**

18.1 Seasonal industries mean industries/factories which by virtue of nature of their production, work during part of the year up to a maximum of 9 months during the year as specified below in Condition 18.2.

18.2 Approved seasonal industries are as under:

- (i) All cotton ginning, pressing and bailing plants
- (ii) All rice shellers
- (iii) All rice bran stabilization units (without T.G. Sets)
- (iv) Kinnow grading & Waxing Centers
- (v) Maize Dryer Plants
- (vi) Food (including fruits and vegetables) processing, packaging and storage units.

- Seasonal period for industries at Sr. No. (i), (iii) and (iv) shall be considered from 1<sup>st</sup> September to 31<sup>st</sup> May next year and seasonal period for rice sheller industry at Sr. no. (ii) shall be from 1<sup>st</sup> October to 30<sup>th</sup> June next year. The seasonal industrial consumers at Sr. no. (i) to (iv) shall not be required to serve advance notice before starting or closing the unit.
- Seasonal industrial consumers at Sr. No. (v) and (vi) shall be required to intimate the period of their season subject to maximum 9 months by 31<sup>st</sup> May or one month prior to start of season, whichever is earlier.
- Seasonal industry consumers shall not be required to give any undertaking not to run his seasonal industry during off season.

18.3 Rice bran stabilization units having T.G. Sets, Rice Huller Mills, Ice Factories and Ice Candy Plants shall not be treated as seasonal industries.

18.4 The seasonal Industry consumers shall have the option to be covered under General Industry Category and the relevant Industrial Tariff shall be applicable in such cases. The seasonal industrial consumers shall exercise their option one month prior to the start of the season. In such cases, the billing as general industry shall be done for the whole one year i.e. for a period of 12 months from the date of start of season.

## **18.5 Billing of Seasonal Industries**

Billing for all seasonal industries shall be done on a monthly basis and charged as under:

**18.5.1 For exclusive Seasonal industries** mentioned above, billing shall be as per the tariff (comprising of fixed and energy charges) applicable in the respective schedule of tariff for seasonal industry. However, the Fixed Charges, as applicable in the respective schedule of tariff for seasonal period, shall be levied only for the period of six months from the beginning of the seasonal period, in accordance with condition 9 above. Thereafter, only energy charges, as applicable in the respective schedule of tariff, shall be levied on actual consumption recorded during the month. However, demand surcharge shall be leviable for the excess demand, if any, as per the relevant schedule of tariff.

**18.5.2 For mixed Industries**, comprising of seasonal Industry and general industry, billing shall be done monthly as under:

- a) Energy Charges shall be levied on actual consumption recorded during the month, as applicable in the respective Schedule of Tariff for General Industry, throughout the year.
- b) Fixed Charges in accordance with condition 9 above, shall be levied on sanctioned contract demand for general load, as applicable in respective Schedule of Tariff for General Industry throughout the year and on sanctioned contract demand for seasonal load for six months at seasonal rates, as applicable in the respective Schedule of Tariff, from the beginning of seasonal period, irrespective of the actual period of running of seasonal load.

## **19. Agricultural Pumping Supply**

**19.1** All AP connections shall be released only after installation of minimum four star labeled motor. The supply shall be metered.

**19.2** Chaff cutters, threshers and cane crushers for self use shall be allowed to be operated on agriculture pumping supply connections.

**19.3** The water from the agriculture tube well shall be allowed to be used by the consumers only to irrigate the land in their possession.

## **20. Rounding-off Energy Bill**

The charges i.e. both Fixed and energy charges including surcharges, rebates,

octroi (if applicable), meter/MCB rentals, electricity duty as well as total energy bill (net as well as gross) shall be rounded-off individually to the nearest rupee by ignoring 1 to 49 paise and taking 50 to 99 paise as one rupee. Thus the amount mentioned in the bill shall be in whole rupee. The net amount payable in all electricity bills shall be rounded-off to the nearest Rs. 10/- (Rupees ten) and difference due to rounding-off shall be adjusted in subsequent bills.

## **21. Late Payment Surcharge**

In the event of the energy bill or other charges relating to electricity not being paid in full within the time specified in the bill, the consumers shall be levied late payment surcharge as under:

- 21.1 For all categories of consumers catered at HT/EHT supply voltage, if the full amount of the bill is not paid within the due date, late payment surcharge shall be levied @ 2% on the unpaid amount of the bill up to 7 days after the due date. After 7 days, the surcharge shall be levied @ 5% on the unpaid amount of bill up to 15 days from the due date.
- 21.2 In case of consumers catered at LT supply voltage, if the full amount of the bill is not paid within the due date, the late payment surcharge shall be levied @ 2% on the unpaid amount of the bill up to 15 days from the due date.
- 21.3 In case of AP consumers, late payment surcharge shall not be levied up to 7 days after the due date. After 7 days surcharge shall be levied as in the case of LT consumers.
- 21.4 Interest @ 1.5% per month on gross unpaid amount including surcharge payable as per clause 21.1, 21.2 & 21.3 above shall be levied after expiry of 15 days from the due date of the bill till the deposit of outstanding amount. Part of the month shall be treated as full month for this purpose.

## **22. Use of electricity exclusively during night hours**

Reduced tariffs as may be decided by the Commission in the Tariff Order for the year shall be applicable to Industrial consumers who opt to use electricity exclusively during night hours from 10.00 PM to 06.00 AM next day. They shall also be entitled to use electricity also from 06:00 AM to 10:00 AM at normal tariff rate of energy charges applicable to the respective category. Other conditions shall be as under:

- i) ToD rebate shall not be allowed on the reduced tariff under this category, as the tariff rate is already reduced.
- ii) A maximum of 10% of total units consumed during night hours (10:00 PM to

06:00 A.M. next day) in a billing period can be availed during the period of 10.00 AM to 10.00 PM. However, ToD surcharge, as applicable, shall be chargeable for the consumption, if any, during the peak hours.

- iii) In case the consumer exceeds the %age specified in condition no. (ii) above during any billing month, then fixed charge and energy charges for the entire energy consumption during the relevant billing month shall be billed as per normal tariff applicable to the respective category.
- iv) This tariff shall be applicable if the consumer opts to be so charged in place of normal tariff by using electricity exclusively during night hours as above. The option can be exercised to switch over from normal tariff to exclusive night time tariff by giving not less than one month's notice in writing.
- v) Other terms and conditions shall remain the same as applicable to the respective categories as per the relevant Schedule of Tariffs.

## **23. Load/Demand Surcharge**

### **23.1 Load/Demand Surcharge for Consumers covered under Contract Demand System**

#### **23.1.1 Load Surcharge**

No load surcharge shall be levied for the extra load connected by the consumer temporarily or otherwise thereby exceeding sanctioned load. However, the installation of extra load shall conform to CEA (Measures relating to Safety and Electric Supply) Regulations, 2010 and statutory clearances wherever applicable shall be obtained by the consumer.

#### **23.1.2 Demand Surcharge for exceeding the Contract Demand**

If a consumer exceeds the sanctioned contract demand, demand surcharge shall be charged at a rate of Rs. 750/- per kVA per month on excess demand irrespective of the number of defaults in a month.

However, for Open Access customers and CPPs demand surcharge shall be charged on daily basis at a rate of Rs. 50/- per kVA per day on excess demand irrespective of the number of defaults in a day. Provided that the demand surcharge so levied in a month shall not exceed the demand surcharge applicable on monthly basis.

This demand surcharge shall be without prejudice to the distribution licensee's right to take such other appropriate action as may be deemed necessary to restrain the

consumer from exceeding his contract demand.

In the event of MDI being defective, maximum demand for billing purpose shall be computed as per clause 16 of General Conditions of Tariff. However, no surcharge for demand consequent to such computation shall be levied.

### **23.2 Load Surcharge for Consumers not covered under Contract Demand System**

If the connected load of a consumer exceeds the sanctioned load, the excess load shall be unauthorized load. Such excess load shall be charged load surcharge at a rate of Rs. 1000/- per kW or part thereof for each default. This load surcharge shall be without prejudice to the distribution licensee's right to take such other appropriate action as may be deemed necessary to restrain the consumer from exceeding his sanctioned connected load. The unauthorized load so detected shall be got removed. However, if the unauthorized extension is up to 10% of the sanctioned load, the consumer shall be required to pay load surcharge and the connection shall not be disconnected. The unauthorized load upto 10% of the sanctioned load so detected shall either be removed or got regularized by the consumer.

### **23.3 Compensation for damage**

Any consumer who exceeds his sanctioned load/demand shall be liable to compensate the distribution licensee for all damages caused to its equipments or machinery by reason of this default. Without prejudice to this right, the distribution licensee may also cause the service of the consumer to be disconnected without any notice to the consumer.

## **24. Interpretation of Tariff**

If a question arises as to the applicability of tariff to any class of consumer or as to the interpretation of various clauses of tariff or General Conditions of Tariff, decision of the Commission shall be final.

**SCHEDULES OF TARIFF****For FY 2022-23 w.e.f. 01.04.2022****(To be read with General Conditions of Tariff annexed at Annexure-I)****SI. SCHEDULE OF TARIFF FOR LARGE SUPPLY INDUSTRIAL POWER(LS)****SI.1 Availability**

**SI.1.1** This tariff shall apply to all industrial power supply consumers having contract demand exceeding 100 kVA, including IT units covered under definition of 'Electronic Hardware and Information Technology (IT) Sector' as per the GoP notification no. 17/7/2014-AS 1/ 1372 dated 09.11.2015 or as amended from time to time.

Oil/Gas terminals, gas bottling plants, depots of oil/gas companies, poultry, goatery, piggery, fish farming (exclusive), dairy farms, Maize Dryer Units and Food (including fruits and vegetables) processing, packing & storage units, meeting above criteria shall also be covered in this schedule.

**SI.1.1.1** A separate NRS connection in the premises of LS consumers shall be permissible for regular conduct of commercial activities provided such activity is permissible under by laws/Rules of the Govt. The electric wiring and portion of the building for such activity should be separate.

**SI.2 Character of Service**

**SI.2.1** Alternating Current, 50 cycles/second, Three Phase 11 kV or higher Voltage as specified in the Supply Code 2014, depending on quantum/type of load/ contract demand and availability of bus voltage & transformer winding capacity at the feeding sub-station.

**SI.3 Tariff**

|               | Description                                                                                                                                                                                                                                               | Energy Charge<br>(Rs./kVAh)                                    | Fixed Charge<br>(Rs./kVA/month) |
|---------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|---------------------------------|
| <b>SI.3.1</b> | <b>General Industry</b>                                                                                                                                                                                                                                   |                                                                |                                 |
|               | i) Above 100 kVA and upto 1000 kVA                                                                                                                                                                                                                        | 6.05                                                           | 185                             |
|               | ii) Above 1000 KVA and upto 2500 kVA                                                                                                                                                                                                                      | 6.15                                                           | 245                             |
|               | iii) Above 2500 KVA                                                                                                                                                                                                                                       | 6.27                                                           | 285                             |
| <b>SI.3.2</b> | <b>Power Intensive Units i.e. Induction furnaces, Chloroalkaline units, Billet heaters, Surface hardening Machines, Electrolytic process industries, Electrical Bell Furnace for Annealing, Arc Furnaces (including Electro Slag Refining units) etc.</b> |                                                                |                                 |
|               | i) Above 100 kVA and upto 1000 kVA                                                                                                                                                                                                                        | 6.09                                                           | 190                             |
|               | ii) Above 1000 KVA and upto 2500 kVA                                                                                                                                                                                                                      | 6.40                                                           | 275                             |
|               | iii) Above 2500 KVA                                                                                                                                                                                                                                       | 6.49                                                           | 315                             |
| <b>SI.3.3</b> | <b>Seasonal Industries covered under condition 18 of the General Conditions of Tariff</b>                                                                                                                                                                 |                                                                |                                 |
|               | <b>a) Seasonal Rate</b>                                                                                                                                                                                                                                   | Same as specified for the relevant general Industrial category |                                 |
|               | i) Above 100 kVA and upto 1000 kVA                                                                                                                                                                                                                        |                                                                | 370 (for 6 Months)              |
|               | ii) Above 1000 KVA and upto 2500 kVA                                                                                                                                                                                                                      |                                                                | 490 (for 6 Months)              |
|               | iii) Above 2500 KVA                                                                                                                                                                                                                                       |                                                                | 570 (for 6 Months)              |
|               | <b>b) Off Seasonal Rate</b>                                                                                                                                                                                                                               |                                                                | Nil                             |
| <b>SI.3.4</b> | <b>Ice Factories, Ice Candies &amp; Cold Storages</b>                                                                                                                                                                                                     |                                                                |                                 |



|               | Description                                                                                                                    | Energy Charge<br>(Rs./kVAh)                                                   | Fixed Charge<br>(Rs./kVA/month)                        |
|---------------|--------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|--------------------------------------------------------|
|               | i) April to July                                                                                                               |                                                                               | 370                                                    |
|               | ii) August to March next year                                                                                                  |                                                                               | 93                                                     |
| <b>SI.3.5</b> | <b>For use of electricity exclusively during night hours</b> (in accordance with condition 22 of General Conditions of Tariff) |                                                                               |                                                        |
|               | i) 10.00 PM to 06.00 AM (next day)                                                                                             | 4.86                                                                          | 50% of the charges specified for the relevant category |
|               | ii) 06.00 AM to 10.00 AM                                                                                                       | Normal rates as applicable to the respective category under relevant Schedule |                                                        |

**Note:** In addition to the Energy Charge:

- (i) Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff;
- (ii) ToD tariff shall be applicable in accordance with condition 15 of General Conditions of Tariff.

**SI.3.6** For industries where the load is of mixed nature, i.e. in addition to General Industrial loads, Arc/ Power Intensive loads are also running, Fixed and Energy Charges shall be determined by computing the Maximum Demand and energy consumption for the billing month on pro-rata basis in proportion to such demands sanctioned by the distribution licensee and applicable tariff (Fixed Charge and Energy Charge) shall be as specified against the corresponding demand slab (without clubbing of Arc/Power Intensive and general load) under the relevant schedule of tariff. Provided that the total charges payable by such Mixed Industry consumer shall not be less than the charges payable, in case his total load (General and PIU) is considered as the general load.

In such cases, Power Intensive loads shall comprise of loads as mentioned in para SI.3.2, including auxiliary loads, loads of pollution control machinery, gas plants & corresponding lighting loads, and general industrial loads in such cases shall comprise loads of rolling mills and its allied loads, related workshop, general engineering machinery and corresponding lighting load, for the purpose of levy of Fixed Charges. Provided that billet heaters having total installed/connected kVA rating upto 100 kVA shall not be considered as PIU load. Where rating in kVA is not available, rated load in kW shall be converted into kVA considering unity power factor.

**SI.3.7 Voltage Surcharge/Rebate**

The voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

**SI.4 Seasonal Industries**

Seasonal industries shall be billed as per condition 18 of General Conditions of Tariff.

**SI.5 Factory Lighting and Colony Lighting**

All consumption for bona fide factory lighting shall be included for charging under the above tariff. The consumption for residential purposes i.e. staff quarters of factory, street lighting etc. shall also be charged under this Schedule. However, a

separate single point connection may be allowed for the colony load including street lighting under PSERC (Single Point Supply to Cooperative Group Housing Societies/Employers) Regulations 2008, if the colony is in separate premises.

**SI.6 Load/Demand Surcharge**

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

**SI.7 Force Majeure applicable for Arc/Induction furnaces**

In the event, where normal working of the industry is affected as a result of lock out due to labour problem, damage of EHV Power Transformer, failure on the part of distribution licensee to supply power, fires, earth-quakes, floods, tempests and lightning, directly resulting in closure of industry or normal supply hours reduced through specific order of the distribution licensee for power regulation purposes, the consumer shall be entitled to proportionate reduction in fixed charges, provided that such closure or reduced working hours continue for at least seven days consecutively in a billing cycle month directly as a consequence of any of the above conditions, with the approval of load sanctioning authority. In the event of relief being allowed in fixed charges under above conditions, the consumers shall, however, be required to pay atleast fixed charges as applicable to general Industry large supply consumers.

**SII SCHEDULE OF TARIFF FOR MEDIUM SUPPLY INDUSTRIAL POWER (MS):**

**SII.1 Availability**

This tariff shall apply to all industrial power supply consumers having contract demand above 20 kVA but not exceeding 100kVA, including IT units covered under definition of 'Electronic Hardware and Information Technology (IT) Sector' as per the GoP notification no. 17/7/2014-AS 1/ 1372 dated 09.11.2015 or as amended from time to time.

Oil/Gas terminals, gas bottling plants, depots of oil/gas companies, poultry, goatery, piggery, fish farming (exclusive), dairy farms, Maize Dryer Units and Food (including fruits and vegetables) processing, packing & storage units, meeting above criteria shall also be covered in this schedule.

**SII.1.1** A separate NRS connection in the premises of MS consumers shall be permissible for regular conduct of commercial activities provided such activity is permissible under by laws/Rules of the Govt. The electric wiring and portion of the building for such activity should be separate.

**SII.2 Character of Service**

**SII.2.1** Alternating Current, 50 cycles/ second, Three Phase 400 volts or 11 kV (at consumer's discretion), as specified in the Supply Code 2014.

**SII.2.2** Metered supply connections to poultry, goatery, piggery, fish farming (exclusive) and dairy farms may be released from category-1 or UPS or AP feeder at the option of the consumer subject to the technical feasibility to release such connection. However, the consumer opting for supply from AP feeder shall be entitled to limited hours of supply as per power supply schedule applicable to AP consumers. The consumers opting for supply from AP feeder shall not be eligible

for tariff applicable to agriculture consumers.

### SII.3 Tariff

|         | Description                                                                                                             | Energy Charge<br>(Rs./kVAh) | Fixed Charge<br>(Rs./kVA/month)                        |
|---------|-------------------------------------------------------------------------------------------------------------------------|-----------------------------|--------------------------------------------------------|
| SII.3.1 | General Industry                                                                                                        | 5.80                        | 120                                                    |
| SII.3.2 | Seasonal Industries covered under condition 18 of the General Conditions of Tariff:                                     |                             |                                                        |
|         | (i) Seasonal Rate                                                                                                       | 5.80                        | 240<br>(for 6 Months)                                  |
|         | (ii) Off Seasonal Rate                                                                                                  |                             | Nil                                                    |
| SII.3.3 | Ice Factories, Ice Candies& Cold Storages                                                                               |                             |                                                        |
|         | (i) April to July                                                                                                       | 5.80                        | 240                                                    |
|         | (ii) August to March next year                                                                                          |                             | 60                                                     |
| SII.3.4 | For use of electricity exclusively during night hours (in accordance with condition 22 of General Conditions of Tariff) |                             |                                                        |
|         | i) 10.00 PM to 06.00 AM (next day)                                                                                      | 4.86                        | 50% of the charges specified for the relevant category |
|         | ii) 06.00 AM to 10.00 AM                                                                                                | 5.80                        |                                                        |

**Note:** In addition to the Energy Charge:

- (i) Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff;
- (ii) ToD tariff shall be applicable in accordance with condition 15 of General Conditions of Tariff.

### SII.3.5 Voltage Surcharge/Rebate

The voltage surcharge/rebate shall be applicable as per condition 13 of the General Conditions of Tariff.

**SII.3.6** In case of Rice Shellers, Ice Factories, Cold Storage & Stone Crushers falling under this schedule, where the metering is done on 11 kV and the consumer has installed his own transformer, additional rebate of 3 paise per kVAh shall be admissible over and above the voltage rebate admissible as per condition 13 of the General Conditions of Tariff.

### SII.4 Seasonal Industries

Seasonal industries shall be billed as per condition 18 of General Conditions of Tariff.

### SII.5 Factory Lighting

The consumption for the bona fide factory lighting and residential quarters, if any, attached to the factory shall not be metered separately. Only one meter shall be installed for industrial & general load and entire consumption shall be charged at the rate for industrial consumption.

### SII.6 Load/Demand Surcharge

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

### **SIII SCHEDULE OF TARIFF FOR SMALL POWER INDUSTRIAL SUPPLY (SP)**

#### **SIII.1 Availability**

This tariff shall apply to Industrial Power Supply consumers with sanctioned load/ demand not exceeding 20 kVA, including IT units covered under definition of 'Electronic Hardware and Information Technology (IT) Sector' as per the GoP notification no. 17/7/2014-AS 1/ 1372 dated 09.11.2015 or as amended from time to time.

Oil/Gas terminals, gas bottling plants, depots of oil/gas companies, poultry, goatery, piggery, fish farming (exclusive), dairy farms, Maize Dryer Units and Food (including fruits and vegetables) processing, packing & storage units, meeting above criteria shall also be covered in this schedule.

- SIII.1.1** A separate NRS connection in the premises of SP consumers shall be permissible for regular conduct of commercial activities provided such activity is permissible under the by laws/Rules of the Govt. The electric wiring and portion of the building for such activity should be separate.

#### **SIII.2 Character of Service**

- SIII.2.1** Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts, as specified in the Supply Code 2014.

- SIII.2.2** Metered Supply connections to poultry, goatery, piggery, fish farming (exclusive) and dairy farms may be released from category-1 or UPS or AP feeder at the option of the consumer subject to the technical feasibility to release such connection. However, the consumer opting for supply from AP feeder shall be entitled to limited hours of supply as per power supply schedule applicable to AP consumers. The consumers opting for supply from AP feeder shall not be eligible for tariff applicable to agriculture consumers.

#### **SIII.3 Tariff**

|          | Description                                                                                                             | Energy Charge<br>(Rs./kVAh) | Fixed Charge<br>(Rs./kVA/month)                        |
|----------|-------------------------------------------------------------------------------------------------------------------------|-----------------------------|--------------------------------------------------------|
| SIII.3.1 | General Industry                                                                                                        | 5.37                        | 80                                                     |
| SIII.3.2 | Seasonal industries covered under condition 18 of the General Conditions of Tariff:                                     |                             |                                                        |
|          | i) Seasonal Rate                                                                                                        | 5.37                        | 160 (for 6 Months)                                     |
|          | ii) Off Seasonal Rate                                                                                                   |                             | Nil                                                    |
| SIII.3.3 | Ice Factories, Ice Candies& Cold Storages                                                                               |                             |                                                        |
|          | i) April to July                                                                                                        | 5.37                        | 160                                                    |
|          | ii) August to March next year                                                                                           |                             | 40                                                     |
| SIII.3.4 | For use of electricity exclusively during night hours (in accordance with condition 22 of General Conditions of Tariff) |                             |                                                        |
|          | i) 10.00 PM to 06.00 AM (next day)                                                                                      | 4.86                        | 50% of the charges specified for the relevant category |
|          | ii) 06.00 AM to 10.00 AM                                                                                                | 5.37                        |                                                        |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

#### **SIII.3.5 Voltage Surcharge/Rebate**

Voltage surcharge/rebate shall be applicable as per condition 13 of General

Conditions of Tariff.

**SIII.4 Seasonal Industry**

Seasonal industries shall be billed as per condition 18 of General Conditions of Tariff.

**SIII.5 Factory Lighting**

The consumption for the bona fide factory lighting and residential quarters, if any, attached to the factory shall not be metered separately. Only one meter shall be installed for industrial & general load and entire consumption shall be charged at the rate for industrial consumption.

**SIII.6 Load/Demand Surcharge**

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

**SIV SCHEDULE OF TARIFF FOR AGRICULTURAL PUMPING SUPPLY (AP)**

**SIV.1 Availability**

This tariff shall apply to irrigation pumping supply loads including Kandi Area tube wells, tube wells in farms of PAU, Lift irrigation tube wells, PSTC tube wells, IB tube wells, tube wells installed under Technical Co- operative Assistance Scheme, tube wells of Co-operative Societies formed by marginal farmers for installing deep bore tube wells under Central Assistance Schemes, tube wells used to provide irrigation for horticulture/floriculture in open field condition or net houses, green/hot houses, tube wells of Harijan farmer's cooperative societies and Punjab Water Resources Management and Development Corporation's tube wells for reviving ecology of Holy Bein.

Power utilized for any other purpose shall be separately metered and charged under the relevant schedule.

**SIV.2 Character of Service**

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or higher voltage, as specified in the Supply Code 2014.

**SIV.3 Tariff**

|                | Description                         | Energy Charge<br>(Rs.)                    | Fixed Charge<br>(Rs./month) |
|----------------|-------------------------------------|-------------------------------------------|-----------------------------|
| <b>SIV.3.1</b> | Agricultural Pumping<br>Supply (AP) | <b>5.66/kWh<br/>or<br/>419 /BHP/month</b> |                             |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

**SIV.3.2 Voltage Surcharge/Rebate**

Voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

**SIV.4 Flat rate supply shall only be allowed to consumers getting supply from agriculture**

feeders. The consumers located within Municipal Limits of cities/towns or getting supply from Urban/City/Urban Pattern Supply/Kandi area feeders shall be covered under metered supply only.

**SIV.4.1** 20% surcharge on flat rate charges or as may be determined by the Commission in the Tariff Order, shall be leviable in case of agricultural consumers covered under flat rate/metered supply category until a consumer fulfils the following requirements:

**SIV.4.1.1** Delivery pipe should not be more than 2 feet above the ground level water channel except for the consumers who are having underground irrigation system.

**SIV.4.1.2** Bend used in the delivery pipe should not be sharp but of suitable curvature.

**SIV.4.1.3** Motor-Pump should be installed on a Pucca leveled foundation in case of mono-block or belt driven pump-sets.

**SIV.4.2** Extra fixed charges shall be levied wherever an agricultural tube well covered under this schedule is also used for fish farming as below:

**SIV.4.2.1** Fish culture in a pond up to half acre: Rs. 900/- per annum

**SIV.4.2.2** Fish culture in a pond above half acre, but up to one acre: Rs. 1800/- per annum

**SIV.4.2.3** Additional area under fish pond to be charged in multiples of half acre rate. The pond area shall include bundhing.

**SIV.4.2.4** Relevant industrial tariff shall be applied for such tube wells which are exclusively used for fish farming.

**SIV. 4.3 Misuse of AP supply**

The misuse of AP supply provided to agricultural tube wells for other purposes shall be dealt with as per provisions of Electricity Act, 2003.

**SIV.5 Pump House Lighting**

The consumption for bona fide lighting of the pump or machine house of 2 CFLs with total wattage aggregating 40 watts shall be allowed per tube well connection.

**SIV.6 Load Surcharge**

Load surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

**SIV.7 Installation of Shunt Capacitors**

**SIV.7.1** No tube well connection shall be released without installation of ISI mark Shunt Capacitors of requisite capacity. The kVArh capacity of Shunt Capacitors to be installed shall be as prescribed by the distribution licensee with the approval of the Commission.

**SIV.7.2** AP consumers having got installed Shunt Capacitors at their tube well premises from the distribution licensee against payment of monthly rentals, shall be charged rentals @ Rs. 4/- per kVArh per month from the date of installation. The rentals shall, however, be recovered on half yearly basis i.e. Rs. 24 per kVArh in April and October every year.

**SIV.7.3** Before allowing extension in load/regularization of load by distribution licensee, the existing AP consumers shall install capacitors of adequate capacity as prescribed by distribution licensee with the approval of the Commission.

**SV SCHEDULE OF TARIFF FOR NON-RESIDENTIAL SUPPLY (NRS)**

**SV.1 Availability**

**SV.1.1** This tariff shall apply to:

Non-residential premises such as business houses, cinemas, clubs, offices, hotels/motels, marriage palaces, hot mix/ready mix plants, departmental stores, shops, guest houses, restaurants for lights, fans, pumping set, air conditioning units/plants, lifts, welding sets, small lathes, electric drills, heaters etc.;

EV Charging Stations, battery chargers, embroidery machines, printing presses, ice candy machines, dry cleaning machines, power presses, small motors, Street lighting connections by private colonizers/private companies/individuals etc.

Private hospitals (other than charitable), Private unaided educational institutions i.e. schools, colleges and universities, hostels and residential quarters attached thereto where such institutions/installations are not covered under schedule DS/BS;

Telecommunication/Cellular Mobile Phone Towers and all private sports institutions/ facilities including gymnasiums.

**SV.1.2** If a portion of residential/industrial premises is regularly used for any commercial activity permitted under law, the consumer shall be required to obtain a separate connection under NRS category for the portion put to commercial use. In such an event, two connections, one under Schedule DS/Industrial and the other under Schedule NRS shall be permitted.

**SV.1.3** Any of the following activities carried out in a part of residential premises shall also be covered under this schedule.

- a) A private outpatient clinic/hospital or laboratory.
- b) PCO.
- c) Milk processing (other than chilling plant)) for commercial purposes.
- d) Offices of any other professional service provider.
- e) ATM.

**SV.2 Character of Service**

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014, depending on quantum of load/contract demand and availability of bus voltage & transformer winding capacity at the feeding sub-station.

### SV.3 Tariff

|        | Description                                                           | Energy Charge (Rs.) | Fixed Charge (Rs./month) |
|--------|-----------------------------------------------------------------------|---------------------|--------------------------|
| SV.3.1 | <b>Loads upto 7 kW</b>                                                |                     |                          |
|        | i) Upto 100 kWh                                                       | 6.91/kWh            | 45/kW                    |
|        | ii) 101- 500 kWh                                                      | 7.17/kWh            |                          |
|        | iii) Above 500 kWh                                                    | 7.29/kWh            |                          |
| SV.3.2 | <b>Loads exceeding 7 kW &amp; upto 20 kW</b>                          |                     |                          |
|        | i) Upto 100 kWh                                                       | 6.91/kWh            | 70/kW                    |
|        | ii) 101- 500 kWh                                                      | 7.17/kWh            |                          |
|        | iii) Above 500 kWh                                                    | 7.29/kWh            |                          |
| SV.3.3 | <b>Load/Demand exceeding 20 KW/kVA &amp; upto 100 kVA (All units)</b> | 6.35/kVAh           | 100/kVA                  |
| SV.3.4 | <b>Demand exceeding 100 kVA (All Units)</b>                           | 6.55/kVAh           | 110/kVA                  |
| SV.3.5 | <b>EV Charging Stations</b>                                           | 6.00/kVAh           | NA                       |

**Note:**

- Fuel Cost Adjustment (FCA) charges for the relevant period shall be applicable in addition to the energy charges, in accordance with condition 8 of General Conditions of Tariff;*
- ToD tariff to NRS consumers with sanctioned Contract Demand exceeding 100 kVA and to EV Charging Stations shall be applicable in accordance with condition 15 of General Conditions of Tariff;*
- The energy charges shall be increased by 25% for private hospitals & MRI/CT Scan centres getting continuous supply through independent feeders under this Schedule;*
- Marriage Palaces and Hot Mix/Ready Mix Plants shall pay Fixed Charges on 25% of Sanctioned Load/Contract Demand. In case, the consumer exceeds its Sanctioned Load/Contract Demand during a billing cycle/month, he shall also be liable to pay applicable load/demand surcharge.*

#### SV.3.6 Voltage Surcharge/Rebate

The voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

#### SV.4 Load/ Demand Surcharge

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

### SVI SCHEDULE OF TARIFF FOR DOMESTIC SUPPLY (DS)

#### SVI.1 Availability

This tariff shall apply to the following:

- SVI.1.1** Supply to a residential premise for lights, fans, single/three phase domestic pumping set/toka machine not exceeding 2 BHP and other house hold appliances. Where a room or a part of residential house is being utilized by a person for imparting education/tuition work or for cookery classes/beauty parlour/tailoring work etc., supply for such purposes shall also be covered under this schedule.

Where a portion of the residential premises is used regularly for the conduct of business, the supply in that portion shall be separately metered under separate connection and billed under Schedule NRS.



- SVI.1.2** Supply to Govt. sports institutions/facilities, including gymnasiums, Govt./Govt. aided educational institutions viz. schools, colleges, universities, I.T.Is, including hostels and residential quarters attached to these educational institutions, Paying Guests using electricity for domestic / residential purposes shall be covered under this schedule

Supply to hostels and/or residential quarters attached with the private educational institutions where separately metered shall also be covered in this schedule. Hostels will be considered as one unit and billed without compounding.

- SVI.1.3** Supply to all places of worship provided that concerned authorized officer of the distribution licensee certifies the genuineness of place being used for worship by general public.
- SVI.1.4** Supply to Sainik Rest Houses of Rajya Sainik Board.
- SVI.1.5** Supply to Govt. hospitals, primary health centres, civil dispensaries and hospitals run by charitable institutions covered under section 80(G) of the Income Tax Act.
- SVI.1.6** Release of more than one connection in the premises of Domestic Supply consumer shall be admissible as specified in the Supply Code, 2014 as amended from time to time.

## **SVI.2 Character of Service**

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014, depending on quantum of load/contract demand and availability of bus voltage & transformer winding capacity at the feeding sub-station.

## **SVI.3 Tariff**

|                | Description                                                           | Energy Charge (Rs.) | Fixed Charge (Rs./month) |
|----------------|-----------------------------------------------------------------------|---------------------|--------------------------|
| <b>SVI.3.1</b> | <b>Load upto 2kW</b>                                                  |                     |                          |
|                | i) Upto 100 kWh                                                       | 3.49/kWh            | 35/kW                    |
|                | ii) 101- 300 kWh                                                      | 5.84/kWh            |                          |
|                | iii) Above 300 kWh                                                    | 7.30/kWh            |                          |
| <b>SVI.3.2</b> | <b>Load exceeding 2 kW &amp; upto 7 kW</b>                            |                     |                          |
|                | i) Upto 100 kWh                                                       | 3.74/kWh            | 60/kW                    |
|                | ii) 101- 300 kWh                                                      | 5.84/kWh            |                          |
|                | iii) Above 300 kWh                                                    | 7.30/kWh            |                          |
| <b>SVI.3.3</b> | <b>Load exceeding 7 kW &amp; upto 50 kW</b>                           |                     |                          |
|                | i) Upto 100 kWh                                                       | 4.64/kWh            | 95/kW                    |
|                | ii) 101- 300 kWh                                                      | 6.50/kWh            |                          |
|                | iii) Above 300 kWh                                                    | 7.50/kWh            |                          |
| <b>SVI.3.4</b> | <b>Load/Demand exceeding 50 kW/kVA &amp; upto 100 kVA (All units)</b> | 6.43/kVAh           | 115/kVA                  |
| <b>SVI.3.5</b> | <b>Demand above 100 kVA (All units)</b>                               | 6.63/kVAh           | 125/kVA                  |
| <b>SVI.3.6</b> | <b>Sri Harmandir Sahib and Sri Durgiana Mandir, Amritsar</b>          |                     |                          |
|                | First 2000 kWh                                                        | Free                | NA                       |
|                | Beyond 2000 kWh                                                       | 6.11/kWh            |                          |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

**SVI.3.7 Voltage Surcharge/Rebate**

Voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

**SVI.4 Load/ Demand Surcharge**

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

**SVI.5 Single Point Supply to Co-operative Group Housing Societies/ Employers etc.**

Supply to such consumers shall be governed by the provisions as contained in PSERC (Single Point Supply to Co-operative Group Housing Societies/ Employers) Regulations, 2008, as amended from time to time, i.e. total consumption of electricity recorded at single point connection of a Co-operative Housing Society/employer's colony will be billed at a rate equal to the highest slab rate of Schedule of Tariff for Domestic Supply (DS) and a rebate of 12% (Twelve percent) will be admissible in addition to any other rebate on electricity charges, comprising of fixed and energy charges as may be approved by the Commission. The Fixed Charges on the basis of Contract Demand of the consumer shall be applicable as specified in the Tariff Order for the year.

**SVII SCHEDULE OF TARIFF FOR BULK SUPPLY (BS)****SVII.1 Availability**

This tariff shall apply to the following:

**SVII.1.1** General or mixed loads exceeding 10 kW/kVA to MES, Defence Establishments, Railways, Central PWD institutions, Irrigation Head works, Jails, Police/Para Military Establishments/Colonies and Govt. Hospitals/ Medical Colleges/Govt. Educational Institutions having mixed load subject to a minimum of 25% domestic load and motive/Industrial load not exceeding 50%, where further distribution will be undertaken by the consumer.

**SVII.1.2** General or mixed loads exceeding 10 kW/kVA to all private educational institutes/ universities/ colleges/ hospitals etc. having mixed load subject to a minimum of 25% domestic load and motive/Industrial load not exceeding 50%, for their own use and to run the affairs connected with the functions of such educational institutes/ universities/ colleges/ hospitals etc. provided the entire LD system has been laid at the cost of the consumer.

**SVII.1.3** However, institutions/Installations having DS load less than 25% will be covered under relevant NRS Schedule of Tariff. Where motive/Industrial load of any installation exceeds 50% of the total load, such an installation will be charged applicable industrial tariff.

**SVII.2 Character of Service**

Alternating Current, 50 cycles/second, Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014, depending on quantum of contract demand and availability of bus voltage & transformer winding capacity at the feeding sub-station.

### SVII.3 Tariff

|          | Description | Energy Charge<br>(Rs./kVAh) | Fixed Charge<br>(Rs./kVA/month) |
|----------|-------------|-----------------------------|---------------------------------|
| SVII.3.1 | LT          | 6.66                        | 225                             |
| SVII.3.2 | HT          | 6.38                        | 300                             |

**Note:**

- Fuel Cost Adjustment (FCA) charges for the relevant period shall be applicable in addition to the energy charges in accordance with condition 8 of General Conditions of Tariff;*
- ToD tariff to BS consumers with sanctioned Contract Demand exceeding 100 kVA shall be applicable in accordance with condition 15 of General Conditions of Tariff;*
- Energy charges shall be increased by 25% in case of private hospitals & MRI/CT Scan centers getting continuous supply through independent feeders under BS Schedule.*

### SVII.3.3 Voltage Surcharge/Rebate

Voltage Surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

### SVII.4 Load /Demand Surcharge

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

## SVIII SCHEDULE OF TARIFF FOR PUBLIC LIGHTING SUPPLY

### SVIII.1 Availability

Available for lighting system of streets, roads, parks, chowks, highways, toll plaza etc. Including signalling system undertaken by local bodies like Municipal Corporations, Municipal Committees, Nagar Councils, Panchayats, Development Authorities, Institutions, any Central Government agency etc.. However, it shall not include lighting used for advertisements, Hoardings and displays etc.

### SVIII.2 Character of Service

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or higher voltage, as specified in the Supply Code 2014.

### SVIII.3 Tariff

| Energy Charge (Rs.) | Fixed Charge (Rs./month) |
|---------------------|--------------------------|
| 7.43/kWh            | 100/kW                   |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

### SVIII.4 Rates of Line Maintenance and Lamp Renewal Charges

#### SVIII.4.1 Category-A

Where the initial installation of complete street light fittings & lamps and their subsequent replacement shall be carried out at the licensee's cost, the line maintenance and lamp renewal charges shall be as under:

**SVIII.4.1.1 Ordinary/CFL/LED lamps**

|      |                       |                           |
|------|-----------------------|---------------------------|
| (i)  | Lamps up to 150 watts | Rs.16/-per lamp per month |
| (ii) | Lamps above 150 watts | Special quotation         |

**SVIII.4.1.2 Mercury/ Sodium Vapour lamps**

|       |                    |                             |
|-------|--------------------|-----------------------------|
| (i)   | Lamps of 80 watts  | Rs. 49/- per lamp per month |
| (ii)  | Lamps of 125 watts | Rs. 53/- per lamp per month |
| (iii) | Lamps of 250 watts | Rs. 90/- per lamp per month |
| (iv)  | Lamps of 400 watts | Rs. 101/-per lamp per month |

**SVIII.4.1.3 Fluorescent tubes**

|       |                      |                              |
|-------|----------------------|------------------------------|
| (i)   | Single 2 ft 20 watts | Rs. 26/- per point per month |
| (ii)  | Single 4 ft 40 watts | Rs. 43/- per point per month |
| (iii) | Double 2 ft 20 watts | Rs. 43/- per point per month |
| (iv)  | Double 4 ft 40 watts | Rs. 68/-per point per month  |

**SVIII.4.2 Category-B**

Where the initial installation and subsequent replacement of complete street light fittings shall be done at the cost of the licensee and initial installation & subsequent replacement of lamps shall be done at the cost of Street Lighting consumers i.e. lamps to be supplied by the consumer, the line maintenance and lamp renewal charges shall be as under:

**SVIII.4.2.1 Ordinary/CFL/LED lamps**

|      |                       |                                     |
|------|-----------------------|-------------------------------------|
| (i)  | Lamps up to 150 watts | Rs. 14/- per lamp per month         |
| (ii) | Lamps above 150 watts | Special quotation and special lamps |

**SVIII.4.2.2 Mercury/Sodium Vapour lamps**

|       |                    |                             |
|-------|--------------------|-----------------------------|
| (i)   | Lamps of 80 watts  | Rs. 29/- per lamp per month |
| (ii)  | Lamps of 125 watts | Rs. 36/- per lamp per month |
| (iii) | Lamps of 250 watts | Rs. 63/- per lamp per month |
| (iv)  | Lamps of 400 watts | Rs. 68/-per lamp per month  |

**SVIII 4.2.3 Fluorescent tubes**

|       |                      |                              |
|-------|----------------------|------------------------------|
| (i)   | Single 2 ft 20 watts | Rs. 23/- per point per month |
| (ii)  | Single 4 ft 40 watts | Rs. 40/- per point per month |
| (iii) | Double 2 ft 20 watts | Rs. 39/- per point per month |
| (iv)  | Double 4 ft 40 watts | Rs. 61/-per point per month  |

**SVIII.4.3 Category-C**

Where the initial installation of complete street light fittings and lamps as well as their subsequent replacement shall be done at the cost of Street Lighting consumer i.e. fittings and lamps to be supplied by the consumer, the line maintenance and lamp renewal charges shall be as under:

**SVIII.4.3.1 Ordinary/CFL/LED lamps**

|      |                       |                                     |
|------|-----------------------|-------------------------------------|
| (i)  | Lamps up to 150 watts | Rs. 11/- per lamp per month         |
| (ii) | Lamps above 150 watts | Special quotation and special lamps |

**SVIII.4.3.2 Mercury/Sodium Vapour lamps**

|     |                                     |                             |
|-----|-------------------------------------|-----------------------------|
| (i) | Lamps of 80, 125, 250 and 400 watts | Rs. 13/- per lamp per month |
|-----|-------------------------------------|-----------------------------|

**SVIII.4.3.3 Fluorescent tubes**

|       |                      |                              |
|-------|----------------------|------------------------------|
| (i)   | Single 2 ft 20 watts | Rs. 13/- per point per month |
| (ii)  | Single 4 ft 40 watts | Rs. 13/- per point per month |
| (iii) | Double 2 ft 20 watts | Rs. 13/- per point per month |
| (iv)  | Double 4 ft 40 watts | Rs. 13/-per point per month  |

**Note:** Where the work of lamp renewal/replacement is being carried out by the local bodies, the charges pertaining to line maintenance and lamp renewal/replacement shall be shared by licensee and the Municipal Corporation/Committee/Council/Panchayat in the ratio of 50:50.

**SVIII.4.4 Category-D**

Where the initial installation of complete street light fittings and lamps as well as subsequent replacement of fittings shall be carried out at the cost of Street Lighting consumer but the replacement of fluorescent tubes shall be done at the cost of the licensee i.e. fluorescent tubes to be supplied by the licensee, the line maintenance and fluorescent tube replacement charges shall be as under:

|       |                      |                             |
|-------|----------------------|-----------------------------|
| (i)   | Single 2 ft 20 watts | Rs.16/- per point per month |
| (ii)  | Single 4 ft 40 watts | Rs.16/- per point per month |
| (iii) | Double 2 ft 20 watts | Rs.18/- per point per month |
| (iv)  | Double 4 ft 40 watts | Rs.21/-per point per month  |

**SVIII.4.5 Category-E**

Where the erection of the Public lighting electrical infrastructure viz poles, conductor along with fittings etc. has been carried out by the street lighting consumer along with complete street light fittings and lamps and the subsequent maintenance/replacement is also done at their own expense without the use of any infrastructure and/or manpower of the distribution licensee, no line maintenance and lamp renewal charges shall be recoverable from such public lighting consumer. Such consumer shall be liable to pay only the tariff as per clause SVIII.3.

**SVIII.5 Rebate to Village Panchayats**

For Street Lighting supply to Village Panchayats, a rebate of twenty five percent over the standard tariff (i.e. energy charges and line maintenance and lamp renewal charges under all categories) shall be admissible.

**SIX SCHEDULE OF TARIFF FOR RAILWAY TRACTION (RT)****SIX.1 Availability**

Available to the Railways for traction load.

**SIX.2 Character of Service**

Alternating Current, 50 cycles/second, Single/Two/Three Phase 132 kV or higher voltage, as specified in the Supply Code 2014, depending upon the availability of bus voltage & transformer winding capacity at the feeding sub-station wherever

possible at the discretion of the distribution licensee.

### SIX.3 Tariff

| Energy Charges (Rs.) | Fixed Charges (Rs./month) |
|----------------------|---------------------------|
| 6.97/kVAh            | 340/kVA                   |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

### SIII.3.1 Voltage Surcharge/Rebate

Voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

### SIX.4 Demand Surcharge

Demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

### SIX. 5 Single Point Delivery

The above tariff is based on the supply being given through a single delivery & metering point and at a single voltage. Supply at any other point or at other voltage shall be separately metered and billed.

## SX. SCHEDULE OF TARIFF FOR TEMPORARY METERED SUPPLY (TM)

### Availability

Temporary supply shall be permitted to an applicant as per Supply Code 2014 for a period as per applicant's request, but not exceeding two years in the first instance. However, the distribution licensee may extend such supply on an application by the consumer.

Fixed Charges for Temporary Supply shall be levied @  $12 \times 2A/365$  per day, where 'A' is the Monthly Fixed Charge applicable to the corresponding permanent supply consumer category. Provided that fixed charges so computed shall not exceed the fixed charges applicable on monthly basis.

### SX.1 Tariff for Domestic and Non-Residential Supply

#### SX.1.1 Availability

Temporary supply shall be permitted on an application to domestic and non-residential supply applicants (excluding touring cinemas).

#### SX.1.2 Character of Service

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014.

#### SX.1.3 Tariff

|          | Description            | Energy Charge (Rs.)                                                                                                                              | Fixed Charges (Rs.) |
|----------|------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| SX.1.3.1 | Domestic Supply        | 1.25 times the charges (highest slab rate) specified under the relevant schedule for permanent supply corresponding to the Connected Load/Demand |                     |
| SX.1.3.2 | Non-Residential Supply |                                                                                                                                                  |                     |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

#### SX.1.3.3 Voltage surcharge/rebate

The voltage surcharge/rebate shall be applicable as per Condition 13 of General Conditions of Tariff.

#### **SX.1.4 Load/ Demand Surcharge**

In case a temporary supply consumer covered under this schedule exceeds his sanctioned load/contract demand at his premises, the consumer shall be levied load/demand surcharge at the same rate as applicable under relevant schedule for permanent supply.

### **SX.2 Tariff for Temporary Small, Medium and Large Power Industrial Supply**

#### **SX.2.1 Availability**

Temporary supply shall be permitted to all industrial consumers for loads including pumps for dewatering in case of floods on an application as per applicant's request.

#### **SX.2.2 Character of Service**

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014.

#### **SX.2.3 Tariff**

|                 | Description | Energy Charge (Rs.)                                                                                                               | Fixed Charges (Rs.) |
|-----------------|-------------|-----------------------------------------------------------------------------------------------------------------------------------|---------------------|
| <b>SX.2.3.1</b> | SP          | 1.25 times the charges specified under the relevant schedule for permanent industrial supply corresponding to the Contract Demand |                     |
| <b>SX.2.3.2</b> | MS          |                                                                                                                                   |                     |
| <b>SX.2.3.3</b> | LS          |                                                                                                                                   |                     |

*Note: In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.*

#### **SX.2.3.4 Voltage Surcharge/Rebate**

The voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

#### **SX.2.4 Factory Lighting**

In case of temporary supply to Large Supply, Medium Supply & Small Power Industrial consumers, the bonafide factory lighting and motive/ Industrial power consumption shall be measured through one and the same meter and charged at the relevant tariff as per para SX.2.3 of this Schedule.

#### **SX.2.5 Load/Demand Surcharge**

In case a temporary supply consumer covered under this schedule exceeds his contract demand at his premises, the consumer shall be levied demand surcharge at double the rates as applicable under relevant schedule for permanent supply.

### **SX.3 Tariff for Wheat Threshers**

#### **SX.3.1 Availability**

Available for threshing of wheat for the period between 1<sup>st</sup> April to 30<sup>th</sup> June.

#### **SX.3.2 Character of Service**

Alternating Current, 50 cycles/ second, Three Phase 400 volts or as specified in the Supply Code 2014.

### **SX.3.3 Tariff**

|                  | Description | Energy Charge (Rs.)                                                                                                               | Fixed Charges (Rs.) |
|------------------|-------------|-----------------------------------------------------------------------------------------------------------------------------------|---------------------|
| <b>SX. 3.3.1</b> | SP          | 1.25 times the charges specified under the relevant schedule for permanent industrial supply corresponding to the Contract Demand |                     |
| <b>SX. 3.3.2</b> | MS          |                                                                                                                                   |                     |
| <b>SX. 3.3.3</b> | LS          |                                                                                                                                   |                     |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

#### **SX.3.3.4 Voltage surcharge/rebate**

The voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

#### **SX.3.4 Load/Demand Surcharge**

In case a temporary supply consumer covered under this schedule exceeds his contract demand at his premises, the consumer shall be levied demand surcharge at double the rates as applicable under relevant schedule for permanent industrial supply.

### **SX.4 Tariff for Fairs, Exhibitions, Melas and Congregations**

#### **SX.4.1 Availability**

Available for temporary loads of Fairs, Exhibitions, Melas and Congregations.

#### **SX.4.2 Character of Service**

Alternating Current, 50 cycles/second, Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014.

#### **SX.4.3 Tariff**

|                  | Description | Energy Charge (Rs.)                                                                    | Fixed Charges (Rs.) |
|------------------|-------------|----------------------------------------------------------------------------------------|---------------------|
| <b>SX. 4.3.1</b> | LT          | 1.25 times the charges specified under the relevant schedule for permanent bulk supply |                     |
| <b>SX. 4.3.2</b> | HT          |                                                                                        |                     |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

#### **SX.4.3.3 Voltage Surcharge/Rebate**

The voltage surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

#### **SX.4.4 Load/Demand Surcharge**

In case a temporary supply consumer covered under this schedule exceeds his contract demand at his premises, the consumer shall be levied demand surcharge at the same rate as applicable under the relevant schedule for bulk supply.

### **SX.5 Tariff for Touring Cinemas**

#### **SX.5.1 Availability**

**SX.5.1.1** Available to all touring cinemas, theatres, circuses etc.. However, supply shall be given separately for general loads (Lights/fans and motive loads).

**SX.5.1.2** The connection shall be sanctioned in the first instance for the entire period of



validity of license or for the period requisitioned for, whichever is less.

### **SX.5.2 Character of Service**

Alternating Current, 50 cycles/second, Single Phase 230 volts or Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014.

### **SX.5.3 Tariff**

|                 | Description     | Energy Charge (Rs.)                                                                                                                                   | Fixed Charges (Rs.) |
|-----------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| <b>SX.5.3.1</b> | Lights and fans | 1.25 times the charges (highest slab rate) specified under the relevant schedule for permanent NRS supply corresponding to the Sanctioned Load/Demand |                     |
| <b>SX.5.3.2</b> | Motive load     | 1.25 times the charges specified under the relevant schedule for permanent Industrial supply corresponding to the Contract Demand                     |                     |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

### **SX.5.3.3 Voltage surcharge/rebate**

The voltage surcharge/rebate shall be applicable as per clause 13 of General Conditions of Tariff.

### **SX.5.4 Load/ Demand Surcharge**

In case a temporary supply consumer covered under this schedule exceeds his sanctioned load/contract demand at his premises, the consumer shall be levied load/demand surcharge at the same rate as applicable under relevant schedule for permanent industrial supply.

## **SXI SCHEDULE OF TARIFF FOR AP HIGH TECHNOLOGY/HIGH DENSITY FARMING SUPPLY**

### **SXI.1 Availability**

Available for High Technology green house farming and High Density AP farming. The AP (High Technology) Supply shall be subject to fulfilling the conditions as mentioned at SXI.1.1, 1.2 & 1.3 whereas High Density AP Supply shall be subject to conditions mentioned at SXI.1.4

**SXI.1.1** Setting up a green house with a minimum area of 2000 sq. metres.

**SXI.1.2** Production of certificate from Director/Agriculture and/or Director/Horticulture or any other officer authorized by the Govt. of Punjab, to the effect that the farming being carried out by the consumer involves use of high technology requiring power supply to produce quality products such as vegetables/ fruits/seeds/flowers etc., to meet the standards of domestic/International markets.

**SXI.1.3** A distribution licensee shall take necessary steps to annually verify that all consumers continue to fulfil the obligations as above for coverage under this category. In the event of a consumer ceasing to fulfil these obligations, connection released shall be disconnected after giving at least 15 days notice.

**SXI.1.4** The farmers opting for High Density Farming supply shall furnish a certificate from Director/Agriculture and/or Director/Horticulture department to the effect that farming being carried out by the applicant is covered under High Density farming as per the State Government policy.

**SXI.2 Character of Service**

Alternating Current, 50 cycles/second, Three phase 400 volts for loads not exceeding 100 kW and 11 kV or higher voltage supply for loads above 100 kW as specified in the Supply Code 2014.

**SXI.3 Tariff**

| Energy Charge (Rs.) | Fixed Charges (Rs./month) |
|---------------------|---------------------------|
| 5.66/kWh            | Not Applicable            |

**Note:** In addition to the Energy Charge, Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.

**SXI.3.1 Voltage Surcharge/Rebate**

Voltage Surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

**SXI.4** The provisions of Regulation 9 of the Supply Code 2014 shall be applicable for the release of a connection under this category. Connections with a load of more than 100 kW shall be released at 11 kV. An independent feeder shall be provided at the consumer's expense if uninterrupted supply is required. Connection with a load not exceeding 100 kW may be released from AP feeder or category-1 or UPS feeder at the option of the consumer, subject to the technical feasibility to release such connection. However, the consumers opting for supply from agriculture feeders shall be entitled to limited hours of supply as per power supply schedule applicable to AP consumers. Only metered supply shall be admissible under this category.

**SXI.5 Load Surcharge**

Load surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

**SXI.6 Power Factor Surcharge/Incentive**

Consumers shall be required to maintain a monthly average power factor of 0.90. The monthly average power factor shall mean the ratio of total kWh to total kVAh supplied during the month. The ratio shall be rounded up to two decimal points.

**SXI. 6.1 Low Power Factor Surcharge**

If the monthly average power factor falls below 0.90, the consumer shall pay on the energy charges a surcharge of 1% for each 0.01 decrease in the monthly average power factor below 0.90. The surcharge shall be 2% for each 0.01 decrease of monthly average power factor below 0.80.

**SXI.6.2 Power Factor Incentive**

If the monthly average power factor exceeds 0.90, incentive @ 0.25%, for each increase of 0.01 above 0.90 shall be allowed on the energy charges.

**SXI.6.3** For power factor surcharge & incentive, the energy charges shall also include the surcharge or rebate as applicable under para SXI.3.1 of this schedule.

## **SXII. SCHEDULE OF TARIFF FOR COMPOST PLANTS/SOLID WASTE MANAGEMENT PLANTS AND WATER SUPPLY SCHEMES**

### **SXII.1 Availability**

Available for Industrial/motive loads of compost plants/solid waste management plants including pumps etc., for Municipalities/Urban Local Bodies and Water Works Supply schemes for use of general public residing in urban or rural areas except for Co-operative Group Housing Societies and Employers availing single point supply of Electricity under PSERC (Single Point Supply to Co-operative Group Housing Societies/Employers) Regulations.

### **SXII.2 Character of Service**

Alternating Current, 50 cycles/second, Three Phase 400 volts or 11 kV or higher voltage as per Supply Code 2014 depending on quantum of demand.

### **SXII.3 Tariff**

| <b>Energy Charge<br/>(Rs.)</b> | <b>Fixed Charges<br/>(Rs./month)</b> |
|--------------------------------|--------------------------------------|
| 5.22/kVAh                      | 60/kVA                               |

**Note:** In addition to the Energy Charge:

- (i) Fuel Cost Adjustment (FCA) charge for the relevant period shall be applicable in accordance with condition 8 of General Conditions of Tariff.
- (ii) ToD Tariff (for loads with contract demand exceeding 20kVA) shall be applicable in accordance with condition 15 of General Conditions of Tariff.

### **SXII.3.1 Voltage Surcharge/Rebate**

Voltage Surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

### **SXII.4 Load/Demand Surcharge**

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

## **SXIII. SCHEDULE OF TARIFF FOR START UP POWER**

### **SXIII.1 Availability**

Available to Generators/CPPs, who seek supply for start up power for pre-commissioning or planned/forced outages.

This power shall also be available to generators/CPPs connected to CTU grid with proper accounting.

### **SXIII.2 Character of service**

Alternating Current, 50 cycles/second, Three Phase 11kV or higher voltage as specified in the Supply Code 2014, as amended from time to time.

**SXIII.3 Tariff**

| Energy Charge (Rs.) | Fixed Charges (Rs.) |
|---------------------|---------------------|
| 7.35/kVAh           | Not Applicable      |

**Note:** In addition to the energy charges, Fuel Cost Adjustment (FCA) charges shall be applicable in accordance with condition 8 of General Conditions of Tariff.

**SXIII.3.1 Voltage Surcharge/Rebate**

Voltage Surcharge/rebate shall be applicable as per condition 13 of General Conditions of Tariff.

**SXIII.4. Demand Surcharge**

The Demand Surcharge for exceeding the Contract Demand shall be as applicable to Large Supply Industrial Consumers (General).

**SXIII.5. Terms and Conditions**

**SXIII.5.1** The Contract Demand for supply for start up power shall not exceed 15% of the rated capacity of the unit with highest rating in the power plant.

**SXIII.5.2** The generator shall execute an agreement with the distribution licensee for meeting the requirement for start up power incorporating above terms and conditions.

**SXIII.5.3** Start up Power to CPPs shall be governed by terms and conditions as specified in PSERC (Harnessing of Captive Power Generation) Regulations, 2009, as amended from time to time.

**SXIV. SCHEDULE OF TARIFF FOR CHARITABLE HOSPITALS SET-UP UNDER PERSONS WITH DISABILITY (EQUAL OPPORTUNITIES, PROTECTION OF RIGHTS AND FULL PARTICIPATION), ACT 1995.**

**SXIV.1 Availability**

Available to Charitable Hospitals set-up under Persons with Disability (Equal Opportunities, Protection of Rights and Full Participation), Act 1995. The connections shall be released under this category as per terms and conditions applicable to domestic consumers.

**SXIV.2 Character of Services**

Alternating Current, 50 cycles/second, Three Phase 400 volts or 11 kV or higher voltage as specified in the Supply Code 2014, depending on quantum of load/demand.

**SXIV.3 Tariff**

|                 | Energy Charge (Rs./kVAh) | Fixed Charges (Rs./Month) |
|-----------------|--------------------------|---------------------------|
| <b>SXIV.3.1</b> | 5.40/kVAh                | 70/kVA.                   |

**Note:** Fuel Cost Adjustment (FCA) charges for the relevant period shall be applicable in addition to the energy charges, in accordance with condition 8 of General Conditions of Tariff.

**SXIV.3.2 Voltage Surcharge/Rebate**

Voltage surcharge/rebate shall be applicable as per Condition 13 of General Conditions of Tariff.

**SXIV.4 Load/ Demand Surcharge**

Load/demand surcharge shall be applicable as per Condition 23 of General Conditions of Tariff.

**Minutes of the Meeting of PSERC State Advisory Committee, Chandigarh held on 22<sup>nd</sup> February, 2022.**

A meeting of the PSERC, State Advisory Committee was held in the office of the Commission at Chandigarh on **22<sup>nd</sup> February, 2022**. PSERC had invited comments of the members on the Petitions for True up of FY 2020-21, the Annual performance Review (APR) for FY 2021-22 and the ARR Requirements and Tariff Proposal for FY 2022-23 (2nd control period from FY 2020-21 to FY 2022-23), respectively of Punjab State Power Corporation Ltd. (PSPCL), Punjab State Transmission Corporation Ltd. (PSTCL) and on the agenda items as proposed by some of the members of PSERC State Advisory Committee. The following were present/represented in person/through video-conferencing in the meeting: -

| Sr. No. | Name and Address                                                                                                                                                               | Designation               |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|
| 1.      | Sh. Viswajeet Khanna<br>Chairman, PSERC, Site No-3, Madhya Marg, 18-A, Chandigarh.                                                                                             | Ex-officio<br>Chairperson |
| 2.      | Er. Anjuli Chandra<br>Member, PSERC, Site No-3, Madhya Marg, 18-A, Chandigarh.                                                                                                 | Ex-officio<br>Member      |
| 3.      | Sh. Paramjeet Singh<br>Member, PSERC Site No-3, Madhya Marg, 18-A, Chandigarh.                                                                                                 | Ex-officio<br>Member      |
| 4.      | Principal Secretary,<br>Department of Power, Government of Punjab, Chandigarh.                                                                                                 | Member                    |
| 5.      | Principal Secretary,<br>Food & Supplies and Consumer Affairs, Government of Punjab,<br>Chandigarh.                                                                             | Ex-officio<br>Member      |
| 6.      | Principal Secretary,<br>New and Renewal sources of Energy (NRSE), Government of<br>Punjab, Chandigarh.                                                                         | Member                    |
| 7.      | Smt. Parneet Mahal Suri,<br>Secretary, PSERC Site No-3, Madhya Marg, 18-A, Chandigarh.                                                                                         | Ex-Officio<br>Secretary   |
| 8.      | Chairman-cum-Managing Director, PSPCL, The Mall, Patiala.                                                                                                                      | Member                    |
| 9.      | Chairman-cum-Managing Director, PSTCL, The Mall, Patiala.                                                                                                                      | Member                    |
| 10.     | S. Bhupinder Singh Mann, Ex-MP (Rajya Sabha) National President<br>(BKU), Chairman National Kisan Coordination Committee, Outside<br>Qazi Mori Gate, Batala, Distt. Gurdaspur. | Member                    |
| 11.     | Chairman Farmers' Commission for the State of Punjab,<br>Punjab Mandi, Plot No.53, Gian Jyoti Road, Phase-2,<br>Sector-54, Mohali (Punjab)                                     | Member                    |
| 12.     | Director, Agriculture, Deptt. of Agriculture, Govt. of Punjab,<br>Chandigarh.                                                                                                  | Member                    |
| 13.     | Chairman, CII, Punjab State Council, Sector 31-A, Chandigarh.                                                                                                                  | Member                    |

| Sr. No. | Name and Address                                                                                                                                                                  | Designation                |
|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| 14.     | Chairman, PHDCCI, Punjab Committee, Sector 31-A, Chandigarh.                                                                                                                      | Member                     |
| 15.     | Sh. Onkar Singh,<br>Chairman-cum Managing Director, Avon Cycles Limited, Ludhiana.                                                                                                | Member                     |
| 16.     | Dr. Harish Anand.<br>House No.59, Sector-39, Chandigarh Road, Ludhiana-141010<br>(Punjab)                                                                                         | Member                     |
| 17.     | Indian Energy Exchange Limited,<br>Plot No.C-001/A/1, 9th Floor, Max Towers, Sector-16 B, Noida,<br>GautamBuddha Nagar (U.P.201301)                                               | Member                     |
| 18.     | Sh. Raj Kumar Jindal, CMD, Vivek Re-Rolling Mill, Mandi Gobind<br>Garh and Sr. Vice President All India Steel Re-Rolling Association,<br>New Delhi                                | Member                     |
| 19.     | Sh. Vijay Talwar,<br>State Vice-President-cum-Co Chairman, National Power Committee,<br>Laghu Udyog Bharti (Pb, Chapter), 1051, Dada Colony, Industrial<br>Area, Jalandhar 144004 | Member                     |
| 20.     | Sh. Balour Singh, Consultant Solar Projects,<br># 1110/2, HIG Flats, Sector-39-B, Chandigarh.                                                                                     | Member                     |
| 21.     | Sh. Kamal Dalmia,<br>Chairman Focal Point Industries Association (Regd.)<br>35, Focal Point, Mehta Road, Amritsar-143006 (Punjab)                                                 | <b>Special<br/>Invitee</b> |
| 22.     | Sh. Bhagwan Bansal,<br>President of Punjab Cotton & Ginners Association (Regd),<br>Shop No.109, New Grain Market, Muktsar (Punjab) Gobindgarh.                                    | <b>Special<br/>Invitee</b> |

At the outset, the Chairperson, PSERC welcomed the members to the meeting of the State Advisory Committee. The Chairperson thereafter, requested the members to offer suggestions/comments on the Petitions for True up of FY 2020-21 then Annual performance Reviews (APR) for FY 2021-22 and the ARR Requirements and Tariff Proposal for FY 2022-23 (2nd control period from FY 2020-21 to FY 2022-23), respectively filed by Punjab State Power Corporation Ltd. (PSPCL), Punjab State Transmission Corporation Ltd. (PSTCL) and the agenda items as proposed by some of the members of PSERC State Advisory Committee. It was also brought to the notice of the members that Govt. of India had issued 'Electricity (Rights of Consumers) Rules, 2020' and suggestions on the same were also invited. Thereafter, the members gave their comments/suggestions/views as under: -

**1. S. Bhupinder Singh Mann, Ex-MP suggested that:**

Provision for registration of application for new connection should be made online. Various other consumer related services be made on-line to avoid direct consumer-employee contact for day to day work.

## **2. Sh. Mohinder Gupta stated as under:-**

- i. The then Punjab State Electricity Board was constituted under Electricity (Supply) Act 1948 as per which PSPB was to finance all its Capital works through Loans only and was required to recover the interest payable on loan (Interest and Finance Charges) and installments to repay loan (Depreciation) through Tariff. A major part of financing was through state government loans and to escape the liability of interest payable to GOP, PSEB got the loan converted into equity of GOP in PSEB as increase in tariff being controlled by GOP was quite inadequate to cover the expenses of PSEB. PSEB never paid any interest on such loan as well as installment of loan converted into equity or Return on such converted equity.
- ii. PSERC issued first tariff order for the year FY 2002-03 which provided for equity and return on equity.

Further no ROE was allowed in the tariff Order of FY 2002-03 and till FY 2005-06 by the Commission under Electricity Regulatory Commissions Act, 1998 and Electricity (Supply) Act 1948 and only 3% Return on Net Fixed Assets were allowed.

- iii. Evidently, the equity shown then was also loans camouflaged as Equity to get higher returns Initial equity of Rs. 2946.11 crore of Punjab State Electricity Board, which became equity of PSPCL and PSTCL is also nothing but government loans, which was got converted into equity on different occasions by the then PSEB management(s) to reduce loan liability in its Books and to escape liability of payment of Interest on such loans and loan installments to insulate consumers from increase in tariff prior to setting up of Regulatory regime. Return on Equity of Rs 412.46 Cr per year was allowed only from 2006-07 onwards on Equity of Rs 2946.11 Cr as per Para 4.15 of TO.
- iv. While there is no objection on such conversion for accounting purpose but for fixing tariff, apparently, there is no differentiation between loans given by Government of Punjab to Board/PSPCL and equity. In fact, all the assets of PSEB/PSPCL/PSTCL were/are created by borrowing and a part of it shown as equity of Board. This evidently has been done to help Discom to reduce its interest burden as no ROE/dividend is payable to Government of Punjab till PSEB/PSPCL incurs losses. Thus, a methodology devised to keep the tariffs on lower side is now being used to increase income of PSPCL by unduly loading the consumers and meeting the losses due to inefficient working of PSPCL. Consequently, the consumers of the State are burdened with higher tariff and financial loss in the form of 15%-16%

Return on Equity on such amount, which is in fact a government loan on which not more than 7-8% interest needs to be allowed.

- v. PSEB was bifurcated into PSPCL and PSTCL on 16.4.2010 and as per provisional FRP/Transfer scheme, and Equity of PSEB of Rs 2946.11 Cr was also divided between them as Rs 2617.61 Cr and 328.50 Cr and ROE was allowed separately as Rs 366.47 Cr and Rs 45.99 Cr for PSPCL and PSTCL respectively.
- vi. Subsequently, FRP and Transfer scheme was finalized and notified on 24.12.2012 by GOP. In this notification, an amount of Rs.3132.35 crore standing in the books of PSEB on 15.4.2010 under the head “Consumer Contributions & Govt. Grants” and some other amounts was also converted into equity of GOP and the same was admitted by PSERC as well. Thus the equity of PSPCL was enhanced from Rs 2617.61 Cr to 6081.43 Cr (Para 3.16 of TO 2013-14) and of PSTCL from 328.50 Cr to Rs 605.83 Cr. (Para 3.10 of TO 2013-14). Thus the total equity was increased from 2946.11 Cr to 6687.26 Cr.
- vii. The conversion of Consumer Contribution and Govt. Grants was appealed by consumers in APTEL and APTEL directed PSERC to reconsider the issue vide judgment Dated 17-12-2014 in Appeal No 168 and 142 of 2013.
- viii. APTEL observed that the Govt. can hold any amount as equity in PSPCL and PSTCL but ROE needs to be granted only on actually subscribed and paid up equity only i.e. cash money which has been infused need to be counted as equity for the purpose of ROE. PSPCL has filed an Appeal against the order in Supreme Court and stay has been granted. Final order of SC is still awaited. However, because of Stay granted by The Supreme Court, PSERC is granting ROE on Rs 6081.43 Cr to PSPCL and 605.88 Cr to PSTCL.
- ix. The CAG also objected to the conversion of non-interest bearing consumer contribution and Govt. grants/subsidies etc into equity.
- x. Subsequently, MOP, GOI introduced UDAY scheme for stressed power sector and PSPCL, GOP and MOP entered into a tripartite agreement as per which PSPCL loans of Rs 15628.26 Cr were to be taken over by GOP through issue of SLR bonds by banks in the name of GOP and loans were to be taken off the books of PSPCL. UDAY scheme was up to 31.3.2020 and PSPCL proposed in previous year’s ARR 2020-21 to convert the loan amount of Rs 15628.26 Cr as GOP equity in PSPCL thereby increasing GOP equity from 6081.43 cr. to 21709.69 cr. It was also proposed to recover ROE on this loan converted equity amount of Rs 15628.26 @ 15.90% which works out to Rs 2485 Cr in addition to Return on Equity on Rs 6081.42 crore. Thus, by simply maneuvering the entry of loan amount to



equity, consumers were to be asked to pay 3423 Cr. This is clearly against the interest of the consumers. However, as per the Tariff order dated 28<sup>th</sup> May 2021 passed by the Commission, claim of such return on equity was rejected by the Commission and ROE was kept the same at Rs.974.74 crore on equity of Rs. 6081.43 crore for FY 2020-21.

- xi. Instead of agreeing to the decision of the Commission and knowing fully well that the equity amount being not a cash flow does not qualify to be equity for ROE purpose, and being aware of the fact that APTEL has already rejected PSPCL's previous similar attempt and an audit para in this regard is already raised by CAG, Now in current ARR for FY 2022-23 dated 30<sup>th</sup> November 2021, PSPCL has come out with an entirely new argument for claiming increased equity and higher amount as Return on Equity. It is claimed that out of Rs.15628.26 crore, Rs.2246.77 crore were spent on capital expenditure and 13381.49 crore were working capital loan, out of which Rs.2346.19 crore were also diverted towards capital expenditure. As per PSPCL, taking together, Rs.4592 crore should be treated as equity and return on equity should be now allowed on Rs. 10674 Crore (Rs.6081.43 crore + Rs.4592 crore). PSERC and APTEL have amply made clear that only cash flow is to be treated as equity for the purpose of ROE, MYT regulations provide that equity should be actually infused for creation of useful assets. Therefore, there is no case for allowing Return on Equity beyond Rs.6081.43 crore, which in principle is also under litigation, on which APTEL has decided adversely and matter is in Supreme Court. It is also pertinent to mention that all the assets considered for supply of electricity to the consumers of the States as admitted by PSERC are already accounted for and linked with corresponding source of funding through debts. Hence, there is apparently no case for allowing return on equity beyond the admitted amount of equity.
- xii. It is pertinent to state here that PSPCL submitted the effect of UDAY scheme on the ARR of 2016-17 vide its letter no 481/CC/DTR/Dy CAO/245/Vol 1 dated 12.4.2016 which clearly states that whole of the amount taken over by GOP under UDAY scheme comprises of debt. Further, the tripartite agreement executed under UDAY scheme provided that 75% of the amount taken over by GOP will be converted into grant of GOP to PSPCL at the close of the scheme. Further, GOP was to compensate the loss of PSPCL in a graded manner during the period 2017-18 to 2020-21. However, so far neither any grant has been given by GOP in terms of UDAY tripartite agreement nor any loss compensation has been given/shown in ARR. Thus, PSPCL has failed to get any relief in the form of Grant of 75% of debt or compensation for the losses which would have given relief to the consumers in

the shape of lower tariffs but has acted proactively to convert whole of the loan of GOP into equity and claim ROE for the same to load the consumers through higher tariff. The demand needs to be rejected out rightly.

- xiii. It is evident that in violation of the UDAY Scheme resolution, the amount of debt of Rs.15628 crore was converted into equity by PSPCL. As such, return on such debts has been artificially increased by showing it as equity and return sought is almost double as Regulations provide for return on equity @15-16% assuming 70:30 ratio of debt and equity. Even in such case, the amount of equity is to be kept at actual or 30% whichever is lower. Hence, it is the basic tenet that higher return should not be given on equity, when it is not infused in cash and debt should not be proposed by PSPCL / allowed by PSERC to be camouflaged as equity with the sole aim of claiming higher return.
- xiv. It is also highlighted here that as per PSPCL's own admission, the assets created by PSPCL as well as erstwhile Electricity Board/Electricity branch of PWD through debt/loan, consumer contributions and Govt. grants etc. and not through any infusion of cash equity, there is need to investigate the source of funding of assets created by Discom/Board.
- xv. It is pertinent to note that PSPCL has itself admitted that gross fixed assets of GNDTP were created through loans and no infusion of equity was made at any stage. (Reference para 2.20, page 56-57, Tariff Order dated 28<sup>th</sup> May 2021).
- xvi. The consumer contribution and Govt. grants, which have been shown as part of equity (Rs.3135.32 crore) is also not equity in any sense and the same should be reduced from the equity and taken back to consumer contribution or to be written off for ARR purpose and no return on equity to be allowed on the same. In this regard, MYT regulations of PSERC and APTEL decision should be relied upon- when no tangible benefits are given to consumers through equity infusion, the same cannot be burdened with higher interest cost in the garb of return on equity.
- xvii. PSPCL has claimed Rs.15628 crore as equity for previous years and this year, out of it Rs.4592 crore is claimed as additional equity over and above of Rs.6081.43 crore and return on equity is claimed on the same for FY 2021-22 and FY 2022-23. Tomorrow, if PSPCL raised loans from some sources, invest and create some capital assets and show the same as equity instead of loan for ARR purpose, how commission would approach the same?
- xviii. In the light of above facts, it becomes obvious that PSPCL has been trying to show higher and higher amount of funds raised through loans as equity to claim higher return on the same in the form of return on equity @15%-16%, which is about 7-8% higher than normal interest loan i.e. almost double benefit for PSPCL. While the

matter of fact is that all funds invested for capacity creation for supply of power are borrowed funds on which only normal interest is to be paid. The methodology being adopted by PSPCL has been resulting into higher cost of supply year after year, which need to be looked into.

- xix. Such a view become quintessential in the light of observations made in the REPORT OF THE FORUM OF REGULATORS ON “ANALYSIS OF FACTORS IMPACTING RETAIL TARIFF AND MEASURES TO ADDRESS THEM” (2020). The report analyzes the mechanism of the tariff fixation in detail and need for bringing modifications to make it more relevant and reduce the power tariff in different states.

**3. Dr. Harish Anand have given the following suggestions:**

- i. In the last about 20 years of tariff fixation process has given emphasis on recovery of full prudent cost of electricity supply in the State, which also includes components like full payment of stranded capacity by consumers, high O&M expenses, exorbitant return on equity (15-16%), high fixed charges of very old thermal plants, which are not even fully operational and high manpower cost due to underutilization. As a result of these, the cost of supply have been growing continuously over the year.
- ii. Forum of Regulators (FOR) came out with a detailed report, “Report of the Forum of Regulators on Analysis of Factors Impacting Retail Tariff and Measures to Address them”. The report is based on extensive study of performance of the discoms of many states of India over the years. Some of the major issues addressed in the report are shared below in the context of Punjab:
- iii. The return on equity for Discom should be linked with 10 years G Sec rate plus risk premium. Now, risk premium seems to be negligible for Power generation, transmission and distribution especially in State owned Discoms as full cost of supply is allowed in the ARR and tariff approval by PSERC. IN COVID -19 period, when rest of business were facing lockdown which led to loss of profit and revenue, PSPCL got full cost of supplying power and fixed cost even when the power units sold reduced by half. This gives the impression that there is no risk premium required for Discoms. In other words, the return on equity should be allowed at not more than 7-8% against 15-16% allowed presently.

In this regard, it is also pertinent to note that there seems to be no equity at all in PSPCL and eventually all the assets were created by Government loans before PSPCL came into existence. For any reason, PSPCL may be showing an amount of equity in the books of account but essentially these seems to be old government

loans to Discom converted into equity. Therefore, for ARR purpose, these funds should be treated as loan and not more than interest given on long term loan should be allowed on such funds.

- iv. Similarly, the return on equity in transmission business should also be allowed at par with long term loan only as also mentioned in report of Forum of Regulators.
- v. The fixed charges paid for stranded capacity of power plants of Discom or private parties have had an escalated effect on the cost of supply where crores of rupees are paid while power is not purchased at all due to any reason. The Forum of Regulator report also highlighted this fact and suggested that Government should extend help to Discoms to meet the part of the cost and full cost should not be recovered from the consumers.

The report has also mentioned that stranded transmission capacity charges should also be borne by Central government and matter be taken up with them.

- vi. The old plants of GGSTP and GHTP, which have crossed their useful life have not been able to meet the efficiency parameters set by MYT regulations in last many years. This point has been raised by PSPCL and responded to by PSERC in tariff order FY 2021-2022. Besides that, some of these plants are operational only for about 4 months while fixed charges are paid for full year. Even otherwise, on merit order basis, the power has been procured from IPP by keeping such old plants shut down. Further, these plants also need investment for desulfurization purpose and buying RPO also.

Therefore, it is imperative that such outlived plants should be closed down and power for paddy season may be sourced through imported power. As decision to close down such old thermal plants rests with State Government, the Commission is requested not to allow fixed charges for full year.

Here it is pertinent to mention that due to transmission capacity (6600 MW) constraint in Punjab, the power through open access could not be procured and power cuts were resorted to last year. Therefore, it is worthwhile to increase the transmission capacity sufficiently. Further, if due to any reason, the transmission capacity remain unutilized, the fixed charges may be shared with center government as also suggested by the Forum of Regulators (FOR) report.

- vii. The Forum of Regulators (FOR) has also recommended that renewable solar power projects to be encouraged to increase the solar power share in total power to a reasonable level from the present low level. Therefore, the cross-subsidy surcharge and additional surcharge on such solar power sourced within the State be removed. Also, related condition of reduction in contract demand for 24 hours, if power is sourced through open access, should also be done away with.

- viii. In case of higher T&D losses in some regions as identified by PSPCL than normal T&D losses, a special cess may be imposed to compensate Discom leading to higher tariff in such region rather than punishing those regions where T&D losses are within prescribed limit by charging higher average tariff.
- ix. For improving competition in the electricity business, more than one distribution companies'- public/private are required. In this regard, reference can be made to NSE/BSE where competition has improved the level of service for the users.
- x. PSPCL seems to be challenging every decision/tariff order or part of tariff order, which does not accept PSPCL viewpoint in APTEL and even Supreme Court. This excessive litigation at high cost is cause of concern especially when there seems to be no reason of animosity/ill-will/biasedness in PSERC approach as none has been pointed out. For public, both are arms of the State machinery to run electricity business in the State of Punjab. It is apprehended that such excessive litigation will seriously dent the public confidence in the electricity regulatory affairs. More importantly, it is worry some that there is no organization/mechanism in public to counter such litigation due to paucity of financial and other resources. There is urgent need for capacity building measures through dedicated funding by PSERC in public domain.

#### **4. Vijay Talwar's comments are as under:**

##### **A. CONSUMER GRIEVANCE (FOR TRUE TARIFF DETERMINATION):**

- i. The Commission constituted a committee headed by Secretary PSERC to deliberate upon the issues regarding Consumer Grievance viz-a-viz Delay In Release of New Connections, Delay In Releasing Extension In Load / Demand, Levy Of Various Charges Illegally, Supply Related Complaints, Billing Complaints and Deficiency In Services etc. and constituted Consumer Advocacy Cell. Consumer complaints are increasing day by day because directions given by the Commission in different Orders / Tariff Orders are not honored and PSPCL is issuing Commercial Circulars / Instructions without getting approval from the Commission. PSPCL officers / officials are violating Supply Code Regulations and PSPCL Instructions by issuing wrong bills violating Tariff Orders, not providing Actual Interest on Security Consumption, Security Meter, Not Refunding Excess Security Works, Excess Security Consumption. Hence, it is suggest that Consumer Advocacy Cell should be further strengthened with objective of general awareness, educating the consumers and help them to contest their grievance before Consumer Grievance Redressal Forum and Ombudsman and to bring the matters

regarding Violation Of Act, Rules and Regulations By PSPCL Officers / Officials before Hon'ble Commission. Considering the special nature of Electricity Act, it is necessary to educate the consumers and to empower them by way of information to play their role.

- ii. There are approximately 5000 (Five Thousand) cases pending against PSPCL in Courts i.e. before Permanent Lok Adalats, Civil Courts, Session Courts, District Consumer Forums, State Consumer Forums, High Courts etc. resulting huge financial loss/ financial blockage to PSPCL funds. These cases are in addition to disputes pending before Consumer Grievance Redressal Forums and Ombudsman. This all is due to deficiency in Services provided by PSPCL Officers / Officials and consumers are forced to take help from legal advocates.

**B. UN-NECESSARY POWER CUTS DURING 2021 – 2022:**

- i. During paddy season, one unit of 660 MW Power Plant (Talwandi Sabo) failed in March 2021 resulting in huge purchase of power By PSPCL by Paying Excess Rates, Loss of PSPCL Revenue due to Decrease in Sale Of Power, Loss Of Trade & Industry due to Heavy Power Cuts, Loss Of Employment, Less Collection Of GST due to huge Production Loss, Electricity Duty, Infrastructure Development Funds, Social Security Funds, Municipal Tax, Service Tax etc.

**C. FIXED CHARGES SHOULD BE RATIONALIZED WITH ACTUAL HOURS OF SUPPLY TO CONSUMERS:**

- i. Due to shortage of staff in distribution offices in the state, Power Supply is curtailed by imposing illegal Weekly Off Days, taking shutdown to maintain / repair supply lines and feeders by PSPCL staff. This results in harassment to consumers and they are deprived to use electricity during one day in a week. PSPCL should be directed either to supply un-interrupted power supply (24x7) without imposing Weekly Off Days or in alternative Fixed Charges for time period of non-supply of electricity should be proportionately reduced.

**D. DEFAULTING AMOUNT SHOULD BE CORRECTLY DISCLOSED:**

- i. There are huge numbers of consumers with defaulting amount for the continuous billing period of more than 3 years. This is complete violation of Supply Code Regulations (2014) Clause 33.1 which mandates that, "In Case Of Continued Default In Payment Of Any Amount Due To The Distribution Licensee By Any Consumer For A Period More Than Six Months, The

Distribution Licensee Shall Terminate The Agreement Executed With The Consumer”.

- ii. As per ESIM (Electricity Supply Instructions Manual) 2018 Instruction No. 91.1 read with Supply Code Regulations (2014) Clause 32, “it is mandatory to issue notice for disconnection on the next day after the due date”. The accumulation of amount shall be direct responsibility of RA / AE / AEE / XEN / ASE (DS).
- iii. As per ESIM (Electricity Supply Instructions Manual) 2018 Instruction No. 92.3 “The disconnected consumers who are defaulters of PSPCL may sell their premises /property without any intimation to PSPCL. If this happens, the chances of recovery of defaulting amount become remote. Therefore, it is desirable that the field officers may intimate the revenue authorities like SDM/Tehsildar regarding the amount to be paid by the consumer to the PSPCL so that if any transaction regarding sale or purchase of the property takes place, the revenue authorities may be in a position to recover the outstanding amount due to the PSPCL at the time of such a sale or purchase and pass on to PSPCL. Compliance of these instructions need to be monitored by Sr. field officers and in case it is noticed that the Sub divisional Officers/ Officials have not taken due care in informing the revenue authorities, then in that case, if recovery is not possible due to sale/purchase of the premises/ property, the said amount would be recoverable from the officer/official responsible for not intimating to the revenue authorities”.
- iv. Due to non-compliance of instructions mentioned in forgoing Paras, defaulting amount including Pending Court Cases, Permanently Disconnected Connections are said to be approximately of Rs.2000 Crores. This type of violation results in huge losses to PSPCL which are ultimately burdened in Tariff.

**E. HIGHER ACD RATES ARE EFFECTING THE CASH FLOW OF INDUSTRY, PREPAID METERS SHALL BE INSTALLED WHICH WILL BENEFITED TO CONSUMER & UTILITY:**

- i. i Security equal to 1.5 months was designed for LS Category consumers when billing was to be made within 15 days. Now after installation of AMR (Automatic Meter Reading) devices, the reading is collected same day and bill is also issued on same day. Thus, this is just like Spot Billing. As per policy treating AMR reading at par with Spot Billing, Security Consumption for LS category consumers should be for 1 month consumption instead of 1.5 month consumption, enabling the consumers to utilize this amount in cash flow for smooth running of their units.

F. **BANK GUARANTEE SHOULD BE ADMISSIBLE AS SECURITY CONSUMPTION INSTEAD OF**

**CASH:**

- i. In other states of India i.e. Maharashtra and Delhi Hon'ble Commissions has made the Regulation to accept bank guarantee as Security Deposit (Security Consumption) instead of cash deposit with Distribution Licensee. In that case consumers will not be entitled for any interest on Security Deposits. This will be fair for Distribution Licensee and for consumers too.

G. **POWER CONSUMPTION GRAPH IN PUNJAB IS IN BELL SHAPE DURING 12 MONTHS:**

- i. Power consumption graph is in bell shape curve during 4 months i.e. Paddy Season and Summer Season. Power consumption could be 15000 MW due to increase in domestic and agriculture connections whereas it could be 6000 MW to 7000 MW during rest of the year. Main challenge for PSPCL is to make arrangements for procuring electricity from outsider Punjab. Increase ATC (Available Transmission Capacity) from 6500 MW to 10000 MW and sell surplus power during winter season.

H. **UTILIZATION OF SURPLUS POWER:**

- i. PIU category was created by charging higher tariff rates just to discourage this industry to save electricity when there was period of power shortage. Now in a scenario of surplus power there is need to encourage further new PIU units just to utilize surplus power than to give free. As per ARR Petition FY 2022 – 2023 Chapter 1, Page No. 14 under the heading “Consumers Profile”, LS Category industry has reduced from 9011 units to 8003 units. This clearly shows that due to harassment and higher tariff, new industrialists are not setting up their units in Punjab. There should be only one tariff for LS Category. PSPCL has already got tariff for Mix Industry PIU + General Industry under General Industrial Tariff in the cases wherein with Prorata tariff bill amount is less than General Industry Category. With Separate tariff for General and PIU Industry, consumers are illegally and unnecessarily harassed by PSPCL officers as they are threatening making cases under UUE. Tariff should be simplified. As per technical, harmonics if any created can be suppressed by installing required equipment's. The Commission has already saved consumers from harassment by removing Peak Load Charges. Accordingly, consumers should be saved from harassment by PSPCL officers by merging tariff of PIU and General Industry. Tariff of merged category may



be suitably adjusted. This will encourage for setting up new industry and it will help utilization of surplus electricity.

In the end, he requested the Commission to watch the interest of consumers and pass the orders after prudent check from all angles as per Act and Regulations to utilize the surplus electricity and to fix tariff rates in a fair manner.

**5. CII –comments and suggestions as below represented by Sh. Bhavdeep Sardana, Chairman – CII Punjab State & Sr. Vice President & CEO, The Sukhjit Starch & Chemicals Limited:**

These comments upon the revenue requirement of the PSPCL for the aforesaid years are being offered in the light of principles enunciated in the Electricity Act, 2003, State Electricity Regulatory Commission's regulations, tariff orders passed by the PSERC in the past and decision of Appellate Tribunal for Electricity. It is submitted that true up for FY 2020-21 and revised estimates for FY 2021-22 and projections for FY 2022-23 should be based on MYT regulations only and extra expenses claimed by PSPCL should not be accepted simply because such expenses are actually incurred.

Before commenting on the revenue requirement filed by the PSPCL for the aforesaid years, we would like to address upon certain issues on principles which have bearing on finalization of ARR by the Commission from year to year.

**1. Return on equity**

PSPCL had equity base of Rs 6081.43 Cr on 16.4.2010 as per FRP approved by GOP when PSEB was bifurcated into PSPCL and PSTCL. This comprised of an amount of Consumer Contributions & Govt. Grants of Rs.3132.35 crore, which was converted into equity of GOP by PSPCL at the time of finalization of Transfer Scheme and FRP and the same was admitted by PSERC as well. Though the matter regarding conversion of Consumer Contributions and Govt. Grants into equity has not been approved by APTEL as well as CAG, still on a SLP filed by PSPCL in Supreme Court, the matter is under litigation and because of stay granted by the Supreme Court, PSERC is granting ROE on Rs 6081.43 Cr to PSPCL and 605.88 Cr to PSTCL. APTEL had observed that the Govt. can hold any amount as equity in PSPCL (and PSTCL) but ROE needs to be granted only on actually subscribed and paid up equity only i.e. cash money which has been infused need to be counted as equity for the purpose of ROE.

Subsequently, MOP, GOI introduced UDAY scheme for stressed power sector and PSPCL, GOP and MOP entered into a tripartite agreement as per which PSPCL

loans of Rs 15628.26 Cr were to be taken over by GOP through issue of SLR bonds by banks in the name of GOP and loans were to be taken off the books of PSPCL. It is not known whether the SLR bonds were actually issued or not. However, the UDAY scheme was up to 31.3.2020 and PSPCL proposed in previous year's ARR 2020-21 to convert the loan amount of Rs 15628.26 Cr as GOP equity in PSPCL thereby increasing GOP equity from 6081.43 Cr to 21709.69 Cr. It was also proposed to recover ROE on this loan converted equity amount of Rs 15628.26 @ 15.90% which works out to Rs 2485 Cr in addition to Return on Equity on Rs 6081.42 crore. Thus, by simply maneuvering the entry of loan amount to equity, consumers were to be asked to pay 3423 Cr. This is clearly against the interest of the consumers. However, as per the Tariff order dated 28<sup>th</sup> May 2021 passed by this Hon'ble Commission, claim of such return on equity was rejected by the Commission and ROE was kept the same at Rs.974.74 crore on equity of Rs. 6081.43 crore for FY 2020-21.

Instead of agreeing to the decision of the Commission and knowing fully well that the equity amount being not a cash flow does not qualify to be equity for ROE purpose, and being aware of the fact that APTEL has already rejected PSPCL's previous similar attempt and an audit para in this regard is already raised by CAG, Now in current ARR for FY 2022-23 dated 30<sup>th</sup> November 2021, PSPCL has come out with an entirely new argument for claiming increased equity and higher amount as Return on Equity. It is claimed that out of Rs.15628.26 crore, Rs.2246.77 crore were spent on capital expenditure and 13381.49 crore were working capital loan, out of which Rs.2346.19 crore were also diverted towards capital expenditure. As per PSPCL, taking together, Rs.4592 crore should be treated as equity and return on equity should be now allowed on Rs. 10674 Crore (Rs.6081.43 crore + Rs.4592 crore). PSERC and APTEL have amply made clear that only cash flow is to be treated as equity for the purpose of ROE, MYT regulations provide that equity should be actually infused for creation of useful assets. Therefore, there is no case for allowing Return on Equity beyond Rs.6081.43 crore, which in principle is also under litigation, on which APTEL has decided adversely and matter is in Supreme Court. It is also pertinent to mention that all the assets considered for supply of electricity to the consumers of the States as admitted by PSERC are already accounted for and linked with corresponding source of funding through debts. Hence, there is apparently no case for allowing return on equity beyond the admitted amount of equity.

It is pertinent to state here that PSPCL submitted the effect of UDAY scheme on the ARR of 2016-17 vide its letter no 481/CC/DTR/Dy CAO/245/Vol 1 dated 12.4.2016 which clearly states that whole of the amount taken over by GOP under UDAY scheme comprises of debt. Further, the tripartite agreement executed under UDAY scheme provided that 75% of the amount taken over by GOP will be converted into grant of GOP to PSPCL at the close of the scheme. Further, GOP was to compensate the loss of PSPCL in a graded manner during the period 2017-18 to 2020-21. However, so far neither any grant has been given by GOP in terms of UDAY tripartite agreement nor any loss compensation has been given/shown in ARR. Thus, PSPCL has failed to get any relief in the form of Grant of 75% of debt or compensation for the losses which would have given relief to the consumers in the shape of lower tariffs but has acted proactively to convert whole of the loan of GOP into equity and claim ROE for the same to load the consumers through higher tariff. The demand needs to be rejected outrightly.

It is evident that in violation of the UDAY Scheme resolution, the amount of debt of Rs.15628 crore was converted into equity by PSPCL. As such, return on such debts has been artificially increased by showing it as equity and return sought is almost double as Regulations provide for return on equity @15-16% assuming 70:30 ratio of debt and equity. Even in such case, the amount of equity is to be kept at actual or 30% whichever is lower. Hence, it is the basic tenet that higher return should not be given on equity, when it is not infused in cash and debt should not be proposed by PSPCL / allowed by PSERC to be camouflaged as equity with the sole aim of claiming higher return.

It is also highlighted here that as per PSPCL's own admission, the assets created by PSPCL as well as erstwhile Electricity Board/Electricity branch of PWD through debt, consumer contributions and Govt. grants and not through any infusion of equity, there is need to investigate the source of funding of assets created by Discom/Board. It is pertinent to note that PSPCL has itself admitted that gross fixed assets of GNDTP were created through loans and no infusion of equity was made at any stage. (Reference para 2.20, page 56-57, Tariff Order dated 28<sup>th</sup> May 2021).

Further no ROE was allowed in the tariff Order 2002-03 by the Commission under Electricity Regulatory Commissions Act, 1998 and Electricity (Supply) Act 1948 and only 3% Return on Net Fixed Assets were allowed till 2005-06. ROE was allowed only from 2006- 07 on Equity of Rs 2946.11 Cr as per Para 4.15 of TO. Evidently, as stated above, the equity shown then was also loans camouflaged as Equity to get higher returns.

In this regard, it is worth mentioning that:

- i. Initial equity of Rs. 2946.11 crore of Punjab State Electricity Board, which became equity of PSPCL is also nothing but government loans, which was got converted into equity on different occasions by the then PSEB management(s) to reduce loan liability in its Books and to escape liability of payment of Interest on such loans to insulate consumers from increase in tariff prior to setting up of Regulatory regime. While there is no objection on such conversion for accounting purpose but for fixing tariff, apparently, there is no differentiation between loans given by Government of Punjab to Board/PSPCL and equity. In fact, all the assets of PSEB/PSPCL/PSTCL were/are created by borrowing and a part of it shown as equity of Board. This evidently has been done to help Discom to reduce its interest burden as no ROE/dividend is payable to Government of Punjab till PSEB/PSPCL incurs losses. Thus, a methodology devised to keep the tariffs on lower side is now being used to increase income of PSPCL by unduly loading the consumers and meeting the losses due to inefficient working of PSPCL. Consequently, the consumers of the State are burdened with the higher tariff and financial loss in the form of 15%-16% Return on Equity on such amount, which is in fact a government loan on which not more than 7-8% interest needs to be allowed.
- ii. The consumer contribution and Govt. grants, which have been shown as part of equity (Rs.3135.32 crore) is also not equity in any sense and the same should be reduced from the equity and taken back to consumer contribution or to be written off for ARR purpose and no return on equity to be allowed on the same. In this regard, MYT regulations of PSERC and APTEL decision should be relied upon-when no tangible benefits are given to consumers through equity infusion, the same cannot be burdened with higher interest cost in the garb of return on equity.
- iii. PSPCL has claimed Rs.15628 crore as equity for previous years and this year, out of it Rs.4592 crore is claimed as additional equity over and above of Rs.6081.43 crore and return on equity is claimed on the same for FY 2021-22 and FY 2022-23. Tomorrow, if PSPCL raised loans from some sources, invest and create some assets and show the same as equity instead of loan for ARR purpose, how commission would approach the same?
- iv. In the light of above facts, it becomes obvious that PSPCL has been trying to show higher and higher amount of funds raised through loans as equity to claim higher return on the same in the form of return on equity @15%-16%,

which is about 7-8% higher than normal interest loan i.e. almost double benefit for PSPCL. While the matter of fact is that all funds invested for capacity creation for supply of power are borrowed funds on which only normal interest is to be paid. The methodology being adopted by PSPCL has been resulting into higher cost of supply year after year, which need to be looked into. Such a view become quintessential in the light of observations made in the REPORT OF THE FORUM OF REGULATORS ON “ANALYSIS OF FACTORS IMPACTING RETAIL TARIFF AND MEASURES TO ADDRESS THEM” (2020). Incidentally, ex Chairperson, PSERC happened to be chairperson of the Committee which prepared the above said report and Staff of this Hon'ble Commission may be aware of the same. The report analyzes the mechanism of the tariff fixation in detail and need for bringing modifications to make it more relevant and reduce the power tariff in different states.

**Suggestion to the Commission:**

- A. In the light of above observations, it is necessary that return on equity need to be reduced drastically from the present level of 15%-16% to average long term rate of interest on government borrowings (to about 7-8%), linking it with return on government security for 10 years or more. This would result into
  - i. Lower cost of supply leading to lower tariff for consumers and lower subsidy burden on Government of Punjab while fully reimbursing all genuine borrowing cost. (Let there be no mistake in accepting the fact that full financial requirements of PSPCL based on actual basis cannot be met as has not been met in last about 20 years and is also not obligatory on the Commission and the principle of inefficiencies not to be rewarded has to be followed.)
  - ii. As all projects are financed by borrowing funds from banks and other financial institutions, as also admitted by PSPCL itself (the fixing of return on equity, which is essentially interest cost on borrowed funds), at par with interest rate given on long term borrowing would water down the intentions of PSPCL to charge higher return on equity to meet unapproved expenditure and discourage such practices in future also.
  - iii. In no case, GOP/PSPCL be permitted to convert Consumer Contributions and Govt. grants as equity.
- B. Reduction in equity base by difference of accumulated depreciation exceeding debt repayment

It is not understood as to how the amount of Equity is constant for the last more than 10 years though the Commission is allowing depreciation of 90% of the cost of assets continuously for paying off the debt raised for creation of assets. In this regard, it is imperative that asset wise financing of debt and equity and depreciation earned for that asset be ascertained and placed in Public Domain. Further, excess of depreciation reserve over the loan amount paid back should be worked out and reduced from the equity base, if any. In case, there is no equity for the creation of asset, then such excess of depreciation should be used to reduce the costly loan amount raised for capital creation purpose. This would result into lower fixed cost of supplying power to consumers and also reduce the subsidy burden of the Government of Punjab.

## **2. Norms of operation for generating stations**

PSPCL has asked for relying on actual figures for generating stations which are quite old and as such could not meet the parameters given in MYT regulations. In this regard, PSPCL has also relied upon CERC regulations. PSPCL is also insisting that GGSTP and GHTP plants are kept as backup and generally run during Paddy Seasons to supply power to consumers. PSPCL has also asked for relaxation in PSERC MYT regulations for this purpose. This matter was fully dealt with in Tariff Order FY 21-22 dated 28<sup>th</sup> May 2021 on page no 82-90, under para 3.7. No new information has been put forward by PSPCL. Hence there is no reason to revisit the approved norms set by PSERC and accordingly power generation and norms thereon need to be trued up as per Regulations.

There are some issues which are related with working of old thermal generation plants in the State, merit order dispatch of power leading to more drawl of power from IPPs, pollution control measures required calling for fresh investment as also asked by PSPCL in its ARR. In this regard, following submissions are made:

- a. The thermal power generating stations are mainly used as backup capacity and not fully operated throughout the year. Accordingly, the performance parameters would remain sub-optimal and could never meet the norms set by MYT regulations of PSERC.
- b. At the time of filing ARR, power generation by these thermal plants are projected, which is downwardly revised subsequently and at the time of true up, substantially reduced referring merit order dispatch and other considerations as has been happening in last couple of years.
- c. A large amount of working capital is also sought for running these plants and

as projections are higher than actual performance, higher working capital is generally allowed, which is trued up subsequently. This can be avoided. Thus, working capital for cost of Coal Stock need to be allowed for 50% capacity for full year instead of 100% capacity for full year.

- d. Substantial amount of investment is being projected to achieve revised norms of pollution by investing about Rs.40-50 lakh per MW to setup FGD. For illustration, PSPCL has claimed Rs.128 crore for installation of FGD for GGSSTP plants (actual shall be much higher), which are to remain operational only for 3-4 months in a year.
- e. Besides that, Clean Energy Cess (Rs.400/quintal on coal) is also incurred to generate power through coal in these thermal power generating stations.
- f. Also high transportation charges to bring coal to these thermal plants is incurred. The transportation cost especially railway freight charges have increased drastically in last couple of years. This result into higher delivered cost of coal and higher power generation cost for such plants.
- g. A substantial amount has to be spent on purchasing Renewable Energy Certificates for renewable power obligation for generating coal based power. Further this RPO will go on increasing in the coming years.
- h. Also, some forced power surrender must have happened to keep such plants running while if power is purchase from market, there would be less chances of power surrender related fixed cost.
- i. In actual execution, the power from other sources is shown as cheaper based on Merit Order Dispatch and GGSSTP is kept closed, thus making fixed cost unbearable.
- j. Even the MOD being issued by PSPCL/SLDC every month on their web sites also indicate that the real time variable cost of these PSPCL's plants is highest in the merit order for coal based plants. In fact if these real time variable costs are considered, these plants may not qualify for operations in even those 4 months.
- k. Taken together, above 8 points, it become quite lucid that these old thermal plants cannot be run on efficiency basis and cost of maintaining these power plants is also very high. Given the surplus situation of power in the country and large-scale integration of renewable specially solar and wind capacity under COP 26 obligations, it would be far more imperative to close down such plants and power be sourced from either IPPs within State or through power purchase from outside States preferably from renewable power sources,

without comprising on commercial considerations. This would help in bringing down the cost of power generation and leading to overall reduction in cost of supply.

### **3. Depreciation charges**

- i. In this regard it is submitted that full value base is to be considered for the asset on its capitalization, it is to be depreciated for 90% of its value over its useful life and balance 10% is to be reduced from the value base on completion of useful life.

In case of thermal plants, which have completed 25 years of their existence and are still in service for 4 years to 9 years over and above thereon as on 2022, how much is part of the same categorized as 90% depreciated on which no depreciation is to be allowed? Whether such part is being regularly reduced from value base for claiming year wise depreciation? He requested the Commission to ask PSPCL and PSTCL to provide the details of the same for all assets.

90% depreciated assets identification is to be done for generation, distribution and transmission businesses under PSPCL/PSTCL and same should be excluded for calculation of depreciation amount for ARR purpose.

Similar is the case for distribution assets of Discom and transmission assets of Transco on which clarity is required to the stake holders.

- ii. What is the excess of accumulated depreciation over corresponding loans duly paid, for which the depreciation reserve is being created? It is submitted that the excess of accumulated depreciation over corresponding debt should be reduced from the equity in line with the recommendations of FOR committee and if there is no equity, the same should be reduced from the high cost debt for interest.
- iii. Whether the fixed assets register is created and updated and available for public view. It is submitted that if the same is not available, about 25%-30% depreciation should be disallowed till the compliance is ensured as being done by other regulatory commissions like Uttar Pradesh State Electricity Regulatory Commission.



## **Segregation of Accounts for Distribution, retail supply and generation business of PSPCL**

Erstwhile, PSEB was bifurcated into PSPCL and PSTCL on 16.4.2010 whereby PSPCL was assigned the Generation, Distribution and retail sale components of the business and PSTCL was assigned the Transmission and SLDC business. Since then the accounts of the PSPCL and PSTCL are being prepared on aggregate basis and ARR is allocated based on normative basis in the ratio of Fixed Assets of each sub business.

The statutory requirement of maintaining separate accounts is being defied with for the last 12 years and the Commission is also accepting the arguments of PSPCL year after year. It is high time that PSPCL should comply with the requirement otherwise, the Commission needs to start penalty recovery from PSPCL.

### **4. Subsidized agriculture consumption to be capped**

The power supplied to agriculture sector has been growing consistently at very high rate. Providing the power at the subsidized rate, which is far less than the actual cost of power purchase) will lead to serious financial crisis for the Board and ultimately seriously affects the interest of industrial consumers in the State, which are already reeling under recession. Therefore, it is imperative to cap the maximum amount of power year wise & approved by the commission that can be supplied to agriculture sector at subsidized rate inclusive of additional connection projected in a year.

### **5. Diversion fund figure to be updated**

The diversion of funds happened in the past need to be continuously updated based on new facts and information. Such exercise is required to ensure that no more funds raised for capital purpose are diverted toward meeting revenue requirement of the Board. For instant, the Commission has been disapproving the excess expenses claimed by the Board in its previous ARR, which were funded from somewhere by the Board. For illustration, PSPCL in its current ARR in para 3.15.22 mentioned that out of Rs.15628.26 Crore, Rs13381.49 crore were working capital loans out of which Rs. 2346.19 crore were spent on capital expenditure, which is clearly against the norms given in MYT regulations related to interest on working capital and interest on loan for capital purpose. It may also be added here that amount of Rs 15628.26 Cr was identified while signing UDAY tripartite agreement in 2016 and it took 6 years to bring this fact to the notice of stake holders, that too when its request to grant ROE on this amount was not accepted by the Commission. He requested that instead of accepting the argument of

PSPCL, contempt proceedings need to be started for not providing the correct information on affidavit. A detailed investigation in this regard is also required to work out the exact amount of diversion of funds to be disallowed for ARR purpose to safeguard the interest of the consumers.

## **6. Sale of surplus power**

### **Sale of surplus power details are not provided**

The detailed information of surplus power as being provided in the tariff petitions of previous years and even in earlier tariff orders by the Commission is not being provided to stake holders. Comments on inadequate information of ARR are sought much before the reply to deficiencies is provided by PSPCL on its web site. Such details include quantum of surplus power, plant wise fixed cost surrender, as part of purchase cost, quantity sold out of state at different rates and other details as the Commission may deemed fit. He requested the Commission that the complete information related to surplus power need to be provided by PSPCL before last date of comments/ public hearing and complete Profit and loss account of surrender power may be given in tariff order as well.

## **7. Voltage Rebate for 66 KV consumers:**

4 T&D losses for 66 KV consumers as per open access regulations worked out in TO 2018-19 are 4.28% for 2018-19 against total T&D losses of 14%.

In addition to T&D loss, the 66 KV consumer has to be compensated for the investment and operating cost of the 66/11 KV transformer and switch yard. The voltage wise cost of supply worked out by PSPCL in the Reply to Deficiencies (Page 183) for 2019-20 for 66 KV industry is Rs 5.77 and for 11 KV industry as Rs 6.59 indicating a difference of 82 paisa per unit. However, the rebate being given to consumers connected at 66 KV is only 25 paisa per unit. Voltage rebate need to be enhanced appropriately and fixed in percentage terms as per pattern of Voltage Surcharge being charged on percentage.

Since Voltage Surcharge for consumers eligible for 66 KV but getting supply at 11 KV have to pay 10% Voltage Surcharge, Similarly, Voltage rebate for 66 KV consumers should also be 10%.

## **8. Fix industrial Tariff as per category wise cost of supply**

The Board has submitted the category wise cost of supply. He appreciated the Board on this account to come up category wise cost of supply as well as related

cross subsidy earned/given to each segment of consumers. Therefore, it is also prayed to the commission to reduce the cross-subsidy burden on LS consumers and fix the tariff as near to the COS as possible. Based on category wise cost of supply, tariff of the LS consumers may be rationalized and tariff for subsidized class may be increased. He is also submitted that category wise cost of supply basis have been fixed many years back and said the same should be revisited to revise the assumptions for working out the category wise cost of supply.

## **9. T&D losses**

In Tariff order FY2020-21, the commission approved distribution loss target of 11.54% for FY 2019-20 as reported in para 3.3.1, page 78, T.O. dated 28<sup>th</sup> May 2021. Based on that distribution target were fixed at 11.24% (2020-21), 10.94% (2021-22) and 10.64% (2022-23) for subsequent years. However, the actual were found to be quite higher and also keeping in view COVID period, the distribution loss target were kept at 12.94% for FY 2019-20. The PSPCL even could not achieve the same and reported losses at 12.99% for FY 2019-20, based on actual. This was done by inflating the agriculture consumption from 11743 MU as approved by the Commission to 13051 MU Further, for FY 2021-22, the distribution losses approved by PSERC in Tariff order dated 28<sup>th</sup> May 2021 were considered but only after increasing the agriculture consumption to 11956 MU against PSERC approved agriculture consumption of 11931 MU. This clearly shows that the targeted T&D losses are accepted only by increasing the agriculture consumption than approved by the Commission. Therefore, the Commission is requested to approve only reasonable T&D losses by keeping agriculture consumption well within approved range.

He also pointed out that in chapter 6: Status of Directive Compliance, mentioned on page 97 of the current ARR, it is clearly conceded by PSPCL that wide spread theft has been the major bane for higher distribution losses. Major culprit areas were Border, South and West of Punjab on page 98 of the ARR, Commission observations are also indicating in this direction that against 11.54% distribution losses, PSPCL has achieved 14.35% distribution losses in 2019-20. Therefore, it submitted that burden of higher distribution losses were not of technical nature but are of commercial in nature and consumers should not be burdened with them and T&D losses level should continue to be fixed on trajectory adopted by Commission by capping agriculture consumption for true up of FY 2019-20 and projections for FY2020-21 and FY 2021-22.

## **10. Power purchase cost**

The power purchase cost should be subject to approved T&D loss by PSERC for FY 2019-20 onwards. It is submitted that previous years expenses should be dealt separately and no expenses can be allowed in ARR simply due to reason that it is actually incurred. For part of ARR, it should be approved also by PSERC. Therefore, only after taking out of such exaggeration, the power cost should be approved.

GOP has already passed the Act to cancel the power purchase agreements of costly power. PSPCL should ensure that no costs relating to such PPAs are passed on to consumers. These IPPs will file civil suits in appropriate courts against the termination. The Commission should ensure that consumers are ring fenced appropriately and damages payable by PSPCL in case the termination is set aside by the courts are not passed on to consumers.

## **11. Excess capital expenditure incurred than approved**

In para 2.10 of current ARR, PSPCL has claimed higher capital expenditure of Rs. 1992.23 crore against 1700 crore approved by the Commission in its tariff order FY2019. This observation in this regard is as under:

- i. He submitted that as GGSSTP plant is very old and need to be retired, no further capital expenditure should be sanctioned for it especially for FGD. Similarly, any such expenditure on GHTP should be spent keeping in view its future life as two units of the plant would be reaching 25 years of operation in 2022/2023.
- ii. As per audited annual accounts for the period 1/4/20 to 31/3/2021, page 23, consumer contribution has increased from Rs.3438.87 crore in FY2020 to Rs.3558.35, by Rs.145 crore in FY2020-21. It is to be seen that whether the same is reduced from the capital expenditure requirement of PSPCL depicted in ARR for the year FY 2020-21 or not. He submitted that the same should be reduced.
- iii. In hydel project construction, 273.09 crore are shown as expenditure for FY21 in para 2.10.3 of the current ARR as payment made to water resource department. It is also mentioned in previous petition that most of the funds are spent on Shahpur kandi project. In our view, Shahpur kandi project is an irrigation cum power project. If it is so, then the total capital expenditure is to be divided between irrigation department of the Punjab Government and PSPCL

suitably. As per a news-report, the project is aimed to produce 206 MW power and irrigate 37173 hectare land. The civil work is to be done by irrigation department of Punjab Govt. and PSPCL has to do only electro and mechanical work of power plant portion only as per Punjab Government notification. Therefore, it is to be ensured that a fair allocation of total expenditure is done between Irrigation department and PSPCL. (ref, Times of India, 9th Sept 2018). Hence, the amount claimed by PSPCL of Rs. 273.09 crore should not be allowed for ARR purpose.

Taken together, he submitted that only such cost of capital expenditure in terms of depreciation, interest and finance charge etc. should be passed on to the consumers of electricity in the State, for which benefits start flowing and remaining should not be allowed as a part of the ARR. The same approach need to be adopted for FY2021-22 and FY 2022-23.

## **12. High interest and finance charges**

### **i. Interest on working capital loans**

The Commission has approved Rs. 128 Crore for FY 2020-21 and Rs.138 crore for FY 2021-22 in tariff order dated 28<sup>th</sup> May 2021. Against this, PSPCL has claimed interest on working capital loan at Rs.686.74 crore for FY2020-21 as per para 2.17 of the current ARR. As per PSPCL higher interest cost is due to higher working capital requirement and higher interest cost of 10.13% against approved rate of interest at 9.43%. Therefore, he submitted that interest on working capital loan should be approved as per MYT regulations for FY 2020-21, FY2021-22 and FY 2022-23.

### **ii. Interest on loans other than working capital loans**

The capital expenditure approved by the Commission for FY was 1712.89 crore as per para 2.10.1 of the current ARR. Against it PSPCL has incurred Rs. 1417.60 crore. Therefore, the interest on loan should be less than approved by the commission on this account. He submitted the Commission to look into the details and approve interest on long term loan as per MYT regulations only and on approved part of the total loans taken by PSPCL rather than as appearing in its balance sheet and claimed by PSPCL.

## **13. Employee cost**

Employee cost is growing consistently and the same cannot be capped due to manifold reasons. He submitted that only reasonable cost be passed through ARR

and remaining must be taken over by Government as PSPCL employees are government employees and must get their dues as per Government rules and regulation, but the same should not be used as an excuse to increase the ARR and cost of power for consumers.

The employee cost as per audited balance sheet is shown as Rs. 4808 Crore for FY 2020-21, which has been projected to grow at Rs. 5269 crore and Rs.5552 crore for FY 2021-22 and FY 2022-23, which seems to be quite on higher side. PSPCL projecting new recruitment of 2327 employees in FY 2021-22 and 2632 employee in FY 2022-23. He submitted that the same should be closely scrutinized. Further, also submitted that GGSTP should be closed and manpower of the same should be adjusted. This would also help to some extent to bring down the employee cost.

He also submitted that PSPCL has allowed some pay benefits to its employees due to the agitation started by unions in Nov-Dec 2021 and PSPCL is bound to approach the Commission for its pass through in tariff. Further, huge arrears are payable to the employees due to implementation of Pay Commission Report. There needs to be justification of such increases as these are much above to GOI pay package. He Requested that such demands needs to be thoroughly scrutinized and only justified costs need to be passed on to the consumers.

#### **14. PSPCL has also not informed about the disposal of two units of GGSSTP Ropar**

In spite of having retired 2 units, the expenditure is being booked at the same level which needs to be disallowed. Assets of two units be sold immediately and the sale proceeds of 2 units of Ropar be used to repay the capital loans so that consumer get some relief.

#### **15. Overdue receivables**

In chapter 6: Status of directive compliances, page 125 of the current ARR, it is stated that there are outstanding dues of 4631.68 crore and out of which Rs. 2181.61 crore is due towards Government department. We opined that prepaid meters be installed in government offices. However, as far as outstanding from Government office is concerned (Rs.2181.61 crore), the same should be deducted from the Government loans given to PSPCL or the Government equity be reduced by Rs.2181.6 crore plus due interest for delayed payments and return on equity be reduced by the same amount. This should be left to the government as how to deal with these outstanding amount of various government offices.

Similarly, he suggested that a detailed MIS system be developed to track such accounts where power is regularly supplied but payment is not received. Such account holders may be pursued suitably to pay due bill amount to PSPCL. Honest consumers should not be made to suffer through higher tariff for such lapse of GOP/PSPCL

#### **16. Security (Consumption)**

Presently interest on Security is at RBI rate which is only around 4% whereas we have to take working capital loan at 8-9%. There is provision of pre-paid meter in Supply Code. PSPCL should spell out the road map for introducing Pre-Paid meters for industry. If PSPCL is not ready, then consumers be allowed the facility to submit Bank Guarantee for Security (Consumption) and the cash deposited for Security be refunded.

He also submitted that the MOP has also issued directions to install Smart meters with prepaid facility for all industrial consumers by March 2023. As such trajectory to achieve the installation of pre-paid meters on industry be finalized.

#### **17. Aligning steel furnace tariff with general industry post implementation of Harmonics Regulations**

The tariff of steel furnace industry should be kept at par with general industry when harmonics standards are implemented in the State of Punjab. It is chiefly due to harmonics disturbance to the system, the tariff of steel industry is kept higher than general industry.

#### **18. Revenue surplus situation exist for PSPCL for FY 2020-21 and FY 2021-22**

PSPCL in its Balance sheet has shown net profit of Rs. 1446 crore for FY 2020-21. Keeping in view the fact that balance sheet is based on actual figures, even after removing of return on equity element as MYT regulations of Rs.975 crore, there is still surplus of Rs. 471 crore, even as per audited balance sheet, which is generally far more than approved expenses. Accordingly, the approved ARR is likely to generate a net profit for PSPCL for FY 2020-21. However, PSPCL has shown a net profit of Rs. 4 crore for FY 2021-22. Even adding back excess interest and finance charges and interest on working capital claimed( Rs.467 crore) and return on equity by Rs.709 crore( Rs.1684-975), there is surplus of Rs.1176 crore. Besides that there would be more items excess claimed by PSPCL. Similarly FY2022-23 would also generate surplus rather than any deficit. In this regard, he submitted that there is a strong case for reduction of tariff for all categories of

consumers, within which tariff of those consumers should be reduced more who are subsidizing other categories of consumers.

#### **19. Subsidy to agriculture sectors and other sectors**

Subsidy to agriculture and other sectors should be calculated as per approved figure of sale for FY 2020-21, FY2021-22 and FY2022-23. Delay payment of subsidy by Government of Punjab should be worked out accordingly along with interest thereon as a financing cost. He also requested for sample audit of working calculations of the subsidy claimed by PSPCL in the consumer bills being issued by PSPCL to cross verify the claims specially for night period claims for industrial consumers.

#### **20. Continue with threshold consumption rebate**

As per PSPCL ARR, table no 1, page 26, there is increase of about 7% in power consumption in FY 2020-21, based on audited figure. Keeping in view the same, he requested that threshold consumption rebate should be continued for FY 2022-23. However, it is pertinent to note that threshold consumption rate is calculated based on surrender power cost and other related variables to make it attractive. However, he stated that PSPCL is proposing threshold rebate at Rs.4.86/unit, in its replies to deficiencies, (refer page 40), which should not be accepted and calculation of the same should be shared with public also as well as provided in Tariff Order also.

#### **21. Time of Day Tariff (TOD)**

PSPCL has proposed TOD tariff to be started from 16<sup>th</sup> October 2022 against 1<sup>st</sup> October 2022. It is argued by PSPCL in its replies to deficiencies on page 40 that irrigation demand for certain varieties of Paddy remain till 15<sup>th</sup> October. Therefore, TOD date to be postponed till 16<sup>th</sup> October. He strongly objected to the PSPCL proposal and rationale given for the same. He further stated that that TOD tariff is discontinued from 1<sup>st</sup> June of each month while the supply to agriculture sector is started from 13<sup>th</sup> June (since last 2 years). Therefore, the TOD for summer months should continue till 12<sup>th</sup> June also.

Moreover, the TOD tariff period cannot be micro managed to cover all the varieties of the rice sowing period and linked with the majority Paddy season. Keeping in view this fact,



- i. The current regime of TOD should continue as it is
- ii. If the TOD date is extended from 1st October to 15 October then TOD date should also be extended to 13-15th June against 31st May of each year because of reason explained above.

## **22. Uninterrupted Power to Industry**

PSPCL to ensure Uninterrupted Power to Industry in case of Delayed Monsoon - He requested PSERC to give clear directions to PSPCL that in the event of delayed monsoons in the upcoming months of June- July which coincide with the Paddy sowing season, the Power supply to industry should not be disrupted as had happened last year.

### **Suggestions to the Commission:**

1. There is no case for allowing any increase in ARR as sought by the PSPCL for FY 2020-21 and FY 2021-22 and in fact tariff should be reduced especially for subsidizing class of consumers specially EHT and HT LS consumers.
2. Carry forward the rationalization of Electricity Tariff in the State based on the principle of category wise 'Cost To Serve' principle.
3. Ensure tariff rationalization of subsidized class of consumers or ask State Government to compensate the PSPCL through explicit subsidy.
4. Minimize the power cut on large industrial EHT and HT consumers.
5. Voltage rebate for 66 KV consumers be increased from 25 paise/unit to 50 paise/unit.
6. Continue with threshold consumption rebate.
7. Continue with TOD regime of FY 2021-22 to FY 2022-23 also.
8. As there is no cash flow for equity and only GOP loans/Consumer contributions & Govt. subsidies have been converted into equity, no ROE be allowed and only interest on Loan be allowed.

## **6. Mr. Onkar Singh from Avon Cycles, Ludhiana requested that:**

The limit of load for SP category may be raised from 20kW to 40kW and that of MS category from 100 kW to 200 kW.

## **7. Kamal Dalmia Chairman Focal point industry Association (Regd. Amritsar):**

He made following suggestions:

- Alternate distribution licensee should be brought in to have healthy competition, improved power supply and thereby reduction in tariff.
- Increase interaction of PSPCL officers with public to enable early mitigation of their problems.
- To hire technically sound consultant to have better technical inputs.

#### **8. Representative of Pharma Commission:**

- Power supply to AP high technology/high density pharming be increased from present 8 hours supply to 24 hours supply.

#### **9. Chairman PHDCCI – R.S Sachdeva stated that they had made detailed presentation, observations and suggestions to the Commission during the public hearings and they should be considered, as suggestions from PHDCCI for the purposes of the State Level Committee also. In addition to the following suggestions were also made:**

- Power supply during paddy season be planned week wise to have regular, uninterrupted supply.
- to engage a third party for energy auditing. Further, suggested that PSPCL to have their own, in house energy audit cell, to know area wise actual losses and take necessary remedial actions to bring losses within the prescribed limit.
- The amount accrued on account of plants disposed of be reused for reducing CIP.

#### **10. Baldev Singh-CMD-PSPCL :**

While welcoming the feedback and suggestions of the Committee Members CMD-PSPCL stated as under:

- ATC limit of Punjab is 8500MW and suitable actions are being taken to get this limit extended to 9000MW. For this year paddy season a total power capacity of 15500 MW including internal general of 6500MW power is being arranged to provide uninterrupted quality power supply to all sectors of Punjab.
- Banking of power PSPLC touched 2500 MW.
- All arrangements to operationalised Pachhwara coal mine has been made and coal shall be available by May 2022. With the operationalised of coal mine there will be a saving of Rs. 600-700 crore annually.
- 600MW Shahpur Kandi project shall be commissioned by Year 2024.
- Tariff of LS category (PIU and General) be made equal as there are repercussions at the field level.

- Telephone 1912 no. (provided for consumer complaint lodging and redressal) has been strengthened by adding sufficient more PNT lines for improving the consumer power related grievances redressal.

The Chairperson thanked all the members for their valuable comments and suggestions.

The meeting ended with a vote of thanks to the chair.

**ANNEXURE-IV****Category-wise & Voltage-wise Cost of Supply and Cross Subsidy comparison with Cost of Supply**

| Voltage Level | Consumer category | FY 2022-23     |                                           |
|---------------|-------------------|----------------|-------------------------------------------|
|               |                   | Cost of Supply | Cross subsidy level w.r.t. cost of Supply |
|               |                   | Rs./unit       |                                           |
| I             | II                | III            | IV                                        |
| 220 kV        | Industrial        | 5.47           | 30.58%                                    |
| 132 kV        | Industrial        | 5.59           | 27.66%                                    |
|               | Bulk              | 5.42           | 45.19%                                    |
| 66 kV         | Industrial        | 6.43           | 10.97%                                    |
|               | Bulk              | 6.24           | 26.07%                                    |
|               | Commercial        | 6.22           | 28.05%                                    |
| 33 kV         | Industrial        | 6.48           | 10.21%                                    |
|               | Domestic          | 7.15           | -20.26%                                   |
|               | Bulk              | 6.24           | 26.07%                                    |
| 11 kV         | Industrial        | 6.66           | 7.16%                                     |
|               | Domestic          | 6.72           | -15.23%                                   |
|               | Commercial        | 6.77           | 17.69%                                    |
|               | Bulk              | 6.96           | 13.10%                                    |
| LT            | Industrial S.P    | 7.64           | -2.91%                                    |
|               | Industrial M.S    | 7.76           | -14.43%                                   |
|               | Domestic          | 7.37           | -29.34%                                   |
|               | Agriculture       | 7.32           | -29.26%                                   |
|               | Commercial        | 7.71           | 3.22%                                     |
|               | Bulk              | 7.41           | 5.79%                                     |
|               | Public Lightning  | 6.56           | 14.73%                                    |

**Note:** The voltage-wise/category-wise Cost of Supply (CoS) worked out on the basis of estimated/allocation data supplied by PSPCL may not be depicting the actual cost of supply.

**LIST OF OBJECTORS– PSPCL**

| <b>Objection No.</b> | <b>Address</b>                                                                                                                                  |
|----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.                   | M.B Gohil, Vice President, HPCL-Mittal Energy Limited, Village Phulokhari, Talwandi Saboo, Bathinda                                             |
| 2.                   | Kamal Dalmia, Chairman, Focal Point Industries Association, 35 Focal Point, Mehta Road, Amritsar-143006                                         |
| 3.                   | Jogendra Behera, Vice President-Market Design & Economics, Indian Energy Exchange, Plot No.C-001/A/1, 9th Floor, Max Towers, Sec-16B, Noida, UP |
| 4.                   | Anil Kumar Modi, Dera Baba Nursing Dass ji (Regd.), Kali Mata Mandir, Bus Stand Road, Malerkotla-148023                                         |
| 5.                   | Manjatinder Singh Saini S/o Late Raghvir Singh, R/o 4424-B, Narindra Colony, Ropar.                                                             |
| 6.                   | PHD Chamber of Commerce and Industry                                                                                                            |
| 7.                   | President, Mandi Gobindgarh Induction Furnace Association (Regd.), Grain Market, Mandi Gobindgarh-147301                                        |
| 7A.                  |                                                                                                                                                 |
| 8.                   | Dr. Harish Anand, Steel Furnace Association of India, Dhandari Industrial Focal Point, Ludhiana-141010                                          |
| 9.                   | President, Induction Furnace Association of North India (Regd.), Room No.204, 2nd Floor, Savitri Complex-I, G.T Road, Dholewal, Ludhiana-141003 |
| 10.                  | Bodal Chemicals Ltd., Plot No.123-124, Phase-I, G.I.D.C, Vatva, Ahmedabad-382445, Gujarat, India                                                |
| 11.                  | Chamber of Industrial & Commerce Undertakings (CICU), E-648/A, Phase-V, Focal Point, Ludhiana- 141010                                           |
| 12.                  | United Cycle & Parts MFRS. Association, Near Campa Cola Chowk, Gill Road, Ludhiana-141003                                                       |
| 13.                  | M/s Shree Krishna International, Ludhiana                                                                                                       |
| 14.                  | Small ideas Great Ideas Trust, 1st Floor, Sandhu Market, Opp. Govt. Ayurvedic Hospital, Kochhar Market Road, Model Gram, Ludhiana - 141002      |
| 15.                  | Cycle Trade Union (Regd), Airi Cycles, 110-111, New Cycle Market, Gill Road, Miller Ganj, Ludhiana- 141003                                      |
| 16.                  | PSEB Engineers' Association, #45, Ranjit Bhag, Near Modi Mandir, Passey Road, Patiala.                                                          |
| 17.                  | Steel City furnace Association, Old Central Bank Street, Loha Bazar, Mandi Gobindgarh- 147301 (Pb.)                                             |
| 18.                  | Patiala Consumers & Telephone Subscribers Forum (Regd.) Member CAG TRAI, 478, Phase-II, Patiala                                                 |
| 19.                  | Consumer Welfare Council, Shop No.4, Factory Road, Muktsar – 152026 (Pb.)                                                                       |
| 20.                  | Gurmit Singh Bhatia – 94172-75443                                                                                                               |

**PSPCL–OBJECTIONS****Objection No. 1:- HPCL Mittal Energy Limited****Issue: Voltage Rebate at 400kV**

HPCL-Mittal Energy Limited (HMEI), is setting up a Mega Project-Guru Gobind Singh Polymer Addition Project at GGS Refinery, Bathinda. For this project, we have applied for 200MW/200MVA power at 400kV supply voltage. The infrastructure for giving power supply to us is in advance stage and connection is likely to be released during January 2022.

From the perusal of the Tariff Order for FY2021-22 issued by the Commission, it has been observed that as per clause 13.2(a) of General Condition of Tariff, the voltage rebate for supply at 400kV/220kV/132kV is same. We wish to highlight here that the expenditure incurred by the consumer for receiving supply at 400kV is much more as compared to 220kV/132kV and cost to serve at 400kV will be much lower than the cost to serve at 220kV/132kV. Moreover, the metering in our case will also be at 400kV. Therefore, the rebate for supply at 400kV should be higher as compared to 220kV/132kV.

Since we will be the first consumer in Punjab to receive supply at 400kV, as such, presently cost of supply at 400kV Supply voltage is not being worked out by PSPCL. Hence, for the purpose of voltage Rebate, the 400kV Supply voltage is being clubbed with 220kV Supply voltage.

**Reply of PSPCL:**

Increasing voltage rebate will cause reduction in revenue so it is requested that while considering to fix the voltage rebate as demanded by the objector the Commission may keep in mind the financial interest of PSPCL and allow PSPCL to recover legitimate cost claimed in the Petition.

If revenue of PSPCL reduces due to more HT rebate, then tariff for any other category will have to be increased to compensate for the said revenue loss which may further lead to disturbance of Cross Subsidy levels.

**Commission's View:**

The Commission has taken a note of the issue and concern of the objector.

**Objection No. 2:- Focal Point Industries Association, Amritsar****Issue No.1: Load Limits for MS Connection**

Ministry of Small-Scale Industries has changed the criteria for classification of MSME wherein Investment Limit in Plant & Machinery or equipment does not exceed Rs. 50 Crore & Turn over does not exceed Rs. 250 Crore as against investment in Plant & Machinery or equipment more than 5 crore but less than 10 Crores. In spite of this change the Power Sector has not amended the criteria of classification of MSME enterprises till date. The Limits for MS Connection - 20KW to 100KW has not changed since for the last 30 years. It is suggested that the limit of the same be increased to 200 KW.

**Reply of PSPCL:**

Classification of industries are given in Tariff Order decided by the Commission so Change of tariff category on the basis of load/demand falls under the preview of the Commission.

**Commission's View:**

The categorization is based on load and not as per investment limits prescribed by the Govt. of India.

**Issue No.2: Change in consumer categorisation for Hotels / Malls etc.**

Presently, Hotels / Malls etc. are charged as commercial entity. It is suggested that the Hotels/Malls etc. should be covered under Tourists Industry and Tariff applicable to that Industry should be charged. Amritsar is growing very fast as a Tourist Spot. Tourists from all over the world are coming to Amritsar to visit the Golden Temple, Durgiana Temple, Jallianwallah Bagh, Retreat Ceremony at Indo - Pak Border and other newly developed heritage sites around the city. With this change, the New Hotels & Malls will come up to meet the demand of the visiting Foreign/ Indian Tourists.

**Reply of PSPCL:**

Presently Hotels/Malls etc. are being charged under NRS category as per Tariff Order 2021-22. If the demand of Objector is considered by Hon'ble Commission and Hotel/Malls etc. are covered under Industrial category, PSPCL revenue will decrease from this category and the financial position of PSPCL will further deteriorate as tariff rate of industry is less than NRS tariff and industrial tariff is being subsidized by the Government, so tariff for any category will have to be increased to compensate for the said revenue loss which may further lead to disturbance of Cross Subsidy levels. So, Hon'ble Commission is requested to continue with NRS tariff for Hotels/Malls etc.

**Commission's View:**

The Commission has taken a note of the issue and concern of the objector. Hotels are commercial in nature and are being treated as such.

**Issue No. 3: ACD**

That earlier it was noticed that auditors used to direct the local PSPCL officials to Issue notices for collecting the difference in ACD from consumers which becomes payable due to increase in the tariff every year. On other hand, there is a provision also for refund of ACD in case it is excess but local officials never refund the same to consumer. It is suggested that assessing officer should deal with the ACD related matters and no other authority, whether Audit or MMTS should review the ACD matters. Auditor/MMTS direct the local officials to collect the difference in ACD amount within 10 to 15 days from the date of Notice whereas ACD demanded with Bar Code Demand Notice have payment due date of 3 months. Rate of ACD should also be reduced and it should be made equal to one-month average bill instead of 1.5/2 times of the average monthly bill of previous year. It is also requested that a uniform formula for assessing ACD should be made public so that consumer can check the same easily before payment.

**Reply of PSPCL:**

Demand for shortfall or Refund of security shall be governed by regulation 16.5 of supply code 2014. Rates of ACD are taken as per Schedule of charges approved by PSERC from time to time.

**Commission's View:**

The issue does not relate to the tariff petition. Since the issue is related to Supply Code objector may refer the same to supply code review panel.

**Issue No. 4: Interest on ACD**

Earlier, interest payable to consumer on ACD was SBI rate of interest plus 2%. But now the interest payable on ACD has been revised to RBI rate of interest. Industry is paying minimum 8% interest to the banks on borrowings. Accordingly, Rate of interest on ACD should be made at par with the rate of interest charged by the commercial banks.

**Reply of PSPCL:**

In continuation of above it is submitted that security amount cannot be equated with the Fix deposit rather it was the security against of sale of good i.e. electricity on credit and most of the states allow interest at RBI bank Rate only.

**Commission's View:**

The issue does not relate to the tariff Petition. Since the issue is related to Supply Code objector may refer the same to supply code review panel.

**Issue no. 5: Meters for installing Solar system**

That PSPCL & PEDDA are promoting use of Solar Power by installing Solar System. The two-way Meters are neither available with PSPCL nor in the open market. Due to non-availability of these Meters, there is huge delay in installing the Solar System. It is suggested that Way Meters should be made available in open market as well as with PSPCL so that there should not be any delay in installing Solar System.

**Reply of PSPCL:**

It is submitted that detailed positions of availability of meters are as Under:

| Sr. No. | Type of Bi-directional Meter       | PSPCL stock | Empanelled firm for open Sale                                 | Comments                                                                                                                                                                                                         |
|---------|------------------------------------|-------------|---------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1       | Single Phase bi-directional meters | 8,119       | ---                                                           | Sufficient quality is available in stock                                                                                                                                                                         |
| 2       | Three phase bi-directional meter   | 0           | M/s Avaon Meter Ltd.<br>M/s Schneider Electric India Pvt Ltd. | 1. 4800 no. meter were purchased and consumed till December, 2021<br>2. TE MQP-183 floated for procurement of 10,000 meters is under the process and supplies are expected to start by end of March/April, 2022. |
| 3       | LT CT bi-directional Meters        | 0           | M/s Schneider Electric India Pvt Ltd.                         | Monthly consumption is less. Further new tender enquiry for LT CT meter is under progress and meter will be available by June/July, 2022.                                                                        |

| Sr. No. | Type of Bi-directional Meter | PSPCL stock | Empanelled firm for open Sale                                  | Comments                                                                                                                                                                                                      |
|---------|------------------------------|-------------|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4       | -/5HT bi-directional Meters  | 0           | M/s Schneider Electric India Pvt Ltd.<br>M/s Secure Meter Ltd. | Monthly consumption is less. New tender enquiry no MQP-184 floated for procurement of 600 no. HT meter. Which could not be materialized due to technical reason and new tender enquiry is being floated soon. |
| 5       | -/1 HT bi-directional Meters | 0           | M/s Secure Meter Ltd.                                          |                                                                                                                                                                                                               |

**Commission's View:**

The Commission has taken a note of the issue and concern of the objector. PSPCL is directed to expedite procurement from the empanelled firms.

**Issue No. 6: Unscheduled/Forced Power cuts**

That forced power cut was imposed on Industry during the period from 01.07.2021 to 15.07.2021. No timely information was given to the industry for these power cuts. In some cases, notices were issued but sent in the late hours. Under the consumer should be informed about the cut well in advance thru E. mail / SMS / Notices etc. so that consumer can plan its operations accordingly. In the case under consideration even the Local PSPCL officials were not aware of this power cut. Due to non-receipt of timely information from PSPCL, the units continued running their operations. Now, the Auditors are making half margin notices to consumers for recovering the penalty without any fault of the affected consumer. It is requested that all the penalty notices should be withdrawn to avoid the harassment to the innocent consumers.

**Reply of PSPCL:**

It is submitted that the 24x7 power supply is being made to the urban and industrial area under the PSPCL jurisdiction, and in order to minimize the load shedding, proper monitoring has been done, while the load shedding is conducted only in case of unavoidable circumstance.

**Commission's View:**

The Commission has already considered the matter in Petition No. 52 of 2021 and the necessary directions has been given to PSPCL.

**Issue No. 7: TOD surcharge**

That PSPCL is charging Peak Load Surcharge for use of electricity from 6 PM to 10 PM during the months of June to September. As now, Punjab is a surplus power state, the Consumers are still being charged KVH Tariff. Hence, it is requested that this surcharge for 4 months be withdrawn.

**Reply of PSPCL:**

PSPCL generally plans for long term power procurement to meet its base load/demand and goes for short term power procurement to cater to its peak demand. Thus, to achieve optimum power procurement, the load curve throughout the day needs to be as flat as possible. To achieve this objective, Time of Day (ToD) tariff is an accepted tool for DSM, wherein an additional charge is levied for consumption during off-peak hours, in order to incentivize consumers to shift their consumption from peak to off-peak hours, for flattening of the load curve and minimizing the cost of power procurement to the distribution licensee.

Accordingly, the Commission in the Tariff Order for FY 2016-17 decided to shift from the Peak load Exemption Charges (PLEC) to the ToD tariff which is still continued vide Tariff Order for FY 2021-22. ToD is applicable to NRS/BS consumers with sanctioned demand of more than 100 kVA, all LS/MS consumers (including Rural Water Supply Schemes & Compost/Solid Waste Management Plants) and EV charging stations and is presently comprising of normal tariff plus Rs. 2.00 per kVAh for the consumption during off-peak hours of 10:00 PM to 06:00 AM (next day) for the period of 1<sup>st</sup> October to 31<sup>st</sup> May of next year as per the tariff order 2021-22.

In view of the above said requirement of achieving the load curve throughout the day to be as flat as possible, the Commission is requested to continue with the ToD tariff.

**Commission's View:**

The objector may take note of PSPCL's reply. Further the Commission has taken note of the concern.

**Issue No. 8: Installation of new substation**

That Demand of Power in the Old Focal Point, Amritsar has increased. There is no substation in the Focal Point and Power Supply is made from the Mall Mandi. It is requested that 132 KVA substation



be installed at the Old Focal Point for which one plot has been kept reserved for the last 30 years by PSIEC.

**Reply of PSPCL:**

This Issue does not relate to ARR tariff Petition and shall be dealt separately.

**Commission's View:**

The objector may note the reply of PSPCL. PSPCL may take appropriate decision on the demand of the consumer.

**Issue No. 9: Unscheduled/Forced power cuts**

That, sometimes unscheduled power cuts are imposed by the PSPCL which disturb the working of the industrial units. It is suggested that the concerned official(s) imposing unscheduled power cut be made answerable / accountable for the same.

**Reply of PSPCL:**

It is submitted that normally unscheduled power cuts are not imposed on industrial feeders by PSPCL. Sometimes PSPCL is forced to impose unscheduled power cuts due to events beyond its control like sudden outage of power generation/400 KV lines, storms, accidents etc. Permits taken by JEs for attending any emergent fault are properly recorded. However scheduled Power Cuts for maintenance are being regularly published in newspapers/social media and through electronic media. Groups consisting of industrialists, PSPCL employees have been created at Zonal Level on which information regarding scheduled power cut is shared and even grievances are attended.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue no. 10: Increasing the working efficiency**

That to increase the working efficiency of PSPCL and to decrease its losses, the auditors of National / International repute should be appointed to review the working to mitigate the losses of the Corporation.

**Reply of PSPCL:**

PSPCL would like to apprise the objector that statutory audit of the PSPCL's performance is being carried out by external auditor nominated by CAG of India. Further, in compliance to section 143 (6) (B) of Company act 2013, the supplementary audit of PSPCL performance is carried out by CAG of India.

**Commission's View:**

The objector may note the reply of PSPCL. In addition, the Commission has already directed PSPCL to get energy audit for the system emanating from 66 kV substation to consumer end.

**Issue No. 11: General**

Presently PSPCL is having monopoly for distribution & transmission of electricity. To make it competitive and efficient, at least one more distribution/transmission Company should be allowed to operate in power sector.

**Reply of PSPCL:**

This is a policy matter relating to Punjab Govt.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue No. 12: Feasibility/clearance for new connection**

That whenever any new connection above 500KVA / KW is applied, feasibility clearance is mandatory before the commencement / registration of application. But in some cases, it is noticed that feasibility clearance is allowed only after clearance from Chief Electricity Inspector and installation of Energy Meter etc. which is not possible before the completion of the project. It is suggested that feasibility clearance should be given before the start of the project.

**Reply of PSPCL:**

As per Regulation 6.3.1 of Supply Code Regulation 2014 (amended up to date) where new or total demand including additional demand exceeds 500 kW/kVA, the applicant shall first obtain feasibility clearance in the prescribed requisition form after payment of EMD of 5% as specified in the Schedule of General Charges. As per this Regulation, in all cases above 500 kVA of New/Extension of CD, feasibility is granted after the registration of application and deposit of requisite charges by the consumer. Clearance from the chief electrical inspector is required to be furnished by the consumer during the compliance of demand notice raised by the PSPCL after the technical feasibility and

submission of A&A form by consumer. As such, in no cases, feasibility is cleared after the clearance from CEI & installation of meter.

**Commission's View**

The issue does not pertain to the present exercise of tariff determination. PSPCL may note the concern of the objector.

**Issue No. 13: Electricity Bills**

The charges demanded as a result of checking / arrears due to under assessment are included in regular supply bill by the Punjab State Power Corporation Limited (PSPCL). If these charges / arrears are not paid, penalty is levied and recovered from the consumer.

As per supply code clause 30.1.2, the bill cum notice for arrears shall be initially tendered separately and shall not be clubbed with current electricity bill. If arrears are not cleared by the consumer, such arrears shall be indicated regularly in the subsequent electricity bills. In case arrear bill is included in the current energy bill at the first instance, the distribution licensee shall not be entitled to take any punitive action against the consumer for non-payment of such arrears amount along with the current energy bill.

It is suggested that this clause should be strictly implemented, and action should be taken against erring officer.

**Reply of PSPCL:**

The issue cited by the objector does not relates to current ARR Petition and shall be dealt separately.

**Commission's View:**

PSPCL may note the concern of the objector.

**Issue No. 14: ARR Petition**

That PSTCL & PSPCL every year file petition before the Commission to increase electricity tariff. Increasing tariff is not a permanent solution to the problem. Electricity Tariff in Punjab is already very much higher as compared to the adjoining states i.e. HP, Jammu & Kashmir etc. etc. It is suggested that PSTCL & PSPCL should reduce its Transmission losses, Breakdown expenses, improve working by blocking loop holes etc. etc. To take care of these, Corporation should appoint Advisors & auditors of international / national repute without any delay.

**Reply of PSPCL:**

PSPCL has submitted the cost benchmarking in its current tariff petition with respect to sales via analysis of the Distribution tariff orders issued by five states namely, Uttar Pradesh, Himachal Pradesh, Rajasthan, Delhi and Haryana for FY 2021-22. A per unit cost of various components of ARR with respect to sales made by distribution utilities in the aforesaid states are tabulated as under:

| Particulars                   | Punjab      | Haryana     | Uttar Pradesh | Delhi       | Himachal Pradesh |
|-------------------------------|-------------|-------------|---------------|-------------|------------------|
| <b>Power Purchase Cost</b>    | 3.56        | 4.01        | 4.32          | 4.30        | 3.18             |
| <b>Transmission Cost</b>      | 0.26        | 0.43        | 0.27          | 0.38        | 0.05             |
| <b>PGCIL Charges</b>          | 0.27        | 0.50        | 0.71          | 0.65        | 0.50             |
| <b>T&amp;D Losses</b>         | 0.59        | 0.81        | 1.05          | 0.38        | 0.35             |
| <b>O&amp;M Cost</b>           | 0.89        | 0.78        | 0.56          | 1.04        | 2.18             |
| <b>Capex related Cost</b>     | 0.49        | 0.39        | 0.59          | 0.72        | 0.45             |
| <b>Other Cost/(Income)</b>    | (0.16)      | (0.12)      | 0.05          | (0.15)      | (0.25)           |
| <b>Past Gaps (if any)</b>     | (0.14)      | -           | -             | 0.24        | (0.99)           |
| <b>Average Cost of Supply</b> | <b>5.77</b> | <b>6.79</b> | <b>7.54</b>   | <b>7.56</b> | <b>5.47</b>      |

The most significant component of ARR is the expenditure incurred on power purchase. Above table depicts that the PSPCL has the lowest power purchase cost per unit of energy sales as compared to its neighboring states except Himachal Pradesh, as it has maximum share of hydro power in its power purchase mix. It is quite pertinent to mention here that the PSPCL has lowest Average Cost of Supply among its neighboring States.

Therefore, there is no contention in the matter of the objector that the Punjab has highest tariff among its neighboring States, however, the PSPCL is striving hard to achieve performance parameters as targeted given by the Hon'ble Commission.

**Commission's View:**

The objector may note the reply of PSPCL. In addition, the Commission has already directed PSPCL to get energy audit for the system emanating from 66 kV substations to consumer end.

**Issue no. 15: Criteria for classification of MSME**

That Ministry of Small-Scale Industries has changed the criteria for classification of MSME with effect from 1st July, 2020 as detailed below:

| Previous MSME Classification                           |                                                       |                                                         |                                                          |
|--------------------------------------------------------|-------------------------------------------------------|---------------------------------------------------------|----------------------------------------------------------|
| Criteria: Investment in Plant & Machinery or Equipment |                                                       |                                                         |                                                          |
| Classification                                         | Micro                                                 | Small                                                   | Medium                                                   |
| Mfg. Enterprises                                       | Investment < Rs. 25 lac                               | Investment < Rs. 5 cr.                                  | Investment < Rs. 10 cr.                                  |
| Services Enterprise                                    | Investment < Rs. 10 lac                               | Investment < Rs. 2 cr.                                  | Investment < Rs. 5 cr.                                   |
| Revised Previous MSME Classification from 01.07.2020   |                                                       |                                                         |                                                          |
| Composite Criteria: Investment and Annual Turnover     |                                                       |                                                         |                                                          |
| Classification                                         | Micro                                                 | Small                                                   | Medium                                                   |
| Manufacturing & Services                               | Investment < Rs. 1 cr.<br>And<br>Turnover < Rs. 5 cr. | Investment < Rs. 10 cr.<br>And<br>Turnover < Rs. 50 cr. | Investment < Rs. 20 cr.<br>And<br>Turnover < Rs. 100 cr. |

In spite of this change by the Ministry, the Power Sector has not amended the criteria of classification of MSME enterprises till date. The Limits for MS Connection - 20KW to 100KW has not changed for the last 30 years. It is suggested that the limit of the same be increased to 500 KW.

**Reply of PSPCL:**

By changing classification based on load, there may be revenue loss due to tariff difference which has to be compensated to PSPCL. Further, classification of industries are given in tariff order decided by PSERC so change of tariff category on the basis of load/demand falls under the preview of Hon'ble PSERC.

**Commission's View:**

The Commission has taken a note of the issue and concern of the objector. The categorization is based on load and not as per investment limits prescribed by the Govt. of India

**Issue No. 16: Consumer Redressal Forum**

That the working of the Dispute Settlement Committee (DSC) should be made more disciplined and time bound. The cases are lying pending with the DSC even for almost last 3 years. It is suggested that the Consumer Redressal Forum (CRF) should monitor the working of DSC more effectively and it should be asked to submit monthly report of cases settled / pending for settlement to the Consumer Redressal Forum.

**Reply of PSPCL:**

The issue cited by the objector does not relate to current ARR Petition and shall be dealt separately.

**Commission's View:**

The objector may note the reply of PSPCL. The Commission monitors this on regular periodic basis.

**Issue No. 17: OTS Scheme**

PSPCL should be directed to come up with an "One time settlement Scheme" so that consumers can regularize their Power Connections to avoid litigations.

**Reply of PSPCL:**

PSPCL had launched various OTS schemes time to time for settlement of defaulting amounts etc of all consumers with the approval of PSERC. As and When new OTS approved by the Commission, same shall be launched for benefits of consumers.

**Commission's View:**

The objector may take note of the reply made by PSPCL.

**Issue No. 18: Importing power directly from Grid**

That purchase of power in Punjab from National Grid is very costly as compared to the other state because of huge charges levied by PSPCL. It is suggested that PSPCL should reduce these charges & allow all LS Units above 500 KW load to purchase power from the National Grid (if desired) so that industry of Punjab can compete with the industry of adjoining states.

**Reply of PSPCL:**

Charges levied on importing power outside Punjab are determined by the Commission by following due procedure and hearing all concerned stakeholders.

**Commission's View:**

The Commission has taken a note of the issue and concern of the objector. The Charges are determined by the Commission as relevant PSERC Regulations.

### Objection No. 3: Indian Energy Exchange

#### Issue No. 1: Computation of Voltage Wise Wheeling Charges

- The Hon'ble Commission is a statutory body created under the Act and the grant of open access is the prerogative of the Hon'ble Commission under section 42 of the Act.
- As per regulation 10 of the PSERC (Terms and Conditions for Intra-state Open Access Regulations), 2011, the Hon'ble Commission has allowed open access to consumers with contracted capacity more than 1 MW and connected at 11 kV or above. Relevant extract of the Open Access Regulations, 2011 is provided below:

"10. Eligibility for Open Access and conditions to be satisfied

.....

3) Subject to the provisions of these Regulations, open access shall be permissible to a customer having demand of 1 MW and above (except generating plants), connected at 11 KV or above, on all feeders except urban pattern supply feeders, AP feeders and category-I feeders serving mixed loads of urban/industrial consumers. However, all the generating plants will be allowed open access for wheeling of power. "

The above entails that the Open Access consumers are utilizing HT network only as they are allowed connection at 11 kV and above only. This is also evidenced from the regulation 4.2 of the PSERC (Electricity Supply Code) Regulations, 2014, which lays down the supply voltages applicable at different load levels.

- It is understood that the Hon'ble Commission in the past tariff orders, has determined the wheeling charges for Distribution System including the cost associated with both LT and HT network of the Distribution Licensee.
- From the above submissions it is evident that there is a requirement to align the computation of wheeling charges in the Tariff Order with the PSERC Open Access Regulations.
- It is further, submitted that the Hon'ble Appellate Tribunal of Electricity has in plethora of judgements (e.g. Judgement dated 17.12.2014 in Appeal Nos. 142 of 2013 & 168 of 2013 between M/S Mawana Sugar Ltd Versus Punjab State Electricity Regulatory Commission and Punjab State Power Corporation Ltd.) has held that the wheeling charges and losses must be computed voltage wise. The Hon'ble APTEL has emphasised on the necessity of imposing voltage wise wheeling losses and charges on the open access consumers,
- It is submitted that states such as Gujarat, Maharashtra, Delhi, Kerala, Karnataka, etc. while computing wheeling charge for the purpose of open access consider wheeling ARR for HT network only to arrive at the wheeling charges associated with the HT network.
- In view of the above the Hon'ble Commission is requested to align the computation of wheeling charge in Tariff Order with the PSERC Open Access Regulations, for determination of voltage wise wheeling charges.

#### Reply of PSPCL:

It is submitted that the tariff including transmission and wheeling charges, to be made applicable in the State is determined by the Commission as per Section 86 of the Electricity Act – 2003 after considering the Annual Revenue Requirement (ARR) of the distribution company. These charges are decided by the PSERC in the tariff order(s) for the respective years after following the due process such as uploading the petition on website, inviting the views and suggestions of all the stakeholders through Public Notices(s) in the press and holding various public hearings at various places in the state. The Commission in Petition No. 60 of 2011 has agreed that wheeling charges to the Open Access Consumer shall be same as applicable to the other consumers of PSPCL. The reduced wheeling charges to Open Access Consumer are causing additional burden on other consumers who do not resort to Open Access.

#### Commission's View:

The charges are determined in line with the relevant PSERC Regulations.

#### Issue No. 2: Computation of Renewable Purchase Obligation

- In the present petition, the Petitioner has projected shortfall of approximately 3.18 MU and 1565 MUs in FY 2021-22 and FY 2022-23 respectively and has proposed purchase of RECs in FY 2022-23 amounting to Rs. 200 Crore.
- In this regard it is to bring to the kind notice of the Hon'ble Commission that the Distribution Licensees now have the option to fulfil their existing RPO obligations as well as future RPO targets by procuring RE power from short term market through Green-DAM and Green-TAM products available at IEX platform.

- Green Day Ahead Market (GDAM) was introduced during FY 22 at IEX platform w.e.f. 26.10.2021 wherein Solar and Non-Solar renewable energy is being transacted. The buyers of this market will get Solar and Non-Solar RPO credit on the basis of proportion of the solar and non-solar bids of the sellers cleared in the total volume of the RE market. GTAM market was introduced in August 2020, wherein Solar and Non-Solar renewable energy is being transacted in intra-day, Day Ahead contingency, Daily and Weekly Contracts.
- Presently GDAM segment has around 26 sellers and 40+ buyers participating in this market segment. GDAM and GTAM provide alternate market-based route to the RE generators to sell their green power and for the buyers to fulfil their RPO at competitive price with flexibility of entry and exit in the market.
- The Hon'ble Commission may therefore consider these developments related to market while assessing the power purchase of Discom.

#### Reply of PSPCL:

It is submitted that, as directed by Hon'ble PSERC time to time for meeting RPOs, PSPCL is exploring all possible options in market as per its requirement, availability and suitability of the same. Discussing about the GDAM and GTAM alternates details of procurement made through these alternates are as detailed below:

| Renewable energy procured from 01.04.2021 to 31.12.2021 |      |
|---------------------------------------------------------|------|
| GTAM                                                    | GDAM |
| MUs                                                     | Mus  |
| 5.77                                                    | 3.41 |

#### Commission's View:

The Commission has taken a note of the issue and concern of the objector. The charges are determined in line with the relevant PSERC Regulations.

#### Issue No. 3: Short term Purchase at Competitive Prices

- The Petitioner has projected short term purchase through traders of approx. 4600 MUS at an average rate of Rs.3.0/unit.
- There is a bouquet of products available in the market starting from real time delivery for the next hour till up to an year, and this includes buy and sell through power exchanges, and bilateral through traders/DEEP.
- While hitherto, the short-term procurement beyond 11 days of contract could be done by the Discom through the trader/DEEP only, we submit that IEX is also in process of introducing longer duration contracts for delivery of power beyond 11 days at the exchange platform. These contracts will ensure delivery of non-conventional and conventional power beyond 11 days of trade for up to 1 year. As on date, the approval is pending before the Hon'ble CERC.
- In view of the above, we request the Hon'ble Commission to consider and approve all the available options in the short-term market for optimising power purchase costs as well as to meet the deficit requirements of the Discoms.

#### Reply of PSPCL:

It is submitted that for meeting demand of state, PSPCL is exploring all possible options in market as per its requirement, availability and suitability so that reliable power availability at optimum prices can be maintained.

For short term power purchase DEEP portal hosted by MSTC/PFC Ltd. as per directions of MoP, Gol coexist with the various options with varying timeframes in power such as weekly (TAM), day ahead (DAM), real time basis (RTM). PSPCL is using regularly all these options at the same time. Brief details of Power procurement on short term basis are as below:-

| Power procurement from 01.04.2021 to 31.12.2021 |           |         |             |
|-------------------------------------------------|-----------|---------|-------------|
| Day ahead                                       | Real time | Weekly  | DEEP portal |
| MUs                                             | MUs       | Mus     | Mus         |
| 4438.71                                         | 431.12    | 1257.41 | 3454        |

In future also as per its requirement PSPCL will utilise all these options in mixed ways. As soon as beyond 11 days possible option in exchanges will be available, PSPCL will explore and utilise the same optimally.

#### Commission's View:

The objector may note reply of the PSPCL

#### **Objection No.4:-Dera Baba Nursing Dass ji (Regd.)**

##### **Issue: Request for charging DS Tariff**

There are two Electricity Connections in the premises of Dera Baba Nursing Dass ji (Regd.), Kali Mata Mandir, Bus Stand Road, Malerkotla. One for the Kali Mata Mandir/Temple part of the premises, under DS Tariff, with account no. 3000834327, for a sanctioned load of 9.700 KW. This part of the premises is being used by the general public for worship. Second connection in the premises is under NRS Tariff, with account no. 3002944953, for a sanctioned load of 22.000 KW. This part of the premises has one hall for holding religious/social functions, like Satsang, discourses by Sadhus, Bhajans by Bhajan Parties, Obituaries and few rooms for the stay of the Satsang Parties/Sadhus/Bhajan Parties/Yateris/Travellers. Holding of Satsang, discourses by Sadhus, Bhajans by Bhajan Parties, Obituaries is also worship. As such, second part of the premises is also being used for religious/charitable purposes, whereas NRS tariff is being charged by PSPCL. This drains out the funds collected from offerings in Kala Mata Mandir and donations by the general public for religious purposes.

Para SVI.1 of 'SCHEDULE OF TARIFF FOR DOMESTIC SUPPLY (DS)' (Schedule SVI) as contained in the Tariff Order for FY 2021-22 is reproduced below:-

*"SVI.1 Availability: This tariff shall apply to the following:*

*SVI.1.1 Supply to a residential premise for lights, fans, single/three phase domestic pumping set/toka machine not exceeding 2 BHP and other house hold appliances. Where a room or a part of residential house is being utilized by a person for imparting education/tuition work or for cookery classes/beauty parlour/tailoring work etc., supply for such purposes shall also be covered under this schedule. Where a portion of the residential premises is*

*used regularly for the conduct of business, the supply in that portion shall be separately metered under separate connection and billed under Schedule NRS.*

*SVI.1.2 Supply to Govt. sports institutions/facilities, including gymnasiums, Govt./Govt. aided educational institutions viz. schools, colleges, universities, I.T.Is, including hostels and residential quarters attached to these educational institutions, Paying Guests using electricity for domestic / residential purposes shall be covered under this schedule Supply to hostels and/or residential quarters attached with the private educational institutions where separately metered shall also be covered in this schedule. Hostels will be considered as one unit and billed without compounding.*

*SVI.1.3 Supply to all places of worship provided that concerned authorized officer of the distribution licensee certifies the genuineness of place being used for worship by general public.*

*SVI.1.4 Supply to Sainik Rest Houses of Rajya Sainik Board.*

*SVI.1.5 Supply to Govt. hospitals, primary health centres, civil dispensaries and hospitals run by charitable institutions covered under section 80(G) of the Income Tax Act.*

*SVI.1.6 Release of more than one connection in the premises of Domestic Supply consumer shall be admissible as specified in the Supply Code, 2014 as amended from time to time."*

As per para SVI.1.3 of the Schedule of Tariff, DS Tariff is applicable for supply of electricity to all places of worship. Further, as per para SVI.1.5 of the Schedule of Tariff, DS Tariff is applicable for supply of electricity to Govt. hospitals, primary health centres, civil dispensaries and hospitals run by charitable institutions. But there is no mention in para SVI.1.3 and para SVI.1.5 of DS Schedule, of halls used for holding religious/social functions, like Satsangs, discourses by Sadhus, Bhajans by Bhajan Parties, Obituaries and rooms used for the stay of Satsang Parties/Sadhus/Bhajan Parties/Yateris/Travellers. These activities being carried in the premises of temples are religious/charitable in nature.

As such, it is prayed to the Commission to approve DS Tariff for part of the temple/mandir premises where religious/charitable activities as brought out above are carried out. There may be many such premises in the State of Punjab. This will save the managements of temples, where such premises have been built up as part of main temple and activities as brought out above are being carried out therein, from bearing big financial burden due to charging of consumption on NRS Tariff. It is quite possible, already DS Tariff may be is being charged to many such premises since line of distinction between the two is very thin.

##### **Reply of PSPCL:**

As per the provisions of Tariff order for FY 2021-22 (Schedule of Tariff of Domestic Supply), DS tariff is applicable to the places of worship subject to the condition that concerned authorized officer of the distribution licensee certifies the genuineness of place being used for worship by general public. But vide objection raised by the objector i.e., Dera Baba Nursing Dass ji, Kali Mata Mandir, Malerkotla, it has been requested to allow DS tariff to the premises of Temple which is used for other religious activities i.e. religious/social functions, Satsang, discourses by Sadhus etc.

As there may be innumerable nos. of such premises attached to the places of worship of all religions, therefore, if DS tariff is allowed by Hon'ble Commission to such places, it will cause reduction in revenue to PSPCL. If revenue of PSPCL reduces due to this, then tariff for any other category will have to be increased to compensate for the said revenue loss which may further lead to disturbance of Cross Subsidy levels.

In view of the above, the Commission is requested to continue with the provision of applicability of DS tariff to the places of worship only.

**Commission's View:**

The objector may note the reply of the PSPCL.

**Objection No. 5: Manjinder Singh Saini**

**Issue No.1: Government Dues**

Power Corporation has not intimated the amount due from the Punjab Govt. (electricity used by various departments). It is intimated that arrear was not recovered at the time of payment of old washing charges of coal. However, relaxation was given for recovering the charges of disconnection of electricity connection and reconnection against non payment of bills and recovery is made from the honest consumers.

**Reply of PSPCL:**

Punjab Govt. Departments are regularly pursued at all levels for depositing defaulting amount. Also, several Govt. services like medical facilities, water works fall under essential services which cannot be disconnected.

**Commission's View:**

The Commission has taken a note of the issue and concern of the objector.

**Issue No.2: Consumer service**

When the strength of employees is decreased and the contract system is established, management and supply work is affected. The complaint no. 1912 is occasionally off in night and early morning and complaint was not resolved in time. The Divisions and Circles increased from 1986 to 1992 and unnecessary officers strength be decreased, because maximum share of income will go in their salaries and allowances, however the strength of employees in the field is less.

**Reply of PSPCL:**

Capacity of the 1912 call center at Ludhiana has been doubled from 60 to 120 seats to cater increasing quantum of complaints. Proposal is under consideration for creation of a new center with 60 seats also.

**Commission's View:**

The objector may note the reply of the PSPCL.

**Issue No.3: Installation of pre-paid meters**

Department is trying to reduce the electricity theft by installing the electronic meters and now trying to install the prepaid meters. However, priority may be given to install the prepaid meters in the premises of Consumers being under Government department, so that the amount of arrears be recovered and no burden on honest consumers.

**Reply of PSPCL:**

As per notification issued by Govt. of India and directive issued by the Commission, all the connections to be released are to be from smart pre-paid meters. However, as per this policy, the Govt. Connections are to be covered in phase-1 and accordingly PSPCL is also planning to replace conventional meter of Govt. Connections with pre-paid smart meter i.e. before December, 2023.

**Commission's View:**

The Commission directs PSPCL to expedite the process.

**Issue No. 4: Installation of prepaid meters.**

Prepaid meters should be installed in the premises of all the Officers along with Ministers and MLAs of the State.

**Reply of PSPCL:**

The priority of various consumers for installation of prepaid smart meters is decided by higher authorities and meters are installed by DS Organization according to that priority. It is further submitted that as per the directions of Govt. of India, all the consumer meters are to be replaced with smart pre-paid meters. So, meters of all consumers will be replaced with pre-paid meters over the time. In continuation to above Smart prepaid meters are being installed as per the priorities contained in the guidelines of Govt. of India.

**Commission's View:**

The objector may note the response of PSPCL.

**Issue No. 5: Recovery of M.C.B. Charges**

At the time of installing the Meters out of premises of the consumers, all the meters were not shifted and maximum number of meters are in the premises. It is intimated that recovery is being made from the maximum consumers on the basis of M.C.B charges without installing the meters outside the premises. The Regulatory Commission may stop this recovery with immediate effect, refund may be given to the consumers for recovery of previous period.

**Reply of PSPCL:**

Meters of majority of the consumers have already been shifted outside in meter cup boards, therefore its rent as approved by the Commission is being charged to these consumers. Rent is only charged where meter cupboard is provided by PSPCL irrespective of the fact whether it is installed outside or inside. However, if the complainant has any specific case, they can contact the concerned subdivision for shifting of meters outside consumer premises

**Commission's View:**

The objector may note the response of PSPCL.

**Issue No. 6: Installation of Electrical lines**

Irregularities were made at the time of renewal of lines. The wire of earth is no more now therefore the transformers are burnt at the time of sky lightening and Domestic and Commercial consumers also suffers loss. New material was installed in various places, but technical improvement is required, which are ignored. It is the possibility that the Commission may said that it is not in the prerogative of the Commission, but all of these may increase the production expenses through loss to the communication system.

**Reply of PSPCL:**

Installation of electrical lines in PSPCL is as per CEA guidelines. It has been noted regarding the requirement of proper earthing of transformers to avoid their damage due to lightning.

**Commission's View:**

The objector may note the response of PSPCL.

**Objection No. 6: PHD chamber of commerce and Industry****Issue No.1: ARR projections**

Vide Table 52 and 53 of Vol. 1 of ARR for FY 2022-23 (herein after referred to as ARR), PSPCL has submitted ARR to the tune of Rs.39571 Crore comprising of projected Net ARR for FY 2022-23 as Rs.37659 Crore and a revenue gap of Rs.1912 Crore including carrying cost. The revenue gap projected by ARR is much lower than the last year's figures and thus, needs thorough check by the Commission.

It is also pointed out that the PSPCL has shown revenue gap of Rs. 2101 Crore in the True up for FY 2020-21 and after adjusting surplus of Rs. 699 Crore and carrying cost of (-) Rs. 213 Crore, the net gap is Rs. 1615 Crore.

Thus, PSPCL projections of ARR for the ensuing year and the final figures in ARR for True Up for the same year after two years clearly indicates that either the figures are being inflated or extensive exercise taken up by the Commission for determining the revenue requirement and pegging of expenditure has no consideration for PSPCL and they are incurring expenditure at their will. It is also an established fact that due to non-receipt of subsidy from GOP, the expenditure is being incurred by PSPCL by drawing interest bearing working capital loans from various sources and incurring finance charges on arranging loans.

**Reply of PSPCL:**

At the time of filing of ARR projections for FY 2020-21, PSPCL has projected the ARR parameters in line to the applicable clauses of the PSERC MYT Tariff Regulations, 2019 and after prudence check the Hon'ble Commission has approved the category-wise tariff for FY 2020-21.

However, it is quite pertinent to mention here that the PSPCL has filed the truing-up Petition for FY 2020-21 in line to the Regulation 12 of the PSERC MYT Tariff Regulations, 2019 which stipulates that the truing-up of respective financial year shall be carried out based on the Annual Audited Accounts. It is bring into your kind notice that as a measure to contain the spread of COVID-19 in State, Government of Punjab announced complete lockdown and extended the same in phase wise manner with gradual relaxations which has impacted the overall demand of electricity and actual expenditure incurred during FY 2020-21 which lead to reduction in ARR cost of PSPCL.

Therefore, there is no contention in the matter of the objector.



**Commission's View:**

The Revenue gap/surplus is determined by the Commission in line with prevailing MYT Regulations after due prudence check.

**Issue No.2: AP Consumption and Tariff**

The power supplied to the agriculture sector has been growing consistently at very high rate due to increase in capacity of tube wells due to depletion of water table. Providing the power at subsidized rate of Rs 5.66/kWh as per TO of FY 2021-22, which is far less than the actual cost of power (as high as Rs.7.41 per unit as per COS for FY 2021-22 Ann 4 of TO 2021-22) is leading to serious financial crisis for the PSPCL. This will ultimately seriously affect the interest of industrial consumers in the State, which are already reeling under recession. Further, Industrial Consumers have to bear fixed charges and ED+IDF in addition to Energy Charges which are not applicable for agriculture consumer. In this regard the provisions of National Tariff Policy are extracted as under:-

*8.3.4 Extent of subsidy for different categories of consumers can be decided by the State Government keeping in view various relevant aspects. But provision of free electricity is not desirable as it encourages wasteful consumption of electricity. Besides in most cases, lowering of water table in turn creating avoidable problem of water shortage for irrigation and drinking water for later generations. It is also likely to lead to rapid rise in demand of electricity putting severe strain on the distribution network thus adversely affecting the quality of supply of power. Therefore, it is necessary that reasonable level of user charges is levied.*

*The subsidized rates of electricity should be permitted only up to a pre-identified level of consumption beyond which tariffs reflecting efficient cost of service should be charged from consumers. If the State Government wants to reimburse even part of this cost of electricity to poor category of consumers the amount can be paid in cash or any other suitable way. Use of prepaid meters can also facilitate this transfer of subsidy to such consumers.*

Therefore, it is imperative to cap the maximum amount of power year wise & approved by the Commission that can be supplied to agriculture sector at the subsidized rate inclusive of additional connections projected in a year and the power supplied above that limit should be billed as per Cost of Supply for agriculture power as worked out in ARR.

**Reply of PSPCL:**

The supply to agriculture tube wells is free as per policy of the Government and capping of the same is at the discretion of the Government of Punjab. Moreover, supply to AP consumers is limited only up to 8 hours that too during the months of June to September for paddy cultivation. As far as supply of power to agriculture category of consumers at cost of supply rate is concerned, the said issue is under the prerogative of the Commission. PSPCL would comply with the directions of the Commission. PSPCL requests the Commission to allow it to recover the legitimate cost of PSPCL claimed in the Petition.

**Commission's View:**

Providing subsidy and imposition of taxes like ED, IDF etc. to a consumer or class of consumers is the prerogative of the State Government. Rest of the tariff is determined by the Commission in line with the prevailing MYT Regulations after prudence check.

**Issue No. 3: Interest on Short Term Loans for Working capital**

PSPCL has been admitting to raise short term loans to meet the revenue shortfall arising out of disallowances of ARR components, non-receipt of subsidy from the Government and delayed payments from consumers etc. It is submitted that interest on delayed receipt of subsidy is being loaded to the State Govt. while determining the subsidy amount in the Tariff Orders. Further, the Commission is allowing the carrying cost of difference in revenue and ARR amount including delay in recovery of revenue from consumers. For late payments by consumers, PSPCL is getting Late Payment Surcharge. Therefore, Working Capital interest should be allowed on normative basis and after deducting the Security (Consumption) parked with PSPCL as per Regulations and practice being followed by the Commission so far.

On the same lines, GPF fund parked with PSPCL by employees is also not being reduced as per agreed trajectory. The outstanding GPF loans were Rs 1129.05 Crore ending 31.03.2019 were reduced to Rs 905.50 Crore ending 31.3.2020. However, GPF loans projected as Rs 677.98 Crore ending 31.03.2021 in RE of 2021-22 ARR have been shown as Rs 902.11 Crore in true up as well as in actual ending H1 of 2021-22. Thus, PSPCL has failed to comply with the obligation and in the process has proposed to load interest of Rs 59.26 Crore (Page 212 of ARR) to consumers. The Commission should charge this interest to PSPCL and not to consumers.

Further, the GPF loans being used by PSPCL to meet the working capital be also reduced from normative WC and interest on WC be reduced and only thereafter interest on GPF be allowed. Alternatively, PSPCL be asked to bear the interest on GPF amount from its internal accruals and claim by PSPCL in ARR need to be rejected.

**Reply of PSPCL:**

PSPCL avails the working capital loans to meet with its working capital requirement due to non-receipt of electricity dues from State Govt. Department, non-receipt of timely subsidy from GOP and due to cash losses of PSPCL. PSPCL is being claiming interest charges on the basis of actual interest paid against the loans availed by PSPCL, whereas the Commission allows the same on normative basis. So far as ACD is concerned, it is mentioned that THE COMMISSION has already been deducting the ACD while calculating the working capital requirement. As such, the interest burden of excess working capital loans is being borne by PSPCL and is not being passed on to the consumers.

Moreover, after unbundling of PSEB, GPF Trust has been established and GPF subscription of employees is being transferred to Trust by PSPCL on monthly basis. PSPCL is making monthly repayments towards its GPF liability which has been parked to PSPCL at the time of unbundling of PSEB. The Commission allows interest on GPF as per the provisions of Regulation of ARR.

Further, that as per regulation 41(a) of Provident Fund Regulation 1960 "G.P Fund balances, after deducting final payments, permanent and temporary advances as admissible under these Regulations will be available for use by the Board in meeting its Capital Expenditure under the Plan." As such the objection of PHD Chamber of commerce & industry, Ludhiana regarding reduction of GPF Balance for calculation of normative working capital and interest thereon is not justified.

**Commission's View:**

The Commission allows interest after prudence check in line with the prevailing PSERC MYT Regulations.

**Issue No.4: RETURN ON EQUITY**

- a) The Commission has approved 15.5% return on equity for 2012-13 to 2015-16 purportedly as per PSERC Regulations as per the FRP approved by GOP increasing the cost of assets by their revaluation and merging the Consumer Contribution, Subsidies and Grants with GOP equity leading to increase in the equity share capital of PSPCL from 2617.61Crore to 6081.43 Crore which has led to increase of ROE from 405.73 Crore to 942.62 Crore i.e. an increase of 232% in both the figures without any fresh investment or infusion of cash by GOP or PSPCL. This matter was challenged in APTEL and it has already directed the Commission to reconsider the issue vide judgment Dated 17-12-2014 in Appeal No 168 and 142 of 2013 as under: -

*"48. ----- We direct the State Commission to adjust the excess amount of ROE in the impugned order from the FY 2011-12 onwards in the ARR/ True up for the year to provide relief to the consumers."*

*"Issue No. (iii) Relating to Return on Equity, Consumers Contributions, Grants, Subsidies etc.*

*50.3 The findings of this Tribunal in Appeal no. 46 of 2014 shall squarely apply to the present case. The State Commission shall re-determine the ROE as per our directions and the excess amount allowed to the distribution licensee with carrying cost shall be adjusted in the next ARR of the respondent no.2.*

Accordingly, the Commission to re-determine ROE for all the years with effect from FY 2011-12 onwards and adjust the same in ARR of 2022-23 along with carrying cost to provide relief to consumers.

**Reply of PSPCL:**

As per clause 1.2 of the MOU under UDAY scheme, 75% of the PSPCL's debt as on 30.9.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to the MOU, Non-SLR bonds amounting to Rs.15628.26 Crore were issued by Govt.of Punjab and transfer this amount to PSPCL as GOP loan upto 2019-20 and on 31.03.2020 converted this loan into equity. Amount of Rs.15628.26 Crore comprise of 2246.77 Crores Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore upto 2019-20 being Capex Loans.

The Commission has disallowed interest on Working Capital Loans used for Capital Expenditure as per annexure attached from FY 2010-11 to 2018-19. These Rs.2346.19 Crore Working Capital Loans has been used for Capital Expenditure duly approved by the Commission.

In this regard it is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as

loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) has been converted into equity and this loan in FY 2020-21 and FY 2021-22 does not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20.

- b) It is also brought out here that in the ARR for last year 2021-22, while PSPCL claimed ROE for 2019-20 as per the equity shown in Para (I) above, the return on equity for 2020-21 and 2021-22 was claimed on Rs 21710 Cr as per para 3.15 of the then ARR by converting the whole Loan amount of 15628 Crore taken over by GOP in 2014-15 under UDAY scheme into equity of GOP in PSPCL on 31.3.2020. Further, the said equity has been shown as paid up and subscribed by GOP and shares issued to GOP in PSPCL in Balance sheet and Note 17 of Financial statements for 2019-20. It is clear that there is no cash flow and it is sheer manipulation of figures. It was pointed out by us that APTEL had observed in its order on Appeal No 168 and 142 referred to in preceding para that the Govt. can hold any amount as equity in PSPCL (and PSTCL) but ROE needs to be granted only on actually subscribed and paid up equity i.e. cash money which has been infused need to be counted as equity for the purpose of ROE.

**Reply of PSPCL:**

In compliance to the UDAY MOU, Non-SLR bonds amounting to Rs.15,628.26 crore were issued by Govt. of Punjab. Thereafter Govt. of Punjab has transferred this amount to PSPCL as GoP loan up to 2019-20. GOP has converted this loan of Rs.15628.26 crore into equity of equivalent amount on 31.03.2020.

It is pertinent to mention here that the Commission were already allowing interest cost on amount of Rs. 2,246.77 crore CAPEX loans out of UDAY loans of Rs. 15,628.26 crore. In addition to this, an amount of Rs. 2,346.19 crore working capital loans were diverted for capital expenditure funding. Therefore, PSPCL has considered the UDAY loans which were used for capital expenditure funding in order to determine return on equity.

Therefore, PSPCL requested the Commission to consider the same.

- c) UDAY MOU between PSPCL, GOP and MOP clearly lay down that 25% of fund taken over by GOP will be converted into equity and balance as GOP grant. PSPCL and GOP have failed to achieve the targets set in UDAY scheme and therefore, the whole amount be treated as grant of GOP. It is between PSPCL and GOP to decide on the issue between themselves and consumers cannot be made to suffer twice on the same count. The amount of Rs 15628 Crore includes unapproved capital and WC loans and funds diverted by PSPCL which cannot form part of funds for conversion into equity and grant. However, since there was no cash flow in actual and it was a clear cut case of conversion of cheap interest bearing loan into costly dividend paying equity, the Commission accepted the comments of the stake holders and rejected the demand of ROE on Rs 15628 Crore. However, PSPCL in present ARR for FY 2022-23, at Page 78-79, has come out with an entirely new argument that out of Rs 15628 Crore, Rs 2246.77 Crore was spent for capital works. Further, out of balance loan of Rs 13381.49 Crore, funds to the tune of 2346.19 Crore were diverted for capital expenditure. Accordingly, PSPCL has requested to convert these two loan amounts totaling Rs. 4592 Cr into equity and grant ROE on the same. We strongly object to the contentions of PSPCL as the amount of Rs 15628 Crore was determined in 2014-15 whereas the fact is being brought to the notice of the Commission in FY 2022-23 i.e. after 8 years. Further, these are loans and even if used for capital works, interest on loan is being borne by the consumers and would continue to be kept as loan in the books and there is no justification for converting it into equity at this stage when the assets created with it have already depreciated by 40% to 80% depending on the type of assets.

This tendency of PSPCL to convert the loans/consumer contribution etc. into equity need to be curbed by the Commission otherwise PSPCL may again come out with the demand of converting Consumer Contribution, Grants and subsidies from GOP of Rs 3583.56 Crore ending 31.03.2021 accumulated in the books since 01.04.2010 into equity (Note No 19 of balance sheet attached with ARR).

Thus, the claim of PSPCL be rejected and ROE be allowed only on the amount actually contributed in cash.

**Reply of PSPCL:**

In compliance to the UDAY MOU, Non-SLR bonds amounting to Rs.15,628.26 Crore were issued by Govt. of Punjab. Thereafter Govt. of Punjab has transferred this amount to PSPCL as GoP loan up to 2019-20. GOP has converted this loan of Rs.15628.26 Crore into equity of equivalent amount on 31.03.2020.

It is pertinent to mention here that the Commission were already allowing interest cost on amount of Rs. 2,246.77 Crore CAPEX loans out of UDAY loans of Rs. 15,628.26 Crore. In addition to this, an amount of Rs. 2,346.19 Crore working capital loans were diverted for capital expenditure funding. Therefore, PSPCL has considered the UDAY loans which were used for capital expenditure funding in order to determine return on equity.

**Commission's View:**

The Commission has taken note of the issue of the Objector. Action will be taken as per the outcome of the matter sub-judice in the Supreme Court regarding conversion of Consumer contribution, grant and subsidies into equity.

**C) Comments on True up of 2020-21 (Chapter 2, Form D-2 and D-3 of ARR)**

**Issue No.4: Energy Requirement**

PSPCL has shown the Total Energy Requirement at Punjab Periphery as 58508 MU in Table 11 of ARR titled Energy Balance. However, the actual Energy output has been indicated as 51870.78 MU as per Table No 03 titled "Actual Transmission Loss for 2020-21" in ARR of PSTCL. The energy input at Punjab Periphery is different as per the ARR of PSPCL and PSTCL which need to be reconciled.

**Reply of PSPCL:**

Value of total energy input required to be taken for reconciliation with the output energy of PSTCL is mentioned at sr.no.9 of Table 11 of ARR titled Energy Balance i.e. 58137 Mus. Moreover, whole value of the energy output of PSTCL is not taken for the purpose of reconciliation. There are some energies in the output i.e. 51870.78 MUs of PSTCL which are directly exported to Chandigarh, Kathua and Railway and are not received by PSPCL. After accounting of these energies, the energy output of PSTCL received by PSPCL works out to 50988 MUs. Similarly, there are some energies received directly by PSPCL from Intrastate Generators & Interstate points which are not accounted for by PSTCL. After adding these energies, the energy output available at Punjab Periphery works out to 58192 MUs. For details, Annexure 7 of CE/ARR&TR office memo no.922 dated 24.12.21 which has been sent to PSERC in reply to deficiencies may be referred to.

**Commission's View:**

The objector may note the response of PSPCL and the Commission has worked out the energy balance with reconciled figures in Chapter 3 of the Tariff Order.

**Issue No. 5: UI charges**

PSPCL has surrendered 297.37 MUs under UI at Sr. No 80 (Page 169) and has also paid 12.68 Crore to the UI pool account which is indicative of mismanagement and inefficiency. This amount should be disallowed.

**Reply of PSPCL:**

PSPCL never intends to purchase of power through UI by overdraw and sale power by under drawing through UI. Over draw & under draw are part of system, because Punjab being a heavy power consuming State where load variations are frequent & caused by a no. of reasons such as day & night, crops season, winter & summer domestic load variations. Most of them are dependent on weather. UI cost indicates Net cost of under drawn & over drawn energy. During load crash situations, normally frequency is higher and UI rate is lower, so under force majeure conditions power in grid is injected at very lower rate and during normal periods when energy is drawn from grid 'even at normal rates, net amount comes out to be irrational. In spite of such multifarious power system, by putting best efforts PSPCL has managed to keep net UI energy to be very negligible in comparison to total power exchanged by PSPCL for state of Punjab as a whole. In view of this actual cost during True-up shall be considered.

**Commission's View:**

The objector may note PSPCL's reply.

**Issue No. 6: Fixed Cost Liability of Surrendered Power**

Form D-2 for FY 2020-21 indicating Quantum and Fixed Charges liability of the surrendered power indicates that PSPCL has surrendered 12092.95 MUs and has also paid fixed charges of Rs 1365.39 Crore for the same. PSPCL need to take pro-active initiatives to reduce the surrendered power by giving incentives to the industry and bulk consumers.

**Reply of PSPCL:**

Fix charges have to be paid against the reliability of source exclusively kept reserve to supply power to PSCPL. And surrender of power is inseparable part of power system operation based on demand variation due to various reasons. PSPCL has taken various steps of relinquishing its share from projects, considered not being utilized, in recent years.

**Commission's View:**

The objector may note the response of PSPCL and the Commission is already giving incentives to industries for exceeding threshold limit, exclusive night tariff, TOD rate for utilization of surplus power etc.

**Issue No. 7: LPS & TDS**

Late Payment Surcharge and TDS of Rs 12.38 Crore has been claimed at Sr. No 89 which needs to be disallowed as PSPCL is retaining Early Payment incentive and TDS is adjustable against overall liability of Income Tax.

**Reply of PSPCL:**

Due to non-availability of funds with PSPCL, late payment surcharge is paid which is beyond the control of PSPCL.

**Commission's View:**

Late payment Surcharge is disallowed in power purchase cost as interest on normative working capital is already being allowed as per PSERC MYT Regulations.

**Issue No. 8: Reactive Energy Charges**

Reactive Energy Charges of Rs 2.12 Crore have been paid to RE pool by PSPCL. The reactive energy is imported by PSPCL during Paddy season only and is due to the Heavy Agriculture load coming on the system. This needs to be recovered from agriculture sector by appropriately increasing their tariff. The industry is maintaining the PF almost unity throughout the year and it rather generates MVARH by installing and maintaining costly equipment at its end and the industry should not be penalized for this.

**Reply of PSPCL:**

Reactive energy charges are technical phenomenon not only arising out of type of load, rather installed transmission /distribution capacity is also, its time for PSPCL adopts best practices to neutralize reactive energy.

**Commission's View:**

The objector may note the response of PSPCL.

**Issue No. 9: AP Consumption and Tariff**

GOP subsidy for agriculture is worked out as Rs. 7589 Crore for 13051 MU for FY 2020-21 in Table D-11 and D-5 of ARR which gives sale rate of Rs 5.81/unit. However, the Commission has approved sale rate of Rs 5.28/unit for 2 months and Rs 5.57/unit for 10 months.

The figures given for agriculture in Format D5 are totally wrong and irrelevant. How consumers and stake holders can offer comments on such misleading data and such tendency of PSPCL needs to be curbed. Difference of consumption and revenue in different formats is not understandable. It shows that the ARR has been prepared casually and to confuse the stake holders.

**Reply of PSPCL:**

AP subsidy booked for FY 2020-21 is Rs.7589 Crore which includes subsidy of Rs.7244 Crore for 13051 MU calculated on the basis of Rs.5.28/unit for 2 months and Rs.5.57/ unit for 10 months and additional surcharge of Rs.345 Crore as additional surcharge @ 30 paise per unit from Jan.,2020 to Dec.,2020. In this way, average sale rate comes to Rs.5.81 per unit comes for the FY 2020-21

**Commission's View:**

The objector may note the reply of PSPCL. The surcharge reflected in PSPCL's reply is consequent to the Hon'ble Supreme Court's Order.

**Issue No. 10: Subsidy for LS consumers**

GOP subsidy for LS consumers worked out as Rs 1599.87 Crore for 13192 MU (Rs 1.21/unit) for FY 2020-21 in TO 2020-21. Now in Form D11 of the ARR, the subsidy for 12159 MU has been stated as Rs 1261 Crore with which per unit rate works out to 1.04/unit. The difference of per unit rate over the years is not understandable.

**Reply of PSPCL:**

PSPCL has worked out the subsidy for LS consumers based on the notification of Government of Punjab and revised estimated revenue from sale of power from LS consumers for FY 2020-21. The mere comparison of per unit rate would not be appropriate for consideration of subsidy.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue No. 11: Impairment Loss of GNDTP and GGSSTP**

PSPCL is silent on the sale value of retired assets of GNDTP and GGSTP as these have not been mentioned at all in the ARR. Even the expenditure on watch and ward staff at GNDTP has not been sought in the ARR. PSPCL be asked to give the updated status of disposal of retired assets so that consumers are given relief. Similar details need to be given for Units 1 and 2 of GGSTP.

**Reply of PSPCL:**

In respect of GGSSTP, Rupnagar Sale Order no 1/GGSSTP of Amount Rs 150.45 Crores + GST & Taxes has been placed upon M/S Aashajot Mercantile Pvt. Ltd, Mumbai for disposal of Units 1 & 2 of GGSSTP, Rupnagar. Completion Schedule of Disposal Work is 18 months from the date of commencement of disposal work. Disposal Work has been started in the 3<sup>rd</sup> week of January, 2022. Presently Work for disposal is underway. It is submitted that no special watch & ward staff is deployed in respect of disposal of Units 1&2 of GGSSTP, Rupnagar. PESCO staff deployed at GGSSTP Rupnagar is looking after work of watch & ward of assets of Units 1 & 2 of GGSSTP, Rupnagar.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue No. 12: Delay in Subsidy**

PSPCL in Format D-21 page 362 has claimed interest of Rs 959 Cr on subsidy delayed by GOP through reduction from Non-Tariff Income there by loading it to consumers. It is submitted that GOP commits the payment of subsidy in advance and interest for delay is also to be borne by GOP. However, PSPCL through such manipulation is trying to recover the interest from consumers which is not supported by Regulations and is illegal. Thus, the proposal of PSPCL needs to be rejected and it should be asked to explain as to why they such a proposal has been made. Late Payment Surcharge and Rebate for early payment be treated as per Regulations as PSPCL is manipulating the figures.

**Reply of PSPCL:**

The delayed payment of subsidy is being claimed under Non-Tariff Income in line to the working approved by the Commission for Truing-up of FY 2019-20. It is requested the Commission to consider the same.

**Commission's View:**

The Commission allows Non tariff income for financial year after prudence check in line with prevailing MYT Regulations.

**Issue No. 13: Interest and Finance Charges**

PSPCL has claimed interest & Finance charges of Rs. 1694 Crore in Para 2.19 against Rs. 540.25 Crore approved in TO 2020-21. It is evident that PSPCL has claimed interest on actual amount of loans for working capital which is again wrong as consumer is bound to bear interest on Working capital as per Normative and Regulations are clear on the same.

**Reply of PSPCL:**

PSPCL has claimed the interest and finance charges for FY 2020-21 on actual payment basis. The amount of Rs. 1694 Crore includes interest of Rs. 686.74 Crore on working capital loans, Rs. 90 Crore on Shahpurkandi Projects and Rs. 123.63 Crore of interest on consumers. However, in TO 2020-21, the Commission has approved the interest and finance charges for FY 2020-21 on projection basis. The amount of Rs. 540.25 Crore was approved for interest on capex loans and CPF liability only.

**Commission's View:**

Interest on working capital is allowed on normative basis in line with prevailing MYT Regulations and finance charges are allowed after due prudence check.

**Issue No. 14: Net Banking**

PSPCL has proposed Rs 150.47 Crore towards net banking and Rs 3.78+39.78 = 43.56 Crore as banking open access charges i.e., Rs 194.03 Crore for 158.77 MU of banked energy for FY 2020-21 which works out to Rs 12.22/unit of energy. Thus, the rate of banked energy is too high.

**Reply of PSPCL:**

Under Banking of power during FY 2020-21, 4467.54 MU power was exported by PSPCL and 4487.09 MU power was imported during paddy season. The open access charges were paid on total power transacted 8754.63 MU and not for difference of two i.e net banking of power transacted. Thus cost of open access charges comes to be 0.17 Rs/unit of banking of power. (SE/PR) In regard to net banking, it is submitted that the figure of 219.55 MU shown in ARR is net banking including the figures of Banking premium given during the year to the tune of 273.54 MU & Banking premium received during the year to the tune of 68.39 MU without taking the effect of banking premium units the rate comes to Rs. 3.54 per unit as detailed below-

| Particulars                    | Unit (MU)     | Rate (Rs./kWh) | Amount (Crore) |
|--------------------------------|---------------|----------------|----------------|
| Net Banking                    | 219.55        | 3.54           | 150.47         |
| Add: Premium paid              | 273.54        |                |                |
| Less: Premium received         | 68.39         |                |                |
| <b>Total Net Banking Units</b> | <b>424.70</b> |                |                |

**Commission's View:**

The objector may note the reply of PSPCL and refer the Tariff Order for the Commission's decision in this regard.

**Issue No. 15: Non-Tariff Income**

All the rebates, rent of poles given to Private cable TV operators, Supervision charges recovered from Franchisees and GBI received for solar plants etc. need to be passed on to the consumers by treating 100% of the same as Non-Tariff Income. However, PSPCL has not indicated the same in non-tariff income.

**Reply of PSPCL:**

In format 'D-21' income from investment & Non-tariff income' on account of rental from poles of Rs. 9.07 Crore (account code 62.907) has already been included under miscellaneous receipts account code 62.9.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue No. 16: Surrendered Power**

The surrendered power indicated in Formats D-2 needs to be reviewed / checked every month in view of changing scenario of coal cost due to allotment of coal mines through bidding process, variation in imported coal prices and increasing gas prices.

**Reply of PSPCL:**

PSPCL already has a practice to review variable costs of projects on monthly basis. Load pattern varies during day and different season. To meet peak of day power from all projects needs to be availed at same & surrendered during lean period day. During surrender costly power is surrendered first.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue No. 17: Sales Projection**

In Table 25, the projected sales for Large Supply category has been reduced drastically from 9166 MUs in H1 to 7837 MUs in H2 of 2021-22 whereas it should be more than H1 since no peak surcharge is leviable in H2. The consumption of MS category has been rightly enhanced in H2 than H1. Further, the temporary supply consumption has been drastically reduced from 166 MUs in H1 to 55 MUs in H2. The figures need to be correctly estimated.

**Reply of PSPCL:**

The revised sales for FY 2021-22 is estimated on the basis of actual sales for the first half and projected sales of the second half. Energy sales for the second half have been projected on the basis of best fit of 3 to 5 years CAGR of actual sales of corresponding period in the past years. Since, FY 2020-21 was a pandemic year, the category wise sales does not depict the actual sales pattern, thus, the PSPCL has considered FY 2019-20 as a base year for sales projections.

**Commission's View:**

The objector may note the reply of PSPCL. However, the sales figures will be tried-up up after prudence check.

**Issue No. 18: Unscheduled Interchange quantum and cost**

PSPCL has projected surrender of 309.24 MUs of energy under UI and has also paid Rs. 74.95 Crore to UI pool account in H1 of 2021-22. The loss will be much more if the generation cost of energy surrendered and losses etc. are also added to the same. This needs to be disallowed as PSPCL has failed to efficiently operate the system.

**Reply of PSPCL:**

PSPCL never intends to purchase of power through UI by overdrawing and sale power by under drawing through UI. Over drawl & under drawl are part of system, because Punjab being a heavy power consuming State where load variations are frequent & caused by a no. of reasons such as day & night, crops season, winter & summer domestic load variations. Most of them are dependent on

weather. UI cost indicates Net cost of under drawn & over drawn energy. During load crash situations, normally frequency is higher and UI rate is lower, so under force majeure conditions power in grid is injected at very lower rate and during normal periods when energy is drawn from grid even at normal rates, net amount comes out to be irrational. In spite of such multifarious power system, by putting best efforts PSPCL has managed to keep net UI energy to be very negligible in comparison to total power exchanged by PSPCL for state of Punjab as a whole. In view of this actual cost during True-up shall be considered

**Commission's View:**

The objector may note the response of PSPCL.

**Issue No. 19: Charges for Net banking**

PSPCL has proposed Rs. 888.08 Crore towards net banking and Rs 7.76 Crore as banking open access charges i.e. Rs 895.84 Crore for 1997 MU of banked energy for H1 of 2021-22 which works out to Rs 4.49/unit of energy. However, for H2 of 2021-22 and 2022-23, the figures are shown as negative. This may be checked and viability of banking needs to be established.

**Reply of PSPCL:**

Net banking units of 1997 MU as shown in D3 format for FY 2021-22 also includes banking premium paid during the year and banking premium received during year.

**Commission's View:**

The objector may note the reply of PSPCL.

**Issue No. 20: Power Purchase Cost**

The Commission had approved power purchase for FY 2021-22 @ Rs 4.80 per unit as per Table 27 of TO. However, the RE now submitted for 2021-22 indicate in Table 35 the power purchase cost as Rs 4.57/unit. Thus, PSPCL claimed inflated cost initially burdening the consumers unnecessarily.

**Reply of PSPCL:**

Power cost difference for projected and actual generally occurs due to favorable or unfavorable market conditions, PSPCL always endeavours to arrange optimum power at optimum costs. Furthermore Costs indicated under Short Term Power Purchase are for purchase of RE power done for RPO compliance which has different cost structure than conventional power

**Commission's View:**

Power purchase is being allowed by the Commission in line with the prevailing MYT Regulations after prudence check.

**Issue No. 21: Retirement of Assets**

In capital expenditure, PSPCL has claimed expenditure for creating new assets and has shown the capitalization of the WIP during the year. However, the assets to be retired during the year and recovery of cost of retired assets need to be accounted for on accrual/notional basis and Capital Investment Plan expenditure need to be reduced to that extent.

**Reply of PSPCL:**

For working out the depreciation for respective financial year Fixed Asset Register (FAR) has already been shared with the Commission. The Commission does a thorough scrutiny of the Petition filed by PSPCL and follows a transparent process for determination of tariff and consumers are given every opportunity to present the facts in their objections.

**Commission's view:-**

The Commission allows depreciation in line with the MYT Regulation after prudence check.

**Issue No. 22: Interest on Loans**

Interest on Loans (Table 40) be allowed as per MYT Regulations after disallowing the excess loans taken to meet the excess expenditure.

**Reply of PSPCL:**

Table-40 of ARR Petition for FY 2022-23 contains the interest and finance charges of Rs. 1523 crore and Rs. 1464 Crore for the FY 2021-22 and FY 2022-23 respectively. The Interest and finance charges have been calculated by PSPCL on projected basis by taking into accounts and annual plans. At the time of True-up, these figures will be revised on actual basis and accordingly approved by the Commission.

**Commission's view:-**

The Commission allows interest in line with PSERC Regulation.



**Issue No. 23: DSM Funds**

An amount of Rs 16 Crore has been demanded during FY 2022-23 for DSM fund whereas the actual expenditure in FY 2020-21 has been shown as Rs 2 Crore and RE for FY 2021-22 as Rs 5 Crore (Format D1). However, no details of the expenditure incurred have been provided in the text. Provision may be reviewed and actual expenditure of DSM need to be approved in True up.

**Reply of PSPCL:** - During FY 2020-21, PSPCL has distributed 3,93,930 LED bulbs to SC/BC/BPL consumers against which PSPCL has actually incurred an amount of Rs. 1.84 Crore on account of DSM funds.

In continuation to above, PSPCL has planned to distribute 1,17,55,45 LED bulbs to SC/BC/BPL and General category consumers against which PSPCL has projected an expenditure of Rs. 4.72 Crore on account of DSM fund.

In addition to above, PSPCL has already submitted a Detailed Project Report regarding installation of Shunt capacitors on Agriculture Pump Sets in South Zone of PSPCL as a Pilot Project for approval of the Commission for FY 2022-23. The estimated cost of the aforesaid project will be Rs. 16 Crore as per the DPR and the same is being considered in ARR for FY 2022-23 on account of DSM Fund. Therefore, PSPCL humbly prays to the Commission to consider the same.

**Commission's view:-**

The objector may note reply of PSPCL.

**Issue No. 24: Power purchase from Renewable Projects.**

The details also show that PSPCL has signed PPAs with SECI for purchase of wind power. Wind power being infirm power will flow only during night hours of non paddy period of 8.5 months when PSPCL is heavily surplus of power. Though, the sale rate is lower but the night power is sure to be dumped at zero cost. Thus, the ultimate cost will be much higher. PSPCL cannot burden the consumers with such purchases.

Setting up Biomass projects in Punjab particularly based on Rice Straw as fuel is the need of the hour. Setting up such projects will bring investments in Punjab, create employment, increase rural income, bring down losses of PSPCL and above all reduce pollution. It is therefore suggested that PSPCL should sign long term PPAs with developers of NRSE power projects under Average Power Procurement Cost (APPC) regime only. This will make available NRSE power to PSPCL at cheaper rates and allow the developers to get RECs which they can sell in power exchanges. Alternatively, the power purchase can be made on APPC plus Floor price of REC.

**Reply of PSPCL:**

It is not correct to say that Wind Power will flow only during night hours of non-paddy period of 8.5 months when PSPCL is heavily surplus of power. Whereas fact is that the maximum Wind power is available in Paddy Season than in Winter Season. In Paddy Season or in Summer Season Tube- Wells as well as ACs are running during Night also. So, this cheapest power (Wind Power) is very useful in Summer Season also.

Purchase of RE Power at APPC is equivalent to Black Power. It will not account far towards Non-Solar RPO Compliance. However, by adding it to Floor Price of Non-Solar REC (Floor Price of Non-Solar REC is Rs.1/-/kWh), it becomes Green Power which will be accounted towards RPO Compliance. To avoid financial burdens on the consumers of PSPCL, other cheaper alternatives are available with PSPCL. Black Power is available in the market at lower price than APPC of PSPCL. With the advanced technology in the market, the trend of prices of power is declining. Therefore, signing of Long Term PPAs are not in favour of PSPCL and its valuable consumers.

**Commission's view:-**

The objector may note the response of PSPCL.

**Issue No. 25: CAG Report**

PSPCL has not supplied the audited statements and report of CAG on the audited statements till date. Detailed comments on the same will be provided within 5 days of making the report available on web site.

**Reply of PSPCL:**

The annual accounts of PSPCL for FY 2020-21 have timely been finalized and got approved from BODs in the 90<sup>th</sup> meeting held on 15-09-2021 and stand audited by statutory Auditor on 15-09-21. Thereafter, CAG has concluded the supplementary audit on 09-12-2021 and audit certificate replies is still awaited. On receipt of audit certificate replies on the observation of statutory Auditor and CAG of India will be got approved from BOD along with audited accounts and will be placed before members of company (AGM) for its adoption. As when audit certificate receive will be supplied. In view of the above, it is submitted that there is no delay or laxity in finalization of accounts on the part of PSPCL.

**Commission's view:**

The objector may note the reply of PSPCL. The Commission takes due cognizance of CAG Report

**Issue No. 26: Reduction of Cross-subsidy**

Carry forward the rationalization of Electricity Tariff towards reduction of cross subsidy in a phased manner.

**Reply of PSPCL:**

The Commission has already following the approach and methodology as per National Tariff Policy while determining the category-wise tariff for PSPCL.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 27: Category wise Cost of Supply**

Move towards fixing tariffs on the basis of realistic category wise cost of supply principle as early as possible.

**Reply of PSPCL:**

The Commission has already following the approach and methodology as per National Tariff Policy while determining the category-wise tariff for PSPCL.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 28: Reduction in electricity tariff**

Reduce the electricity tariff of the subsidizing class of consumers as per the Act so that the GOP is not unduly burdened for providing subsidized power to the industry at Rs 5/- per unit.

**Reply of PSPCL: -**

The Commission has already determining the category-wise tariff while considering the interest of both consumers and PSPCL.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 29: ARR Petition**

PSPCL should be directed to:-

- a) Amend its pattern of submitting ARR. Instead of submitting ARR based on actuals with the same bunch of excuses for over expenditure every time, it should limit its expenditure as per Approvals.
- b) The practice of submitting Accounts duly audited by CAG along with CAG Audit Report for True Up of the previous year be strictly adhered to and for any delay, carrying cost of gap be disallowed to PSPCL.

**Reply of PSPCL:**

As mentioned annual accounts for FY 2020-21 have been audited by CAG of India. However, the audit certificate is still awaited.

It is also mentioned that there is no change in figures of approved accounts.

- c) The data given in tables of the text of ARR does not tally at many places with the data in Formats. For example, the ROE claimed in Format D1 differs from that in table 50. Similarly DSM provision is not depicted in Table 50 where as it is appearing in D1. Similar is the rate of depreciation and Non tariff Income etc.

**Reply of PSPCL:**

PSPCL has furnished the data as and when required by the Commission. And the ARR Petition for respective financial years is being submitted before the Commission as per relevant applicable regulations of the PSERC MYT Tariff Regulations notified by the Commission from time to time.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 30: TOD Surcharge**

The peak surcharge needs to be abolished as PSPCL is not purchasing any extra costly power during peak period and rather it is selling power during peak period. This will encourage the industry to operate for 24 hours instead of 20 hours presently.

**Reply of PSPCL:**

PSPCL is facing new challenges due to renewable energy addition from solar power (not available during morning/evening peak hours) throughout country. PEAK energy market prices are touching

new highs. This year PSPCL has to procure peak power at record high prices. So peak surcharge needs to be retained.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 31: Introduction of Reforms**

More reforms and ease of doing business initiatives be introduced for the industrial consumers.

**Reply of PSPCL:**

Within the State of Punjab, industrial consumers are already availing the benefit of subsidized power @ Rs.5/unit which in turns already benefiting the industrial consumers.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 32: Idle capacity/surplus power**

Continue with incentives for increase of consumption by consumers to reduce idle capacity/surplus power.

**Reply of PSPCL:**

PSPCL is already offering the concessional night tariff as an incentive in order to motivate industrial consumers to increase their consumption during specific time period.

**Commission's view:**

The Commission has taken the note of the suggestion. The Commission is already giving incentives to industries for exceeding threshold limit, exclusive night tariff, TOD rate for utilization of surplus power etc.

**Issue No. 33: Rebates and Surcharges**

PHD Chamber requests the Commission to check all the data provided by PSPCL and give some relief to industry by readjusting Voltage Rebate and Night Rebate / Peak surcharge and introducing Load Factor Rebate.

This is also necessary so that the industry of Punjab remains competitive viz-a-viz neighboring states otherwise it will have no other alternative but continue shifting to other states.

The Punjab industry is situated in a land locked area and has to face many hardships. We also bring to your kind notice that the State Govt. is charging 13% Electricity Duty plus 2% as Municipal Tax or 15% Electricity Duty in-addition to 5% Infrastructure Development Fee which also needs to be kept in view please.

**Reply of PSPCL:**

The taxes levied by PSPCL on energy bills are paid to State Government of Punjab and is not controlled by PSPCL.

**Commission's view:**

The objector may note the response of PSPCL.

**Objection No. 7: Mandi Gobindgarh Induction Furnace Association (Regd.)**

**Issue no. 1: Timely issue of Tariff order for FY 2022-23.**

PSPCL has filed the Petition on due date of 30.11.2021 and the Commission has issued notice for Public Comments with extended date as 1.1.2022. Public Hearings are scheduled during Feb 8<sup>th</sup> to Feb 17<sup>th</sup>, 2022. Thus, the Tariff order for FY2022-23 can very easily be issued by around 25<sup>th</sup> March to be made applicable from 01.04.2022. The Commission is requested to stick to the timelines and issue the TO well in advance so that industry is aware of the costing of the products and do not suffer financially on this count. This will also spare the GOP of the complications of bearing the arrears. Further, if there is delay in issue of Tariff Order, consumer should not be made to suffer and TO be made effective prospectively.

**Reply of PSPCL:** - PSPCL would like to submit that as per Section 64 of the Electricity Act, 2003, it is the sole prerogative of the State Regulatory Commission to issue a Tariff Order. The relevant excerpt of the aforesaid section is reproduced as under:

Section 64 (Procedure for Tariff Order)

*(3) The Appropriate Commission shall, within one hundred and twenty days from receipt of an application under sub-section (1) and after considering all suggestions and objections received from the public-*

*(a) issue a tariff order accepting the application with such modifications or such conditions as may be specified in that order;*

As, issuance of Tariff Order is within the prerogative of the Commission, therefore it is submitted that the Commission may take appropriate action in the matter.

**Commission's view:**

The Commission has taken the note of the suggestion.

**Issue No. 2: Cross Subsidization Levels of Agriculture and Industry**

i) The National Tariff Policy stipulates to keep the average realization per unit from each category to 20% (plus or minus) of combined average cost of supply (ACOS). APTEL has also given directions to PSERC in Appeal No 142 & 168 of 2013 titled Mawana Sugars & Bansal Alloys Vs PSPCL and others in para 14 of the order to work out the cross subsidy on the basis of voltage wise category wise cost of supply (VCOS) and has also held that the cross subsidy of any category of consumers will not be increased from the level of last year. as under: -

*"..... The cross subsidy with respect to voltage wise cost of supply is not increased. However, the tariffs for different categories have to be within + 20% of the overall average cost of supply as per the Tariff Policy ....."*

In compliance to the orders of Hon'ble APTEL, the Commission has determined the cross-subsidy levels for both the ACOS and VCOS in TO of FY2021-22. While working out the same in TO of FY 2022-23, the tariff of the subsidized class of consumers i.e. agriculture sector and domestic consumers be managed suitably so that in the tariff order to be issued for FY 2022-23:

- Cross subsidy levels based on cost of supply remain equal to or are less than those of last year.
- Cross Subsidy levels remain within +/-20% based on Average Cost of Supply as here to fore.
- Back up calculations and assumptions taken in calculation of VCOS be included in the TO.

Further, APTEL has also ordered that trajectory for gradual reduction of cross subsidies shall also be finalized by the SERCs in line with provisions of the Section 61 of the Act. In this regard, Judgment dated 9.1.2017 in Appeal No 134 of 2015 in Spentex Industries Limited Vs MPERC and others may be referred vide which Hon'ble APTEL has made following observations: -

*"26 (e)-----The State Commission is required to prepare a road-map for reduction of cross subsidies amongst the various categories of consumers.*

*27(c ). We would like to put a remark on this count that the State Commission while issuing the Retail Supply Tariff orders and avoiding tariff shock to consumers should also identify the road map for reduction of cross subsidy*

Accordingly, the Commission is requested to identify the road map for reduction of cross subsidies.

ii) PSPCL has not proposed the tariff of different categories of consumers in Format D-24 of ARR and has also not enclosed format D-26. On query from the Commission, PSPCL has submitted vide letter dated 24.12.2021 that the proposed tariff is under consideration of GOP for approval and will be submitted subsequently. While we are unable to submit any comments at this stage and request for making available the proposed tariff for comments. PSPCL has submitted subsidy figures for LS industry in Para 2.31 of TO 2021-22 and Format D-11/25 of the ARR as under.

|                             | 2018-19      | 2019-20      | 2020-21 | 2021-22 | 2022-23 |
|-----------------------------|--------------|--------------|---------|---------|---------|
|                             | TU as per TO | TU as per TO | Actuals | RE      | Proj    |
| No of consumers             | NA           | 8897 (ARR)   | 8145    | 8156    | 8401    |
| Sale (MUs)                  | 14055.59     | 14129.14     | 12159   | 17085   | 18435   |
| Subsidy (Rs Cr)             | 1140.96      | 1180.12      | 1261    | 2205    | 2415    |
| Rate (Ps/Unit)              | 81.17        | 83.52        | 103.79  | 129.06  | 131     |
| Increase over previous year |              | 2.35         | 20.27   | 25.27   | 1.94    |

Thus, whereas Energy charge for FY 2021-22 for LS industry was increased by only 7 to 8 paisa per unit over FY 2020-21 tariff, the subsidy rate has increased by 25.27 paisa per unit which cannot be correct. The average increase should be less than 7 paisa as many consumers crossed threshold after which no subsidy is receivable by PSPCL since applicable PSERC tariff is Rs 4.86/unit which is lower than Rs 5/- per unit where subsidy is payable by GOP.

Though the tariff proposal for FY 2022-23 is yet to be submitted by PSPCL, but the meager increase of 1.94 paisa per unit for FY 2022-23 projections shows that PSPCL is not going to propose any increase in tariff of FY 2022-23 which is a welcome step. Any increase in tariff for industrial category is unacceptable as there is no scope to further increase the sale value of products and any increase will make the Punjab industry uncompetitive. Thus, the proposed tariff be kept unchanged so that common man may not be pressed to install solar power plants and shift to net metering/CPPs.

iii) It is also submitted that the data in formats D11 and D 25 is at variance. Similarly figures of Format-D1 does not tally with the data given in tables of ARR. Number of consumers for FY 2022-23 is missing in Format-D11.

iv) As PSPCL is supplying lot of data to the Commission directly which is uploaded at the web site very late, as such the Commission is requested to check the ARR of the Licensee critically and reject the excess claims. The proposed increase in the consumption, additional flow of low-cost wind and solar power, there should be no requirement of increase in tariff for FY 2022-23.

v) Unlimited subsidized electricity units is leading to wastage of electricity as well as resulting in additional financial burden on subsidizing categories. It may be brought out here that MOP&NG has fixed the number of LPG cylinders per family per year on which subsidy is admissible for low-income families. Similarly, quantity of Atta Dal under subsidy scheme to EWS is also prefixed. Quantum of free electricity to Golden Temple and Durgiana Mandir is also prefixed. It is therefore suggested that a limit on consumption should be specified by the Commission for the categories of consumers which are to be cross subsidized. Once the consumption of these categories exceeds their limit specified in the order, they should be charged at normal tariff rate and not at subsidized rate. Thus, if supply of additional power to Agriculture Sector is to be given due to draught conditions through additional costly spot purchase or imposing cuts on highest tariff categories like industry, it should not be at subsidized but normal tariff and subsidy due from GOP be worked out accordingly.

v) The cross-subsidy burden on LS consumers which was only 47 paisa per unit in FY 2017-18 has increased which is evident from the table given below:

| Date of tariff order/tariff year          | Average cost of supply as per tariff order | Applicable Tariff for LS consumers | Average Realization from LS Consumers | Cross subsidy per unit for LS KV consumers |
|-------------------------------------------|--------------------------------------------|------------------------------------|---------------------------------------|--------------------------------------------|
|                                           | (Paise per unit)                           | (Paise per unit)                   | (Paise per unit)                      | (Paise per unit)                           |
| 23 <sup>rd</sup> Oct 2017<br>Year 2017-18 | 642                                        | 675                                | 689                                   | 47                                         |
| 19 <sup>th</sup> Apr 2018<br>Year 2018-19 | 655                                        | FC : Rs 280 + VC 611               | 725                                   | 70                                         |
| 27 <sup>th</sup> May 2019<br>Year 2019-20 | 663                                        | FC : Rs 295 + VC 619               | 729                                   | 66                                         |
| 1 <sup>st</sup> June 2020<br>Year 2020-21 | 645                                        | FC : Rs 295+ VC 641                | 717                                   | 72                                         |
| 28 <sup>th</sup> May 2021<br>Year 2021-22 | 642                                        | FC : Rs 315 + VC 649               | 707                                   | 65                                         |

This is against the directions of the Hon'ble APTEL and the directions of APTEL be followed while issuing Tariff Order for FY 2022-23 and the cross subsidy for industry be eliminated.

#### **Reply of PSPCL:**

The point wise reply is as under:

- Levy of Cross Subsidy Surcharge is a mandate which flows from the provisions of the Act, namely section 42 and helps the distribution licensees in performing their public duties by compensating them for the loss of consumers who were of the subsidizing category in order to serve poor consumers. As per PSERC Regulations and Electricity Act 2003, State Regulatory Commission have exclusive powers to determine the tariff for different categories of the consumers availing electricity in the jurisdiction of the state. Moreover, as per National Tariff Policy (NTP), the Discom can levy cross subsidy up to a limit of +/-20% of the average cost of supply. Furthermore, the decision regarding the same is taken by the Commission; Also, the cross-subsidy charges applied are within the limits defined under NTP. Further, as per the Tariff Order for FY 2021-22, the Commission has worked out the cross-subsidy surcharge which is within the limit of +/-20% of the average cost of supply as per NTP. Further determination of tariff is prerogative of Commission and the Commission determines tariff after prudence check of Discom's submission.
- The subsidy for LS consumers have been worked on the basis of the notification of Government of Punjab and revised estimated revenue from sale of power from LS consumers for FY 2021-22. The mere comparison of per unit rate would not be appropriate for consideration of subsidy.
- All the relevant data has already been furnished to the Commission vide reply to the deficiencies pointed out by the Commission on ARR Petition from time to time.
- The methodology adopted by PSPCL for True up of FY 2020-21, APR for FY 2021-22 and RE for FY 2022-23 is very well elaborated in the Petition and is in line with the regulatory principles set by the Commission and PSERC MYT Regulations. It is submitted that PSPCL has submitted the

Expenses and Revenue of FY 2020-21 based on the actual annual audited accounts of FY 2020-21 and the same in on the discretion of the Commission to approve the appropriate gap based on the expenses and revenue as per audited annual accounts. Hence, it would not be correct to say that the claims are in excess to the actuals. The Commission follows a transparent process for determination of tariff and consumers are given every opportunity to present the facts in their objections.

- v) Supply to various consumer categories in the State of Punjab is provided as per notification and policy of the Government and capping of the same is at the discretion of the Government of Punjab. As far as supply of power to subsidized category of consumers at cost of supply rate is concerned, the said issue is under the prerogative of the Commission. PSPCL would comply with the directions of the Commission.
- vi) Determination of tariff, rebate or surcharge to any category is the prerogative of the Commission as per Electricity Act, 2003. Also, the factors such as slab and category wise tariff rates, cost of supply, cross subsidy etc. are within the purview of the Commission while keeping in view Electricity Act, 2003 and provisions of the PSERC Tariff Regulations and Acts.

**Commission's view:-**

The Commission determines the tariff of various categories of consumers in line with the provisions of the Electricity Act, 2003 and PSERC Tariff Regulations further guided by various provisions of Tariff policy. (Repeat the reply already given)

**Issue No. 3: Return on Equity**

**A)** The Commission approved 15.5% return on equity for FY 2010-11 to FY 2017-18 purportedly as per PSERC Regulations in line with the FRP of GOP through which the cost of assets of erstwhile PSEB were revaluated and the Consumer Contribution, Subsidies and Grants were merged with GOP equity leading to increase in the equity share capital of PSPCL from Rs. 2617.61 Crore to Rs.6081.43 Crore which has led to increase of ROE from Rs. 405.73 Crore to Rs. 942.62 Crore i.e. an increase of 232% in both the figures without any fresh investment or infusion of cash by GOP or PSPCL. Similar is the case of PSTCL where the equity base has been increased from Rs. 328.50 Crore to Rs. 605.88 Crore as per FRP and ROE has been increased from Rs. 45.99 Crore to Rs. 93.91 Crore an increase of 204%. The matter was appealed in APTEL and Hon'ble Tribunal directed the Commission to reconsider the issue vide judgment Dated 17-12-2014 in Appeal No 168 and 142 of 2013 as under: -

*"48. ----- We direct the State Commission to adjust the excess amount of ROE in the impugned order from the FY 2011-12 onwards in the ARR/ True up for the year to provide relief to the consumers."*

*-----  
"Issue No. (iii) Relating to Return on Equity, Consumers Contributions, Grants, Subsidies etc.*

*50.3 The findings of this Tribunal in Appeal no. 46 of 2014 shall squarely apply to the present case. The State Commission shall re-determine the ROE as per our directions and the excess amount allowed to the distribution licensee with carrying cost shall be adjusted in the next ARR of the respondent no.2.*

As PSPCL has filed Appeal in Supreme Court and the order of APTEL is under stay, it is requested to record our objection on the issue and the TO from FY 2011-12 will be subject to review as per the orders of the Supreme court.

**B)** PSPCL converted the loans taken over by GOP under UDAY scheme amounting to Rs. 15628.26 Crore into equity of GOP on 31.3.2020 in earlier ARR of FY 2020-21 and FY 2021-22. This amount was further split between Generation and distribution business. Rs. 7254.87 Cr was allocated as equity for Generation Business and Rs. 8373.39 Crore was allocated for Distribution Business. PSPCL claimed ROE of 15.50% for Generation Business and 16% for Distribution Business on the total equity amount in each segment for FY 2020-21 and FY 2021-22. The Commission rejected the claim of PSPCL on the plea that there is no infusion of equity and ROE cannot be granted on such paper equity.

**C)** PSPCL has come out with a unique proposal that the UDAY loan of Rs. 15628 Crore includes Rs. 2246.77 Crore were capital loans. Further, out of balance Rs. 13381 Crore, Loans of Rs. 2346.19 Crore were diverted for capital works. Thus, a total of Rs. 2246.77+1346.19 = 4592.96 Crore have been considered as equity and ROE has been claimed on 6081.43+4592.96=Rs. 10674.39 Crore and ROE has been claimed as Rs. 1684 Crore in the ARR @ 15.77%.

**D)** Loans under UDAY scheme was on the interest rate of about 8.4% whereas after conversion into equity, consumers will have to bear the ROE @ 15.77%. While interest on loan is recoverable by PSPCL from consumers for payment to banks, ROE is recoverable from consumers and being retained by PSPCL for adjustment against its losses due to inefficiencies and wrong planning. the

proposal of PSPCL to convert the UDAY loans into equity in this fashion needs to be rejected as PSPCL is trying to load the consumers with unjustified ROE one way or other.

**E)** UDAY scheme was for Discom Loan only and PSPCL loans taken for Distribution Business only were considered for UDAY. However, now, PSPCL has split the amount between Generation and Distribution business. This has been done on purpose so that the loan and equity of each business remains within 70:30 ratio. This maneuvering by PSPCL is incorrect legally and the Commission is requested to reject the proposal of PSPCL.

**F)** Addition of equity to replace the loans taken over by GOP at the start of UDAY and transferred to PSPCL on close of UDAY is only a paper entry as there is no cash flow. Such issue of equity without corresponding cash flow has already been rejected by Hon'ble APTEL in Petitions referred to at para (A) above wherein it was decided that PSPCL may issue such paper equity as per Company law Act, but such equity cannot count for earning of ROE in the ARR exercise under MYT Regulations. As such the request of PSPCL for additional ROE on equity issued in lieu of UDAY loans need to be rejected.

**G)** The amount of Rs 15628 Crore was finalized in FY 2014-15 when loans under UDAY scheme were jointly checked. UDAY scheme was closed on 31.3.2020. Thus, PSPCL already knew the details of capital and WC loans when the amount was finalized. The diversion of funds was also known to PSPCL. PSPCL has claimed interest on these loans during all this period of around 7 years and never came out with such request. Almost 2 years have passed since the closure of UDAY. During all this period, PSPCL was happy with interest on loan of this amount. The assets have been depreciated accordingly year by year and depreciation amount has been deducted from the capital base as well loan amount. Thus, PSPCL is barred from making such claims at this stage.

**H)** The equity amount is being increased by PSPCL and the Commission is also approving these additions from time to time. However, there is no request for reduction of equity though assets created with loans, consumer contribution and govt. grants are depreciating and also being retired. Justice demands that consumers be given the relief of 10% scrap value after depreciation of 90% of asset value and equity for such retired assets be reduced from the equity fund every year.

**I)** On checking of TOs since FY 2002-03, it is observed that there has never been any cash flow from GOP exclusively for equity in PSEB/PSPCL/PSTCL. Thus, all the funding is from loans presently at around 8% interest & consumer contributions and Govt. Grants without any interest whereas by just making a paper entry, PSPCL/PSPCL are converting their around 6% average interest-bearing loans into 15.5 to 16% return bearing equity which by no means is justified. It is evidently an illegal and unjustified act of PSPCL/PSTCL by using provisions of regulations for benefits at the cost of consumers. Therefore, since there is no cash infusion, all the equity standing in the regulatory books of PSPCL/PSTCL be treated as Loans and PSPCL should not be allowed any ROE.

#### **Reply of PSPCL:**

**A) to C)** As per clause 1.2 of MOU under UDAY scheme, 75% of PSPCL's debt as on 30.09.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to MOU, Non-SLR bonds amounting to Rs.15628.26 Crore were issued by Govt. of Punjab and transfer this amount to PSPCL as GOP loan upto FY2019-20 and on 31.03.2020 converted this loan into equity.

Amount of Rs.15628.26 Crore comprises of Rs. 2246.77 Crore Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore upto FY2019-20 being Capex Loans.

The Commission has disallowed the interest on Working Capital Loans used for Capital Expenditure as per annexure attached from FY 2010-11 to FY 2018-19. These Rs.2346.19 Crore Working Capital Loans has been used for Capital Expenditure duly approved by the Commission

It is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 Crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) has been converted into equity and this loan in FY 2020-21 and FY 2021-22 does not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20.

**D)** Return on equity has been claimed as per applicable regulation of PSERC MYT Tariff Regulations, 2019 and PSPCL requests the Commission to allow the same.

**E)** UDAY loans which were converted into equity as per UDAY MoU were only on account of distribution business schemes of PSPCL. While, the PSPCL has already been furnishing the loans details of generation business separately to the Commission from time to time.

**F)** As per regulation 19 read along with 20 of the PSERC MYT Tariff Regulations, 2019 states that assets created out of equity funding shall be liable to pay return on that component. Therefore, in line to above, an amount of Rs.15,628.26 Crore which were converted into equity comprising of Capex

loan of Rs.2246.77 Crore and working capital loans of Rs.13381.49 Crore. The Commission has allowed interest on Rs.2246.77 crore upto FY2019-20 being capex loans.

The Commission has disallowed the interest on working capital loans used for Capital Expenditure from FY 2010-11 to FY2018-19. These Rs.2346.19 Crore working capital loans has been used for capital expenditure duly approved by the Commission and benefit of the increased efficiency due to capex has been passed on to the consumers at large.

So as explained above, the Commission is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) in addition to existing equity of Rs.6081 Crore and balance equity of Rs.11035.30 Crore (15628.26-4592.96) may be adjusted as equity contribution on normative basis as per Regulation 19 and 20.

**G)** The amount of depreciation/amortization on the assets is being used for repayment of loans and as it is very clearly seen from the balance sheet that PSPCL has significantly reduced the interest on long term loans. The Commission has already been considering the impact of disposal of assets by reducing loan and equity component from the admissible opening loan balance and admissible regulatory equity for allowing the same interest and return on the same respectively.

**H)** PSPCL has claiming depreciation on assets after deducting the depreciation/amortization on the assets created out of consumer contribution/grant funding and the Commission is already taking in account the same while approving the tariff for respective financial years.

**I)** Return on Equity is a statutory requirement, unless a fair return on investment is not allowed to utility, it would not be possible for distribution utilities to undertake adequate fresh investments, even when the utility financed by government owned financial institutions or support from state government in form of loans, as the utility is expected to earn a fair return on equity for creating fixed assets. Therefore, denying any return on equity is to negate the commercial principles of corporate governance and adversely impact the long-term viability of any distribution utility.

**Commission's view:**

The Objector may note the response of PSPCL. However, it is clarified that the Return on Equity and Depreciation both are determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Issue No.4:-ARR AND CARRYING COST OF REVENUE GAP**

The gap in realization with current tariff and expenditure incurred by PSPCL as projected in ARR along with carrying cost was earlier increasing every year as under: -

i) PSPCL had projected Net Revenue Requirement of Rs. 32718.64 Crore in the ARR of FY 2017-18 with total revenue gap as Rs. 5576.21 Crore. The actual figures presented in ARR of FY 2019-20 for true up were Rs. 31127.53 Crore and Rs. 5524.53 Crore respectively (Table 28 of ARR) whereas the Commission in the TO of FY 2019-20, trued up the ARR of FY 2017-18 as Rs. 27232.40 Crore (Table 2.50 of TO) with Revenue gap of Rs. 881.23 Crore only.

ii) ARR for FY 2018-19 presented the Net Revenue Requirement as Rs. 33562.12 Crore with total Revenue Gap of Rs 5339.33 Crore. The actual figures presented in ARR for FY 2020-21 under True Up was Rs. 33000.28 Crore and Revenue gap of Rs. 3715.89 Crore (Table 30 of ARR 2020-21) whereas the Commission in the TO of FY 2020-21, trued up the ARR of FY 2018-19 as Rs. 30620.02 Crore (Table 64/TO) with Revenue gap of Rs. 515.80 Crore only.

iii) In the ARR 2019-20, the Net Revenue Requirement has been worked out as Rs. 34505.60 Crore and total revenue gap with carrying cost has been worked out as Rs.12118.55 Crore The actual figures presented in the ARR for FY 2021-22 for True Up are Rs 34812.51 Crore and Revenue gap of Rs 3003.04 Crore (Format D-1 of ARR FY 2021-22) whereas in the Commission in the TO of FY 2021-22, trued up the ARR of FY 2019-20 as Rs. 30424.44 Crore (Table 66/TO) with Revenue surplus of Rs. 701.60 Crore.

iv) In the ARR for FY 2020-21, PSPCL projected Net Revenue Requirement for FY 2020-21 as Rs. 35573.60 Crore and previous year's Revenue gap of Rs. 9016.30 Crore (Table 83 of TO 20-21). In the Tariff Order for FY 2020-21 the Commission approved Net Revenue Requirement of Rs. 31519.45 Crore with revenue gap of Rs. 224.83 Crore (Table 83 of TO 20-21). Now, in the actuals for FY 2020-21 in the ARR of FY 2022-23, PSPCL has projected Net Revenue requirement of Rs. 33709 Crore (against the Commission's revised estimates of Rs. 30554 Crore) with revenue gap of Rs. 2101 Crore (Table 19).

Strangely, the net revenue requirement for FY 2022-23 has been worked out in ARR as Rs. 36848 Crore, Revenue as Rs. 36577 Crore and total Revenue gap with carrying cost as Rs. 1912 Crore only. Thus, for full recovery of ARR, the tariff has to be increased by only 5.22% across the board. However, after disallowing additional claim of ROE and amending the non tariff income/Parameters of



thermal plants etc, PSPCL is likely to become Revenue Surplus. The pattern is evidently different from previous years.

Any increase in tariff for industry will prove disastrous for the consumers in Punjab. The ARR needs to be critically examined by the Commission. Any increase in Energy Charge will have to be passed on to GOP which is already short of money. PSPCL should manage the increase in ARR from increase in sale of power and better utilization of its assets. Industry in Punjab cannot bear any increase in tariff and the tariff needs to be frozen for next five years.

Further, in spite of 9.33% increase in Tariff in FY 2017-18, 2.17% in FY 2018-19, 1.78% in FY 2019-20, 3.55% in FY 2020-21, ~1% rise in FY 2021-22 and now projected 5.22% increase in FY 2022-23 clearly indicates that there is something wrong in the operations of PSPCL.

It is evident from the above that besides continuing with its inefficiencies, there seems to be a tendency on part of PSPCL to inflate the figures of ARR to get higher tariff to cover up its continuing losses which need to be looked into by the Commission thoroughly otherwise the industry in Punjab will become totally uncompetitive with the industry of neighboring states and shall have to close down their factories.

**Reply of PSPCL:**

PSPCL has been transparent in filing the petition for the True up for FY 2020-21, APR for FY 2021-22 and RE for FY 2022-23 and filed a detailed petition. In the present Petition, PSPCL has submitted the revenue requirements based on the audited accounts for FY 2020-21, actual figures for the first half of FY 2021-22 as available at the time of petition filing exercise. The methodology adopted by PSPCL for filing the petition is very well elaborated in the Petition and is in line with the regulatory principles set by the Commission and provisions of the PSERC MYT Regulations, 2019. PSPCL has submitted the Expenses and Revenue of FY 2020-21 based on the actual annual audited accounts of FY 2020-21 and the same in on the discretion of the Commission to approve the appropriate gap based on the expenses and revenue as per audited annual accounts. It has been observed that during FY 2020-21, the main input costs relating to cost of purchase of power from outside sources, establishment cost etc. has gone up and; therefore, it has resulted in increase in revenue gaps and the revenue gap for the financial year increases as the expenditure of the Nigam increases with increase in various cost components varied during the year which are uncertain and the major increase in expenditure is on account of power procurement cost. The Commission does a thorough scrutiny of the Petition filed by PSPCL and follows a transparent process for determination of tariff and consumers are given every opportunity to present the facts in their objections. Further, PSPCL submits that the determination of tariff is the prerogative of the Commission and the Commission may take an appropriate view on the submission made by the Objector regarding tariff related issues.

**Commission's view:-**

Revenue Gap is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Issue No. 5: Excess claim not accepted by the Commission in Tariff Orders.**

PSPCL had filed Appeal No 106 of 2013 in APTEL which was decided vide order dated 16.12.2015. The decision was further considered by the Commission for compliance and order have been issued on 04.01.2016. In these orders contentions of the PSPCL on many issues relating to tariff Order for FY 2013-14 were considered and Hon'ble APTEL decided all the issues except one against PSPCL and upheld the orders of the Commission as per Tariff Order.

With the coming into force of new MYT regulations, PSPCL has again gone to the Hon'ble APTEL and has challenged all the disallowances in the Tariff orders. In this ARR also, PSPCL has again prepared the ARR on the same pattern. Thus, PSPCL is continuing its practice of incurring expenditure at will without caring for the Commission's directions and Regulations and after the ARR is curtailed, wastes time and money and the Commission seeking legal remedy on the already rejected contentions. The costs so involved are loaded on to consumers both by PSPCL in ARR as legal charges and by the Commission through fees and charges. This is proving disastrous for the consumers as expenditure on legal fees is increasing every year without corresponding benefit. PSERC need to disallow legal fees in such cases and not burden the consumers with such unsuccessful litigations.

The expenditure already denied / methodology already rejected by the Commission in the previous tariff orders should not have been included/reiterated in the ARR at all but the PSPCL is continuing the practice. PSPCL reiterated the rejected arguments for justification of inflated Agriculture Consumption, Thermal parameters, Late payment surcharge etc. Thus, PSPCL wants to have the best of all. There is no reason for admitting the same and no reason for PSPCL to approach APTEL for each and every disallowance.

While PSPCL challenges almost all of the decisions of the Commission where prayers of PSPCL are rejected in APTEL/HC. Thereafter after losing the case in APTEL/HC, PSPCL approaches the Hon'ble Supreme Court for relief. However, the Commission does not approach the Supreme Court where PSPCL gets relief from APTEL/HC. In order to protect the interests of consumers and to uphold its own decisions, the Commission is also very kindly requested to approach the Supreme Court in such cases to protect the consumers interests or else some funds be created to support consumer associations to fight costly legal battles in Supreme Court.

**Reply of PSPCL:**

The revenue gap in the ARR arises out of the difference between the Actual expenditure of the utility and the Projected Expenditure as approved by the Commission. Further, PSPCL submits that the objector has made such misleading allegations against the Utility in the name of inefficiency of the PSPCL without caring for principles which allow PSPCL to claim the actual expenditure. PSPCL are claiming its legitimate expenses based on the actual audited accounts for respective financial year while Hon'ble Commission practicing allowing expenses based on normative basis. Thus, the PSPCL has appeal before the APTEL aggrieved by orders made by the Commission in line to Section 111 of the Electricity Act'2003. The relevant excerpt of the aforesaid section is reproduced as under:

**Section 111. (Appeal to Appellate Tribunal):** --- (1) Any person aggrieved by an order made by an adjudicating officer under this Act (except under section 127) or an order made by the Appropriate Commission under this Act may prefer an appeal to the Appellate Tribunal for Electricity:

**Commission's view:-**

The Commission has taken note of suggestion.

**Issue No. 6: Surplus power, capacity charge of idle capacity and MOD operation:**

i) The increase in expenses in ARR of PSPCL in recent years is due to power proposed to be surrendered on Merit order Dispatch due to commissioning of new IPP stations of PSPCL and availability of power from stations where PPAs were signed earlier. This saves the energy/variable charges, but PSPCL has to bear the capacity/fixed charges for such non-purchase of power. This position was predicted by the Commission and in this regard directive was given to PSPCL as early as in TO for FY 2013-14 at page 83 para 4.8.5 to review all the PPAs and surrender costly contracted capacity in view of commissioning of IPPs in the state. However, PSPCL has failed to surrender any contracted capacity and the directive was dropped in FY 2018-19 without any result. PSPCL has also worked out the power plant wise year wise quantum of power (MUs) and Fixed Charge liability for idle capacity in Form D2 of ARR. The liability varies as under:-

a) 17431.84 MU& Rs. 2020.29 Crore (RE) in FY 2020-21 in ARR of FY 2021-22 which has now been revised to 12092.95 MU and Rs. 1365.39 Crore as per Actuals in ARR for FY 2022-23

b) 14540.76 MU& Rs.1818.38Crore (Proj) in FY 2021-22 in ARR of FY 2021-22 which has now been revised to 9288.99 MU and Rs. 938.80 Crore as per Actuals (Tentative) for H1 and RE for H2 of FY 2021-22.

c) 6900 MU& Rs. 713 Crore Projections for 2022-23 in Present ARR.

Keeping in view the present projected pace of reduction in Fixed charges of idle capacity of around Rs. 200 Crore per year, the projections of Rs. 938 Crore for FY 2021-22 and Rs. 713 Crore for 2022-23 seems to be over ambitious. It seems that PSPCL has taken into consideration the cancellation of PPAs as per the Termination of PPAs Act 2021 passed by the Punjab Legislative Assembly and orders of the Commission regarding DVC projects etc. However, keeping in view the litigation involved with such cancellations, the reduction in FC from such projects may not materialize.

Termination angle needs to be scrutinized to the depth and their commercial and financial aspects need to be studied minutely so that no penalty is passed on to consumers subsequently. It needs to be made clear that any such liability shall have to be borne by PSPCL/GOP.

Keeping in view the reduction of Rs 200 Crore per year as per previous trend and after accounting the additional power available from solar & Hydro power capacity required to be contracted to meet ever increasing RPO and HPO as well as solar roof top plants being set up by the consumers, it will take another 7 to 8 years to consume the excess capacity. Therefore, PSPCL needs to devise innovative proposals to bring investments to Punjab for base load heavy industries to Punjab, facilitate setting up of EV charging stations, come out with scheme to allow separate metering facility for two and four wheeler EV charging points in the houses/offices of consumers, Allowing additional rebate for consumers having Captive power plants so as to replace the CPP power with PSPCL power etc.

**Reply of PSPCL:**

In respect to the Commission's directive regarding review of long term PPAs signed by PSPCL with Centre Sector Generating Stations, PSPCL is continuously making efforts to surrender its share

wherever feasible. The agreement can only be reviewed on mutually agreed terms and conditions. Also, a legal opinion regarding surrender of power share has been taken by PSPCL and the advocate Mr. M.G. Ramachandran opined that PSPCL cannot treat any agreement as terminated unless the Generating Company agrees to the same. On PSPCL's request, MoP, GOI vide office memorandum dated: 06.05.2020 offered 535.18 MW share of Power of Punjab to other states for reallocation. Recently, PSPCL's share of power from NTPC Anta, Auriya and Dadri Generating Stations has been allowed for re-allocation by the MoP, GoI w.e.f. 12.02.2022 onwards and the Ministry is in the process of revising the allocation. Regarding payment of fixed charges against surrender of power, it is submitted that under the Regulated regime, the generation tariff has two components i.e. fixed (capacity) charges and variable (energy) charges and is determined as per norms of operation fixed by CERC. The fixed component is payable by all beneficiaries in proportion to their entitlement irrespective of the fact whether energy is scheduled or not. Hence relating payment of fixed charges is not appropriate with surrender of power. Regarding variation in quantum of power and fixed charge liability for idle capacity shown in form D2, it is submitted that the figures shown in RE for FY 2020-21 were based on projections whereas the figures shown now are based on actual basis.

The projected reduction is due to that fact that PSPCL's share from Anta, Auriya and Dadri Generating stations has been allowed by the MoP, GoI w.e.f. 12.02.2022 onwards and the Ministry is in the process of revising the allocation. The projections are not based on Termination of PPA's Act except for GVK plant where the energy from the plant has been projected upto H1 of 2021-22 and beyond that it has been assumed as Nil as per current status of PPA.

**Commission's view:-**

The Commission has taken the note of the suggestion.

**Issue No. 7: Merit Order Dispatch**

Energy charges of Thermal Plants are the basis of scheduling of power by SLDC. As per orders of the Commission, PSPCL has started uploading the monthly MOD for the contracted thermal capacities for CGS, IPPs Said PSPCL's own thermal plants. In the MODs, PSPCL's Ropar and Lehra Plants are consistently being shown as having highest Energy Charges amongst coal based plants. However, in ARR, PSPCL is projecting much lower EC than being presented in the MOD. Similarly, the Commission is approving EC for both the plants in its Tariff Orders which are also lower than those presented by PSPCL in its ARR. If approved EC as per TO is considered, GVK plant should not be scheduled, and PSPCL's own plants should be scheduled. This needs to be investigated as to how, PSPCL is declaring higher EC in MOD but the same becomes lower during ARR submissions and who is to bear the difference of EC paid to IPPs and EC submitted in the ARR. It is also to be investigated if the ECs being declared by IPPs are as per their contracts and not being manipulated to remain lower than EC of PSPCL plants.

**Reply of PSPCL:**

Energy charges/cost per unit of thermal plants being actually incurred is considered for operation of plants instead of any normative or ideal conditions cost/unit, so that system operation may be done near to actual basis.

**Commission's view:-**

The Objector may note the response of PSPCL. However, the Commission allows Energy Charge in line with the PSERC MYT Regulations after prudence check.

**Issue No. 8: Employee Expense**

Employees expenses: Employee cost claimed in the ARRs and approved by Commission in the Tariff Orders is as under:

Employee cost as Projected by PSPCL in ARR, Projections Approved by the Commission in TO, RE as per ARR, RE Approved in TO, TU submitted in ARR, Approved in TO

| Employee cost as Projected by PSPCL in ARR, Projections Approved by the Commission in TO, RE as per ARR, RE Approved in TO, TU submitted in ARR, Approved in TO |         |         |         |         |         |         |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|---------|---------|---------|---------|---------|
|                                                                                                                                                                 | ARR     | TO      | RE      | TO      | TU      | TO      |
| 2014-15                                                                                                                                                         | 5350.89 | 4286.13 | 4423.44 | 4386.47 | 4070.46 | 4076.46 |
| 2015-16                                                                                                                                                         | 5480.61 | 4540.81 | 4788.69 | 4572.59 | 4397.99 | 4397.99 |
| 2016-17                                                                                                                                                         | 5715.97 | 4835.58 | 5114.4  | 4547.56 | 4551.87 | 4551.87 |
| 2017-18                                                                                                                                                         | 5368.54 | 4688.3  | 5514.21 | 4688.3  | 4727.36 | 4480.96 |

| Employee cost as Projected by PSPCL in ARR, Projections Approved by the Commission in TO, RE as per ARR, RE Approved in TO, TU submitted in ARR, Approved in TO |         |         |         |         |         |         |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|---------|---------|---------|---------|---------|
|                                                                                                                                                                 | ARR     | TO      | RE      | TO      | TU      | TO      |
| 2018-19                                                                                                                                                         | 5744.25 | 4845.39 | 5347.22 | 4738.98 | 4657.37 | 4666.5  |
| 2019-20                                                                                                                                                         | 5748.17 | 4934.6  | 4958.44 | 5095.6  | 4730.57 | 4739.02 |
| 2020-21                                                                                                                                                         | 5240.79 | 4837.41 | 5098.61 | 4860.22 | 4808    |         |
| 2021-22                                                                                                                                                         | 5314.49 | 5004.68 | 5269    |         |         |         |
| 2022-23                                                                                                                                                         | 5552    |         |         |         |         |         |

The claims made in the initial ARRs are highly inflated and actual in RE/Actuals/true up have come down drastically and even lower than those approved by the Commission for some years. PSPCL also needs to explain as to how it was giving justifications for inflated figures in the ARRs. In view of the fact that Now Audited Employee cost is being allowed in True Up as per APTEL orders, PSPCL should come out with realistic figures in ARR so that tariff determined by the Commission is somewhat realistic.

The Commission has been allowing an increase in employees cost on the basis of Wholesale Price Index as per Tariff Regulations which have been amended now to cover CPI also. Therefore, increase in employees cost on the basis of amended regulations may be allowed during MYT period. Recruitment of new employees and grant of any allowance need to be made by PSPCL keeping in view the provisions of the Tariff Order which should act as Budget for PSPCL which should not be exceeded at any cost.

PSPCL has given many concessions like enhanced grade pay, grant of increments at the time of recruitment over and above GOP, provisional pay scales as per new Punjab pay Commission recommendations etc. However, the liability for the same is not being considered since the ARR is prepared as per accounts on 30.09.2021. It is requested that the provisional liability be included in the Tariff Order so that the burden is shared by consumers proportionately and does not become a tariff shock for consumers next year.

#### **Reply of PSPCL:**

PSPCL would like to submit that it has been transparent in filing the petition for True up for FY 2020-21, APR for FY 2021-22 and RE for FY 2022-23 and filed a detailed petition. In the present Petition, PSPCL has submitted the revenue requirements based on the audited accounts for FY 2020-21, actual figures for the first half of FY 2021-22 as available at the time of petition filing exercise. The methodology adopted by PSPCL for filing the petition is very well elaborated in the Petition and is in line with the regulatory principles set by the Commission and provisions of PSERC MYT Regulations, 2019. The Commission does a thorough scrutiny of the Petition filed by PSPCL and follows a transparent process for determination of tariff and consumers are given every opportunity to present the facts in their objections.

#### **Commission's view:-**

Employee Expense is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

#### **Issue No.9: COST OF SUPPLY/HT REBATE**

In compliance to APTEL orders, PSPCL has carried out the study on Cost of Supply, which was a part of ARR of FY 2013-14 and the Commission accepted methodology II of the study. The cost of supply study was based on lot of assumptions which had to be taken at every step due to absence of actual data of one or other parameter required for the study and sample feeders taken were quite inadequate. Further, even the assumptions had been so taken that HT/EHT consumers were loaded with unjustified costs and made to share big burden of the ARR.

The cost of supply study for FY 2022-23 is enclosed in the reply to deficiency. In this calculation, T&D losses for 220 and 132 KV consumers had been taken as 2.13% against 2.44% assumed by the Commission in the MYT tariff order dated 01.06.2020 and para 4.3.7 of PSTCL TO of FY 2021-22. T&D losses for agriculture had been taken as 14.19% equal to other categories whereas it is known fact that the losses on agriculture feeders are more than 20% as these consumers do not install Capacitors, use high wattage bulbs against LEDs permitted free with pump set, use non ISI motors and indulge in theft of power during paddy season. This has lowered the cost of supply of agriculture consumers and increased the cost of supply of Industry and others. No other assumption is given in the write up. However, the determination of cost of supply is clearly biased against industrial

consumers as the rate of 66 KV industrial consumers is so determined that the HT rebate is nearly equal to being granted.

The Commission had accepted methodology II and had worked out Voltage wise and category wise Cost of supply for FY 2013-14 in TO for FY 2013-14. The Commission had further observed in para 5.2.10 of TO as under:-

*5.2.10 It would be ideal to fix electricity tariff for all consumers on cost to serve basis. But, historically, there has been extensive cross subsidization in electricity sector. The tariff for consumers, who pay less than the cost to serve, will need to be hiked significantly to cover the gap between the tariff of subsidized consumers and cost to serve these consumers. As such, the*

*Commission is raising tariff of subsidized consumers gradually to reduce such gap, and at the same time avoiding tariff shock to subsidized consumers and bringing the tariffs of various consumers within reasonable difference as compared to cost to serve these consumers.*

In order to make the determination of cost of supply more realistic and reliable, it is requested that PSPCL be asked to make the study afresh and firm up the data required for the study since lot of computerization/digitization has taken place and IT practices have been introduced under APDRP schemes in PSPCL/PSTCL. Further as per recent orders of the Hon'ble APTEL in an appeal filed by the industry, it has been ordered that Cross Subsidy Levels be also worked out on the basis of Cost of supply and it should be ensured that these levels remain or are less than those of last year and should not exceed 20% limit. Further, voltage rebate be further enhanced to make it commensurate with the cost of supply.

Accordingly, rebate for EHT consumers reintroduced in FY 2013-14 be increased keeping in view the rise in tariff of 66 KV LS consumers since FY 2014-15 when 25 paisa per unit voltage rebate was fixed.

#### **Reply of PSPCL:**

Determination of tariff, rebate or surcharge to any category is the prerogative of the Commission as per Electricity Act, 2003. Also, the factors such as slab and category wise tariff rates, cost of supply, cross subsidy etc. are within the purview of the Commission while keeping in view Electricity Act, 2003 and provisions of the PSERC Tariff Regulations and Acts.

#### **Commission's view:**

The Commission has taken note of the suggestion.

#### **Issue No.10: Tariff Related Issues**

In Annexure 2 of Replies to Deficiencies dated 24.12.2021, PSPCL has submitted comments on Tariff Related Issues. Para 3 of Annexure proposes regarding Special Night tariff as under:-

- (i) Special Night Rebate be started from 16th of Oct instead of 1st Oct of the year
- (ii) Limit the usage of power from 6 AM to 7AM only instead of 6 AM to 10 AM or impose peak charge for the period 7 AM to 10 AM

Special Night Tariff was introduced in FY 2018-19 with usage of power during 8 hours of night only for 8 months of Non paddy period. However, no consumer opted for the same as for viability; industry has to operate for minimum 12 hours in a day since the contractor labor works for 12 hours per shift. On the persistent demand of Industry, with the concurrence of PSPCL, this was extended for 12 continuous hours i.e. during night 8 hours on reduced tariff and on full tariff for morning 4 hours period.

It is reiterated that the industry will opt for the Special Night Tariff only if it is allowed to operate for minimum period of 12 hours on continuous and round the year basis. Further, the extra load during first two weeks of October in 2021 is a rare happening this year and may or may not be repeated in future.

The proposal at (i) above is based on the additional demand observed this year during first two weeks of October from the agriculture sector due to late monsoon showers which delayed harvesting of paddy. Further, the morning demand during Dec to January in Para (ii) above is due to domestic sector using lighting, geysers and heaters etc. However, to accommodate these two sectors, Industry is being asked to make sacrifices which is totally unfair. Equity and Justice demands that the sector using the power should pay for the same.

Rate of power at power exchanges are very volatile and there is no fixed pattern of for rates or availability of power. It cannot be assumed that the rates this year will be necessarily followed next year as well. Moreover, there are only about 70 to 80 consumers availing this tariff and restricting such a small number will not give any countable relief to PSPCL.

Under special Night tariff, industry is benefitted only for fixed charges since night rebate is available to all industries whether they opt for it or not. Taking away such benefit through extra levy on morning consumption or through reduction in working hours / admissible days will make the whole package unattractive and consumers shall shift to normal tariff again.

PSPCL be asked to look for some other alternatives rather than targeting the industry for problems not created by industry.

**Reply of PSPCL:**

The proposal regarding Exclusive Night Tariff (in the Special night tariff, the normal tariff hours i.e. 06.00 Hrs up to 10:00 Hrs be limited from 06.00 Hrs up to 07:00 Hrs only. Still in case present terms and conditions for normal tariff hours are to be continued, some premium over and above normal tariff may be charged from the consumers opting for the same especially for the months of December and January.) was given due to the reason that during months of December to February during the morning peak hours of 7.30-10.30 hrs foggy weather coupled with delayed availability of solar power makes the task of meeting demand more challenging, especially with high rate of rise of demand during this period i.e. from 4500 MW at 4.30 am to around 7000 MW by 8 am and so on. Managing such sharp rise is not possible without power procurement along with hot spinning reserve available for smooth system operation. Therefore, this proposal may be considered by the Commission

Further, regarding the issue i.e. Start of Special Night Rebate from 16th of Oct instead of 1st Oct of the year, raised by the objector, as per the proposal of the O/o CE/PP&R, this office vide memo no. 1288 dt. 23.12.2021(CP-20) has proposed this amendment to the TOD tariff (which is applicable for NRS/BS consumers with Sanctioned Contract Demand of more than 100 kVA, all LS/MS consumers including Rural Water Supply Schemes & Compost/Solid Waste Management Plants and EV charging stations and not to the Exclusive night Tariff (which is applicable for all Industrial Consumers).

**Commission's view:-**

The Objector may refer the Tariff Order.

**Issue no.11: Tariff for Induction Furnace Industry**

Induction furnace industry is facing tough challenges due to volatile industrial scenario, steep rise and fall on daily basis in the prices of scrap and end product, manipulations by vested interests through SMS, frequent checking by Taxation personnel etc. The viability of the industry greatly depends on the hand holding of GOP and its departments. As the cost of power constitutes around 60% of the total conversion cost, the tariff and rebates of electricity play vital role in its survival. Savings through open access has stopped and industry is fully dependent on using PSPCL power.

We thank the Commission for withdrawal of PLEC, increasing the night rebate period from 6 months to 8 months and increasing the night rebate to 1.25/unit. However, introduction of two part tariff, increase in tariff rates for last five years, recovery of Coal Washing Surcharge & FCA imposed from time to time and increase in Electricity Duty by GOP, has taken away part of the meager reductions. Industry is looking forward to further concessions in power rates as under:-

- There is full justification to Increase the 66 KV voltage rebate to reduce the gap between cost of supply & tariff.
- Merging of PIU and General Category on introduction of Harmonics measurement as and when these are introduced.
- Threshold rebate has already served its purpose and now industry has no incentive as it is not possible to increase consumption every year. As such, load factor rebate for industry be introduced.
- Timely issue of Tariff Order in first week of April and if delayed, the same be made effective prospectively,

**Reply of PSPCL:**

Increasing Voltage rebate will cause reduction in revenue so it is requested that while considering to fix the voltage rebate as demanded by the objector, the Commission may keep in mind the financial interest of PSPCL and allow PSPCL to recover legitimate cost claimed in the Petition.

If revenue of PSPCL reduces due to more HT Rebate, then Tariff for any other category will have to be increased to compensate for the said revenue loss which may further lead to disturbance of Cross Subsidy levels.

Merging of PIU and General tariff is a feasible demand which can be acceded to. The underlying principle should be that Harmonics suppressor should be installed to safeguard the quality of power supply of PSPCL. Power Quality meter shall have to be installed at PIU consumer.

PSPCL should be allowed to test check the general industry consumers for measurement of Harmonics with portable power quality measuring instruments. In case of any violation, initially notice

should be issued to the consumer for fifteen days to correct the same and in case of non-compliance, penalty should be levied.

The Commission in the Tariff Order for F.Y. 2021-22 has decided to continue with its policy of encouraging the industry in promoting the productive use of surplus power by offering lower rate of energy charge for consumption of power exceeding the threshold limit. The applicable reduced energy charge for FY 2021-22 are Rs.4.86 per kVAh, with other terms and conditions remaining the same.

With regard to the demand to abolish the threshold rebate, it is submitted that there is always scope of increasing production by adding more manufacturing capacity which may result in requirement of extension in load/demand thereby further increasing the consumption resulting into availing the benefit of threshold rebate, therefore, the Commission is requested to continue the threshold rebate and to fix threshold rebate such that financial interest of PSPCL is safeguarded & legitimate cost of PSPCL is recovered. However, it is requested not to consider the demand of objector to introduce load factor rebate for industry as introducing load factor rebate in place of threshold rebate may not serve the very purpose behind introduction of threshold rebate which was encouraging productive use of surplus power by the industrial consumers.

**Commission's view:**

The Commission has taken the note of the suggestion.

**Objection No. 7A: - MANDI GOBINDGARH INDUCTION FURNACE ASSOCIATION (REGD)**

**Objection No. 8:- STEEL FURNACE ASSOCIATION OF INDIA (PUNJAB CHAPTER)**

**Issue No.1: Equity and Return on Equity**

**A)** The then Punjab State Electricity Board was constituted under Electricity (Supply) Act 1948 as per which PSPB was to finance all its Capital works through Loans only and was required to recover the interest payable on loan (Interest and Finance Charges) and instalments to repay loan (Depreciation) through Tariff. A major part of financing was through state government loans and to escape the liability of interest payable to GOP, PSEB got the loan converted into equity of GOP in PSEB as increase in tariff being controlled by GOP was quite inadequate to cover the expenses of PSEB. PSEB never paid any interest on such loan as well as instalment of loan converted into equity or Return on such converted equity.

**B)** The Commission issued first tariff order for FY 2002-03 which provided for equity and return on equity as under: -

**"6.10. EQUITY AND RETURN ON EQUITY**

*The Government of Punjab has declared the PSEB as a body corporate with a Capital of Rs. 5 Crores with effect from 10th Mach 1987 under Section 12A of Electricity (Supply) Act 1948 and converted Rs. 1612 Crores representing Government loans granted up to 3/90 into equity during 1991-92 and Rs.1189.11 Crores representing 50% of toons granted during 1990-91 to 1994-95 in 1996 97. The total State Government Equity in PSEB is Rs.2806.11 Crores.*

Further no ROE was allowed in the tariff Order of FY 2002-03 and after till FY 2005-06 by the Commission under Electricity Regulatory Commissions Act, 1998 and Electricity (Supply) Act 1948 and only 3% Return on Net Fixed Assets were allowed.

**C)** Evidently, the equity shown then was also loans camouflaged as Equity to get higher returns initial equity of Rs. 2946.11 Crore of Punjab State Electricity Board, which became equity of PSPCL and PSTCL is also nothing but government loans, which was got converted into equity on different occasions by the then PSEB management(s) to reduce loan liability in its Books and to escape liability of payment of Interest on such loans and loan instalments to insulate consumers from increase in tariff prior to setting up of Regulatory regime. Return on Equity of Rs 412.46 Crore per year was allowed only from FY 2006-07 onwards on Equity of Rs. 2946.11 Crore as per Para 4.15 of TO.

**D)** While there is no objection on such conversion for accounting purpose but for fixing tariff, apparently, there is no differentiation between loans given by Government of Punjab to Board/PSPCL and equity. In fact, all the assets of PSEB/PSPCL/PSTCL were/are created by borrowing and a part of it shown as equity of Board. This evidently has been done to help Discom to reduce its interest burden as no ROE/dividend is payable to Government of Punjab till PSEB/PSPCL incurs losses. Thus a methodology devised to keep the tariffs on lower side is now being used to increase income of PSPCL by unduly loading the consumers and meeting the losses due to inefficient working of PSPCL. Consequently, the consumers of the State are burdened with the higher tariff and financial loss in the form of 15%-16% Return on Equity on

such amount, which is in fact a government loan on which not more than 7-8% interest needs to be allowed.

- E) PSEB was bifurcated into PSPCL and PSTCL on 16.4.2010 and as per provisional FRP/Transfer scheme, and Equity of PSEB of Rs. 2946.11 Crore was also divided between them as Rs. 2617.61 Crore and Rs. 328.50 Crore and ROE was allowed separately as Rs. 366.47 Crore and Rs. 45.99 Crore for PSPCL and PSTCL respectively.
- F) Subsequently, FRP and Transfer scheme was finalized and notified on 24.12.2012 by GOP. In this notification, an amount of Rs.3132.35 Crore standing in the books of PSEB on 15.4.2010 under the head "Consumer Contributions & Govt Grants" and some other amounts was also converted into equity of GOP and the same was admitted by the Commission as well. Thus the equity of PSPCL was enhanced from Rs. 2617.61 Crore to Rs. 6081.43 Crore (Para 3.16 of TO 2013-14) and of PSTCL from Rs. 328.50 Crore to Rs. 605.83 Crore. (Para 3.10 of TO 2013 14). Thus the total equity was increased from Rs. 2946.11 Crore to Rs. 6687.26 Crore.
- G) The conversion of Consumer Contribution and Govt Grants/subsidies was appealed by consumers in the Hon'ble APTEL and accordingly the Hon'ble APTEL directed the Commission to reconsider the issue vide judgment Dated 17-12-2014 in Appeal No 168 and 142 of 2013 as under: -

*"48. ....We direct the State Commission to adjust the excess amount of ROE in the impugned order from the FY 2011-12 onwards in the ARR/ True up for the year to provide relief to the consumers."*

*"Issue No. (iii) Relating to Return on Equity, Consumers Contributions, Grants, Subsidies etc.*

*....*

*50.3 The findings of this Tribunal in Appeal no. 46 of 2014 shall squarely apply too the present case. The State Commission shall re-determine the ROE as per our directions and the excess amount allowed to the distribution licensee with carrying cost shall be adjusted in the next ARR of the respondent no.2."*

- H) The Hon'ble APTEL observed that the Govt. can hold any amount as equity in PSPCL and PSTCL but ROE needs to be granted only on actually subscribed and paid up equity only i.e. cash money which has been infused need to be counted as equity for the purpose of ROE. PSPCL has filed an Appeal against the order in Supreme Court and stay has been granted. Final order of SC is still awaited. However, because of Stay granted by the Supreme Court, the Commission is granting ROE on Rs. 6081.43 Crore to PSPCL and Rs. 605.88 Crore to PSTCL.
- I) The CAG also objected to the conversion of non-interest bearing consumer contribution and Govt grants/subsidies etc into equity.
- J) Subsequently, MOP, GOI introduced UDAY scheme for stressed power sector and PSPCL, GOP and MOP entered into a tripartite agreement as per which PSPCL loans of Rs. 15628.26 Crore were to be taken over by GOP through issue of SLR bonds by banks in the name of GOP and loans were to be taken off the books of PSPCL UDAY scheme was upto 31.03.2020 and PSPCL proposed in previous year's ARR for FY 2020-21 to convert the loan amount of Rs. 15628.26 Crore as GOP equity in PSPCL thereby increasing GOP equity from Rs. 6081.43 Crore to Rs. 21709.69 Crore. It was also proposed to recover ROE on this loan converted equity amount of Rs. 15628.26 Crore for which 15.90% works out to Rs. 2485 Crore in addition to Return on Equity on Rs 6081.42 Crore. Thus, by simply manoeuvring the entry of loan amount to equity, consumers were to be asked to pay Rs. 3423 Crore. This is clearly against the interest of the consumers. However, as per Tariff order dated 28th May 2021 passed by the Commission, claim of such return on equity was rejected by the Commission and ROE was kept the same at Rs.974.74 Crore on equity of Rs. 6081.43 Crore for FY 2020-21.
- K) Instead of agreeing to the decision of the Commission and knowing fully well that the equity amount being not a cash flow does not qualify to be equity for ROE purpose, and being aware of the fact that APTEL has already rejected PSPCL's previous similar attempt and an audit para in this regard is already raised by CAG, Now in current ARR for FY 2022-23 dated 30 November 2021, PSPCL has come out with an entirely new argument for claiming increased equity and higher amount as Return on Equity. it is claimed that out of Rs.15628.26 Crore, Rs.2246.77 Crore were spent on capital expenditure and Rs. 13381.49 Crore were working capital loan, out of which Rs.2346.19 Crore were also diverted towards capital expenditure. As per PSPCL, taking together, Rs.4592 Crore should be treated as equity and return on equity should be now allowed on Rs. 10674 Crore (Rs.6081.43 crore + Rs.4592 crore). The Commission and Hon'ble APTEL have made it amply clear that only cash flow is to be treated as equity for the purpose of ROE, MYT regulations provide that equity should be actually infused for creation of useful assets. Therefore,



there is no case for allowing Return on Equity beyond Rs.6081.43 Crore, which in principle is also under litigation, on which Hon'ble APTEL has decided adversely and matter is in Hon'ble Supreme Court. It is also pertinent to mention that all the assets considered for supply of electricity to the consumers of the States as admitted by the Commission are already accounted for and linked with corresponding source of funding through debts. Hence, there is apparently no case for allowing return on equity beyond the admitted amount of equity.

- L) PSPCL submitted the effect of UDAY Scheme on the ARR of FY 2016-17 vide its letter no 481/CC/DTR/Dy. CAO/245/Vol. 1 dated 12.4.2016 which clearly states that whole of the amount taken over by GOP under UDAY Scheme comprises of debt. Further, the tripartite agreement executed under UDAY Scheme provided that 75% of the amount taken over by GOP will be converted into grant of GOP to PSPCL at the close of the scheme. Further, GOP was to compensate the loss of PSPCL in a graded manner during the period FY 2017-18 to FY 2020-21. However, so far neither any grant has been given by GOP in terms of UDAY tripartite agreement nor any loss compensation has been given/shown in ARR. Thus, PSPCL has failed to get any relief in the form of Grant of 75% of debt or compensation for the losses which would have given relief to the consumers in the shape of lower tariffs but has acted proactively to convert whole of the loan of GOP into equity and claim ROE for the same to load the consumers through higher tariff. The demand needs to be rejected out rightly.
- M) In violation of the UDAY Scheme resolution, the amount of debt of Rs.15628 Crore was converted into equity by PSPCL. As such, return on such debts has been artificially increased by showing it as equity and return sought is almost double as Regulations provide for return on equity @15-16% assuming 70:30 ratio of debt and equity. Even in such case, the amount of equity is to be kept at actual or 30% whichever is lower. Hence, it is the basic tenet that higher return should not be given on equity when it is not infused in cash and debt should not be proposed by PSPCL/allowed by the Commission to be camouflaged as equity with the sole aim of claiming higher return.
- N) It is also highlighted here that as per PSPCL's own admission, the assets created by PSPCL as well as erstwhile Electricity Board/Electricity branch of PWD through debt/loan, consumer contributions and Govt grants etc and not through any infusion of cash equity, there is need to investigate the source of funding of assets created by Discom/Board.
- O) PSPCL has itself admitted that gross fixed assets of GNDTP were created through loans and no infusion of equity was made at any stage. (Reference para 2.20, page 56-57, Tariff Order dated 28th May 2021). The relevant part is reproduced below  
*"The Commission has considered project-wise RoE based on the RoE approved in True-up of FY 2017-18. As PSPCL did not submit project-wise/ plant-wise equity during the True-up of FY 2017-18, the allocation was done based on GFA. Further, PSPCL had submitted project report of GNDTP in which it is mentioned that there had been no infusion of equity in GFA of GNDTP and the same was financed completely through loans."*
- P) The consumer contribution and Govt grants, which have been shown as part of equity (Rs.3135.32 Crore) is also not equity in any sense and the same should be reduced from the equity and taken back to consumer contribution or to be written off for ARR purpose and no return on equity to be allowed on the same. In this regard, MYT Regulations and Hon'ble APTEL decision should be relied upon-when no tangible benefits are given to consumers through equity infusion, the same cannot be burdened with higher interest cost in the garb of return on equity.
- Q) PSPCL has claimed Rs.15628 Crore as equity for previous years and this year, out of it Rs.4592 Crore is claimed as additional equity over and above of Rs.6081.43 Crore and return on equity is claimed on the same for FY 2021-22 and FY 2022-23. Tomorrow, if PSPCL raised loans from some sources, invest and create some capital assets and show the same as equity instead of loan for ARR purpose, how commission would approach the same?
- R) PSPCL has been trying to show higher and higher amount of funds raised through loans as equity to claim higher return on the same in the form of return on equity @15%-16%, which is about 7-8% higher than normal interest loan i.e almost double benefit for PSPCL. While the matter of fact is that all funds invested for capacity creation for supply of power are borrowed funds on which only normal interest is to be paid. The methodology being adopted by PSPCL has been resulting into higher cost of supply year after year, which need to be looked into.
- S) Such a view become quintessential in the light of observations made in the REPORT OF THE FORUM OF REGULATORS ON "ANALYSIS OF FACTORS IMPACTING RETAIL TARIFF AND MEASURES TO ADDRESS THEM" (2020). The report analyzes the mechanism of the tariff fixation in detail and need for bringing modifications to make it more relevant and reduce the

power tariff in different states. In para 2.1.3 of the report, which deals with fixed cost related factors, it is mentioned that

*"A comparison of the RoE allowed by different States for generation, transmission and distribution revealed that the post-tax RoE has been in the range of 14%- 16%. An analysis was also made regarding the prevailing cost of debt and it was found that the lending rate has been on the lower side for quite sometime. While the RoE has an element of risk premium, the data analysis revealed the need for reconsidering the RoE keeping in view the prevailing prime lending rate and 10- year G-Sec rate."*

T) On return on equity, following observations have been made on page 22 of the report in para 4.1.1, which is reproduced below:

**4.1.1. Return on equity allowed to Generation/ Transmission and distribution companies needs to be made more realistic and at par with interest rates.**

- *RoE for generation and transmission should be linked to the 10 year G Sec rate (average rate for the previous 5 years) plus risk premium subject to a cap as may be decided by appropriate Commission.*
- *For a discom, the RoE could be fixed based on the risk premium assessed by the State Commission. Income tax reimbursement should be limited to the RoE component only.*
- *Performance of Distribution licensees has a significant impact on retail tariff for the consumers. Therefore, there is a need to link recovery of RoE with the performance of the utilities, based on the indicators such as supply availability, network availability, AT&C loss reduction".*

**Prayer**

In the light of above observations, it is necessary that return on equity need to be reduced drastically from the present level of 15%-16% to average long term rate of interest on government borrowings (to about 7-8%), linking it with return on government security for 10 years or more.

**Reply of PSPCL:**

As per clause 1.2 of MOU under UDAY scheme, 75% of the PSPCL's debt as on 30.09.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to the MOU, Non-SLR bonds amounting to Rs.15628.26 Crore were issued by Govt. of Punjab and transfer this amount to PSPCL as GOP loan upto FY 2019-20 and on 31.03.2020 converted this loan into equity. Amount of Rs.15628.26 Crore comprise of Rs.2246.77 Crores Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore upto FY 2019-20 being Capex Loans.

The Commission has disallowed the interest on Working Capital Loans used for Capital Expenditure as per annexure attached from FY 2010-11 to FY 2018-19. These Rs.2346.19 Crore Working Capital Loans has been used for Capital Expenditure duly approved by the Commission.

It is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 Crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) has been converted into equity and this loan in the FY 2020-21 and FY 2021-22 does not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20. The ROE has been claimed by PSPCL as per applicable Regulation.

**Commission's view:**

The Commission has taken note of the issue of the Objector. Action will be taken as per the outcome of the matter sub-judice in the Supreme Court regarding conversion of Consumer contribution, grant and subsidies into equity.

**STEEL FURNACE ASSOCIATION OF INDIA (PUNJAB CHAPTER)**

**Issue No. 2: Reduction in equity base by difference of accumulated depreciation exceeding debt repayment.**

The amount of Equity is constant for the last more than 10 years though the Commission is allowing depreciation of 90% of the cost of assets continuously for paying off the debt raised for creation of assets. The asset wise financing of debt and equity and depreciation earned for that asset be ascertained and placed in Public Domain. Further, excess of depreciation reserve over the loan amount paid back should be worked out and reduced from the equity base, if any. In case, there is no equity for the creation of asset, then such excess of depreciation should be used to reduce the costly loan amount raised for capital creation purpose. This would result into lower fixed cost of supplying power to consumers and also reduce the subsidy burden of the Government of Punjab.

**Reply of PSPCL:**

PSPCL's actual capital expenditure has been funded through long-term loans over the past few years from various financial institutions/banks and the depreciation/amortization of the assets created from this financing used to repay the outstanding loans.

Since it is clear from previous tariff rulings of the Commission that PSPCL's equity generated assets are not claimed in any tariff claim for the relevant financial year, thus, there is no contention in the matter of the objector to reduce in equity base as a result of the disposal of the assets.

**Commission's view:-**

The Commission has taken note of the suggestion.

**Issue No. 3: Norms of operation for generating stations**

- a. PSPCL has asked for relying on actual figures for generating stations which are quite old and as such could not meet the parameters given in MYT regulations. In this regard, PSPCL has also relied upon CERC Regulations. PSPCL is also insisting that GGSTP and GHTP plants are kept as backup and generally run during Paddy Seasons to supply power to consumers. PSPCL has also asked for relaxation in PSERC MYT regulations for this purpose. This matter was fully dealt with in Tariff Order FY 21-22 dated 28th May 2021 on page no 82-90, under para 3.7. No new information has been put forward by PSPCL. Hence there is no reason to revisit the approved norms set by the Commission and accordingly power generation and norms thereon need to be trued up as per Regulations.

There are some issues which are related with working of old thermal generation plants in the State, merit order dispatch of power leading to more drawl of power from IPPs, pollution control measures required calling for fresh investment as also asked by PSPCL in its ARR. In this regard, it is submitted that the thermal power generating stations are mainly used as backup capacity and not fully operated throughout the year. Accordingly, the performance parameters would remain sub-optimal and could never meet the norms set by PSERC MYT regulations

- b. At the time of filing ARR, power generation by these thermal plants are projected, which is downwardly revised subsequently and at the time of true up, substantially reduced referring merit order dispatch and other considerations as has been happening in last couple of years.

| Thermal Power projected Vs actual by PSPCL for FY 2019-20 |                    |                |                  |                        |                                        |         |
|-----------------------------------------------------------|--------------------|----------------|------------------|------------------------|----------------------------------------|---------|
|                                                           |                    | T.O. 2020-21   | T.O. 2020-21     | T.O. 2021-22           | 2021-22                                | 2022-23 |
|                                                           | Installed capacity | PSERC approved | PSPCL Submission | PSPCL based on actuals | PSPCL submission in ARR for FY 2022-23 |         |
| GGSS TP                                                   | 4*210=840          | 1868.03        | 1740.35          | 930.69                 | 1651                                   | 2212    |
| GHTP                                                      | 2(250+210) = 920   | 2491.69        | 1628.5           | 807.81                 | 1676                                   | 2218    |
| Total                                                     | 1760               | 4359.72        | 3368.85          | 1738.5                 | 3327                                   | 4430    |

Source - T.O 2020-21, table 6, Page 76

T.O 2021-22, table 12, Page 19

PSPCL ARR, table 31, Page 63

| Thermal Power projected Vs actual by PSPCL for FY 2018-19 |                    |                |                |
|-----------------------------------------------------------|--------------------|----------------|----------------|
|                                                           |                    | T.O FY 2019-20 | T.O FY 2020-21 |
|                                                           | Installed capacity | Projected      | Actual         |
| GGSSTP                                                    | 4*210=840          | 3454           | 1572           |
| GHTP                                                      | 2(250+210) = 920   | 2184           | 2245           |
| Total                                                     | 1760               | 5638           | 3817           |

Source - T.O 2020-21, table 10, Page 20

T.O 2019-20, table 5.10c, Page 156

The above table shows that thermal power generation was approved at 1868 MU for GGSSTP while at the time of true up, the actual (based on audited figures) works out to be 930.69 MU for FY 2019-20. Similarly, the thermal power generation for FY 2018-19 was approved at 3454 MU for

GGSSSTP while the actual thermal power generation works out to be 1572 MU. Surprisingly, the thermal power generation for FY 2021-22 and FY 2023 is again projected at 1651 MU and 2212 MU.

- c. A large amount of working capital is also sought for running these plants and as projections are higher than actual performance, higher working capital is generally allowed, which is trued up subsequently. This can be avoided. Thus, working capital for cost of Coal Stock need to be allowed for 50% capacity for full year instead of 100% capacity for full year.
- d. Substantial amount of investment is being projected to achieve revised norms of pollution by investing about Rs.40-50 lakh per MW to setup FGD. For illustration, PSPCL has claimed Rs.128 Crore for installation of FDG for GGSSTP plants (actuals shall be much higher), which are to remain operational only for 3-4 months in a year.
- e. Besides that, Clean Energy Cess (Rs.400/quintal on coal) is also incurred to generate power through coal in these thermal power generating stations.
- f. Also high transportation charges to bring coal to these thermal plants is incurred. The transportation cost especially railway freight charges have increased drastically in last couple of years. This result into higher delivered cost of coal and higher power generation cost for such plants.
- g. A substantial amount has to be spent on purchasing Renewable Energy Certificates for renewable power obligation for generating coal based power. Further this RPO will go on increasing in the coming years.
- h. Also, some forced power surrender must have happened to keep such plants running while if power is purchase from market, there would be less chances of power surrender related fixed cost.
- i. In actual execution, the power from other sources is shown as cheaper based on Merit Order Dispatch and GGSSTP is kept closed, thus making fixed cost unbearable. The generation and Revenue requirement for PSPCL's thermal plants in the ARR 2022-23 are projected as Under

| GGSSTP Ropar                 |                      |                 |                          |
|------------------------------|----------------------|-----------------|--------------------------|
|                              | 2020-21<br>(True-up) | 2021-22<br>(RE) | 2022-23<br>(Projections) |
| Net generation (MUs)         | 775                  | 1651            | 2212                     |
| Net ARR (Rs. Cr)             | 945                  | 1305            | 1571                     |
| Cost of Generation (Rs/Unit) | 12.19                | 7.9             | 7.1                      |

| GHTP LehraMohabbat           |                      |                 |                          |
|------------------------------|----------------------|-----------------|--------------------------|
|                              | 2020-21<br>(True-up) | 2021-22<br>(RE) | 2022-23<br>(Projections) |
| Generation (MUs)             | 802                  | 1676            | 2218                     |
| Total ARR (Rs Cr)            | 972                  | 1315            | 1633                     |
| Cost of Generation (Rs/Unit) | 12.12                | 7.85            | 7.36                     |

It is evident that these thermal plants serving the Punjab consumers only for 4 months are generating power at unviable rates. The cost of generation for 2021-22 and 2022-23 will be escalated drastically by PSPCL during true up as true up figures for the last two years as under indicate escalating trend:

| GGSSTP Ropar (True up as per ARR)       |         |         |
|-----------------------------------------|---------|---------|
|                                         | 2018-19 | 2019-20 |
| Net generation (MUs)                    | 1573    | 931     |
| Net ARR (Rs Cr)                         | 1296.54 | 991.58  |
| Cost of Generation (Rs/Unit)            | 8.24    | 10.65   |
| GHTP LehraMohabbat (True up as per ARR) |         |         |
|                                         | 2018-19 | 2019-20 |
| Generation (MUs)                        | 2245    | 808     |
| Total ARR (Rs Cr)                       | 1833.66 | 995.84  |
| Cost of Generation (Rs/Unit)            | 8.17    | 12.32   |

- j. Cost of power from the GHTP Lehra Mohabat would reduce due to start of our own coal mine. Also GHTP units are to be run only during peak paddy/summer season when the power demand is maximum and import of power at that time is limited due to available transmission Capacity (ATC) constraints. More over for better Voltage profile control of this area, the operation of thermal units of GHTP is very much required.

Even the MOD being issued by PSPCL/SLDC every month on their web sites also indicate that the real time variable cost of these PSPCL's plants is highest in the merit order for coal based plants.

In fact if these real time variable costs are considered, these plants may not qualify for operations in even those 4 months.

Taken together, above 8 points, it become quite lucid that these old thermal plants cannot be run on efficiency basis and cost of maintaining these power plants is also very high. Given the surplus situation of power in the country and large-scale integration of renewable specially solar and wind capacity under COP 26 obligations, it would be far more imperative to close down such plants and power be sourced from either IPPs within State or through power purchase from outside States preferably from renewable power sources, without comprising on commercial considerations. This would help in bringing down the cost of power generation and leading to overall reduction in cost of supply.

**Reply of PSPCL:**

- a. PSPCL's thermal plants have been used as back up capacity during FY 2019-20 to FY 2021-22 but in FY 2021-22 power requirement increased from these plants also due to non-availability of cheap power in the exchange. With the increased in PLF the generation cost will certainly go down. Also performance parameters will become optimal if PLF increases.
- b. The actual generation for FY 2020-21 is 905.751 MU while in FY 2021-22 up to 22-Feb-2022 (Feb month is still to be completed) 1684.157 MU and still the units are running. The approved generation for GHTP LehraMohabbat by the Commission for FY 2021-22 is 1843.54 MU. As the units are in running condition and March month is still pending so the actual generation for FY 2021-22 would be near to the target given by the Commission.
- c. Maximum need based working capital is sought for O&M of these plants. As actual generation meet the approved generation target of the Commission i.e 1843.54 MU hence working capital sought is justified. Also, coal stock is kept maximum upto 25 days which is absolutely necessary. Usage of coal stock was maximized & it reduced to 7 days from
- d. It is submitted that installation of FGD is a statutory compliance and bare minimum expenditure is being for the installation of FGD. It is also brought out that at present no such capital expenditure is being done on this units. Final decision would be taken in this regard keeping in view the power scenario at that time. The deadline for installation of FGD system for GHTP is 21-12-2024. DSI based FGD system suitable for low PLF plants. Due to less capital investment of around 15 Lac per MW will be installed at GHTP in 2 years.
- e. It is submitted that clean energy cess is statutory in nature and hence cannot be reduced or avoided.
- f. It is submitted that any transportation or freight charges imposed by the Central/State Government is the sole prerogative of that government and PSPCL does not control those charges in any way. Transportation cost is to be paid on actual basis and coal transportation is essential to maintain the coal stock to run the units especially in paddy seasons. Also PSPCL coal mine has almost started and it is expected that the supply of coal from the coal mine would start soon. The total cost of coal including transportation of coal would reduce substantially, which would reduce the generation cost related to GHTP Lehra, Mohabat.
- g. It is submitted that the PSPCL making its earnest efforts to meet its RPO compliance which is in line to the direction received from the Hon'ble Commission from time to time for respective financial years.
- h. Power Purchase for PSPCL is being managed through power procurement from long term, short term and other alternative sources apart from State's own generation. All efforts have been made to optimize the power purchase cost in past financial years. Merit Order Dispatch is strictly being complied to meet the day-to-day power requirement.  
It is quite pertinent to mention here that the MoD is being issued by PSPCL/SLDC every month on its web sites in public domain, therefore, there is no contention in the matter of the objector regarding forced power surrender.
- i. It is submitted that the units of GHTP Lehra Mohabat since last few years continuously run during paddy season which is the peak load time not only in Punjab but almost in whole India. During this time if power would be purchased from the market it would likely be at higher rates. Also, if condition arises, as arisen during FY2021-22 where coal shortage has shaken the whole power

plants across the country due to coal shortage, the power cost would be much higher than the expected.

- j. It is submitted that the power requirement from own thermal generating stations is only during the paddy season, periodic renovations are being carried out at regular intervals with nominal expenditure for better efficiency and to utilize the full span of the units. Moreover, the alternative to replace this with new plants will further result in increase in capital assets cost which will ultimately passed on to the consumers in terms increase in tariff, therefore in order to curtail the extra burden to consumers of Punjab, PSPCL requested to the Commission to continue the running of the thermal power plants of PSPCL.

**Commission's view:**

The Commission has taken note of the suggestion.

**Issue No. 4: Depreciation charges**

The MYT regulation provides that,

*"The value base for the purpose of depreciation shall be the capital cost of the assets admitted by the Commission:*

*Provided that the depreciation shall be allowed after reducing the approved original cost of the retired or replaced or decapitalized assets."*

- i. Full value base is to be considered for the asset on its capitalization, it is to be depreciated for 90% of its value over its useful life and balance 10% is to be reduced from the value base on completion of useful life.

In case of thermal plants, which have completed 25 years of their existence and are still in service for 4 years to 9 years over and above thereon as on 2022, how much is part of the same categorized as 90% depreciated on which no depreciation is to be allowed? Whether such part is being regularly reduced from value base for claiming year wise depreciation? We request the Commission to ask PSPCL and PSTCL to provide the details of the same for all assets.

| Aging Structure of thermal Plants in Punjab |             |                      |                   |         |                        |
|---------------------------------------------|-------------|----------------------|-------------------|---------|------------------------|
| GGSTP-Ropar                                 | MW Capacity | Date of Commencement | 25 Year Completed |         | Above 25 years in 2022 |
| 1                                           | 210         | 26-09-1984           | 2009              | Retired |                        |
| 2                                           | 210         | 29-03-1985           | 2010              | Retired |                        |
| 3                                           | 210         | 31-03-1988           | 2013              |         | 9                      |
| 4                                           | 210         | 29-01-1989           | 2014              |         | 8                      |
| 5                                           | 210         | 29-03-1992           | 2017              |         | 5                      |
| 6                                           | 210         | 30-03-1993           | 2018              |         | 4                      |
| GHTP-Bhatinda (LehraMohabbat)               |             |                      |                   |         |                        |
| 1                                           | 210         | 29-12-1997           | 2022              |         |                        |
| 2                                           | 210         | 16-10-1998           | 2023              |         |                        |
| 3                                           | 250         | 03-01-2008           | 2033              |         |                        |
| 4                                           | 250         | 31-07-2008           | 2033              |         |                        |

Source: PSPCL website

The above is mentioned for illustration purpose but the 90% depreciated assets identification is to be done for generation, distribution and transmission businesses under PSPCL/PSTCL and same should be excluded for calculation of depreciation amount for ARR purpose.

Similar is the case for distribution assets of Discom and transmission assets of Transco on which clarity is required to the stake holders.

- ii. The excess of accumulated depreciation over corresponding debt should be reduced from the equity in line with the recommendations of FOR committee headed by Ex Chairperson PSERC as referred to above and if there is no equity, the same should be reduced from the high-cost debt for interest.
- iii. Fixed assets register should be updated and available for public view. It is submitted that if the same is not available, about 25%-30% depreciation should be disallowed till the compliance is ensured as being done by other Regulatory Commissions like Uttar Pradesh State Electricity Regulatory Commission.

**Reply of PSPCL:**

- i. Depreciation on assets is charged as per MYT Regulation. Excel utility is being used by all accounting units for calculation of depreciation which restricts the amount of depreciation upto 90% of value of asset automatically and doesn't allow depreciation to go beyond 90% in any case. A report named 'List 90' in FAR utility is available which provides detail of assets on which 90% depreciation had been

charged. After going through the FAR it would be clear that no depreciation in excess of 90% value of asset is being charged and list of assets on which depreciation upto 90% of cost of asset has been charged is separately available.

- ii. It is submitted that an M.S. Office (Excel) utility has been designed for preparation of fixed assets registers and calculation of depreciation, which is being used by all field accounting units. Through this utility, uniform assets and depreciation record has been maintained by all the accounting units of PSPCL.
- iii. Further, the process of implementation of ERP system has also been initiated by PSPCL and this work has been awarded to M/s Tech Mahindra Ltd. As such online preparation of fixed assets register will be taken up at the time of implementation of ERP. Sample FAR's of FY 2020-21 has already been sent to your office through email dated 21-12-2021

**Commission's view:-**

Depreciation is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Issue No. 5: Segregation of Accounts for Distribution, retail supply and generation business of PSPCL.**

Erstwhile, PSEB was bifurcated into PSPCL and PSTCL on 16.04.2010 whereby PSPCL was assigned the Generation, Distribution and retail sale components of the business and PSTCL was assigned the Transmission and SLDC business. Since, then the accounts of the PSPCL and PSTCL are being prepared on aggregate basis and ARR is allocated based on normative basis in the ratio of Fixed Assets of each sub business.

The statutory requirement of maintaining separate accounts is being defied with for the last 12 years and the Commission is also accepting the arguments of PSPCL year after year. It is high time that PSPCL should comply with the requirement otherwise, the Commission needs to start penalty recovery from PSPCL.

**Reply of PSPCL:**

The statement of allocation and apportionment of expenses project wise for Distribution and Generation business separately is already being furnished before the Commission which is being prepared by the professional cost accountant and duly certified by the Cost Auditor.

**Commission's view:**

The Commission has taken note of the suggestion.

**Issue No. 6: Subsidized agriculture consumption to be capped**

The power supplied to agriculture sector has been growing consistently at very high rate. Providing the power at the subsidized rate, which is far less than the actual cost of power purchase) will lead to serious financial crisis for the Board and ultimately seriously affects the interest of industrial consumers in the State, which are already reeling under recession. Therefore, it is imperative to cap the maximum amount of power year wise & approved by the Commission that can be supplied to agriculture sector at subsidized rate inclusive of additional connection projected in a year.

**Reply of PSPCL:**

The supply to agriculture tube wells is free as per policy of the Government and capping of the same is at the discretion of the Government of Punjab. Moreover, supply to AP consumers is limited only up to 8 hours that too during the months of June to September for paddy cultivation. As far as supply of power to agriculture category of consumers at cost of supply rate is concerned, the said issue is under the prerogative of the Commission. PSPCL would comply with the directions of the Commission. PSPCL requests the Commission to allow it to recover the legitimate cost of PSPCL claimed in the Petition.

**Commission's view:**

Subsidy to a consumer or a class of consumers is the prerogative of the State Government.

**Issue No. 7: Diversion fund figure to be updated**

The diversion of funds happened in the past need to be continuously updated based on new facts and information. Such exercise is required to ensure that no more funds raised for capital purpose are diverted toward meeting revenue requirement of the Board. For instant, the Commission has been disapproving the excess expenses claimed by the Board in its previous ARR's, which were funded from somewhere by the Board. For illustration, PSPCL in its current ARR in para 3.15.22 mentioned that out of Rs.15628.26 Crore, Rs.13381.49 Crore were working capital loans out of which Rs. 2346.19 Crore were spent on capital expenditure, which is clearly against the norms given in MYT Regulations related to interest on working capital and interest on loan for capital purpose. It may also be added here that an amount of Rs. 15628.26 Crore was identified while signing UDAY tripartite

agreement in 2016 and it took 6 years to bring this fact to the notice of stake holders, that too when its request to grant ROE on this amount was not accepted by the Commission. It is requested that instead of accepting the argument of PSPCL, contempt proceedings need to be started for not providing the correct information on affidavit. A detailed investigation in this regard is also required to work out the exact amount of diversion of funds to be disallowed for ARR purpose to safeguard the interest of the consumers.

**Reply of PSPCL:**

PSPCL has used an aggregate working capital loans of Rs. 2,346.19 Crore towards capital expenditure during the period of FY 2010-11 to FY 2016-17, which have not been considered while allowing the interest on long term loans for addition of fixed assets. The Commission has considered only the long term loans actually taken by PSPCL, without considering the working capital term loans which have been used for creation of capital assets. Moreover, the Commission allows interest on Working capital loans to PSPCL on normative basis. As such, interest on working capital loans used for creation of capital assets is neither allowed on working capital loans nor on long term loans. However, Capital expenditure incurred by PSPCL has been duly acknowledged by the Commission. Therefore, PSPCL has requested the Commission for allowing the same.

**Commission's view:**

The Commission has taken note of the suggestion. The Commission allows ARR components like ROE, Depreciation in line with PSERC MYT Regulations after prudence check.

**Issue No. 8: Sale of surplus power**

The detailed information of surplus power as being provided in the tariff petitions of previous years and even in earlier tariff orders by the Commission is not being provided to stake holders. Comments on inadequate information of ARR are sought much before the reply to deficiencies is provided by PSPCL on its website. Such details include quantum of surplus power, plant wise fixed cost surrender, as part of purchase cost, quantity sold out of state at different rates and other details as the Commission may deemed fit. It is prayed to the Commission that the complete information related to surplus power need to be provided by PSPCL before last date of comments/ public hearing and complete Profit and loss account of surrender power may be given in Tariff Order as well.

**Reply of PSPCL:**

All data regarding quantum of sale of power, amount recovered has been duly provided already.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue no. 9: Voltage Rebate for 66 KV consumers:**

T&D losses for 66 kV consumers as per Open access Regulations worked out in TO for FY 2018-19 are 4.28% for 2018-19 against total T&D losses of 14%.

In addition to T&D loss, the 66 KV consumer has to be compensated for the investment and operating cost of the 66/11 KV transformer and switchyard. The voltage wise cost of supply worked out by PSPCL in the Reply to Deficiencies (Page 183) for FY 2019-20 for 66 KV industry is Rs 5.77 and for 11 KV industry as Rs 6.59 indicating a difference of 82 paisa per unit. However the rebate being given to consumers connected at 66 KV is only 25 paisa per unit. Voltage rebate need to be enhanced appropriately and fixed in percentage terms as per pattern of Voltage Surcharge being charged on percentage.

Since Voltage Surcharge for consumers eligible for 66 KV but getting supply at 11 KV have to pay 10% Voltage Surcharge, Similarly, Voltage rebate for 66 KV consumers should also be 10%.

**Reply of PSPCL:**

Increasing Voltage rebate will cause reduction in revenue, so it is requested that while considering to fix the voltage rebate in commensuration with cost of supply or on percentage basis as demanded by the objector, the Commission may keep in mind the financial interest of PSPCL and allow PSPCL to recover legitimate cost claimed in the Petition.

If revenue of PSPCL is reduced due to more HT Rebate, then Tariff for any other category will have to be increased to compensate for the said revenue loss which may further lead to disturbance of Cross Subsidy levels.

**Commission's view:-**

The Commission has taken note of the suggestion.

**Issue No.10: Fix industrial Tariff as per category wise cost of supply**

The Board has submitted the category wise cost of supply. It is prayed to the Commission to reduce the cross subsidy burden on LS consumers and fix the tariff as near to the COS as possible. Based on category wise cost of supply, tariff of the LS consumers may be rationalized and tariff for



subsidized class may be increased. Category wise cost of supply basis have been fixed many years back and the same should be revisited to revise the assumptions for working out the category wise cost of supply.

#### **Reply of PSPCL:**

Factors such as slab and category wise tariff rates, cost of supply, cross subsidy etc. are in the purview of the Commission, keeping in view Electricity Act, 2003 and provisions of the PSERC Tariff Regulations and Acts. The cross-subsidization factor/cost of supply is always taken care of by the Commission. Further, Clause 8.3.2 of Tariff Policy states as under:

*“8.3 Tariff design: Linkage of tariffs to cost of service*

*2. For achieving the objective that the tariff progressively reflects the cost of supply of electricity, the SERC would notify roadmap within six months with a target that latest by the end of year 2010-2011 tariffs are within  $\pm 20\%$  of the average cost of supply. The road map would also have intermediate milestones, based on the approach of a gradual reduction in cross subsidy....”*

As given in the Tariff Policy, there has to be gradual reduction in cross-subsidy, keeping in view the interest of Utility. The Commission has always endeavored to reduce the cross subsidy as provided under the Electricity Act, 2003 and the Tariff Policy.

Further, if cross subsidy burden on LS consumers is reduced then Tariff for any other category will have to be increased.

#### **Commission's view:**

The Commission has taken note of the suggestion.

#### **Issue No. 11: T&D losses**

In Tariff order for FY2020-21, the Commission had approved distribution loss target of 11.54% for FY 2019-20 as reported in para 3.2.1, page 78, T.O. dated 28th May 2021. Based on that distribution target were fixed at 11.24% (2020-21), 10.94% (21-22) and 10.64% (2022-23) for subsequent years. However, the actual were found to be quite higher and also keeping in view COVID period, the distribution loss target were kept at 12.94% for FY 2020-21. The PSPCL even could not achieve the same and reported losses at 12.99% for FY 2020-21, based on actual. This was done by inflating the agriculture consumption from 11743 MU as approved by Commission to 13051 MU. Further, for FY 2021-22, the distribution losses approved by the Commission in Tariff order dated 28th May 2021 were considered but only after increasing the agriculture consumption to 11956 MU against approved agriculture consumption of 11931 MU. This clearly shows that the targeted T&D losses are accepted only by increasing the agriculture consumption than approved by the Commission. Therefore, it is prayed to the Commission to approve only reasonable T&D losses by keeping agriculture consumption well within approved range.

Also, pertinent to note that in chapter 6: Status of Directive Compliance, mentioned on page 97 of the current ARR, it is clearly conceded by PSPCL that wide spread theft has been the major bane for higher distribution losses. Major culprit areas were Border, South and West of Punjab. On page 98 of the ARR, Commission observations are also indicating in this direction that against 11.54% distribution losses, PSPCL has achieved 14.35% distribution losses in FY 2019-20. Therefore, it submitted that burden of higher distribution losses were not of technical nature but are of commercial in nature and consumers should not be burdened with them and T&D losses level should continue to be fixed on trajectory adopted by Commission by capping agriculture consumption for true up of FY 2020-21 and projections for FY2021-22 and FY 2022-23.

| <b>T&amp;D Loss Trajectory</b> |                 |              |
|--------------------------------|-----------------|--------------|
| <b>FY 2020-21</b>              | <b>Approved</b> | <b>PSPCL</b> |
| Agriculture Consumption (MU)   | 11743           | 13051        |
| Distribution losses (%)        | 12.94           | 12.99        |
| Transmission losses (%)        | 2.48            | 2.3          |
| <b>FY 2021-22</b>              |                 |              |
| Agriculture Consumption (MU)   | 11931           | 11956        |
| Distribution losses (%)        | 12.34           | 12.34        |
| Transmission losses (%)        | 2.46            | 2.46         |
| <b>FY 2022-23</b>              |                 |              |
| Agriculture Consumption (MU)   |                 | 12255        |

| <b>T&amp;D Loss Trajectory</b>                                         |                 |              |
|------------------------------------------------------------------------|-----------------|--------------|
| <b>FY 2020-21</b>                                                      | <b>Approved</b> | <b>PSPCL</b> |
| Distribution losses (%)                                                | 12.04           | 12.04        |
| Transmission losses (%)                                                |                 | 2.44         |
|                                                                        | T.O 2020-21     |              |
| <b>FY 2019-20</b>                                                      |                 |              |
| Distribution losses (%)                                                | 11.54%          |              |
| Transmission losses (%)                                                | 2.50%           |              |
| <i>Source: ARR for FY 2022-23 and Tariff order dated 28th May 2021</i> |                 |              |

**Reply of PSPCL:**

- AP consumption in Punjab is highly dependent on rainfall, depth of water table and on the date of commencement of paddy plantation. In the state of Punjab all feeders supplying energy to agriculture consumers have been segregated (except for some feeders in the Kandi belt) and energy pumped to all AP feeders is metered. PSPCL is using an online system to record AP feeder energy readings, where data is submitted by concerned Sr XEN Grid Maintenance. Same data is shared on a monthly basis with the Commission and Punjab Government. The AP consumption is evaluated after allowing distribution losses as allowed by the Commission. Hence the system of computing AP consumption is very transparent and is scrutinized by the Commission in every tariff order.
- PSPCL is making strong efforts to curb power theft despite of stiff resistance being faced by PSPCL from local public and various kisan unions. Sometimes PSPCL employees have been Gheraoed and Manhandled by the public during checking of connections. Even some of the PSPCL employees were seriously injured and hospitalized during these incidents. Inspite of this, PSPCL always endeavors to curb power theft in these areas.
- PSPCL has planned to install smart meters throughout Punjab. Till date around 50,000 smart meters have been installed. Billing through smart meters shall help in increasing billing efficiency, reducing losses and controlling theft.
- Recently billing of 97 towns has been shifted to an online billing system due to which the billing cycle will reduce and billing errors will be minimized, thus increasing billing efficiency and reducing losses.
- Regular maintenance of the system is being done to improve reliability, increase power consumption and reduce losses. Special DPR have been prepared for carrying out re-engineering of Category-2 Industrial feeders so that maximum energy sale & revenue can be extracted from high revenue industrial consumers by reducing power outages

**Commission's view:**

The Commission has taken note of the suggestion.

**Issue No.12: Power purchase cost**

The power purchase cost should be subject to approved T&D loss by the Commission for FY 2020-21 onwards. It is submitted that previous years expenses should be dealt separately and no expenses can be allowed in ARR simply due to reason that it is actually incurred. For part of ARR, it should be approved also by the Commission. Therefore, only after taking out of such exaggeration, the power cost should be approved.

GOP has already passed the Act to cancel the power purchase agreements of costly power. PSPCL should ensure that no costs relating to such PPAs are passed on to consumers. These IPPs will file civil suits in appropriate courts against the termination. The Commission should ensure that consumers are ring fenced appropriately and damages payable by PSPCL in case the termination is set aside by the courts are not passed on to consumers.

**Reply of PSPCL:**

It is submitted that previous year payments are claimed as per PSERC Regulations

**Commission's view:**

The Power Purchase is approved by the Commission in-line with the provision of the prevailing MYT Regulations after prudence check.

**Issue No. 13: Excess capital expenditure incurred than approved**

In para 2.10 of current ARR, PSPCL has claimed higher capital expenditure of Rs. 1992.23 Crore against Rs. 1700 Crore approved by the Commission in its Tariff Order FY2019. We have some observations in this regard

- i. As GGSSTP plant is very old and need to be retired, no further capital expenditure should be sanctioned for it especially for FGD. Similarly, any such expenditure on GHTP should be spent keeping in view its future life as two units of the plant would be reaching 25 years of operation in 2022/2023.
- ii. As per audited annual accounts for the period 1/4/20 to 31/3/2021, page 23, consumer contribution has increased from Rs. 3438.87 Crore in FY 2020 to Rs. 3558.35, i.e by Rs.145 Core in FY2020-21. It is to be seen that whether the same is reduced from the capital expenditure requirement of PSPCL depicted in ARR for FY 2020-21 or not. The same should be reduced.
- iii. In hydel project construction, Rs. 273.09 Crore are shown as expenditure for FY21 in para 2.10.3 of the current ARR as payment made to water resource department. It is also mentioned in previous petition that most of the funds are spent on Shahpur kandi project. In our view, Shahpur kandi project is an irrigation cum power project. If it is so, then the total capital expenditure is to be divided between irrigation department of the Punjab Government and PSPCL suitably. As per a news-report, the project is aimed to produce 206 MW power and irrigate 37173 hectare land. The civil work is to be done by irrigation department of Punjab Govt. and PSPCL has to do only electro and mechanical work of power plant portion only as per Punjab Government notification. Therefore, it is to be ensured that a fair allocation of total expenditure is done between Irrigation department and PSPCL. (ref, Times of India, 9th Sept 2018). Hence, the amount claimed by PSPCL of Rs. 273.09 crore should not be allowed for ARR purpose.

Only such cost of capital expenditure in terms of depreciation, interest and finance charge etc. should be passed on to the consumers of electricity in the State, for which benefits start flowing and remaining should not be allowed as a part of the ARR. The same approach need to be adopted for FY 2021-22 and FY 2022-23.

**Reply of PSPCL:**

- i. Although all the units of GGSTP has almost outlived its useful life of 25years. However, PSPCL has witnessed huge power demand during paddy seasons. Due to transmission constraints GGSTP units are made to run during paddy season to meet this huge demand. This scenario is likely to continue in near future. Further it is brought out that installation of FGD is a statutory compliance and bare minimum expenditure is being done for the installation of FGD. It is also brought out that at present no such new capital expenditure is being done on these units. Expenses on FGD for GHTP are required to meet with Statutory requirement to meet with pollution norms and Other expenses are done as minimum for operation and Maintenance of the plant.
- ii. Various contributions received are accounted for in ARR while working out the net loan requirement for funding of CAPEX.
- iii. CWC/ CEA vide No. P. 12014/1/2015-SPR/7261-81 dated 19.12.2018 has approved the revised cost of Shahpurkandi Power Project at Feb, 2018 Price Level as Rs. 2715.70 Cr. Beside this, the interest during construction approved by CEA is Rs. 429.81 Cr and apportioned the amount between power and Irrigation Department. Govt. of Punjab vide its letter dated 21.08.2018 has concurred the cost apportionment as 71.39% for Power Component & 28.61% for Irrigation Component. Accordingly, the cost of Power Component works out to be Rs. 1938.74 Crore & cost of Irrigation Component works out to be Rs. 776.96 Crore. Thus, PSPCL's total share in this Project is Rs. 2368.55 Crore (1938.74 + 429.81 ) and PSPCL has been tied up for loan amounting to Rs. 1894.84 Crore with PFC.

As per cost apportionment above, PSPCL had incurred the expenditure amounting to Rs. 273.09 Crore (including IDC of Rs. 151.07 Crore) during FY 2020-21 towards Power Component. WRD had incurred expenditure to the tune of Rs. 114.69 Crore during FY 2020-21 against Irrigation component from its own sources which is not claimed/ included in this petition. Only the expenditure incurred towards power component is claimed in this petition.

**Commission's view:**

The Objector may note the response of PSPCL. The Commission allows the expenditure after prudence check.

**Issue No. 14: High interest and finance charges**

## i. Interest on working capital loans

The Commission has approved Rs. 128 Crore for FY 2020-21 and Rs.138 crore for FY 2021-22 in tariff order dated 28th May 2021. Against this, PSPCL has claimed interest on working capital loan at Rs.686.74 Crore for FY2020-21 as per para 2.17 of the current ARR. As per PSPCL higher interest cost is due to higher working capital requirement and higher interest cost of 10.13% against approved rate of interest at 9.43%. Therefore, it is submitted that interest on working capital loan should be approved as per MYT regulations for FY 2020-21, FY 2021-22 and FY 2022-23.

## ii. Interest on loans other than working capital loans

The capital expenditure approved by the Commission for FY was 1712.89 crore as per para 2.10.1 of the current ARR. Against it PSPCL has incurred Rs. 1417.60 crore. Therefore, the interest on loan should be less than approved by the commission on this account. Nevertheless, we submit to Hon'ble Commission to look into the details and approve interest on long term loan as per MYT regulations only and on approved part of the total loans taken by PSPCL rather than as appearing in its balance sheet and claimed by PSPCL.

**Reply of PSPCL:**

i. PSPCL avails the working capital loans to meet with its working capital requirement due to non-receipt of Government dues, non-receipt of timely subsidy from GOP and due to cash losses of PSPCL. In the current ARR, PSPCL has claimed the interest of Rs. 686.74 Crore on working capital loans on the basis of actual loans availed by PSPCL. However, the Commission allows the same in tariff order on normative basis.

ii. Earlier the Commission has approved the capital expenditure of Rs.2504.96 Crore for FY 2020-21 which has been revised to Rs.1712.89 Crore (Provisionally). PSPCL has incurred the capital expenditure of Rs. 1417.60 Crore during FY 2020-21. The Commission allows the interest on capex loans on the basis of actual expenditure incurred by PSPCL after deducting the amount of Consumer contribution received during the year.

**Commission's view:**

Interest and Finance Charges are determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Issue No. 15: Employee cost**

Employee cost is growing consistently and though it cannot be capped due to manifold reasons, only reasonable cost be passed through ARR and remaining must be taken over by Government as PSPCL employees are government employees and must get their dues as per Government rules and regulation, but the same should not be used as an excuse to increase the ARR and cost of power for consumers.

The employee cost as per audited balance sheet is shown as Rs. 4808 Crore for FY 2020-21, which has been projected to grow at Rs. 5269 Crore and Rs.5552 Crore for FY 2021-22 and FY 2022-23, which seems to be quite on higher side. PSPCL projecting new recruitment of 2327 employees in FY 2021-22 and 2632 employee in FY 2022-23. It is humbly submitted that the same should be closely scrutinized. Further, it is also submitted that GGSTP should be closed and manpower of the same should be adjusted. This would also help to some extent to bring down the employee cost.

PSPCL has allowed some pay benefits to its employees due to the agitation started by unions in Nov-Dec 2021 and PSPCL is bound to approach the Commission for its pass through in tariff. Further, huge arrears are payable to the employees due to implementation of Pay Commission Report. There needs to be justification of such increases as these are much above to GOI pay package. Such demands needs to be thoroughly scrutinized and only justified costs need to be passed on to the consumers. PSPCL has also not informed about the disposal of two units of GGSSTP Ropar. PSPCL projections for GGSSTP Ropar are extracted as under:-

| Year          | 2017-18 (TU)                             | 2018-19                    | 2019-20                    | 2020-21                    |
|---------------|------------------------------------------|----------------------------|----------------------------|----------------------------|
|               | <b>Rs. Cr. (Table No.) of TO 2019-20</b> | <b>Table 26 of MYT ARR</b> | <b>Table 53 of MYT ARR</b> | <b>Table 86 of MYT ARR</b> |
| Employee Cost | 306.18                                   | 335.51                     | 359.81                     | 381.89                     |
| R&M and A&G   | 61.05                                    | 54.04                      | 34.13                      | 49.06                      |
| Depreciation  | 19.46                                    | 34.84                      | 35.14                      | 35.72                      |
| ROE           | 70.16                                    | 83.95                      | 83.95                      | 86.41                      |

The above shows that inspite of having retired 2 units, the expenditure is being booked at the same level which needs to be disallowed. Assets of two units be sold immediately and the sale proceeds of 2 units of Ropar be used to repay the capital loans so that consumer get some relief.

**Reply of PSPCL:**

Employee cost is being projected based on the applicable regulation of PSERC MYT Tariff Regulations, 2019 and the Commission is allowing the same after the prudence check. PSPCL has not considered the impact of 6<sup>th</sup> Pay Commission in its employee cost in the current Petition, however, the same needs to be considered and approved on actual basis along with carrying cost as and when it is applicable.

**Commission's view:**

Employee Cost is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Issue No. 16: Overdue receivables**

In chapter 6: Status of directive compliances, page 125 of the current ARR, it is stated that there are outstanding dues of Rs. 4631.68 Crore and out of which Rs. 2181.61 Crore is due towards Government department. We opined that prepaid meters be installed in government offices. However, as far as outstanding from Government office is concerned (Rs.2181.61 Crore), the same should be deducted from the Government loans given to PSPCL or the Government equity be reduced by Rs.2181.6 Crore plus due interest for delayed payments and return on equity be reduced by the same amount. This should be left to the government as how to deal with these outstanding amounts of various government offices.

Similarly, a detailed MIS system be developed to track such accounts where power is regularly supplied but payment is not received. Such account holders may be pursued suitably to pay due bill amount to PSPCL. Honest consumers should not be made to suffer through higher tariff for such lapse of GOP/PSPCL

**Reply of PSPCL:**

Since most of the Govt. Departments are covered under the Essential Services as such the electricity connections of these connections are not being disconnected by PSPCL in general, because it may have a very severe impact on the public of the area. Moreover, Govt. of Punjab has declared to deposit the amount of outstanding dues of Water Supply Schemes of Rural areas and is expected to be deposited shortly. PSPCL is striving hard to recover the same and rest of the outstanding dues from Govt. departments. In case of Department of Local Government, due amount of electricity bills is also adjusted toward Municipal Taxes (Which is collected from PSPCL consumers on Behalf of Local bodies).Further, PSPCL officers are regularly in contact with the concerned department of GOP to pursue them to clear outstanding dues of PSPCL.

**Commission's view:**

The Commission has taken note of the suggestion.

**Issue No. 17: Security (Consumption)**

Presently interest on Security is at RBI rate which is only around 4% whereas working capital loan is taken at 8-9%. There is provision of pre-paid meter in Supply Code. PSPCL should spell out the road map for introducing Pre Paid meters for industry. If PSPCL is not ready, then consumers be allowed the facility to submit Bank Guarantee for Security (Consumption) and the cash deposited for Security be refunded. MOP has also issued directions to install Smart meters with prepaid facility for all industrial consumers by March 2023. As such trajectory to achieve the installation of pre-paid meters on industry be finalized.

**Reply of PSPCL:**

As per Supply review panel meeting held on 18.02.21 on matter regarding interest on security (reg17.1) panel was of view that security amount cannot be equated with a fixed deposit rather it was a security against sale of a good i.e. electricity on credit and most of states allow interest at RBI Bank rate only. It has been intimated by various meter manufacturers that no technology is available in pre-paid meters with disconnection features in case of LT CT meter (which are generally used for sanctioned load/demand of 25 kW/kVA and above) and HT meters (which are generally used for sanctioned load/demand of 100 kW/kVA and above plus stone crushers, rice shellers etc). Therefore, pre-paid meters cannot be procured for LS consumers & majority of MS consumers.

PSPCL has placed a Purchase Order no. M-148/MQP-145 to M/s. HPL Electric & Power Ltd. for procurement of 96,000 three phase whole current smart meters. The first lot of these smart meters has been received by PSPCL. These meters are to be supplied in 6 months with per month supply of

16,000 meters and all of these are to be installed within a period of one year. PSPCL had also floated tender enquiry for procurement of pre-paid meters.

**Commission's view:**

The Objector may note the response of PSPCL. Appropriate directives in this regard have been issued by the Commission.

**Issue No. 18: Aligning steel furnace tariff with general industry post implementation of Harmonics Regulations**

The tariff of steel furnace industry should be kept at par with general industry when harmonics standards are implemented in the State of Punjab. It is chiefly due to harmonics disturbance to the system, the tariff of steel industry is kept higher than general industry.

**Reply of PSPCL:**

Procurement of Power Quality Meters, necessary training for installation, retrieval and analysis of power quality data and shortlisting the manufacturer(s) of Power Quality Meters is yet to be done by PSPCL and the list of designated consumers who have to comply with the provisions of Regulation 24.4 of Supply Code-2014 is yet to be supplied by PSPCL's field offices. Subsequently, comprehensive proposal for levy of suitable penalty for injecting harmonics above the permissible limits as specified in Supply Code-2014 may be prepared by PSPCL after obtaining the list of designated consumers from PSPCL field offices.

**Commission's view:**

The Commission has taken note of the suggestion.

**Issue No.19: Revenue surplus situation exist for PSPCL for FY 2020-21 and FY 2021-22**

PSPCL in its Balance sheet has shown net profit of Rs. 1446 Crore for FY 2020-21. Keeping in view the fact that balance sheet is based on actual figures, even after removing of return on equity element as MYT regulations of Rs.975 Crore, there is still surplus of Rs. 471 Crore, even as per audited balance sheet, which is generally far more than approved expenses. Accordingly, the approved ARR is likely to generate a net profit for PSPCL for FY 2020-21. However, PSPCL has shown a net profit of Rs. 4 Crore for FY 2021-22. Even adding back excess interest and finance charges and interest on working capital claimed (Rs.467 Crore) and return on equity by Rs.709 Crore (Rs.1684-975), there is surplus of Rs.1176 Crore.

Besides that there would be more items excess claimed by PSPCL. Similarly FY 2022-23 would also generate surplus rather than any deficit. In this regard, it is submitted that there is a strong case for reduction of tariff for all categories of consumers, within which tariff of those consumers should be reduced more who are subsidizing other categories of consumers.

**Reply of PSPCL:**

Although the Return on Equity is a statutory requirement, unless a fair return on investment is not allowed to utility, it would not be possible for distribution utilities to undertake adequate fresh investments, even when the utility financed by government owned financial institutions or support from state government in form of loans, as the utility is expected to earn a fair return on equity for creating fixed assets. Therefore, denying any return on equity is to negate the commercial principles of corporate governance and adversely impact the long-term viability of any distribution utility.

As per PSERC MYT Tariff Regulation, 2019 various components of other income as shown in annual audited accounts which is based on accrual basis is not a tariff income to PSPCL which needs to be deducted from revenue from sale of power while determining net revenue requirement for respective financial year and the same is being considered by the Commission after prudence check while determining tariff for the ensuing year.

**Commission's view:**

Various components of the ARR to work out the Revenue Gap are determined by the Commission in-line with the prevailing MYT Regulations after prudence check and all surplus /deficit are accounted for during true-up.

**Issue No. 20: Subsidy to agriculture sectors and other sectors**

Subsidy to agriculture and other sectors should be calculated as per approved figure of sale for FY 2020-21, FY 2021-22 and FY 2022-23. Delayed payment of subsidy by Government of Punjab should be worked out accordingly along with interest thereon as a financing cost. Sample audit of working calculations of the subsidy claimed by PSPCL in the consumer bills being issued by PSPCL to cross verify the claims specially for night period claims for industrial consumers be conducted.

**Reply of PSPCL:**

PSPCL has worked out the slab-wise category-wise subsidy for the applicable category-consumers based on the notification of Government of Punjab and revised estimated revenue from sale of power from the respective category of consumers for FY 2021-22 & FY 2022-23.

Delayed payment of subsidy is being claimed under Non-Tariff Income in line to the working approved by Commission for truing-up of FY 2020-21. It is requested to the Commission to consider the same.

**Commission's view:**

The Objector may refer the Tariff Order where all these issues are already dealt with.

**Issue No. 21: Continue with threshold consumption rebate**

As per PSPCL ARR, table no 1, page 26, there is increase of about 7% in power consumption in FY 2020-21, based on audited figure. Keeping in view the same, it is requested that threshold consumption rebate should be continued for FY 2022-23. However, threshold consumption rate is calculated based on surrender power cost and other related variables to make it attractive. However, PSPCL is proposing threshold rebate at Rs.4.86/unit, in its replies to deficiencies, (refer page 40), which should not be accepted and calculation of the same should be shared with public also as well as provided in Tariff Order also.

**Reply of PSPCL:**

The Commission in the Tariff Order for F.Y. 2021-22 has decided to continue with its policy of encouraging the industry in promoting the productive use of surplus power by offering lower rate of energy charge for consumption of power exceeding the threshold limit. The applicable reduced energy charge for FY 2021-22 are Rs. 4.86 per kVAh, with other terms and conditions remaining the same. Further, PSPCL had proposed to continue threshold rebate with existing provisions but nothing has been proposed regarding fixing/continuing the same at the existing rate of Rs. 4.86/unit as determination of Tariff, rebate or surcharge is a prerogative of the Commission as per the Electricity Act 2003

**Commission's view:**

Suggestion noted. The Objector may refer the Tariff Order for further details.

**Issue No. 22: Time of Day Tariff (TOD)**

PSPCL has proposed TOD tariff to be started from 16<sup>th</sup> October 2022 against 1<sup>st</sup> October 2022. It is argued by PSPCL in its replies to deficiencies on page 40 that irrigation demand for certain varieties of Paddy remain till 15<sup>th</sup> October. Therefore, TOD date to be postponed till 16<sup>th</sup> October. It is matter of fact that TOD tariff is discontinued from 1<sup>st</sup> June of each month while the supply to agriculture sector is started from 13<sup>th</sup> June (since last 2 years). Therefore, the TOD for summer months should continue till 12<sup>th</sup> June also.

Moreover, the TOD tariff period cannot be micro managed to cover all the varieties of the rice sowing period and linked with the majority Paddy season. Keeping in view this fact,

- i. The current regime of TOD should continue as it is
- ii. If the TOD date is extended from 1<sup>st</sup> October to 15<sup>th</sup> October, then TOD date should also be extended to 13-15<sup>th</sup> June against 31<sup>st</sup> May of each year because of reason explained above.

**Reply of PSPCL:**

PSPCL has proposed amendment to the TOD tariff that during the month of October facility of the ToD tariff should start from 16<sup>th</sup> October instead of 1<sup>st</sup> October for the next year Tariff order 2022-23 due to the following reason: -

*"As observed from last few years, the paddy season invariably spills over till about 15th October, due to certain varieties of paddy whose irrigation demand remains till 15th October."*

Therefore, the Commission is requested to consider the above proposal.

**Commission's view:**

Suggestion Noted. The Objector may refer the Tariff Order.

**Objection No. 9: Induction Furnace Association of North India (Regd.)****Issue No. 1: Special Night Tariff for Industries**

- A) The Commission allowed the industry opting for Special Night Tariff to operate on round the year basis in TO of FY 2020-21 and TO FY 2021-22 (instead of only 8 months of non-paddy period permitted in 2019-20) which has helped the steel furnace industry to continue operations during the still persisting Covid era and compete with the other states. However, the TO also provides that *"a maximum of 10% of total units consumed during night hours (10:00 PM to 6:00 AM next day) in a billing period can be availed during the period of 10:00 AM to 10:00 PM)".*

Thus the electricity consumed during 6 AM to 10 AM at full tariff is not being counted for capping purpose which is leading to operational problems for the industry opting for the night tariff. Since increase of day consumption even by one unit will deprive the consumer to avail the special tariff, it is utmost important to keep accurate account of the meter readings at 6 AM, 10 AM and 10 PM. Since the senior persons leave the factory after planning the operations between 10 to 10.30 PM every day, meter room has to be accessed by junior persons for noting down the meter reading at 6 AM which is very risky. Further, for a night consumption of 19,200 KVAH (2400 KVA\*8 Hours of night period for furnace of 2500 KVA), allowed consumption during 12 hours of the day works out to only 1920 KVAH for 12 Hours of the day i.e. 160 KVAH per hour which is much less than the requirement to

- Operate two cranes simultaneously for stacking and unloading of scrap/loading of manufactured material from/to trucks,
- Operate scrap cutting machines/slag grinders etc,
- Lighting load during evening hours prior to 10 PM,
- Carry out maintenance work in the factory, and
- Meet the load of offices/canteen/security huts/rest room etc for lighting, computers, tube well, fans/AC and Heaters etc.,
- Sometimes, furnace has to be operated for extended hours to extract the metal which gets solidified in the furnace due to tripping from PSPCL grid, defect in the machinery/ rectifier transformer etc and to keep on waiting for next night period is more disastrous.

Under these circumstances, any error in limiting the units to 10% of total consumption of the month on the date of reading causes huge financial distress for the factory as full rates are charged for that month whereas manufactured material is already sold assuming reduced tariff.

In the ARR 2021-22 last year it was requested to increase this limit but the same was not agreed to as the demand was projected as 10% of night consumption plus 15% of morning consumption as is evident from Para 4.3 of TO 2021-22,

Though the Commission has allowed full operation of factories during morning hours of 6 AM to 10 AM at full Energy Charge, but the units consumed during morning hours are not being counted for working out the eligible consumption for day time. We therefore request that either the cap be increased to 15% OR the morning consumption be also included for working out the 10% consumption during day hours.

#### **Reply of PSPCL:**

On demand of the industrial consumers, the timing of the night category has already been extended by 4 hours i.e. from 6 AM to 10 AM for the whole year vide Tariff order 2020-21 & continued vide Tariff order for FY 2021-22. Accordingly, earlier during 06:00 AM to 10:00 PM (i.e. in 16 hours), there was restriction to consume 10% of units consumed during night hours, but now restriction to consume the same is only from 10.00 AM to 10.00 PM (i.e. in 12 hours) in a billing cycle. So, some relief has already been given to night tariff consumers, therefore, present provisions may be continued for next tariff order.

**B)** As per Condition No 22 of Annexure A (Terms and Conditions of tariff) of T. O, the notice period to opt for the Special Night Tariff is one month which was earlier 7 days (copy enclosed). Under the present market conditions where the viability changes very fast, one month period is quite a long duration. It is also in the interest of PSPCL to allow hassle free and fast change over as flattening of load curve is need of the hour on round the year basis. It is therefore requested that this period be reduced to one week.

#### **Reply of PSPCL:**

It is not feasible for PSPCL to decrease the advance notice period from 30 days (as per Tariff Order 2021-22) to 7 days for switching from Normal Tariff to exclusive night tariff as various uncertainties exist for PSPCL like market conditions, change in overall Power demand of state due to weather changes and other reasons.

#### **Commission's view:**

The Commission has taken note of the suggestion. Also, the Objector may refer the Tariff Order for further details.

#### **Issue No. 2: Tariff Related Issues**

PSPCL in its replies to deficiencies dated 24.12.2021 has submitted its views on Tariff Related Issues in Annexure 2. Vide Para 3 of Annexure, Prayers of PSPCL and comments on thereof are as under: -

- (i) Start of Special Night Rebate from 16<sup>th</sup> of Oct instead of 1<sup>st</sup> Oct of the year
- (ii) Either levy higher rate of energy for the period 7 AM to 10 AM or limit the usage of power from 6 AM to 7AM only



Special Night Rebate was introduced in FY 2018-19 with usage of power during 8 hours of night only for the period 1<sup>st</sup> Oct of the year to 31<sup>st</sup> June of next year i.e. excluding the paddy period. However, no industry opted for the same as industry has to operate for minimum 12 hours in a day on viability issues. On the persistent demand of Industry, with the concurrence of PSPCL, this was extended for 12 continuous hours i.e. during night hours on reduced tariff and on full tariff for 4 morning hours.

The proposal very clearly indicates that the additional demand during first two weeks of October is from the agriculture sector due to delayed harvesting of paddy during FY 2021 season. Further, the morning demand during Dec to January is due to domestic sector using lighting, geysers and heaters etc. However, to accommodate these two sectors, Industry is being asked to make sacrifices which is totally unfair.

It is reiterated that the industry will opt for the Special Night Tariff only if it is allowed to operate for minimum period of 12 hours on continuous and round the year basis. Further, the extra load during first two weeks of October is a rare happening this year and may or may not be repeated in future.

Rate of power at power exchanges are very volatile and there is no pattern of rates and availability of power. It cannot be assumed that the rates this year will be necessarily followed next year as well. Moreover, there are only about 70 to 80 consumers availing this tariff and restricting such a small number will not give any countable relief to PSPCL.

Under special Night tariff, industry is benefitted only for fixed charges since night rebate is available to all industries whether they opt for it or not. Taking away such benefit thro extra levy on morning consumption or through reduction in working hours / admissible days will make the whole package unattractive.

PSPCL be asked to look for some other alternatives rather than targeting the industry for problems not created by industry.

#### **Reply of PSPCL:**

It is submitted that the proposal regarding Exclusive Night Tariff (in the Special night tariff, the normal tariff hours i.e. 06.00 Hrs up to 10:00 Hrs be limited from 06.00 Hrs up to 07:00 Hrs only. Still in case present terms and conditions for normal tariff hours are to be continued, some premium over and above normal tariff may be charged from the consumers opting for the same especially for the months of December and January.) was given due to the reason that during months of December to February during the morning peak hours of 7.30-10.30 hrs foggy weather coupled with delayed availability of solar power makes the task of meeting demand more challenging, especially with high rate of rise of demand during this period i.e. from 4500 MW at 4.30 A.M. to around 7000 MW by 8 A.M and so on. Managing such sharp rise is not possible without power procurement along with hot spinning reserve available for smooth system operation. Therefore, this proposal may be considered by the Commission.

Further, regarding the issue i.e. Start of Special Night Rebate from 16<sup>th</sup> of Oct instead of 1<sup>st</sup> Oct of the year, it is submitted that as per the proposal of the O/o CE/PP&R, this office vide memo no. 1288 dt. 23.12.2021(CP-20) has proposed this amendment to the TOD tariff (which is applicable for NRS/BS consumers with Sanctioned Contract Demand of more than 100 kVA, all LS/MS consumers including Rural Water Supply Schemes & Compost/Solid Waste Management Plants and EV charging stations and not to the Exclusive night Tariff (which is applicable for all Industrial Consumers).

#### **Commission's view:-**

The Commission has taken note of the suggestion. Also, the Objector may refer the Tariff Order for further details.

#### **Issue No. 3: Reduced Energy Charges for FY 2022-23 for consumption above threshold limit**

PSPCL in its replies to deficiencies dated 24.12.2021 has also submitted its views on Tariff Related Issues in Annexure 2. Vide Para 4 of Annexure, Prayers of PSPCL and comments thereof are as under:

Reduced Energy Charges for FY 2022-23 for consumption above threshold limit be continued.

The Commission is requested to provide the calculations for working out the reduced energy charge in the tariff order.

Further, it is also submitted that the present tariff for the scheme is Rs 4.86/unit with which the benefit with GOP subsidy presently is only 14 paisa per unit. This meager incentive is not a driving force to plan for increased consumption. It is also pointed out that with such minor incentive; benefit of threshold rebate is now being availed by only those industries which have undertaken expansion. Thus, it is requested that the threshold rebate needs to be increased appropriately to make the scheme attractive.

**Reply of PSPCL:**

The Commission is requested to fix threshold rebate such that financial interest of PSPCL is safeguarded & legitimate cost of PSPCL is recovered.

**Commission's view:**

The Commission has taken note of the suggestion. Also, the Objector may refer the Tariff Order for further details.

**Issue No. 4: Maximum overall rate (MOR) for the industry under two part tariff system.**

The Commission introduced two part tariff system with effect from 1/1/2018 vide amended Tariff Order dated 09.11.2017 instead of 01.04.2017 proposed earlier after the industry brought the difficulties to the notice of the PSPCL, GOP and the Commission. One of the adverse impact of the two part tariff is the exponential increase in per unit cost after considering the impact of fixed charges for low end industries passing through low demand phase due to recession in economy or low utilization factor etc. Though the fixed charges have been kept lower for low end consumers but per unit impact is still very higher for Small and Medium Enterprises having contract demand of above 100 KVA.

The fixed charges for the PIU consumers falling in the category 100 KVA – 1000 KVA for the category of PIU industry is Rs 190/KVA/Month and Energy Charge of 609 paisa per unit. The fixed charge works out to 27paise per KVAH for 100% utilization factor and for a MSME consumer running his factory for 4 hours a day for 20 days in a month will work out to be 238 paisa per unit and total per unit cost with 20% ED+IDF works out to  $(609+238) \times 1.2 = 1016$  paisa per unit and more than Rs 12.50 per unit during peak hours of 4 months of Peak TOD. The rate per unit will increase if the usage reduces further due to market conditions or low demand phase as happened in the recent past.

Keeping in view the difficulties of such consumers, GOP was kind enough to agree to the concept of Maximum Overall Rate (MOR) for the industry for the period 01.01.2018 to 31.03.2018 as prevailing in some states. Thereafter the MOR facility has been withdrawn. Earlier, the then PSEB had also introduced the Maximum Overall Rate facility for industrial consumers before 1990-91 when Two Part Tariff was on operation (copy enclosed). Thus, the concept is already known to PSPCL and it is not the case that Industry is requesting for something for the first time.

It is a well-known fact that SMSEs are the backbone of Punjab economy and business environment for them must be to facilitate their operations. The MOR has not been extended beyond 31.03.2018.

Keeping in view the genuine difficulty of the lower end consumers employing thousands of workmen and as approved by GOP/introduced by the then PSEB earlier also, it is requested that the Commission may introduce the Maximum Overall Rate (MOR) for industry to give relief to industrial consumers operating on the margin otherwise these are bound to suffer financially causing huge blow to the efforts of GOP to revive the industry in Punjab.

**Reply of PSPCL:**

Two-Part Tariff was implemented w.e.f. 01.01.2018 as per provisions of National Tariff Policy, after giving two months' time to the consumers, so that they could optimize/reduce the sanctioned load as per their requirement. It is the inherent characteristic of two-part tariff that the consumers who consume more power as per their sanction load/contract demand will be benefitted because in such cases as the consumption rise, per unit electricity rate comes out to be low.

To give relief to consumers having low UF and adapt to the structure of two-part tariff as the same was implemented first time in the State, the GoP had decided that Two Part Tariff system introduced w.e.f. 01.01.2018, shall be subject to Maximum Over All Rate (MOR) and the concept of MOR (Subject to MM therein) for Large Supply and Medium Supply industrial consumers (from 01.01.2018 to 31.03.2018) was fixed. The State Government had borne additional financial implication on this account which was estimated as Rs. 50 Crore approximately for 3 months period i.e. January to March, 2018.

The introduction of concept of MOR again shall defeat the basic structure and motive (regarding recovery of fixed cost from fixed charges and variable cost from energy charges) of introduction of Two-Part Tariff and shall be an additional burden on other categories thereby increasing tariff in that category.

Power Purchase is being done in two-part tariff structure wherein fixed cost as well as variable cost is being paid to generators as per PPAs. PSPCL is paying for power purchase expense in two-part structure (fixed cost-plus variable cost per unit), as such revenue should also be recovered in the same structure without any intervention of MOR.

**Commission's view:**

The Commission has noted the suggestion.

**Issue No. 5: One tariff for LS industry (Removal of subcategories based on CD)**

While in single part tariff, same tariff rate was applicable to all consumers of the LS category, in two part tariff; 3 number sub categories have been created based on the CD. The tariff i.e. fixed and energy charges both have been kept lower for consumers with lower CD. However, the conversion of single part tariff to two part tariff for revenue neutrality and subsidy levels were worked out for all PIU consumers treating them as one category. Thus such LS consumers with CD between 100 to 1000KVA are being subsidized at the cost of LS consumers with CD above 2500 KVA. It is submitted that this sub categorization within one category of industry gives heart burning to consumers at the margin. Thus a consumer with 950 to 990 KVA Demand is unduly benefitted compared to a consumer with 1010 to 1050 KVA demand since the per unit effective cost of power increases abnormally for the later consumer. This reduces the revenue of PSPCL also as consumers at the margin are not increasing their contract demand for the fear of higher rates though PSPCL has the system and consumer require the load. It is also pointed out that the basis for this categorization i.e. Contract demand is not a valid basis for differentiation as per Section 62(3) of the Act 2003 reproduced below:-

*(3) The Appropriate Commission shall not, while determining the tariff under this Act, show undue preference to any consumer of electricity but may differentiate according to the consumer's load factor, power factor, voltage, total consumption of electricity during any specified period or the time at which the supply is required or the geographical position of any area, the nature of supply and the purpose for which the supply is required.*

It is therefore requested that this sub categorization be dispensed with immediately and one tariff as well as MOR be introduced for LS industry which will take care of low utilization factor of industries appropriately.

Electricity is a commodity and under One India – One Tariff slogan, tariff should be same and linked with Demand and Consumption only and different tariff rates fixed for consumers having low and high CD & Consumption is against the Section 62 (3) of Electricity Act 2003 stated above which no-where provides different tariff based on contract demand or consumption. It is also requested that while re-fixing tariff for any category, revenue neutrality needs to be ensured for PSPCL as a whole and not for that category.

**Reply of PSPCL:**

Sub categorization/Different slabs (as per CD of the consumer) in the Industrial category might have been formed according to consumption/utilization factor of the consumers in which fixed charges for consumers having less sanctioned demand have been kept lower & these have been kept higher for consumers having higher sanctioned demand. This might have been done on the basis that in the Two-Part Tariff structure low consumption consumers pay more and the consumers having higher consumption pay less.

In this regard, the Commission is requested that if the demand of the objector is to be accepted then financial interest/revenue of PSPCL may be safeguarded/kept unimpacted & PSPCL may be allowed to recover legitimate cost claimed in the petition.

**Commission's view:**

The Commission has taken note of the suggestion. Also, the Objector may refer the Tariff Order for further details.

**Issue No. 6: Tariff For Power Intensive LS Industry (PIU)**

In Tariff Order for FY 2014-15, while adopting KVAh tariff, the Commission had approved the tariff of Rs 6.33 per KVAh for PIU industry against 6.33/KWh prevailing in FY 2013-14. Thus power factor incentive available to us in FY 2013-14 was withdrawn. However, the tariff of general industry was lowered from Rs 6.33 to Rs. 6.14 per unit.

After introduction of two part tariff from 01.01.2018, the Energy charges were lowered, fixed charges were introduced and LS category (PIU and General) was further sub divided into 3 sub categories each. The tariff for FY 2014-15, on 01.01.2018 and FY 2021-22 are compared as under: -

| Tariff In Rs   | 2014-15 (Single Part) |           | 1.1.2018 (Two Part) |           | 2021-22 (Two Part) |
|----------------|-----------------------|-----------|---------------------|-----------|--------------------|
|                | Gen                   | PIU       | Gen                 | PIU       | Gen                |
| Fixed charges  | 6.33/KWH              | 6.33/KWH  | 230/KVA             | 295/KVA   | 285/KVA            |
|                | 6.14/KVAH             | 6.33/KVAH | /Month              | /Month    | /Month             |
| Energy charges |                       |           | 5.78/KVAH           | 5.98/KVAH | 6.27/KVAH          |

Thus, the PIU industry has been kept in a disadvantageous position firstly under KVAh tariff regime and thereafter under two-part tariff vis-à-vis general Industry. Thus, while energy charge (Single part) has been increased by 13 paise per unit for General Industry between FY 2014-15 to FY 2021-22,

The increase for PIU industry is 16 paisa per unit. In addition, there is difference of Rs. 30/KVA/Month of fixed charges.

Further, data supplied by PSPCL along with two-part tariff proposal in ARR of FY 2017-18 indicated that PIU industry has high Utilization Factor than General Industry proving thereby that PSPCL assets deployed for PIU industry are giving higher returns to PSPCL and have lower Cost of Supply. It is also on record that PIU industry also maintains higher Power factor than General Industry and thus keeps better voltage profile for PSPCL. It is unfair to impart undue preference to General Industry consumers vis-a-vis PIU. As such justice demands that under the present surplus scenario, the tariff for PIU industry should be lower or at least equal to General Industry.

It is also submitted that the Commission has acknowledged the arguments put forward by industry in comments on ARR during FY 2018-19 and observed in Para 4.5.1 of TO as under:-

*The Commission notes that the provisions for compliance with the specified harmonics standards, measurements/monitoring of harmonics currents generated by a consumer and provision for penal action against consumers contributing harmonic distortion in excess of the specified standards already exists in Regulation 24 of the Supply Code 2014. However, PSPCL is yet to submit a proposal before the Commission, regarding the penalty to be levied on the consumers contributing harmonic distortion in excess of the specified standards. Thus, till a system for measurements/monitoring of Harmonics currents generated by a consumer and levy of penalty on the consumers contributing harmonic distortions in excess of the specified standards is put in place, the Commission decides to give some relief in the fixed charges payable by the Arc/ PIU units.*

**In reply, PSPCL in para iv of page 190 of ARR of FY 2019-20 stated as under: -**

*In case of Arc Furnaces and other PIU industries, tariff should be kept higher, since they affect the distribution system of PSPCL more than that of General Industry as load of these PIU industry is nonlinear which distorts the voltage wave form and pollutes the power quality. The presence of harmonics in the system reduces the Distribution capacity of the utilities and increases losses.*

In this regard it is submitted that CEA vide amendment dated 06.02.2019 of Central Electricity Authority (Technical Standards for Connectivity to the Grid) Regulations, 2007, has substituted the paragraph 2 and 3 of Part IV as under: -

*“(2) (i) The distribution licensee and bulk consumer shall provide adequate reactive compensation to compensate reactive power requirement in their system so that they do not depend upon the grid for reactive power support.*

*(ii) The power factor for distribution system and bulk consumer shall be within  $\pm 0.95$ ;*

*(3) Voltage and Current Harmonics. - (i) The limits of voltage harmonics by the distribution licensee in its electricity system, the limits of injection of current harmonics by bulk consumers, point of harmonic measurement, i.e., point of common coupling, method of harmonic measurement and other related matters, shall be in accordance with the IEEE 519-2014 standards, as amended from time to time;*

*(ii) Measuring and metering of harmonics shall be a continuous process with meters complying with provisions of IEC 61000-4-30 Class A.*

*(iii) The data measured and metered as mentioned in sub-paragraph (ii) with regard to the harmonics, shall be available with distribution licensee and it shall also be shared with the consumer periodically.*

*(iv) The bulk consumer shall install power quality meter and share the recorded data thereof with the distribution licensee with such periodicity as may be specified by the appropriate Electricity Regulatory Commission:*

*Provided that the existing bulk consumer shall comply with this provision within twelve months from the date of commencement of the Central Electricity Authority (Technical Standards for Connectivity to the Grid) (Amendment) Regulations, 2018.*

*(v) In addition to harmonics, periodic measurement of other power quality parameters such as voltage sag, swell, flicker, disruptions shall be done as per relevant International Electrotechnical Commission Standards by the distribution licensee and the reports thereof shall be shared with the consumer.*

*(vi) The distribution licensee shall install power quality meters in a phased manner within three years from the date of commencement of the Central Electricity Authority (Technical Standards for Connectivity to the Grid) (Amendment) Regulations, 2018 covering at least 33% of the 33 kV substations each year.”*

Thus, PSPCL cannot continue to reiterate the same arguments time and again. When connectivity standards are not differentiating between types of industries, PSPCL cannot take the shield of voltage sag-swell, flicker and harmonics etc.

From last so many years PIU consumers have been charged very high tariff on this pretext for which PSPCL has never come out with exact losses in monetary terms for the harmonics leading to voltage sag-swell, flickers etc. Also PSPCL has never spent any money on controlling these harmonics being produced by PIU industry.

The Commission has already amended Supply Code to include detailed Regulations on Harmonics which were notified for implementation from 01.10.2021. However, due to delay on part of PSPCL in approving the make and specifications of Power Quality Meters to be installed by the consumers as well as PSPCL, the date of 01.10.2021 could not be adhered and no new date has been notified by the Commission in spite of the request of the Industry. However, as and when the Harmonics regulations are implemented, PIU and General categories consumers will be at par and PSPCL's arguments for higher tariff for PIU industries will no longer be valid, as such tariff for PIU and General categories need to be merged from new date of implementation of Harmonics regulations for which requisite provision needs to be made in the Tariff Order to be issued for FY 2022-23.

#### **Reply of PSPCL:**

PIU industries affect the Distribution System on account of various parameters like Voltage Dip, Voltage flickers and Voltage & current waveform distortion, harmonics, capacity loss of the utility Distribution System, Demand Factor, Energy loss in Distribution System, etc. The main points are also listed as under:

- The load of these PIU industries are non-linear.
- The non-linear nature of these loads distorts the voltage waveform and pollutes the power quality.
- The presence of harmonics in the system reduces the Distribution capacity of the Utilities. The capacity loss increases with the increase in non-linear load.
- As the harmonic current increases, the true maximum demand will increase. But the static energy meters will record only RMS value of maximum demand. The excess demand increases with the increase in non-linear load.
- The non-linear load will not exhibit true power factor. The true power factor of non-linear load is low where harmonic currents are present.
- The presence of harmonics in the system increases the Iron/Energy Losses of Utility Power Transformers. The energy loss in Utility Power Transformer increases with the increase in non-linear load.
- The Utility has to invest more to provide higher level of short circuit MVA to absorb the power quality pollutants created by the industry having a large capacity of non-linear loads.

As such the tariff of PIU and Arc furnace consumer is on higher side compared to general industry consumers. Utilization factor of such industries is high and per unit cost is low therefore such industries stand to gain due to inherent nature of two-part tariff.

As per 7th Amendment of Supply Code 2014, the Commission directed that the distribution licensee shall install power quality meters within three years starting from 1<sup>st</sup> October, 2021 in a phased manner covering at least 20% of the total identified locations on 11/33/66 kV feeders as may be approved by the Commission, in the first year and 40% each in subsequent two years. The procurement of Power Quality Meters is under process by PSPCL and till the process of procurement and installation of Power Quality Meters is completed, present tariff structure may be continued.

#### **Commission's view:**

Suggestion Noted.

#### **Issue No. 7: Increasing the eligible Contract Demand on 11 KV to 4950 KVA**

The eligible limit of CD on 11 KV be increased to 4950 KVA. However, PSPCL has been opposing the suggestion on the plea that it will increase the T&D Losses of the utility.

The issue needs to be considered from the feasibility as well as revenue angles rather than only T&D Loss levels. PSPCL has to realize that the existing industry being served at 11 KV requiring extension in load have limited resources and can either arrange funds for additional machinery OR cost of establishing 66 KV substation running into crores of Rupees. Moreover, the number of consumers seeking demand above 4000 KVA up to 4950 KVA will be only few which shall not have material effect on the T&D Loss of the licensee. In any case, the losses can be brought down by imposing a condition that those seeking CD between 4000 to 4950 KVA will be permitted only by providing / augmenting the conductor of the 11 KV line to the particular size at the cost of consumer. Further, with such extension of CD, increase in PSPCL's revenue will be much more than the loss due to

increase in T&D loss. PSPCL having surplus capacity for the next 10 years, need to allow such enhancement of load. Therefore, the apprehensions of PSPCL on this count are not convincing. It also has to be kept in view that the erection of new 66 KV lines and towers in the existing / already developed industrial areas is increasingly becoming impossible due to right of way problems. There is resistance from farmers also as 66 KV towers lower the sale price of their land. The release of additional Demand involving change of voltage level under such conditions will be technically non-feasible depriving the PSPCL of possible additional revenue. However, if increased CD is allowed on existing 11 KV line, there will be very minor and negligible overall increase of losses, but PSPCL will start getting Rs 315/KVA/Month of fixed charges and Rs 6.49 per unit on additional demand and 20% additional revenue to GOP. We agree to bear the cost of upgrading of the 11 KV line conductors and other equipment.

New Induction furnaces are of 3800 to 4000 KVA which are more efficient with less energy consumption/ton of scrap handled. If the CD is increased to 4950 kVA, the consumer can plan for a pipe plant or rolling mill along with the upgraded induction furnace enhancing the viability of the industry which will motivate the industry to make more investment in the state. This will enable the GOP to achieve the target of setting up additional industry in Punjab.

Matter has also been discussed in the meetings of Supply Code Review panel and PSPCL has been directed to bring out the cost benefit analysis of the proposal but the data is yet to be submitted. The Commission is requested to consider the proposal as it will be a win-win situation for both consumers and PSPCL as well as for the state.

Discoms like Haryana, Rajasthan, Uttar Pradesh etc are allowing Contract Demand of up to 15 MVA on 33 KV voltage level. To facilitate the industry in Punjab and without any adverse effect on T&D Loss of PSPCL, the enhanced CD may be provided by PSPCL to industry by setting up 33 KV infrastructure in its grid sub stations in the locations where there is no right of way to erect towers. As 33 KV transmission lines do not require towers and can be easily laid on Cement or steel poles, the existing conductor/lines with additional discs will be used to release enhanced CD thereby increasing the revenue of PSPCL and reducing the surplus power. Therefore, it is requested that the Commission may direct PSPCL to provide enhanced CD to industry on 33 KV up to 15 MVA.

#### **Reply of PSPCL:**

1. In Punjab ambient temperature is taken as 45 deg C due to which maximum capacity of DOG conductor is limited to 4839 KVA considering the allowed temperature rise of conductor upto 70 deg. C.
2. Allowing demand upto 4950KVA on 11KV supply voltage shall result in higher T&D losses viz-a-viz supply voltage at 66KV.
3. Allowing overhead 11KV supply via cable over longer lengths of few kilometres shall require many cable joints, which shall be exposed to weather conditions. The joints may deteriorate with time thus making the connectivity unreliable. In case the cable is laid underground, ROW issues may crop up in densely populated areas. Further, heat dissipation issues and more number of straight joints shall make the connectivity unreliable with passage of time. Also fault tracing in underground cable over long lengths is difficult.
4. In case electricity supply at 11KV with 300mm<sup>2</sup> XLPE cable is allowed to industry for loads upto 4950KVA, all the prospective 66 KV consumers with CD from 4000 KVA - 4950 KVA shall have to be connected to existing 66 KV grids of PSPCL thereby making them overloaded. Moreover, grid augmentation shall be required to be done at cost of PSPCL. Moreover, many existing PSPCL 66KV grids don't have provision for further expansion or augmentation of existing power transformers.
5. Further, PSPCL has already upgraded most of its 33KV sub-stations to 66KV level for improving transmission losses. Accepting the demand regarding allowing CD upto 15MVA on 33KV supply voltage shall be a regressive step and undo all efforts done so far for reducing the losses.

In view of the above, allowing electricity supply of 3 phase 11KV from 4000KVA upto 4950KVA for industrial loads shall not be techno-commercially viable for PSPCL.

#### **Commission's view:**

The Commission has noted the suggestion.

#### **Issue No. 8: Addition of Equity and Return on Equity**

i) The then PSEB operating under Electricity (Supply) Act 1948 had equity of Rs 2946.11 Crore which was created by converting GOP loans into GOP equity in PSEB. It was done to escape the liability of interest on loan amounts given by GOP from time to time to lay the grid system in Punjab. As per the practice prevalent at that time, no ROE was paid to GOP on such equity converted from loans. After

implementation of Electricity Act 2003, The Commission started allowing ROE on the equity in ARR but such ROE was never paid to GOP since PSEB was running into losses.

ii) On bifurcation of the then PSEB into successor entities i.e. PSPCL and PSTCL on 16.4.2010, Under this, the equity of PSEB was divided to the successor entities. Further, GOP issued the transfer scheme and FRP for the successor entities on 24.12.2012 as per which Consumer Contributions and Govt. Grants standing in the books of the then PSEB were also converted into equity of GOP in PSPCL and PSTCL. Thus, the equity amount of Rs 2946.11 Crore on 9.4.2010 in PSEB became Rs. 6081.43 Crore in PSPCL and Rs. 605.83 Crore in PSTCL (Total equity increased from Rs. 2946.11 Crore to Rs. 6687.26 Crore. The Commission allowed ROE of Rs. 942.62 Crore to PSPCL and Rs. 93.90 Crore to PSTCL.

In the ARR of FY 2020-21, PSPCL again came out with the demand of increased ROE on the plea that the UDAY loans taken over by GOP amounting to Rs. 15628.26 Crore under UDAY scheme have been converted into GOP equity on the closure of UDAY scheme on 31.3.2020 and thus GOP equity in PSPCL has increased to Rs. 21709.69 Crore and requested for ROE on the revised amount. As this was contested by stake holders, the prayer of PSPCL was not accepted and ROE was allowed on the existing equity amount of Rs 6081.43 Crore.

Now, in the present ARR, PSPCL has come out with entirely new argument that the UDAY loans of Rs. 15628.26 Crore comprised of an amount of Rs. 2246.77 Crore which was spent on Capital works and further out of remaining loan of Rs. 13381.49 Crore also, an amount of Rs. 2346.19 Crore were diverted for capital works. Thus, PSPCL has prayed that total of Rs. 4592.96 Crore be considered as equity and ROE be allowed on the same.

We strongly object to the claim of the PSPCL for demand of additional ROE on the following grounds:-

- PSPCL is taking loans from the market or GOP @ 8 to 9% interest rate and later converting these into equity only to claim higher returns @ 15.5%. This is undue enrichment at the cost of consumers.
- FRP and transfer scheme allowed the conversion of Consumers contributions and Govt. Grants into GOP equity. Here there is no cash flow from GOP and it does not qualify to be equity eligible for ROE.
- The conversion of Consumer Contributions and Govt. grants into GOP equity and allowing return on Equity on the same were challenged before Hon'ble APTEL which decided that such equity where there is no cash flow cannot be accounted for grant of Return on Equity. PSPCL has taken the matter to Supreme Court and matter is sub judice.
- MOU signed between GOP, MOP and PSPCL clearly provided that the Loan of Rs. 15628.26 Crore will be converted into 75% grant of GOP to PSPCL and 5% into equity. However, PSPCL has proposed 100% to be converted into equity which is violation of the express terms of MOU.
- Even the equity of PSEB further divided into PSPCL and PSTCL is the loan amount given by GOP to PSPCL as is evident from Tariff orders of FY 2002-03 onwards.
- PSPCL and PSTCL are not transferring the ROE to the GOP in whose name the equity stands in the books and retaining the same to meet their unapproved expenditure and losses of operations.
- Though the amount of Rs. 15628.26 Crore was determined for coverage under UDAY in FY 2015-16, The part diversion of the same for Capital works is being brought to the notice of the Commission in FY 2021-22 i.e. after 6 years and that too when the Commission has rejected the demand of PSPCL to grant ROE on full amount indicates that PSPCL is making wrong submissions on affidavit.
- Return on Equity being recovered by PSPCL is being retained for internal adjustments and the tendency is continuing unabated. PSPCL has to introspect to economize and work efficiently so that ROE is paid to GOP to which it belongs.
- CERC Regulations 2019-24 does not permit any ROE on grants obtained by utility which provision is also included in MYT Regulations but for only Govt. grants and subsidies. The CERC Regulations provide that there will be penalties if project starts operating without proper COD and ROE for additional capitalization will be equal to the rate of interest on loan but both these provisions are missing in MYT Regulations. This needs to be kept in view while dealing with ROE claimed by PSPCL for reinvestment of Loan taken over by GOP under UDAY scheme in the equity of PSPCL.

Therefore, it is requested that as whole of equity in the books of PSPCL and PSTCL are in fact Loans, Consumer contributions and Govt. grants and there is no cash flow from GOP, as such these cannot count for grant of Return on Equity and as such no ROE be allowed to PSPCL and PSTCL

**Reply of PSPCL:**

As per clause 1.2 of MOU under UDAY scheme, 75% of the PSPCL's debt as on 30.9.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to the MOU, Non-SLR bonds amounting to Rs.15628.26 Crore were issued by Govt. of Punjab and transfer this amount to PSPCL as GOP loan upto 2019-20 and on 31.03.2020 converted this loan into equity. Amount of Rs.15628.26 Crore comprise of Rs. 2246.77 Crore Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore upto FY2019-20 being Capex Loans. Further, the Commission has disallowed the interest on Working Capital Loans used for Capital Expenditure. These Rs.2346.19 Crore Working Capital Loans have been used for Capital Expenditure duly approved by the Commission.

It is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 Crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) has been converted into equity and this loan in FY 2020-21 and FY 2021-22 does not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20.

**Commission's view:**

Return on Equity is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Objection No. 10: Bodal Chemical Ltd.****Issue No. 1: Capital Expenditure**

As per ARR, Para 2.10, Capital Expenditure of Rs. 1417.60 Crore (Rs. 370.13 Crore for generation and Rs.1047.46 Crore for Distribution) has been incurred in FY 2020-21 against approved plan of Rs. 1712.89 Crore. This includes Rs. 273.09 Crore incurred on Shah Purkandi Project which the Commission has already decided that the same will be considered on COD of the project. Thus PSPCL has not been able to use all the funds made available to it for capital works.

Perusal of Format D7 further indicates that the capital expenditure for GGSSTP Ropar and GHTP Lehra is depicted as under: -

|            | 2020-21 (Actual) | 2021-22 (RE) | 2022-23 (proj) |
|------------|------------------|--------------|----------------|
| GGSTP      | 5.2              | 1.73         | 0.06           |
| GHTP Lehra | 269.55           | 176.99       | 171.98         |

It is evident from the actual and proposed expenditure that PSPCL proposes to retire GGSSTP plants soon as no major capital work is proposed. This is a good decision in the interest of state and will certainly help in reducing the surplus power and idle capacity of PSPCL.

No details of Capital Expenditure are provided in text part i.e. Chapter 3 for the years 2021-22 and 2022-23 though data is provided in Format D7. However, the actually incurred capital expenditure in H1 and that proposed in H2 of 2021-22 are as under:-

|              | H1 of 2021-22 | H2 of 2021-22 |
|--------------|---------------|---------------|
| Generation   | 59.55         | 441.32        |
| Distribution | 226.64        | 1032.14       |

The proposed expenditure for H2 seems overstated. The Commission is requested to seek actual expenditure up to current date and approve the total expenditure accordingly.

This tendency of PSPCL to incur expenditure at their will without caring for the targets given by the Commission need to be curbed as this puts the Commission as well as Consumers in a very tricky situation. If such approved expenditure is not actually incurred, then PSPCL suffers and if incurred in excess, tariff increase becomes inevitable. PSPCL never brings out the projected and actual payback period of capital investment and Rate of Return on Project cost.

**Reply of PSPCL:**

The expenses incurred are less than that approved by the Commission as the works were affected by COVID lockdowns. As regards to observation that expenses incurred in H1 of FY21-22 are quite low as compared to proposed expenses for H2 of FY 21-22 it is submitted that expenditure during first half



of FY 2021-22 has been less as the supplies/procurement was affected due to COVID lockdowns. The expenses for H2 are higher as the supply chains are now functioning normally.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 2: Tariff Proposal**

The Commission has probably worked out and proposed the increase in tariff for each category of consumers to meet the revenue gap but the proposal has not been included in ARR on the pretext of its approval by GOP which is pending and has replied that the proposal will be submitted after its approval by GOP. PSPCL has worked out the category wise voltage wise Cost of Supply for each category in the Reply to Deficiencies but category wise cross subsidy levels on Cost of Supply and Average COS have not been worked out which are mandatory as per Electricity Act 2003 and orders of the Hon'ble APTEL. Comments will be offered after the data is made available.

**Reply of PSPCL:**

It is submitted that the category wise cross subsidy levels shall be submitted with the Tariff Proposal as the same is being under consideration of PSPCL management. However, tariff determination along with cross subsidy levels is the purview of the Commission and the same is being carried out by the Commission as per NTP Policy after prudence check of the data submitted by PSPCL from time to time.

**Commission's view:**

The concern is noted.

**Issue No. 3: ARR Projections**

The data being disclosed by PSPCL in ARRs is being reduced every year. The present ARR is a typical example where MYT regulations have been extracted in every para but relevant data is not disclosed and stake holder is left to surf the Formats and reply to deficiencies to understand the Revenue requirement. PSPCL comes up with actual expenditure during RE and True up which widely vary from the approved figures of TO with request for approval of excess expenditure in relaxation of Regulations but where the expenditure is on lower side, PSPCL tries to retain the savings. Suggestions on voltage-based categorization of tariff, consumption of agriculture sector, road-map towards cross subsidy reduction etc are some of the suggestions which are being ignored year after year. Details of these points are being touched upon in specific issues highlighted in succeeding paras for consideration of PSPCL and the Commission.

**Reply of PSPCL:**

PSPCL has not submitted any reply on the above issue.

**Commission's view:**

The concern is noted.

**Issue No. 4: Cross Subsidy Level based on Voltage Wise Cost of Supply**

a) APTEL has given directions to the Commission in para 14 of the Order in Appeal No 142 & 168 of 2013 between Mawana Sugars & Bansal Alloys Vs PSPCL and others as under:

*".....We only want that the cross-subsidy with respect to actual cost to supply should also be shown to reflect the cross-subsidies transparently and to ensure in the future tariff exercise that the cross subsidy with respect to voltage wise cost of supply is not increased.*

b) In line with above directions of the Hon'ble APTEL, the Commission has worked out the cross subsidy w.r.t. cost of supply in the tariff orders as under: -

|                            |         |         |         |         |         |         |         |
|----------------------------|---------|---------|---------|---------|---------|---------|---------|
| Category: 66 KV Industrial | 2015-16 | 2016-17 | 2017-18 | 2018-19 | 2019-20 | 2020-21 | 2021-22 |
| Cost of Supply             | 5.37    | 5.38    | 6.32    | 6.12    | 6.22    | 5.81    | 6.18    |
| Cross Subsidy level        | 21.60%  | 12.02%  | 3.71%   | 15.51%  | 14.58%  | 23.90%  | 15.31%  |

As is evident, the Cost of supply of the objector's category in FY 2015-16 and FY 2020-21 were beyond the 20% ceiling to be followed by the SERCs as per Tariff Policy and thus was in violation to the orders of Hon'ble APTEL. It is requested that the orders of APTEL may please be complied with in the MYT Tariff orders as well and cross subsidy levels based on cost of supply for 2022-23 should be kept below 20%.

**Reply of PSPCL:**

It is submitted that the category-wise cross-subsidy levels determined by the Commission in its tariff orders for respective financial years were already within the permissible limit of +/- 20% of Average Cost of Supply. However, the determination of the same is being purview of the Commission.

**Commission's view:**

The Commission has always endeavoured to reduce the cross subsidy as provided in the Tariff Policy.

**Issue No. 5: Determination of Voltage wise Cost of Supply**

a) It is submitted that Section 61 (g) of the Electricity Act, 2003 mandates as follows:

*"...The tariff progressively reflects the cost of supply of electricity and also reduces cross-subsidies in the manner specified by the Appropriate Commission; "*

b) Hon'ble APTEL In its order dated 12.07.2012 passed in Review Petition No. 8 of 2012, filed by Mawana Sugars Ltd, directed PSERC/PSPCL to ensure completion of the exercise of determination of voltage-wise cost of supply by the end of November,2012.

Pursuant to these directions, a Voltage wise cost of supply study was got conducted by PSPCL from "The Energy and Resources Institute (T.E.R.I.)" and cost of supply was worked out detailing data considered / assumptions taken etc. for the years FY 201 1-12 and FY 2012-13. Thereafter PSPCL and the Commission are working out the Cost of Supply every year on the same assumptions and data. The cost of supply for the Objector's category (LS PIU industry 66 KV) and the tariff fixed for the year along with voltage rebate is tabulated as under:

| Year     | Avg. Cost of supply | Cost of Supply | Difference | Basic Tariff/EC/FC     | Voltage Rebate      | Tariff | Difference |
|----------|---------------------|----------------|------------|------------------------|---------------------|--------|------------|
|          | 2                   | 3              | 4 (2-3)    | 5                      | 6                   | 7(6-5) | 8(7-3)     |
| 201 7-18 | 6.42                | 6.32           | 0.1        | 6.75                   | 0.25                | 6.5    | 0.18       |
|          |                     |                |            | 5.98                   |                     |        |            |
|          |                     |                |            | 295/0.77               |                     |        |            |
| 2018-19  | 6.55                | 6.12           | 0.43       | 6.1                    | 0.25                | 6.6    | 0.48       |
|          |                     |                |            | 280/0.74               |                     |        |            |
| 2019-20  | 6.63                | 6.22           | 0.41       | 6.19                   | 0.17 (for 16 Hours) | 6.79   | 0.57       |
|          |                     |                |            | 295/0.77               |                     |        |            |
| 2020-21  | 6.45                | 5.81           | 0.64       | 6.41                   | 0.25                | 7.22   | 1.41       |
|          |                     |                |            | 295/0.77               |                     |        |            |
|          |                     |                |            | 0.29 (Addl. Surcharge) |                     |        |            |
| 2021-22  | 7.07                | 6.18           | 0.89       | 6.49                   | 0.25                | 7.06   | 0.88       |
|          |                     |                |            | 315/0.82               |                     |        |            |

Increased Cross Subsidy in successive tariff orders may be kept in view while determining tariff for 66 KV PIU category for 2022-23.

c) HT rebate is granted in accordance with the Electricity Act 2003 to compensate 66 KV consumers for the investment on 66/1 1 KV equipment and Transformation losses. EA 2003 provides that tariff should be in line with the difference of voltage wise cost of supply for the relevant voltage. Hon'ble APTEL has upheld this provision and Voltage rebate was also granted to Punjab consumers in view of the many orders issued by APTEL in this regard. In Tariff Order FY 2013-14, para 4.21, page 104, the Commission accepted that cost of supply for HT consumers is much lower than their tariff and accordingly gave relief to the consumers drawing power at higher voltage. Due to the difficulties in implementing voltage wise cost of supply-based tariff, voltage rebate is given to partially compensate such consumers. The difference in cost of supply for the consumers as per recent tariff orders is extracted as under: -

| Tariff order for the year | Cost of supply Rs/Unit for |                  | Difference |      |
|---------------------------|----------------------------|------------------|------------|------|
|                           | 66 KV industrial           | 11 KV industrial |            |      |
| 2021-22                   | 6.18                       | 6.65             | 0.47       | 7.60 |
| 2020-21                   | 5.81                       | 6.36             | 0.56       | 9.13 |
| 2019-20                   | 6.22                       | 6.86             | 0.64       | 9.06 |
| 2018-19                   | 6.12                       | 6.63             | 0.51       | 9.23 |

As is evident, though the voltage rebate is only 25 paisa per unit but cost of supply of 66 KV consumers is being worked out less by 47 to 64 paisa per unit. There seems to be some error in the

working of Cost of Supply. Therefore, there is full justification to increase the Voltage rebate for 66 KV consumers.

- d) It is also submitted that Voltage rebate of 20 paisa was allowed to 66 KV consumers in FY 2013-14 which was increased to 25 paisa from FY 2014-15. The rebate is stagnant since FY 2014-15 whereas the tariff which under single part tariff in FY 2014-15 was Rs 6.33 per unit has increased to Rs 7.31 per unit in FY 2021-22 (As per Table of previous Para (b) above). The WPI which was 114.1 in April 2014 has increased to 142.4 in December 2021, a rise of 24.8%. CPI for Industrial workers which was 242 in April 2014 has increased to 338 in August 2020, an increase of 39.67% during the period (Index for base 2001 not in December 2021, a rise of 24.8%. CPI for Industrial workers which was 242 in April 2014 has increased to 338 in August 2020, an increase of 39.67% during the period (Index for base 2001 not available beyond Aug 2021. Therefore, justice demands that the voltage rebate be increased to at least 30 paisa per unit for FY 2022-23.

#### **Reply of PSPCL:**

The industrial consumers are already availing the benefit of subsidized power supply @ Rs. 5/unit within the state of Punjab. However, in addition to this, PSPCL is already allowing a threshold rebate of Rs. 4.86/unit in case consumption during available surplus power with PSPCL. ToD is already implemented in order to give tariff relaxations to industrial consumers.

Therefore, any further increase in HT rebate will cause revenue loss to PSPCL and the same will be compensated by increasing the tariff for other categories which will further distort the cross subsidy levels within the categories.

#### **Commission's view:**

It may be noted that the voltage wise cost of supply is based on the estimation / allocation of assets at different voltage levels. It, therefore, does not give true picture of average cost of supply voltage wise.

#### **Issue No. 6: True up of Previous Year 2020-21**

- a) PSPCL has submitted Financial Statements for 2020-21 along with the MYT ARR which are prepared by Independent Auditors appointed by PSPCL. However, Certificate/Report of CAG on the audited accounts is not supplied. As per Regulations 12.4 of MYT Regulations 2014, True Up exercise is to be taken up only when audited accounts are made available by the Licensee.

Further, MYT Regulation 12.6 provide as under:-

*Provided that no carrying cost shall be permitted for the period of delay in filing of true up on account of non submission of audited accounts due to the fault of the Utility:*

It is therefore requested that Audit Report of CAG may be supplied to us immediately and a copy be posted on the web site so that we are in a position to offer comments.

#### **Reply of PSPCL:**

It is submitted that the annual accounts of PSPCL for FY 2020-21 have timely been finalized and got approved from BODs in the 90<sup>th</sup> meeting held on 15-09-2021 and stand audited by statutory Auditor on 15-09-21. Thereafter, CAG has concluded the supplementary audit on 09-12-2021 and audit certificate replies are still awaited. On receipt of audit certificate replies on the observation of statutory Auditor and CAG of India will be got approved from BOD along with audited accounts and will be placed before members of company (AGM) for its adoption. As when audit certificate receive will be supplied.

#### **Commission's view:**

The Objector may note the response of PSPCL.

#### **Issue No.7: Comments on True Up for 2020-21. RE for 2021-22 and Projection for FY 2022-23:**

In the ARR applications submitted by PSPCL for the years post FRP indicate steep rise in the total revenue requirement as under: -

| Year    | Net Revenue Requirement in Rs Crore                  |                                                   |                                                                |                       |
|---------|------------------------------------------------------|---------------------------------------------------|----------------------------------------------------------------|-----------------------|
|         | As projected by PSPCL in ARR for the respective year | As per Revised Estimates proposed by PSPCL in ARR | Approved by commission in True up (as per latest tariff order) | Difference ARR and TU |
| 2010-11 | 6612.00 (Page 88 of ARR 2010-11)                     | 16187.66                                          | 14849.23 (TU Page 53 of TO 2014-15)                            | (-) 1762.77           |
| 2017-18 | 32718.64 (Page 76 of MYT ARR 2017-18)                | 31105.66                                          | 27232.40 (Page 70 of TO 2019-20)                               | (-) 5486.24           |
| 2018-19 | 33562.12 (Page 71 of ARR 2018-19)                    | 33796.12                                          | 30620.02 (Page 60 of TO 2020-21)                               | (-) 2942.10           |

| Year    | Net Revenue Requirement in Rs Crore                  |                                                   |                                                                          |                       |
|---------|------------------------------------------------------|---------------------------------------------------|--------------------------------------------------------------------------|-----------------------|
|         | As projected by PSPCL in ARR for the respective year | As per Revised Estimates proposed by PSPCL in ARR | Approved by commission in True up (as per latest tariff order)           | Difference ARR and TU |
| 2019-20 | 34505.60 (Page 88 of ARR 2019-20)                    | 35371.34                                          | 30424.44 (Table 66 of TO 2021-22)                                        | (-) 4081.16           |
| 2020-21 | 36156.38 (Table 85 of ARR 2020-21)                   | 34457                                             | TO yet to be issued (actuals as per PSPCL 33709 Table 19 of ARR 2022-23) |                       |
| 2021-22 | 37653.00 (Table 56 of ARR 2021-22)                   | 35039 (Table 50 of ARR)                           | TO yet to be issued                                                      |                       |
| 2022-23 | 36848.00 (Table 50 of ARR 2022-23)                   |                                                   |                                                                          |                       |

Thus, the Difference between Net Revenue Requirement presented by PSPCL in ARR of the year is escalated to claim higher tariff and in the end during true up, the requirement comes down by about Rs. 3000 to Rs. 5000 Crore.

If the Revenue gap and carrying cost is also considered, the escalation of ARR will be much more. The revenue gap projected year after year indicates that PSPCL is in debt trap. The abnormal rise in projected requirements seems to be artificially escalated to get very hefty tariff escalations and needs careful consideration by the Commission so that all consumers, like the Petitioner, are not burdened with undue tariff increase.

#### **Reply of PSPCL:**

The methodology adopted by PSPCL for True up of FY 2020-21, APR for FY 2021-22 and RE for FY 2022-23 is very well elaborated in the Petition and is in line with the regulatory principles set by the Commission and PSERC MYT Regulations. It is submitted that PSPCL has submitted the Expenses and Revenue of FY 2020-21 based on the actual annual audited accounts of FY 2020-21 and the same in on the discretion of the Commission to approve the appropriate gap based on the expenses and revenue as per audited annual accounts. Hence, it would not be correct to say that the claims are in excess to the actuals. The Commission follows a transparent process for determination of tariff and consumers are given every opportunity to present the facts in their objections.

#### **Commission's view:**

The ARR is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

#### **Issue No. 8: Introduction of Reforms for improving efficiency of PSPCL.**

It is also felt that many suggestions made by the objectors during previous hearings on ARRs do not yield any result. Every year, PSPCL comes up with actual expenditure during RE and True up and requests for approval irrespective of laid down regulations and defined caps/approvals. The repetition of arguments for AP consumption of Kandi Area agriculture consumption, seeking actuals or normative whichever is higher with unjustified justifications, Interest charges on disapproved long term & working capital loans and Late Payment Surcharge/Rebate for early Payment in Non-Tariff income etc shows that PSPCL does not care about the Regulations for determination of tariff, Suggestions like reclassification of categories of consumers, restrictions on release of connections to consumers and justification of consumption of agriculture sector, road-map towards cross subsidy reduction and voltage based categorization of tariff are some of the suggestions which are imperative and convincing, but still ignored. The Commission is requested to adopt Electricity Reforms to give relief to consumers.

#### **Reply of PSPCL:**

As per section 42(1) of the EA,2003, distribution licensee is obligated to develop and maintain an efficient distribution system in his area of supply. In addition to above, under section 9.2.1 of the PSERC Electricity Supply Code Regulations, 2014 a distribution licensee is responsible to ensure upgradation, strengthening & extension of the distribution system to meet demand for electricity including future growth and such cost shall be recover through tariff after prudence check by the Commission.

While, the unapproved expenditure incurred during the year is due to the unavoidable circumstances under which PSPCL has to incur necessary expenditure for successful implementation of the ongoing

schemes in the State of Punjab and in order to develop and maintain an efficient and economical distribution system for providing seamless power to its consumers under its jurisdiction.

**Commission's view:**

The Commission has noted the suggestion.

**Issue No. 9: Distribution Loss**

PSPCL presented Distribution loss of 13.55% for FY 2019-20 but the Commission approved/retained the trajectory level of Distribution Loss in True Up for 2019-20 as 11.54%. PSPCL has now in the present ARR claimed 12.99% Distribution loss against approved loss target of 12.94% in the actuals/true up for 2020-21.

For RE of FY 2021-22, PSPCL has claimed Distribution Loss of 12.34% (Table 33 of current ARR) which is as per approved trajectory of PSERC.

For FY 2022-23, PSPCL has projected Distribution loss level of 12.04% which is again as per directions of the Commission that the reduction in distribution loss will be 0.3% every year.

As is evident, the Commission had to increase the trajectory in FY 2020-21 as PSPCL failed to achieve the trajectory of distribution losses. It is also a fact that the assets created in 11kV system and below are mostly added through consumer contributions/Franchisees and Central Grants etc. for which PSPCL is getting full capex from these quarters. The capex of PSPCL is mostly spent on 66 KV infrastructure which should infact decrease the distribution losses but on the reverse, PSPCL is coming to the Commission year after year for enhancing the trajectory which results in loading of consumers but its losses are increasing which indicate fudging of figures. Therefore, Commission is requested to allow T&D losses as per actuals or as per trajectory, whichever is lower.

Further, the rebate being given to consumers connected at 66/33 KV (compensation for investment of 66 kV equipment plus T&D Losses) is only 25 paise per unit since FY 2014-15. 66 kV consumers are paying more fixed and energy charges compared with 11kV industrial consumers as per slab system though they use less of the grid system and have to invest on the 66 kV system. Thus 66 kV consumers are not getting adequate incentive on account of heavy investment made on creating and maintaining facilities by the consumer and the resultant reduction in T&D losses accruing to PSPCL. It is therefore submitted that in view of directions of Hon 'ble APTEL,

- the industrial consumers be divided into four separate distinct categories based on supply voltage levels i.e. 220/132 KV, 66KV, 33KV and 11 KV and voltage wise cost of supply based tariff be implemented for these consumers,

OR

- adequate voltage rebate be given commensurate with cost of supply worked out with actual data (without assumptions) till implementation of such tariff,

OR

- the voltage rebate be enhanced appropriately and fixed in percentage terms as per pattern of Voltage Surcharge being charged on percentage. Since Voltage Surcharge for consumers eligible for 66 kV but getting supply at 11 kV have to pay 10% Voltage Surcharge, Similarly, Voltage rebate for 66 kV consumers should also be 10%.

**Reply of PSPCL:**

Earnest efforts are being made towards reduction of line losses and commercial losses to plug in the revenue loss. PSPCL has achieved Distribution loss level of 12.99% in FY 2020-21. Various concerted activities have been undertaken in past years for improvement in billing and collection efficiency along with assuring the quality of supply. Intensive drives for replacement of electromechanical/ defective meters have been conducted to improve the metering accuracy. Aggressive vigilance drives have also been conducted to curb the power thefts and pilferages of energy. PSPCL is further working extensively on strengthening of sub transmission and distribution network under Deendayal Upadhyaya Gram Jyoti Yojna (DDUGJY) and Integrated Power Development Scheme (IPDS). Under these Schemes the overloaded feeders are being bifurcated and trifurcated along with creation of new Substations. Works under these schemes are at their closure and the full impact of these works will reflect in the performance of PSPCL in ensuing years. PSPCL is also working on Demand Side Management; various measures like distribution of LED Lights, energy efficient fans and installation of energy efficient agriculture pump-set have been undertaken. These measures will reduce the energy requirement at LT network and eventually reduces the loss level of the PSPCL.

PSPCL has added 2.02 Lakhs consumers in FY 2020-21 and 2.34 Lakhs consumers in FY 2019-20 and 2.18 Lakhs consumers in FY 2018-19, which is quite on higher side. In spite of increase in number of consumers at LT network, PSPCL has been able to consistently reduce the losses over the past years.

However, it is quite pertinent to mention here that the industrial consumers are already availing the benefit of subsidized power supply @ Rs. 5/unit within the state of Punjab. However, in addition to this, PSPCL is already allowing a threshold rebate of Rs. 4.86/unit in case consumption during available surplus power with PSPCL. ToD is already implemented in order to give tariff relaxations to industrial consumers.

Therefore, any further increase in HT rebate will cause revenue loss to PSPCL and the same will be compensated by increasing the tariff for other categories which will further distort the cross subsidy levels within the categories.

**Commission's view:-**

The Commission has taken note of the suggestion. The Commission's directive with regards to distribution loss has already been issued in the Tariff Order.

**Issue No.10: Legal Expenses of PSPCL.**

The expenditure already denied by the Commission in the previous tariff orders should not have been included in the ARR at all but PSPCL is continuing the practice of presenting/preparing ARR as per expenditure already incurred and continues to put forward the same arguments time and again to justify and defend the denied expenditure. PSPCL had approached even Hon'ble APTEL on some of these issues but their arguments were rejected there as well. With the introduction of new Tariff Regulations for MYT period, PSPCL has again filed appeal in Hon'ble APTEL challenging each and every disallowance in the Tariff Orders under MYT Regulations. Consumers neither have financial resources nor understanding to contest such appeals. Therefore, the Commission is requested to contest the claim of PSPCL to full extent and needs to contest such orders of Hon'ble APTEL in the Hon'ble Supreme Court instead of granting relief to PSPCL straightaway.

Order dated 16-12-2015 of APTEL in Appeal No 106 of 2013 filed by PSPCL needs to be referred vide which APTEL has rejected PSPCL's Appeal for revision of Revenue Requirement for 9 items of ARR/Tariff Order for FY 2013-14,

It is also added that PSPCL's legal expenses are increasing exponentially and the item 4 of Note 34 of the Financial Statement of FY 2020-21 indicate that Legal charges of around 10 Crore are being spent annually. It is also not understood as to how Rs 5.24 Crore is being claimed for this head in ARR page 226 for 2020-21.

**Reply of PSPCL:**

PSPCL is being transparent in its filing before the Commission and furnishing the data from time to time as required by Commission for their prudence check. However, it is quite pertinent to mention here that as per applicable regulations as per EA, 2003, PSPCL is to contesting before APTEL for the erroneous disallowances and the same is being pending before the APTEL.

However, the Commission is allowing the net revenue requirement to PSPCL after prudence check and already passing on benefits of reduced cost to consumers.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 11: Revenue Requirement**

The ARR for FY 2022-23 now submitted indicate Net Revenue Requirement of Rs. 36848 Crore for FY 2022-23 whereas in APR the ARR was projected as Rs. 38040 Crore. Thus, the ARR of Rs. 16612 Crore in FY 2010-11 when PSPCL was formed has escalated to Rs. 36848 Crore in FY 2022-23 indicating an increase of 222% over 12 years. The total requirement trued up for FY 2010-11 plus Gap was  $(14849.23+1433.91=)$  Rs.16283.14 Crore has now been projected as  $(36848+1912=)$  Rs. 38760 Crore, indicating a rise of 238% over 12 years. As against this, the total Energy Requirement which was projected as 42915 MU at Punjab Periphery in FY 2010-11 (Table 9-1 of ARR 2010-1 1) has increased to only 65192 MU (Table 34 of ARR) in FY 2022-23 showing increase of 152% only. The abnormal rise in projected revenue requirements seems to be artificially escalated to get very hefty tariff escalations and needs careful consideration by the Commission so that all consumers, like the Objector, are not burdened with undue tariff increase.

**Reply of PSPCL:**

Energy requirement of PSPCL for FY 2022-23 is being projected on the basis on projected category-wise sales to be made during FY 2022-23 based on 3 to 5 year CAGR. The methodology of projecting energy requirement of PSPCL is already well elaborated in the current petition of PSPCL.

PSPCL has elaborated the methodology of each ARR component projected for FY 2022-23 as per PSERC MYT Tariff Regulations, 2019 the same is being under consideration for prudence check of the Commission.

**Commission's view:**

The ARR is determined by the Commission in-line with the prevailing MYT Regulations after prudence check.

**Issue No. 12: Impairment Losses of GNDTP and GGSSTP**

GOP ordered to retire 4 units of GNDTP Bhatinda and 2 units of GGSSTP Ropar w.e.f. 01.01.2018 but ARR of PSPCL is silent on the amount recovered from disposal of the scrap of the material of retired assets and disposal of the Land of Plant and colony of both the projects. Thus PSPCL is trying to retain the sale proceeds of scrap and land/structures as and when these are realized as ARR is totally silent. It is a paper news that PSPCL is to get more than 300 Crore for sale of scrap of GNDTP Bhatinda. Further, Ash dyke area of GNDTP and Power colony of Ropar plant have been handed over to PUDA for development as colonies and PSPCL is likely to get windfall amounts from sale of land. The details need to be provided information and supplying comments.

**Reply of PSPCL:**

In respect of GGSSTP, Rupnagar Sale Order no 1/GGSSTP of Amount Rs 150.45 Crores + GST & Taxes has been placed upon M/S Aashajot Mercantile Pvt. Ltd., Mumbai for disposal of Units 1 & 2 of GGSSTP, Rupnagar. Completion Schedule of Disposal Work is 18 months from the date of commencement of disposal work. Disposal Work has been started in the 3<sup>rd</sup> week of January, 2022. Presently Work for disposal is underway. No special watch & ward staff is deployed in respect of disposal of Units 1&2 of GGSSTP, Rupnagar. PESCO staff deployed at GGSSTP Rupnagar is looking after work of watch & ward of assets of Units 1&2 of GGSSTP, Rupnagar.

Further, in order to cater the additional demand supply during paddy season which goes upto approx. 13,000 MW, these units are to be kept as back up units therefore, these units can't be phased out keeping in view the universal supply obligation under Electricity Act'2003 for uninterrupted power supply to the consumers of Punjab. Moreover, the alternative to replace this with new plants will further result in increase in capital assets cost which will ultimately passed on to the consumers in terms increase in tariff, therefore in order to curtail the extra burden to consumers of Punjab, PSPCL prays to the Commission to continue the running of the thermal power plants of PSPCL.

**Commission's view:**

The Objector may note the response of the PSPCL.

**Specific Issue****Issue No. 13: Cross Subsidy**

i) As per the mandate given under the Electricity Act, 2003 to the Commission, the cross subsidies have to be progressively reduced. The same provision has been made In the National Tariff Policy also, Central government has advised State Regulatory Commissions to fix time frame for eliminating cross subsidy and declare the trajectory upfront. APTEL is also issuing orders for declaring such trajectories. It is requested that the Commission may declare the trajectory in the Tariff Order for FY 2022-23.

(ii) As per Table 6.3 of TO 2020-21, there are only three categories of consumers which are being cross subsidized i.e. AP ((-) 12.05 %), Domestic ((-) 11.05 %) and Compost/RWW 107%). The lowest slab of Domestic Consumers is subsidized the most but the same is not appearing separately in the table.

It is requested that fixing trajectory of gradual elimination of cross subsidy of Agriculture Sector has been badly ignored by the Commission while issuing tariff orders so far, which is mandatory as per law. In the present scenario, where the market is very competitive, it is very difficult for the industry to take the huge burden of cross subsidizing other categories of consumers. It is, therefore, requested that the cross subsidy should be got eliminated in phased manner and a road map may kindly be got drawn by the Commission.

**Reply of PSPCL:**

Factors such as slab and category wise tariff rates, cost of supply, cross subsidy etc. are in the purview of the Commission, keeping in view Electricity Act, 2003 and provisions of the PSERC Tariff Regulations and Acts. The cross-subsidization factor/cost of supply is always taken care of by the the Commission. Further, Clause 8.3.2 of Tariff Policy states as under:

*"8.3 Tariff design: Linkage of tariffs to cost of service*

*2. For achieving the objective that the tariff progressively reflects the cost of supply of electricity, the SERC would notify roadmap within six months with a target that latest by the end of year 2010-2011 tariffs are within  $\pm 20\%$  of the average cost of supply. The road map would also have intermediate milestones, based on the approach of a gradual reduction in cross subsidy...."*

As given in the Tariff Policy, there has to be gradual reduction in cross-subsidy, keeping in view the interest of Utility. The Commission has always endeavored to reduce the cross subsidy as provided under the Electricity Act, 2003 and the Tariff Policy.

Further, if cross subsidy burden on LS consumers is reduced then Tariff for any other category will have to be increased.

**Commission's view:**

The concern is noted. The Commission has always endeavoured to reduce the cross subsidy as provided in the Tariff Policy.

**Issue No.14: Agricultural Consumption**

AP Category of consumers get cross subsidised by the industrial consumers. But, consumption of AP consumers earlier increasing exceptionally year by year has suddenly started showing decreasing trends and again started rising. We are giving below a table showing consumption projected by PSPCL in ARR versus consumption actually occurred in agriculture sector year by year.

| Tariff Year | As proposed by PSEB/PSPCL in ARR (Mu) | Approved by Commission Revised Commission/Revised by PSPCL (Mu) | Difference between projection and finally approved (MU) |
|-------------|---------------------------------------|-----------------------------------------------------------------|---------------------------------------------------------|
| 2013-14     | 12029                                 | 9191 (True up)                                                  | (-) 3838                                                |
| 2014-15     | 11586                                 | 9630 (True up)                                                  | (-) 1956                                                |
| 2015-16     | 11374                                 | 10794 (True up)                                                 | (-) 580                                                 |
| 2016-17     | 11697                                 | 11 546 (True up)                                                | (-) 151                                                 |
| 2017-18     | 12337                                 | 11850 (True up)                                                 | 487                                                     |
| 2018-19     | 11763                                 | 10836 (True Up)                                                 | (-) 927                                                 |
| 2019-20     | 12509                                 | 11468 (True up)                                                 | (-) 1041                                                |
| 2020-21     | 12555                                 | 11743 (RE)/13051 (Actuals)                                      | (+) 496                                                 |
| 2021-22     | 12782                                 | 11956 (RE)                                                      | (-) 826                                                 |
| 2022-23     | 12255                                 |                                                                 |                                                         |

From above table, following has been observed:

i) AP consumption being estimated based on sample meters/grid meters was not correct. Probably this is the reason that PSPCL is not ensuring 100% metering of agriculture consumers as per Act 2003 and not complying with repeated directives of the Commission in this regard. This compelled the Commission to estimate the Agriculture Consumption based on Pumped Energy. Thus the increasing trend of agriculture consumption has been arrested and actual consumption has fallen steeply in audited/actual accounts.

ii) The arguments given by PSPCL in the ARR for allowing higher consumption for Kandi Area feeders have not been repeated in the present ARR and PSPCL has agreed to accept the approach of the Commission. This may be due to the aggressive separation of agriculture consumers from mixed feeders being undertaken as the excuses will not hold good thereafter.

iii) The Commission has disallowed a portion of Pumped Energy of PSPCL for FY 2014-15 to FY 2016-17 as per Suo Motu Petition No 42 of 2016. However, no such exercise was undertaken later. The Commission is requested to undertake such exercise again to stop inflating the agriculture consumption by PSPCL.

(iv) The number of consumers connected load and consumption in Formats D5 and D23 are not depicted in correct form and figures do not co-relate and as such correctly filled formats be made available

(v) The actual consumption of agriculture category for FY 2020-21 now submitted for true up is higher from that submitted in ARR of FY 2020-21 by 426 MU and higher by (13051-11743 ) 1308 MU i.e. by about 11%. This increase is abnormal as there is no report of drought conditions in FY 2020-21

**Reply of PSPCL:**

- All feeders supplying energy to agriculture consumers have been segregated (except for some feeders in the Kandi belt) and energy pumped to all AP feeders is metered. PSPCL is using an online system to record AP feeder energy readings, where data is submitted by concerned Sr XEN Grid Maintenance. Same data is shared on a monthly basis with the Hon'ble Commission and Punjab Government. The AP consumption is evaluated after allowing distribution losses as allowed



by the Commission. Hence the system of computing AP consumption is very transparent and is scrutinized by the Commission in every Tariff Order. 100% metering of around 14 Lac AP consumers is not possible due to stiff resistance from Kisan Unions.

- ii. iii & iv There were around 339 Kandi mixed feeders in the state out of which only 89 feeders have been segregated after facing a lot of public resistance. Still there are around 250 Kandi mixed feeders.
- v. AP consumption in Punjab is highly dependent on Rainfall, water table level and on the date of commencement of paddy plantation. Therefore, there is always a probability of variation in projected and actual agricultural consumption.

**Commission's view:**

The Commission has addressed these issues in detail in the Tariff Order.

**Issue No.15: Interest Cost**

PSPCL is increasing the burden of loans every year. The total loans including working capital loans which were Rs.14649.80 Crore on 01.04.2010 were projected as Rs. 31601.85 Crore on 01.04-2019 (Page 350 of that years ARR). This shows financial indiscipline of PSPCL.

Further, after Rs. 15628.26 Crore were converted as equity of GOP after close down of UDAY scheme, the balance loan workout as Rs.15973.59 Crore on 01.4.2020 which is now shown as 16381.97 Crore (Page 210 of current ARR) is reduced to Rs. 15921 Crore on 31.3.2021. The amount is shown as Rs.16677.35 Crore on 31.03.2022 and Rs.16829.74 Crore as on 31.03.2023. (Page 213 and 214) PSPCL has also brought out in the ARR (Page 55 of the last year ARR) that the loans of Rs.15629 Crore taken over by GOP under UDAY scheme have been reinvested in PSPCL as GOP equity and accordingly the amount has been taken off from Loan Register. However, in the current ARR the amount of loans converted into equity has been reduced to Rs. 4592 Crore (Para 2.20.2 of ARR). The adjustment of Rs. 15628 Crore and now revised to Rs. 4592 Crore needs to be properly checked for which the Commission is requested to audit it properly.

The tendency of incurring expenditure at their convenience by PSPCL by taking loans has to be curbed by the Commission firmly and PSPCL be asked to freeze the loans and seek prior approval for any additional loan which should be sanctioned only after studying its cost benefit analysis and pay back benefits.

**i) Interest on Short Term Loans and Working Capital Loans**

PSPCL has been raising short term loans to meet the revenue shortfall arising out of various factors viz. Non/late receipt of subsidy from the Government, delayed/non payments by Govt Deptts, theft of power and Disallowances of unjustified expenditures etc., Under MYT Regulations, most expenses are allowed on normative basis and thus there are no disapprovals. The Commission is allowing carrying costs of delayed payments of subsidy and PSPCL is getting Late Payment Surcharge from consumers for delayed payments. PSPCL is getting ROE but not paying the same to GOP. The mismatch between the ARR approved by the Commission in the Tariff Order and actual expenses incurred by the PSPCL should be met through internal accruals and ROE being retained by PSPCL.

Post Uday Scheme, PSPCL has worked out the Working capital as per normative for Distribution and Generation in Tables D14 and G25 which reveal that against total net normative working capital for FY 2021-22 of Rs. 4395.28 Crore for distribution + Rs.951.99 Crore for generation = Rs. 5347.19 Crore (net of Consumer Security Deposit against which PSPCL has already raised working capital loan of Rs. 6902.68 Crore as on 01.04.2021 projected as Rs. 7704.38 Crore on 31.3.2022 (Page 213). After such financial indiscipline, PSPCL is seeking interest on actual WC loan as well as interest on unpaid Subsidy of GOP.

It is also stated that PSPCL has also claimed interest of Rs. 67.78 Crore, Rs.59.26 Crore and Rs.39.88 Crore respectively for FY 2020-21, FY 2021-22 and FY 2022-23 respectively on GPF amount deposited by employees. This amount just like Consumer Security deposit has also been used by PSPCL to meet the working capital and as such the factual WC being utilized by PSPCL is much more than being reflected here. The Commission may direct PSPCL to give clarity on where these amounts have been utilized or invested and interest charges should be allowed accordingly.

**Reply of PSPCL:**

PSPCL avails the working capital loans to meet with its working capital requirement due to non-receipt of Government department dues, non-receipt of timely subsidy from GOP and due to cash losses of PSPCL. PSPCL is being claiming interest charges on the basis of actual interest paid against the loans availed by PSPCL, whereas the Commission allows the same on normative basis. As such the interest burden of excess working capital loans is being borne by PSPCL and is not being passed on to the consumers.

PSPCL raises the Working Capital Loans for meeting its day-to-day expenditure towards purchase of power, fuel cost etc. By adopting UDAY Scheme, PSPCL can raise Working capital loans upto 25% of the previous year revenue. While submitting the ARR, PSPCL has made the provision of interest on Working capital loans by restricting its working capital loans upto 25% of previous year revenue.

Moreover, after unbundling of PSEB, GPF Trust has been established and GPF subscription of employees is being transferred to Trust by PSPCL on monthly basis. PSPCL is making monthly repayments towards its GPF liability which has been parked to PSPCL at the time of unbundling of PSEB. Further, As per regulation 41(a) of Provident Fund Regulation 1960 "G.P Fund balances, after deducting final payments, permanent and temporary advances as admissible under these Regulations will be available for use by the Board in meeting its Capital Expenditure under the Plan." As such the objection regarding reduction of GPF Balance for calculation of normative working capital and interest thereon is not justified

**Commission's view:-**

Interest Cost is determined by the Commission in-line with the prevailing PSERC MYT Regulations after prudence check.

**Issue No. 16: Power Purchase Cost**

**A)** One of the main reasons of increase in expenses in ARR of PSPCL is power proposed to be surrendered on merit order principle due to commissioning of new IPP stations of Talwandi Sabo, Rajpura and Goindwal Sahib in Punjab and PPAs executed with Interstate Generating Stations which are being commissioned now. This will only save the energy/variable part of tariff but PSPCL has to bear the capacity/fixed charges for such non purchase of power. This position was predicted by the Commission and in this regard directive given to PSPCL in TO 2013-14 at page 83 para 4.8.5 may be referred to directing PSPCL to review all the PPAs and surrender costly powers in view of commissioning of IPPs in the state. However, the Directive was dropped in TO 2018-19.

Thus there is no solution with PSPCL for this excess power and there is no other initiative since it is well known to PSPCL that consumers will continue to bear the capacity charges for idle capacity. PSPCL has been selling power whenever market conditions are favorable / sale rate on Power exchange is viable, but it is not so round the year. Thus PSPCL has to come out with strategy to increase consumption by existing / prospective consumers of Punjab so that consumers do not go in for captive generation for self-use and facilitating conditions have to be provided by GOP/PSPCL/PSERC. PSPCL should change its mind set to encourage increase in consumption by the industry and other consumers.

Instead of bringing reforms in its working by adopting consumer friendly practices enabling ease of doing business, it is creating environment in which industry feels suffocated and pressed against the wall. Billing errors are prevailing on large scale and industry has to run from pillar to post to get the errors rectified.

Facility of pre paid meters is not being made available since PSPCL will have to refund the security amount of the consumers. Remote reading of LS consumers under SAP has been introduced but neither display units are being provided to consumers nor initial and final reading for TOD time blocks are being conveyed for cross-checking. Software update for revised tariff is delayed and in the meanwhile consumer suffers. Threshold limit is not displayed on bills in advance. Supplementary bills are issued without providing details and consumers are asked to pay with-in 10 days which are quite inadequate for arranging huge amounts.

Such reform measures should not be left at the mercy of PSPCL and time bound action needs to be ensured as it will encourage consumers to plan their consumption in an efficient manner.

**Reply of PSPCL:**

Fix charges have to be paid against the reliability of source exclusively kept reserve to supply power to PSCPL. And surrender of power is inseparable part of power system operation based on demand variation due to various reasons like huge seasonal demand variation. PSPCL has taken various steps of relinquishing its share from projects, considered not being utilized, in recent years.

**B)** PSPCL has provided month wise details of Unschedule Interchange charges in Fomat D 29 of ARR (Page 241) which shows that PSPCL has most of the time under drawn the energy under UI and has also paid to the UI pool. This is a double blow to the consumers as in addition to the cost power purchase, consumer has to bear the cost of surrender also. Further, Additional UI charges paid to UI pool of Rs.16.53 Crore in FY 2020-21 and Rs. 37.68 Crore for H1 of FY 2021-22 are not payable in ARR as per CERC orders and previous practice being followed by the Commission.

**Reply of PSPCL:**

PSPCL never intends to purchase of power through UI by overdrawing and sale power by under drawing through UI. Over drawl & under drawl are part of system, because Punjab being a heavy power consuming State where load variations are frequent & caused by a no. of reasons such as day & night, crops season, winter & summer – domestic load variations. Most of them are dependent on weather. UI cost indicates Net cost of under drawn & over drawn energy. During load crash situations, normally frequency is higher and UI rate is lower, so under force majeure conditions power in grid is injected at very lower rate and during normal periods when energy is drawn from grid even at normal rates, net amount comes out to be irrational. Inspite of such multifarious power system, by putting best efforts PSPCL has managed to keep net UI energy to be very negligible in comparison to total power exchanged by PSPCL for state of Punjab as a whole.

**C)** As per data of Format D2, Actual surrender of power during FY 2020-21 is shown as 12093 Mu with payment of fixed charges of Rs 1365.39 Crore which works out to Rs 1.13 per unit. The average Variable cost as per format D3 for FY 2020-21 is Rs 2.72 per unit as per page 169. The figures of surrender power and Fixed charges paid for idle capacity for FY 2021-22 based on actuals for H1 and Projections for H2 are stated as 9289 Mu and Rs. 938.80 Crore which works out as Rs 1.01 /unit whereas the average Variable cost is 3.03 per unit

The figures of projected surrender power and Fixed charges paid for idle capacity for FY 2022-23 are stated as 6900 MU and Rs. 713 Crore respectively which works out as Rs 1.03/unit and the average variable cost is Rs 2.94 per unit.

Assuming the variable cost of Rs 3 per unit and 50% of fixed cost of surrendered power i.e. Rs 0.60 per unit PSPCL and the Commission needs to bring incentivized sale of power @ Rs 3.60 whosoever replaces the captive power with PSPCL power.

The surrender of power needs to be reviewed/checked every month in view of changing scenario of coal cost due to allotment of coal mines thro' bidding process, variation in imported coal prices and increasing gas prices.

**Reply of PSPCL:**

While determining tariff for sale of power to the consumers the Commission considers other costs too in addition to indicated power purchase cost. PSPCL already has a practice to review variable costs of projects on monthly basis.

**D)** Perusal of year wise power purchase data given reveals that PSPCL is not exercising due care in its planning of power purchases as under:

**a) True Up for 2020-21 (Page 165-169)**

- i) As disclosed by PSPCL in the ARR, the allocated capacity of Anta Auriya and Dadri gas has already been surrendered and the notice period will be over in February 2022 no comments are being offered for the same. This is a welcome step and will help the discom to reduce the cost of idle power. Similar exercise needs to be undertaken for other coal based plants as and when their useful life is over till we are rid of the surplus capacity.

**Reply of PSPCL:**

PSPCL is constantly putting efforts to optimize Power Purchase Cost wherever feasible.

- ii) PSPCL has under drawn 297.37 MU and have also paid Rs. 12.68 Crore to UI pool account. This is a double blow to consumers as power had also been surrendered and payment has also been made. Thus PSPCL is not able to manage its scheduling and drawl.

**Reply of PSPCL:**

PSPCL never intends to purchase of power through UI by overdrawing and sale power by under drawing through UI. Over drawl & under drawl are part of system, because Punjab being a heavy power consuming State where load variations are frequent & caused by a no. of reasons such as day & night, crops season, winter & summer – domestic load variations. Most of them are dependent on weather. UI cost indicates Net cost of under drawn & over drawn energy. During load crash situations, normally frequency is higher and UI rate is lower, so under force majeure conditions power in grid is injected at very lower rate and during normal periods when energy is drawn from grid even at normal rates, net amount comes out to be irrational. Inspite of such multifarious power system, by putting best efforts PSPCL has managed to keep net UI energy to be very negligible in comparison to total power exchanged by PSPCL for state of Punjab as a whole. In view of this actual cost during True-up shall be considered.

- iii) Late Payment Surcharge and TDS claimed as Rs 12.78 Crore at Sr. No.89 need to be disallowed as Early Payment Rebate is not being counted in Power Purchase cost and being retained by PSPCL and PSPCL gets refund of TDS at a later stage.

**Reply of PSPCL:**

The Commission allows interest on working capital on normative basis. PSPCL manage its fund as per availability and make payments on rebate or make payments after due date and LPS is paid on these payments to some generators. As rebate is allowed by the Commission to PSPCL only for 50% of amount of the total rebate, the LPS amount paid by PSPCL may also be allowed to PSPCL or full amount of rebate may please be allowed to PSPCL.

- iv) Previous Year Payments/adjustments of Rs 1603 Crore need to be scrutinized and justified amount need to be considered under prior period payments. Main amounts relate to IPPs of Punjab which needs to be checked as PSPCL has also claimed Additional Surcharge from consumers for these IPP projects. Further, counting of Prior period in the year of payment increases the rate of power in current year sending wrong signals for MOD.

**Reply of PSPCL:**

Its is submitted that amount paid to NPL and TSPL as per SC Order dated 09.03.21 is as under: -

| Amount paid to NPL in compliance to Hon'ble SC order dated 09.03.21 |                                  |                     |                      |
|---------------------------------------------------------------------|----------------------------------|---------------------|----------------------|
| S.No.                                                               | Year                             | NPL (Amount in Rs.) | TSPL (Amount in Rs.) |
| 1.                                                                  | 2014-15                          | 62,20,88,536        | 32,41,25,052         |
| 2.                                                                  | 2015-16                          | 1,13,96,30,037      | 15,72,24,975         |
| 3.                                                                  | 2016-17                          | 1,73,42,00,080      | 3,40,11,658          |
| 4.                                                                  | 2017-18                          | 74,94,63,554        | -64,43,266           |
| 5.                                                                  | 2018-19                          | 1,00,66,56,133      | 73,58,28,455         |
| 6.                                                                  | 2019-20                          | 1,09,79,94,863      | 79,01,17,908         |
| 7.                                                                  | 2020-21 (Upto Jan-2021)          | 55,13,73,496        | 83,94,79,893         |
| 8.                                                                  | Principle Amount (1+2+3+4+5+6+7) | 6,90,14,06,699      | 2,87,43,44,675       |
| 9.                                                                  | LPS (upto 25.03.21)              | 1,66,23,93,542      | 1,13,45,53,624       |
| 10.                                                                 | Simple Interest (Upto 31.05.21)  | 1,74,73,87,018      | 1,48,89,76,605       |
| 11.                                                                 | Total (8+9+10)                   | 10,31,11,87,259     | 5,49,78,74,904       |

Further, it is intimated that the following has been claimed in previous year charges for ARR for FY 2020-21 is as under: -

|                                    | NPL            | TSPL           |
|------------------------------------|----------------|----------------|
| Principal Amount upto 2019-20      | 6,35,00,33,203 | 2,03,48,64,780 |
| LPS amount                         | 1,66,23,93,542 | 1,13,45,53,624 |
| Simple Interest upto 31.03.21      | 1,72,88,37,974 | 1,47,99,92,983 |
| Amount paid for Debit Credit Notes |                | 41,88,53,755*  |
| Infirm and shunting                |                | 18,53,27,396*  |
| Total                              | 9,74,12,64,719 | 5,25,35,92,538 |

It is clarified that Rs. 1499 crores (has been paid to NPL and TSPL. Out of this Rs. 1439 crores has been paid as per SC order dated 09.03.21 and the remaining Rs 60.42 crores have been paid to TSPL, in regard to Debit Credit Notes and Infirm and Shunting Charges.

Further regarding MOD, it is clarified that MODs are determined by variable rate for particular month and previous years payments don't effect the MOD for current month.

- v) The feasibility of surrender of allocation from Unchahar and Meja Station of NTPC and Pragati Gas need to be explored in view of high cost of power vis a vis NPL and TSPL. Similarly as MOP has not allocated any share to Punjab during Paddy from unallocated share, the allocation from unallocated share of Unchahar IV and Dadri II be surrendered permanently being costly.

**Reply of PSPCL:**

Notices for termination of PPAs with Meja TPS and Pragati Gas Station were issued by PSPCL on dated: 05.10.2021. However, operation of the notices has been stayed by Hon'ble APTEL.

**Commission's view:-**

The objector may note the repose of PSPCL. Further, the Power Purchase is determined by the Commission in-line with the prevailing PSERC MYT Regulations after prudence check and accordingly the objector may refer the Tariff Order.

**Issue No. 17: EMPLOYEES EXPENSES:**

In the ARRs, employee cost has been claimed as under for previous years:

|                              | Projected by PSPCL in ARR |              | Approved by PSERC |              | Trued up/RE approved by PSERC |               |
|------------------------------|---------------------------|--------------|-------------------|--------------|-------------------------------|---------------|
| 2014-15                      | 5350.89                   |              | 4286.13           |              | 4076.47 (True UP)             |               |
| 2015-16                      | 5480.61                   |              | 4540.81           |              | 4397.99 (True Up)             |               |
| 2016-17                      | 5715.97                   |              | 4835.58           |              | 4551.87 (True Up)             |               |
|                              | Generation                | Distribution | Generation        | Distribution | Generation                    | Distribution  |
|                              | Projected in ARR          |              | Approved by PSERC |              | Trued up/RE as per TO         |               |
| 2017-18                      | 1029.97                   | 4338.57      | 722.01            | 3966.29      | 736.45 (TU)                   | 3744.52 (TU)  |
| 2018-19                      |                           | 4235.52      | 746.2             | 4099.19      | 600.40 (TU)                   | 3796.61 (TU)  |
| 2019-20                      | 1195.07                   | 4553.11      | 620.85            | 4313.65      | 869.60 (TU)                   | 3869.42 (TIJ) |
| 2020-21                      | 1096.52                   | 4144.27      | 912.93            | 5099         |                               |               |
| Now Projected in ARR 2022-23 |                           |              |                   |              |                               |               |
| 2020-21                      | Actuals as per Table 20   |              |                   |              | 933 (Act)                     | 3875 (Act)    |
| 2021-22                      | 1146.21                   | 4332.09      | 705.26            | 4032.01      | 1022 (RE)                     | 4247 (RE)     |
| 2022-23                      | 1200/1077                 | 4536/4475    | 735.47            | 4204.77      |                               |               |
|                              | (MYT/ARR)                 | (MYT/ARR)    |                   |              |                               |               |

The claims made for Employee cost in ARR are highly inflated and actuals have come down drastically. As per Hon'ble APTEL order, audited Employee Cost has to be approved in True up. Therefore, either PSPCL needs to control the employee cost or else it is requested that all the recruitments of new employees should be subject to the approval of the Commission. PSPCL also needs to explain as to how it was giving justifications for inflated figures in the ARRs.

The following Parameters of Employee cost need perusal: -

|                                     | 2015-16      | 2016-17      | 2017-18      | 2018-19      | 2019-20                          | 2020-21      | 2021-22   | 2022-23 |
|-------------------------------------|--------------|--------------|--------------|--------------|----------------------------------|--------------|-----------|---------|
| Employee Cost (Rs.Cr)               | 4397.99 (TU) | 4551.57 (TU) | 4480.97 (TU) | 4397.01 (TU) | 4739.02 (TU)                     | 4808(Actual) | 5269 (RE) | 5552    |
| Total Sale in state (MUs)           | 40600        | 43778        | 47374        | 47407        | 48147                            | 55582        | 62864     | 65192   |
| Employee Cost per unit (Paisa/unit) | 108          | 104          | 95           | 93           | 116                              | 87           | 84        | 85      |
| No of Employees                     | 39157        | 39036        | 35413        | 35359        | Format D 33 not included in ARR. |              |           |         |
| Per Employee Expenditure in Lacs    | 1.232        | 11.660       | 12.653       | 13.17        |                                  |              |           |         |

The above reveals that in spite of all the claims made by PSPCL for containing the employee cost i.e. reduction in no of employees, making urgent new recruitments on contract basis, increasing demand of power in the state and improved employees performance parameters etc., the employees cost per unit has started increasing abnormally which is unjustified and defies any logic in reference with WPI and CPI. In spite of decrease in no. of employees in the ARR there is increase in employee cost per unit which needs to be looked into from WPI angle.

The abnormal decrease in employee cost during true up over the ARR figures confirms our argument that projections are initially inflated to claim higher revenue. PSPCL is unable to find the real cause of abnormal increase in employee cost year after year compared with the increase admissible as per Regulations in spite of repeated disallowances.

The figures of Employee cost for FY 2021-22 and FY 2022-23 are inconsistent with the trend and these are bound to escalate after the effect of Pay commission and new recruitments are taken into consideration. Further, many concessions like increase in pay grades and starting salaries to some categories have been given due to election year. This is wrong practice and unduly burdens the consumers. The Commission has been allowing increase in employees cost on the basis of WPI and CPI as per Tariff Regulations. Therefore, increase in employees cost on the basis of regulations may be allowed for the period. Any additional expenditure should be met by the PSPCL by way of internal efficiency improvement or by way of reducing their costs over and above the performance levels fixed by the Commission or from the ROE which is being retained by PSPCL and not being passed on to GOP.

#### **Reply of PSPCL:**

The employee cost is being projected as per applicable Regulation 26 of the PSERC MYT Tariff Regulations, 2019. However, the impact of 6<sup>th</sup> Pay Commission on employee cost as the same is being under implementation, as and when the financial liability of the same is being fixed, PSPCL will claim the same in next ARR filing.

#### **Commission's view:**

Employee cost is determined by the Commission in line with the prevailing PSERC MYT Regulations after prudence check.

#### **Issue No. 18: Tariff For Power Intensive LS Industry (PIU) based on power factor:**

The tariff of General Vs PIU industries in highest slabs for various years is tabulated as under:-

| Category   | 2016- | 2017-18<br>(9 months) | 2017-18<br>(3 months) |      | 2018-19 |       | 2019-20 |      | 2020-21 |      |
|------------|-------|-----------------------|-----------------------|------|---------|-------|---------|------|---------|------|
|            | EC    | EC                    | EC                    | EC   | FC      | EC    | FC      | EC   | FC      | EC   |
| General    | 6.03  | 6.55                  | 230                   | 5.78 | 240     | 5.9   | 260     | 5.98 | 260     | 6.19 |
| PIU        | 6.22  | 6.75                  | 295                   | 5.98 | 280     | 6.1 1 | 295     | 6.19 | 295     | 6.41 |
| Difference | 0.19  | 0.2                   | 65                    | 0.2  | 40      | 0.21  | 35      | 0.21 | 35      | 0.22 |

| Category   | 2021-22 |      |
|------------|---------|------|
|            | FC      | EC   |
| General    | 285     | 6.27 |
| PIU        | 315     | 6.49 |
| Difference | 30      | 0.18 |

Thus the PIU industry has been put in a disadvantageous position under two part tariff as in addition to existing 20 paise per unit in single part tariff, PIU industry was loaded with Rs. 35 to Rs 65/kVA/Month also compared with General Industry. Based on the comments submitted by PIU industry and submissions made in Public Hearings, the Commission reduced the FC in the TO of FY 2018-19 observing as under in Para 4.5.1 of TO for FY 2018-19:

*"The Commission notes that the provisions for compliance with the specified harmonics standards, measurements/monitoring of harmonics currents generated by a consumer and provision for penal action against consumers contributing harmonic distortion in excess of the specified standards already exists in Regulation 24 of the Supply Code 2014. However, PSPCL is yet to submit a proposal before the Commission, regarding the penalty to be levied on the consumers contributing harmonic distortion in excess of the specified standards Thus, till a system for measurements/monitoring of Harmonics currents generated by a consumer and levy of penalty on the consumers contributing harmonic distortions in excess of the*

*specified standards is put in place, the Commission decides to give some relief in the fixed charges payable by the Arc/ PIU units.*

PSPCL opposed the merger of PIU and General Industry category as per para (vi) of Page 190 of ARR of FY 2019-20 on the same logic. Now the Commission has amended the Supply Code Regulations to include Regulations on harmonics which were to become operational w.e.f. 01.10.2021. However, since the Power Quality meters are yet to be procured by PSPCL, the implementation has been delayed.

It is unfair to impart undue preference to General Industry consumer's vis-a-vis PIU. PSPCL is conveniently forgetting that PIU industry has higher utilization factor and also better power factor than general industry. Therefore, as and when Harmonics regulations are implemented, PIU and general categories be merged with one tariff.

Tariffs based on kVAh should be rationalized and the Commission may look into it keeping in view the higher Power factor and higher Load factor of PIU industry even after harmonic injection is regularized and pass on the benefits accruing to PSPCL in view of improved voltage profile and reduced line losses to PIU consumers also keeping in mind the fact that all expenditure on equipment installed is borne by the consumer.

**Reply of PSPCL:**

It is submitted that procurement of Power Quality Meters, necessary training for installation, retrieval and analysis of power quality data and shortlisting the manufacturer(s) of Power Quality Meters was yet to be done by the PSPCL and the list of designated consumers who have yet to comply with the provisions of Regulation 24.4 of Supply Code-2014 is yet to be supplied by the PSPCL field offices. Subsequently, comprehensive proposal for levy of suitable penalty for injecting harmonics above the permissible limits as specified in Supply Code-2014 may be prepared by PSPCL after obtaining the list of designated consumers from PSPCL field offices. After proposal for levy of suitable penalty for injecting harmonics, the Commission shall decide tariff

**Commission's view:**

The Commission has taken note of the issue raised by objector.

**Issue No. 19: Return on Equity**

**A) Conversion of Consumer Contribution on Subsidy to equity through FRP:**

The FRP approved by GOP has increased the cost of assets by revaluation/merging of consumer contribution, subsidies and grants with its equity leading to increase in the equity share capital of GOP in PSPCL from Rs. 2617.61 Crore to Rs. 6081.43 Crore w.e.f 16.04.2010 which has led to increase of ROE from Rs. 607.55 Crore in ARR to Rs.1411.50 Crore i.e. an increase of 232% in both the figures without any fresh investment by GOP or PSPCL. This revaluation is causing cyclic increase in ARR for subsequent years also. Revaluation of dead assets is neither a cash flow nor the increased cost of assets is reclaimable for cash flow. These revaluated assets remain in books only and it cannot be used for any improvement in financial performance of the licensees. GOP has already recalled its loans advanced to the then PSEB due to financial crunch in GOP due to huge subsidy amount of agriculture power. Now GOP may start recalling its equity from PSPCL or adjust it against the subsidy amount forcing financial crunch in PSPCL.

Earlier Regulation 25.4 was very clear that only cash infusion is to be treated as equity for grant of ROE. The consumer contribution, grants and subsidies are not cash flow for the purpose of equity as per settled financial principles and this has been acknowledged by the Commission in the proposed amendment of Regulation 25.4 and more recently in MYT Regulations.

This matter was appealed in APTEL and it has already directed the Commission to reconsider the issue vide judgment Dated 17-12-2014 in Appeal No 168 and 142 of 2013 as under:

*"We direct the State Commission to adjust the excess amount of ROE in the impugned order from the FY 2011-12 onwards in the ARR/ True up for the year to provide relief to the consumers.*

*Issue No. (iii) Relating to Return on Equity, Consumers Contributions, Grants, Subsidies etc. 50.3 The findings of this Tribunal in Appeal no. 46 of 2014 shall squarely apply to the present case. The State Commission shall re-determine the ROE as per our directions and the excess amount allowed to the distribution licensee with carrying cost shall be adjusted in the next ARR of the respondent no.2."*

PSPCL has filed an Appeal against the said Order in Hon'ble Supreme Court and stay has been granted. Accordingly we will approach the Commission to re-determine ROE for all the years w.e.f 2011-12 onwards after the verdict of the Hon'ble SC.

**B) Loans taken over by GOP under UDAY scheme:**

PSPCL had proposed in Para 4.17 of the ARR of FY 2020-21 that loans taken over by GOP under UDAY scheme on 31.03.2020 amounting to Rs. 15628.26 Crore have been converted into equity of GOP in PSPCL. PSPCL had accordingly converted the UDAY loans into equity of GOP on 31.03.2020 whereby GOP equity in PSPCL was increased from Rs. 6081.47 Crore to Rs. 21709.74 Crore (Rs. 10077.98 Crore for generation + Rs. 11631.76 Crore for distribution) and increase in Return on Equity @ 15.5% for Generation and 16% for Distribution i.e. from Rs. 943 Crore in FY 2019-20 to Rs. 3422.17 Crore in FY 2020-21 and FY 2021-22 (Rs. 1562.09 Crore for Generation + Rs. 1861.08 Crore for distribution).

This was objected to by the consumers since MOU entered into between PSPCL, GOP and MOP dated 04.03.2016 regarding implementation of UDAY scheme in Punjab clearly says that the Loans of Rs. 15628.26 Crore are to be adjusted by conversion of Rs. 11728.26 Crore as GOP grant at the end of 5th year and Rs. 3900 Crore as equity. GOP and PSPCL cannot make their own paper entries at this stage for the whole amount of loan into equity as it will kill the very purpose of the UDAY scheme and will be illegal.

It was also pointed out that for the purpose of grant of ROE the equity actually contributed and subscribed by GOP is to be considered and any subscription for equity must be through cash flow and not through book adjustment as it will cause undue burden to the consumers of the state. It is not mandatory for the Commission to consider the equity as projected by PSPCL for the purpose of ROE irrespective of what is being shown in Balance Sheet (as decided by Hon'ble APTEL in above referred Appeal) and can work out the actually contributed equity for the purpose of ROE.

It was also submitted that UDAY scheme was for Discoms only and only loans for distribution were considered under UDAY. PSPCL knowingly and without any basis, diverted the purported equity of discom to generation business to maintain loan equity ratio only. The Commission was kind enough to reject the claim of PSPCL for ROE on UDAY loan amount.

**C) New Proposal**

PSPCL in this ARR has come out with a new proposal that the UDAY loan of Rs. 15628 Crore includes Rs. 2246.77 Crore as capital loans. Further, out of balance Rs. 13381 Crore, Loans of Rs. 2346.19 Crore were diverted for capital works. Thus, a total of Rs. 2246.77 Crore + Rs. 1346.19 Crore = Rs. 4592.96 Crore have been used for capital works and have been considered as equity and ROE has been claimed on Rs. 6081.43 Crore + Rs. 4592.96 Crore = Rs. 10674.39 Crore and ROE has been claimed as 16.84% in the ARR @ 15.77%. This equity has also further allocated to Distribution and generation business without any justification.

Loans under UDAY scheme was at an interest rate of about 8.4% whereas after conversion into equity, consumers will have to bear the ROE @ 15.77%. While interest on loan is recoverable by PSPCL from consumers for payment to banks, ROE is recoverable from consumers and being retained by PSPCL for adjustment against its losses due to inefficiencies and wrong planning. The proposal of PSPCL to convert the UDAY loans into equity in this fashion be rejected as PSPCL is trying to load the consumers with unjustified ROE one way or other and there is no cash flow in this case also. If ROE is allocated it will be against the orders of Hon'ble APTEL which have only been stayed and not set aside till date.

**D) Rate of Return on equity.**

PSPCL has claimed ROE for FY 2020-21 and FY 2021-22 @ 16% and for distribution business @15.5% for Generation Business. There is no justification for additional claim of 0.5% for distribution business as both the businesses are under same management, there is one balance sheet and risk factors are same and ROE be allowed on only admissible equity @ 15.5% for both businesses.

MYT Regulation, 2019 is very clear that the Debt Equity ratio will be kept as normative 70:30, if the actual equity is more than 30% and actual equity be considered if it is less than 30%. Therefore there is no requirement of artificially financing the capital works with more than 30% equity by withdrawing loan on 8% to 9% and converting it into equity earning 15.5% to 16%. ROE on the same thereby loading the consumers by 7% to 8% of Return. Such arrangement needs to be rejected out rightly with strong message to the Licensee that such attempts to increase the sale rate of power on artificial means.

**E) Report Of The Forum Of Regulators On "Analysis Of Factors Impacting Retail Tariff And Measures To Address Them** gives many suggestions to reduce Retail tariff of discoms and same be implemented in Punjab at the earliest.

**Reply of PSPCL:**

As per clause 1.2 of MOU under UDAY scheme, 75% of PSPCL's debt as on 30.09.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to MOU, Non-SLR bonds



amounting to Rs.15628.26 Crore were issued by Govt.of Punjab and transfer this amount to PSPCL as GOP loan uptoFY2019-20 and on 31.03.2020 converted this loan into equity.

Amount of Rs.15628.26 Crore comprise of Rs. 2246.77 Crores Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore uptoFY2019-20 being Capex Loans.

The Commission has disallowed the interest on Working Capital Loans used for Capital Expenditure as per annexure attached from FY 2010-11 to FY 2018-19. These Rs.2346.19 Crore Working Capital Loans has been used for Capital Expenditure duly approved by the Commission.

In this regard it is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) has been converted into equity and this loan in FY 2020-21 and FY 2021-22 does not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20.

**Commission's view:**

Return on Equity is determined by the Commission in-line with prevailing PSERC MYT Regulations after prudence check.

**Objection No. 11: Chamber of Industrial and commercial undertakings**

**Issue No. 1: Adoption of latest cost effective technology**

PSPCL is hardly doing any kind of rigorous and consistent efforts to adopt the latest technology in power transmission & distribution systems. The same old equipment & technology are being used since last many years and no effort has been made to use the latest technologies such as Smart Grids and distribution system automation to reduce outage time /maintenance man-power cost. It needs to adopt latest cost effective technology and compact man-less power plants/sub stations to reduce its operation cost and help to reduce revenue requirements.

**Reply of PSPCL:**

PSPCL is incurring necessary expenditure as per section 9.2.1 of the PSERC Electricity Supply Code Regulations, 2014 to ensure upgradation, strengthening & extension of the distribution system to meet the demand for electricity including future growth. PSPCL has already implemented various central/state sponsored schemes in the State of Punjab to develop and maintain an efficient and economical distribution system for providing seamless power to its consumers.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 2: Recovery of Government Dues**

No efforts are being made by PSPCL for recovery of hefty dues from the Punjab Govt. in shape of Subsidies, Excess interest paid by PSPCL to Punjab Govt. in earlier years and carrying cost of tariff gap of certain years. It is really need of hour now to take rigorous steps to recover all these kinds of dues along with interest from the Punjab Govt. so that burden of interest cost paid by PSPCL on borrowed funds to financial institutions could be reduced to a certain extent which further leads to reducing the fixed cost of PSPCL and there would be hardly a need to increase the tariff of electricity as demanded by PSPCL and reduce revenue requirement.

**Reply of PSPCL:**

Efforts are being made by PSPCL for the recovery of hefty dues from the Punjab Govt. in shape of subsidies. PSPCL has requested various times to the O/o Principal, Secretary/Power, Govt. of Punjab Chandigarh for claiming pending subsidy amounting to Rs.7175.07 Crore vide its letter No. 313/316 dt.8.06.2021, 772/73 dt.24.08.2021 and 1313/14 dt.1.11.2021.

Further with regard to carrying cost of tariff gap related to delay in notification of opening balance sheet after un-bundling the case is pending in the Hon'ble Supreme Court.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No.3:**

Adoption of a strong will power and dedicated behaviour towards change in policies of PSPCL and Punjab Govt. are really required in the interest of general public.

**Reply of PSPCL:**

PSPCL is adhering to the current applicable policies and regulations of State electricity Regulatory Commission and State of Punjab in the interest of general public.

**Commission's view:**

The positive suggestions of the stakeholder is noted.

**Issue No. 4: Increasing the efficiency**

PSPCL should need to increase efficiency in the generation of power through adoption of latest technology and optimum utilisation of scarce resources rather than resorting to power cuts and hike in tariff rates which will never help in the long term to survive and also not good in the public interest. The Punjab Govt. and PSPCL need to do collective efforts to tackle the problems. Repeated tariff revisions to get temporary relief will not serve the purpose.

**Reply of PSPCL:**

Efficiency of PSPCL plants was down in the last couple of years due to very less PLF and frequency of start/stop, in the current years due to non-availability of cheap power, units are running continuously and efficiency will go up. PSPCL plants are required during the Peak load of paddy season and with the operation of Pachwara Mine, cost of generation will come down and cheaper power will be available from these plants also.

**Commission's view:**

The Commission has taken note of the issue raised by objector.

**Issue No. 5: Revenue Loss due to non-recovery of default amount**

Revenue loss due to non-recovery of default amount as well as current billing charges towards the Govt. Deptts. & Boards/Trust/Corporations/Religious Bodies etc. are increasing at significant rate/amount & PSPCL has failed to take effective steps to recover these losses incurring regularly, causing increase in tariff and other cess and surcharges, contributing to higher cost of electricity tariff, which could otherwise be avoided. The Commission should ensure 100% recovery of such amounts in FY 2022-23 to reduce the revenue requirement as per the ARR.

**Reply of PSPCL:**

As most of the Govt. Departments are covered under the Essential Services as such the electricity connections of these connections are not being disconnected by PSPCL in general, because it may have a very severe impact on the public of the area. Moreover, Govt. of Punjab has declared to deposit the amount of outstanding dues of Water Supply Schemes of Rural areas and is expected to be deposited shortly. PSPCL is striving hard to recover the same and rest of the outstanding dues from Govt. Departments. In case of Department of Local Government, due amount of electricity bills is also adjusted toward Municipal Taxes (which is collected from PSPCL consumers on Behalf of Local bodies). Further, PSPCL officials are regularly in contact with the concerned department of GOP to pursue them to clear outstanding dues of PSPCL.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 6: Misuse of free & subsidized power**

Misuse of free & subsidized power and unauthorized load extension particularly by AP consumers must be controlled effectively to avoid heavy revenue losses. Restructuring of demand during paddy season should be planned and executed more efficiently for regular and quality power supply to consumers.

**Reply of PSPCL:**

Although checking is conducted to identify unauthorized load, PSPCL field employees face a lot of resistance from Kisan Unions. The demand during paddy season is structured in such a way that Agricultural demand is catered in three time groups so that overall power demand can be met.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 7:**

The supply of electricity can become profit making business. Quality power supply should be provided for 24 hours. Frequent scheduled/unscheduled power cuts with poor power supply must be controlled at all costs.

**Reply of PSPCL:**

- Regular maintenance is being done to improve the quality of power supply.
- Scheduled cuts are imposed only for maintenance & development activities and the same are advertised in the leading newspapers.
- Normally unscheduled power cuts are not imposed by PSPCL. Sometimes PSPCL is forced to impose unscheduled power cuts due to events beyond its control like sudden outage of power

generation/400 KV lines, storms, accidents etc. Permits taken by JEs for attending any emergent fault are properly recorded.

**Commission's view:**

Suggestion noted. The Objector may note the response of PSPCL.

**Issue No.8: Employee Cost**

- a) Restructuring of manpower in true sense is required to reduce manpower cost regularly. There is a need to employ efficient people and to ensure effective utilization of manpower at the right place and right time.

**Reply of PSPCL:**

PSPCL is already in the process of restructuring the manpower by employing right person at right place at right time and abolishing the post in order to optimize employee cost.

**Commission's view:**

Suggestion noted. The Objector may note the response of PSPCL

**Issue No. 9: Cost of Power Purchase**

- a) The purchase cost of power from the external sources has been increasing every year which results in escalation in input cost of energy prices resulting in additional revenue requirements. PSPCL should make effective steps to arrange required power from the central pool or from certain other cheaper sources rather than purchasing from the open market at higher rates.
- b) The cost of power in lean periods is less but it is high when purchased in peak summer for rice growing. This extra high cost energy is purchased solely for subsidized agricultural sector. The amount of subsidy is calculated by taking the average cost of power. In this way the additional burden of subsidy is passed on to the industrial consumers. The Govt. should go for alternative crops patterns and must decrease the paddy fields. It will result in saving of costly energy and avoid the depletion of water level in the State. The extra cost of energy should not be passed on to industrial consumers. The industrial sector is already becoming sick day by day due to increase in cost of electrical energy, especially after COVID - 19 Pandemic. So, PSPCL should take necessary effective steps to provide cheaper power to the industry specially MSME units in the post COVID period to revive the industry.

**Reply of PSPCL:**

- a) PSPCL takes all possible steps, for reducing power purchase cost by exploring all energy market mechanisms, sources at its disposal within /outside state subject to various technical hindrances and ensuring reliability of power supply and keeping in view the uncertainty of demand.
- b) During summer season demand of all the sectors goes up i.e. Domestic, Industrial & agriculture & therefore, claim of the objector regarding extra costly purchase only for agriculture sector is not agreeable. However, matter relates to ARR.

**Commission's view:**

Power Purchase Cost is determined by the Commission in-line with the prevailing PSERC MYT Regulations after prudence check.

**Issue No.10: Energy Audit and T&D Losses**

The number of feeders with losses more than 50% (increased from 180 to 230 feeders) and more than 90% (increased from 4 to 9 feeders) as per Directives for FY 2021-22 APM/ARR, which indicates that the ramped theft is being allowed in the areas of these locations, which is not possible without connivance of the PSPCL's officials/officers. Disciplinary action should be taken against delinquent officers/officials for their failure to control power theft with recovery of revenue loss by this theft under intimation to the Commission. Special drive to bring it to less than 8% level should be started dedicatedly and immediately for desired results. The Commission should ensure 100% recovery of such theft amounts in FY 2022-23 to reduce the revenue requirement as per ARR and ultimately reduce power tariff, cess and surcharges to industrial consumers especially MSME units.

As per MOP guidelines under APDRP, AT&C losses (Not T&D) are required to be brought to below 8% limit with annual sustained improvement. If these guidelines are followed in true spirit there may be no need to increase tariff in coming years. It will also reduce the revenue requirements of the PSPCL.

**Reply of PSPCL:**

The power theft is predominantly prevailing in the border areas and the same is difficult to be controlled due to public resistance and Law & order issues. If any complaint of power theft in connivance with PSPCL employee is received then action is taken after conducting thorough enquiry through Non-DS wings of Enforcement & Technical Audit.

Losses have decreased substantially after implementation of R-APDRP scheme. Action plan regarding the new Gol's RDSS Scheme has been prepared and under consideration of the Punjab Govt. for approval. Infrastructure development, Smart metering has been proposed in this scheme which will further reduce the T&D Losses and increase Billing efficiency.

**Commission's view:**

The Objector may note the response of PSPCL. The Commission has issued necessary directives in this regard in the Tariff Order.

**Issue No. 11: Interest charges and subsidy**

Borrowed funds are increasing every year of PSPCL which ultimately effects the overall cost of PSPCL and increase the per unit cost of power. Effective steps should be made to recover the dues from various sources which would help to reduce the borrowed funds.

Further impact of interest paid on borrowed funds on account of non-recovery of subsidies, Gap Tariff etc from the Punjab Govt. since long, should be calculated and should be pass on to Punjab Govt. as, if they could repay all such dues in time, PSPCL would not need to borrow more funds for survival.

Interest payment should be worked out through loan bailout by the Govt. or through asset selling (spare land/ building etc.) and should not be passed on to the customers. There is enough land with PSPCL, which can be spared (and sold to repay the loans) by constructing multi-storey buildings & compact power substations.

Subsidy to scheduled casts/weaker sections of Society and AP consumers should be given in cash / direct transfer in their bank accounts by the Govt. instead of providing free electricity through PSPCL. It will stop the misuse of energy.

**Reply of PSPCL:**

PSPCL has been taking necessary steps for clearing Govt. department dues and outstanding subsidy recoverable from State govt.

The Commission is already allowing the carrying cost on outstanding amount of subsidy recoverable from Govt. of Punjab. PSPCL has already being requesting the State Govt. to clear the outstanding dues of Govt. departments and subsidy.

**Commission's view:-**

Suggestion noted. The Objector may note the response of PSPCL. Further, Interest Cost is determined by the Commission in-line with the prevailing PSERC MYT Regulations after prudence check.

**Issue No. 12: Recovery of pending dues**

The major ingredients which are forcing PSPCL to increase the tariff rate / demanding more revenue requirement for proposed FY 2022-23 are interest paid on borrowed funds, non-recovery of remarkable dues from the Punjab Govt., recovery of due from the defaulted customers Subsidy, costly power purchase. All these factors are required to be controlled immediately without any further delay, otherwise, it would majorly affect the financial health of the industry directly and subsequently that of the PSPCL and the Punjab Govt.

**Reply of PSPCL:**

The methodology adopted by PSPCL for True up of FY 2020-21, APR for FY 2021-22 and RE for FY 2022-23 is very well elaborated in the Petition and is in line with the regulatory principles set by the Commission and the PSERC MYT Regulations. The Commission follows a transparent process for determination of tariff and consumers are given every opportunity to present facts in their objections.

Energy requirement of PSPCL is based on projected sales made during the respective financial years grossed up with the targeted distribution loss as prescribed by the Commission. Further, the energy requirement meets through power purchase made outside state from the tied-up generating stations and State's own generating stations of PSPCL.

All efforts have been made to optimize the power purchase cost and Merit Order Dispatch is strictly being complied to meet the power purchase requirement.

**Commission's view:**

Suggestion noted. The Objector may note the response of PSPCL. The ARR is determined by the Commission in-line with the prevailing PSERC MYT Regulations after prudence check.

**Suggestions of the objector:**

**Suggestion No.1: Subsidy to AP consumers**

The Quantum of subsidy amount to the AP Consumers should be reduced drastically by conscious planning with long term vision by Punjab Govt. such as reducing the area under paddy fields with alternate suitable cropping pattern implementations and levying some suitable tariff instead of total free electricity.

**Reply of PSPCL:**

This is a policy matter relating to Punjab Govt.

**Commission's view:**

The Subsidy is a State Government Subject.

**Suggestion no.2: Loan and Equity**

PSPCL should increase its base of equity rather than resorting to borrowed funds and further the loan bailout plan through waive off/repayment by selling the non-performing assets etc. should be worked out without further delay so that heavy interest expenses on borrowed funds could be avoided in future otherwise situation would be so pathetic for not only industrial consumers but also with majority of public. On one hand, free electricity is being given to certain class of customers and on other hand, the energy bill will become unaffordable by all other categories of consumers especially MSME and other industrial consumers.

**Reply of PSPCL:**

As per clause 1.2 of the MOU under UDAY scheme, 75% of PSPCL's debt as on 30.09.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to MOU, Non-SLR bonds amounting to Rs.15628.26 Crore were issued by Govt.of Punjab and transfer this amount to PSPCL as GOP loan uptoFY2019-20 and on 31.03.2020 converted this loan into equity.

Amount of Rs.15628.26 Crore comprise of Rs. 2246.77 Crores Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore uptoFY2019-20 being Capex Loans.

The Commission has disallowed interest on Working Capital Loans used for Capital Expenditure as per annexure attached from FY 2010-11 to FY 2018-19. These Rs.2346.19 Crore Working Capital Loans have been used for Capital Expenditure duly approved by the Commission.

It is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 Crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) have been converted into equity and this loan in FY 2020-21 and FY 2021-22 does not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20.

**Commission's view:**

The response of PSPCL be noted.

**Suggestion No. 3: Optimum use of resources**

PSPCL is a service sector utility and it should operate at optimum efficiency by utilizing the optimum use of resources, may it be material or man power. Efficient utilization of all these would help in reducing its overhead charges. It should increase its productivity and reduce its losses by introducing the latest technologies rather than charging extra cost from the consumers, especially MSME and Industry.

**Reply of PSPCL:**

PSPCL is already making earnest efforts to optimize the expenses in order to provide quality and reliable power supply to its end consumers by abiding with applicable rules and regulations within the State of Punjab.

**Commission's view:**

The Objector may note the response of PSPCL.

**Suggestion No. 4: Per unit cost of Electricity.**

The increase in the per unit price of electricity consumed in the way proposed by PSPCL will lead to exorbitant rise in input cost of the industry and it will have no option but to close their units or shift to other states. The competitions have become global, it may not be able to compete the open market. The closure of industrial units will not only affect the prosperity of the State but will result in unemployment and unrest in the State also.

**Reply of PSPCL:**

The industrial consumers within the State of Punjab are already availing the benefits of subsidized power @ Rs. 5/unit from State Government of Punjab. In addition to above, PSPCL is continuing with its policy of encouraging the industry in promoting the productive use of surplus power by offering lower rate of energy charge @ Rs. 4.86 per kVAh for consumption of power exceeding the threshold limit.

However, PSPCL has submitted the cost benchmarking in its current tariff petition with respect to sales via analysis of the Distribution tariff orders issued by five states namely, Uttar Pradesh, Himachal Pradesh, Rajasthan, Delhi and Haryana for FY 2021-22. Per unit cost of various

components of ARR with respect to sales made by distribution utilities in the aforesaid states are tabulated as under:

| Particulars                   | Punjab      | Haryana     | Uttar Pradesh | Delhi       | Himachal Pradesh |
|-------------------------------|-------------|-------------|---------------|-------------|------------------|
|                               |             |             |               |             |                  |
| <b>Power Purchase Cost</b>    | 3.56        | 4.01        | 4.32          | 4.30        | 3.18             |
| <b>Transmission Cost</b>      | 0.26        | 0.43        | 0.27          | 0.38        | 0.05             |
| <b>PGCIL Charges</b>          | 0.27        | 0.50        | 0.71          | 0.65        | 0.50             |
| <b>T&amp;D Losses</b>         | 0.59        | 0.81        | 1.05          | 0.38        | 0.35             |
| <b>O&amp;M Cost</b>           | 0.89        | 0.78        | 0.56          | 1.04        | 2.18             |
| <b>Capex related Cost</b>     | 0.49        | 0.39        | 0.59          | 0.72        | 0.45             |
| <b>Other Cost/(Income)</b>    | (0.16)      | (0.12)      | 0.05          | (0.15)      | (0.25)           |
| <b>Past Gaps (if any)</b>     | (0.14)      | -           | -             | 0.24        | (0.99)           |
| <b>Average Cost of Supply</b> | <b>5.77</b> | <b>6.79</b> | <b>7.54</b>   | <b>7.56</b> | <b>5.47</b>      |

The most significant component of ARR is the expenditure incurred on power purchase. Above table depicts that PSPCL has the lowest power purchase cost per unit of energy sales as compared to its neighbouring states except Himachal Pradesh, as it has maximum share of hydro power in its power purchase mix. PSPCL also has lowest Average Cost of Supply among its neighbouring States.

Therefore, there is no contention in the matter of the objector that the Punjab has highest tariff among its neighbouring States, however, PSPCL is striving hard to achieve performance parameters as per the targets given by the Commission.

**Commission's view:**

The Objector concern is noted.

**Suggestion No. 5: Creation of new substations**

More and more power transformers are being added at the existing grid sub stations in the cities instead of erecting new sub stations near load centre. New sub stations are being proposed/erected at technically non-suitable locations under compulsions, which are resulting in more T&D losses and poor quality of power. State Govt. should be impressed upon to provide land to PSPCL for construction of more substations in the cities to ease the bottlenecks of grid constraints so that the atmosphere is more conducive for growth of the industry.

**Reply of PSPCL:**

PSPCL is ensuring that installation of Power Transformers shall be at right place, however, sometimes due to constraints of non-availability of land at right place, PSPCL has to make adjustments for installation/erection/augmentation of existing and creation of new distribution system for seamless power supply to its end consumers.

**Commission's view:**

The Objector may note the response of PSPCL.

**Suggestion No. 6: System Strengthening of existing Feeders**

During heavy rain/storms, all feeders get tripped. On those days, the demand decreases due to tripping of all the feeders and drastic fall in temperature and the thermal plants of PSPCL run without load. It may not be possible to re-energize all feeders in short span of time to ensure continuity of supply under all-weather condition. But few feeders having prominent/bulk industrial & commercial loads (which are independent of weather) should be robust enough to withstand it, so that power is used and billed in that period.

**Reply of PSPCL:**

- To improve the quality of power supply in the industrial towns of Ludhiana and Mandi Gobindgarh Town, DPRs for re-engineering of 11 KV feeders have been approved for Rs. 26 Crore and 5 Crore respectively and the improvement work is in progress.
- Regular maintenance is being done to improve the quality of power supply.
- Tree cutting is being done on a regular basis.

**Commission's view:-**

The Objector may note the response of PSPCL.

**D. Further submissions:**

1. On one hand PSPCL is claiming power surplus scenario in coming financial year, on other hand it is demanding tariff revision from the Commission. What is the benefit of the power plants being commissioned in the State (by private players) to PSPCL's consumers? PSPCL should purchase cheaper power from Grid as it has surrendered few old power purchase MOUs. The alternate power shall be at cheaper rates. This benefit shall be passed on to the customers rather than to adjust it as subsidy is being given to certain class of PSPCL's consumers.

**Reply of PSPCL:**

Inflation & rise in price of every commodity is one of the reason for tariff revision requirement. Various sources at the disposal of PSPCL are required to provide reliable power supply to consumers of the State throughout the year.

2. The entire world and the leading states of India are going for green energy, whereas Punjab is still going for the old technology of thermal plants by the Private Suppliers. Therefore, more Green Energy/Solar Power generation capacity should be installed in the state. For existing solar energy producers and giving (exporting) power to PSPCL, Grid should be paid the excess exported units (other than imported units/self-consumption) at the commercial rates of their category in the respective financial year (ending 31st Sept.).

**Reply of PSPCL:**

PSPCL is doing best efforts to add more and more renewable energy. 995 MW solar power has already been installed and about 1870 MW solar power is under pipeline. In addition to this PSPCL has installed capacity of 786 MW of non solar power. Punjab has been recognized as Renewable energy rich state by MNRE, Gol.

Installation of solar rooftops under net metering has to be viewed from the perspective that consumer makes an investment into it to eventually reduce its own electricity charges. The incentive of installing solar rooftop is also in the form that with the initial capital investment, the consumers are assured of certain quantum of power supply at fixed prices and is protected against future tariff hikes to the extent of power consumed from solar rooftops. For promotion of solar rooftops, the biggest incentive already in place is that a consumer has the flexibility to consume/use the power at any time of the day/night irrespective of the fact that solar energy is generated/exported only during the daytime that too with varied levels of generation and that too without paying any Network Usage Charges to PSPCL. As Distribution Licensee loses out a lot on the revenue due to fewer sales, free banking for a period of 1 year and also ends up paying the stranded power purchase cost, so, solar rooftops should not be promoted in a way that they eventually grow into a big category of Generators wherein, they seek to get into the business of selling power and make commercial benefit out of the surplus power generated.

Further, if substantial proportion of consumers set up rooftop solar under the net metering regulations, the Distribution Licensee loses out a lot on the revenue due to fewer sales. The scenario becomes worse during the times when the solar power generating potential is at its highest, the Discoms also receive more power from its other tied up solar sources. At the same time the solar roof-tops also generate a greater quantum of solar power. This in turn affects the surplus power scenario as the Discoms are left with more of such surplus power with no options to sell. A consumer opting for solar roof top, thus, strikes a double blow to the Discoms. On one hand, a drop is witnessed in the Discoms' sales eventually impacting their revenue and on other hand surplus power also increases. This spirals the Discom into a loss-loss situation which proves to be hugely detrimental to the Discoms' financials.

Another adverse aspect of this situation is that the demand projections of the Discoms get adversely affected as there is no certainty over the assessment of the required demand of Discoms due to unreliable influx of infirm power generated through solar rooftop installations. Distribution licensee has to pay DSM penalties on account of deviations in schedule and drawal. So, the solar rooftops should not be promoted in a way that they eventually grow into a big category of generators wherein, they seek to get into the business of selling power and make commercial benefit out of surplus power generated.

**Commission's View:**

Suggestions noted. The Objector may note the response of PSPCL.

3. On one hand, benefits are being given by the State Govt. for investment in Punjab and on the other hand, no relief is being given to the existing units which are getting sick day by day and moving out of State. Therefore, power tariff incentives should be given to the existing and new industry.

**Reply of PSPCL:**

The industrial consumers within the State of Punjab are already availing the benefit of subsidized power @ Rs. 5/unit from State Government of Punjab.

In addition to above, PSPCL is continuing with its policy of encouraging the industry in promoting the productive use of surplus power by offering lower rate of energy charge @ Rs. 4.86 per kVAh for consumption of power exceeding the threshold limit.

**Commission's view:**

Suggestion is noted.

4. PSPCL is going for system up-gradation and network augmenting work in all major cities of Punjab through R-APDRP. On one hand PSPCL is charging higher tariff from industrial consumers and on other hand nothing is being done to ensure the quality and reliability of supply of power to the industry.

**Reply of PSPCL:**

- Regular maintenance is being done to improve the quality of power supply.
- Scheduled cuts are imposed only for maintenance & development activities and the same are advertised in the leading newspapers.
- To improve the quality of power supply in the industrial towns of Ludhiana and Mandi Gobindgarh Town, DPRs for re-engineering of 11 KV feeders have been approved for Rs. 26 Crore and Rs. 5 Crore respectively and the improvement work is in progress.
- Regular maintenance is being done to improve the quality of power supply.
- Action plan regarding the new Govt's RDSS Scheme has been prepared and under consideration of the Punjab Govt. for approval. Infrastructure development, smart metering has been proposed in this scheme which will further improve the quality of Power Supply.

**Commission's view:**

The Objector may note the response of PSPCL

**Objection No. 12: United Steel & Parts Mfr. Association****Issue No. 1: Tariff for PIU Industries**

The PIU loads of Induction Furnace, Chloro Alkalines units, Billet Heaters (above 100 KVA), Surface Hardening Machines, Electrolytes Process Industries, Electric Bell Industries for annealing and Arc Furnaces including Slag refining / re-melting are being considered as PIU loads for LS Consumers only, even if the load/demand for above machines is far less than 100 KW/100 KVA in the total load of LS Category, whereas the above loads/demands even up to 99.9 KW / 99.9 KVA are part of General Load and no higher PIU Tariff for such loads in MS industry. As per the tariff order issued in the past, the demarcation of PIU Load from general load is stated to be due to Non-linear Nature of the PIU load causing harmonics voltage distortion and dips etc.

The Cycle Industry wants to know how 70 KVA to 80 KVA Rectifier load of MS Industrial unit is a linear load and even 20 KVA Rectifier load of a LS unit is a non-linear load whereas LS Consumer is already paying higher tariff for consuming.

**Reply of PSPCL:**

This issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 2: Separate Tariff for General and PIU Industry**

a) Reference Para 4.4.1 of Tariff Order for FY 2021-22 and Para 5.4.1 of Tariff Order for FY 2020-21, the repeated suggestions of the members of State Advisory Committee and Various Stake Holders/Consumers to shift from Separate Tariff for PIU and General Industry to same Tariff with additional levy of penalty for distortions/harmonics is still pending to be resolved at the level of the Commission, for which the LS Industry is suffering on account of Higher Tariff and UUE Cases are being framed by PSPCL for using PIU Loads even with harmonics filters, which are not considered UUE loads in MS Industries even without filters installed in MS Industry.

b) Reference Status of Compliance to Directive 5.15 of Tariff Order for FY 2021-22, the delay for effective same tariff for General and PIU loads in LS Industry appears to be on part of the Commission/PSPCL for which higher Tariff is being paid by LS Category and repeatedly the UUE cases are being framed for LS Category by considering above loads as Unauthorized whereas same loads are Authorized in MS or SP Industry.



**Reply of PSPCL:**

This issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The Objector may note the response of PSPCL.

**Issue No. 4: Other related issues for PIU Industries**

a) The Tariff Order Tables need Clarification whether non-linear loads / demands above 100 KVA in mixed 'LS' Category is to be considered as PIU Load/demand and non-linear loads up to 100 KVA in Mixed 'LS' Category are not to be Considered as PIU loads till same Tariff for General loads and PIU loads with the levy of Penalties for distortions / harmonics is designed by the Commission, so that all Industrial Categories are treated at par as far as Non Linear PIU loads are concerned.

b) How a billet heater above 100 KVA is non-linear load and below 100 KVA is a linear load is designed by the Commission.

c) The Electrolytic process industry uses rectifiers which are considered nonlinear PIU load in LS Category and not in MS Category. The Electrolytic processes are involved in various Chemical Industries also with or without rectifiers but are not considered as PIU loads.

d) The rectifiers are used in Welding machines and many other processes like EV Charges. Why only the rectifier load of Electrolytic Process industry is nonlinear PIU load and rectifiers of other industries are linear load.

e) The detailed technical studies for non-linearity of all types of loads and their effects on wave shapes irrespective of LS Category or MS Category may be reviewed impartially.

**Reply of PSPCL:**

This issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

Suggestions noted.

**Objection No. 13: M/s Shree Krishna International****Issue No. 1: Reduction in CD**

An application was submitted manually to reduce CD from 110kVA to 99kVA. As RA of subdivision Sahnewal fed this reduced CD demand Data in computer for processing fee challan, software generated that Load should also be reduced in between 20kW to 100KW and the application could not be processed. The applicable tariff is CD based and all charges i.e. ACD and service Connection charge are also calculated on CD. Moreover, if any checking agency found installed load is more than sanctioned load, no penalty is charged for excess load. So clause of load should be removed from software to match it with Electricity Supply Manual Instructions and category should be decided on the basis of CD only.

I request you to instruct concerned office to sanction our reduction in CD with above mentioned Load, supply Voltage and Own T/f of 315 KVA.

**Reply of PSPCL:**

This issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The Objector may note the response of PSPCL.

**Objection No. 14: Dr Pandhi's small ideas Great Ideas Trust****Issue No. 1: Revision in Fixed Charge Formula**

To give some relief to consumers, there is need to revise the Fixed Charges formula. The electronic meters give MDI reading which indicates the Maximum Load utilized during a particular bill period. Instead of calculating Fixed Charges on the basis of the Sanctioned Load, it should be calculated on the basis of Actual Consumed Load similar to the calculations done for calculating Energy Charges on Actual Consumption basis in a bill.

This small idea of calculations will be more appropriate and more genuine formula. This will not only make domestic consumers happy but will also make industrial consumers happy who are running factories at low loads due to business loss during ongoing COVID pandemic, against high sanctioned loads.

**Reply of PSPCL:**

As per present Tariff order of FY 2021-22, fixed charges are charged on 80% of the sanctioned load/demand (or actual demand recorded, if higher). Fixed charges are meant for recovering the fixed expenditure of PSPCL and fixed expenditure includes fixed charges paid to Generators, transmission charges, payment of salary to the employees/pensioners payment to various contractors for wages of

outsourced staff, debt repayment, interest on loans etc. Therefore, fixed charges are determined on the basis of sanctioned load/demand because on this basis, revenue to meet the fixed expenditure of PSPCL can be calculated and recovery of the same may be ensured irrespective of the actual demand/load used by the consumers. If the fixed charges are levied on the basis of actual demand/load used by the consumers as demanded by the objector, it may not be possible to recover the fixed costs of PSPCL as the actual demand/load used by the consumers may be less which will decrease the revenue of PSPCL from fixed charges thereby making the meeting of fixed costs of PSPCL difficult, as such fixed charges being levied on sanctioned load/demand may be continued. In continuation to above Proposals on Sanctioned load based on MDI are under consideration and shall be put up before the Commission for approval. Moreover, fixed charges calculations based on the basis of Actual Consumed Load is under preview of the Commission.

**Commission's view:**

The Commission has noted the suggestion.

**Issue No. 2: Checking of Theft cases**

Sometimes it has been seen that "fake" theft cases are imposed against some genuine consumers and an FIR is lodged against them immediately. When an FIR is lodged, consumer has to deposit a compounding fee of Rs. 25,000 to get bail. Further, as consumer has no right to go to Consumer Commissions against such theft cases, they are left with only one option of filing case in the Special court through an advocate who demand huge amounts. Also, at time of filing the case, consumer has to deposit 50% of the disputed amount.

It is suggested that prior to lodging FIR against the consumer, there should be some provision of checking the genuineness of the theft case by some unbiased senior officers of PSPCL or by members of CGRF. If they feel that theft is done by the consumer, only then FIR be lodged against him for further actions.

**Reply of PSPCL:**

The procedure being followed for dealing with Power theft cases is strictly as per Electricity Act-2003.

**Commission's view:**

The Commission has taken note of the suggestion. Necessary directives have been issued by the Commission in the Tariff Order.

**Issue No. 3: Promoting Solar Power**

As solar power is the most economical power, domestic consumers should be motivated to install Rooftop Solar systems at their houses. This will not only make the environment clean but will also increase efficiency of ACs as the temperature of the roof is lowered after installing solar panels on the roofs.

**Reply of PSPCL:**

The incentive of installing solar rooftop is also in the form that with the initial capital investment, the consumers are assured of certain quantum of power supply at fixed prices and is protected against future tariff hikes to the extent of power consumed from solar rooftops. For promotion of solar rooftops, the biggest incentive already in place is that a consumer has the flexibility to consume/use the power at any time of the day/night irrespective of the fact that solar energy is generated/exported only during the daytime that too with varied levels of generation without paying for any Network Usage Charges to PSPCL.

**Commission's view:**

The Objector may note the response of the PSPCL.

**Issue No. 4: Penalty for non-installation of solar systems**

To control pollution, Solar Systems be made compulsory for all Industrial Units. For big units, having huge, sanctioned loads, installation of Solar system equivalent to minimum 25% of total sanctioned load capacity, be made compulsory. Those industries, who do not install solar systems, an additional surcharge of 7-8 paisa per unit be imposed on them.

**Reply of PSPCL:**

Imposing additional surcharge to control pollution or making solar system compulsory does not fall under the purview of PSPCL.

**Commission's view:**

The suggestion of the stakeholder is noted.

**Issue No. 5: Delay in subsidy against installation of solar system**

Subsidy by Govt. against installation of solar systems, is being delayed by almost 2 years. It is suggested that subsidy should be made available to consumers who install solar systems, immediately after installation of their solar systems.

**Reply of PSPCL:**

Subsidy of rooftop solar plants under subsidy is disbursed by MNRE. As per latest amendment in rooftop policy of MNRE, the subsidy shall be directly transferred to beneficiary account. Provisions are being made by MNRE for faster reimbursement of the subsidy to the beneficiary.

**Commission's view:**

The Objector may note the response of the PSPCL.

**Issue No. 6: Correction in Bills**

For N-Code bills, here is a small suggestion - "In an N-Code bill, column of current reading should be kept blank and number of units consumed should be taken in round figures like 400 or 500 units approximately as per consumption in the immediate previous bills. Later on, when the O code bill is generated, the difference between the two consecutive O-Code bills with actual readings should be taken as the actual total consumption during N-Code bill period. Adjustment of amounts received during N-Code bills be adjusted in this last O-Code bill."

**Reply of PSPCL:**

The issue does not relate to ARR Petition and shall be dealt separately.

**Commission's view:**

The Objector may note the response of the PSPCL.

**Issue No. 7: Modification of billing software**

When a particular amount is deposited by a consumer in a particular month as an advance or as a regular payment, this amount does not tally with amount shown in Previous Adjustments column "F". Billing department should make it sure that these two figures should match EXACTLY with each other. It is suggested that the Bill Making Software be modified accordingly.

**Reply of PSPCL:**

The issue does not relate to ARR Petition and shall be dealt separately.

**Commission's view:**

The objector may note the response of the PSPCL.

**Issue No. 8: Updation of meter location in bills**

PSPCL has shifted most of the meters outside the premises. But in the bills of some consumers, the status of the meter location is still mentioned "inside". This data needs to be updated. For this, Meter readers should be asked to cross check meter locations and get it corrected in the billing app.

**Reply of PSPCL:**

Point has been noted and instructions are being issued to the Spot billing agency for taking corrective measures. New tendering process for spot billing is almost in its final stage, which will be made effective from 01.04.2022.

**Commission's view:**

The objector may note the response of the PSPCL.

**Issue No. 9: Charges for replacement of burnt meters**

Electricity meters are the property of PSPCL. For these meters, they are charging meter rent from their consumers. When a meter is burnt/damaged, PSPCL should replace it with a new one immediately. For replacement of such burnt meters, PSPCL have no right to charge cost of burnt meters from the consumers as they are charging monthly rent from consumers. So this mal-practice must be stopped immediately.

Also, these meters have been installed outside of the premises by PSPCL. They should take care of their own property and the responsibility of it should not be forced upon the consumers in case it gets damaged due to some reasons.

**Reply of PSPCL:**

It is submitted that the issue shall be dealt separately.

**Commission's view:**

The objector may note the response of the PSPCL.

**Issue No. 10: Installation of Smart meters**

If PSPCL is planning to install smart meters by charging amount from the consumers, then monthly rent for these meters should not be charged. If PSPCL is to continue charging meter rent as before,

they have no right to charge cost of these smart meters from consumers as they are just replacing the electronic or static meters with Smart meters for updating their own set-up.

**Reply of PSPCL:**

It is submitted that the issue shall be dealt separately.

**Commission's view:**

The Objector may note the response of the PSPCL.

**Issue No. 11: Details of Arrears in the bills**

Sometimes arrears are imposed in electricity bills in column 'G'. While charging some Arrears, there should be given reasons for imposing these arrears. If arrear is adjusted in parts, details of total arrear, collected arrear and balance arrear be also shown in the bills.

**Reply of PSPCL:**

It is submitted that the issue shall be dealt separately.

**Commission's view:**

The objector may note the response of the PSPCL.

**Issue No. 12: Recruitment of Employees**

To give proper services against break-down, there is a need to strengthen Technical core teams. For it, more Linemen and more JEs must be appointed as 50% seats are vacant against these posts. Only service like meter reading etc. should be outsourced.

**Reply of PSPCL:**

It is submitted that the issue shall be dealt separately.

**Commission's view:**

The objector may note the response of the PSPCL.

**Issue No. 13: Underground cables for HT lines**

To avoid wind power failure, 11kV and 66 kV HT lines be made underground inside the congested city areas, where otherwise huge number of poles have been erected for these HT lines which make a city look ugly.

**Reply of PSPCL:**

PSPCL is already using Underground Cables for erection of 11 kV/66 kV lines in congested city areas. Further, PSPCL has also started to erect 66 kV lines on monopoles which are aesthetically good looking.

**Commission's view:**

The objector may note the response of the PSPCL.

**Issue No. 14: Maintenance of old/broken poles**

It is seen that broken or old poles are lying here and there in almost all cities of Punjab which also make a city look ugly. These abandoned poles should be picked up immediately from all cities by PSPCL and in future bad habit of leaving such poles on roadsides be changed.

**Reply of PSPCL:**

The suggestion has been noted and action shall be taken up on this.

**Commission's view:**

The Objector may note the response of the PSPCL.

**Objection No. 15: Cycle trade Union**

**Issue: ARR Projections like NTI, subsidy etc.**

Our Association strongly oppose, resent any increases / amendments for next years and with retrospective effect in Tariff as well as fixed charges for all types of consumers of PSPCL & PSTCL of Punjab.

PSPCL lists of Rs. 125 Crores deficit before the Commission which is inflated, enhanced, created as well as fabricated without the production of original Audited - Certified balance sheets of PSPCL & PSTCL to check their in-depth truth of Deficits & irregularities.

Non-Tariff Income No: - 3.21 & estimated subsidy No: - 3.22 should be kept continue from their existing resources. Moreover, the tariff as well as fixed charges of Punjab are already unbearable. If PSPCL & PSTCL can't control their inventories and losses as desired these should be handed over to the private players as is done by the Central Government.

**Reply of PSPCL:**

The methodology adopted by PSPCL for True up of FY 2020-21, APR for FY 2021-22 and RE for FY 2022-23 is very well elaborated in the Petition and is in line with the regulatory principles set by

Commission and PSERC MYT Regulations, 2019. It is submitted that PSPCL has submitted the Expenses and Revenue of FY 2020-21 based on the actual annual audited accounts of FY 2020-21 and the same in on the discretion of the Commission to approve the appropriate gap based on the expenses and revenue as per audited annual accounts. Hence, it would not be correct to say that the claims are inflated and fabricated. The Commission follows a transparent process for determination of tariff and consumers are given every opportunity to present the facts in their objections.

**Commission's view:**

The ARR is determined by the Commission in-line with the prevailing PSERC MYT Regulations after due diligence and prudence check.

**Objection No. 16: PSEB Engineers' Association**

**Issue No. 1: AP Consumption**

Table 2 of the Petition gives details of AP Consumption for FY 2020-21 at 13051 MU. However, PSPCL has not yet segregated the load of Kandi area feeders having mixed load. The component of 2209 MU on this account is not a metered figure, but an assessment PSPCL is required to complete the work of segregating mixed feeders in Kandi area so that correct assessment of AP consumption can be ensured. The target date for this work may be given by PSPCL.

**Reply of PSPCL:**

Work of feeder segregation / AP consumer metering in Kandi Areas of 5 no. districts (Gurdaspur, Hoshiarpur, SBS Nagar, Rupnagar, SAS Nagar) in the State of Punjab under DDUGJY were awarded to various companies on 01.12.2017 (for 4 Packages) and 15.11.2018 (for 1 Package) with completion period of 24 months i.e. up to 30.11.2019 and 14.11.2020 respectively.

Initially the progress of feeder segregation remained very slow mainly due to stiff resistance from AP consumers and Kissan Unions. However, with the intervention of Punjab Govt. and PSPCL management, the pace of work was picked up. Further, due to complete lockdown in Punjab to tackle COVID-19 Pandemic, progress was again hampered.

On account of above issues and circumstances beyond the control of PSPCL extension up to 31.03.2022 for 5 no. districts under DDUGJY-Kandi Area has been accorded by MoP/Gol vide REC letter ref. no.830 dated 19.08.2021.

**Commission's view:**

The Commission has issued necessary directives in the Tariff Order and the same may be referred accordingly.

**Issue No. 2: Norms for Thermal Generation**

The norms for thermal units were evolved mainly on basis of NTPC units of pithead stations which are expected to run at nearly 100% PLF over 12 months of the year. With such ideal operating condition, units can be expected to run at optimum SHR (efficiency) as well as minimum auxiliary consumption and specific oil consumption. However,

**2.1) Operating Parameters**

By contrast, PSPCL thermal units are subjected to frequent backing down, repeated start/stop operation. With such operating condition SHR, specific coal consumption, auxiliary consumption and specific oil consumption reduces as may be seen from monthly generation data of GHTP and GGSSTP over the 12 months period January 2021 upto December 2021.

**GHTP Lehra, Mohabbat**

| MONTH        | Gross Generation (MU) |        |         |         |         |
|--------------|-----------------------|--------|---------|---------|---------|
|              | UNIT-1                | UNIT-2 | UNIT-3  | UNIT-4  | TOTAL   |
| January -21  | 0.000                 | 0.000  | 0.000   | 0.000   | 0.000   |
| February -21 | 0.000                 | 0.000  | 0.000   | 0.000   | 0.000   |
| March-21     | 0.000                 | 0.000  | 21.080  | 18.605  | 39.685  |
| April-21     | 0.000                 | 0.000  | 0.000   | 0.000   | 0.000   |
| May -21      | 0.000                 | 0.000  | 0.000   | 0.000   | 0.000   |
| June-21      | 85.265                | 36.198 | 64.330  | 79.250  | 265.042 |
| July -21     | 98.046                | 85.511 | 118.560 | 133.045 | 435.162 |
| August-21    | 65.904                | 53.719 | 103.980 | 134.280 | 357.882 |

| MONTH        | Gross Generation (MU) |         |         |         |          |
|--------------|-----------------------|---------|---------|---------|----------|
|              | UNIT-I                | UNIT-2  | UNIT-3  | UNIT-4  | TOTAL    |
| September-21 | 1.455                 | 20.995  | 70.080  | 32.540  | 125.070  |
| October-21   | 76.232                | 0.000   | 72.210  | 83.305  | 231.747  |
| November-21  | 0.000                 | 0.000   | 0.000   | 0.000   | 0.000    |
| December-21  | 0.000                 | 8.567   | 10.975  | 0.000   | 19.542   |
|              | 326.902               | 204.989 | 461.215 | 481.025 | 1474.131 |

#### GGSSTP, Ropar

| Month        | Generation #3 | Generation #4 | Generation #5 | Generation #6 | Total    |
|--------------|---------------|---------------|---------------|---------------|----------|
| Jan 21       | 0             | 0             | 0             | 0             | 0        |
| February 21  | 0             | 0             | 0             | 0             | 0        |
| March 21     | 65.96         | 111.64        | 0             | 0             | 177.6    |
| April 21     | 0             | 0             | 0             | 0             | 0        |
| May 21       | 0             | 0             | 0             | 0             | 0        |
| June 21      | 389.27        | 965.19        | 373.2         | 350.41        | 2078.07  |
| July 21      | 322.59        | 1153.22       | 876.23        | 1112.43       | 3764.47  |
| August 21    | 502.88        | 685.53        | 863.31        | 1090.65       | 3142.37  |
| September 21 | 0             | 103.1         | 642.12        | 107.35        | 852.57   |
| October 21   | 0             | 520.97        | 563.05        | 231.06        | 1315.08  |
| November 21  | 0             | 0             | 0             | 0             | 0        |
| December 21  | 0             | 172.7         | 0             | 0             | 172.7    |
| Total        | 1580.7        | 3712.35       | 3317.91       | 2891.9        | 11502.86 |

#### Reply of PSPCL:

PSPCL agrees with assertion of PSEBEA. As PPAs with large-capacity IPPs in the State of Punjab which has resulted in reduction of the share of these plants in the State's energy mix. With GGSSTP and GHTP operating at low plant load factor (PLF) of 12.01% and 11.24% respectively PLF for FY2020-21 resulted in high value of Station heat rate 2733 kcal/kWh and 2599 Kcal/KWh respectively. And if plants are allowed to run on full load then Station heat rate would be lower which will be helpful in merit order based scheduling. For FY 2021-22, with PLF of GGSSTP as 19.51% (Up to Jan 22) the Station heat rate comes to 2698 kcal/ kWh. So, it is clear that with the rise in PLF, Station Heat rate and other parameters will improve. Also, the same can be seen for GHTP from table below:

| MONTH        | Generation (MU) | Aux. cons. (%) | Sp. Oil cons. (ml/KWh) | Sp. Coal cons. (Kg/KWh) | Heat rate (Kcal/kwh) |
|--------------|-----------------|----------------|------------------------|-------------------------|----------------------|
| June-21      | 265.042         | 8.93           | 1.781                  | 0.638                   | 2613                 |
| July-21      | 435.162         | 8.67           | 0.609                  | 0.653                   | 2615                 |
| August-21    | 357.882         | 8.98           | 1.791                  | 0.665                   | 2594                 |
| September-21 | 125.070         | 11.81          | 4.893                  | 0.644                   | 2652                 |
| October-21   | 231.747         | 8.68           | 0.246                  | 0.662                   | 2559                 |

## 2.2 Transit loss

From Table 3, Table 4 (Page 28) it is seen that GGSSTP has negative transit loss i.e. -1.26% and GHTP also has negative transit loss i.e. -1.31 %. Negative transit loss implies that quality of coal as received at thermal plant is MORE than quality landed at coal mine.

For example, if 100 tonne is loaded at coal mine and 101.26 tonne is measured as received at thermal plant, i.e. negative transit loss, the remedy is to test/calibrate the weight bridge at thermal plant end.

Accordingly, the weight bridges at Ropar and Lehra Mohabbat need to be checked/calibrated.

### Reply of PSPCL:

Transit loss of GGSSTP for FY 2020-21 is -1.41%, and for GHTP transit loss are -1.31% which implies that quantity of coal received at thermal plants is more than the quantity landed at coal mine as this may happen if there are rains on the way, the received quantity being wet, may weigh more than the dispatched quantity. Weigh-bridges- at loading and unloading ends may differ but, it is pertinent to mention here that the in-motion weigh-bridges of GGSSTP Ropar and GHTP Lehra Mohabbat are calibrated every year.

### Commission's view:

It is not clear as to what is the suggestion/ recommendation. However, PSPCL's response may be noted. Further, the Commission allows operational parameters on normative basis in line with the PSERC MYT Regulations.

## Issue No. 3: O&M Charges of PSPCL's own Generating Plants

O&M charges of GGSSTP and GHTP as compared to CERC norms.

3.1 The CERC norms for O&M charges for thermal units of 210 or 250 MW are compared with actual or projected figures of PSPCL as under.

a) CERC norms as applied to PSPCL stations.

|                              | 20-21         | 21-22   | 22-23  |
|------------------------------|---------------|---------|--------|
| CERC Norms Rs. Lac /MW/ year | 34.12         | 35.31   | 36.56  |
| For GGSSTP                   | 286.6 Rs. Cr. | 296.6   | 307.1  |
| For GHTP                     | 313.9 Rs. Cr. | 3243.85 | 336.35 |

b) O&M figures as per PSPCL ARR

O&M figures as per PSPCL ARR of GGSSTP

|                 | FY 2020-21 | FY 2021-22 | FY 2022-23 |
|-----------------|------------|------------|------------|
| Employee        | 310        | 346        | 365        |
| R&M             | 33         | 38         | 39         |
| A&G             | 7          | 8          | 8          |
| Total Rs. Crore | 350        | 392        | 412        |
| CERC Norms      | 286.6      | 296.6      | 307.1      |

O&M charges for GHTP as per PSPCL

|                 | FY 2020-21 | FY 2021-22 | FY 2022-23 |
|-----------------|------------|------------|------------|
| Employee        | 188        | 210        | 222        |
| R&M             | 38         | 45         | 45         |
| A&G             | 9          | 10         | 10         |
| Total Rs. Crore | 235        | 265        | 277        |
| CERC Norms      | 313.9      | 324.85     | 336.35     |

From above comparison it is seen that O&M Charges for Ropar are about Rs. 63 Crore higher than CERC norm (FY 2020-21) because of higher O&M Charges. On other hand, O&M Charges of GHTP are about Rs. 80 Crore lower as the employee expenses are reduced in this case.

### Reply of PSPCL:

The Units of GGSSTP are using old technology and most of the system does not work on auto mode and is on manual mode. Hence to maintain and run the system more manpower is required and does not meet the CERC norms. Also, with the shutdown of Unit no 1 and Unit no 2 of GGSSTP Ropar the man power has been adjusted in the other units 3,4,5,6 Operation, due to which cost is reflected in FY 2020-21 but with most of manpower retiring in coming two years employee cost will reduce drastically

in coming years. In addition to above, O&M Charges of GHTP is low on account of less employee expenses because of more no. of retirements & also there is total 870 Sanctioned Posts against which 270 Posts are vacant.

**Commission's view:**

It is not clear as to what is the suggestion/ recommendation, however, the Commission allows O&M expenses in line with the provisions of PSERC MYT Regulations after prudence check.

**Issue No. 4: PSPCL's own Generation**

The gross generation and PLF for PSPCL's own thermal station as given in Para 2.5 (Page 30) for FY 2020-21 are as under.

|                  | Gross MU | PLF   |
|------------------|----------|-------|
| GGSSSTP (840 MW) | 884      | 12%   |
| GHTP (920MW)     | 906      | 11.2% |

The low PLF is due to excessive backing down resulting from merit order principle wherein the super critical plants with higher efficiency and lower station heat rate have to be given priority in scheduling, being more economic w.r.t. variable costs.

**Reply of PSPCL:**

The response to this point has already been provided against the point 2.1 thus, is not repeated just for the objector's sake of brevity

**Commission's view:**

It is not clear as to what is the suggestion/ recommendation. The objector may note the response of PSPCL

**Issue No.5: Operational life of PSPCL thermal units.**

The cumulative running hours of PSPCL thermal units are as under:

|          | Hours (Upto 31.12.2021) |
|----------|-------------------------|
| Ropar #3 | 194360                  |
| Ropar #4 | 196684                  |
| Ropar #5 | 169400                  |
| Ropar #6 | 164633                  |
|          |                         |
| Lehra 1  | 80543 (Upto 31.1.2022)  |
| Lehra 2  | 75484                   |
| Lehra 3  | 73156                   |
| Lehra 4  | 56031                   |

5.1 It is seen that Ropar units 3,4 have run for 1.94 and 1.96 lac hours while #5 has run 1.69 Lac for and #6 has run 1.64 lac hours.

5.2 A country wide survey of 210 or 250 MW BHEL thermal units shows that running hours in excess of 3 Lac hours has been achieved.

**Units**

Hours in-excess of  
3 Lac

Korba west  
Vijaywada 1  
Vijaywada 2

5.3 Following units have achieved running hours 2.5 to 3 Lac hours.

MSEB Bhusawal, MP Satpura, TN Mettur, TN Tuticorin, Rajasthan Kota, Gujarat Ukai, NTPC Singrauli, Korba, Ramagundam

5.4 By contrast, Lehra Mohabbat units have run for 0.8 Lac hrs or lower.

5.5 While Ropar units have run for above 2/3rd life, 1/3rd life remains to be utilized. In case of Lehra more than 2/3rd operating life remains to be utilized.

**Reply of PSPCL:**

PSPCL agrees with the assertion of PSEBEA. As GGSSSTP units 3,4,5,6 have run for 194360, 196684, 169400, 164633 hours respectively. So the operating life remains to be utilized. Also as GHTP Units have run for 0.8Lac hours or lower, so the remaining operating life needs to be utilized.

**Commission's view:**

The objector may note the response of PSPCL.



**Issue No. 6: Power Purchase FY 2020-21**

6.1 Payment of capacity charges for surrendered power of IPPs is as under:

|         | MU          | Paise/<br>Unit | Fixed             |
|---------|-------------|----------------|-------------------|
| Station | Surrendered |                | Charges Rs. Crore |
| T. Sabo | 4154.28     | 107.41         | 446.2             |
| NPL     | 1062.46     | 121.46         | 129.05            |
| GVK     | 2028.21     | 130.75         | 265.19            |
| Total   | 7244.95     |                | 840.44            |

6.2 For H1 of FY2021-22 the actual of surrendered power are as under:

|         | MU          | Paise/<br>Unit | Fixed             |
|---------|-------------|----------------|-------------------|
| Station | Surrendered |                | Charges Rs. Crore |
| T. Sabo | 1099.08     | 103.3          | 113.53            |
| NPL     | 698.73      | 117.96         | 82.42             |
| GVK     | 935.52      | 118            | 110.39            |
| Total   | 2733.33     |                | 306.34            |

6.3 Energy scheduled (purchased), actual energy purchase rate (variable charges) and Variable charges (energy charges) from IPPs for FY 2020-21 (actual) is as under:

|         | MU scheduled | Rate<br>Paise/Unit | Energy Charges    |
|---------|--------------|--------------------|-------------------|
| Station |              |                    | Charges Rs. Crore |
| T. Sabo | 6478.67      | 353.42             | 2289.72           |
| NPL     | 7575.7       | 302.4              | 2290.86           |
| GVK     | 1168.7       | 381.1              | 445.39            |

6.4 Summary of IPPs energy scheduled and energy surrendered for FY 2020-21

| Station | MU Scheduled | MU Surrendered |
|---------|--------------|----------------|
| T. Sabo | 6478.67      | 4154.28        |
| NPL     | 7575.7       | 1062.46        |
| GVK     | 1168.7       | 2028.21        |

**Reply of PSPCL:**

PSPCL has not replied to the above objection.

**Commission's view:**

The data provided by the objector is noted.

**Issue No. 7: Running pattern of PSPCL Thermals**

At least one unit of GGSSTP and one unit Of GHTP should be kept running. This would ensure improvement of SHR and units auxiliary % norm also.

**Reply of PSPCL:**

Matter is related with variable cost based economical scheduling and dispatch as addressed in replies against the point number 2.1 us, is not repeated just for the objector's sake of brevity.

**Commission's view:**

The objector may note the response of PSPCL.

**Issue No. 8: UMPP CGPL Mundra**

Mundra UMPP ceased operations w.e.f.18/9/2021. The status of operating units at UMPP Mundra may be given by PSPCL.

**Reply of PSPCL:**

With effect from March, 2021, CGPL has been declaring less availability and had finally ceased operations of Mundra power plant from 18/09/2021 onwards alleging financial distress owing to

Indonesia Coal Regulations. Presently CGPL is not supplying any power to PSPCL. In this regard PSPCL has filed a Petition against CGPL.

**Commission's view:**

The objector may note the response of PSPCL.

**Issue No. 9: Power Purchase from GVK**

PSPCL has issued termination notice to GVK on 29/10/2021. The status/ position regarding notice may be given by PSPCL.

**Reply of PSPCL:**

GVK has approached the Commission for quashing the Termination notice. The Commission heard the matter on 09.02.2022 and has granted an interim stay on the operation of Termination notice.

**Commission's view:**

The objector may note the response of PSPCL.

**Issue No. 10: Fixed Charges of TSPL and NPL**

Fixed charges of TSPL and NPL should be fixed as per bid rate of PPA which should correspond to the year.

**Reply of PSPCL:**

Fixed Charges to NPL and TSPL are paid as per provisions of respective PPAs.

**Commission's view:**

The objector may note the response of PSPCL.

**Issue No. 11: Working Capital Loans**

In case of disallowance in actual expenditures in interest cost, power purchase O&M leads to a situation wherein short term loans have to be taken to fund the deficit, and this least a typical situation of debt trap. One of the major objectives of National Electricity Policy, i.e. "Financial Turn around and commercial viability" gets defeated when the discom resorts to short term loans or working capital loans in order to meet revenue deficits. What has been stated as "cascading effect" by PSPCL is actually nothing but debt trap, and a situation to be avoided as per requirement of national electricity policy.

**Reply of PSPCL:**

The Commission is already allowing the interest on working capital loans on normative basis as per PSERC MYT Regulations, 2019, however, PSPCL has prayed before the Commission to allow all its expenses based on actually incurred, in order to maintain financial viability and sustainability of the utility.

**Commission's view:**

The Commission allows interest on working capital in line with the provisions of the MYT Regulations.

**Issue No.12: Optimum scheduling and dispatch for minimizing power purchase costs.**

It is a trend in every Discom of the country that power purchase costs constitute about 80% of the total ARR of the Discom, and for this very reason, the optimum scheduling and dispatch has to be ensured to achieve required economy.

- 12.1 The role of state thermal stations becomes critical in ensuring optimum scheduling and dispatch. In case of PSPCL even after maximum backing down of State thermals, there is still need to further back down IPPs capacity and pay the capacity charges for capacity not utilized. For FY 2020-21 in case of IPPs (T. Sabo, NPL, GVK) there was backing down of 7244.95 MU for which capacity charges of Rs. 840.44 Crore was paid.
- 12.2 In this function / objective of scheduling and dispatch, the state thermal station have a greater role of perform. In the initial stages of operation of GGSSTP and GHTP the state thermal were running on base load pattern with the main objective of meeting power shortage and minimizing power cuts. However, with commissioning of IPPs the role of state thermals has changed and now the main function is to ensure required flexibility.
- 12.3 The Govt. of India has fixed targets for renewable power, viz solar capacity of 100 GW and wind capacity of 60 GW by 2022, and with this changed scenario the state discom has to ensure that the renewable power targets are achieved.
- 12.4 The major target/ objective for load dispatches across the country and regional and national level is to ensure that the renewable power injected into the grid is actually drawn / absorbed/ consumed by the Discom and that ideally "curtailment" of renewable power should be avoided (ideally it should be NIL).
- 12.5 The role / objective of thermal station and units of the country is now, therefore, to ensure the required flexibility to grid operation, and particularly for ensuring the utilization of renewable

energy. The CEA report on flexible operation of thermal gives the following details of thermal units operating as in 2022.

| Function             |         | GW Total | Nos. of units |
|----------------------|---------|----------|---------------|
| Base Load            | 660-800 | 68.16    | 98            |
| Flexible             | 490-600 | 70.77    | 133           |
| Very Flexible        | 195-360 | 67.64    | 285           |
| Two shift operations | <151    | 10.564   | 110           |
| Total                |         | 217.134  | 626           |

PSPCL Thermal units at Ropar/Lehra come in the category 195-360 MW with "very flexible" mode of operation.

12.6 CEA report gives the steps to be followed while implementing flexible operation as under.

- i) Reducing minimum load of operation
- ii) Flexing of Hydro and gas generation
- iii) Pumped storage/ battery
- iv) Curtailment of RE

12.7 The conclusions and recommendations of CEA report are given at para 19 of report (page 59,60) which is attached at Annexure-A.

**Reply of PSPCL: 12.1, 12.2:**

PSPCL takes all possible steps, for ensuring optimum scheduling and dispatch for various sources at its disposal within & outside state subject to various technical hindrances along with exploring all energy market mechanisms with ensuring reliability of power supply and keeping in view uncertainty of demand.

State thermal plants IPPs and own both play crucial role for optimum scheduling as they can be kept in operation as hot spinning reserve with load crash on a given day due to weather disturbance and overnight regaining of nearly the same. Same is reflected in backing down of own thermal station and IPPs based on their variable cost comparison. With the commissioning of IPPs, state thermals with higher variable cost are providing requisite flexibility, for grid operation, to absorb market prices fluctuations too, instead of being base load plants.

Fix charges have to be paid against the reliability of source exclusively kept reserve to supply power to PSCPL. And surrender of power is inseparable part of power system operation based on demand variation due to various reasons.

**Reply of PSPCL: 12.3:**

PSPCL is taking all measures to ensure that its RPO targets are being met, along with ensuring that state power demand is met economically.

**Reply of PSPCL: 12.4:**

Keeping aside any rare unavoidable incident, no curtailment of renewable power is being done by PSPCL.

**Reply of PSPCL: 12.5:**

As addressed at reply of points 12.1 & 12.2, PSPCL's thermal units are being used for flexible operation on real time availability/ requirement basis.

**Reply of PSPCL: 12.6& 12.7:**

Point no. 7 of the Conclusion and Recommendations of the report, states as follows:

*"Traditionally most of the coal-fired units are designed to operate as base load plants. Hence, several measures need to be undertaken to make the plants capable of low load operation. From the cost point of view, it is suggested to provide revised tariff to coal-fired generators for supplying flexible generation as below.*

- Opex – based on a benchmarked costs (compensation) + markup (incentivisation).
- Capex to be reimbursed on actual basis after examination."

Therefore, as also mentioned in page 59 of the CEA report, there is a need for regulatory intervention before proceeding with any of the said recommendations and PSPCL will follow accordingly.

**Commission's view:**

The objector may note the response of PSPCL.

**Issue No. 13: Experience of other states regarding thermal capacity addition and renewable energy targets.**

13.1 In case of Punjab (PSPCL) a major factor relating to grid operation is the fact that there was excessive capacity addition which in turn resulted in payment of capacity charges for capacity that was backed down.

13.2 Case of Telangana

The NGO Prayas (Pune) has made a study titled."Pitfalls of the massive thermal capacity addition in Telangana". The capacity addition case have been analyzed.

|                  |          |         |
|------------------|----------|---------|
| Bhadvadari       | 4x270 MW | FY-2024 |
| NTPC Ramagundam  | 1.9 GW   | FY-2024 |
| 5x800 MW Yadadri | 4000 MW  | FY-2023 |

### 13.3 Case of Andhra Pradesh

Andhra Pradesh Govt. has issued directive to state discoms to purchase 7000 MW or 17000 MW solar power per annum spread over 3 years period FY 2024, FY 2025 and FY 2026. The power is to be sourced from SECI (Solar Energy Corporation of India).

The analysis / report has examined this as a case of excessive / surplus power procurement of solar energy with consequent problems as this is a must take category.

#### Reply of PSPCL: 13.1, 13.2, 13.3:

The demand curve of Punjab is bell-shaped and that during paddy season the demand reaches its peak level and during this period the state is not in a power surplus position. Therefore, as explained in reply to point no. 6 & 12.2, payment of capacity charges needs to be done in case of idle capacity.

#### Commission's view:

The objector may note the response of PSPCL.

### Objection No. 17: Steel City furnace Association

#### Issue: Equity and Return on Equity

1. The then Punjab State Electricity Board (PSEB) was constituted under Electricity (Supply) Act 1948 as per which PSEB was to finance all its Capital works through Loans only and interest on loan and Loan instalments were recovered through Tariff. Loans were given by GOP and to escape the interest and instalments payable to GOP, PSEB got the loan(s). converted into equity of GOP in PSEB.
2. The Commission issued first Tariff Order for FY 2002-03 which stated in para 6.10 that PSEB has been declared by GoP as a body corporate with a Capital of Rs. 5 Crore with effect from 10th Mach 1987 under Section 12A of electricity (supply) Act 1948 and converted Rs. 1612 Crore representing Government loans granted upto 3/90 into equity during FY 1991-92 and Rs.1189.11 crores representing 50% of loans granted during 1990-91 to 1994-95 in Rs.7996-91 Crore. The total State Government Equity in PSEB is Rs. 2806.11 Crore. Further no ROE was allowed in Tariff Order for FY 2002-03 to FY 2005-06 by the Commission and only 3% Return on Net Fixed Assets were allowed as per Supply Act 1948.
3. Initial equity of Rs. 2946.11 Crore as on FY 2006-07 onward 412.46 Cr per year was allowed as per para 4.15 of TO were loans of GOP camouflaged as Equity to get higher returns through ROE
4. On restructuring of PSEB into PSPCL and PSPCL on 16.4.2010, equity (in fact roans) of Rs. 2946.11 Crore was also distributed as per provisional FRP/Transfer scheme as Rs. 2617.6 Crore and Rs. 28.50 Crore and RoE was allowed separately as Rs. 366.47 Crore and Rs 45.99 Crore for PSPCL and PSTCL respectively.
5. While there is no objection on such conversion for accounting purpose but for fixing tariff, apparently, there is no differentiation between loans given by Government of Punjab to Board/PSPCL and equity. In fact, all the assets of PSEB/PSPCL/PSTCL were/are created by borrowing/debt and a part of it shown as equity of Board. This evidently was done to help Discom to reduce its interest and repayment burden as RoE/dividend is not, payable under companies Act to GoP till PSEB/PSTCL is running in losses. Thus, a methodology devised to keep the tariffs on lower side is now being used to increase income of PSPCL by unduly loading the consumers and to meet the financial losses due to inefficient working of PSPCL/PSTCL. Consequently, the consumers of the State are burdened with higher tariff in the form of 15% - 16% RoE on such amount, which is in fact a government loan on which not more than 7-8% interest needs to be allowed.
6. Subsequently, financial restructuring plan and Transfer scheme was finalized and notified on 24.12.2012 by GoP. In this notification, an amount of Rs.3132.35 Crore standing in the books of PSEB on 15.4.2010 under the head "consumer contributions & Govt Grants" etc were also converted into equity of GoP and the same was admitted by the Commission as well. Thus the equity of PSPCL were enhanced from Rs. 2617.6 Crore to Rs. 6081.43 Crore (para 3.16 of TO of FY 2013-14) and from Rs. 328.50 Crore to Rs. 605.83 Crore (para 3.10 of TO of FY 2013-14) respectively. Thus the total equity was increased from Rs. 2946.11 Crore to Rs. 6687 Crore.

7. The conversion of consumer contribution and Govt Grants/subsidies was appeared by consumers in APTEL and APTEL directed the Commission to reconsider issue vide judgment Dated 17-12-2014 in Appeal No 168 and 142 of 2013 as under:-  
*"48. --- We direct the State Commission to adjust the excess amount of ROE in the impugned order from the FY 2011-12 onwards in the ARR/ True up for the year to provide relief to the consumers."*  
*50.3 The findings of this Tribunal in Appeal no. 46 of 2014 shott squarely apply to the present case. The State Commission shall re-determine the ROE as per our directions and the excess amount allowed to the distribution licensee with carrying cost shall be adjusted in the next ARR of the respondent no.2*
8. Hon'ble APTEL observed that the Govt. can hold any amount as equity in PSPCL and PSTCL, but ROE needs to be granted on actual subscribed and paid up equity only i.e cash money infused needs to be counted as equity for the purpose of ROE. PSPCL has filled an appeal against the order in the Hon'ble Supreme Court and stay has been granted. Final order of the Supreme Court is still awaited. However, because of stay granted by the Hon'ble Supreme Court, the Commission is granting RoE on Rs. 6081.43 Crore to PSPCL and on Rs. 605.88 Crore to PSPCL. The CAG has also objected to the conversion of non-interest-bearing consumer contribution and Govt grants/subsidies etc into equity.
9. Subsequently, MOP, GOP and PSPCL entered into an agreement as per which PSPCL loans of Rs. 15628.26 Crore were to be taken over by GOP by issuing SLR bonds by banks and loans were to be taken off the books of PSPCL. Uday scheme ended on 31.03.2020 and PSPCL proposed in ARR of FY 2020-21 to convert the loan amount of Rs. 15628.26 Crore as GOP equity in PSPCL i.e increasing GoP equity from Rs. 6081.42 Crore to Rs. 21709.69 Crore PSPCL claimed RoE on Rs. 15628.26 @ 15.90% i.e. Rs. 2485 Crore in addition to RoE of Rs 6081.42 Crore. Thus, by simply manoeuvring the entry of loan amount to equity, PSPCL was to load the consumers by Rs. 3423 Crore. However, vide Tariff order dated 28th May 2021 the Commission rejected the proposal of PSPCL.
10. Now in current ARR for FY 2022-23 dated 30th November 2021, PSPCL has come out with an entirely new argument that out of Rs.15628.26 crore, Rs.2246.77 Crore were spent on capital expenditure and out of balance Rs.13381.49 Crore working capital loan, Rs.2346.19 Crore were also diverted towards capital expenditure. Thus, total of Rs.4592 Crore should be treated as equity and ROE should be now allowed on Rs. 10674 Crore (Rs.6081.43 Crore Rs.4592 Crore) inspite of the fact that the Commission and Hon'ble APTEL have made it amply clear that only cash flow is to be treated as equity for the purpose of ROE and MYT Regulations provide that equity should be actually infused for creation of useful assets. Therefore, there is no case for allowing ROE beyond Rs.6081.43 Crore, which in principle is also under litigation, on which Hon'ble APTEL has decided adversely and matter is in the Hon'ble Supreme Court. Since all the assets as admitted by the Commission are already accounted for and linked with corresponding source of debts, there is apparently no case for allowing ROE beyond the admitted amount of equity.
11. PSPCL vide its letter dated 12.04.2016 in ARR of FY 2016-17 stated that whole of the amount taken over by GOP under UDAY scheme comprises of debt. Further, the tripartite agreement for UDAY scheme provided that 75% of the UDAY Loan will be converted into grant of GoP at the close of the scheme. Further, GoP was to compensate the loss of PSPCL in a graded manner during the period FY 2017-18 to FY 2020-21. However, so far neither any grant has been given by GOP in terms of UDAY agreement nor any loss compensation has been given in ARR. Thus, PSPCL has failed to get any relief from GOP which would have given relief to the consumers but has acted proactively to make UDAY loan as GOP equity and claim ROE for the same to claim higher tariff.
12. As per PSPCL's own admission, the assets created by PSPCL as well as erstwhile Electricity Board/Electricity branch of PWD through debt/loan, consumer contributions and Govt grants etc. and not through any infusion of cash equity, there is need to investigate the source of funding of assets created by Discom/Board.
13. PSPCL has itself admitted that gross fixed assets of GNDTP were created through loans and no infusion of equity was made at any stage. (Reference para 2.20, page 56-57, Tariff Order dated 28th May 2021).
14. The consumer contribution and Govt grants, which have been shown as part of equity (Rs.3135.32 Crore) is also not equity in any sense and the same should be reduced from the equity and taken back to consumer contribution or to be written off for ARR purpose and no return

on equity to be allowed on the same as no tangible benefits are given to consumers through equity infusion.

15. It becomes obvious that PSPCL has been trying to show higher and higher amount of funds raised through loans as equity to claim higher return on the same in the form of ROE @15%-16%, which is about 7-8% higher than normal interest loan. While the matter of fact is that all funds invested for capacity creation are borrowed funds on which only normal interest is to be paid. The methodology being adopted by PSPCL has been resulting into higher cost of supply year after year, which needs to be looked into.
16. Report of the Forum of Regulators on "Analysis of Factors Impacting Retail Tariff and Measures to address them" (2020) suggested ways to reduce the retail power tariff in states. In para 2.1.3 of the report, which deals with fixed cost related factors, it is mentioned that the post-tax RoE of Discom and transco has been in the range of 14%-16% whereas the lending rate has been on the lower side for quite some time. While the RoE has an element of risk premium, the data analysis revealed the need for reconsidering the RoE keeping in view the prevailing prime lending rate and 10 year G-Sec rate.
17. On ROE, Committee observed in para 4.1.1, that Return on equity allowed to Generation/ Transmission and distribution companies needs to be made more realistic and at par with interest rates and further that:-
  - RoE for generation and transmission should be linked to 10 year G Sec rate (average rate for the previous 5 years) plus risk premium subject to a cap as may be decided by the appropriate Commission.
  - For adiscom, RoE could be fixed based on the risk premium assessed by the State Commission. Income tax reimbursement should be limited to the RoE component only.
  - Performance of Distribution licensees has a significant impact on retail tariff for the consumers. Therefore, there is a need to link recovery of RoE with the performance of the utilities, based on the indicators such as supply availability, network availability, AT&C loss reduction".

#### **Prayer**

In the light of above observations, it is necessary that return on equity need to be reduced drastically from the present level of 15%-16% to average long term rate of interest on government borrowings (to about 7-8%), linking it with return on government security for 10 years or more.

#### **Reply of PSPCL:**

As per clause 1.2 of MOU under UDAY scheme, 75% of PSPCL's debt as on 30.9.2015 amounting to Rs.15628.26 Crore is to be taken over by Govt. of Punjab. In compliance to MOU, Non-SLR bonds amounting to Rs.15628.26 Crore were issued by Govt. of Punjab and transfer this amount to PSPCL as GOP loan up to FY 2019-20 and on 31.03.2020 converted this loan into equity.

Amount of Rs.15628.26 Crore comprise of Rs.2246.77 Crores Capex Loans and Rs.13381.49 Crore Working Capital Loan. The Commission has allowed interest on Rs.2246.77 Crore up to FY 2019-20 being Capex Loans.

The Commission has disallowed the interest on Working Capital Loans used for Capital Expenditure as per annexure attached from FY 2010-11 to FY 2018-19. These Rs.2346.19 Crore Working Capital Loans has been used for Capital Expenditure duly approved by the Commission.

It is requested to allow return on equity of Rs.4592.96 Crore (2246.77+2346.19) instead of Rs.15628.26 Crore along with return on Rs.6081 Crore opening equity capital of FY 2019-20 as loans of Rs. 15628.26 Crore (Working Capital & Capex Loan) has been converted into equity and this loan in the FY 2020-21 and FY 2021-22 do not exist and balance equity capital may be adjusted as equity contribution on normative basis as per Regulation 19 and 20. The ROE has been claimed by PSPCL as per applicable Regulation.

#### **Commission's View:**

Return on Equity and interest cost is determined by the Commission in-line with the prevailing PSERC MYT Regulations after prudence check.

#### **Objection No. 18: Shri O.P. Garg**

##### **Issue No. 1: Theft of Energy**

The enforcement wing of the PSPCL carry out checks including making raids and recovering a Good amount but they face resistance from the public and return disappointed. Still a lot of Meters need to be taken out of consumers' premises due to public BKU pressure mostly in villages. Distribution staff has been harassed on one two occasions as a result they have suspended checking also on call of PSEB Engineers Association

**Reply of PSPCL:**

The issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The objector may note the response of PSPCL. Further the objector may refer to the directives issued by the Commission in this regards in the Tariff Order

**Issue No.2: Defaulting Amount**

The defaulting amount is mainly for the Govt. connections to the tune of Rs. 2381 Crore The Govt must allocate funds to each department for making timely payment of electricity bill.

**Reply of PSPCL:**

The issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The objector may note the response of PSPCL

**Issue No. 3: PSPCL's Subdivisions**

As per information obtained through RTI, there are total of 499 Distribution Subdivisions as per details given below: -

- a) Total Subdivns-499
- b) Those in proper Corp buildings as per norms-257
- c) Housed in Quarters located mostly at grid sub stations -156
- d) In Rental Buildngs-78
- e) Buildings provided by the charitable Institutions -8

From the above details, it is clear that 234= (156+78) subdivisions are functioning in the corporation Quarters and rental buildings. The conditions of these quarters are in very sad state of affairs, roofs are leaking, and there is no proper space for subdivision staff to work and no space/facility for keeping records. Similar is the condition in rental buildings.

Consumer services have improved in other public dealing offices such as Mini Secretariat, Railway, BSNL, Hospitals etc. by providing sitting arrangement with the provision of waiting rooms and drinking water, but in PSPCL such steps are yet to be taken. RA/ARA are sitting in horrible accommodation, as such they are not able to hear the grievances of the consumers in a comfortable manner.

In view of the above, it is requested that proper accommodation for the subdivision staff and the consumers who help in generating revenue of the corporation may kindly be taken up immediately in a phased comfortable manner.

**Reply of PSPCL:**

The issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The suggestion of the objector is noted. Further, the Commission has already allowed capex for upgradation of facilities as demanded by PSPCL.

**Issue No. 4: Freebies**

Recently Punjab State ordered for 'NO BILL' less than 2kW along with arrears also to be refunded and Rs. 3.00 per kWh reduction in Tariff. Presently Rs. 1800 Crore and Rs. 1600 Crore respectively have been charged to PSPCL. In FY 2022-23 loss may be over Rs. 3000 Crore and Rs. 4000 Crore

**Reply of PSPCL:**

Instructions regarding waiver of pending electricity bills of all DS category defaulting consumers having sanctioned load up to 2KW were issued vide Commercial Circular no. 38/2021 dated 13.10.2021 as per decision of Council of Ministers, GoP in its meeting dt. 29.09.2021. In this regard, approval for releasing additional subsidy of Rs. 1555.00 Crore in lieu waiver of pending electricity bills of all the Domestic category consumers with sanctioned load up to 2kW stands accorded vide Supdt./Finance Deptt., GoP letter no. FD-FE-40BDGT/140/2021-2FE4 dt. 03.12.2021 as intimated by Supdt./Power(Energy Branch), GoP vide his office letter no. POWER-ENRG02/14/2021-EV2/1/288289/2021 dt. 06.12.2021.

Further, instructions regarding reduction of Tariff rates up to Rs.3.00 per unit to all Domestic category consumers with sanctioned load up to 7 KW were issued vide Commercial Circular no. 41/2021 dated 23.11.2021 as per decision of Council of Ministers, GoP in its meeting dt. 01.11.2021. In this regard, approval for releasing additional subsidy of Rs. 1123.00 Crore for the period of Nov. 2021 to March 2022 in lieu of reduction in the electricity tariff rates up to Rs. 3.00 per unit to all the Domestic category consumers with sanctioned load up to 7 KW stands accorded vide Supdt./Finance Deptt., GoP letter no. FD-FE-40BDGT/140/2021-2FE4 dt. 03.12.2021 as intimated by Supdt./Power(Energy Branch), GoP vide his office letter no. POWER-ENRG02/14/2021-EV2/1/288289/2021 dt. 06.12.2021.

**Commission's view:**

Issue of Subsidy relates to the State Government.

**Issue No. 5: Other Factors**

PSPCL issued bills for more than two months against monthly, learnt due to strike of Meter Readers. Last year at the end of month Head office situated on The Mall, Patiala was Locked by string employees. All above factors have direct or indirect effect on the increase in Tariff and inconvenience to Consumers who help in generating revenue.

**Reply of PSPCL:**

The issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

The objector may note the response of PSPCL

**Objection No. 19: Consumer Welfare Council****Issue: Reduced rate of interest on delayed payment from 18% to 10%**

At present, economic health of the MSME & Small Shop-keepers' is not good because of the impact of COVID-19, On-line shopping and now Russia attack on Ukraine will lead to increased transportation cost. Keeping in view above mentioned difficulties as per the guidelines of the Reserve Bank of India, PSPCL should not charge rate of interest 18% on delayed payment of bills from MSME & consumer's of PSPCL. All private and Govt. banks have already reduced their lending rates of interest. The Commission can personally visit BIG MALLS of cities and note how shop keepers are paying rent & power bills without the presence of the customers. It is requested to issue directions to charge interest rate 10% instead of 18% on delayed Payment bills on MSME and Domestic bills.

**Reply of PSPCL:**

Late payment interest is charged as per the clause 21 of General Conditions of Tariff in Tariff order for FY 2021-22. PSPCL needs regular working capital requirement which is met from the payments received from the consumers against energy bills. When the payments of the consumers are delayed, PSPCL has to arrange additional working capital to carry out its operations. Hence, the revenue received from delayed payment surcharges is not an income to the Utility, rather it is a carrying cost recovered from consumers to repay the interest on incremental working capital which has occurred due to delay in receiving of the revenue. Moreover, Late payment Interest works as a deterrent for the defaulting consumers thereby discouraging them in delaying the payment of bills which results into timely recovery of legitimate revenue of PSPCL required for financial stability of the Corporation. Thus, the Commission be requested to continue the existing provision in this regard.

**Commission's view:**

The suggestion is noted.

**Objection No. 20: Shri Gurmit Singh Bhatia****Issue: Tariff & Conditions of Tariff**

Tariff & its conditions should be ordered /printed in a script which is very easy to use /understandable to every consumer as well as concerned official/ officers with examples & reasoning. In the past it is felt some items of tariff & its conditions & other orders printed by the office of the CE Commercial are very complicated & are repeatedly clarified resulting harassment to the Industrialist & commercial consumers, whose costing of products depends on usage of electricity resulting unrecoverable losses due to detection of huge under assessment at the latter stage for the electricity used in the older past period of time.

For example, in case of Single point supply consumers now facing, Clarification letter was issued in May 2017 regarding Draft of Distribution Franchisee. After more than 4-5 years of issue of this letter now the official wake up & Rebates given to the FD consumers in past have been withdrawn & the officials of Audit / Enforcement organisations of PSPCL are planning to meet with their targets of under Assessment detected by interpreting clauses of the Commercial Circulars in their own ways of working even ignoring the role of Assessing officers & consumers right to have the opportunity to be heard before final decision by the Competent officers/ Authorities.

Sometimes, from the action taken by the officers of these organisations, it is felt that these official are also have captured the powers of Assessing / Revenue collecting officers/Authorities too.

Some official are asking single point supply consumer to give them data otherwise heavy under assessed amount will be charged in their bills as is being done in case of a big consumer in city circle Amritsar creating panic.



It is experienced during past years of pandemic period, the most harassed consumers are the Single point supply consumers. At first instance HT rebate available to them have been withdrawn. Secondly, copies of bills prepared with different objections are not accepted & rejecting bills prepared as per performas available at website of PSPCL, stoppage of rebate admissible for TOD night units usages, though as per tariff order TOD PLEC surcharge has been recovered, now fear of recovery of excess rebate of 10-12% given since FY 2017 on unmetered units of common area usage of electricity etc.

In city circle, bills of Single point supply consumers are issued on basis of total consumption recorded on the main meter installed by PSPCL & being paid in full as prepared by billing authorities without any mention of 2% line losses admissible on unmetered usage of electricity for common area. The bills of consumer of the DF (Distribution Franchisee) are prepared, delivered & collected after payment of main bill received without asking details of consumers of the DF area of suppliers. Owners are paying full bill & suffering losses due to payment of PLEC surcharge of TOD tariff for months of June to September recovered on the consumption recorded as per main meters for 4 hours from 6 PM to 10 PM. DF (Distribution Franchisee) consumers have to make huge investment & expenditure for arrangement / to follow the instruction/ guidelines for smooth working of his area of DF. He has to pay for electrician for maintenance & continuation of supply, billing arrangement, interest on funds arrangement for payment for paying bills & ACD etc. What he gets only 10%, that too only energy charges & Fixed charges whereas total energy bill, much more than the amount of EC & FC, which includes Taxes, PLEC charges, Fuel cost & other surcharges, some are part of SOP but not considered for admissible 10-12% rebate.

Only interest required to be paid for funds arrangement for ACD which is much more than 1 & half times of the amount for which rebate is given. For example, DF consumer gets rebate of Rs.1000 on amount of EC & FC of Rs. 100000/- in a month. For this they are required to arrange a fund of Rs. 300000/-. At the bank rate interest @ 8% on this amount will be paying interest amount around Rs. 24000/- in a year, Rs. 2000 per month with net loss of Rs. 1000/- only this account only.

A clear-cut order must be made regarding, "who is who" in connection with implementation of directives/ Orders regarding charging & recovery of amount as per Checking, observations & findings etc. by the other organisations of PSPCL.

It is also prayed that to some smooth & harassment free way of working may please be put up in place of exiting complicated one at present please.

**Reply of PSPCL:**

The issue does not relate to ARR petition and shall be dealt separately.

**Commission's view:**

Suggestion noted. The objector may note the response of PSPCL. Further, PSPCL may take note of the suggestion and come up with the plan for improvement in performance efficiency.